PASSBOOK · CA INTERMEDIATE · GROUP II

Paper 6B

Strategic Management

ICAI Question Bank

Every ICAI past-exam, RTP and MTP question for this paper, May 2018 to Sep 2026, sorted by chapter and sub-topic, each with ICAI's own answer, word for word.

1,292 questions (554 MCQs, 738 descriptive) from 75 ICAI documents · A4 edition · made 2026-10-21

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How this book works

- **Sorted by the syllabus.** Chapters and sub-topics follow the January 2027 syllabus (PassBook's lessons). Each question sits under the sub-topic it mainly tests. That placement is PassBook's judgement, most of all for old-scheme papers, which used different chapters.
- **Order inside a sub-topic:** exam papers first, then RTPs, then MTPs, newest attempt first.
- **Every card** shows where it comes from (EXAM RTP MTP), the attempt, ICAI's question number and marks. RTPs print no marks. old scheme marks papers from before May 2024.
- **Questions ICAI repeated** word for word, with the same answer, are printed once. The other documents are listed under *Also asked in* (168 repeats). Where ICAI answered the same question differently in two documents, both are printed, and each card points to the other: *Same question, different ICAI answer*.
- **A case scenario** stays together: the case, all its questions, then ICAI's answers in ICAI's order.
- **ICAI's words, unchanged.** Questions, options and answers are copied from ICAI's PDFs. Each card ends with the PDF pages. Lines marked *PassBook's note* are ours: why a question is out of syllabus, or where the Study Material now teaches a newer law (CARO 2020 for CARO 2016, say). ICAI's own slips are kept as printed.
- **Missing answers.** ICAI has not yet published Suggested Answers for the September 2026 exam (marked * below), and one old MTP's answers are no longer online. Those questions appear without an answer.
- **Out of syllabus** questions are in an appendix at the end (133), so they never get in the way.

Most asked sub-topics

How many separate ICAI documents asked about each sub-topic (repeats counted in every document that printed them). Revise the top rows first.

#	Sub-topic	Documents	Exams
1	Meaning, nature, importance and limitations of strategic management Ch 1	61	12
2	Organisation structure and culture Ch 5	59	13
3	Strategic intent: vision, mission, goals and values Ch 1	58	11
4	Porter's generic strategies Ch 3	56	12
5	Growth strategies: integration and diversification Ch 4	55	11
6	Stability and retrenchment: turnaround, divestment and liquidation Ch 4	49	14
7	Porter's five forces Ch 2	48	13
8	Formulation versus implementation: matrix, linkages and issues Ch 5	46	11
9	Strategic levels: network, corporate, business and functional Ch 1	45	6
10	Strategic control and performance measures Ch 5	44	10
11	Strategic drivers Ch 3	39	7
12	BCG and GE matrices Ch 4	33	5
13	Strategic change and digital transformation Ch 5	30	5
14	Ansoff's matrix and the ADL matrix Ch 4	30	3
15	Understanding customers, markets and competition Ch 2	29	7

Documents in this book

31 new-scheme and 44 old-scheme ICAI documents. A dash means ICAI published none for that attempt, or it is not in the bank.

Attempt	Exam	RTP	MTP
September 2026	✓*	✓	I, II
May 2026	✓	✓	I, II
January 2026	✓	✓	I, II
September 2025	✓	✓	I, II
May 2025	–	✓	I, II
January 2025	✓	✓	I, II
September 2024	✓	✓	I, II
May 2024	✓	✓	I, II
November 2023 Old P7	✓	✓	I, II
May 2023 Old P7	✓	✓	I, II

Attempt	Exam	RTP	MTP
November 2022 Old P7	✓	✓	I, II
May 2022 Old P7	✓	✓	I, II
December 2021 Old P7	✓	✓	I, II
July 2021 Old P7	✓	✓	I, II
January 2021 Old P7	✓	–	–
November 2020 Old P7	✓	✓	I
May 2020 Old P7	–	✓	I
November 2019 Old P7	✓	✓	I
May 2019 Old P7	✓	✓	I, II
November 2018 Old P7	✓	✓	I, II
May 2018 Old P7	✓	✓	I

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CHAPTER 1

Introduction to Strategic Management

1.1 Meaning, nature, importance and limitations of strategic management

99 questions · asked in 61 ICAI documents · 12 exam papers

1 EXAM **May 2026** Q8(b) 5 marks

"Relying blindly on business strategy can go absolutely wrong when daily operation are impeded or when environmental estimates prove inaccurate." Discuss the overall objective of strategic management and evaluate the limitations attached to it that may prevent from overcoming a turbulent environment.

ICAI'S ANSWER

The overall objective of strategic management is:

1. To create competitive advantage so that the company can outperform competitors.

2. To guide the company successfully through environmental changes and react in the right manner.

Limitations of Strategic Management

1. Complex and Turbulent Environment: Business environment is highly dynamic and uncertain. Organisational estimates about future conditions may go wrong, thereby affecting strategic plans adversely. Hence, strategy cannot always overcome a turbulent environment.

2. Time Consuming Process: Strategic management involves extensive planning, analysis and communication which may impede daily operations and routine business activities. Excessive planning may reduce execution efficiency.

3. Costly Process: Strategic management requires expert planners, environmental analysis and implementation efforts, which increase organizational costs, especially for small and medium enterprises.

4. Difficulty in Predicting Competitive Responses: In a competitive environment, it is difficult to estimate competitors' strategic actions and responses accurately, as such decisions are generally confidential and uncertain.

ICAI · P6 · May 2026 exam · question p. 32 · answer p. 33-34

2 EXAM **May 2026** Q8(b) OR 5 marks

Differentiate between Proactive and Reactive strategies. Explain in detail, why it is important for every organisation to use both these strategies in a dynamic and an uncertain business environment.

ICAI'S ANSWER

Difference between Proactive and Reactive Strategies

Basis	Proactive Strategy	Reactive Strategy
Meaning	Proactive strategy refers to planned and deliberate actions taken by management to improve market position and performance.	Reactive strategy refers to adaptive responses to unforeseen changes and unexpected developments in the business environment.
Nature	It is planned and intentional.	It is responsive and adaptive in nature.
Objective	To gain competitive advantage through advance planning.	To cope with changing circumstances and environmental uncertainties.

Importance of Using Both Strategies

Every organization needs both proactive and reactive strategies because the business environment is dynamic and uncertain.

1. Helps in Achieving Planned Objectives: Proactive strategies help organizations define long-term direction, improve market position and achieve organizational objectives through planned managerial actions.

2. Helps in Coping with Uncertainty: Business conditions may change unexpectedly due to competition, technology, regulations or customer preferences. Reactive strategies help firms respond effectively to such unforeseen developments.

3. Provides Flexibility and Adaptability: A combination of proactive and reactive strategies enables organizations to remain flexible and adapt to changing environmental conditions.

4. Ensures Survival and Competitive Advantage: Organizations using both strategies can exploit opportunities, tackle threats, handle crises and maintain competitiveness in turbulent business environments.

Thus, a company's actual strategy is always a blend of proactive planned actions and reactive adaptive responses to changing business circumstances.

ICAI · P6 · May 2026 exam · question p. 32 · answer p. 34-35

3 EXAM **Jan 2026** MCQ 14 MCQ

Herbal Care Pvt. Ltd., a reputed Ayurveda brand, had strong domestic sales but struggled to expand internationally due to unclear long-term direction. After reviewing its declining exports, the company introduced a strategic plan focused on global positioning, R&D investment, and sustainable packaging. The process unified departmental efforts, improved brand consistency, and attracted foreign partners. Within a short span, Herbal Care's exports rose significantly. This case highlights which key importance of strategic management?

A It enhances daily operational control.

B It provides clear direction and long-term organizational focus to move ahead.

C It focuses mainly on employee enhancement and growth.

D It ensures faster product manufacturing.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · Jan 2026 exam · question p. 8

4 EXAM **Jan 2026** Q8(b) OR

Write short note on concept of strategy.

ICAI'S ANSWER

In the context of business, strategy refers to the ways in which an organisation responds to dynamic and often hostile external forces while pursuing its vision, mission and long-term objectives. The idea of strategy is incorporated to reduce uncertainty and complexity arising from environmental changes. Strategy seeks to relate the goals of the organisation to the means of achieving them. It is the game plan of management to take market position, conduct operations, attract and satisfy customers, compete successfully and achieve organisational objectives. Strategy may be defined as a long-range blueprint of an organisation's desired image, direction and destination—what it wants to be, what it wants to do, how it wants to do things and where it wants to go. It provides an integrated and unified framework for mobilising resources, directing human effort and handling opportunities and threats. Strategy is flexible and pragmatic in nature, enabling the organisation to adapt to environmental changes and unforeseen situations. It integrates organisational goals, policies and actions into a cohesive whole, ensuring long-term survival, growth and competitive advantage. A strategy may be formulated at the corporate level, divisional level and functional level. The corporate wide strategies are operationalized by divisional and functional strategies. A company's strategy is typically a blend of proactive actions on the part of managers to improve the company's market position and financial performance, and reactive actions to unanticipated developments and fresh market conditions in the dynamic business environment.

ICAI · P6 · Jan 2026 exam · question p. 32 · answer p. 34

5 EXAM **Jan 2025** Q5(b) 5 marks

Also asked in MTP Sep 2026 S-II Q1(a)

Ecro Ltd. is an e-commerce company that specializes in selling eco-friendly products. Although the company has been doing well, it still continues actively to strengthen its brand identity, launch creative and impactful marketing campaigns, and introduce new and innovative eco-friendly products. However, the company has started facing increasing competition from large retailers who are entering the eco-friendly space. To face competition the company quickly started to adapt to the changing market conditions, analyse the competitors' strategies, adopt different styles of marketing in response to competitors action and counteract competitors' pricing strategies. Discuss the strategic approaches taken by Ecro Ltd. in the two different situations to stay competitive. Explain the strategy that Ecro Ltd. should adopt in future to remain competitive and gain competitive advantage.

ICAI'S ANSWER

Ecro Ltd. employs both proactive and reactive strategic approaches to stay competitive in a dynamic market.

Initially, the company was proactive in its approach by adopting the features of proactive strategies:

- Strengthening Brand Identity: Proactively building a strong eco-friendly image to appeal to environmentally conscious consumers.
- Innovative Marketing Campaigns: Crafting impactful and creative campaigns to enhance market visibility and differentiate its products.
- Product Innovation: Consistently introducing new and innovative eco-friendly products to meet evolving customer demands and maintain a competitive edge.

These proactive strategies are deliberate, reflecting planned actions to improve market position and financial performance. However, when the company started facing competition from large retailers, it forced the company to quickly adapt to the changing market conditions by following the features of reactive strategies:

- Adapting to Market Changes: Responding to the entry of large retailers in the eco-friendly segment by quickly adjusting strategies.
- Competitor Analysis: Studying competitors' strategies to counteract their actions effectively.
- Dynamic Marketing: Implementing varied marketing techniques to respond to competitors' campaigns.
- Pricing Adjustments: Adopting counter-pricing strategies to remain competitive without compromising profitability.

These reactive strategies demonstrate Ecro Ltd.'s ability to adapt to unforeseen developments and changing market conditions. Future Strategy for Competitive Advantage To remain competitive and gain a sustainable edge, Ecro Ltd. should adopt a blended approach of proactive and reactive strategies:

1. Sustainable Differentiation: Focus on continuous innovation and exclusive eco-friendly product lines to strengthen its unique position.

2. Customer-Centric Approach: Use data analytics to understand consumer preferences and tailor offerings.

3. Operational Efficiency: Optimize supply chain and reduce costs to balance affordability and quality.

4. Strategic Alliances: Partner with eco-certification organizations to build credibility and trust.

By crafting a strategy that integrates planned proactive initiatives with adaptive responses, Ecro Ltd. can navigate uncertainty, tackle competition, and ensure long-term success.

ICAI · P6 · Jan 2025 exam · question p. 23 · answer p. 25-26

6 **EXAM** **Sep 2024** Case scenario · MCQ 9 to MCQ 13

CASE SCENARIO

Case Scenario 2 Quick N Safe Logistics is one of the prominent transporters of goods for more than two decades. It has its own fleets and also has business arrangement with Railways. Competition with existing players and threat from new entrants are increasing regularly. Customer preferences and expectations are also changing. Need for considering new and improved means of transportation seems inevitable. Current philosophy of the company is 'to bring the best user experience to its customers through timely and safe delivery of goods'. While keeping this philosophy in mind, it desires to keep ahead and reap the benefits of first mover advantages in the industry. In order to achieve its growth target, company is exploring available other options so as to have a strong presence in supply chain management. The company is of a considered view that 'we learn as we grow'. It knows that the overall per mile operating cost decreases due to increase in efficiency and cumulative volume of services. Since the company will have a cost advantage over the competitors due to reduced cost of services, it can develop and adopt a penetrative pricing strategy by setting a low price to attract more customers. It is also observed that arrangement of transportation through railways is becoming a concern. Growth rate is slow and market for areas being covered by this means of transport is by and large stabilized. Profit margin is coming down due to stiff competition.

Company has to work out an action plan to maintain the stability. On the other side, one of the customer segments is looking for fast delivery of its goods in major cities all across the country. The prime consideration of such customers is quick and safe delivery of their products, irrespective of cost for the same. The target market of such services is very large and also increasing very fast. In view of the same, the company wants to reform its operation, by engaging a dedicated team to perform with a niche marketing strategy for transporting such goods through airways on an assurance of 'delivery by next day'.

In view of the given case scenario, answer MCQs from 9 to 13 with correct option.

MCQ 9

The strategy in which the company wants to keep ahead and reap the first mover advantages in the industry, is known as:

- A Adaptive strategy
- B Reactive strategy
- C Proactive strategy
- D Responsive strategy

MCQ 10

In context to service in transportation through railways, the company is analyzing a relationship between volume of business on one axis with respect to time on another axis. As per Product Life Cycle (PLC), which stage this service is passing through:

- A Introduction
- B Maturity
- C Growth
- D Decline

MCQ 11

In Strategic Management, the concept of decrease in the overall per mile operating cost due to increase in efficiency and cumulative volume of services is depicted as:

- A Experience curve
- B Ansoff’s growth matrix
- C Strategic surveillance
- D Value chain analysis

MCQ 12

As per strategies propagated by Michael Porter, niche marketing strategy for transporting goods through airways for a large customer segment on an assurance of 'delivery by next day', is known as:

- A Cost leadership strategy
- B Differentiation strategy
- C Focus differentiation strategy
- D Focus cost leadership strategy

MCQ 13

The philosophy of the company stated as, 'to bring the best user experience to its customers through timely and safe delivery of goods', is indicating towards:

A Vision statement

B Mission statement

C Goals of the company

D Objectives of the company

ICAI'S ANSWERS

MCQ 9

Answer key: **(C)**

MCQ 10

Answer key: **(B)**

MCQ 11

Answer key: **(A)**

MCQ 12

Answer key: **(C)**

MCQ 13

Answer key: **(B)**

ICAI · P6 · Sep 2024 exam · question p. 5-6

7 **EXAM** **May 2024** Q5(b) **5 marks**

Elvis Global is a famous OTT platform facing fierce competition from its competitors amid changing consumer preferences. This has made it difficult to retain customers as the existing television channels are also launching their own platforms. The company has appointed Raghav to lead the company forward as the sales & marketing manager. Raghav needs to design creative and innovative advertising campaigns to gain a competitive edge, engage the public and capture the market. Identify the strategic level that represents Raghav's role at Elvis Global. As a strategic advisor, highlight the various benefits of strategic management in overcoming different challenges to Raghav.

ICAI'S ANSWER

Raghav's role at Elvis Global represents the Functional level of strategy. As the sales and marketing manager, his responsibilities are focused on specific areas within the company, particularly on crafting and executing marketing and sales strategies that drive customer engagement and competitive positioning.

Benefits of Strategic Management for Raghav at Elvis Global Strategic management can provide several benefits to Raghav in addressing the competitive and consumer challenges faced by Elvis Global:

- Strategic management helps Elvis Global define its goals and mission, providing clear direction for future initiatives. This ensures that all marketing efforts are aligned with the company's overall vision. It allows Raghav to set realistic and achievable objectives that support the company's long-term goals, ensuring that marketing strategies are both ambitious and attainable.
- Through strategic management, Raghav can proactively shape the future of Elvis Global rather than merely reacting to market changes. This allows the company to anticipate trends and act accordingly. A proactive approach enables Elvis Global to better manage environmental uncertainties and stay ahead of competitors, ensuring a more controlled and predictable business environment.

- Strategic management provides a robust framework for making critical decisions regarding marketing strategies, target markets, and resource allocation. This ensures that all major decisions are well-informed and strategically sound. It ensures coherence and consistency in decision-making across the organization, aligning marketing strategies with overall business objectives.
- Strategic management helps identify and exploit new business opportunities, allowing Raghav to craft campaigns that resonate with emerging consumer preferences and market trends. By recognizing and capitalizing on these opportunities, Elvis Global can differentiate itself from competitors and capture a larger market share.
- Strategic management acts as a defence mechanism against potential mistakes and pitfalls, helping Raghav avoid costly errors in marketing decisions and campaign execution. It provides a structured approach to identifying and mitigating risks, ensuring more informed and safer decision-making.
- Strategic management enhances the longevity and sustainability of Elvis Global by ensuring that marketing strategies are adaptable and resilient in a dynamic market. It helps the company establish a clear and deliberate position within the industry, ensuring sustained relevance and competitiveness.
- Strategic management enables the development of core competencies and competitive advantages that are crucial for the company's success. This includes building strong brand identity, innovative content offerings, and superior customer service. By focusing on these strengths, Raghav can ensure that Elvis Global achieves sustainable growth and maintains its competitive edge in the OTT market. Through strategic management, Raghav can effectively navigate the competitive challenges faced by Elvis Global. By providing clear direction, encouragement a proactive approach, guiding critical decisions, identifying new opportunities, defending against pitfalls, ensuring longevity, and developing core competencies, strategic management enables the company to achieve and sustain a competitive edge. This comprehensive approach will allow Raghav to design innovative advertising campaigns that engage the public, capture the market, and drive the company forward.

ICAI · P6 · May 2024 exam · question p. 24 · answer p. 26-28

8 EXAM **Old P7 Nov 2023** Q6 5 marks old scheme

Swagatam was a chain of hotels. The business was good until the whole nation was impacted by COVID-19 pandemic in early 2022.

The management soon understood that pandemic had seriously disrupted the hotel sector and average revenue-per-available room fell by nearly 90% and they expected this decline to continue due to travel bans and fear seen in the society.

Pandemic required 14-day compulsory quarantine for the affected individuals and hospitals were short of rooms.

Management found a small opportunity as they had sufficient rooms, staff and could follow required health and safety standards. They decided to do service transformation by letting some of their units to hospitals to be transformed into covid-care units & rest of the units were rented to individuals as a quarantine facility.

(a) Name the strategic level of management at which such decisions are made. (1 Mark)

(b) The above scenario depicts one of the limitations of strategic management. Discuss which limitation of strategic management is depicted here. (2 Marks)

(c) Here the decision taken by the management was reactive. Discuss the benefit of proactive approach over reactive approach. (2 Marks)

ICAI'S ANSWER

(i) The strategic level of management at which decisions like transforming hotel units into COVID-care units and quarantine facilities are made is at the "Corporate Level." This level of management is responsible for making decisions that affect the overall direction and scope of the entire organization.

(ii) The given scenario highlights a limitation of strategic management known as highly complex and turbulent environment. Due to this, there exist environmental uncertainty and unpredictability of the external factors that affect an organization. In this case, the COVID-19 pandemic created a highly uncertain and unpredictable business environment for Swagatam Hotels. The pandemic significantly impacted the hotel sector, causing a rapid decline in revenue and necessitating a strategic shift to adapt to the changing circumstances.

(iii) A proactive approach involves anticipating and addressing issues before they become critical, while a reactive approach responds to problems after they have occurred. In the scenario, the decision to transform hotel units into COVID-care units and quarantine facilities was reactive, driven by the unexpected impact of the pandemic.

A proactive approach offers several benefits.

First, it allows for better risk management by identifying potential challenges in advance, enabling organizations to develop contingency plans.

Second, proactive strategies often result in cost savings as preventive measures can be more efficient than addressing crises retroactively.

Third, organizations can maintain a competitive edge by staying ahead of industry trends and changes.

Overall, a proactive approach enhances organizational strength and responsiveness in navigating uncertainties.

ICAI · Old P7 · Nov 2023 exam · question p. 10 · answer p. 10-11

9 **EXAM** **Old P7 Nov 2022** Q7(a) 5 marks old scheme

Also asked in Old P7 RTP Nov 2023 Q8

"The strategic management cannot counter all hindrances and always achieve success for an organization." Do you agree with this statement? Give arguments in support of your answer.

ICAI'S ANSWER

Yes, it is true that the presence of strategic management cannot counter all hindrances and always achieve success for an organization. This is on account of complex multiple forces acting on business organization and limiting its success.

These limitations are on account of following factors:

- Environment is highly complex and turbulent. It is difficult to understand the complex environment and exactly pinpoint how it will shape-up in future. The organisational estimate about its future shape may awfully go wrong and jeopardise all strategic plans.

- Strategic management is a time-consuming process. Organisations spend a lot of time in preparing, communicating the strategies that may impede daily operations and negatively impact the routine business.
- Strategic management is a costly process. Strategic management adds a lot of expenses to an organization – particularly to small and medium organisations. Expert strategic planners need to be engaged, efforts are made for analysis of external and internal environments devise strategies and properly implement.
- Competition is unpredictable. In a competitive scenario, where all organisations are trying to move strategically, it is difficult to clearly estimate the competitive responses to the strategies.

ICAI · Old P7 · Nov 2022 exam · question p. 13-14 · answer p. 14

10 EXAM **Old P7 Dec 2021** Q10(a) 5 marks old scheme

Also asked in Old P7 RTP Nov 2022 Q7

Same question, different ICAI answer: #51 MTP Sep 2025 S-I

"Each organization must build its competitive advantage keeping in mind the business warfare. This can be done by following the process of strategic management." Considering this statement, explain major benefits of strategic management.

ICAI'S ANSWER

Each organization has to build its competitive advantage over the competitors in the business warfare in order to win. This can be done only by following the process of strategic management. Strategic Management is very important for the survival and growth of business organizations in dynamic business environment. Other major benefits of strategic management are as follows:

- Strategic management helps organizations to be more proactive rather than reactive in dealing with its future. It facilitates to work within vagaries of environment and remains adaptable with the turbulence or uncertain future. Therefore, they are able to control their own destiny in a better way.
- It provides better guidance to entire organization on the crucial point – what it is trying to do. Also provides frameworks for all major business decisions of an enterprise such as on businesses, products, markets, organizational structures, etc.
- It facilitates to prepare the organization to face the future and act as pathfinder to various business opportunities. Organizations are able to identify the available opportunities and identify ways and means as how to reach them.
- It serves as a corporate defence mechanism against mistakes and pitfalls. It helps organizations to avoid costly mistakes in product market choices or investments.
- Over a period of time strategic management helps organization to evolve certain core competencies and competitive advantages that assist in the fight for survival and growth.

ICAI · Old P7 · Dec 2021 exam · question p. 16 · answer p. 16-17

11 EXAM **Old P7 Jul 2021** Q6 5 marks old scheme

'ALBELA' Foods and 'JustBE' Foods are successfully competing chain of restaurants in India. ALBELA's are known for their innovative approach, which has resulted in good revenues. On the other hand, JustBE is slow in responding to environmental change. The initial stages of Covid-19 pandemic and the ensuring strict lockdown had an adverse impact on both the companies. Realizing its severity and future

consequences. ALBELA, foods immediately chalked out its post lockdown strategies, which include initiatives like:

(a) Contactless dinning

(b) New category of foods in the menu for boosting immunity

(c) Improving safety measures and hygiene standards

(d) Introducing online food delivery app

Seeing the positive buzz around these measures taken by ALBELA Food, JustBE Foods also thinks to introduce these measures.

(i) Identify the strategic approach taken by 'ALBELA' Foods and 'JustBE' Foods.

(ii) Discuss these strategic approach.

(iii) Which strategic approach is better and why?

ICAI'S ANSWER

(i) 'ALBELA' foods is proactive in its approach. On the other hand, 'JustBE' foods is reactive in its approach.

(ii)

- Proactive strategy is planned strategy. While continuing with the previously initiated business approaches that are working well, the newly launched managerial initiatives aim to strengthen the company's overall position and performance. These are outcomes of management's analysis and strategic thinking about the company's situation and its conclusions about the positioning of the company in the marketplace. If done well, it helps the company to effectively compete for buyer patronage.
- Reactive strategy is an adaptive reaction to changing circumstances. It is not always possible for a company to fully anticipate or plan for changes in the market. There is also a need to adapt strategy as new learnings emerge about which pieces of strategy are working well and which aren't. By itself also, the management may hit upon new ideas for improving the current strategy.

(iii) In reference to the given case, proactive strategy seems to be better because ALBELA foods had been able to utilise available opportunities, reduce adverse impact, enhance the demand for product and is also able to avail the first mover advantage.

ICAI · Old P7 · Jul 2021 exam · question p. 57 · answer p. 57-58

12 EXAM **Old P7 May 2019** Q7(a) 5 marks old scheme

'Strategic Management is not a panacea for all the corporate ills, it has its own pitfalls which can't counter all hindrances and always achieve success'.

Do you agree with this statement? Discuss.

ICAI'S ANSWER

It is true that the strategic management is not a panacea for all corporate ills. This is on account of complex multiple forces acting on business organization and limiting its success.

These limitations are on account of following factors:

- Environment is highly complex and turbulent. It is difficult to understand the complex environment and exactly pinpoint how it will shape-up in future. The organisational estimate

about its future shape may awfully go wrong and jeopardise all strategic plans.

- Strategic management is a time-consuming process. Organisations spend a lot of time in preparing, communicating the strategies that may impede daily operations and negatively impact the routine business.
- Strategic management is a costly process. Strategic management adds a lot of expenses to an organization – particularly to small and medium organisations. Expert strategic planners need to be engaged, efforts are made for analysis of external and internal environments devise strategies and properly implement.
- Competition is unpredictable. In a competitive scenario, where all organisations are trying to move strategically, it is difficult to clearly estimate the competitive responses to the strategies.

ICAI · Old P7 · May 2019 exam · question p. 11 · answer p. 11

13 EXAM **Old P7 Nov 2018** Q11(b) 5 marks old scheme

Same question, different ICAI answer: #67 Old P7 MTP Jul 2021 S-I

"Strategy is partly proactive and partly reactive." Elaborate.

ICAI'S ANSWER

Yes, strategy is partly proactive and partly reactive. In proactive strategy, organisations will analyse possible environmental scenarios and create strategic framework after proper planning and set procedures and work on these strategies in a pre-determined manner. However, in reality no company can forecast both internal and external environment exactly. Everything cannot be planned in advance. It is not possible to anticipate moves of rival firms, consumer behaviour, evolving technologies and so on.

There can be significant deviations between what was visualised and what actually happens. There can be significant or major strategic changes when the environment demands. Reactive strategy is triggered by the changes in the environment and provides ways and means to cope with the negative factors or take advantage of emerging opportunities.

ICAI · Old P7 · Nov 2018 exam · question p. 15-16 · answer p. 16

14 EXAM **Old P7 May 2018** Q10(a) 5 marks old scheme

Same question, different ICAI answer: #23 RTP May 2024 · #29 Old P7 RTP Dec 2021 · #48 MTP Jan 2026 S-I

Define Strategic Management. Also discuss the limitations of Strategic Management.

ICAI'S ANSWER

The term 'strategic management' refers to the managerial process of developing a strategic vision, setting objectives, crafting a strategy, implementing and evaluating the strategy, and initiating corrective adjustments where deemed appropriate.

The presence of strategic management cannot counter all hindrances and always achieve success as there are limitations attached to strategic management. These can be explained in the following lines:

- Environment is highly complex and turbulent. It is difficult to understand the complex environment and exactly pinpoint how it will shape-up in future. The organisational estimate about its future shape may awfully go wrong and jeopardise all strategic plans. The environment affects as the organisation has to deal with suppliers, customers, governments and other external factors.

- Strategic Management is a time-consuming process. Organisations spend a lot of time in preparing, communicating the strategies that may impede daily operations and negatively impact the routine business.
- Strategic Management is a costly process. Strategic management adds a lot of expenses to an organization. Expert strategic planners need to be engaged, efforts are made for analysis of external and internal environments devise strategies and properly implement. These can be really costly for organisations with limited resources particularly when small and medium organisation create strategies to compete.
- Competition is unpredictable. In a competitive scenario, where all organisations are trying to move strategically, it is difficult to clearly estimate the competitive responses to the strategies.

ICAI · Old P7 · May 2018 exam · question p. 13 · answer p. 13-14

15 RTP **Sep 2026** Q7

Novatek Electronics Ltd. is a leading manufacturer of smart home appliances and planned to expand into Tier-2 cities, invest in AI-enabled products, strengthen its dealer network and increase exports. During implementation, a foreign competitor launched low-priced products, raw material prices increased and stricter energy efficiency regulations were introduced. Consequently, the company revised its plans by launching budget friendly products, changing suppliers and accelerating energy efficient product development. Explain how this case demonstrates that strategy is partly proactive and partly reactive.

ICAI'S ANSWER

The case demonstrates that strategy is partly proactive and partly reactive because it combines deliberate plans with responses to unforeseen developments.

- Proactive Strategy: Novatek's decision to expand into Tier-2 cities, invest in AI-enabled products, strengthen its dealer network and increase exports represents its proactive strategy. These are planned initiatives designed to achieve long-term objectives and build competitive advantage.
- Reactive Strategy: The company also faced unexpected environmental changes, such as the entry of a foreign competitor with low-priced products, rising raw material prices and stricter energy efficiency regulations. In response, Novatek introduced budget friendly product variants, changed its sourcing strategy and accelerated the development of energy efficient products. These actions represent its reactive strategy, undertaken to address emerging challenges.

So, the case highlights that an organisation's realised strategy is a blend of proactive (deliberate) actions and reactive (adaptive) responses. While proactive strategies help achieve planned objectives, reactive strategies enable the organisation to adapt to changes in the business environment and sustain its competitive position.

ICAI · P6 · RTP Sep 2026 · question p. 32 · answer p. 35-36

16 RTP **May 2026** Q8

Mr. Vikram Patel owns a chain of ten bookstores across the Mumbai region. Three of these stores were launched in the past two years. He has always believed in strategic management and enjoyed robust sales of books, magazines, and educational materials until about five years ago. However, with the increasing preference for online shopping, the sales at his physical stores have declined by approximately sixty percent over the last five years. Analyze Vikram Patel's current position in light of the limitations of strategic management.

ICAI'S ANSWER

Vikram Patel is facing declining sales due to a significant shift in customers toward online platforms. Although he employs strategic management tools, they cannot always overcome every obstacle or guarantee success. The limitations of strategic management in Vikram's situation include:

- The environment in which strategies are developed is highly complex and unpredictable. The entry of online bookstores, a new type of competitor, introduced a different dynamic to the book retail industry. These online platforms, with their extensive reach and pricing power, have dominated the market, posing a formidable challenge to traditional bookstores.
- Another limitation of strategic management is the difficulty in forecasting future developments. Despite his strategic management efforts, Vikram Patel did not anticipate the extent to which online bookstores would impact his sales.
- While strategic management is a time-consuming process, it is crucial for Vikram to continue managing strategically. These challenging times demand increased effort and adaptability on his part.
- Strategic management can be costly. Vikram Patel might consider hiring experts to understand customer preferences better and adjust his strategies to offer more personalized services. These customized offerings could be difficult for online stores to replicate, giving him a competitive edge.
- The bookstores owned by Vikram Patel are much smaller in scale compared to online stores. This makes it challenging for him to predict how online platforms will manoeuvre strategically.

ICAI · P6 · RTP May 2026 · question p. 34 · answer p. 37

17 RTP **Jan 2026** Q2 MCQ

A mid-sized electronics firm notices a rapid increase in demand for smart home devices. It has decided to redesign its product line to cater specifically to this trend while competitors are still hesitant. Which strategic approach is the firm using?

A Reactive strategy

B Proactive strategy

C Retrenchment strategy

D Stability strategy

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP Jan 2026 · question p. 28

18 RTP **Jan 2026** Q7

AquaPure Beverages is a reputed bottled water and healthy drinks company facing fierce competition from new entrants offering organic, flavoured and eco-friendly alternatives. This has made it challenging to retain customers as established soft drink brands are also launching their own health-focused beverage lines. The company has appointed Ms. Somya to lead the company forward as the Sales & Marketing Manager. Ms. Somya needs to design creative and innovative advertising campaigns to gain a competitive edge, engage the public and capture the market. Identify the strategic level that represents Somya's role at AquaPure Beverages. As a strategic advisor, highlight the various benefits of strategic management in overcoming different challenges to Ms. Somya.

ICAI'S ANSWER

Somya's role at AquaPure Beverages represents the Functional level of strategy. As the sales and marketing manager, her responsibilities are focused on specific areas within the company, particularly on crafting and executing marketing and sales strategies that drive customer engagement and competitive positioning. Benefits of Strategic Management for Ms. Somya at AquaPure Beverages Strategic management can provide several benefits to Somya in addressing the competitive and consumer challenges faced by AquaPure Beverages:

- Strategic management helps AquaPure Beverages define its goals and mission, providing clear direction for future initiatives. This ensures that all marketing efforts are aligned with the company's overall vision. It allows Somya to set realistic and achievable objectives that support the company's long-term goals ensuring that marketing strategies are both ambitious and attainable.
- Through strategic management, Somya can proactively shape the future of AquaPure Beverages rather than merely reacting to market changes. This allows the company to anticipate trends and act accordingly. A proactive approach enables AquaPure Beverages to better manage environmental uncertainties and stay ahead of competitors, ensuring a more controlled and predictable business environment.
- Strategic management provides a robust framework for making critical decisions regarding marketing strategies, target markets and resource allocation. This ensures that all major decisions are well-informed and strategically sound. It ensures coherence and consistency in decision-making across the organization, aligning marketing strategies with overall business objectives.
- Strategic management helps identify and exploit new business opportunities, allowing Somya to craft campaigns that resonate with emerging consumer preferences and market trends. By recognizing and capitalizing on these opportunities, AquaPure Beverages can differentiate itself from competitors and capture a larger market share.
- Strategic management acts as a defence mechanism against potential mistakes and pitfalls, helping Somya avoid costly errors in marketing decisions and campaign execution. It provides a structured approach to identifying and mitigating risks, ensuring more informed and safer decision-making.
- Strategic management enhances the longevity and sustainability of AquaPure Beverages by ensuring that marketing strategies are adaptable and resilient in a dynamic market. It helps the company establish a clear and deliberate position within the industry, ensuring sustained relevance and competitiveness.
- Strategic management enables the development of core competencies and competitive advantages that are crucial for the company's success. This includes building strong brand identity, innovative product offerings, and superior customer service. By focusing on these strengths, Somya can ensure that AquaPure Beverages achieves sustainable growth and maintains its competitive edge in the beverage industry. Through strategic management, Somya can effectively navigate the competitive challenges faced by AquaPure Beverages. By providing clear direction, encouraging a proactive approach, guiding critical decisions, identifying new opportunities, defending against pitfalls, ensuring longevity and developing core competencies, strategic management enables the company to achieve and sustain a competitive edge. This comprehensive approach will allow Somya to design innovative advertising campaigns that engage the public, capture the market, and drive the company forward.

ICAI · P6 · RTP Jan 2026 · question p. 30 · answer p. 33-34

19 RTP **Sep 2025** Q7

Vireon Foods started as a small dairy business but is still thriving after 25 years even as many competitors shut down or merged. Its leadership holds regular planning retreats, studies changing consumer habits and adapts its operations every few years. They recently invested in plant-based products before market demand spiked. What advantage is their strategic intelligence offering them? What are the other benefits of strategic management?

ICAI'S ANSWER

Vireon Foods' continued success over 25 years despite the exit or merger of several competitors reflects the importance and advantages of strategic management particularly its contribution to the longevity of a business. The strategic intelligence demonstrated by Vireon—through regular planning retreats, environmental scanning, understanding consumer behavior and timely investment in plant-based products—has provided it with a competitive advantage and the ability to successfully navigate environmental changes. This aligns with the dual objectives of strategic management:

- Creating competitive advantage by delivering something unique and valued by customers.
- Guiding the company through all changes in the environment by reacting appropriately. Other benefits of strategic management evident from Vireon's case include:
- It enables the organization to be proactive rather than reactive helping it controls its future instead of merely responding to change.
- It provides a clear strategic direction allowing the organization to align its goals and actions with its vision.
- It serves as a framework for sound decision-making related to markets, products, investments and structure.
- It helps organizations identify and leverage opportunities while avoiding costly pitfalls.
- It contributes to building core competencies and sustaining long-term growth and survival as seen in Vireon's ability to adapt and remain relevant. Thus, strategic management not only ensures superior performance but also enhances the sustainability and adaptability of a business in a dynamic environment.

ICAI · P6 · RTP Sep 2025 · question p. 32 · answer p. 35

20 RTP **May 2025** Q7

Ramesh Sharma has fifteen stores selling consumer durables in the Delhi Region. Four of these stores have been opened in the last three years. He believes in managing strategically and enjoyed significant sales of refrigerators, televisions, washing machines, air conditioners and like till four years back. With shift to the purchases to online stores, the sales of his stores came down to about seventy per cent in the last four years.

Analyse the position of Ramesh Sharma in light of limitations of strategic management.

ICAI'S ANSWER

Ramesh Sharma is facing declining sales on account of the large-scale shift of customers to online stores. While he is using the tools of strategic management, they cannot counter all hindrances and always achieve success. There are limitations attached to strategic management as follows:

- The environment under which strategies are made is highly complex and turbulent. Entry of online stores, a new kind of competitor brought a different dimension to selling consumer

durables. Online stores with their size power could control the market and offer stiff competition to traditional stores.

- Another limitation of strategic management is that it is difficult to predict how things will shape-up in future. Ramesh Sharma, although managing strategically failed to see how online stores will impact the sales.
- Although strategic management is a time-consuming process, he should continue to manage strategically. The challenging times require more effort on his part.
- Strategic management is costly. Ramesh Sharma may consider engaging experts to find out preferences of the customers and attune his strategies to better serve them in a customized manner. Such customized offerings may be difficult to match by the online stores.
- The stores owned by Ramesh Sharma are much smaller than online stores. It is very difficult for him to visualize how online stores will be moving strategically.

ICAI · P6 · RTP May 2025 · question p. 37-38 · answer p. 40

21 RTP **Sep 2024** Q2 MCQ

Jaago Lights, a successful brand from Jalandhar, aimed to enter the Middle East market by teaming up with major industry players. They needed to reorganize internal operations and refine product designs, facing pressure to expand quickly and turbulence in existing operations. What is the primary limitation of strategic management highlighted in the business case?

A Lack of senior management support

B Time-consuming and complex nature

C Inability to adapt to market changes

D Excessive focus on short-term goals

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP Sep 2024 · question p. 34

22 RTP **Sep 2024** Q8

Strategic management helps an organization to work through changes in the environment to gain competitive advantage. In light of statement discuss its benefits.

ICAI'S ANSWER

Strategic management involves developing the company's vision, environmental scanning, strategy formulation, implementation, evaluation and control. It emphasizes the monitoring and evaluation of external opportunities and threats in the light of a company's strengths and weaknesses and designing strategies for survival and growth. It helps in the creation of a competitive advantage to outperform the competitors and also guides the company successfully through all changes in the environment.

The major benefits of strategic management are:

- Strategic management gives directions to the company to move ahead. It defines the goals and mission.
- It helps organisations to be proactive instead of reactive in shaping their future.

- It provides frameworks for all major decisions of an enterprise such as decisions on businesses, products, markets, manufacturing facilities, investments and organisational structure. It provides better guidance to the entire organisation on the crucial point - what it is trying to do.
- It helps organisations to identify the available opportunities and identify ways and means to achieve them.
- It serves as a corporate defence mechanism against mistakes and pitfalls.
- It helps to enhance the longevity of the business.
- It helps the organisation to develop certain core competencies and competitive advantages that would facilitate survival and growth.

ICAI · P6 · RTP Sep 2024 · question p. 36 · answer p. 39-40

23 RTP **May 2024** Q8

Also asked in Old P7 MTP Nov 2023 S-II Q3(a)

Same question, different ICAI answer: #14 Old P7 Exam May 2018 · #29 Old P7 RTP Dec 2021 · #48 MTP Jan 2026 S-I

Define Strategic Management. Also discuss the limitations of Strategic Management.

ICAI'S ANSWER

The term 'strategic management' refers to the managerial process of developing a strategic vision, setting objectives, crafting a strategy, implementing and evaluating the strategy, and initiating corrective adjustments were deemed appropriate.

The presence of strategic management cannot counter all hindrances and always achieve success as there are limitations attached to strategic management. These can be explained in the following lines:

- Environment is highly complex and turbulent. It is difficult to understand the complex environment and exactly pinpoint how it will shape-up in future. The organisational estimate about its future shape may awfully go wrong and jeopardise all strategic plans. The environment affects as the organisationhas to deal with suppliers, customers, governments and other external factors.
- Strategic Management is a time-consuming process. Organisations spend a lot of time in preparing, communicating the strategies that may impede daily operations and negatively impact the routine business.
- Strategic Management is a costly process. Strategic management adds a lot of expenses to an organization. Expert strategic planners need to be engaged, efforts are made for analysis of external and internal environments, devise strategies and properly implement. These can be really costly for organisations with limited resources particularly when small and medium organisation create strategies to compete.
- Competition is unpredictable. In a competitive scenario, where all organisations are trying to move strategically, it is difficult to clearly estimate the competitive responses to the strategies.

ICAI · P6 · RTP May 2024 · question p. 35 · answer p. 37-38

24 RTP **Old P7 Nov 2023** Q4 MCQ old scheme

Which one of the following cannot be considered as a part of proa ctive approach in strategy?

A Planned strategy

B Deliberate management design

C Forecast about future market condition

D Adaptive reactions to changing circumstances

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP Nov 2023 · question p. 14

25 RTP **Old P7 Nov 2023** Q9 old scheme

Falguni, CFO of Warships Advertisement Agency, stated that strategic management helps the organisation to develop certain core competencies and competitive advantages that facilitate management in the turbulent environment. Do you agree, if yes, then what and how does it facilitate in?

ICAI'S ANSWER

Yes, strategic management plays a crucial role in an organization's survival and growth, particularly in a turbulent environment. It provides the framework for developing and leveraging core competencies and competitive advantages that enable the organization to not only withstand challenges but also seize opportunities for expansion and success.

- Survival: In a turbulent environment characterized by rapid changes, uncertainties, and challenges, strategic management helps an organization adapt and respond effectively. By developing core competencies and competitive advantages, an organization becomes better equipped to navigate unexpected disruptions and stay relevant in the market.
- Growth: Strategic management goes beyond survival. It enables an organization to identify opportunities, innovate, and create value for its customers. By leveraging core competencies and competitive advantages, the organization can capture market share, expand its offerings, and achieve sustained growth.

ICAI · Old P7 · RTP Nov 2023 · question p. 15 · answer p. 18

26 RTP **Old P7 May 2023** Q7 old scheme

Also asked in Old P7 MTP May 2022 S-II Q3(a)

"A business organization cannot always plan all their strategies in advance and often need to blend planned strategies with reactive strategies." Do you agree with the statement? Give reasons.

ICAI'S ANSWER

Yes, a business organization cannot always plan all their strategies in advance and often need to blend planned strategies with reactive strategies.

In planned strategy, organisations will analyse possible environmental scenarios and create strategic framework after proper planning and set procedures and work on these strategies in a pre-determined manner. However, in reality no company can forecast both internal and external environment exactly. Everything cannot be planned in advance. It is not possible to anticipate moves of rival firms, consumer behaviour, evolving technologies and so on.

There can be significant deviations between what was visualised and what actually happens. There can be significant or major strategic changes when the environment demands. Reactive strategy is triggered by the changes in the environment and provides ways and means to cope with the negative factors or take advantage of emerging opportunities.

ICAI · Old P7 · RTP May 2023 · question p. 17 · answer p. 20

27 RTP **Old P7 May 2023** Q8 old scheme

Same question, different ICAI answer: #40 Old P7 RTP Nov 2018 · #71 Old P7 MTP Nov 2020 S-I

What benefits accrue by following a strategic approach to managing?

ICAI'S ANSWER

The following are the benefits of strategic approach to managing:

- Strategic management helps organisations to be more proactive instead of reactive in shaping its future. Organisations are able to analyse and take actions instead of being mere spectators. Thereby they are able to control their own destiny in a better manner. It helps them in working within vagaries of environment and shaping it, instead of getting carried away by its turbulence or uncertainties.
- Strategic management provides framework for all the major decisions of an enterprise such as decisions on businesses, products, markets, manufacturing facilities, investments and organisational structure. It provides better guidance to entire organisation on the crucial point - what it is trying to do.
- Strategic management is concerned with ensuring a good future for the firm. It seeks to prepare the corporation to face the future and act as pathfinder to various business opportunities. Organisations are able to identify the available opportunities and identify ways and means as how to reach them.
- Strategic management serves as a corporate defence mechanism against mistakes and pitfalls. It help organisations to avoid costly mistakes in product market choices or investments. Over a period of time strategic management helps organisation to evolve certain core competencies and competitive advantages that assist in its fight for survival and growth.

ICAI · Old P7 · RTP May 2023 · question p. 17 · answer p. 20-21

28 RTP **Old P7 Dec 2021** Q6 MCQ old scheme

An organisation during its strategy planning envisaged entire scenarios and created a strategy framework. But in mean time after implementation, it realised that its framework is not effective in certain unique scenarios. What is the reason for the same?

A Strategy is "partly proactive and Partly reactive"

B Lack of analysis and proper planning.

C Strategy is highly reactive and highly proactive.

D Improper creation of strategic framework

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP Dec 2021 · question p. 17

29 RTP **Old P7 Dec 2021** Q8 old scheme

Also asked in Old P7 RTP Jul 2021 Q8 · Old P7 MTP Nov 2022 S-I Q5(a)

Same question, different ICAI answer: #14 Old P7 Exam May 2018 · #23 RTP May 2024 · #48 MTP Jan 2026 S-I

Define strategic management. Also discuss the limitations of strategic management.

ICAI'S ANSWER

The term 'strategic management' refers to the managerial process of developing a strategic vision, setting objectives, crafting a strategy, implementing and evaluating the strategy, and initiating corrective adjustments where deemed appropriate.

The presence of strategic management cannot counter all hindrances and always achieve success as there are limitations attached to strategic management. These can be explained in the following lines:

- Environment is highly complex and turbulent. It is difficult to understand the complex environment and exactly pinpoint how it will shape-up in future. The organisational estimate about its future shape may awfully go wrong and jeopardise all strategic plans. The environment affects as the organisationhas to deal with suppliers, customers, governments and other external factors.
- Strategic management is a time-consuming process. Organisations spend a lot of time in preparing, communicating the strategies that may impede daily operations and negatively impact the routine business.
- Strategic management is a costly process. Strategic management adds a lot of expenses to an organization. Expert strategic planners need to be engaged, efforts are made for analysis of external and internal environments devise strategies and properly implement. These can be really costly for organisations with limited resources particularly when small and medium organisation create strategies to compete.
- Competition is unpredictable. In a competitive scenario, where all organisations are trying to move strategically, it is difficult to clearly estimate the competitive responses to the strategies.

ICAI · Old P7 · RTP Dec 2021 · question p. 17 · answer p. 19

30 RTP **Old P7 Nov 2020** Q7 old scheme

Also asked in Old P7 RTP Nov 2019 Q2

Ramesh Sharma has fifteen stores selling consumer durables in Delhi Region. Four of these stores were opened in last three years. He believes in managing strategically and enjoyed significant sales of refrigerator, televisions, washing machines, air conditioners and like till four years back. With shift to the purchases to online strores, the sales of his stores came down to about seventy per cent in last four years.

Analyse the position of Ramesh Sharma in light of limitations of strategic management.

ICAI'S ANSWER

Ramesh Sharma is facing declining sales on account of large scale shift of customers to online stores. While he is using the tools of strategic management, they cannot counter all hindrances and always achieve success. There are limitations attached to strategic management as follows:

- Environment under which strategies are made is highly complex and turbulent. Entry of online stores, a new kind of competitor brought a different dimension to selling consumer durables. Online stores with their size power could control the market and offer stiff competition to traditional stores.
- Another limitation of strategic management is that it is difficult to predict how things will shape-up in future. Ramesh Sharma, although managing strategically failed to see how online stores will impact the sales.

- Although, strategic management is a time-consuming process, he should continue to manage strategically. The challenging times require more efforts on his part.
- Strategic management is costly. Ramesh Sharma may consider engaging experts to find out preferences of the customers and attune his strategies to better serve them in a customized manner. Such customized offerings may be difficult to match by the online stores.
- The stores owned by Ramesh Sharma are much smaller than online stores. It is very difficult for him to visualize how online stores will be moving strategically.

ICAI · Old P7 · RTP Nov 2020 · question p. 17 · answer p. 19-20

31 RTP **Old P7 Nov 2020** Q8 old scheme

Same question, different ICAI answer: #73 Old P7 MTP Nov 2019 S-I

"Strategy is partly proactive and partly reactive." Discuss.

ICAI'S ANSWER

Strategy is partly proactive and partly reactive. In proactive strategy, organizations will analyze possible environmental scenarios and create strategic framework after proper planning and set procedures and work on these strategies in a predetermined manner. However, in reality no company can forecast both internal and external environment exactly. Everything cannot be planned in advance. It is not possible to anticipate moves of rival firms, consumer behaviour, evolving technologies and so on.

There can be significant deviations between what was visualized and what actually happens. Strategies need to be attuned or modified in the light of possible environmental changes. There can be significant or major strategic changes when the environment demands. Reactive strategy is triggered by the changes in the environment and provides ways and means to cope with the negative factors or take advantage of emerging opportunities.

ICAI · Old P7 · RTP Nov 2020 · question p. 17 · answer p. 20

32 RTP **Old P7 May 2020** Q1(i) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Strategy is-

A Proactive in action

B Reactive in action

C A blend of proactive and reactive actions

D None of the above

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP May 2020 · question p. 11

33 RTP **Old P7 Nov 2019** Q1(a) MCQ old scheme

In the questions given below select the best answer out of options (A), (B), (C), or (D):

Which of the following statements correctly explain strategic management?

(i) Strategic management provides framework for major decisions.

(ii) Strategic management helps to enhance the longevity of the business.

(iii) Strategic management is an inexpensive process.

(iv) Strategic management helps organisation to be more reactive than proactive.

A (i) and (ii)

B (i), (ii) and (iii)

C (i), (ii) and (iv)

D (i), (iii) and (iv)

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP Nov 2019 · question p. 12

34 RTP **Old P7 Nov 2019** Q3 old scheme

Same question, different ICAI answer: #65 Old P7 MTP Dec 2021 S-II

Strategic management helps an organization to work through changes in environment to gain competitive advantage. In light of statement discuss its benefits.

ICAI'S ANSWER

Strategic management involves developing the company's vision, environmental scanning, strategy formulation, implementation, evaluation and control. It emphasises the monitoring and evaluation of external opportunities and threats in the light of a company's strengths and weaknesses and designing strategies for the survival and growth. It helps in creation of competitive advantage to outperform the competitors and also guide the company successfully through all changes in the environment.

The major benefits of strategic management are:

- Strategic management gives a direction to the company to move ahead. It defines the goals and mission.
- It helps organisations to be proactive instead of reactive in shaping its future.
- It provides framework for all major decisions of an enterprise such as decisions on businesses, products, markets, manufacturing facilities, investments and organisational structure. It provides better guidance to entire organisation on the crucial point - what it is trying to do.
- It helps organisations to identify the available opportunities and identify ways and means to achieve them.
- It serves as a corporate defence mechanism against mistakes and pitfalls.
- It helps to enhance the longevity of the business.
- It helps the organisation to develop certain core competencies and competitive advantages that would facilitate survival and growth.

ICAI · Old P7 · RTP Nov 2019 · question p. 14 · answer p. 16-17

35 RTP **Old P7 May 2019** Q1(i) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Which of the following statement is not true with regards to strategy?

A Strategy reduces uncertainty.

B Strategy is long range blueprint of desired position.

C Strategy relates organisations to the external environment.

D Strategy is perfect and flawless.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2019 · question p. 9-10

36 RTP **Old P7 May 2019** Q1(ii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

The strategic management process is:

A a solution that guarantees prevention of organizational failure.

B concerned with a resources, capabilities, and competencies, but not the conditions in its external environment.

C not to be used in the not-for-profit organisations.

D full set of commitments, decisions, and actions related to the firm.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2019 · question p. 9

37 RTP **Old P7 May 2019** Q3 old scheme

Same question, different ICAI answer: #61 Old P7 MTP Nov 2022 S-II

Are there any limitations attached to strategic management in organizations? Discuss.

ICAI'S ANSWER

The presence of strategic management cannot counter all hindrances and always achieve success. There are limitations attached to strategic management. These can be explained in the following lines:

- Environment is highly complex and turbulent. It is difficult to understand the c omplex environment and exactly pinpoint how it will shape-up in future. The organisational estimate about its future shape may awfully go wrong and jeopardise all strategic plans.
- Strategic management is a time-consuming process. Organisations spend a lot of time in preparing, communicating the strategies that may impede daily operations and negatively impact the routine business.
- Strategic management is a costly process. Strategic management adds a lot of expenses to an organization. Expert strategic planners need to be engaged, efforts are made for analysis of external and internal environments devise strategies and

properly implement. These can be really costly for organisations with limited resources.

- In a competitive scenario, where all organisations are trying to move strategically, it is difficult to clearly estimate the competitive responses to a firm's strategies.

ICAI · Old P7 · RTP May 2019 · question p. 12 · answer p. 14-15

38 RTP **Old P7 Nov 2018** Q3(a) old scheme

Same question, different ICAI answer: #77 Old P7 MTP Nov 2018 S-II

Write short notes on the following: Importance of strategic management.

ICAI'S ANSWER

Strategic Management is very important for the survival and growth of busines s organizations in dynamic business environment. Other major benefits of strategic management are as follows:

- It helps organizations to be more proactive rather than reactive in dealing with its future. It facilitates the organisations to work within vagaries of environment and remains adaptable with the turbulence or uncertain future. Therefore, they are able to control their own destiny in a better way.
- It provides better guidance to entire organization on the crucial point – what it is trying to do. Also provides framework for all major business decisions of an enterprise such a decision on businesses, products, markets, organization structures, etc.
- It facilitates to prepare the organization to face the future and act as pathfinder to various business opportunities. Organizations are able to identify the available opportunities and identify ways and means as how to reach them.
- It serves as a corporate defence mechanism against mistakes and pitfalls. It helps organizations to avoid costly mistakes in product market choices or investments.
- Over a period of time, strategic management helps organizations to evolve certain core competencies and competitive advantages that assist in the fight for survival and growth.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 17

39 RTP **Old P7 Nov 2018** Q5 old scheme

Yummy Foods and Tasty Foods are successfully competing in the business of ready to eat snacks in Patna. Yummy has been pioneer in introducing innovative products. These products will give them good sale. However, Tasty Foods will introduce similar products in reaction to the products introduced by the Yummy Foods taking away the advantage gained by the former.

Discuss the strategic approach of the two companies. Which is superior?

ICAI'S ANSWER

Yummy foods is proactive in its approach. On the other hand Tasty Food is reactive. Proactive strategy is planned strategy whereas reactive strategy is adaptive reaction to changing circumstances. A company's strategy is typically a blend of proactive actions on the part of managers to improve the company's market position and financial performance and reactions to unanticipated developments and fresh market conditions.

If organisational resources permit, it is better to be proactive rather than reactive. Being proactive in aspects such as introducing new products will give you advantage in the mind of customers.

At the same time, crafting a strategy involves stitching together a proactive/intended strategy and then adapting first one piece and then another as circumstances surrounding the company's situation change or better options emerge-a reactive/adaptive strategy. This aspect can be accomplished by Yummy Foods.

ICAI · Old P7 · RTP Nov 2018 · question p. 13 · answer p. 19-20

40 RTP **Old P7 Nov 2018** Q6 old scheme

Same question, different ICAI answer: #27 Old P7 RTP May 2023 · #71 Old P7 MTP Nov 2020 S-I

What benefits accrue by following a strategic approach to managing?

ICAI'S ANSWER

The following are the benefits of strategic approach to managing:

- Strategic management helps organisations to be more proactive i nstead of reactive in shaping its future. Organisations are able to analyse and take actions instead of being mere spectators. Thereby they are able to control their own destiny in a better manner. It helps them in working within vagaries of environment and shaping it, instead of getting carried away by its turbulence or uncertainties.
- Strategic management provides framework for all the major decisions of an enterprise such as decisions on businesses, products, markets, manufacturing facilities, investments and organisational structure. It provides better guidance to entire organisation on the crucial point - what it is trying to do.
- Strategic management is concerned with ensuring a good future for the firm. It seeks to prepare the corporation to face the future and act as pathfinder to various business opportunities. Organisations are able to identify the available opportunities and identify ways and means as how to reach them.
- Strategic management serves as a corporate defence mechanism against mistakes and pitfalls. It help organisations to avoid costly mistakes in product market choices or investments. Over a period of time strategic management helps organisation to evolve certain core competencies and competitive advantages that assist in its fight for survival and growth.

ICAI · Old P7 · RTP Nov 2018 · question p. 13 · answer p. 20

41 RTP **Old P7 May 2018** Q1(a) old scheme

Briefly answer the following questions: Define strategic management.

ICAI'S ANSWER

The term 'strategic management' refers to the managerial process of developing a strategic vision, setting objectives, crafting a strategy, implementing and evaluating the strategy, and initiating corrective adjustments where deemed appropriate.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 16

42 RTP **Old P7 May 2018** Q2(a) old scheme

State with reasons which of the following statements are correct/incorrect: Strategic management involves huge cost.

ICAI'S ANSWER

Correct: Strategic management is a costly process. Strategic management adds a lot of expenses to an organization. Expert strategic planners need to be engaged. Efforts are made for analysis of external and internal environments, devise strategies and properly implement them. These can be really costly for organisations with limited resources particularly when small and medium organisation create strategies to compete.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 21

43 RTP **Old P7 May 2018** Q3(a) old scheme

Write short notes on the following: Strategy is partly proactive and partly reactive

ICAI'S ANSWER

It is true that strategies are partly proactive and partly reactive. In proactive strategy, organizations will analyze possible environmental scenarios and create strategic framework after proper planning and set procedures and work on these strategies in a predetermined manner. However, in reality no company can forecast both internal and external environment exactly. Everything cannot be planned in advance. It is not possible to anticipate moves of rival firms, consumer behaviour, evolving technologies and so on.

There can be significant deviations between what was visualized and what actually happens. Strategies need to be attuned or modified in the light of possible environmental changes. There can be significant or major strategic changes when the environment demands. Reactive strategy is triggered by the changes in the environment and provides ways and means to cope with the negative factors or take advantage of emerging opportunities.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 17-18

44 RTP **Old P7 May 2018** Q6 old scheme

Also asked in Old P7 MTP May 2022 S-I Q3(b) · Old P7 MTP May 2019 S-I Q3(a)

Same question, different ICAI answer: #70 Old P7 MTP Jul 2021 S-II

The presence of strategic management cannot counter all hindrances and always achieve success for an organisation. What are the limitations attached to strategic management?

ICAI'S ANSWER

The presence of strategic management cannot counter all hindrances and always achieve success as there are limitations attached to strategic management. These can be explained in the following lines:

- Environment is highly complex and turbulent. It is difficult to understand the complex environment and exactly pinpoint how it will shape-up in future. The organisational estimate about its future shape may awfully go wrong and jeopardise all strategic plans. The environment affects as the organisation has to deal with suppliers, customers, governments and other external factors.
- Strategic Management is a time-consuming process. Organisations spend a lot of time in preparing, communicating the strategies that may impede daily operations and negatively impact the routine business.
- Strategic Management is a costly process. Strategic management adds a lot of expenses to an organization. Expert strategic planners need to be engaged, efforts are made for analysis of external and internal environments devise strategies and properly implement. These can be really costly for organisations with limited resources particularly when small and medium organisation create strategies to compete.
- In a competitive scenario, where all organisations are trying to move strategically, it is difficult to clearly estimate the competitive responses to the strategies.

ICAI · Old P7 · RTP May 2018 · question p. 14 · answer p. 20-21

45 MTP **Sep 2026 S-I** Q1(a) 5 marks

Modern Sangeet Academy, a classical music training institute based in Bengaluru, has gained nationwide recognition through its engaging social media presence and viral reels. Encouraged by its growing popularity, students from across the country have requested the academy to introduce online classes. However, JJ Sir, the founder and head of the academy, opposes the idea. He believes that online classes would attract non-serious learners and dilute the academy's mission of preserving and promoting classical music while striving for global recognition. In the light of the above case, explain why JJ Sir should develop the qualities of a strategic thinker rather than relying solely on his expertise in classical music. How can strategic thinking contribute to the long-term growth and sustainability of the academy?

ICAI'S ANSWER

JJ Sir should develop the qualities of a strategic thinker because long-term success depends not only on expertise in classical music but also on the effective application of strategic management. Strategic management enables an organisation to perform better than its competitors by creating a competitive advantage and responding successfully to changes in the environment.

In the given case, the increasing demand for online classes represents a change in the business environment. Instead of rejecting the idea, JJ Sir should evaluate it strategically. Strategic thinking will help the academy:

- Provide direction by aligning decisions with the academy's vision of making classical music globally recognised.
- Be proactive rather than reactive by analysing environmental changes and responding appropriately.
- Identify and exploit new opportunities, such as reaching students across the country through online learning.
- Enhance the longevity of the academy by adapting to changing customer needs and ensuring sustainable growth.
- Develop competitive advantage and core competencies, enabling the academy to strengthen its position while preserving the quality and authenticity of classical music.

Thus, strategic thinking will help JJ Sir achieve the academy's mission while ensuring its long-term survival, growth, and sustainability.

ICAI · P6 · MTP Sep 2026 · Series I · question p. 11 · answer p. 15

46 MTP **Sep 2026 S-II** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

EcoNurture Foods, founded in 2008 in India, specializes in producing plant-based, sustainable snacks and beverages. With a mission statement focused on "nourishing people and the planet through sustainable innovation," the company aims to lead the market in environmentally friendly food alternatives. However, following a decade of double-digit growth, EcoNurture faced stagnation due to increased competition, operational inefficiencies, and changing consumer trends.

To regain its competitive edge, EcoNurture has initiated a turnaround strategy. The first step involved a complete overhaul of its outbound logistics, a key activity in its value chain. By investing in renewable-energy-powered delivery vehicles and partnering with a global logistics provider, the company reduced shipping costs by 20% and cut carbon emissions by 35%. This not only enhanced

operational efficiency but also reinforced the brand's commitment to sustainability; a core value that resonates with its target market.

Simultaneously, EcoNurture addressed the barriers to new entry in the plant-based food industry. While small competitors have entered the market with niche products, the company's established brand reputation, economies of scale, and extensive distribution network continue to deter potential entrants. By leveraging these barriers, EcoNurture protects its market share in key regions of western ghats & southern states of India.

In pursuit of growth, EcoNurture has adopted a diversification strategy. In 2024, the company launched a new line of functional beverages infused with probiotics and vitamins, targeting the growing health-conscious consumer base. This diversification has contributed to a 15% increase in revenue in its first year, with projected sales of INR150 Crores in 2025.

To further expand its market reach, EcoNurture formed a strategic alliance with Homely Basket, a premium organic retail chain in Asia. This partnership allows EcoNurture to enter high-growth Asian markets while Homely Basket benefits from exclusive rights to distribute EcoNurture's products. The alliance is expected to generate an additional INR 50 Crores in annual revenue for both companies.

Despite these initiatives, challenges remain. Consumer demand for innovation is relentless, and competition from both established players and startups continues to intensify. To stay ahead, EcoNurture's leadership must ensure alignment with its mission statement while balancing profitability and sustainability. With strong execution of its turnaround strategy and continued focus on partnerships and diversification, EcoNurture is poised to reclaim its position as a leader in sustainable nutrition.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

EcoNurture Foods' mission statement is well developed but the company still had to go through a turnaround strategy. What does this say about Strategic Management?

- A Strategic Management is a futile exercise
- B Proactive approach matters, but macro trends are more important
- C It is time consuming but helps by developing defense mechanisms as well
- D Mission statement should change with strategy

Q1(A)(ii) 2 marks

A 15% increase in revenue in its first year, with projected sales of INR150 Crores in 2025 with the launch of probiotics and vitamins. Based on this statement, study the case carefully and mark the option which you feel resonates best.

- A A company which did a turnaround should not be diversified
- B Target customer needs if studied with passion lead to a successful diversification
- C Diversification is suitable only for Startups
- D Investments made early in a good leader could save money spent on diversification

Q1(A)(iii) 2 marks

Homely Basket deal is an important milestone in EcoNurture's strategic outlay. A well-planned move to join hands together to achieve important strategic benefits. Identify the benefits from the scenario it brought to EcoNurture.

A It helped diversify their existing portfolio & kept the niche local players away

B It helped achieve a better brand name & economies of scale

C It helped to go global & surpass the niche local players which were flooding Indian market

D It helped to increase prices with premiumization & gain customer confidence

Q1(A)(iv) 2 marks

Every strategic management decision has an inherent importance and so is the case with EcoNurture, as it took a good number of decisions for elongating its growth phase. Two long-term strategic themes do come out clearly from the business case. Identify and mark those from your reading of the scenario.

A Profitability & Sustainability

B Customer Obsession & Organisational Restructuring

C Globalisation & Product Diversification

D Niche Products & Competitive Pressures

Q1(A)(v) 2 marks

Investing in renewable-energy-powered delivery vehicles and partnering with a global logistics provider, the company reduced shipping costs and cut carbon emissions. It supported their core value that also resonates with its target market. What did they actually gain from this transition?

A Meeting consumer demand for innovation and beating competition from established players

B Creating barriers to new entry in the plant-based food industry

C Focus on delivering mission statement in the long-term

D Enhanced operational efficiency and brand's long-term commitment to sustainability

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(C)**

Q1(A)(ii)

Answer key: **(B)**

Q1(A)(iii)

Answer key: **(C)**

Q1(A)(iv)

Answer key: **(A)**

Q1(A)(v)

Answer key: **(D)**

ICAI · P6 · MTP Sep 2026 · Series II · question p. 9-10

47 MTP **May 2026 S-II** Q1(B)(iii) 1 mark MCQ

What is the primary role of strategic management in achieving organizational goals?

A To ensure immediate profitability

B To provide a roadmap for achieving long-term objectives

C To eliminate the need for operational planning

D To focus solely on short-term gains

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP May 2026 · Series II · question p. 13

48 MTP **Jan 2026 S-I** Q2(b) 5 marks

Also asked in MTP Jan 2025 S-I Q2(b)

Same question, different ICAI answer: #14 Old P7 Exam May 2018 · #23 RTP May 2024 · #29 Old P7 RTP Dec 2021

Define strategic management. Also discuss the limitations of strategic management.

ICAI'S ANSWER

The term 'strategic management' refers to the managerial process of developing a strategic vision, setting objectives, crafting a strategy, implementing and evaluating the strategy, and initiating corrective adjustments were deemed appropriate.

The presence of strategic management cannot counter all hindrances and always achieve success as there are limitations attached to strategic management. These can be explained in the following lines:

- **The environment is highly complex and turbulent.** It is difficult to understand the complex environment and exactly pinpoint how it will shape up in future. The organisational estimate about its future shape may awfully go wrong and jeopardise all strategic plans. The environment affects as the organisationhas to deal with suppliers, customers, governments and other external factors.
- **Strategic management is a time-consuming process.** Organisations spend a lot of time preparing, communicating the strategies that may impede daily operations and negatively impact on routine business.
- **Strategic management is a costly process.** Strategic management adds a lot of expenses to an organization. Expert strategic planners need to be engaged, efforts are made for analysis of external and internal environments devise strategies and properly implement. These can be really costly for organisations with limited resources particularly when small and medium organisation create strategies to compete.
- **Competition is unpredictable.** In a competitive scenario, where all organisations are trying to move strategically, it is difficult to clearly estimate the competitive responses to the strategies.

ICAI · P6 · MTP Jan 2026 · Series I · question p. 12 · answer p. 20

49 MTP **Sep 2025 S-I** Q1(B)(i) 2 marks MCQ

StarLite Electronics noticed changing consumer preferences for energy-efficient appliances. It invested in R&D to develop such products. Months later, a new government regulation mandated energy efficiency, which it easily complied with. Which strategies best describe StarLite's approach?

A Proactive and Reactive

B Only Reactive

C Cost leadership

D Defensive strategy

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · MTP Sep 2025 · Series I · question p. 12

50 MTP **Sep 2025 S-I** Q1(B)(iii) 1 mark MCQ

Which of the following is a limitation of strategic management?

A It sometimes provides a clear roadmap for the organization

B It disregards allocating resources effectively

C It can be time-consuming and complex

D It doesn't ensure immediate results

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP Sep 2025 · Series I · question p. 13

51 MTP **Sep 2025 S-I** Q2(a) 5 marks

Also asked in MTP May 2024 S-II Q2(a)

Same question, different ICAI answer: #10 Old P7 Exam Dec 2021

"Each organization must build its competitive advantage keeping in mind the business warfare. This can be done by following the process of strategic management." Considering this statement, explain major benefits of strategic management.

ICAI'S ANSWER

Each organization has to build its competitive advantage over the competitors in the business warfare in order to win. This can be done only by following the process of strategic management. Strategic Management is very important for the survival and growth of business organizations in dynamic business environments. Other major benefits of strategic management are as follows:

- Strategic management helps organizations to be more proactive rather than reactive in dealing with its future. It facilitates to work within vagaries of environment and remains adaptable with the turbulence or uncertain future. Therefore, they are able to control their own destiny in a better way.
- It provides better guidance to entire organization on the crucial point – what it is trying to do. Also provides frameworks for all major business decisions of an enterprise such as on businesses, products, markets, organizational structures, etc.
- It facilitates to prepare the organization to face the future and act as pathfinder to various business opportunities. Organizations are able to identify the available opportunities and identify ways and means as how to reach them.
- It serves as a corporate defence mechanism against mistakes and pitfalls. It helps organizations to avoid costly mistakes in product market choices or investments.
- Over a period of time strategic management helps organization to evolve certain core competencies and competitive advantages that assist in the fight for survival and growth.

ICAI · P6 · MTP Sep 2025 · Series I · question p. 14 · answer p. 19-20

52 MTP **Sep 2025 S-II** Q2(a) 5 marks

Also asked in MTP May 2024 S-I Q2(a)

Imagine you are a strategic consultant advising a retail company that is facing increasing competition from online retailers. The company is considering several strategic options to improve its market position. Using the concept that strategy is partly proactive and partly reactive, explain how the company can develop a strategic approach to address this challenge.

ICAI'S ANSWER

The retail company can develop a strategic approach that is both proactive and reactive to address the challenge of increasing competition from online retailers. To achieve this, the company can:

- **Proactive Strategy:** The company can proactively analyze market trends and customer preferences to identify opportunities for growth. For example, it can invest in market research to understand what customers value in a retail experience and tailor its offerings to meet those needs. This proactive approach can help the company stay ahead of competitors and attract new customers.
- **Reactive Strategy:** In addition to proactive measures, the company should also be prepared to react to changes in the market environment. For example, if a competitor launches a new online shopping platform, the company should quickly assess the impact on its business and develop a response. This reactive strategy can help the company adapt to changing market conditions and maintain its competitiveness.

By combining proactive and reactive strategies, the retail company can develop a comprehensive approach to addressing the challenge of increasing competition from online retailers. This approach will allow the company to capitalize on opportunities for growth while also mitigating risks and responding to threats in the market.

ICAI · P6 · MTP Sep 2025 · Series II · question p. 15 · answer p. 18-19

53 MTP **May 2025 S-I** Q1(B)(i) 2 marks MCQ

A retail chain notices that its competitors have introduced same-day delivery options. In response, the company quickly adjusts its logistics operations and collaborates with local courier services to match the offering and avoid losing customers. What type of strategy is the company implementing?

A Proactive strategy

B Reactive strategy

C Functional level strategy

D Contingency strategy

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP May 2025 · Series I · question p. 10

54 MTP **May 2025 S-II** Q1(B)(i) 2 marks MCQ

A multinational corporation is debating whether to invest significant time and resources into developing a new strategic plan. Some argue it diverts attention from current operations, while others believe it is essential for long-term success. Despite being resource-intensive, it remains crucial for sustained growth. What does this situation best illustrate?

A Strategic management ensures immediate profitability

B Strategic management is time-consuming but necessary

C Operational efficiency is more important than strategic planning

D Short-term focus leads to long-term success

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP May 2025 · Series II · question p. 12

55 MTP **Jan 2025 S-II** Q1(B)(ii) 2 marks MCQ

Suman, the marketing head of Jalwa Music Co., was doing research on the online music streaming business in India for her new age music for youngsters. She analyzed that though the players in the market were innovating rapidly, it was difficult to maintain a sustainable competitive advantage. Which aspect of strategic management best reflects this challenge?

A The need for continuous innovation.

B The importance of understanding the competitive landscape.

C The dynamic and unpredictable nature of the industry.

D The difficulty in estimating competitors' responses.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP Jan 2025 · Series II · question p. 11

56 MTP **Jan 2025 S-II** Q4(a) 5 marks

Also asked in MTP Sep 2024 S-II Q1(b)

Vikram Patel owns a chain of ten bookstores across the Mumbai region. Three of these stores were launched in the past two years. He has always believed in strategic management and enjoyed robust sales of books, magazines, and educational materials until about five years ago. However, with the increasing preference for online shopping, the sales at his physical stores have declined by approximately sixty percent over the last five years. Analyze Vikram Patel's current position in light of the limitations of strategic management.

ICAI'S ANSWER

Vikram Patel is facing declining sales due to a significant shift of customers toward online platforms. Although he employs strategic management tools, they cannot always overcome every obstacle or guarantee success. The limitations of strategic management in Vikram's situation include:

- The environment in which strategies are developed is highly complex and unpredictable. The entry of online bookstores, a new type of competitor, introduced a different dynamic to the book retail industry. These online platforms, with their extensive reach and pricing power, have dominated the market, posing a formidable challenge to traditional bookstores.
- Another limitation of strategic management is the difficulty in forecasting future developments. Despite his strategic management efforts, Vikram Patel did not anticipate the extent to which online bookstores would impact his sales.
- While strategic management is a time-consuming process, it is crucial for Vikram to continue managing strategically. These challenging times demand increased effort and adaptability on his part.

- Strategic management can be costly. Vikram Patel might consider hiring experts to understand customer preferences better and adjust his strategies to offer more personalized services. These customized offerings could be difficult for online stores to replicate, giving him a competitive edge.
- The bookstores owned by Vikram Patel are much smaller in scale compared to online stores. This makes it challenging for him to predict how online platforms will manoeuvre strategically.

ICAI · P6 · MTP Jan 2025 · Series II · question p. 12 · answer p. 13-14

57 MTP **Sep 2024 S-I** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

Kriti Pvt. Ltd. has been importing French gourmet cheeses under the brand name of 'Fromage' since 2017. The company was amongst the first in India to introduce innovative unbreakable cheese packaging. Their affiliate, a French company owning Fromage, had entered into a progressive deal, wherein products would be sourced to India via their logistics, and all marketing expenditures would be covered by them. However, customer management and nationwide distribution would be taken care of by Kriti Pvt. Ltd. This required an English-speaking skilled workforce, which has been a constant challenge for the company in India.

The owners of Kriti Pvt. Ltd. have been regular attendees at industry-relevant conclaves, both national and international. Leaders of the company are passionate readers of business magazines. Following that, it was observed that the recent sentiment of the country towards 'Vocal for Local' could disrupt their French brand's marketability. An extraordinary meeting was set up, and the steps ahead were planned. The outcome of the meeting was to partner with local producers of traditional Indian cheeses in phase one of the change strategy. For this, seven state governments were approached. The team was successful in taking contracts from all the government departments of these seven states and could position themselves fairly in the market. To fund this new investment, they have planned to slowly sell off their French business assets as well as the brand, to probable buyers.

This timely shift is proving to be a game-changer for the company, and the leadership is quite happy with better than before earnings and a much greater response from the customers. They find it easier to operate with domestic producers and vendors, and a sense of patriotism is instilled in the consumers' minds.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

Which of the following actions taken by Kriti Pvt. Ltd. is an example of a proactive strategy?

A. Selling off their French business assets.

B. Responding to the 'Vocal for Local' sentiment by partnering with local cheese producers.

C. Managing customer relations and nationwide distribution.

D. Covering all marketing expenditures for 'Fromage' in India.

Q1(A)(ii) 2 marks

Which of the following types of strategic control did the owners and leadership of Kriti Pvt. Ltd. deploy that eventually turned out to be one of the most effective strategic decisions for the company?

A. Premise control

B Special alert control

C Implementation control

D Strategic surveillance

Q1(A)(iii) 2 marks

'Vocal for Local' is a market sentiment that changed customers' preferences for the majority of products across all industries. Based on that, Kriti Pvt. Ltd. gauged the competition it might face in the coming months and agreed to change its own product. Which of the following forces, as per Michael Porter's five forces of competitive analysis, is most relevant in this case?

A Threat of new entrants

B Nature of rivalry in the industry

C Threat of substitutes

D Bargaining power of the buyer

Q1(A)(iv) 2 marks

Which of the following aspects of value chain analysis was the most challenging for Kriti Pvt. Ltd. at the time of selling the Fromage brand?

A Manufacturing

B Outsourcing

C Customer service

D Procurement

Q1(A)(v) 2 marks

To strategically revamp their business, partnerships were done with Indian local producers from seven states, and to fund it, the existing arm of the business was to be sold off. Which of the following strategies has Kriti Pvt. Ltd. opted for?

A Turnaround strategy

B Divestment strategy

C Liquidation strategy

D Intensification strategy

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(B)**

Q1(A)(ii)

Answer key: **(D)**

Q1(A)(iii)

Answer key: **(C)**

Q1(A)(iv)

Answer key: **(C)**

Q1(A)(v)

Answer key: **(B)**

ICAI · P6 · MTP Sep 2024 · Series I · question p. 7

58 MTP **May 2024 S-II** Q1(a) 5 marks

ABC retail chain regularly monitors consumer trends and supply chain flexibility. The retail chain tracks consumer trends to adjust its offerings, ensuring they meet customer needs. Simultaneously, it maintains a flexible supply chain to respond swiftly to demand fluctuations. This strategy enables ABC retail chain to anticipate market shifts and adapt to them effectively, ensuring its competitiveness and customer satisfaction. Which type of strategy is the retail chain employing?

ICAI'S ANSWER

The retail chain is employing a strategy that combines both proactive and reactive elements. Monitoring consumer trends and adjusting product offerings accordingly demonstrates a proactive approach to anticipate and meet customer needs. On the other hand, maintaining a flexible supply chain to respond quickly to changes in demand reflects a reactive strategy to address unforeseen shifts in the market.

This combination allows the retail chain to both anticipate future trends and react effectively to immediate market changes, making its strategy partly proactive and partly reactive. This dual strategy of proactive trend monitoring and reactive supply chain flexibility enables the retail chain to anticipate market shifts and adapt to them effectively, ensuring its competitiveness and customer satisfaction.

ICAI · P6 · MTP May 2024 · Series II · question p. 11 · answer p. 13

59 MTP **Old P7 Nov 2023 S-II** Q1(C) 2 marks MCQ old scheme

Mr. Prakash and Mr. Pal are partners in a thriving business venture. Recently, they have become aware of their employees' dissatisfaction with their working conditions. Mr. Prakash believes that the situation should be dealt with before the employees explode. Mr. Pal, on the other hand, believes that if the employees have an outburst, then they will handle it. Mr. Prakash and Mr. Pal business philosophy is:

- A Reactive, Proactive
- B Reactive, Reactive
- C Proactive, Proactive
- D Proactive, Reactive

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 6

60 MTP **Old P7 May 2023 S-II** Q6(a) 5 marks old scheme

Yummy Foods and Tasty Foods are successfully competing in the business of ready to eat snacks in Patna. Yummy has been pioneer in introducing innovative products. These products will give them good sale. However, Tasty Foods will introduce similar products in reaction to t he products introduced by the Yummy Foods taking away the advantage gained by the former. Discuss the strategic approach of the two companies. Which is superior?

ICAI'S ANSWER

Yummy foods are proactive in its approach. On the other hand, Tasty Food is reactive. Proactive strategy is planned strategy whereas reactive strategy is adaptive reaction to changing circumstances. A company's strategy is typically a blend of proactive actions on the part of managers to improve the company's market position and financial performance and reactions to unanticipated developments and fresh market conditions.

If organisational resources permit, it is better to be proactive rather than reactive. Being proactive in aspects such as introducing new products will give you advantage in the mind of customers.

At the same time, crafting a strategy involves stitching together a proactive/intended strategy and then adapting first one piece and then another as circumstances surrounding the company's situation change or better options emerge-a reactive/adaptive strategy. This aspect can be accomplished by Yummy Foods.

ICAI · Old P7 · MTP May 2023 · Series II · question p. 7 · answer p. 10

61 MTP **Old P7 Nov 2022 S-II** Q6(a) 5 marks old scheme

Also asked in Old P7 MTP May 2020 S-I Q4(a)

Same question, different ICAI answer: #37 Old P7 RTP May 2019

Are there any limitations attached to strategic management in organizations? Discuss.

ICAI'S ANSWER

The presence of strategic management cannot counter all hindrances and always achieve success. There are limitations attached to strategic management. These can be explained in the following lines:

- Environment is highly complex and turbulent. It is difficult to understand the complex environment and exactly pinpoint how it will shape-up in future. The organisational estimate about its future shape may awfully go wrong and jeopardise all strategic plans.
- Strategic management is a time-consuming process. Organisations spend a lot of time in preparing, communicating the strategies that may impede daily operations and negatively impact the routine business.
- Strategic management is a costly process. Strategic management adds a lot of expenses to an organization. Expert strategic planners need to be engaged, efforts are made for analysis of external and internal environments devise strategies and properly implement. These can be really costly for organisations with limited resources.
- In a competitive scenario, where all organisations are trying to move strategically, it is difficult to clearly estimate the competitive responses to a firm's strategies.

ICAI · Old P7 · MTP Nov 2022 · Series II · question p. 9 · answer p. 9-10

62 MTP **Old P7 May 2022 S-II** Q1(B) 2 marks MCQ old scheme

BBL Bank had strategically decided to setup a separate office in Mumbai back in 2016, specifically to invest in crypto currencies and in development of robust blockchain facilities. Which importance of strategic management did BBL Bank made use of?

A Gives direction to the management of the company

B Helps to be proactive instead of being reactive

C Provides a framework for all major future decisions

D Supports development of new SBUs like in this case separate office for Blockchain

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP May 2022 · Series II · question p. 7

63 MTP Old P7 Dec 2021 S-I Case scenario · Q1(A)1 to Q1(A)5 5 marks old scheme

CASE SCENARIO

Zuberia, a London based choreographer with a master's degree in social entrepreneurship, wanted to do something innovative and impactful with her international degree. Following which she took on her dream to inculcate dance as a part of basic curriculum in primary education back in India. For this, she set up a digital dance education company called DanceXT.

The business model was simple; approach active NGOs working on the field, conduct local competitions to spread awareness, offer scholarships to talented kids to lure in support, and finally build a community of interested individuals. This would act as a base for marketers to market their products amongst youth and also divert some of their CSR funds to a good cause. Interestingly, there are numerous NGOs working for the same cause, but the business monetisation of DanceXT's consumer data and easy approachability for businesses has created an advantage over others.

A startup incubator was consulted to ensure free flow of funds in the initial few months until sponsors were arranged. The best alternative to bank loans was crowdfunding and that is what DanceXT opted for. Individuals and corporates were encouraged to provide for basic expenses while volunteerism was encouraged for on field support. The operations were smooth and foolproof.

The company expanded exponentially in major cities of Delhi, Mumbai and Kolkata, while making a surprising foothold in Jaipur, Indore, Surat and Nashik. With over 500 volunteers and 100 team leaders, many more college students expressed interest in joining the field force. Sports brands, FMCG giants, political candidates, and even government schools showed immense support to the company. It built a massive workforce making numerous local teams with one single target o f inculcating extra curricular in primary students especially through dance.

The highlight of their success was when four of their students got selected in a dance reality show on television. Following it, the business is booming with marketers eyeing yout h while being true to the underlying cause of the company.

Based on the above Case Scenario, answer the Multiple-Choice Questions which are as follows:

Q1(A)1 1 mark

Similar businesses in dance tutoring operated on different business models because of?

- A The external environment
- B Customer Geographies
- C Choice of Strategy
- D Political Influence

Q1(A)2 1 mark out of syllabus

The differentiating factor for DanceXT in comparison to its competitors has been which of the following?

- A Research and Development Strategy - Innovative Dance Forms
- B Vision Statement - Cultural Arts NGO aiming underprivileged talent
- C Marketing Mix Strategy - Product, Potential Consumer Insights for final businesses
- D Human Resource Strategy - Hiring quality dance trainers Pan-India

Q1(A)3 1 mark out of syllabus

Incubator was approached for which of the following aspects of financial strategy?

- A Budgeting

B Management of Funds

C Evaluating worth of business

D Acquisition of Capital'

Q1(A)4 1 mark

DanceXT can be categorised as which of the intensification strategies?

A Market Penetration

B Market Development

C Product Development

D Diversification of Services

Q1(A)5 1 mark

Which of the following could be the biggest challenge from Chandler's Strategy-Structure Relationship for DanceXT?

A Too many levels of management

B Too much attention diverted to intracompany conflicts

C Too many objectives to achieve

D Too large a span of control

ICAI'S ANSWERS

Q1(A)1

Answer key: **(C)**

Q1(A)2

Answer key: **(C)**

Q1(A)3

Answer key: **(D)**

Q1(A)4

Answer key: **(A)**

Q1(A)5

Answer key: **(B)**

ICAI · Old P7 · MTP Dec 2021 · Series I · question p. 5

64 MTP **Old P7 Dec 2021 S-I** Q3(a) 5 marks old scheme

Yummy Foods and Tasty Foods are successfully competing in the business of ready to eat snacks in Patna. Yummy has been pioneer in introducing innovative products. These products will give them good sale. However, Tasty Foods will introduce similar products in reaction to the products introduced by the Yummy Foods taking away the advantage gained by the former

ICAI'S ANSWER

Yummy foods are proactive in its approach. On the other hand, Tasty Food is reactive. Proactive strategy is planned strategy whereas reactive strategy is adaptive reaction to changing circumstances. A company's strategy is typically a blend of proactive actions on the part of managers to improve the company's market position and financial performance and reactions to unanticipated developments and fresh market conditions.

If organisational resources permit, it is better to be proactive rather than reactive. Being proactive in aspects such as introducing new products will give you advantage in the mind of customers. At the same time, crafting a strategy involves stitching together a proactive/intended strategy and then adapting first one piece and then another as circumstances surrounding the company's situation change or better options emerge-a reactive/adaptive strategy. This aspect can be accomplished by Yummy Foods.

ICAI · Old P7 · MTP Dec 2021 · Series I · question p. 7 · answer p. 7-8

65 MTP **Old P7 Dec 2021 S-II** Q5(b) 5 marks old scheme

Same question, different ICAI answer: #34 Old P7 RTP Nov 2019

Strategic management helps an organization to work through changes in environment to gain competitive advantage. In light of statement discuss its benefits.

ICAI'S ANSWER

Strategic management involves developing the company's vision, environmental scanning, strategy formulation, implementation, evaluation and control. It emphasises the monitoring and evaluation of external opportunities and threats in the light of a company's strengths and weaknesses and designing strategies for the survival and growth. It helps in creation of competitive advantage to outperform the competitors and also guide the company successfully through all changes in the environment.

The major benefits of strategic management are:

- Strategic management gives a direction to the company to move ahead. It defines the goals and mission.
- It helps organisations to be proactive instead of reactive in shaping its future.
- It provides frameworks for all major decisions of an enterprise such as decisions on businesses, products, markets, manufacturing facilities, investments and organisational structure. It provides better guidance to entire organisation on the crucial point - what it is trying to do.
- It helps organisations to identify the available opportunities and identify ways and means to achieve them.
- It serves as a corporate defence mechanism against mistakes and pitfalls.
- It helps to enhance the longevity of the business.
- It helps the organisation to develop certain core competencies and competitive advantages that would facilitate survival and growth.

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 8 · answer p. 8

66 MTP **Old P7 Jul 2021 S-I** Q1(F) 1 mark MCQ old scheme

Also asked in Old P7 MTP May 2020 S-I Q1(H)

Which of the following is correct?

A Strategy is always pragmatic and not flexible

B Strategy is not always perfect, flawless and optimal

C Strategy is always perfect, flawless and optimal

D Strategy is always flexible but not pragmatic

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 7

67 MTP **Old P7 Jul 2021 S-I** Q3(a) 5 marks old scheme

Same question, different ICAI answer: #13 Old P7 Exam Nov 2018

"Strategy is partly proactive and partly reactive." Elaborate.

ICAI'S ANSWER

Yes, strategy is partly proactive and partly reactive. In proactive strategy, organisations will analyse possible environmental scenarios and create strategic framework after proper pla nning and set procedures and work on these strategies in a pre-determined manner. However, in reality no company can forecast both internal and external environment exactly. Everything cannot be planned in advance. It is not possible to anticipate moves of rival firms, consumer behaviour, evolving technologies and so on.

There can be significant deviations between what was visualised and what actually happens. There can be significant or major strategic changes when the environment demands. Reactive strateg y is triggered by the changes in the environment and provides ways and means to cope with the negative factors or take advantage of emerging opportunities.

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 7 · answer p. 7

68 MTP **Old P7 Jul 2021 S-II** Case scenario · Q1(A)1 to Q1(A)5 5 marks old scheme

CASE SCENARIO

Amrutha, a third year computer science student living in Tamilnadu, realised that during covid-19 pandemic her mother was not able to buy the basic products that she used in her worship routine. As a result, many small vendors also went out of business during the lockdown. She started studying more about the market and observed that the way the business was conducted had many gaps and loopholes. She dedicated herself to develop a small market place where consumers like her mother and small vendors could meet and trade, and called it Saamagree.

Her interaction with small vendors was a success factor, where she was able to convince them to bring their business online and give them volume in sales. Vendors were hesitant early on, but followed suit when they saw the benefits coming in. Amrutha, being a student was happy with the growth and wanted to focus on studies more and let the business operate as usual.

To her surprise, her father's company which was a big FMCG brand took over her business within a year itself, and designated Ms. Srividya Rajanan, to lead the division with Amrutha. Amrutha, knew her customers and vendors very closely and Ms. Rajanan was an expansion expert. So their division was developed as a simple structure within the organisation as an experiment.

Ms. Rajanan's marketing team expanded swiftly to rope in vendors from areas far and beyond backed by their in-house distribution channels. However, the initial vendors and customers felt betrayed as their trust rested in Amrutha and her personalised touch to the business. It took the team months to build an identity that matched the sincerity of a one woman led brand.

The market segment has been a very niche one for the FMCG brand however the results have been satisfying. The plan is to go Pan-India in the coming years with Amrutha leading from the front and

Ms. Rajanan exiting the division. New markets, new ways of business are inevitable and bring a freshness to business is what Saamagree has proven.

Based on the above Case Scenario, answer the Multiple Choice Questions.

Q1(A)1 1 mark

Which of the following characteristics has been one of the biggest strengths of Saamagree's management?

- A Induce and direct events
- B Induce and direct people
- C Influence process to make things happen
- D Gain command over the phenomena

Q1(A)2 1 mark

The leadership team decided to keep the organisation structure straight and simple based on the intricacies of?

- A Goals and objectives
- B Vision statement
- C Business definition
- D Business model

Q1(A)3 1 mark

Before Ms. Srividya Rajanan joined the company, Amrutha's intent was inclined towards which of the following strategies?

- A Combination strategy
- B Retrenchment strategy
- C Expansion strategy
- D Stability strategy

Q1(A)4 1 mark

The marketing team of Saamagree could not gauge a very crucial aspect of markets that led to a temporary dent in its brand positioning. Which of the following is being mentioned in the above scenario?

- A Switching costs of products
- B Distribution channel accessibility
- C Retaliation from the market
- D Political influence in the industry

Q1(A)5 1 mark out of syllabus

The very ideation of the business was based on bringing about a change in existing ways of business. What can be said about the basis of building Saamagree?

- A Market penetration
- B Business process reengineering
- C Product differentiation

D Best cost provider strategy

ICAI'S ANSWERS

Q1(A)1

Answer key: **(B)**

Q1(A)2

Answer key: **(C)**

Q1(A)3

Answer key: **(D)**

Q1(A)4

Answer key: **(C)**

Q1(A)5

Answer key: **(B)**

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 5

69 MTP **Old P7 Jul 2021 S-II** Q2 5 marks old scheme

Kamal Sweets Corner, a very popular sweets shop in Ranchi, was facing tough competition from branded stores of packaged sweets and imported goods. The owners realised that their busi ness reduced by 50% in the last six months, and this created a stressful business environment for them. To find a solution, they consulted a business consultant to help them develop a strategy to fight competition and sustain their century old family business. The business consultant advised them to innovate a new snack for the public and market it as a traditional snack of the region. The owners liked the idea and developed a new snack called Dahi Samosa, which very quickly became popular amongst the public and it helped regain the lost business of Kamal Sweets Corner.

One of the very crucial importance of strategic management was used by the business consultant to help the owners of Kamal Sweets Corner. Which one could it be? Also, was this strategy Reactive or Proactive? According to you who are more beneficial in general parlance?

ICAI'S ANSWER

The strategy used here was of developing a competitive advantage via product which helped Kamal Sweets Corner regain their lost business. This is also one of the major importance cum advantage of strategic management, that is helps to develop core competencies and competitive advantages to overcome competition.

This strategy was a Reactive strategy. Wherein, the owners saw their business fall to 50% of revenue and then seeking a strategic advisory. They did not plan proactively as to when the new shops were already opening. They reacted only when the business started to lose up.

Generally, it is always beneficial to develop strategies proactively, so that the dip in businesses is small and manageable, and even if they are huge, the management has ample time to fix it.

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 7 · answer p. 7

70 MTP **Old P7 Jul 2021 S-II** Q3(a) 5 marks old scheme

Same question, different ICAI answer: #44 Old P7 RTP May 2018

The presence of strategic management cannot counter all hindrances and always achieve success for an organisation. What are the limitations attached to strategic management?

ICAI'S ANSWER

The presence of strategic management cannot counter all hindrances and always achieve success as there are limitations attached to strategic management. These can be explained in the following lines:

- Environment is highly complex and turbulent. It is difficult to understand the complex environment and exactly pinpoint how it will shape-up in future. The organisational estimate about its future shape may awfully go wrong and jeopardise all strategic plans. The environment affects as the organisation has to deal with suppliers, customers, governments and other external factors.
- Strategic Management is a time-consuming process. Organisations spend a lot of time in preparing, communicating the strategies that may impede daily operations and negatively impact the routine business.
- Strategic Management is a costly process. Strategic management adds a lot of expenses to an organization. Expert strategic planners need to be engaged, efforts are made for analysis of external and internal environments devise strategies and properly implement. These can be really costly for organisations with limited resources particularly when small and medium organisations create strategies to compete.

In a competitive scenario, where all organisations are trying to move strategically, it is difficult to clearly estimate the competitive responses to the strategies.

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 7 · answer p. 7

71 MTP **Old P7 Nov 2020 S-I** Q4(a) 5 marks old scheme

Same question, different ICAI answer: #27 Old P7 RTP May 2023 · #40 Old P7 RTP Nov 2018

What benefits accrue by following a strategic approach to managing?

ICAI'S ANSWER

The following are the benefits of strategic approach to managing:

- Strategic management helps organisations to be more proactive instead of reactive in shaping its future. Organisations are able to analyse and take actions instead of being mere spectators. Thereby they are able to control their own destiny in a better manner. It helps them in working within vagaries of environment and shaping it, instead of getting carried away by its turbulence or uncertainties.
- Strategic management provides framework for all the major decisions of an enterprise such as decisions on businesses, products, markets, manufacturing facilities, investments and organisational structure. It provides better guidance to entire organisation on the crucial point - what it is trying to do.
- Strategic management is concerned with ensuring a good future for the firm. It seeks to prepare the corporation to face the future and act as pathfinder to various business opportunities. Organisations are able to identify the available opportunities and identify ways and means as how to reach them.
- Strategic management serves as a corporate defence mechanism against mistakes and pitfalls. It helps organisations to avoid costly mistakes in product market choices or investments. Over a period of time strategic management helps organisation to evolve certain core competencies and competitive advantages that assist in its fight for survival and growth.

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 8 · answer p. 7

72 MTP **Old P7 May 2020 S-I** Q1(G) 1 mark MCQ old scheme

Strategic management allows an organization to be more:

A Authoritative

B Participative

C Commanding

D Proactive

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2020 · Series I · question p. 7

73 MTP **Old P7 Nov 2019 S-I** Q3(a) 5 marks old scheme

Same question, different ICAI answer: #31 Old P7 RTP Nov 2020

"Strategy is partly proactive and partly reactive." Discuss.

ICAI'S ANSWER

Strategy is partly proactive and partly reactive. In proactive strategy, organizations will analyze possible environmental scenarios and create strategic framework after proper planning and set procedures and work on these strategies in a predetermined manner. However, in reality no company can forecast both internal and external environment exactly. Everything cannot be planned in advance. It is not possible to anticipate moves of rival firms, consumer behaviour, evolving technologies and so on.

There can be significant deviations between what was visualized and what actually happens. Strategies need to be attuned or modified in the light of possible environmental changes. There can be significant or major strategic changes when the environment demands. Reactive strategy is triggered by the changes in the environment and provides ways and means to cope with th e negative factors or take advantage of emerging opportunities.

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 6 · answer p. 7

74 MTP **Old P7 May 2019 S-I** Q1(i) 1 mark MCQ old scheme

What can be defined as the art and science of formulating, implementing and evaluating cross-functional decisions that enable an organization to achieve its objectives?

A Strategy formulation

B Strategy evaluation

C Strategy implementation

D Strategic management

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2019 · Series I · question p. 4

75 MTP **Old P7 May 2019 S-I** Q1(vi) 1 mark MCQ old scheme

Individual investors are reliant on upon the organisation's managers to

- A Maximize short-term returns in the form of dividends.
- B Add value to their investments in a way that the stockholders could not accomplish on their own.
- C Achieve risk reduction at a lower cost than stockholders c ould obtain on their own.
- D Diversify the stockholder's investments in order to reduce risk.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP May 2019 · Series I · question p. 4-5

76 MTP **Old P7 May 2019 S-II** Q1(i) 1 mark MCQ old scheme

Strategy helps in:

- A Unravelling complexity
- B Reduce uncertainty
- C Relate the goals with the resources.
- D All of Above.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 4

77 MTP **Old P7 Nov 2018 S-II** Q5(a) 5 marks old scheme

Same question, different ICAI answer: #38 Old P7 RTP Nov 2018

Write short notes on the following:

Importance of Strategic Management.

ICAI'S ANSWER

Importance of Strategic Management: Strategic Management is very important for the survival and growth of business organizations in dynamic business environment. Other major benefits of strategic management are as follows:

- It helps organizations to be more proactive rather than reactive in dealing with its future. It facilitates the organisations to work within vagaries of environment and remains adaptable with the turbulence or uncertain future. Therefore, they are able to control their own destiny in a better way.
- It provides better guidance to entire organization on the crucial point – what it is trying to do. Also provides framework for all major business decisions of an enterprise such a decision on businesses, products, markets, organization structures, etc.
- It facilitates to prepare the organization to face the future and act as pathfinder to various business opportunities. Organizations are able to identify the available opportunities and identify ways and means as how to reach them.
- It serves as a corporate defence mechanism against mistakes and pitfalls. It helps organizations to avoid costly mistakes in product market choices or investments.

- Over a period of time, strategic management helps organizations to evolve certain core competencies and competitive advantages that assist in the fight for survival and growth.

ICAI · Old P7 · MTP Nov 2018 · Series II · question p. 2 · answer p. 11

78 MTP **Old P7 May 2018 S-I** Q2(a) 2 marks old scheme

Which of the following statements are 'correct' and which are 'incorrect'? Give reasons, in brief, for your answer:

Every strategic move is the result of proactive planning.

ICAI'S ANSWER

Incorrect: In business, things happen that cannot be fully anticipated or planned for. When market and competitive conditions take an unexpected turn or some aspect of a company's strategy hits a stone wall, some kind of strategic reaction or adjustment is required.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 3 · answer p. 8

79 MTP **Old P7 May 2018 S-I** Q4(a) 5 marks old scheme

Briefly explain the importance of strategic management.

ICAI'S ANSWER

Importance of Strategic Management: Strategic Management is very important for the survival and growth of business organizations in dynamic business environment. Other major benefits of strategic management are as follows:

- It helps organizations to be more proactive rather than reactive in dealing with its future. It facilitates the organisations to work within vagaries of environment and remains adaptable with the turbulence or uncertain future. Therefore, they are able to control their own destiny in a better way.
- It provides better guidance to entire organization on the crucial point – what it is trying to do. Also provides framework for all major business decisions of an enterprise such a decision on businesses, products, markets, organization structures, etc.
- It facilitates to prepare the organization to face the future and act as pathfinder to various business opportunities. Organizations are able to identify the available opportunities and identify ways and means as how to reach them.
- It serves as a corporate defence mechanism against mistakes and pitfalls. It helps organizations to avoid costly mistakes in product market choices or investments.
- Over a period of time, strategic management helps organizations to evolve certain core competencies and competitive advantages that assist in the fight for survival and growth.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 3 · answer p. 9-10

1.2 Strategic intent: vision, mission, goals and values

93 questions · asked in 58 ICAI documents · 11 exam papers

80 EXAM **Sep 2026** MCQ 15 2 marks MCQ

A hospital declares that its purpose is to deliver accessible and compassionate healthcare services to all sections of society.

(i) The statement reflects the philosophy of the hospital management that is perceived by its senior managers.

(ii) The statement provides a glimpse of what the organization would like to become in future.

(iii) The statement is designed to help potential shareholders and investors understand the purpose of the firm.

(iv) The statement points out a particular direction, charts a strategic path to be followed in future and molding organizational identity.

Which of the above statements relates to the vision statement of the hospital ?

A Only (i)

B (ii) and (iv)

C (i) and (iii)

D (iii) and (iv)

ICAI'S ANSWER

Answer key: **ICAI has not published the key yet.**

ICAI · P6 · Sep 2026 exam · question p. 12

81 EXAM **Sep 2026** Q6(a) 5 marks

A well-crafted corporate mission not only provides an organisation with its special identity but also serves as a justification for its existence. Elaborate on the primary reasons why an organisation must establish a mission. Furthermore, explain how management expert Peter Drucker advises firms to answer the fundamental question 'what business are we in ?'

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P6 · Sep 2026 exam · question p. 21

82 EXAM **Jan 2026** Case scenario · MCQ 9 to MCQ 13

CASE SCENARIO

Case Scenario - II Kalpanjali Dairy, a mid-sized cooperative based in Uttar Pradesh, has established a reputation over the past 20 years for producing traditional but high-quality dairy products sourced from small-scale farmers. Its operations are rooted in cooperative ethics, aiming for both profitability and farmer welfare. Now, Kalpanjali is facing multiple cross-challenges rising competition, shifting health narratives, concern for climate change, and ethical debates around animal welfare. With a vision to become a national brand by 2035, Kalpanjali must rethink its plan of action. The founders of Kalpanjali Dairy intended to create a values-driven brand that not only delivered quality but also empowered dairy farmers. It intends to become one of the top 10 dairy brands in India by 2035, with a strong presence in organic and health-based dairy offerings and proving good services, which is in a heavy demand and has to draw a vision plan accordingly. A Value Chain Analysis revealed strength in material handling, stock control and better transportation system, but a gap in R&D and digital marketing. After extensive stakeholder discussion, Kalpanjali considered three strategic options:

1. Defensive Strategy Double down on traditional dairy and educate consumers on the nutritional value of milk and the ethical treatment of animals.

2. Diversification Strategy - Launch a vegan product line (e.g., almond/oat-based milk, vegan yogurt) under a sub-brand to appeal to changing preferences.

3. Collaborative Strategy - Partner with NGOs and health influencers to improve public image and trust.

On detailed internal analysis of various strategic drivers, leadership opted for a hybrid strategy:

- Continue improving and promoting high-quality dairy products with transparent animal welfare practices.
- Simultaneously launch a vegan line to cater to health-conscious and ethically driven consumers under a new sub-brand Kalpanjali Plant Wise.
- Investing in an R&D facility to develop almond milk, oat milk, and vegan ghee.
- Partnering with food tech startups and nutritionists.
- Training farmers to improve animal healthcare and promote "cruelty-free dairy" certification.
- A strong communication campaign: "Empowered by your choice, grounded in respect" - highlighting that Kalpanjali supports both dairy and plant-based lifestyles.
- Rebranding efforts to clearly differentiate the dairy and vegan lines while maintaining core brand identity.

Based on the above case scenario, choose the correct answer to Question No. 9 to 13.

MCQ 9

Kalpanjali Dairy's action plan to become a top 10 dairy brand by 2035, with a strong presence in organic and health-based dairy offerings, is an example of:

A Strategic control

B Strategic intent

C Operational efficiency

D Tactical planning

MCQ 10

Within the context of Kalpanjali Dairy's analysis, which of the following would be best classified as strength?

A Operations

B Service

C Inbound logistics

D Sales

MCQ 11

Kalpanjali Dairy has decided to launch a new product line featuring vegan yogurt and organic milk in response to shifting consumer preferences. This initiative represents which type of strategic option?

A Market Penetration

B Concentric Diversification

C Conglomerate Diversification

D Innovation

MCQ 12

There is external pressure on the company's traditional dairy business. Which type of strategic challenge is the company facing?

- A Supply chain inefficiency
- B Industry deregulation
- C Socio-cultural shift impacting demand
- D Technological disruption

MCQ 13

What strategic driver did company adopt for a long term strategy?

- A Product
- B Industry
- C Pricing
- D Channel

ICAI'S ANSWERS

MCQ 9

Answer key: **(B)**

MCQ 10

Answer key: **(C)**

MCQ 11

Answer key: **(B)**

MCQ 12

Answer key: **(C)**

MCQ 13

Answer key: **(A)**

ICAI · P6 · Jan 2026 exam · question p. 5-6

83 **EXAM** **Jan 2026** Q8(b) **5 marks**

Objectives with a strategic focus is aimed at achieving outcomes that enhance an organization's overall business position and competitive strength. In view of the above statement, enumerate the characteristics of ideal objectives that are meaningful and effectively serve their intended purpose.

ICAI'S ANSWER

Objectives with strategic focus relate to outcomes that strengthen an organisation's overall business position and competitive vitality. Objectives, to be meaningful to serve the intended role, must possess the following characteristics:

- Objectives should define the organisation's relationship with its environment.
- They should be facilitative towards achievement of mission and purpose.
- They should provide the basis for strategic decision-making.
- They should provide standards for performance appraisal.
- They should be concrete and specific.
- They should be related to a time frame.
- They should be measurable and controllable.

- They should be challenging.
- Different objectives should correlate with each other.
- Objectives should be set within the constraints of organisational resources and external environment.

ICAI · P6 · Jan 2026 exam · question p. 32 · answer p. 33-34

84 EXAM **Sep 2025** Case scenario · MCQ 9 to MCQ 13 10 marks

CASE SCENARIO

Case Scenario - II Solar Tech Innovation, a start-up specialization in next-generation solar panels entered the highly competitive renewable energy sector with a mission to make solar power more accessible and efficient. However, the company faced significant challenges, including high R&D costs, limited consumer awareness, regulatory compliance hurdles and stiff competition from established energy providers. To navigate these challenges, Solar Tech conducted an in-depth market analysis, identifying a strong demand for residential and commercial solar solution due to rising electricity cost and government incentives on green energy. However, it also noted threats from lower-cost alternatives and slow adoption in some regions. To differentiate itself, Solar Tech developed ultra-thin, high efficiency solar panels that could generate more power in less space. This innovation appealed to homeowners and businesses looking for cost-effective grand space-saving solutions. The company also adopted a strategic expansion model, first targeting urban centers with high energy consumption and gradually moving to rural areas. Internally, the leadership headed by CEO Mr. Rajiv, implemented structural changes to improve decision making. The company embraced a decentralized approach enabling regional teams adapt their sales and marketing strategies to local market conditions. Additionally, Solar Tech partnered with financial institutions to offer easy financing options, making solar energy more affordable. To enhance operational efficiency, Solar Tech streamlined its supply chain and secured bulk raw material procurement deals, reducing cost without compromising quality. Simultaneously, the company focused on customer education through digital marketing and community outreach programs, increasing awareness and adoption. Over four years, these strategic initiatives led to Solar Tech's expansion across multiple states, partnerships with real estate developers, and a 60% increase in annual revenue. By aligning technological innovation, operational efficiency and market expansion, the company successfully positioned itself in the renewable energy sector.

Based on the above case scenario, choose the correct answer to Q. Nos. 9 to 13.

MCQ 9 2 marks

A company's core values are essential for decision making and strategic alignment. Which of the following would be considered a violation of Solar Tech Innovation's values?

A Investing in high-efficiency solar panels that reduce carbon emissions.

B Partnering with fossil fuel companies to increase short term profitability.

C Launching an initiative to make solar energy more affordable for rural areas.

D Encouraging employees to participate in sustainability programs.

MCQ 10 2 marks

Solar Tech expands its distribution network by forming partnerships with retail chains. This directly affects which value chain activity?

A Firms infrastructure

B Inbound logistics

C Outbound logistics

D Technology development

MCQ 11 2 marks

Solar Tech innovation partnered with financial institutions to offer easy financing options to make solar energy more affordable. This decision falls under which strategic level?

A Corporate Level

B Business Level

C Functional Level

D Operational Levél

MCQ 12 2 marks

Solar Tech is considering expanding into a developing country where electricity access is low. Which external factor is the primary reason for this decision?

A Low production costs in the target country

B Strong competition from global solar brands

C Availability of skilled solar engineers

D High demand for alternative energy sources

MCQ 13 2 marks

A leading real estate developer, Green Habitat Constructions, wants to integrate Solar Tech's next-generation panels into its residential and commercial projects. Where would Green Habitat Constructions fall in Mendelow Matrix?

A High power, High interest (Key Players)

B Low power, Low interest (Low Priority)

C Low power, High interest (Keep informed)

D High power, Low interest (Keep Satisfied)

ICAI'S ANSWERS

MCQ 9

Answer key: **(B)**

MCQ 10

Answer key: **(C)**

MCQ 11

Answer key: **(C)**

MCQ 12

Answer key: **(D)**

MCQ 13

Answer key: **(A)**

ICAI · P6 · Sep 2025 exam · question p. 4

85 EXAM **Sep 2025** Q6(a) 5 marks

Also asked in MTP Sep 2026 S-II Q2(a) · MTP May 2026 S-I Q2(a)

"A well-defined vision and mission statement provide direction and purpose to an organization." Explain the significance of vision and mission statements in strategic planning.

ICAI'S ANSWER

Strategic Management is a dynamic process of formulation, implementation, evaluation and control of strategies to realise the organisation's strategic intent. Strategic intent clarifies what the organisation wants to do and why it wants to do it, which forms the basis of vision and mission statements. A vision statement describes the organisation's future aspirations and desired position while a mission statement explains its present business scope, purpose, goals and the means to achieve them. Together, they provide direction and purpose in strategic planning. Significance of Vision in Strategic Planning:

- Provides a blueprint of where the organisation wants to be.
- Aligns organisational efforts on a chosen path.
- Creates enthusiasm and mould's identity.
- Clarifies aspirations in products, markets, customers and technology.

Significance of Mission in Strategic Planning:

- Explains the reason for the firm's existence.
- Ensures unanimity of purpose and efficient resource use.
- Standard for allocation and goal translation.
- Gives distinct identity and direction.
- Reflects present activities and ensures legitimacy.

Thus, a well-defined vision and mission provide clarity of purpose, direction for growth and a framework for decision-making. Vision answers, "where we want to go," and mission answers "what business we are in and why we exist." Together, they form the philosophical base of strategy and guide the organisation toward long-term success.

ICAI · P6 · Sep 2025 exam · question p. 22-23 · answer p. 23

86 **EXAM** **Sep 2024** Q6(a) **5 marks**

Same question, different ICAI answer: #97 RTP May 2025

Explain in brief the term 'objectives' as part of strategic intent. Also outline the characteristics, the objectives of a company must possess to be meaningful and to serve the intended role.

ICAI'S ANSWER

Objectives are an organization's performance targets – the results and outcomes it wants to achieve. They function as yardstick for tracking an organization's performance and progress. Objectives with strategic focus relate to outcomes that strengthen an organization's overall business position and competitive vitality. Objectives, to be meaningful to serve the intended role, must possess the following characteristics:

- Objectives should define the organisation's relationship with its environment.
- They should be facilitative towards achievement of mission and purpose.
- They should provide the basis for strategic decision-making.
- They should provide standards for performance appraisal.
- They should be concrete and specific.

- They should be related to a time frame.
- They should be measurable and controllable.
- They should be challenging.
- Different objectives should correlate with each other.
- Objectives should be set within the constraints of organisational resources and external environment.

ICAI · P6 · Sep 2024 exam · question p. 29 · answer p. 29-30

87 EXAM **May 2024** Q7(b) 5 marks

Also asked in RTP Jan 2026 Q8 · RTP Sep 2025 Q8 · MTP May 2025 S-I Q2(b)

Same question, different ICAI answer: #99 RTP Jan 2025

'A company's mission statement is typically focused on its present business scope.' Explain the significance of a mission statement.

ICAI'S ANSWER

A company's mission statement is typically focused on its present business scope who we are and what we do. Mission statements broadly describe an organization's present capability, customer focus, activities, and business make up. Mission for an organization is significant for the following reasons:

- It ensures unanimity of purpose within the organization.
- It develops a basis, or standard, for allocating organizational resources.
- It provides a basis for innovating the use of the organisation's resources
- It establishes a general tone or organizational climate, to suggest a business like operation.
- It serves as a focal point for those who can identify with the organisation's purpose and direction.
- It facilitates the translation of objectives and goals into a work structure involving the assignment of tasks to responsible elements within the organization.
- It specifies organizational purposes and the translation of these purposes into goals in such a way that cost, time, and performance parameters can be assessed and controlled.

ICAI · P6 · May 2024 exam · question p. 31-32 · answer p. 32-33

88 EXAM **Old P7 Nov 2022** Q9(b) 5 marks old scheme

"Strategic intent provides the framework within which the firm would adopt a predetermined direction and would operate to achieve strategic objectives." In the light of this statement, discuss the elements of strategic intent.

ICAI'S ANSWER

Strategic intent can be understood as the philosophical base of strategic management. It implies the purposes, which an organization endeavours to achieve. It is a statement that provides a perspective. Strategic intent gives an idea of what the organization desires to attain in future. Strategic intent provides the framework within which the firm would adopt a predetermined direction and would operate to achieve strategic objectives.

Elements of strategic management are as follows:

(i) Vision: Vision implies the blueprint of the company's future position. It describes where the organisation wants to land. It depicts the organisation's aspirations and provides a glimpse of what the organization would like to become in future. Every sub system of the organization is required to follow its vision.

(ii) Mission: Mission delineates the firm's business, its goals and ways to reach the goals. It explains the reason for the existence of the firm in the society. A mission statement helps to identify, 'what business the company undertakes.' It defines the present capabilities, activities, customer focus and role in society.

(iii) Business Definition: It seeks to explain the business undertaken by the firm, with respect to the customer needs, target markets, and alternative technologies. With the help of business definition, one can ascertain the strategic business choices.

(iv) Business Model: Business model, as the name implies is a strategy for the effective operation of the business, ascertaining sources of income, desired customer base, and financial details. Rival firms, operating in the same industry rely on the different business model due to their strategic choice.

(v) Goals and Objectives: These are the base of measurement. Goals are the end results, that the organization attempts to achieve. On the other hand, objectives are time-based measurable targets, which help in the accomplishment of goals. These are the end results which are to be attained with the help of an overall plan. However, in practice, no distinction is made between goals and objectives and both the terms are used interchangeably.

ICAI · Old P7 · Nov 2022 exam · question p. 16-17 · answer p. 17-18

89 EXAM **Old P7 Nov 2020** Q9(b) 5 marks old scheme

What is strategic vision? Describe the essentials of strategic vision.

ICAI'S ANSWER

Strategic Vision

A strategic vision is a roadmap of a company's future – providing specifics about technology and customer focus, the geographic and product markets to be pursued, the capabilities it plans to develop, and the kind of company that management is trying to create. It helps the company to answer the question "where we are to go" and provides a convincing rationale for why this makes good business sense for the company.

A strategic vision delineates organization's aspirations for the business, providing a panoramic view of the position where the organization is going. A strategic vision points an organization in a particular direction, charts a strategic path for it to follow in preparing for the future, and molds organizational identity.

Essentials of a strategic vision

- The entrepreneurial challenge in developing a strategic vision is to think creatively about how to prepare a company for the future.
- Forming a strategic vision is an exercise in intelligent entrepreneurship.
- A well-articulated strategic vision creates enthusiasm among the members of the organization.

- The best-worded vision statement clearly illuminates the direction in which organization is headed.

ICAI · Old P7 · Nov 2020 exam · question p. 14 · answer p. 15

90 EXAM **Old P7 Nov 2019** Q8(a) 5 marks old scheme

Why an organisation should have a mission? What considerations are to be kept in mind while writing a good mission statement of a company?

ICAI'S ANSWER

Organization should have a mission on account of the following reasons:

- To ensure unanimity of purpose within the organization.
- To develop a basis, or standard, for allocating organizational resources.
- To provide a basis for motivating the use of the organization's resources.
- To establish a general tone or organizational climate.
- To serve as a focal point for those who can identify with the organization's purpose and direction.
- To facilitate the translation of objective and goals into a work structure involving the assignment of tasks to responsible elements within the organization.
- To specify organizational purposes and the translation of these purposes into goals in such a way that cost, time, and performance parameters can be assessed and controlled.

The following points must be considered while writing a good mission statement of a company:

(i) To establish the special identity of the business - one that typically distinct it from other similarly positioned companies.

(ii) Good mission statements should be unique to the organisation for which they are developed.

(iii) Needs which business tries to satisfy, customer groups it wishes to target and the technologies and competencies it uses and the activities it performs.

ICAI · Old P7 · Nov 2019 exam · question p. 11 · answer p. 11-12

91 EXAM **Old P7 May 2019** Q8(a) 5 marks old scheme

What are the characteristics which must be possess by objectives, to be meaningful to serve the intended role?

ICAI'S ANSWER

Objectives with strategic focus relate to outcomes that strengthen an organization's overall business position and competitive vitality. Objectives, to be meaningful to serve the intended role, must possess the following characteristics:

- Objectives should define the organization's relationship with its environment.
- Objectives should be facilitative towards achievement of mission and purpose.
- Objectives should provide the basis for strategic decision-making.
- Objectives should provide standards for performance appraisal.
- Objectives should be understandable.
- Objectives should be concrete and specific.
- Objectives should be related to a time frame.

- Objectives should be measurable and controllable.
- Objectives should be challenging.
- Different objectives should correlate with each other.
- Objectives should be set within constraints.

ICAI · Old P7 · May 2019 exam · question p. 12 · answer p. 12

92 EXAM **Old P7 Nov 2018** Q8(a) 2 marks old scheme

Which of the following statements are correct and which are incorrect? Give reasons in brief for your answer.

Vision is one of the key elements of Strategic Intent.

ICAI'S ANSWER

Correct: Vision implies the blueprint of the company's future position. It describes where the organisation wants to land. It depicts the organisation's aspirations and provides a glimpse of what the organisation would like to become in future. Every sub system of the organisation is required to follow its vision.

ICAI · Old P7 · Nov 2018 exam · question p. 12 · answer p. 12

93 EXAM **Old P7 May 2018** Q7(b) 2 marks old scheme

Describe the term 'Strategic Vision'.

ICAI'S ANSWER

A strategic vision delineates organisation's aspirations for the business, providing a panoramic view of the position where the organisation is going. A strategic vision points an organization in a particular direction, charts a strategic path for it to follow in preparing for the future, and moulds organizational identity.

A Strategic vision is a roadmap of a company's future – providing specifics about technology and customer focus, the geographic and product markets to be pursued, the capabilities it plans to develop, and the kind of company that management is trying to create.

ICAI · Old P7 · May 2018 exam · question p. 10 · answer p. 10

94 RTP **Sep 2026** Q8

PharmaLife Global Ltd., a multinational pharmaceutical company, is formulating its long-term strategic direction. The top management prepares a document that defines the company's desired future position, outlines its long-term aspirations, and provides a clear direction for the organisation over the next decade. The document answers the question, "Where do we want to go?", inspires employees and stakeholders and shapes future strategic decisions without specifying detailed operational plans. Identify the conceptual element of strategic intent and explain its meaning and key characteristics.

ICAI'S ANSWER

The conceptual element of strategic intent referred to in the case is Strategic Vision. A strategic vision reflects the top management's views about the company's future direction and its product-customer-market-technology focus. It delineates management's aspirations for the business by providing a panoramic view of "where we are to go" and a convincing rationale for why the chosen direction makes good business sense. It points out a particular direction, charts the strategic path to be followed in the future, and helps mould the organisation's identity. A clearly articulated strategic

vision communicates management's aspirations to stakeholders and steers the energies of employees towards a common direction. Essentials of a Strategic Vision:

1. Developing a strategic vision requires management to think creatively about preparing the company for the future.

2. Forming a strategic vision is an exercise in intelligent entrepreneurship.

3. A well-articulated strategic vision creates enthusiasm among the members of the organisation.

4. The best-worded vision statement clearly illuminates the direction in which the organisation is headed. In the given case, the document outlining the company's long-term aspirations, answering "Where do we want to go?" and providing direction for the next decade represents the company's Strategic Vision.

ICAI · P6 · RTP Sep 2026 · question p. 32-33 · answer p. 36

95 RTP **May 2026** Q7

Ms. Kavya has been appointed as the CEO of GreenHarvest Foods Ltd., an organic food company that has diversified into plant-based nutrition products. The company plans to launch the NutriPure brand of plant-based protein foods. GreenHarvest aims to promote healthy lifestyles through nutritious, sustainable, and ethically sourced food products. Draft a suitable vision and mission statement that Kavya may formulate for NutriPure.

ICAI'S ANSWER

The NutriPure brand of plant-based nutrition products may have the following vision and mission: Vision: Vision implies the blueprint of the company's future position. It describes where the organization wants to land. Ms. Kavya should aim to position NutriPure as a trusted leader in plant-based nutrition. The vision may be "To be a leading plant-based nutrition brand that nourishes lives, supports holistic well-being, and inspires sustainable living." Mission: Mission defines the firm's business purpose, goals, and approach to achieving them. It explains the reason for the company's existence. Ms. Kavya may articulate the mission as:

- To develop plant-based nutrition products that enhance health and vitality.
- To promote sustainable food choices through ethically sourced and natural ingredients.
- To support healthier communities by providing safe, nutritious and environmentally responsible food solutions.

ICAI · P6 · RTP May 2026 · question p. 34 · answer p. 36

96 RTP **May 2025** Case scenario · Q1(i) to Q1(v)

CASE SCENARIO

DezineFabs is a fast-growing clothing brand in India. It started with a clear goal: to make stylish clothes affordable for everyone while also being mindful of the environment. The company strongly believes in three values – inclusivity, sustainability, and innovation in fashion. DezineFabs, a dynamic player in India's bustling clothing industry, offers a compelling example of how astute integration of core business principles can pave the path to triumph. DezineFabs was born with a clear vision: making stylish clothing accessible to every Indian, while minimizing their environmental impact through sustainability initiatives. Their guiding values include inclusivity, sustainability, and a forward-looking approach to fashion. In the beginning, DezineFabs emerged as a humble boutique offering affordable clothing. At that time, the clothing market was rapidly evolving, with consumers

seeking affordable yet chic options. Recognizing these shifts in customer behavior, DezineFabs evolved its product range, embracing formal wear, active wear, and ethnic wear as the market matured. Their ability to comprehend customer styles was pivotal. DezineFabs conducted comprehensive market research to decode fashion trends and changing consumer preferences. This approach led to the creation of collections that resonated with their target audience. They also monitored social media and customer feedback channels, staying attuned to the evolving tastes and demands of their customers. Notably, they quickly responded to the growing demand for sustainable fashion by launching an eco-friendly clothing line.

To manage their diverse stakeholders effectively, DezineFabs tactfully classified their stakeholders. Fashion influencers and suppliers were nurtured through strategic partnerships, which not only elevated DezineFabs' brand image but also endowed them with access to cutting-edge fashion trends and premium materials. Simultaneously, they maintained transparent and responsive communication with local communities and loyal customers. By actively addressing their concerns and soliciting feedback, DezineFabs upheld a positive reputation and nurtured customer loyalty. DezineFabs' prowess laid in the ability of trend forecasting, efficient supply chain management, and robust vendor relationships. Their design team incessantly innovated to remain ahead of evolving fashion trends, allowing them to design collections that resonated deeply with their customer base. Their streamlined supply chain reduced lead times and operational costs, which translated into competitive pricing and the timely delivery of high-quality products. Strong vendor relationships provided them with a consistent supply of premium materials, further fortifying their core competences. To fuel sustainable growth, DezineFabs executed a two-pronged approach encompassing market penetration and diversification. They embarked on a journey into tier 2 and 3 cities within India, capturing the attention of urban and semi-urban demographics. Simultaneously, they ventured into international markets, setting their sights on regions where Indian fashion was gaining traction. Recognizing that growth necessitates change, DezineFabs cultivated a corporate culture that celebrated adaptability and innovation. Employees were not merely encouraged but were adequately empowered through specialized training programs, equipping them with the skills needed for seamless adaptation to new product launches and market expansions. Vigilant strategic control mechanisms underpinned DezineFabs' growth trajectory, ensuring that their expansion remained harmonized with their values and overarching objectives. Routine performance assessments and evaluative protocols equipped the organization with real-time insights. These insights empowered informed decision-making, enabling DezineFabs to adjust their strategies deftly in response to ever-evolving market dynamics, shifting customer behavior, and emerging fashion trends. DezineFabs' exceptional journey in India's clothing industry underscores the remarkable outcomes that can be realized through the seamless amalgamation of core business principles. In a world where the fashion landscape evolves ceaselessly, DezineFabs remains a beacon of affordability, sustainability, and accessibility, ensuring that fashion remains an inclusive pursuit for all. Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(i)

DezineFabs, an Indian clothing company, is deeply committed to a specific core value that underpins its business philosophy. This core value plays a pivotal role in guiding their actions and decisions. What is the central core value that defines DezineFabs' business philosophy?

A Exclusivity, where they prioritize offering unique and rare clothing items.

B Sustainability, reflecting their dedication to minimizing environmental impact.

C Profit maximization, focusing primarily on financial gains.

D International expansion, aiming to dominate global markets.

Q1(ii)

DezineFabs embarked on a strategic move to introduce specific product variants at a particular phase of the product life cycle. In which phase did DezineFabs introduce gluten-free and organic variants of their products?

A Introduction phase, targeting early market entrants.

B Growth phase, capitalizing on expanding market demand.

C Maturity phase, aiming to maintain market share.

D Decline phase, attempting to revive fading product sales.

Q1(iii)

DezineFabs showcased agility in adapting to evolving customer preferences. How did they respond to changing customer behavior, as highlighted in the given case?

A By increasing the prices of their products to enhance exclusivity.

B By introducing a sustainable clothing line in response to a growing demand for eco-friendly fashion.

C By ignoring customer feedback and focusing solely on their original product range.

D By reducing the variety of their products to simplify their offerings.

Q1(iv)

In accordance with Mendelow's Matrix, some stakeholder groups possess high power and high interest in a company's operations. Among the options listed below, which stakeholder group typically falls into the category of high power and high interest?

A Local communities with a vested interest in the company's impact on their neighborhoods.

B Fashion influencers, who can significantly affect brand perception and consumer choices.

C Loyal customers who consistently purchase the company's products.

D Low-power suppliers providing non-critical materials.

Q1(v)

The case highlights one of DezineFabs' core competences, which contributes significantly to their success in the clothing industry. What specific core competence is emphasized in the given case?

A Expertise in automobile manufacturing, unrelated to their clothing business.

B Expertise in designing luxury watches, a separate industry altogether.

C Expertise in trend forecasting, which plays a critical role in the fashion industry.

D Expertise in aerospace engineering, unrelated to their clothing business.

ICAI'S ANSWERS

Q1(i)

Answer key: **(B)**

Q1(ii)

Answer key: **(B)**

Q1(iii)

Answer key: **(B)**

Q1(iv)

Answer key: **(B)**

Q1(v)

Answer key: **(C)**

ICAI · P6 · RTP May 2025 · question p. 32-34

97 RTP **May 2025** Q8

Same question, different ICAI answer: #86 Exam Sep 2024

Explain in brief the term 'objectives' as part of strategic intent. Also outline the characteristics, the objectives of a company must possess to be meaningful and to serve the intended role.

ICAI'S ANSWER

Objectives are an organization's performance targets – the results and outcomes it wants to achieve. They function as yardsticks for tracking an organization's performance and progress. Objectives with strategic focus relate to outcomes that strengthen an organization's overall business position and competitive vitality.

Objectives, to be meaningful to serve the intended role, must possess the following characteristics:

- Objectives should define the organisation's relationship with its environment.
- They should be facilitated towards the achievement of mission and purpose.
- They should provide the basis for strategic decision-making.
- They should provide standards for performance appraisal.
- They should be concrete and specific.
- They should be related to a time frame.
- They should be measurable and controllable.
- They should be challenging.
- Different objectives should correlate with each other.
- Objectives should be set within the constraints of organisational resources and the external environment.

ICAI · P6 · RTP May 2025 · question p. 38 · answer p. 40-41

98 RTP **Jan 2025** Q2 MCQ

In a recent strategy meeting, the leadership team of TechNova, a growing software development firm, emphasized the importance of defining the core purpose of the organization. They aimed to outline the primary reason for the company's existence and to guide their decision-making processes during challenging times. They noted that this central guiding declaration would help align the team's efforts and communicate to stakeholders what the company stands for. What term best describes the central guiding declaration that communicates the purpose and values of TechNova?

A Vision

B Mission

C Objectives

D Goals

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP Jan 2025 · question p. 35

99 RTP **Jan 2025** Q8

Same question, different ICAI answer: #87 Exam May 2024

'A company's mission statement is typically focused on its present business scope.' Explain the significance of a mission statement.

ICAI'S ANSWER

managing the divestment and acquisition process. Given the diverse nature of XYZ Enterprises, including renewable energy solutions, organic skincare products, eco-friendly packaging, and smart home technologies, the CEO's responsibilities are tailored to navigate the unique challenges and opportunities presented by each sector. In conclusion, the CEO at the Corporate Level plays a critical role in guiding XYZ Enterprises strategically, ensuring cohesive leadership, and driving sustainable success across its diverse business domains.

8. A company's mission statement is typically focused on its present business scope, who we are and what we do. Mission statements broadly describe an organization's present capability, customer focus, activities, and business make up. Mission for an organization is significant for the following reasons:

- It ensures unanimity of purpose within the organization.
- It develops a basis, or standard, for allocating organizational resources.
- It provides a basis for innovating the use of the organisation's resources
- It establishes a general tone or organizational climate, to suggest a business-like operation.
- It serves as a focal point for those who can identify with the organisation's purpose and direction.
- It facilitates the translation of objectives and goals into a work structure involving the assignment of tasks to responsible elements within the organization.
- It specifies organizational purposes and the translation of these purposes into goals in such a way that cost, time, and performance parameters can be assessed and controlled.

ICAI · P6 · RTP Jan 2025 · question p. 37 · answer p. 39-40

100 RTP **May 2024** Q2 MCQ

ABC Foundation envisages a world where every individual, regardless of background, has access to quality education, eradicating illiteracy globally. ABC Foundation is committed to establishing 1000 learning centers, with a target to reach 1 million learners in the next five years. Their core values emphasize equality, empowerment, and knowledge-sharing. What represents the fundamental purpose and long-term aspirations of ABC Foundation?

A Vision

B Values

C Mission

D Goals and Objectives

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · RTP May 2024 · question p. 33

101 RTP **May 2024** Q7

ABC Pharmaceuticals, a leading pharmaceutical company, is in the process of formulating its strategic intent. The top management of ABC Pharmaceuticals wants to define the company's future direction, objectives, and goals. Their aim is to create a vision that sets the organization apart and provides a roadmap for future growth. ABC Pharmaceuticals aspires to enrich the lives of people by producing high-quality pharmaceutical products at competitive prices and wants to become the world's leading pharmaceutical company by 2030." Based on this context, draft a vision and mission statement that could be formulated by the top management of ABC Pharmaceuticals.

ICAI'S ANSWER

ABC Pharmaceuticals may have following vision and mission: Vision: Vision implies the blueprint of the company's future position. It describes where the organisation wants to land. ABC Pharmaceuticals may have vision "To be the globally recognized leader in pharmaceutical innovation and enriching the lives of people worldwide by providing high-quality, affordable, and accessible pharmaceutical products." Mission: Mission delineates the firm's business, its goals and ways to reach the goals. It explains the reason for the existence of the firm in society. It is designed to help potential shareholders and investors understand the purpose of the company. ABC Pharmaceuticals may identify mission in the following lines:

- To improve the well-being of individuals and communities by relentlessly pursuing excellence in pharmaceutical research, development, and manufacturing.
- Committed to producing safe, effective, and sustainable medicines that address unmet medical needs and enhance the quality of life for patients.
- Through innovation, collaboration, and ethical practices, we aim to make a positive impact on global healthcare and become the trusted partner of healthcare providers and patients alike.

ICAI · P6 · RTP May 2024 · question p. 34-35 · answer p. 37

102 RTP **Old P7 Nov 2023** Q12 old scheme

ABC Pharmaceuticals, a leading pharmaceutical company, is in the process of formulating its strategic intent. The top management of ABC Pharmaceuticals wants to define the company's future direction, objectives, and goals. They aim is to create a vision that sets the organization apart and provides a roadmap for future growth. ABC Pharmaceuticals aspires to enrich the lives of people by producing high-quality pharmaceutical products at competitive prices and wants to become the world's leading pharmaceutical company by 2030." Based on this context, draft a vision and mission statement that could be formulated by the top management of ABC Pharmaceuticals.

ICAI'S ANSWER

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- Through innovation, collaboration, and ethical practices, we aim to make a positive impact on global healthcare and become the trusted partner of healthcare providers and patients alike.

ICAI · Old P7 · RTP Nov 2023 · question p. 16 · answer p. 18-19

103 RTP **Old P7 May 2023** Q11 old scheme

Same question, different ICAI answer: #143 Old P7 MTP Jul 2021 S-II · #145 Old P7 MTP Nov 2020 S-I

Mission statement of a company focuses on the question: 'who we are' and 'what we do'. Explain briefly.

ICAI'S ANSWER

A company's mission statement is typically focused on its present business scope — "who we are and what we do"; mission statements broadly describe an organizations present capabilities, customer focus activities and business makeup. An organisation's mission states what customers it serves, what need it satisfies, and what type of product it offers. It is an expression of the growth ambition of the organisation. It helps organisation to set its own special identity, business emphasis and path for development. Mission amplifies what brings the organisation to this business or why it is there, what existence it seeks and what purpose it seeks to achieve as a business organisation.

In other words, the mission serves as a justification for the firm's very pre sence and existence; it legitimizes the firm's presence.

ICAI · Old P7 · RTP May 2023 · question p. 18 · answer p. 22

104 RTP **Old P7 Nov 2022** Q5 MCQ old scheme

Jaipur Mart an online marketplace where people from all over Rajasthan come and sell their goods is charging zero commission for listing goods but they take 1% of the sales per month from the seller. It is defined as?

A Business Intent

B Business Idea

C Business Definition

D Business Model

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP Nov 2022 · question p. 16

105 RTP **Old P7 Nov 2022** Q11 old scheme

What should be the major components of a good mission statement?

ICAI'S ANSWER

Mission statements broadly describe an organizations' present capabilities, customer focus, activities, and business makeup. Following points are useful while writing a good mission statement

of a company:

- Good mission statement is highly personalized – unique to the organization for which it is developed.
- *Mission statement should emphasize on giving an organization its own special identity, business emphasis and path for development.
- *Mission statement should clearly specify that, what needs it is trying to satisfy, customer groups it is targeting, technologies and competencies it uses and the activities it performs.
- Technology, competencies and activities are important in defining a company's business because they indicate the boundaries on its operation.
- The mission should not be to make profit.

ICAI · Old P7 · RTP Nov 2022 · question p. 17 · answer p. 20-21

106 RTP **Old P7 Nov 2022** Q12 old scheme

Also asked in Old P7 RTP Jul 2021 Q11 · Old P7 MTP May 2022 S-I Q4(b)

Explain briefly the key areas in which the strategic planner should concentrate his mind to achieve desired results.

ICAI'S ANSWER

A strategic manager defines the strategic intent of the organisation and take it on the path of achieving the organisational objectives. There can be a number of areas that a strategic manager should concentrate on to achieve desired results. They commonly establish long-term objectives in seven areas as follows.

- Profitability.
- Productivity.
- Competitive Position.
- Employee Development.
- Employee Relations.
- Technological Leadership.
- Public Responsibility.

ICAI · Old P7 · RTP Nov 2022 · question p. 17 · answer p. 21

107 RTP **Old P7 May 2022** Q12 old scheme

Also asked in Old P7 MTP May 2023 S-II Q6(b)

What are 'objectives'? What characteristics it must possess to be meaningful?

ICAI'S ANSWER

Objectives are organizations performance targets – the results and outcomes it wants to achieve. They function as yardstick for tracking an organization's performance and progress.

Objectives with strategic focus relate to outcomes that strengthen an organization's overall business position and competitive vitality. Objectives, to be meaningful to serve the intended role, must possess the following characteristics:

- Objectives should define the organization's relationship with its environment.

- Objectives should be facilitative towards achievement of mission and purpose.
- Objectives should provide the basis for strategic decision-making.
- Objectives should provide standards for performance appraisal.
- Objectives should be understandable.
- Objectives should be concrete and specific.
- Objectives should be related to a time frame.
- Objectives should be measurable and controllable.
- Objectives should be challenging.
- Different objectives should correlate with each other.
- Objectives should be set within constraints.

ICAI · Old P7 · RTP May 2022 · question p. 18 · answer p. 21-22

108 RTP **Old P7 Dec 2021** Q2 MCQ old scheme

Drishti Care is a not-for profit eye hospital and research centre. Which one of the following statements is likely to relate to Drishti Care's vision, rather than its mission statement?

A Drishti Care places patient care before all else.

B Drishti Care will be the global leader in cutting edge eye surgery.

C Drishti Care offers the highest level of patient care throughout country.

D Drishti Care consultants strive to continually improve surgical techniques.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP Dec 2021 · question p. 16

109 RTP **Old P7 Jul 2021** Q12 old scheme

What are 'objectives'? What characteristics it must possess to be mea ningful?

ICAI'S ANSWER

Objectives are organizations performance targets – the results and outcomes it wants to achieve. They function as yardstick for tracking an organization's performance and progress.

Objectives with strategic focus relate to outcomes that strengthen an organization's overall business position and competitive vitality. Objectives, to be meaningful to serve the intended role, must possess the following characteristics:

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- Objectives should be related to a time frame.
- Objectives should be measurable and controllable.

- Objectives should be challenging.
- Different objectives should correlate with each other.
- Objectives should be set within constraints.

ICAI · Old P7 · RTP Jul 2021 · question p. 16 · answer p. 19-20

110 RTP **Old P7 Nov 2020** Q11 old scheme

Same question, different ICAI answer: #114 Old P7 RTP Nov 2019

Mr. Raj has been hired as a CEO by XYZ ltd a FMCG company that has diversified into affordable cosmetics. The company intends to launch Feelgood brand of cosmetics. XYZ wishes to enrich the lives of people with its products that are good for skin and are produced in ecologically beneficial manner using herbal ingredients. Draft vision and mission statement that may be formulated by Raj.

ICAI'S ANSWER

Feelgood brand of cosmetics may have following vision and mission:

Vision: Vision implies the blueprint of the company's future position. It describes where the organisation wants to land. Mr. Raj should aim to position "Feelgood cosmetics" as India's beauty care company. It may have vision to be India's largest beauty care company that improves looks, give extraordinary feeling and bring happiness to people. Mission: Mission delineates the firm's business, its goals and ways to reach the goals. It explains the reason for the existence of the firm in the society. It is designed to help potential shareholders and investors understand the purpose of the company:

Mr Raj may identify mission in the following lines:

- To be in the business of cosmetics to enhance the lives of people, give them confidence to lead.
- To protect skin from harmful elements in environment and sun rays.
- To produce herbal cosmetics using natural ingredients.

ICAI · Old P7 · RTP Nov 2020 · question p. 17 · answer p. 21

111 RTP **Old P7 May 2020** Q1(xi) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Which one is not the element of strategic intent?

A Business model

B Vision

C Business definition

D Business standard

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2020 · question p. 11

112 RTP **Old P7 May 2020** Q7 old scheme

Also asked in Old P7 RTP May 2019 Q7

What are the elements in strategic intent of organisation?

ICAI'S ANSWER

Strategic intent can be understood as the philosophical base of strategic management. It implies the purposes, which an organization endeavours to achieve. It is a statement that provides a perspective. Strategic intent gives an idea of what the organization desires to attain in future. Strategic intent provides the framework within which the firm would adopt a predetermined direction and would operate to achieve strategic objectives. Elements of strategic management are as follows:

(i) Vision: Vision implies the blueprint of the company's future position. It describes where the organisation wants to land. It depicts the organisation's aspirations and provides a glimps of what the organization would like to become in future. Every sub system of the organization is required to follow its vision.

(ii) Mission: Mission delineates the firm's business, its goals and ways to reach the goals. It explains the reason for the existence of the firm in the society. A mission statement helps to identify, 'what business the company undertakes.' It defines the present capabilities, activities, customer focus and role in society.

(iii) Business Definition: It seeks to explain the business undertaken by the firm, with respect to the customer needs, target markets, and alternative technologies. With the help of business definition, one can ascertain the strategic business choices.

(iv) Business Model: Business model, as the name implies is a strategy for the effective operation of the business, ascertaining sources of income, desired customer base, and financial details. Rival firms, operating in the same industry rely on the different business model due to their strategic choice.

(v) Goals and Objectives: These are the base of measurement. Goals are the end results, that the organization attempts to achieve. On the other hand, objectives are time-based measurable targets, which help in the accomplishment of goals. These are the end results which are to be attained with the help of an overall plan. However, in practice, no distinction is made between goals and objectives and both the terms are used interchangeably.

ICAI · Old P7 · RTP May 2020 · question p. 14 · answer p. 18-19

113 RTP **Old P7 Nov 2019** Q1(c) MCQ old scheme

In the questions given below select the best answer out of options (A), (B), (C), or (D):

Statement that is typically focused on present business scope and broadly describes an organizations present capabilities, customer focus, activities, and business makeup is:

- A Vision
- B Mission
- C Strategy
- D Goals

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP Nov 2019 · question p. 12

114 RTP **Old P7 Nov 2019** Q6 old scheme

Same question, different ICAI answer: #110 Old P7 RTP Nov 2020

Mr Raj has been hired as a CEO by XYZ ltd a FMCG company that has diversified into affordable cosmetics. The company intends to launch Feelgood brand of cosmetics. XYZ wishes to enrich the lives of people with its products that are good for skin and are produced in ecologically beneficial manner using herbal ingredients. Draft vision and mission statement that may be formulated by Raj.

ICAI'S ANSWER

Feelgood brand of cosmetics may have following vision and mission:

Vision: Vision implies the blueprint of the company's future position. It describes where the organisation wants to land. Mr Raj should aim to position "Feelgood cosmetic s" as India's beauty care company. It may have vision to be India' largest beauty care company that improves looks, give extraordinary feeling and bring happiness to people. Mission: Mission delineates the firm's business, its goals and ways to reach the goals. It explains the reason for the existence of the firm in the society. It is designed to help potential shareholders and investors understand the purpose of the company:

Mr Raj may identify mission in the following lines:

- To be in the business of cosmetics to enhance the lives of people, give them confidence to lead.
- To protect skin from harmful elements in environment and sun rays.
- To produce herbal cosmetics using natural ingredients.

ICAI · Old P7 · RTP Nov 2019 · question p. 14 · answer p. 18

115 RTP **Old P7 May 2019** Q1(iii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Mission:

A. is an internally-focused definition of the organization's societal goals.

B. is a statement of a firms unique purpose and scope of operations.

C. does not relate to the industry in which the firm intends to compete.

D. is developed by a firm before the firm develops its strategic intent.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP May 2019 · question p. 9

116 RTP **Old P7 May 2019** Q18(b) old scheme

Also asked in Old P7 RTP May 2018 Q4(d)

Distinguish between the following: Vision and mission.

ICAI'S ANSWER

The vision describes a future identity while the Mission serves as an on-going and time-independent guide.

The vision statement can galvanize the people to achieve defined objectives, even if they are stretch objectives, provided the vision is specific, measurable, achievable, and relevant and time bound. A mission statement provides a path to realize the vision in line with its values. These statements have a direct bearing on the bottom line and success of the organization.

A mission statement defines the purpose or broader goal for being in existence or in the business and can remain the same for decades if crafted well while a vision statement is more specific in terms of both the future state and the time frame. Vision describes what will be achieved if the organization is successful.

ICAI · Old P7 · RTP May 2019 · question p. 13 · answer p. 23

117 RTP **Old P7 Nov 2018** Q1(c) old scheme

Briefly answer the following questions: What is strategic vision?

ICAI'S ANSWER

A strategic vision delineates organisation's aspirations for the business, providing a panoramic view of the position where the organisation is going. A strategic vision points an organization in a particular direction, charts a strategic path for it to fo llow in preparing for the future, and moulds organizational identity.

A strategic vision is a roadmap of a company's future – providing specifics about technology and customer focus, the geographic and product markets to be pursued, the capabilities it plans to develop, and the kind of company that management is trying to create.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 15

118 RTP **Old P7 Nov 2018** Q2(c) old scheme

State with reasons which of the following statements are correct/incorrect: For a small entrepreneur vision and mission are irrelevant.

ICAI'S ANSWER

Incorrect: Entrepreneur, big or small has to function within several influences from external forces. Competition in different form and different degree is present in all kind and sizes of business. Even entrepreneur with small businesses can have complicated environment. To grow and prosper they need to have clear vision and mission.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 16

119 RTP **Old P7 Nov 2018** Q3(c) old scheme

Write short notes on the following: Essentials of a strategic vision.

ICAI'S ANSWER

Essentials of a strategic vision:

- The entrepreneurial challenge in developing a strategic vision is to think creatively about how to prepare a company for the future.
- Forming a strategic vision is an exercise in intelligent entrepreneurship.
- A well-articulated strategic vision creates enthusiasm among the members of the organisation.
- The best-worded vision statement clearly illuminates the direction in which organization is headed.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 18

120 RTP **Old P7 Nov 2018** Q10 old scheme

'Objectives' and 'Goals' provide meaning and sense of direction to organizational endeavour. Explain.

ICAI'S ANSWER

Business organization translates their vision and mission into objectives. Objectives are open-ended attributes that denote the future states or outcomes. Goals are close-ended attributes which are precise and expressed in specific terms. Thus, the goals are more specific and translate to objectives to short term perspective.

All organizations have objectives. The pursuit of objectives is an unending process such that organizations sustain themselves. They provide meaning and sense of direction to organizational endeavour. Organizational structure and activities are designed and resources are allocated around the objectives to facilitate their achievement. They also act as benchmarks for guiding organizational activity and for evaluating how the organization is performing.

ICAI · Old P7 · RTP Nov 2018 · question p. 13 · answer p. 21-22

121 RTP **Old P7 May 2018** Q10 old scheme

Define strategic intent. Briefly explain the elements of strategic intent.

ICAI'S ANSWER

Strategic Management is defined as a dynamic process of formulation, implementation, evaluation, and control of strategies to realise the organization's strategic intent. Strategic intent refers to purposes for what organization strives for. Top management must d efine "what they want to do" and "why they want to do". "Why they want to do" represents strategic intent of the firm. Clarity in strategic intent is extremely important for the future success and growth of the enterprise, irrespective of its nature and size.

Strategic intent can be understood as the philosophical base of strategic management. It implies the purposes, which an organization endeavours to achieve. It is a statement that provides a perspective of the means, which will lead the organization, reach its vision in the long run. Strategic intent gives an idea of what the organization desires to attain in future.

Strategic intent provides the framework within which the firm would adopt a predetermined direction and would operate to achieve strategic objectives. Strategic intent could be in the form of vision and mission statements for the organisation at the corporate level. It could be expressed as the business definition and business model at the business level of the organisation.

Strategic intent is generally stated in broad terms but when stated in precise terms it is an expression of aims to be achieved operationally i.e., goals and objectives.

Elements of Strategic Intent

(i) Vision: Vision implies the blueprint of the company's future position. It describes where the organisation wants to land. It depicts the organisation's aspirations and provides a glimpse of what the organization would like to become in future. Every sub system of the organization is required to follow its vision.

(ii) Mission: Mission delineates the firm's business, its goals and ways to reach the goals. It explains the reason for the existence of the firm in the society. It is designed to help potential shareholders and investors understand the purpose of the company. A mission statement helps to identify, 'what business the company undertakes.' It defines the present capabilities, activities, customer focus and business makeup.

(iii) Business definition: It seeks to explain the business undertaken by the firm, with respect to the customer needs, target markets, and alternative technologies. With the help of business definition,

one can ascertain the strategic business choices. Organisational restructuring also depends upon the business definition.

(iv) Business model: Business model, as the name implies is a strategy for the effective operation of the business, ascertaining sources of income, desired customer base, and financial details. Rival firms, operating in the same industry rely on the different business model due to their strategic choice.

(v) Goals and objectives: These are the base of measurement. Goals are the end results, that the organization attempts to achieve. On the other hand, objectives are time-based measurable targets, which help in the accomplishment of goals. These are the end results which are to be attained with the help of an overall plan, over the particular period. However, in practice no distinction is made between goals and objectives and both terms are used interchangeably.

The vision, mission, business definition, and business model explain the philosophy of the organisation but the goals and objectives represent the results to be achieved in multiple areas of business.

ICAI · Old P7 · RTP May 2018 · question p. 14 · answer p. 22-23

122 MTP **Sep 2026 S-I** Q1(B)(i) 2 marks MCQ

A rapidly expanding FinTech company has adopted the following statement: "We exist to simplify digital financial services by providing secure, accessible and customer-centric payment solutions that enhance financial inclusion." The Board subsequently approves a plan to go onboard with 50 million new users within the next four years. Which of the following correctly identifies the first statement?

A Vision

B Mission

C Goal

D Objective

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP Sep 2026 · Series I · question p. 10

123 MTP **May 2026 S-II** Q1(B)(ii) 2 marks MCQ

A renewable energy company states: "We aim to lead the global transition towards 100% clean energy in the next 20 years." However, its current activities are limited to installing solar panels in one region. This statement primarily represents:

A Mission

B Vision

C Short-term objective

D Functional strategy

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP May 2026 · Series II · question p. 12

124 MTP **May 2026 S-II** Q2(a) 5 marks

Explain the importance of values, as one of the components of strategic intent for a company. What are the common examples of values? How values are different from intent?

ICAI'S ANSWER

Values are fundamental principles or standards that guide the behaviour and decision-making of individuals and organizations. They are at the core of strategic intent and help define a company's culture and ethical posture.

A company's values set the tone for how people think and behave, especially in situations involving dilemmas. They create a sense of shared purpose, enabling all stakeholders to align and focus on the long-term success of the company.

Values have both internal and external implications:

- Internally, they influence employee behaviour, build trust, boost morale and help in creating a consistent workplace culture.
- Externally, they impact how customers, investors and society at large perceive the company. A majority of consumers prefer companies whose values reflect their own belief systems.

Some common organizational values include Integrity, Trust, Accountability, Humility, Innovation and Diversity.

Values and Intent are two distinct concepts:

- Intent refers to the purpose of doing business – the long-term direction the company aims to pursue.
- Values are the principles and ethical standards that guide how decisions are made and how the business is conducted.

While they go hand-in-hand, values often drive intent. Therefore, values are broader and more foundational than intent.

ICAI · P6 · MTP May 2026 · Series II · question p. 14 · answer p. 13-14

125 MTP **Jan 2026 S-I** Q1(B)(iii) 1 mark MCQ

Which characteristic highlights the inspirational aspect of a Mission Statement?

A. It is short, concise, and focused on current market share.

B. It provides a sense of direction.

C. It strictly follows efficiency over effectiveness approach.

D. It focuses on annual profit targets which are motivation for employees

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP Jan 2026 · Series I · question p. 10

126 MTP **Jan 2026 S-II** Q1(B)(i) 2 marks MCQ

Green Earth, an environmental organization, has formulated a statement: "To promote environmental sustainability by advocating renewable energy and conservation practices." Which area of strategic intent is represented in the statement?

A Vision Statement

B Business definition

C Goal and Objective

D Mission Statement

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · MTP Jan 2026 · Series II · question p. 11

127 MTP **Sep 2025 S-I** Q1(a) 5 marks

ABC Corporation, a global technology company, is known for its innovative products and solutions. The company's strategic vision emphasizes being at the forefront of technological advancements and providing cutting-edge solutions to improve people's lives with a strong commitment to integrity and accountability in all its operations. Their mission is to create products that are user-friendly, sustainable and contribute positively to society. Values can be derived by analysing the vision and mission statements. Based on the scenario, what are the values of ABC Corporation?

ICAI'S ANSWER

Values can be derived by analysing the vision and mission statements of an organisation, as they reflect the core beliefs that guide behaviour and decision-making. Based on the given scenario, the values of ABC Corporation can be inferred by aligning its strategic vision and mission with the concept of organizational values. ABC Corporation's emphasis on being at the forefront of technological advancements highlights innovation as a core value. Its commitment to developing user-friendly products reflects a strong customer-centric approach and user focus. The focus on sustainability demonstrates the company's concern for environmental responsibility and long-term societal impact. Additionally, its aim to contribute positively to society shows a commitment to social responsibility and ethical conduct. The fact that ABC is a global technology company also implies that values like integrity and accountability are essential to maintain stakeholder trust and global compliance. These values are central to how the company functions internally and how it presents itself externally to consumers and stakeholders. These values help shape employee behaviour, build consumer trust and provide a strong foundation for long-term success. Thus, the key values of ABC Corporation are innovation, customer-centricity, sustainability, social responsibility, integrity and accountability which collectively reflect the shared purpose and guiding principles of the organisation.

ICAI · P6 · MTP Sep 2025 · Series I · question p. 13 · answer p. 18

128 MTP **Sep 2025 S-II** Q1(B)(ii) 2 marks MCQ

In his pursuit to expand the family business to Dubai, Dharam Veer Singh, the successor of the renowned architect Late Shri Lala Ram Pal Singh, faced a dilemma. Despite receiving positive feedback from various potential investors, a common trend emerged where the emphasis was primarily on swift construction, neglecting the importance of structural longevity. Dharam finds himself at a crossroads. What strategic approach could assist him in formulating a robust and coherent business roadmap that aligns with his vision for sustainable growth?

A Vision

B Mission

C Goals and Objectives

D Values/Value system

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · MTP Sep 2025 · Series II · question p. 13-14

129 MTP **May 2025 S-II** Q4(b) 5 marks

Same question, different ICAI answer: #133 MTP Sep 2024 S-II

What is a strategic vision, and what are the essential components that make it an effective tool for guiding an organization's future?

ICAI'S ANSWER

A strategic vision serves as a roadmap for a company's future, detailing the specifics of technology, customer focus, geographic and product markets, and the capabilities the organization aims to develop. It answers the critical question, "Where are we going?" and provides a compelling rationale for the chosen direction, ensuring it aligns with the company's long-term objectives.

A strategic vision outlines the organization's aspirations, offering a broad, panoramic view of where it aims to be. It provides clear direction, charts a strategic path for future endeavors, and helps in shaping the organizational identity.

Essentials of a strategic vision

- The entrepreneurial challenge in developing a strategic vision is to think creatively about how to prepare a company for the future.
- Forming a strategic vision is an exercise in intelligent entrepreneurship.
- A well-articulated strategic vision creates enthusiasm among the members of the organization.

The best-worded vision statement clearly illuminates the direction in which the organization is headed.

ICAI · P6 · MTP May 2025 · Series II · question p. 14 · answer p. 24

130 MTP **May 2025 S-II** Q4(b) OR 5 marks

Also asked in MTP Jan 2025 S-II Q3(b)

Distinguish between Vision and Mission.

ICAI'S ANSWER

The vision describes a future identity while the Mission serves as an on-going and time-independent guide.

The vision statement can galvanize the people to achieve defined objectives, even if they are stretch objectives, provided the vision is specific, measurable, achievable, and relevant and time bound. A mission statement provides a path to realize the vision in line with its values. These statements have a direct bearing on the bottom line and success of the organization.

A mission statement defines the purpose or broader goal for being in existence or in the business and can remain the same for decades if crafted well while a vision statement is more specific in terms of both the future state and the time frame. Vision describes what will be achieved if the organization is successful.

ICAI · P6 · MTP May 2025 · Series II · question p. 14 · answer p. 24

131 MTP **Sep 2024 S-I** Q1(a) 5 marks

Mr. Arun has been hired as the CEO by ABC Ltd, a pharmaceutical company that has diversified into affordable wellness supplements. The company intends to launch the HealthPlus brand of supplements. ABC wishes to enhance the well-being of people with its products that are beneficial for health and are produced in an environmentally sustainable manner using natural ingredients. Draft a vision and mission statement that may be formulated by Arun.

ICAI'S ANSWER

The HealthPlus brand of wellness supplements may have the following vision and mission:

Vision: Vision implies the blueprint of the company's future position. It describes where the organization wants to land. Mr. Arun should aim to position "HealthPlus" as India's leading wellness supplements brand. It may have the vision to be India's largest wellness supplements company that enhances health, promotes extraordinary well-being, and brings happiness to people.

Mission: Mission delineates the firm's business, its goals, and ways to reach the goals. It explains the reason for the existence of the firm in society. It is designed to help potential shareholders and investors understand the purpose of the company. Mr. Arun may identify the mission in the following lines:

- To be in the business of wellness supplements to enhance the lives of people and give them the confidence to lead a healthy life.
- To protect health by providing supplements that counteract harmful elements in the environment.
- To produce wellness supplements using natural ingredients in an environmentally sustainable manner.

ICAI · P6 · MTP Sep 2024 · Series I · question p. 10 · answer p. 11

132 MTP **Sep 2024 S-II** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

Sneha Rao, founder and CEO of DEF Technologies, is renowned for her technological insight and visionary leadership style. She cultivates a culture of collaboration, continuous learning, and innovative problem-solving, encouraging her employees to think outside the box and embrace new challenges. Her exceptional ability to foresee technological trends and navigate complex market dynamics has propelled DEF Technologies to impressive growth over the past decade.

Sneha started DEF Technologies in 2010 as a small software development firm. With a vision to transform DEF Technologies into a leading tech company, she initially focused on developing custom software solutions for local businesses. However, intense competition and limited market demand led to financial difficulties. Undeterred, Sneha pivoted the business towards developing cloud-based solutions, leveraging the growing trend of digital transformation. This strategic shift, along with aggressive marketing, helped DEF Technologies capture a significant market share and become a leader in cloud services, setting new industry standards.

In 2015, Sneha's brother, Raj, joined the company, and together they crafted an ambitious expansion strategy. DEF Technologies entered the global market, partnering with international tech firms to launch a new line of AI-driven cybersecurity solutions. This venture was highly successful, establishing DEF Technologies as a global brand and a key player in the cybersecurity industry.

Raj then led the company's diversification into the healthcare sector with a new brand, MedTech Solutions. Recognizing the potential for technology to revolutionize healthcare, Sneha and Raj focused on developing affordable telemedicine platforms and AI-driven diagnostic tools. Their approach disrupted the market, providing high-quality healthcare solutions at lower costs and gaining widespread trust from healthcare providers and patients alike. MedTech Solutions experienced rapid growth, especially during the COVID-19 pandemic, as demand for remote healthcare services surged.

At the beginning of 2023, DEF Technologies launched another new business, GreenTech Innovations, to address environmental challenges through technology. DEF Technologies continues to explore new opportunities and ventures to stay at the forefront of the tech industry.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

Sneha Rao's vision to transform DEF Technologies into a leading tech company illustrates which type of strategic intent?

- A Goal
- B Mission
- C Vision
- D Objective

Q1(A)(ii) 2 marks

Sneha's leadership style, which promotes collaboration, continuous learning, and innovative problem-solving, can best be described as:

- A Transactional leadership
- B Transformational leadership
- C Autocratic leadership
- D Laissez-faire leadership

Q1(A)(iii) 2 marks

When DEF Technologies expanded into the global market with AI-driven cybersecurity solutions, which of Porter's Five Forces was most likely mitigated by forming partnerships with international tech firms?

- A Threat of Substitute Products or Services
- B Bargaining Power of Suppliers
- C Threat of New Entrants
- D Intense Rivalry Among Existing Competitors

Q1(A)(iv) 2 marks

By entering the global market and launching AI-driven cybersecurity solutions, DEF Technologies pursued which expansion strategy from Ansoff's Product-Market Growth Matrix?

- A Diversification
- B Market Penetration
- C Product Development
- D Market Development

Q1(A)(v) 2 marks

MedTech Solutions' focus on developing affordable telemedicine platforms and AI-driven diagnostic tools reflects which of the following competitive strategies?

- A Differentiation strategy
- B Cost leadership strategy
- C Best-cost provider strategy
- D Focus Strategy

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(C)**

Q1(A)(ii)

Answer key: **(B)**

Q1(A)(iii)

Answer key: **(C)**

Q1(A)(iv)

Answer key: **(A)**

Q1(A)(v)

Answer key: **(C)**

ICAI · P6 · MTP Sep 2024 · Series II · question p. 7-8

133 MTP **Sep 2024 S-II** Q3(a) 5 marks

Same question, different ICAI answer: #129 MTP May 2025 S-II

What is a strategic vision, and what are the essential components that make it an effective tool for guiding an organization's future?

ICAI'S ANSWER

A strategic vision serves as a roadmap for a company's future, detailing the specifics of technology, customer focus, geographic and product markets, and the capabilities the organization aims to develop. It answers the critical question, "Where are we going?" and provides a compelling rationale for the chosen direction, ensuring it aligns with the company's long-term objectives.

A strategic vision outlines the organization's aspirations, offering a broad, panoramic view of where it aims to be. It provides a clear direction, charts a strategic path for future endeavors, and helps in shaping the organizational identity.

Essentials of a strategic vision

- The entrepreneurial challenge in developing a strategic vision is to think creatively about how to prepare a company for the future.
- Forming a strategic vision is an exercise in intelligent entrepreneurship.
- A well-articulated strategic vision creates enthusiasm among the members of the organization.
- The best-worded vision statement clearly illuminates the direction in which organization is headed.

ICAI · P6 · MTP Sep 2024 · Series II · question p. 10 · answer p. 13

134 MTP **Old P7 Nov 2023 S-I** Q1(C) 2 marks MCQ old scheme

Imagine you are part of a strategic planning team for a company. As you work on defining the company's identity and its current business scope, which of the following elements primarily concentrates on answering the question, "Who we are and what we do?"

A Mission statement

B Vision statement

C Goals and Objectives

D Purpose

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 6

135 MTP **Old P7 Nov 2023 S-II** Q1(G) 1 mark MCQ old scheme

What is one of the key purposes of having an organizational mission?

A Ensuring unanimity of purpose within the organization.

B Setting short-term operational goals.

C Providing a basis for marketing strategies.

D Specifying financial forecasts.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 7

136 MTP **Old P7 May 2023 S-II** Q1(F) 1 mark MCQ old scheme

Which one of the following, focuses on present business scope- 'who we are and what we do'?

A Mission Statement

B Vision Statement

C Goals and objectives

D Purpose

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2023 · Series II · question p. 7

137 MTP **Old P7 Nov 2022 S-I** Case scenario · Q1(A)1 to Q1(A)5 8 marks old scheme

CASE SCENARIO

Chantele, a management consultant from Rome (Italy) was on an official tour of Rajasthan, when she realised the tourism boom that the state experiences from around the globe. More surprising for her was the price offering of major cafes and lounges which were about 1/6th of what was charged in her city Rome. Being a business enthusiast, she decided to explore the business potential in Udaipur for a year.

She had five major areas to learn about and plan;

•	Existing Competition
•	Location and Rental of her Lounge
•	Trainable Team of Individuals (english speaking)
•	Raw Material Sourcing and Pricing
•	Promotion

Existing competition was high as people were already serving foreign tourists and even tourists liked the desi touch and feel. However, Chantele saw the segment of customers who were willing to find travel partners for their further trips. They would enjoy a cup of coffee, or a jug of cooler to chit chat and build a network on their vacation. For location, she got lucky with an old property just on the lake side but had to spend a little over budget to renovate even though she took multiple quotations from designers. The rentals in Udaipur have always been high, but she was confident of the cash flow from the business so decided to take the risk.

Rajasthani youth is well trained in english, french and german, and that came as a blessing for her. She was able to employ three girls (customer facing) and two boys (for logistics). Raw Material was a bit tricky to handle though. Good quality coffee beans and fruits were available only from Delhi and Jaipur, which had its own cost of transportation. Milk being a main component for most of the things on the menu needed to be of prime quality. For fruits, she found an alternative in sourcing from nearby villages through local agents, while the milk and coffee had to come from Delhi.

Promotion had been her area of expertise, and this came in handy as she executed a fool proof digital promotion strategy for her lounge. She named it Aroma Lounge, as “A” would give top results in alphabetic order of search by customers online. Within three months itself she managed to get great reviews on major travel websites and thus, loads of customers.

The business was good, cashflows were strong, brand equity gained momentum and Chantele now already plans to open two more branches in the state.

Based on the above Case Scenario, answer the Multiple-Choice Questions which are as follows:

Q1(A)1 1 mark out of syllabus

Even though Chantele knew she was giving higher rent for the location of her lounge, which of the following strategies helped her take that risk?

A Marketing Strategy

B Financial Strategy

C Negotiation Strategy

D Supply Chain Strategy

Q1(A)2 2 marks

Suppose Chantele decides to expand her business through franchises across different states that attract major foreign tourists. For this she combines different retailers to source from and makes her main employees as trainers to train more local youth. Which element of strategic intent would this strategy need to focus on and what strategy would best suit her, given the fact that she strongly believes in incremental growth over exponential growth?

A It would need focus on Goals & Objectives and the strategy that would best suit her would be Growth Strategy.

B It would need focus on Mission and the strategy that would best suit her would be Combination Strategy.

C It would need focus on Business Model and the strategy that would best suit her would be Stability Strategy.

D It would need focus on Vision and the strategy that would best suit her would be Growth Strategy.

Q1(A)3 2 marks out of syllabus

For Chantele, pricing was an issue as she wanted to deliver international standards of quality at traveler friendly prices. Cost plus pricing was one of the options she considered but quickly realised its shortcomings. Which of the following could be a major reason for not selecting cost plus pricing?

A Outsourcing of Products from Delhi was already costly

B Labour cost was low, but training cost was high so allocation of co st was difficult

C The cost of fruits fluctuates a lot, and hence cost plus also fluctuated variably

D The segment is highly competitive and her margin on cost was irrelevant as customers already knew comparable prices

Q1(A)4 2 marks

Suppose a big hotel chain which has no cafe business as yet, acquires Aroma Lounge and its franchises. Can it group these cafes as an SBU? Which factors would be considered for the same? (i) No, they cannot be called as an SBU, as the cafe is not a separate business but same line of business as hotels (ii) Yes, as it has its own set of distinct competitors and strategy (iii) Yes, as it can be subdivided from the core business in terms of functionalities and objectives (iv) No, as an SBU shall have a CEO and its set of business functions and Aroma Cafes aren't that big to be categorised as an SBU

A Only (i) is correct

B Both (i) and (iv) are correct

C Only (ii) is correct

D Both (ii) and (iii) are correct

Q1(A)5 1 mark

For her vendors, Chantele had a clear thought and she iterated to them as well. The ideology was to foster a long term relationship so as to introduce high quality innovative products that would benefit the customers and other stakeholders?

A Mission

B Vision

C Business Definition

D Strategic Intent

ICAI'S ANSWERS

Q1(A)1

Answer key: **(B)**

Q1(A)2

Answer key: **(C)**

Q1(A)3

Answer key: **(D)**

Q1(A)4

Answer key: **(D)**

Q1(A)5

Answer key: **(A)**

ICAI · Old P7 · MTP Nov 2022 · Series I · question p. 6

138 MTP **Old P7 Nov 2022 S-I** Q1(E) 1 mark MCQ old scheme

Shreya, the owner of Kalakaari boutiques, delegated tasks as per competencies of her team. What is she covering here?

A Risk

B Work Culture

C Employee friendly vision

D Proper use of mission statement

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2022 · Series I · question p. 8

139 MTP **Old P7 May 2022 S-I** Q1(G) 1 mark MCQ old scheme

The statement "where we want to go "denotes company

A Objective

B Policy

C Strategy

D Vision

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2022 · Series I · question p. 8

140 MTP **Old P7 May 2022 S-II** Q1(F) 1 mark MCQ old scheme

Also asked in Old P7 MTP Dec 2021 S-I Q1(G)

The philosophical base of strategic management falls within the concept of-

A Strategic Intent

B Portfolio Analysis

C Globalisation

D Vision Statement

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2022 · Series II · question p. 8

141 MTP **Old P7 May 2022 S-II** Q6(b) 5 marks old scheme

Distinguish between the following:

Vision & Mission

ICAI'S ANSWER

A Mission statement tells you the fundamental purpose of the organisation. It concentrates on the present. It defines the customer and the critical processes. It informs you of the desired level of performance. On the other hand, a vision statement outlines what the organisation wants to be. It concentrates on the future. It is a source of inspiration. It provides clear decision-making criteria. A mission statement can resemble a vision statement in a few companies, but that can be a grave mistake. It can confuse people. Following are the major differences between vision and mission:

1. The vision states the future direction while the mission states the ongoing activities of the organisation.

2. The vision statement can galvanize the people to achieve defined objectives, even if they are stretch objectives, provided the vision is specific, measurable, achievable, relevant and time bound. A mission statement provides a path to realize the vision in line with its values. These statements have a direct bearing on the bottom line and success of the organisation.

3. A vision statement defines the purpose or broader goal for being in existence or in the business and can remain the same for decades if crafted well while a mission statement is more specific in terms of both the future state and the time frame. Mission describes what will be achieved if the organisation is successful.

ICAI · Old P7 · MTP May 2022 · Series II · question p. 8 · answer p. 9

142 MTP **Old P7 Dec 2021 S-II** Q1(C) 2 marks MCQ old scheme

Meba Ltd. had a huge capacity of 40,000 Kilo Litres production of Kerosene Oil, and they were able to achieve 90% of it almost always, while the teams were also aware that they can achieve 100% capacity with very less efforts, but always kept margins. Further, the business team was planning to setup two more plants of 20,000 Kilo Litre capacity each in the next five years. This was a welcomed move from state governments as well. From the above, which of the following aspects of objectives is missing by production team?

A They should be clear and quantifiable.

B They should be concise.

C They should be challenging.

D They should provide standard for comparative appraisal.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 7

143 MTP **Old P7 Jul 2021 S-II** Q4(a) 5 marks old scheme

Same question, different ICAI answer: #103 Old P7 RTP May 2023 · #145 Old P7 MTP Nov 2020 S-I

Mission statement of a company focuses on the question: 'who we are' and 'what we do'. Explain briefly.

ICAI'S ANSWER

A company's mission statement is typically focused on its present business scope — "who we are and what we do"; mission statements broadly describe an organizations present capabilities, customer focus activities and business makeup. An organisation's mission states what customers it serves, what need it satisfies, and what type of product it offers. It is an expression of the growth ambition of

the organisation. It helps organisation to set its own special identity, business emphasis and path for development. Mission amplifies what brings the organisation to this business or why it is there, what existence it seeks and what purpose it seeks to achieve as a business organisation.

In other words, the mission serves as a justification for the firm's very presence and existence; it legitimizes the firm's presence.

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 8 · answer p. 8

144 MTP **Old P7 Nov 2020 S-I** Q1(B) 2 marks MCQ old scheme

Members of Infinite Care, an NGO, have met and determined that they need to for mulate a philosophical basis for their activities. Thereby they have come up with a statement: - "Provide children till age 12, living in homeless or low-income situations, with the essential items they need to thrive – at home, at school and at play" Identify the area of strategic intent, which the members have stated?

- A Vision
- B Business Definition
- C Goal and Objective
- D Mission

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 6

145 MTP **Old P7 Nov 2020 S-I** Q4(b) 5 marks old scheme

Same question, different ICAI answer: #103 Old P7 RTP May 2023 · #143 Old P7 MTP Jul 2021 S-II

Mission statement of a company focuses on the question: 'who we are' and 'what we do'. Explain briefly.

ICAI'S ANSWER

A company's mission statement is typically focused on its present business scope — "who we are and what we do"; mission statements broadly describe an organizations present capability, customer focus activities and business makeup. An organisation's mission states what customers it serves, what need it satisfies, and what type of product it offers. It is an expression of the growth ambition of the organisation. It helps organisation to set its own special identity, business emphasis and path for development. Mission amplifies what brings the organization to this business or why it is there, what existence it seeks and what purpose it seeks to achieve as a business organisation.

In other words, the mission serves as a justification for the firm's very presence and existence; it legitimizes the firm's presence.

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 8 · answer p. 7

146 MTP **Old P7 Nov 2019 S-I** Q1(iii) 1 mark MCQ old scheme

Which one is not the element of strategic intent?

- A Business model
- B Vision
- C Business definition
- D Business standard

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 4

147 MTP **Old P7 May 2019 S-I** Q1(ii) 1 mark MCQ old scheme

Financial objectives involve all of the following except:

A Growth in revenues

B Larger market share

C Higher dividends

D Greater return on investment

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP May 2019 · Series I · question p. 4

148 MTP **Old P7 May 2019 S-I** Q1(xi) 1 mark MCQ old scheme

Which of these basic questions should a vision statement answer?

A What is our business?

B Who are our competitors?

C Where we are to go?

D Why do we exist?

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2019 · Series I · question p. 5

149 MTP **Old P7 May 2019 S-II** Q1(v) 1 mark MCQ old scheme

Mission

A is an internally-focused definition of the organization's societal goals

B is a statement of a firms unique purpose and scope of operations

C does not limit the firm by specifying the industry in which the firm intends to compete

D is developed by a firm before the firm develops its strategic intent.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 4

150 MTP **Old P7 May 2019 S-II** Q1(vi) 1 mark MCQ old scheme

Objectives should be: (i) Concrete and specific. (ii) Related to time frame. (iii) Standards for performance appraisal. Which of the above statements are true:

A (i) & (ii).

B (ii) & (iii).

C (i) & (iii).

D (i), (ii) and (iii).

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 4

151 MTP **Old P7 Nov 2018 S-I** Q4(a) 5 marks old scheme

Distinguish between vision and mission statement.

ICAI'S ANSWER

A Mission statement tells you the fundamental purpose of the organization. It concentrates on the present. It defines the customer and the critical processes. It informs you of the desi red level of performance. On the other hand, a vision statement outlines what the organization wants to be. It concentrates on the future. It is a source of inspiration. It provides clear decision-making criteria.

A mission statement can resemble a vision statement in a few companies, but that can be a grave mistake. It can confuse people. Following are the major differences between vision and mission:

1. The vision states the future direction while the mission states the ongoing activities of the organisation.

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3. A vision statement defines the purpose or broader goal for being in existence or in the business and can remain the same for decades if crafted well while a mission statement is more specific in terms of both the future state and the time frame. Mission describes what will be achieved if the organization is successful.

ICAI · Old P7 · MTP Nov 2018 · Series I · question p. 2 · answer p. 11

152 MTP **Old P7 May 2018 S-I** Q1(b) 2 marks old scheme

What is strategic vision?

ICAI'S ANSWER

A strategic vision delineates organisation's aspirations for the business, providing a panoramic view of the position where the organisation is going. A strategic vision points an organization in a particular direction, charts a strategic path for it to follow in preparing for the future, and moulds organizational identity. A Strategic vision is a road map of a company's future – providing specifics about technology and customer focus, the geographic and product markets to be pursued, the capabilities it plans to develop, and the kind of company that management is trying to create.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 3 · answer p. 8

1.3 Strategic levels: network, corporate, business and functional

66 questions · asked in 45 ICAI documents · 6 exam papers

153 EXAM **Jan 2025** Q7(a) 5 marks

Also asked in MTP Sep 2026 S-I Q2(a)

Outline the main levels of management generally found in an organization. Also explain the types of networks of relationship between these levels and amongst the same levels of a business.

ICAI'S ANSWER

Main Levels of Management in an Organization In a typical large organization, there are three main levels of management:

1. Corporate Level: This includes the Chief Executive Officer (CEO), senior executives, and the board of directors. Their primary responsibility is to oversee the organization as a whole, make strategic decisions, define the mission and goals, allocate resources, and manage the corporate portfolio of businesses.

2. Business Level: This level consists of general managers responsible for specific Strategic Business Units (SBUs). They translate corporate-level strategies into concrete plans for their respective divisions, focusing on creating competitive advantages and achieving profitability.

3. Functional Level: This level encompasses managers responsible for specific functions such as finance, marketing, and human resources. They develop functional strategies aligned with the objectives set by the corporate and business-level managers and are crucial for implementing strategies effectively.

Types of Networks of Relationship Between Management Levels

1. Functional and Divisional Relationship: This independent relationship operates where each function or division is managed independently, with business-level managers reporting to corporate-level managers. For example, finance and marketing functions operate under their respective heads, who report to the division head.

2. Horizontal Relationship: This flat structure promotes equality among all employees, facilitating openness and transparency. All positions, from top management to staff-level employees, share the same hierarchical status, enhancing idea-sharing and innovation, particularly in startups.

3. Matrix Relationship: This complex structure combines various departments into project-based teams. It features multiple business-level managers for each functional team, making it suitable for large organizations with diverse operations, enabling efficient management of projects across different functions. These levels and their relationships help streamline decision-making and strategy implementation within an organization, fostering a cohesive approach to achieving business goals.

ICAI · P6 · Jan 2025 exam · question p. 29-30 · answer p. 29-30

154 EXAM **Old P7 Nov 2023** Q10(b) OR 5 marks old scheme

CDE Holdings operates in various sectors, including manufacturing fitness equipment, organic foods, eco-friendly products and children's educational tools. The organization is currently in the process of recruiting Chief Executive Officer. In this scenario imagine yourself as a HR consultant for CDE Holdings. ·

Identify the strategic level that encompasses this role within CDE Holdings. (1 Mark)

Provide an overview of the key duties and responsibilities falling under the Chief Executive Officer's scope. (4 Marks)

ICAI'S ANSWER

The Chief Executive Officer (CEO) position within CDE Holdings operates at the Corporate Level. This executive level is key in leading the overall direction, performance, and success of the entire

organization. The CEO assumes a central role in shaping the company's strategic vision, overseeing diverse business sectors, and ensuring alignment with organizational goals.

Key Duties and Responsibilities of the CEO:

The CEO's role encompasses various strategic responsibilities at the Corporate Level, involving:

1. oversee the development of strategies for the whole organization;

2. defining the mission and goals of the organization;

3. determining what businesses, it should be in;

4. allocating resources among the different businesses;

5. formulating, and implementing strategies that span individual businesses;

6. providing leadership for the organization;

7. ensuring that the corporate and business level strategies which company pursues are consistent with maximizing shareholders wealth; and

8. managing the divestment and acquisition process.

Given the diverse nature of CDE Holdings, spanning manufacturing, organic foods, eco-friendly products, and children's educational tools, the CEO's responsibilities are tailored to navigate the unique challenges and opportunities presented by each sector. In conclusion, the CEO at the Corporate Level plays a critical role in guiding CDE Holdings strategically, ensuring cohesive leadership, and driving sustainable success across its diverse business domains.

ICAI · Old P7 · Nov 2023 exam · question p. 16 · answer p. 17-18

155 EXAM **Old P7 May 2023** Q7(a) old scheme

"Management at all levels develop strategies". Explain the different strategies formulated at different levels of management.

ICAI'S ANSWER

At different levels of management, various strategies are formulated to align with organizational goals and objectives which are as follows:

Corporate-Level Strategies: At the highest level of management, corporate-level strategies are developed. These strategies focus on the overall direction and scope of the entire organization. Major corporate-level strategies include Stability strategies, Growth strategies, Retrenchment strategies and Combination strategies.

Business-Level Strategies: Business-level strategies are developed by middle-level management and focus on individual business units or divisions within the organization. These strategies aim to achieve competitive advantage within specific markets. Common business-level strategies include Cost Leadership, Differentiation and Focus strategies.

Functional-Level Strategies: Functional-level strategies are formulated by lower-level management or department heads responsible for specific functional areas, such as marketing, finance, operations, or human resources. These strategies align with business-level strategies and focus on achieving functional objectives. These strategies include Marketing strategies, Financial strategies, Operations strategies, Research & Development strategy and Human Resource strategies.

In conclusion, management at all levels develops strategies that align with the organization's goals. Corporate-level strategies determine the overall direction, business-level strategies focus on

competitive advantage within specific markets, and functional-level strategies aim to achieve functional objectives in support of the broader strategies.

ICAI · Old P7 · May 2023 exam · question p. 10 · answer p. 10

156 EXAM **Old P7 May 2022** Q7(b) 5 marks old scheme

"Is it imperative to segregate top level strategies into viable functional plans and policies?" Do you agree with this statement? Support your answer with reason.

ICAI'S ANSWER

Yes, it is imperative to segregate the top-level strategies into viable functional plans and policies that are compatible with each other. Major strategies must be translated to lower levels to give holistic strategic direction to an organisation. Functional strategies provide details to business strategy & govern as to how key activities of the business will be managed. The reasons why functional strategies are needed can be enumerated as follows:

- Functional strategies lay down clearly what is to be done at the functional level. They provide a sense of direction to the functional staff.
- They are aimed at facilitating the implementation of corporate strategies and the business strategies formulation at the business level.
- They act as basis for controlling activities in the different functional areas of business.
- They help in bringing harmony and coordination as they are formulated to achieve major strategies.
- These strategies help the functional managers in handling similar situations occurring in different functional areas in a consistent manner.

ICAI · Old P7 · May 2022 exam · question p. 11-12 · answer p. 12

157 EXAM **Old P7 Jan 2021** Q8(a) 5 marks old scheme

Also asked in Old P7 MTP Nov 2023 S-I Q4(a)

Same question, different ICAI answer: #198 Old P7 MTP Nov 2022 S-II

ABC Limited is in a wide range of businesses which include apparels, lifestyle products, furniture, real estate and electrical products. The company is looking to hire a suitable Chief Executive Officer. Consider yourself as the HR consultant for ABC limited. You have been assigned the task to enlist the activities involved with the role of the Chief Executive Officer. Name the strategic level that this role belongs to and enlist the activities associated with it.

ICAI'S ANSWER

The role of Chief Executive Officer pertains to Corporate level.

The corporate level of management consists of the Chief Executive Officer (CEO) and other top-level executives. These individuals occupy the apex of decision making within the organization.

The role of Chief Executive Officer is to:

1. oversee the development of strategies for the whole organization;

2. defining the mission and goals of the organization;

3. determining what businesses, it should be in;

4. allocating resources among the different businesses;

5. formulating, and implementing strategies that span individual businesses;

6. providing leadership for the organization;

7. ensuring that the corporate and business level strategies which company pursues are consistent with maximizing shareholders wealth; and

8. managing the divestment and acquisition process.

ICAI · Old P7 · Jan 2021 exam · question p. 14 · answer p. 15

158 EXAM **Old P7 Nov 2018** Q7(a) 2 marks old scheme

List the different strategic levels in an organization.

ICAI'S ANSWER

There are three main strategic levels in an organisation:

- Corporate level – consisting of CEO, Board of Directors and other senior executives.
- Business level – Divisional Managers and staff.
- Functional level – Functional Managers – Marketing, Finance, Production, Human Resource.

ICAI · Old P7 · Nov 2018 exam · question p. 11 · answer p. 11

159 RTP **Sep 2026** Q2 MCQ

The Board of Directors of Alpha Group Ltd., which operates in the textiles, hospitality and renewable energy businesses, has decided to acquire a pharmaceutical company to diversify its business portfolio and reduce dependence on existing industries. This decision is an example of which level of strategic management?

A Corporate Level

B Business Level

C Functional Level

D Operational Level

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · RTP Sep 2026 · question p. 30-31

160 RTP **May 2026** Q2 MCQ

Rohan is a manager at "Z-Foods." His primary responsibility is to develop specific tactics for the marketing department to ensure that the "Quick-Snack" division achieves its market share targets. At which level of strategic management is Rohan functioning?

A Corporate Level

B Business Level

C Functional Level

D Administrative Level

ICAI'S ANSWER

Answer key: **(C)**

161 RTP **Jan 2026** Case scenario · Q1(i) to Q1(v)

CASE SCENARIO

"The world needs to move fast, at a speed of innovation that makes 6 months look like 60 years" - Jayanta R., the founder of Hepha.io, while speaking at a technology vision conference at Hyderabad. In 2009, Jayanta was working as a machine learning research scholar at a US college, when he struck upon an idea of technological research being automated. He thought - what could happen if computers could innovate themselves. The world will change forever. His idea took shape of a boutique AI consultancy in 2020, Hepha.io. Hepha.io had one vision, to speed up innovation. And for this they hired the most affluent research scholars from across the globe - all virtually, all paid in equity, with no real organizational structure. The offering to customers was simple - it was futuristic, high value added to existing operations and could be applied to a lot of other processes. The company was doing great in terms of customer acquisition and profitability, about 150 of Fortune 500 companies had relations with Hepha.io, bringing in about $12 million in earnings. But the company was disappointed by their own speed of growth, which was contrary to their vision and thereby a joke at many conferences that hurt Jayanta immensely. Hepha.io had by now been seen in the west, as an aggressive, crazy company that wanted to change the world with computers, without caring much about the harms of massive heat generating servers being built on agricultural land, damaging crops, weather and even harming social setups by shattering employment. To move away from west and speed things up internally, they moved their focus to India, the land of technically skilled labor force with ease of doing business.

Entering India helped them dodge environmental concerns, but future scare of unemployment was a great threat. Jayanta met many political influencers and industrialists but could not attract much attention. Until Harsh G., the young scientist of LifeMind Technologies, met him in Mumbai, and offered to help. LifeMind Tech, had a long running reputation of being a socially awake enterprise, which reinvested its earnings in developing India. Jayanta could not have asked for a better partner in India. This partnership helped Hepha.io to overcome a lot of political backlash and even the sharpest minds in the Indian tech space seemed to join the company without any employment apprehensions. What also helped Jayanta realize under Harsh's guidance was that innovation is necessary to enter the future but not at the cost of destroying the present. Hepha.io has since then opted for India as its Asia headquarters, driven by the purpose of holistic innovation. Based on the above Case Scenario, answer the Multiple Choice Questions.

Q1(i)

After the move to India, Hepha.io decided to align innovation with sustainability under the theme of "Holistic Innovation." Which level of strategy does this shift primarily represent?

- A Corporate level strategy
- B Business level strategy
- C Functional level strategy
- D Operational level strategy

Q1(ii)

The strategic move by Hepha.io to shift its existing AI services into the new Indian geographical market is a clear application of which Grand Strategy?

- A Market Penetration

B Market Development

C Product Development

D Retrenchment

Q1(iii)

Hepha.io's initial structure, characterized by a highly dispersed team of scholars, relies heavily on coordination through technology and contracts. This structural design is most accurately identified as:

A Divisional Structure

B Matrix Structure

C Network Structure

D Strategic Business Unit (SBU) Structure

Q1(iv)

The public perception and ethical backlash concerning environmental damage and technological unemployment, which severely impacted Hepha.io's operations in the West, are analysed under which factor of the PESTLE analysis?

A Political

B Technological

C Economic

D Socio-Cultural

Q1(v)

Hepha.io's founding premise of offering "futuristic, high value add" AI solutions as its primary client appeal is an example of establishing a Competitive Advantage through:

A Cost Leadership, by optimising production costs.

B Differentiation, by providing a uniquely valuable product.

C Focused Cost Leadership, by targeting a narrow segment with the lowest price.

D Core Values, by adhering to ethical standards.

ICAI'S ANSWERS

Q1(i)

Answer key: **(A)**

Q1(ii)

Answer key: **(B)**

Q1(iii)

Answer key: **(C)**

Q1(iv)

Answer key: **(D)**

Q1(v)

Answer key: **(B)**

ICAI · P6 · RTP Jan 2026 · question p. 26-27

162 RTP **Sep 2025** Q2 MCQ

A beverage company's marketing team launches a campaign to boost social media engagement. The production unit enhances efficiency to cut costs and the HR department implements new training programs to improve employee productivity. These departmental initiatives are aligned with the company's overall growth goals. What type of strategy does these efforts represent?

- A Proactive strategy
- B Reactive strategy
- C Functional level strategy
- D Corporate level strategy

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · RTP Sep 2025 · question p. 30-31

163 RTP **May 2025** Q6 MCQ

Global Fast Foods Ltd., a multinational restaurant chain, is evaluating whether to enter the packaged food industry by launching its own brand of frozen meals. This decision involves analyzing new markets, potential acquisitions, and overall business portfolio diversification. At what level is this decision likely to be made?

- A Business
- B Corporate
- C Functional
- D Operational

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP May 2025 · question p. 37

164 RTP **Jan 2025** Q7

Same question, different ICAI answer: #189 MTP Jan 2026 S-II

XYZ Enterprises operates in various sectors, including renewable energy solutions, organic skincare products, eco-friendly packaging, and smart home technologies. The organization is currently in the process of recruiting a Chief Executive Officer. In this scenario, imagine yourself as an HR consultant for XYZ Enterprises. Identify the strategic level that encompasses this role within XYZ Enterprises. Provide an overview of the key duties and responsibilities falling under the Chief Executive Officer's scope.

ICAI'S ANSWER

The Chief Executive Officer (CEO) position within XYZ Enterprises operates at the Corporate Level. This executive level is key in leading the overall direction, performance, and success of the entire organization. The CEO assumes a central role in shaping the company's strategic vision, overseeing diverse business sectors, and ensuring alignment with organizational goals. Key Duties and Responsibilities of the CEO: The CEO's role encompasses various strategic responsibilities at the Corporate Level, involving:

1. oversee the development of strategies for the whole organization;

2. defining the mission and goals of the organization;

3. determining what businesses, it should be in;

4. allocating resources among the different businesses;

5. formulating, and implementing strategies that span individual businesses;

6. providing leadership for the organization;

7. ensuring that the corporate and business level strategies which company pursues are consistent with maximizing shareholders wealth; and

ICAI · P6 · RTP Jan 2025 · question p. 36 · answer p. 39

165 RTP **Sep 2024** Q7

Tech Innovators Inc., a rapidly expanding technology company, aims to lead in artificial intelligence (AI) and machine learning (ML). With recent growth, the company is evaluating which organizational structure will best support its vision for innovation and leadership in AI technologies. They are considering three options: the Functional and Divisional Relationship for specialization, the Horizontal Relationship for flat, collaborative management, and the Matrix Relationship for cross-functional teams. Which of these relationships—Functional and Divisional, Horizontal, or Matrix—will most effectively achieve Tech Innovators Inc.'s strategic goals, and why?

ICAI'S ANSWER

The Matrix Relationship is the most effective structure for Tech Innovators Inc. to achieve its vision of leadership in AI technologies. This structure promotes cross-functional collaboration, essential for managing complex AI projects and fostering innovation. By integrating expertise from various departments into temporary, task-based teams, the Matrix Relationship supports dynamic project management and aligns well with the company's strategic goals for advancing AI technologies. Despite its complexity, this approach provides the flexibility and collaboration necessary for a leading-edge AI and ML focus.

Relationship	Benefits	Drawbacks	Suitability for AI Leadership
Functional and Divisional	Specialization, clear management of functions and products.	Potential for departmental isolation, limited collaboration.	Less effective for cross-functional AI projects.
Horizontal	Open communication, encourages innovation and fast idea sharing.	Hard to scale, unclear roles and responsibilities.	Suitable for startups, less for large AI initiatives.
Matrix	Facilitates cross-functional collaboration, flexible resource management for complex projects.	Complex reporting structures, potential conflicts.	Ideal for managing diverse, innovative AI projects.

ICAI · P6 · RTP Sep 2024 · question p. 36 · answer p. 38-39

166 RTP **Old P7 Nov 2023** Q13 old scheme

Same question, different ICAI answer: #174 Old P7 RTP Nov 2020

What is strategic decision making? What tasks are performed by a Strategic Manager?

ICAI'S ANSWER

Decision making is a managerial process of selecting the best course of action out of several alternative courses for the purpose of accomplishment of the organisational goals. Decisions may be operational i.e., which relate to general day-to-day operations. They may also be strategic in nature. According to Jauch and Glueck "Strategic decisions encompass the definition of the business, products to be handled, markets to be served, functions to be performed and major policies needed for the organisation to execute these decisions to achieve the strategic objectives."

The primary task of the strategic manager is conceptualizing, designing and executing company strategies. For this purpose, his tasks include:

- Defining the mission and goals of the organisation.
- Determining what businesses, it should be in.
- Allocating resources among the different businesses.
- Formulating and implementing strategies that span individual businesses.
- Providing leadership for the organisation.

PassBook's note: Only the first half's Jauch and Glueck definition of strategic decisions is not in the January 2027 Study Material.

ICAI · Old P7 · RTP Nov 2023 · question p. 16 · answer p. 19

167 RTP **Old P7 May 2023** Q12 old scheme

Mr. Batra is working in Apex Corporation, a leading manufacturer of electronic products, is considering whether to enter the fitness trackers and smartwatches technology market. The market is growing rapidly, but the competition is fierce. Mr. Batra and his team has to decide whether to invest in research and development for fitness trackers and smartwatches technology or to focus on their core products. The decision could have significant implications for the company's future growth and profitability.

Where will you place Mr. Batra in organisational hierarchy? What are the dimensions of the decisions being taken by him?

ICAI'S ANSWER

As the decisions taken by Mr. Batra have organisation wide impact, involves large commitments and have implication on the future, he is at the top level in organisational hierarchy. These characteristics also indicate that he is taking strategic decisions in the organisation. The major dimensions of strategic decisions are as follows:

- Strategic decisions require top-management involvement: Strategic decisions involve thinking in totality of the organisation. Hence, problems calling for strategic decisions require to be considered by the top management.
- Strategic decisions involve commitment of organisational resources: Strategic decisions to launch a new project by a firm requires allocation of huge funds and assignment of a large number of employees.
- Strategic decisions necessitate consideration of factors in the firm's external environment: Strategic focus in organisation involves orienting its internal environment to the changes of external environment.
- Strategic decisions are likely to have a significant impact on the long-term prosperity of the firm: Generally, the results of strategic implementation are seen on a long-term basis and not immediately.

- Strategic decisions are future oriented: Strategic thinking involves predicting the future environmental conditions and how to orient for the changed conditions.
- Strategic decisions usually have major multifunctional or multi-business consequences: As they involve organisation in totality, they affect different sections of the organisation with varying degree.

PassBook's note: The list of dimensions of strategic decisions ICAI adds is not in the January 2027 Study Material.

ICAI · Old P7 · RTP May 2023 · question p. 18 · answer p. 22-23

168 RTP **Old P7 May 2022** Q7 old scheme

ABC Ltd. currently sells its product in two major markets – Europe and Asia. While it is a market leader in Europe, ABC Ltd. has struggled to penetrate the more competitive Asian market. ABC Ltd. hired a strategic consultant to analyze the situation and submit his report to them. After the report received from the strategic consultant, it has therefore decided to pull out of Asia entirely and focus on its European markets only. This decision relates to which level in ABC Ltd. and explain the role of managers at this level in the organization.

ICAI'S ANSWER

Corporate level strategy relates to the markets and industries that the organization chooses to operate in, as well as other decisions that affect the organization as a whole. The role of corporate-level managers is to oversee the development of strategies for the whole organization. This role includes defining the mission and goals of the organization, determining what businesses it should be in, allocating resources among the different businesses, formulating and implementing strategies that span individual businesses, and providing leadership for the organization.

ICAI · Old P7 · RTP May 2022 · question p. 17-18 · answer p. 19-20

169 RTP **Old P7 Dec 2021** Q5 MCQ old scheme

A Ltd. has recently decided to install a new IT system to improve the efficiency of its payroll function. A ltd. believes this will reduce the cost of running the payroll system by 20%. Which one of the following levels of strategy is the above IT system most closely linked to?

A Corporate level

B Functional level

C Business level

D Strategic level

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP Dec 2021 · question p. 16

170 RTP **Old P7 Dec 2021** Q7 old scheme

Mr. Mehta sharing with his friend in an informal discussion that he has to move very cautiously in his organization as the decisions taken by him has organisation wide impact and involves large commitments of resources. He also said that his decisions decide the future of his organisation. Where will you place Mr. Mehta in the organizational hierarchy and explain his role in the organization.

ICAI'S ANSWER

Mr. Mehta works in an organization at top level. He participates in strategic decision making within the organization. The role of corporate-level managers is to oversee the development of strategies for the whole organization. This role includes defining the mission and goals of the organization, determining what businesses it should be in, allocating resources among the different businesses, formulating and implementing strategies that span individual businesses, and providing leadership for the organizat ion.

ICAI · Old P7 · RTP Dec 2021 · question p. 17 · answer p. 19

171 RTP **Old P7 Jul 2021** Q7 old scheme

Dharam Singh, the procurement department head of Cyclix, a mountain biking equipment company, was recently promoted to look after sales department along with procurement department. His seniors at the corporate level have always liked his way of leadership and are assures that he would ensure the implementation of policies and strategies to the best of his capacity but have never involved him in decision making for the company. Do you think this is the right approach? Validate your answer with logical reasoning around management levels and decision making.

ICAI'S ANSWER

Functional managers provide most of the information that makes it possible for business and corporate level managers to formulate realistic and attainable strategies. This is so because functional managers like Dharam Singh are closer to the customer than the typical general manager is. A functional manager may generate important ideas that subsequently may become major strategies for the company. Thus, it is important for general managers to listen closely to the ideas of their functional managers and in voice them in decision making.

An equally great responsibility for managers at the operational level is strategy implementation: the execution of corporate and business level plans, and if they are involved in formulation, the clarity of thoughts while implementation can benefit too. Thus, the approach of Cylcix Corporate management is not right. They should involve Dharam Singh, as well as other functional managers too in strategic management.

ICAI · Old P7 · RTP Jul 2021 · question p. 16 · answer p. 17-18

172 RTP **Old P7 Jul 2021** Q17 old scheme

Also asked in Old P7 RTP May 2020 Q12 · Old P7 RTP May 2019 Q12

ABC Ltd is a company that has grown eleven times its size in last five years. With the increase in size, the company is facing difficulty in managing things. Many a times functional level is not in sync with the corporate level. What will you like to advise to the company and why?

ICAI'S ANSWER

The higher-level corporate strategies need to be segregated into viable plans and policies that are compatible with each other and communicated down the line. The higher-level strategies need to be broken into functional strategies for implementation. These functional strategies, in form of marketing, finance, human resource, production, research and development help in achieving the organisational objective. The reasons why functional strategies are needed can be enumerated as follows:

- Functional strategies lay down clearly what is to be done at the functional level. They provide a sense of direction to the functional staff.

- They are aimed at facilitating the implementation of corporate strategies and the business strategies formulation at the business level.
- They act as basis for controlling activities in the different functional areas of business.
- They help in bringing harmony and coordination as they are formulated to achieve major strategies.
- Similar situations occurring in different functional areas are handled in a consistent manner by the functional managers.

ICAI · Old P7 · RTP Jul 2021 · question p. 17 · answer p. 21-22

173 RTP **Old P7 Nov 2020** Q2 MCQ old scheme

Velvet Limited is a full-service airline. The company is making the following decisions:

(i) Should a 'no-frills', 'low-fare' subsidiary be set-up?

(ii) If it is set-up, how should the cabin staff be recruited?

Which of the above decisions will be taken by corporate level managers?

A Only (i)

B Only (ii)

C Both (i) & (ii)

D Neither (i) nor (ii)

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP Nov 2020 · question p. 16

174 RTP **Old P7 Nov 2020** Q12 old scheme

Also asked in Old P7 MTP Nov 2023 S-I Q4(b) · Old P7 MTP Nov 2019 S-I Q4(a)

Same question, different ICAI answer: #166 Old P7 RTP Nov 2023

What is strategic decision making? What tasks are performed by a strategic manager?

ICAI'S ANSWER

Decision making is a managerial process of selecting the best course of action out of several alternative courses for the purpose of accomplishment of the organizational goals. Decisions may be operational i.e., which relate to general day-to-day operations. They may also be strategic in nature. According to Jauch and Glueck "Strategic decisions encompass the definition of the business, products to be handled, markets to be served, functions to be performed and major policies needed for the organisation to execute these decisions to achieve the strategic objectives." The primary task of the strategic manager is conceptualizing, designing and executing company strategies. For this purpose, his tasks include:

- Defining the mission and goals of the organization.
- Determining what businesses it should be in.
- Allocating resources among the different businesses.
- Formulating and implementing strategies that span individual businesses.
- Providing leadership for the organization.

PassBook's note: Only the first half's Jauch and Glueck definition of strategic decisions is not in the January 2027 Study Material.

ICAI · Old P7 · RTP Nov 2020 · question p. 17 · answer p. 21

175 RTP **Old P7 May 2020** Q1(ix) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Which of the following are responsible for formulating and developing realistic and attainable strategies?

A Corporate level and business level managers

B Corporate level and functional level managers

C Functional managers and business level managers

D Corporate level managers, business level managers and functional level managers

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2020 · question p. 11-12

176 RTP **Old P7 May 2020** Q1(xiii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Competitive rivalry has the most effect on the firm's ____ strategies than the firm's other strategies.

A Business level

B Corporate level

C Functional level

D All of these

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP May 2020 · question p. 11

177 RTP **Old P7 May 2020** Q3 old scheme

Also asked in Old P7 MTP May 2023 S-I Q3(b)

Explain the difference between three levels of strategy formulation.

ICAI'S ANSWER

A typical large organization is a multidivisional organisation that competes in several different businesses. It has separate self-contained divisions to manage each of these. There are three levels of strategy in management of business - corporate, business, and functional.

The corporate level of management consists of the chief executive officer and other top level executives. These individuals occupy the apex of decision making within the organization. The role of corporate-level managers is to oversee the development of strategies for the whole organization. This role includes defining the mission and goals of the organization, determining what businesses it should be in, allocating resources among the different businesses and so on rests at the Corporate Level.

The development of strategies for individual business areas is the responsibility of the general managers in these different businesses or business level managers. A business unit is a self-contained division with its own functions - for example, finance, production, and marketing. The strategic role of business-level manager, head of the division, is to

translate the general statements of direction and intent that come from the corporate level into concrete strategies for individual businesses.

Functional-level managers are responsible for the specific business functions or operations such as human resources, purchasing, product development, customer service, and so on. Thus, a functional manager's sphere of responsibility is generally confined to one organizational activity, whereas general managers oversee the operation of a whole company or division.

ICAI · Old P7 · RTP May 2020 · question p. 14 · answer p. 16-17

178 **RTP** **Old P7 May 2020** Q6 old scheme

Also asked in Old P7 RTP May 2018 Q9

Rohit Seth in an informal discussion with his friend shared that he has to move very cautiously in his organisation as the decisions taken by him have organisation wide impact and involve large commitments of resources. He also said that his decisions decide the future of his organisation.

Where will you place Rohit Seth in organisational hierarchy? What are the dimensions of the decisions being taken by him?

ICAI'S ANSWER

As the decisions taken by Rohit Seth have organisation wide impact, involves large commitments and have implication on the future, he is at the top level in organisational hierarchy. These characteristics also indicate that he is taking strategic decisions in the organisation. The major dimensions of strategic decisions are as follows:

- Strategic decisions require top-management involvement: Strategic decisions involve thinking in totality of the organization. Hence, problems calling for strategic decisions require to be considered by the top management.
- Strategic decisions involve commitment of organisational resources: For example, Strategic decisions to launch a new project by a firm requires allocation of huge funds and assignment of a large number of employees.
- Strategic decisions necessitate consideration of factors in the firm's external environment: Strategic focus in organization involves orienting its internal environment to the changes of external environment.
- Strategic decisions are likely to have a significant impact on the long-term prosperity of the firm: Generally, the results of strategic implementation are seen on a long-term basis and not immediately.
- Strategic decisions are future oriented: Strategic thinking involves predicting the future environmental conditions and how to orient for the changed conditions.
- Strategic decisions usually have major multifunctional or multi-business consequences: As they involve organization in totality they affect different sections of the organization with varying degree.

PassBook's note: The list of dimensions of strategic decisions ICAI adds is not in the January 2027 Study Material.

ICAI · Old P7 · RTP May 2020 · question p. 14 · answer p. 18

179 RTP **Old P7 Nov 2019** Q1(j) MCQ old scheme

In the questions given below select the best answer out of options (A), (B), (C), or (D):

Porter' cost leadership is a _____ strategy

- A Functional level
- B Business level
- C Corporate level
- D Implementation

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP Nov 2019 · question p. 12-13

180 RTP **Old P7 May 2019** Q1(vii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Strategic decision making can take place at three common levels of an organisation as follows:

- A Divisional, group and individual.
- B Executive, leader and manager.
- C Corporate, business and functional.
- D Strategic, tactical and operational.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP May 2019 · question p. 9-10

181 RTP **Old P7 May 2019** Q1(xv) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Marketing Strategy is the following type of strategy:

- A Business Strategy.
- B Functional Strategy.
- C Growth Strategy.
- D Product Strategy.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP May 2019 · question p. 9

182 RTP **Old P7 May 2019** Q6 old scheme

Also asked in Old P7 MTP Dec 2021 S-II Q3(a)

Shri Alok Kumar is having his own medium size factory in Aligarh manufacturing hardware consisting handles, hinges, tower bolts and so on. He has a staff of more than 220 in his organisation. One of the leading brand of Hardware seller in India is rebranding and selling the material from his factory. Shri Alok Kumar, believes in close supervision and takes all major and minor decisions in the organisation.

Do you think Shri Alok should take all decisions himself? What should be nature of decisions that should be taken by him.

ICAI'S ANSWER

Decision making is a managerial process of selecting the best course of action out of several alternative courses for the purpose of accomplishment of the organizational goals. Decisions may be operational, i.e., which relate to general day-to-day operations. They may also be strategic in nature.

As owner manager at the top level in the company, Shri Alok Kumar should concentrate on strategic decisions. These are higher level decisions having organisation wide implications. The major dimensions of strategic decisions are as follows:

- Strategic decisions require top-management involvement as they involve thinking in totality of the organization.
- Strategic decisions involve significant commitment of organisational resources.
- Strategic decisions necessitate consideration of factors in the firm's external environment.
- Strategic decisions are likely to have a significant impact on the long-term prosperity of the firm.
- Strategic decisions are future oriented.
- Strategic decisions usually have major multifunctional or multi-business consequences.

PassBook's note: The list of dimensions of strategic decisions ICAI adds is not in the January 2027 Study Material.

ICAI · Old P7 · RTP May 2019 · question p. 12 · answer p. 15-16

183 RTP **Old P7 May 2019** Q18(d) old scheme

Distinguish between the following: Corporate and business level.

ICAI'S ANSWER

A typical large organization is a multi-divisional organisation that competes in several different businesses. There are three main levels of management: corporate, business, and functional. Corporate level occupies the highest level of strategic decision making and cover actions dealing with the objective of the firm, acquisition and allocation of resources and coordination of strategies of various businesses for optimal performance. The corporate level of management consists of the Chief Executive Officer (CEO), other senior executives. The role of corporate level managers is to oversee the development of strategies for the whole organization. This role includes defining the mission and goals of the organization, determining what businesses it should be in, allocating resources and so on.

Business level comes below corporate level. Business level strategies are the courses of action adopted by an organisation for each of its businesses separately, to serve identified customer groups and provide value to the customers by satisfaction of their needs.

ICAI · Old P7 · RTP May 2019 · question p. 13 · answer p. 23

184 RTP **Old P7 Nov 2018** Q1(a) old scheme

Briefly answer the following questions: Define the role of corporate level managers.

ICAI'S ANSWER

Corporate-level managers participate in strategic decision making within the organization. The role of corporate-level managers is to oversee the development of strategies for the whole organization. This role includes defining the mission and goals of the organization, determining what businesses it

should be in, allocating resources among the different businesses, formulating and implementing strategies that span individual businesses, and providing leadership for the organization.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 15

185 RTP **Old P7 Nov 2018** Q15 old scheme

Also asked in Old P7 MTP May 2019 S-II Q5(b)

Rohit Bhargava is the Managing Director of Smooth and Simple Pvt Ltd. The company established in 2011, with 35 employees grew very fast to become an organisation with 335 employees in the year 2016. With the increase in size Rohit started facing difficulty in managing things. Many a times he finds that personnel at the functional level are not in sync with the strategies of the top. He felt that strategies need to be segregated into viable plans and policies that are compatible with each other and communicated down the line. Why does Rohit need to segregate the strategies into functional plans? Discuss.

ICAI'S ANSWER

Rohit Bhargava needs to break higher level strategies into functional strategies for implementation. These functional strategies, in form of Marketing, Finance, Human Resource, Production, Research and Development help in achieving the organisational objective. The reasons why functional strategies are needed can be enumerated as follows:

- Functional strategies lay down clearly what is to be done at the functional level. They provide a sense of direction to the functional staff.
- They are aimed at facilitating the implementation of corporate strategies and the business strategies formulation at the business level.
- They act as basis for controlling activities in the different functional areas of business.
- They help in bringing harmony and coordination as they are formulated to achieve major strategies.
- Similar situations occurring in different functional areas are handled in a consistent manner by the functional managers.

ICAI · Old P7 · RTP Nov 2018 · question p. 14 · answer p. 23

186 MTP **May 2026 S-II** Q1(a) 5 marks

XYZ Pharmaceuticals plans to launch a new line of affordable medicines. The top management defines long-term expansion plans, while different product divisions such as generics and specialty drugs operate independently under separate division heads. Each division has its own functional teams like marketing, HR and production reporting to respective heads. Recently, the company has also started forming cross functional teams for new product launches where employees report to more than one manager. In this context, identify and explain the different types of network relationships existing in the organisation and briefly comment on their suitability.

ICAI'S ANSWER

The corporate level decides what the business wants to achieve, the business level formulates plans, and the functional level executes them, with different types of relationships linking these levels.

Functional and Divisional Relationship: In XYZ Pharmaceuticals, this relationship is evident as different product divisions such as generics and specialty drugs operate independently, each headed by a division head, with separate functional teams like marketing, HR and production under them.

This independent structure ensures specialisation, clarity in roles and efficient management of diverse product lines, making it highly suitable for the organisation.

Horizontal Relationship: Elements of horizontal relationship can be observed through coordination and idea sharing across teams at similar hierarchical levels. This promotes openness, transparency and innovation in the organisation. However, since the pharmaceutical industry is complex and highly regulated, this relationship is not dominant but still useful in encouraging collaboration and faster decision-making.

Matrix Relationship: The company also follows a matrix relationship as it forms cross-functional teams for new product launches, where employees report to more than one manager (functional and project heads). This grid-like structure enhances flexibility, coordination and effective utilisation of resources, making it highly suitable for project-based work, although it may lead to complexity in reporting and authority.

ICAI · P6 · MTP May 2026 · Series II · question p. 13 · answer p. 12

187 MTP **Jan 2026 S-I** Q1(a) 5 marks

The Board of Directors of Gromax Industries Ltd., a diversified conglomerate with six business units—Agritech, Pharmaceuticals, Construction Materials, Consumer Electronics, Renewable Energy and Logistics—recently held a strategic review meeting. The board discussed allocating the highest capital budget for the next five years to the most promising business unit to enhance long-term shareholder value. They also considered divesting the loss-making Logistics division and reviewed a unified dividend policy for the entire group. These decisions will significantly shape the firm's long-term direction and resource distribution. Which level of strategy is being addressed? Explain with reasons.

ICAI'S ANSWER

The strategic decisions described in the case represent the Corporate-Level Strategy.

Corporate-level strategy is formulated by the top management, Board of Directors or corporate headquarters and it defines the overall scope, long-term direction and resource allocation for the entire organization. It involves decisions regarding the portfolio of businesses, entry into or exit from sectors, allocation of financial resources among business units and policies affecting the whole enterprise such as investment, growth, stability, retrenchment and dividend decisions.

In the case of Gromax Industries Ltd., the Board is deciding which business unit will receive the highest capital allocation, evaluating divestment of the poorly performing Logistics unit and framing a common dividend policy for the group. These decisions influence the future growth path, competitive positioning and overall value maximization of the conglomerate. Therefore, the decisions clearly fall under Corporate-Level Strategy, as they determine the strategic direction and structure of the company as a whole rather than focusing on individual business operations or functional activities.

ICAI · P6 · MTP Jan 2026 · Series I · question p. 11 · answer p. 17

188 MTP **Jan 2026 S-II** Q4(b) 5 marks

Although functional-level managers operate at the lower end of the management hierarchy, their responsibilities are vital to ensure the smooth and successful functioning of a business. Discuss the importance of functional-level managers in achieving organisational objectives.

ICAI'S ANSWER

Functional-level managers handle specific business functions such as HR, purchasing, product development, accounts, sales and customer service.

- They operate at the bottom of the management hierarchy and follow the instructions and guidelines issued by business and corporate-level managers.
- Though not responsible for the organisation's overall performance, they play a major strategic role by developing functional strategies that support the strategic objectives set at higher levels.
- They provide crucial operational and customer-related information that enables business- and corporate-level general managers to formulate realistic, practical and effective strategies.
- Because they work closely with frontline staff and customers, functional managers gain first-hand insights that may lead to new ideas and improvements, sometimes becoming major strategic initiatives for the company.
- They play an equally important role in strategy implementation, ensuring that corporate and business-level plans are executed effectively at the operational level.

ICAI · P6 · MTP Jan 2026 · Series II · question p. 13 · answer p. 21

189 MTP **Jan 2026 S-II** Q4(b) OR 5 marks

Same question, different ICAI answer: #164 RTP Jan 2025

XYZ Enterprises operates in various sectors, including renewable energy solutions, organic skincare products, eco-friendly packaging, and smart home technologies. The organization is currently in the process of recruiting a Chief Executive Officer. In this scenario, imagine yourself as an HR consultant for XYZ Enterprises. Identify the strategic level that encompasses this role within XYZ Enterprises. Provide an overview of the key duties and responsibilities falling under the Chief Executive Officer's scope.

ICAI'S ANSWER

The Chief Executive Officer (CEO) position within XYZ Enterprises operates at the Corporate Level. This executive level is key in leading the overall direction, performance, and success of the entire organization. The CEO assumes a central role in shaping the company's strategic vision, overseeing diverse business sectors, and ensuring alignment with organizational goals.

Key Duties and Responsibilities of the CEO:

The CEO's role encompasses various strategic responsibilities at the Corporate Level, involving:

1. oversee the development of strategies for the whole organization.

2. defining the mission and goals of the organization;

3. determining what businesses, it should be in;

4. allocating resources among the different businesses;

5. formulating and implementing strategies that span individual businesses;

6. providing leadership for the organization;

7. ensuring that the corporate and business level strategies which company pursues are consistent with maximizing shareholders wealth; and

8. managing the divestment and acquisition process.

Given the diverse nature of XYZ Enterprises, including renewable energy solutions, organic skincare products, eco-friendly packaging, and smart home technologies, the CEO's responsibilities are

tailored to navigate the unique challenges and opportunities presented by each sector. In conclusion, the CEO at the Corporate Level plays a critical role in guiding XYZ Enterprises strategically, ensuring cohesive leadership, and driving sustainable success across its diverse business domains.

ICAI · P6 · MTP Jan 2026 · Series II · question p. 13 · answer p. 22

190 MTP **Sep 2025 S-II** Q3(a) 5 marks

CDE Holdings operates in various sectors, including manufacturing fitness equipment, organic foods, eco-friendly products and children's educational tools. The organization is currently in the process of recruiting Chief Executive Officer. In this scenario imagine yourself as a HR consultant for CDE Holdings. Identify the strategic level that encompasses this role within CDE Holdings. Provide an overview of the key duties and responsibilities falling under the Chief Executive Officer's scope.

ICAI'S ANSWER

The Chief Executive Officer (CEO) position within CDE Holdings operates at the Corporate Level. This executive level is key in leading the overall direction, performance, and success of the entire organization. The CEO assumes a central role in shaping the company's strategic vision, overseeing diverse business sectors, and ensuring alignment with organizational goals.

Key Duties and Responsibilities of the CEO:

The CEO's role encompasses various strategic responsibilities at the Corporate Level, involving:

1. oversee the development of strategies for the whole organization;

2. defining the mission and goals of the organization;

3. determining what businesses, it should be in;

4. allocating resources among the different businesses;

5. formulating and implementing strategies that span individual businesses;

6. providing leadership for the organization;

7. ensuring that the corporate and business level strategies which company pursues are consistent with maximizing shareholders wealth; and

8. managing the divestment and acquisition process.

Given the diverse nature of CDE Holdings, spanning manufacturing, organic foods, eco-friendly products, and children's educational tools, the CEO's responsibilities are tailored to navigate the unique challenges and opportunities presented by each sector. In conclusion, the CEO at the Corporate Level plays a critical role in guiding CDE Holdings strategically, ensuring cohesive leadership and driving sustainable success across its diverse business domains.

ICAI · P6 · MTP Sep 2025 · Series II · question p. 15 · answer p. 19-20

191 MTP **May 2025 S-I** Q1(a) 5 marks

XYZ Enterprises operates in multiple industries. Its automobile division functions independently, with separate teams for electric and fuel-based vehicles. The IT division follows a structure where employees report to both project heads and department managers for various software projects. Meanwhile, its startup incubator encourages open collaboration among employees at all levels. Identify the network relationships used in XYZ Enterprises' divisions and explain why they are appropriate.

ICAI'S ANSWER

XYZ Enterprises employs different network relationships across its divisions to optimize efficiency and innovation.

- **Automobile Division – Functional and Divisional Relationship:** The automobile division operates independently, with distinct teams handling electric and fuel-based vehicles. Each division is managed by a business-level head who directly reports to the corporate-level management. This structure ensures clear accountability, specialization, and focused decision-making. By maintaining independent divisions, XYZ Enterprises can cater to different market segments effectively.
- **IT Division – Matrix Relationship:** The IT division follows a matrix structure where employees report to both project heads and functional managers. This setup allows for efficient resource utilization, as employees contribute to multiple projects while maintaining alignment with their respective departments. The matrix relationship helps manage complex software development projects that require cross-functional expertise, ensuring seamless collaboration among teams like development, marketing, and finance.
- **Startup Incubator – Horizontal Relationship:** The startup incubator promotes a horizontal structure where all employees, regardless of hierarchy, collaborate and share ideas openly. This nurtures transparency, quick decision-making, and innovation, which are essential for startups. Since speed and adaptability are crucial in early-stage ventures, this relationship structure ensures that creative solutions are implemented without bureaucratic delays.

By adopting these network relationships, XYZ Enterprises maximizes efficiency, agility, and innovation across its diverse operations.

ICAI · P6 · MTP May 2025 · Series I · question p. 11 · answer p. 17

192 MTP **Jan 2025 S-I** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

EcoForge, a startup specializing in eco-friendly building materials crafted from agricultural waste, entered the highly competitive manufacturing industry with a vision of promoting sustainability. Despite its innovative approach, the company faced significant challenges as a new entrant, including high production costs, limited market visibility, regulatory hurdles, and fierce competition from established players. However, through strategic planning and effective execution, EcoForge successfully navigated these obstacles and positioned itself for sustainable growth.

The company's leadership recognized the importance of understanding its internal strengths and weaknesses, along with external opportunities and threats. This analysis revealed EcoForge's core advantage in sustainability and innovation, contrasted with scalability issues and market pressure from cheaper alternatives. Additionally, market analysis uncovered the potential of urban housing projects as an opportunity, while intense competition posed a significant threat.

EcoForge's leadership focused on creating unique value propositions by emphasizing its eco-friendly materials. This differentiation helped the company appeal to environmentally conscious builders and developers. To expand its market reach, EcoForge adopted strategies to deepen its presence in existing markets and explore new ones. Concurrently, it analyzed the industry landscape and identified the critical influence of regulatory policies and socio-cultural factors shaping consumer preferences.

Internally, EcoForge implemented structural and cultural changes to enhance its operational efficiency and responsiveness. By adopting a Strategic Business Unit (SBU) model, the company streamlined its decision-making process, allowing each product line to adapt quickly to market demands.

Recognizing the need for collaborative leadership, EcoForge's CEO, Ms. Aarti Mehra, invested in leadership training programs for senior managers. This shifted the company's culture from hierarchical to team-driven, encouraging innovation and cross-functional collaboration.

To enhance its competitiveness, EcoForge optimized its production and supply chain processes by addressing inefficiencies and partnering with technology providers. These efforts significantly reduced costs and improved product quality. Simultaneously, the company pursued green certifications and localized marketing efforts to build brand recognition, attracting environmentally conscious clients. Over three years, these initiatives enabled EcoForge to expand into new markets, secure partnerships with leading developers, and increase its revenue by 40%.

By integrating market analysis, operational improvements, and a focus on cost efficiency, EcoForge transitioned from a struggling startup to a leader in sustainable building materials, setting a benchmark for innovation and environmental stewardship in the industry.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

The SBU model adopted by EcoForge is an example of strategic decision-making at which level?

- A Corporate Level
- B Business Level
- C Functional Level
- D Operational Level

Q1(A)(ii) 2 marks

EcoForge's strategy of appealing to environmentally conscious builders and developers by emphasizing its eco-friendly materials is an example of which type of generic strategy by Michael Porter?

- A Cost Leadership
- B Differentiation
- C Focussed Cost Leadership
- D Focussed Differentiation

Q1(A)(iii) 2 marks

The case mentions EcoForge identifying "critical influence of regulatory policies and socio-cultural factors shaping consumer preferences." Which strategic analysis framework is most relevant here?

- A SWOT Analysis
- B Value Chain Analysis
- C PESTLE Analysis
- D Ansoff's Matrix

Q1(A)(iv) 2 marks

EcoForge's strategy to deepen its presence in existing markets and explore new ones corresponds to which growth strategy in Ansoff's Matrix?

A Market Penetration

B Market Development

C Product Development

D Diversification

Q1(A)(v) 2 marks

Which key industry force, as per Porter's Five Forces, is reflected in EcoForge's challenges from cheaper alternatives and intense competition?

A Threat of New Entrants

B Bargaining Power of Suppliers

C Bargaining Power of Buyers

D Threat of Substitutes

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(A)**

Q1(A)(ii)

Answer key: **(B)**

Q1(A)(iii)

Answer key: **(C)**

Q1(A)(iv)

Answer key: **(B)**

Q1(A)(v)

Answer key: **(D)**

ICAI · P6 · MTP Jan 2025 · Series I · question p. 8-9

193 MTP **Jan 2025 S-II** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

Galaxy Enterprises Limited (GEL) operates as a diversified conglomerate with a significant presence in various industries, including electronics, packaged foods, textiles, heavy machinery, and renewable energy. Leveraging its substantial free reserves of ₹85,000 crores, GEL has built a strong brand reputation, largely driven by its market leadership across multiple sectors.

In the renewable energy sector, GEL has been the industry leader for over 15 years. The division's recent performance has been exceptional. A significant market development occurred when two competitors, Nova Green Energy Limited and Zenith Solar Limited – previously ranked second and third in market share, respectively – merged to create a new entity, Synergy Renewables Ltd (SRL). Following the merger, SRL has claimed the top spot in market share, intensifying competition.

Against this backdrop, the Chairman of GEL convened a strategic meeting with the Board of Directors, divisional heads, marketing executives, and the Group CFO. The meeting focused on formulating growth strategies for the renewable energy division, identifying opportunities for diversification, and announcing an interim dividend in honour of GEL's platinum jubilee celebrations.

Mr. Arvind Malhotra, CEO of the renewable energy division, emphasized the industry's slow pace of modernization compared to global standards. He highlighted the potential in emerging product categories, such as next-generation solar panels, energy storage systems, and advanced wind

turbines. He proposed a modernization initiative requiring an investment of ₹7,000 crores. This transformation is projected to reduce operational costs by 20% and minimize wastage by 12%.

The CFO presented an analysis revealing that competitors are unlikely to invest in significant upgrades or expansions for the next 6–8 years due to financial constraints. In response, the Board approved the modernization initiative and allocated an additional ₹1,500 crores to strengthen the division's supply chain.

Another proposal discussed was GEL's entry into the electric vehicle (EV) segment. The Board approved this diversification strategy, allocating ₹8,000 crores to establish a foothold in this rapidly growing market. Additionally, the Board authorized the distribution of an interim dividend of ₹75 per share to commemorate GEL's platinum jubilee.

In preparing for these strategic initiatives, the Board also evaluated key stakeholders to determine their influence and interest. Shareholders and the Board of Directors emerged as primary stakeholders with both high influence and interest, necessitating active engagement to secure their support. Regulatory authorities were recognized as influential but less interested in the immediate plans, requiring regular updates to ensure compliance. Customers and employees, while not as powerful, were identified as highly interested stakeholders, particularly concerning the renewable energy division's modernization and the entry into the EV market.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

GEL has approved significant investments in modernizing its renewable energy division and entering the electric vehicle segment. Analyze the level of strategy these decisions represent and identify the correct justification for your answer.

- A Functional level, as these are related to operational improvements within the renewable energy division.
- B Business level, as these initiatives align with the goals of a single division to gain a competitive edge.
- C Corporate level, as they involve decisions impacting the overall portfolio and diversification of GEL.
- D Operational level, as these focus on day-to-day activities within the divisions.

Q1(A)(ii) 2 marks

With the merger of Nova Green Energy Limited and Zenith Solar Limited into Synergy Renewables Ltd (SRL), how does this development influence GEL's strategic priorities in the renewable energy sector under Porter's Five Forces framework?

- A The merger reduces the threat of substitutes by consolidating competing technologies.
- B It increases the bargaining power of buyers by providing them with a stronger alternative supplier.
- C It heightens the intensity of industry rivalry by creating a stronger competitor with greater market share.
- D The merger strengthens the bargaining power of suppliers due to greater reliance on key inputs.

Q1(A)(iii) 2 marks

GEL's decision to enter the EV market represents a diversification strategy. Evaluate which type of diversification strategy is being pursued and the reasoning behind this classification.

- A Concentric diversification, as the EV market shares synergies with renewable energy technologies.
- B Vertical integration, as GEL seeks to integrate upstream or downstream activities in the automotive value chain.

C Horizontal diversification, as GEL expands into a market unrelated to its existing renewable energy operations.

D Conglomerate diversification, as GEL enters an entirely unrelated and independent business segment.

Q1(A)(iv) 2 marks

GEL identified shareholders and the Board of Directors as key stakeholders. Analyze the rationale for classifying them as both high influence and high interest and how this influences strategic communication.

A They directly impact compliance with regulatory standards, necessitating regular updates.

B Their vested interest in dividends and long-term value creation makes their engagement essential for approval of key initiatives.

C They represent the end consumers whose perceptions directly influence GEL's market reputation.

D Their role in operational execution requires constant communication and support for strategy implementation.

Q1(A)(v) 2 marks

By approving modernization in renewable energy and diversification into EVs, what corporate strategy is GEL pursuing, and how does it position the company as per Ansoff's product market growth matrix?

A Cost leadership, to lower operational expenses and offer competitive pricing.

B Product differentiation, by leveraging innovation in both existing and new markets.

C Market penetration, through deeper investments in existing product lines.

D Market expansion and diversification, to capture growth opportunities across unrelated industries.

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(C)**

Q1(A)(ii)

Answer key: **(C)**

Q1(A)(iii)

Answer key: **(D)**

Q1(A)(iv)

Answer key: **(B)**

Q1(A)(v)

Answer key: **(D)**

ICAI · P6 · MTP Jan 2025 · Series II · question p. 8-9

194 MTP **Sep 2024 S-I** Q3(b) 5 marks

XYZ Corporation operates in a diverse range of industries, including fashion, lifestyle products, furniture, real estate, and electrical goods. The company is seeking to hire a suitable Chief Executive Officer. As the HR consultant for XYZ Corporation, you have been tasked with outlining the activities involved in the role of the Chief Executive Officer. Identify the strategic level associated with this role and list the activities it encompasses.

ICAI'S ANSWER

The role of Chief Executive Officer pertains to corporate level.

The corporate level of management consists of the Chief Executive Officer (CEO) and other top-level executives. These individuals occupy the apex of decision making within the organization.

The role of Chief Executive Officer is to:

1. oversee the development of strategies for the whole organization;

2. defining the mission and goals of the organization;

3. determining what businesses, it should be in;

4. allocating resources among the different businesses;

5. formulating, and implementing strategies that span individual businesses;

6. providing leadership for the organization;

7. ensuring that the corporate and business level strategies which company pursues are consistent with maximizing shareholders wealth; and

8. managing the divestment and acquisition process.

ICAI · P6 · MTP Sep 2024 · Series I · question p. 11 · answer p. 14

195 MTP **May 2024 S-I** Q1(a) 5 marks

Swati is the marketing manager at a software company. She is responsible for developing and implementing marketing strategies for the company's products. Swati leads a team of marketing professionals and works closely with the product development and sales teams to ensure that the company's products are effectively promoted in the market. She also analyzes market trends and customer feedback to refine the marketing strategies. Which level is she working at, discuss the roles and responsibilities of this level in organization?

ICAI'S ANSWER

Swati operates at the functional level of management, specifically as the marketing manager at a software company. Functional managers like Swati oversee specific departments or functions within an organization, such as marketing, finance, or operations. Their primary responsibilities include implementing corporate strategies and policies within their area of expertise and ensuring that daily operations are conducted efficiently and effectively.

In Swati's case, as a marketing manager, her role involves developing and executing marketing strategies for the company's products. This includes leading a team of marketing professionals, collaborating with product development and sales teams, and analyzing market trends and customer feedback to refine strategies. By working closely with these teams, Swati ensures that the company's products are effectively promoted in the market and that marketing efforts align with overall business goals.

Functional managers like Swati play a critical role in the organization by bridging the gap between corporate strategy and daily operations. They are responsible for translating high-level strategic goals into actionable plans for their departments and ensuring that these plans are executed effectively. Additionally, they are often key decision-makers within their areas of responsibility, making strategic choices that impact on the company's success. Overall, Swati's role as a marketing manager exemplifies the importance of functional managers in driving the success of their organizations.

ICAI · P6 · MTP May 2024 · Series I · question p. 8 · answer p. 9

196 MTP **Old P7 May 2023 S-I** Q1(H) 1 mark MCQ old scheme

Also asked in Old P7 MTP May 2022 S-I Q1(E)

Functional level managers are concerned with-

A Strategies that are responsible for the operations of specific business

B Strategies that span multiple businesses

C Strategies that are specific to particular country

D Strategies that encourage a favourable attitude toward change

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2023 · Series I · question p. 8

197 MTP **Old P7 Nov 2022 S-I** Q1(G) 1 mark MCQ old scheme

Kanchan is the finance head for marketing strategies of a company. Which level of management is she working at?

A Corporate Level

B Functional Level

C Shopfloor Level

D Consultant Level

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Nov 2022 · Series I · question p. 8

198 MTP **Old P7 Nov 2022 S-II** Q2 5 marks old scheme

Same question, different ICAI answer: #157 Old P7 Exam Jan 2021

ABC Limited is in a wide range of businesses which include apparels, lifestyle products, furniture, real estate and electrical products. The company is looking to hire a suitable Chief Executive Officer. Consider yourself as the HR consultant for ABC limited. You have been assigned the task to enlist the activities involved with the role of the Chief Executive Officer. Name the strategic level that this role belongs to and enlist the activities associated with it.

ICAI'S ANSWER

The role of Chief Executive Officer pertains to Corporate level.

The corporate level of management consists of the Chief Executive Officer (CEO) and other top-level executives. These individuals occupy the apex of decision making within the organization.

The role of Chief Executive Officer is to:

1. oversee the development of strategies for the whole organization;
2. defining the mission and goals of the organization;
3. determining what businesses, it should be in;
4. allocating resources among the different businesses;
5. formulating, and implementing strategies that span individual businesses;

6. providing leadership for the organization;

7. ensuring that the corporate and business level strategies which company pursues are c onsistent with maximizing shareholders wealth; and

8. managing the divestment and acquisition process.

ICAI · Old P7 · MTP Nov 2022 · Series II · question p. 9 · answer p. 7

199 MTP **Old P7 May 2022 S-I** Q1(B) 2 marks MCQ old scheme

Greg was heading the Global Biscuits SBU for Jonky's Ltd. and he got an email congratulating him for being promoted as the head of entire business of Jonky's in India. Which of the following statements is true about Greg's position?

A Greg was a business level manager but now he is a corporate level manager

B Greg was a functional level manager but now he is a corporate level manager

C Greg was a business level manager and now also he is a business level manager

D Greg was a corporate level manager and now also he is a corporate level manager

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2022 · Series I · question p. 7

200 MTP **Old P7 Jul 2021 S-I** Q4(a) 5 marks old scheme

Shri Alok Kumar is having his own medium size factory in Aligarh manufacturing hardware consisting handles, hinges, tower bolts and so on. He has a staff of more than 220 in his organisation. One of the leading brand of Hardware seller in India is rebranding and selling the material from his factory. Shri Alok Kumar, believes in close supervision and takes all major and minor decisions in the organisation.

Do you think Shri Alok should take all decisions himself? What should be the nature of decisions that should be taken by him.

ICAI'S ANSWER

Decision making is a managerial process of selecting the best course of action out of several alternative courses for the purpose of accomplishment of the organisational goals. Decisions may be operational, i.e., which relate to general day-to-day operations. They may also be strategic in nature.

As owner manager at the top level in the company, Shri Alok Kumar should concentrate on strategic decisions. These are higher level decisions having organisation wide implications. The major dimensions of strategic decisions are as follows:

- Strategic decisions require top-management involvement as they involve thinking in totality of the organisation.
- Strategic decisions involve significant commitment of organisational resources.
- Strategic decisions necessitate consideration of factors in the firm's external environment.
- Strategic decisions are likely to have a significant impact on the long-term prosperity of the firm.
- Strategic decisions are future oriented.
- Strategic decisions usually have major multifunctional or multi-business consequences.

PassBook's note: The list of dimensions of strategic decisions ICAI adds is not in the January 2027 Study Material.

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 7 · answer p. 7-8

201 MTP **Old P7 Nov 2020 S-I** Q1(D) 1 mark MCQ old scheme

Dee Limited is an international clothing retailer. The company is making the following decisions: i. Should another range of shops be established? ii. Should the company float more share capital? iii. How will the premises be fitted out for the new range of shops? Which of the above decisions will be taken by corporate level managers?

- A Only (i)
- B Only (ii)
- C (i) & (ii)
- D (ii) & (iii)

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 7

202 MTP **Old P7 Nov 2020 S-I** Q1(F) 1 mark MCQ old scheme

Low cost, differentiation and focus are:

- A SBU level strategies
- B Corporate level strategies
- C Business level strategies
- D Functional level strategies

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 7

203 MTP **Old P7 Nov 2019 S-I** Q1(i) 1 mark MCQ old scheme

Which of the following are responsible for formulating and developing realistic and attainable strategies?

- A Corporate level and business level managers
- B Corporate level and functional level managers
- C Functional level managers and business level managers
- D Corporate level managers, business level managers and functional level managers

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 4

204 MTP **Old P7 May 2019 S-II** Q3(a) 5 marks old scheme

Enumerate the task to be performed as a strategic manager of a company.

ICAI'S ANSWER

The primary tasks of the strategic manager is conceptualizing, designing and executing company strategies.

For this purpose, his tasks will include:

• Defining the mission and goals of the organization.
• Determining what businesses it should be in.
• Allocating resources among the different businesses.
• Formulating strategies.
• Implementing strategies.
• Providing leadership for the organization.

ICAI · Old P7 · MTP May 2019 · Series II · question p. 6 · answer p. 7

205 MTP **Old P7 May 2019 S-II** Q4(a) 5 marks old scheme

A owner of medium size factory in Aligarh manufacturing hardware consisting handles, hinges, tower bolts and so on has a staff of about 200 in his organisation. One of the leading brand of Hardware seller in India is rebranding and selling the material from his factory. The owner believes in close supervision and takes all major and minor decisions in the organisation.

Do you think the owner should take all decisions himself? What kind of decisions should be taken by person at the level of owner of a medium size factory.

ICAI'S ANSWER

Decision making is a managerial process of selecting the best course of action out of several alternative courses for the purpose of accomplishment of the organizational goals. Decisions may be operational, i.e., which relate to general day-to-day operations. They may also be strategic in nature.

A owner manager at the top level should concentrate on strategic decisions. These are higher level decisions having organisation wide implications. The major dimensions of strategic decisions are as follows:

- Strategic decisions require top-management involvement as they involve thinking in totality of the organization.
- Strategic decisions involve significant commitment of organisational resources.
- Strategic decisions necessitate consideration of factors in the firm's external environment.
- Strategic decisions are likely to have a significant impact on the long-term prosperity of the firm.
- Strategic decisions are future oriented.
- Strategic decisions usually have major multifunctional or multi-business consequences.

PassBook's note: The list of dimensions of strategic decisions ICAI adds is not in the January 2027 Study Material.

ICAI · Old P7 · MTP May 2019 · Series II · question p. 6 · answer p. 8

206 MTP **Old P7 Nov 2018 S-I** Q4(b) 5 marks old scheme

Distinguish between the three levels of strategy formulation.

ICAI'S ANSWER

A typical large organization is a multidivisional organisation that competes in several different businesses. It has separate self-contained divisions to manage each of these. There are three levels of

strategy in management of business - corporate, business, and functional.

The corporate level of management consists of the chief executive officer and other top level executives. These individuals occupy the apex of decision making within the organization. The role of corporate-level managers is to oversee the development of strategies for the whole organization . This role includes defining the mission and goals of the organization, determining what businesses it should be in, allocating resources among the different businesses and so on rests at the Corporate Level.

The development of strategies for individual business areas is the responsibility of the general managers in these different businesses or business level managers. A business unit is a self - contained division with its own functions - for example, finance, production, and marketing. The strategic role of business-level manager, head of the division, is to translate the general statements of direction and intent that come from the corporate level into concrete strategies for individual businesses.

Functional-level managers are responsible for the specific business functions or operations such as human resources, purchasing, product development, customer service, and so on. Thus, a functional manager’s sphere of responsibility is generally confined to one organizational activity, whereas general managers oversee the operation of a whole company or division.

ICAI · Old P7 · MTP Nov 2018 · Series I · question p. 2 · answer p. 11-12

CHAPTER 2

Strategic Analysis: External Environment

2.1 International and macro environment: PESTLE

37 questions · asked in 22 ICAI documents · 6 exam papers

207 EXAM **May 2026** Q7(a) 5 marks

"Beyond the basic need to grow modern organizations are driven by a mix of market inadequacy resource needs and the collapse of international barriers." Analyse the various reasons why companies choose to globalise their operations.

ICAI'S ANSWER

Globalisation refers to the process of expanding business operations beyond domestic boundaries into international markets. Companies choose to globalise their operations due to various strategic, economic and competitive reasons. Reasons for Globalisation of Business

1. Need for Growth: The foremost reason for internationalisation is the need to grow. Organizations expand globally in search of new business opportunities, higher sales and greater earnings.

2. Shrinking Time and Distance: Rapid technological developments, faster communication, speedier transportation and increased financial flows have reduced geographical barriers and made global operations easier.

3. Inadequacy of Domestic Markets: Domestic markets are often not sufficient for long-term growth. Companies enter international markets where competition may be less intense and growth opportunities may be higher.

4. Availability of Resources: Businesses globalise to access reliable and cheaper sources of raw materials, skilled labour and talent pools available in foreign countries.

5. Reduction in Transportation Costs: Companies establish overseas manufacturing plants near target markets to reduce transportation costs, delivery time and logistics expenses.

6. Expansion of Foreign Markets: When foreign markets grow substantially, organizations establish overseas production and sales units to increase sales volume and improve cash flows.

7. Growth of Service Sector and Regional Integration: The growing importance of the service sector and regional economic integration among countries encourage firms to expand internationally.

8. Collapse of International Trade Barriers: Reduction in trade tariffs, customs barriers and government restrictions has increased the flow of international business and encouraged globalization.

9. Formation of Strategic Alliances: Globalization enables companies from different countries to form strategic alliances to face technological and economic challenges and leverage competitive advantages.

Thus, modern organizations globalise their operations to achieve growth, access resources, reduce costs, enhance competitiveness and exploit opportunities arising from technological and economic integration across nations.

ICAI · P6 · May 2026 exam · question p. 30 · answer p. 30-31

208 EXAM **Sep 2025** Q8(a) 5 marks

Also asked in MTP May 2026 S-I Q2(b)

“A close and continuous interaction between a business and its environment helps in strengthening the business firm and using its resources more effectively." Explain Business environment and discuss how does the interaction between a business and its environment helps the business firm.

ICAI'S ANSWER

The term business environment refers to all external factors, influences, or situations that in some way affect business decisions, plans, and operations. It is highly dynamic and continuously evolving. Organizational success depends not only on its internal abilities but also on its relationship with the external environment.

Interaction between Business and Environment: A close and continuous interaction strengthens the business firm and enables effective utilization of resources in the following ways: i. Determine opportunities and threats: The interaction between the business and its environment would explain opportunities and threats to the business. It helps to find new needs and wants of the consumers, changes in laws, changes in social behaviours and tells what new products the competitors are bringing in the market to attract consumers. ii. Give direction for growth: The interaction with the environment enables the business to identify the areas for growth and expansion of their activities. Once the business is aware and understands the changes happening around, it can plan and strategies to have successful business. iii. Continuous Learning: The managers are motivated to continuously update their knowledge, understanding and skills to meet the predicted changes in the realm of business. iv. Image Building: Environmental understanding helps the business organizations to improve their image by showing their sensitivity to the environment in which they operate. v. Meeting Competition: It helps the businesses to analyse the competitors' strategies and formulate their own strategies accordingly. The idea is to flourish and beat competition for its products and services.

ICAI · P6 · Sep 2025 exam · question p. 26-27 · answer p. 26-27

209 **EXAM** **Jan 2025** MCQ 16 **MCQ**

In the framework of strategic analysis, which one is a constituent of internal analysis?

- A Competitor analysis
- B Determinants analysis
- C Market analysis
- D Scenario analysis

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · Jan 2025 exam · question p. 6

210 **EXAM** **Jan 2025** Q6(a) **5 marks**

Also asked in MTP May 2026 S-I Q3(b)

Same question, different ICAI answer: #223 MTP Sep 2025 S-I

"International development is expensive and challenging". In the context of the statement, explain the internationalization of business and the steps involved in such strategic planning.

ICAI'S ANSWER

Internationalization has become a pivotal trend for businesses aiming to enhance profitability and access cheaper resources. It allows companies to explore new markets, achieve economies of scale, and prolong product lifecycles. However, the process of internationalization is complex due to additional variables and linkages that differ from domestic operations.

To navigate this complexity, businesses should adopt a structured approach to international strategic planning. The steps involved include:

1. Evaluate Global Opportunities and Threats: Businesses must assess potential global markets, identifying opportunities and threats while aligning them with their internal capabilities.

2. Describe the Scope of Operations: Clearly defining the extent of the firm's international commercial activities is crucial for focused strategy development.

3. Create Global Business Objectives: Establishing clear objectives helps guide the organization's international efforts and aligns with its overall mission.

4. Develop Distinct Corporate Strategies: Formulating specific strategies tailored for global operations ensures that the organization can effectively compete in diverse markets.

These steps facilitate the identification of market opportunities and the formulation of effective global strategies, enabling businesses to thrive in the international arena despite the inherent challenges and costs associated with such expansion.

ICAI · P6 · Jan 2025 exam · question p. 27 · answer p. 27-28

211 **EXAM** **May 2024** Q5(c) **5 marks**

Also asked in RTP May 2025 Q10

Yash is planning to launch his new tech start-up. He is exploring different locations across the country to establish his company in the right business environment. One option is the city of Bengaluru, the silicon valley of India, with an engaging network of entrepreneurs, investors, advisors and mentors. Coupled with various subsidies for new ventures and tax benefits, Bengaluru might be an ideal choice for Yash to establish his company and increase the chances of success. Define the term Business Environment with respect to the above scenario. Explain the different ways in which the interaction of a business with its environment can be helpful in developing a successful strategy.

ICAI'S ANSWER

Business Environment refers to all external factors, influences, or situations that affect business decisions, plans, and operations. In Yash's case, these factors include the dynamic and evolving conditions in Bengaluru, which impact the strategic decisions for his tech start-up. Benefits of Interaction with the Business Environment

- Determine Opportunities and Threats: Interaction with the environment helps Yash identify new consumer needs, emerging trends, and potential market opportunities. This insight can guide the development of innovative products and services that meet market demands. Understanding changes in laws, social behaviors, and competitor actions enables Yash to anticipate and mitigate potential threats, ensuring the start-up remains resilient and adaptive.
- Give Direction for Growth: By analyzing the external environment, Yash can pinpoint areas for expansion and growth. Recognizing market trends and technological advancements allows him to strategize effectively, ensuring the start-up scales successfully. Awareness of the changes around

the business environment facilitates better planning and strategic decisions, aligning the start-up's goals with the market dynamics.

- Continuous Learning: Continuous interaction with the environment motivates Yash and his team to update their knowledge, understanding, and skills. Staying informed about industry trends and advancements ensures the start-up remains competitive. This ongoing learning process enhances the start-up's ability to adapt to changes, promoting innovation and responsiveness to market shifts.
- Image Building: Understanding and responding to environmental needs help the start-up build a positive image. For instance, adopting sustainable practices or contributing to local initiatives can enhance the company's reputation. Demonstrating sensitivity to the business environment shows that the start-up is responsible and community-focused, attracting customers and partners who value corporate social responsibility.
- Meeting Competition: Interaction with the environment allows Yash to analyze competitors' strategies and adapt accordingly. Understanding competitors' strengths and weaknesses helps in crafting strategies that provide a competitive edge. By leveraging insights from the environment, the start-up can position itself uniquely in the market, differentiating its offerings from those of competitors.

ICAI · P6 · May 2024 exam · question p. 24-25 · answer p. 28-29

212 EXAM **Old P7 Nov 2020** Q8(b) 5 marks old scheme

Why companies should go global? Mention any five reasons.

ICAI'S ANSWER

There are several reasons why companies go global. These are discussed as follows:

- One reason could be the rapid shrinking of time and distance across the globe - thanks to faster communication, speedier transportation, growing financial flows and rapid technological changes.
- It is being realized that the domestic markets are no longer adequate and rich. Companies globalize to take advantage of opportunities available elsewhere.
- A new product may gradually get acceptance and grow locally and then globally. This may initially be in form of exports and then later production facilities may begin in other countries.
- Organizations may go global to take advantage of cheaper raw material and labour costs.
- Companies often set up overseas plants to reduce high transportation costs.
- The motivation to go global in high-tech industries is slightly different. Companies in electronics and telecommunications must spend large sums on research and development for new products and thus may be compelled to seek ways to improve sales volume to support high overhead expenses.
- The companies may also go global to take advantage of local taxation laws.
- To form strategic alliances to ward off economic and technological threats and leverage their respective comparative and competitive advantages.

ICAI · Old P7 · Nov 2020 exam · question p. 13 · answer p. 14

213 EXAM **Old P7 Nov 2019** Q7(b) 5 marks old scheme

"Industry and competitive analysis begins with an overview of the industry's dominant economic features." Explain and also narrate the factors to be considered in profiling in industry's economic features.

ICAI'S ANSWER

Industry is "a group of firms whose products have same and similar attributes such that they compete for the same buyers." Industries differ significantly in their basic character and structure. Industry and competitive analysis begins with an overview of the industry's dominant economic features. The factors to be considered while profiling an industry's economic features are fairly standard and are given as under:

- Size and nature of market.
- Scope of competitive rivalry.
- Market growth rate and position in the business life.
- Number of rivals and their relative market share.
- The number of buyers and their relative sizes.
- The types of distribution channels used to access consumers.
- The pace of technological change in both production process innovation and new product introductions.
- Whether the products and services of rival firms are highly differentiated, weakly differentiated, or essentially identical?
- Whether organisation can realize economies of scale in purchasing, manufacturing, transportation, marketing, or advertising.
- Whether key industry participants are clustered in a location.
- Whether certain industry activities are characterized by strong learning and experience effects ("learning by doing") such that unit costs decline as cumulative output grows.
- Whether high rates of capacity utilization are crucial to achieve low-cost production efficiency.
- Capital requirements and the ease of entry and exit.
- Whether industry profitability is above or below par?

ICAI · Old P7 · Nov 2019 exam · question p. 10 · answer p. 10-11

214 RTP **Sep 2026** Q3 MCQ

FreshKart Retail Ltd. observed that an increasing number of customers preferred shopping through mobile applications and expected doorstep delivery. In response, the company launched an AI-enabled e-commerce platform, creating an entirely new online business segment and attracting a large customer base. The emergence of such new markets and business segments is primarily influenced by which component of the external environment?

A Political environment

B Economic environment

C Sociocultural environment

D Technological environment

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · RTP Sep 2026 · question p. 31

215 RTP **May 2026** Case scenario · Q1(i) to Q1(v)

CASE SCENARIO

EcoRide Motors, founded in Chennai in 2017, started as a small manufacturer of electric scooters targeted at environmentally conscious urban commuters. The company gained momentum when the government introduced FAME subsidies for EV adoption and rising fuel costs made electric mobility more attractive. Initially, EcoRide differentiated itself with sleek designs and strong battery life, which appealed to young professionals in metro cities. As the EV industry became more competitive, EcoRide realized that success depended not only on product quality but also on an efficient value chain. The company focused on building close partnerships with battery suppliers, invested in efficient assembly lines, and created a network of after-sales service centers. This integrated approach gave EcoRide an edge in reliability and customer satisfaction. In 2021, EcoRide attempted to enter the budget scooter market to expand its customer base. However, the move backfired as cost pressures affected margins, and established players already had stronghold in the low-price segment. Internally, this failure led to debates within the management team. The CEO adopted a transformational leadership style, motivating employees to view challenges as opportunities and encouraging cross-functional collaboration for innovation. To restructure its portfolio, EcoRide introduced high-performance e-bikes for premium customers while continuing scooters for the mass market. Management positioned scooters as a potential Cash Cow in the BCG matrix due to steady demand but low growth, whereas the e-bikes were considered Stars, expected to drive future growth in the expanding premium EV segment. Recently, when the government announced stricter battery recycling norms, EcoRide faced resistance from dealers who feared higher compliance costs. At the same time, an environmental NGO emerged as a powerful stakeholder, urging EcoRide to adopt greener supply chain practices. The company recognized that managing stakeholder expectations would be critical for long-term sustainability. Based on the above Case Scenario, answer the Multiple Choice Questions.

Q1(i)

EcoRide's initial success was supported by external factors such as EV subsidies and rising fuel costs. Which specific environmental analysis tool should EcoRide use to systematically assess these factors, and why would it be more suitable than SWOT in this context?

A BCG Matrix

B PESTLE Analysis

C Porter's Five Forces

D Strategic Group Mapping

Q1(ii)

By partnering with battery suppliers, improving assembly lines, and investing in service centers, EcoRide focused on strengthening its entire chain of operations. Which framework does this reflect and how does it add competitive advantage to the EV industry?

A Value Chain Analysis

B Experience Curve

C Ansoff's Growth Matrix

D McKinsey 7S Framework

Q1(iii)

When EcoRide attempted to enter the budget scooter market but failed due to intense competition and thin margins, which of Porter's Five Forces best explains the challenge, and how did it affect profitability?

A Threat of Substitutes

B Bargaining Power of Suppliers

C Competitive Rivalry among Existing Firms

D Bargaining Power of Buyers

Q1(iv)

EcoRide categorized scooters as Cash Cows and e-bikes as Stars in its portfolio planning. According to the BCG Matrix, what does this imply about the resource allocation strategy the company should follow for each product?

A Harvest scooters & divest e-bikes

B Invest in scooters & maintain e-bikes

C Harvest scooters & invest in e-bikes

D Divest scooters & harvest e-bikes

Q1(v)

The rise of environmental NGOs and stricter recycling regulations highlight the importance of stakeholder management. Using Mendelow's Matrix, how should EcoRide position NGOs as stakeholders, and what type of engagement strategy would be most appropriate?

A Minimal Effort – monitor occasionally

B Keep Informed – provide regular updates

C Keep Satisfied – manage but not deeply involve

D Key Players – actively engage and collaborate

ICAI'S ANSWERS

Q1(i)

Answer key: **(B)**

Q1(ii)

Answer key: **(A)**

Q1(iii)

Answer key: **(C)**

Q1(iv)

Answer key: **(C)**

Q1(v)

Answer key: **(D)**

ICAI · P6 · RTP May 2026 · question p. 30-31

216 RTP **May 2026** Q10

Also asked in MTP Sep 2024 S-II Q4(b)

How does the PESTLE framework assist in analyzing the macro-environment?

ICAI'S ANSWER

The PESTLE framework assists in analyzing the macro-environment by systematically evaluating six external factors that impact an organization's operations and strategy.

1. Political Factors: This includes government policies, regulations, political stability, and taxation. Understanding these factors helps organizations anticipate regulatory changes and government interventions that could affect their business environment.

2. Economic Factors: This involves assessing economic conditions such as interest rates, inflation, exchange rates, and economic growth. These factors influence business costs, consumer purchasing power, and overall market conditions.

3. Social Factors: This examines demographic trends, lifestyle changes, cultural norms, and consumer attitudes. Insights into social factors help businesses align their products and services with evolving consumer preferences and societal trends.

4. Technological Factors: This includes technological advancements, innovation rates, and technological infrastructure. These factors impact production processes, product development, and competitive positioning.

5. Legal Factors: This involves understanding business laws, employment regulations, health and safety standards, and compliance requirements. Legal factors are crucial for ensuring regulatory compliance and avoiding legal risks.

6. Environmental Factors: This covers ecological issues, sustainability practices, and environmental regulations. Awareness of environmental factors helps businesses adapt to climate change and meet sustainability goals. By analyzing these factors, the PESTLE framework provides a comprehensive understanding of the macro-environment, helping organizations anticipate changes, adapt strategies, and make informed decisions.

ICAI · P6 · RTP May 2026 · question p. 35 · answer p. 38-39

217 RTP **Sep 2025** Case scenario · Q1(i) to Q1(v)

CASE SCENARIO

In the serene city of Pune, Royal Pens stood as a distinguished company with a rich heritage spanning a century. Specializing in crafting luxurious writing instruments, Royal Pens had long been known for its elegance and precision—valued by collectors and enthusiasts across the nation. However, as the world progressed into the digital era, Royal Pens encountered a tsunami of challenges. Emerging substitutes quickly adapted to technological advancements, offering innovative writing solutions that appealed to a younger demographic. Despite its esteemed legacy, Royal Pens faced sluggish growth as it struggled to adapt to the evolving landscape of the writing instrument industry. In an effort to stand out, Royal Pens strategized on ambitious endeavors. They experimented with new materials, introduced limited-edition designs and even forayed into digital pen technology, including a Bluetooth-enabled stylus for tablets—a move intended to attract tech-savvy users. Least expected, these initiatives failed to resonate with modern consumers. Their attempts to innovate were perceived as outdated or disconnected from actual user needs and their once-unquestionable reputation began to downgrade. As Royal Pens struggled with reducing sales and increased competition, internal challenges started building up. Top executives including the CEO, CFO and the marketing head—accustomed to success—found themselves in a tough position to justify their acumen in the face of shifting market dynamics. Disagreements over strategic direction led to a wave

of departures leaving a leadership vacuum at the top. Amidst the turmoil, one aspect of Royal Pens remained strong: its unique company culture. Despite the challenges, middle managers and employees remained deeply dedicated to the company's traditions and values. Compassionate leadership at the functional level ensured a sense of unity and resilience keeping the spirit of Royal Pens alive during uncertainty. Yet the company's troubles were far from over. Royal Pens faced legal battles from a rival competitor alleging patent infringements. The ensuing legal proceedings drained resources and further depleted the company's finances worsening an already helpless situation. Ultimately, Royal Pens faced a tough choice. With no clear path to recovery, the company made the painful decision to significantly scale down its operations. 70% of its business was discontinued and assets & equipment were sold off to generate much-needed funds. Though difficult, this decision allowed Royal Pens to redirect its resources toward niche opportunities preserving its legacy in a rapidly changing market. Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(i)

Royal Pens, a century-old brand began losing relevance as the market embraced modern digital writing tools. What external environmental factor caused the greatest disruption to Royal Pens' business model requiring a strategic shift that the company struggled to make?

- A Political instability
- B Rising inflation
- C Legal regulations
- D Technological advancement

Q1(ii)

After experiencing a decline in market share due to emerging competitors, Royal Pens responded by launching Bluetooth-enabled styluses and limited-edition pens. These actions were not pre-planned innovations but responses to market shifts. What type of strategic approach does this represent?

- A Proactive strategy
- B Reactive strategy
- C Differentiation strategy
- D Market penetration strategy

Q1(iii)

To regain market share, Royal Pens launched limited-edition designs and a stylus pen, targeting younger, tech-driven customers. This strategic choice most closely reflects which of the following business-level strategies?

- A Cost leadership
- B Market development
- C Differentiation
- D Retrenchment

Q1(iv)

Despite facing legal disputes and financial decline, Royal Pens' workforce remained resilient and united. Which aspect of the company played the most vital role in maintaining employee morale and commitment during turbulent times?

- A Employee stock ownership

B Regular salary hikes

C Strong company culture

D Remote working options

Q1(v)

Royal Pens believed that its century-old reputation alone would continue to appeal to modern consumers. This assumption formed the basis of its strategies, which ultimately failed as market dynamics shifted. Which type of strategic control was lacking, leading to unchallenged reliance on outdated assumptions?

A Premise control

B Special alert control

C Implementation control

D Strategic surveillance

ICAI'S ANSWERS

Q1(i)

Answer key: **(D)**

Q1(ii)

Answer key: **(B)**

Q1(iii)

Answer key: **(C)**

Q1(iv)

Answer key: **(C)**

Q1(v)

Answer key: **(A)**

ICAI · P6 · RTP Sep 2025 · question p. 28-29

218 **RTP** **Sep 2025** Q9

Nuvanta Healthcare is planning to launch a nutrition supplement targeted at urban consumers in Tier-2 Indian cities. The product team analyzed local population data age groups, income levels, lifestyle patterns and health concerns before finalizing the formulation and pricing. They are also reviewing how changes in government policy and tech adoption may affect the rollout. What kind of external factor has Nuvanta considered for pricing the product? Briefly explain the major categories of such external influences that shape business strategy.

ICAI'S ANSWER

Nuvanta Healthcare has considered the Demographic Environment as an external factor for pricing its nutrition supplement. The analysis of local population data such as age groups, income levels, lifestyle patterns, and health concerns reflects the company's effort to understand its target consumers and formulate a suitable pricing strategy. External environmental factors significantly influence an organization's strategy and operations. These factors may be external to the firm or introduced by managers to adapt to change. The major categories of such external influences that shape business strategy include:

- Demographic Environment – It includes factors such as population size, age distribution, income levels, education, and occupation, which affect consumer preferences and demand.

- Economic Environment – Includes elements like purchasing power, inflation rates, and overall economic conditions that influence pricing and market potential.
- Political-Legal Environment – Consists of government policies, regulations, and legal aspects that can impact product rollout and compliance requirements.
- Technological Environment – Rapid technological changes affect production, product design, marketing, and distribution, influencing how companies deliver value.
- Socio-Cultural Environment – Involves lifestyle patterns, health consciousness, social values, and consumer attitudes that influence buying behavior.

ICAI · P6 · RTP Sep 2025 · question p. 33 · answer p. 36-37

219 RTP **Jan 2025** Case scenario · Q1(i) to Q1(v)

CASE SCENARIO

In the ever-growing consumer electronics industry, Horizon Technologies found itself at a crossroads in 2018. The company, founded a decade earlier, had established itself as a key player in the global market for smartphones and other electronics. However, the pressure to stay relevant, meet customer demands, and fend off competitors was mounting. This is the story of how Horizon Technologies navigated its challenges, leveraging key business strategies and analyses to achieve remarkable success. Horizon Technologies recognized the need to divide its operations to find areas for improvement. They conducted a comprehensive value chain analysis, identifying both primary and support activities. By streamlining processes and eliminating redundancies, the company reduced production costs and enhanced product quality. This allowed them to offer more competitive prices, thus gaining a strategic edge in the market. The company's CEO, Mr. Jonathan Mercer, was known for his authoritative management style. His challenge was to transform his leadership approach to one that encouraged creativity and teamwork within the SBUs. Mr. Mercer invested in leadership development programs for middle and senior managers to enhance their interpersonal and communication skills. The transition wasn't easy, but it fostered a more collaborative and dynamic work environment. They did not stop there, Horizon Technologies adopted a Strategic Business Unit (SBU) structure, dividing the company into smaller, more manageable units. Each SBU was tasked with focusing on specific product lines. This decentralization empowered individual units to make strategic decisions autonomously, leading to quicker market response and a deeper understanding of customer needs. It was the catalyst for innovation and improved customer satisfaction. Post organizational changes, Horizon Technologies strategized to embrace a cost leadership strategy, positioning itself as the go-to brand for affordable yet high-quality electronics. By optimizing production processes and supply chain management, the company achieved cost efficiencies that competitors struggled to match. This not only attracted cost-conscious consumers but also enabled the company to maintain healthy profit margins. As Horizon Technologies expanded into new international markets, the management recognized the importance of adapting to the local environment. Conducting a thorough PESTLE analysis (Political, Economic, Social, Technological, Legal, and Environmental) proved pivotal for navigating complex market dynamics. This analysis highlighted specific challenges, especially in understanding socio-cultural trends and regulatory differences across regions. By leveraging these insights, Horizon Technologies was able to overcome these obstacles, customizing its products, marketing strategies, and operations to align more effectively with local preferences and regulations, ultimately contributing to their success. Through these strategic moves, Horizon Technologies experienced a remarkable transformation. Within two years, their market share had significantly grown in local markets, whereas the cost leadership

strategy resonated strongly. Their annual revenue skyrocketed by 35%, and the company saw a 20% increase in its stock price. The business case for Horizon Technologies serves as an inspiration for companies navigating competitive and dynamic industries. Based on the above Case Scenario, answer the Multiple Choice Questions.

Q1(i)

In Horizon Technologies' journey towards globalization, PESTLE analysis played a pivotal role in navigating diverse international markets. Which aspect of PESTLE analysis proved to be the most challenging for Horizon Technologies?

A. Socio-cultural factors, as they struggled to keep up with changing trends and cultural preferences.

B. Legal factors, given the complex regulatory landscape in foreign markets.

C. Environmental factors, with the need to adhere to varying sustainability standards.

D. Technological factors, due to rapid changes in local technology preferences.

Q1(ii)

Horizon Technologies implemented a Strategic Business Unit (SBU) structure to improve its responsiveness and innovation. How did the SBU structure differ from the company's previous organizational model, and what benefits did this new structure bring?

A. The SBU structure replaced a functional structure and empowered units to make strategic decisions. It led to quicker market response and enhanced customer satisfaction.

B. The SBU structure replaced a matrix structure, improving vertical communication and reducing operational silos.

C. The SBU structure maintained the existing functional structure but focused solely on cost-cutting measures.

D. The SBU structure introduced a more centralized approach, ensuring consistent decision-making across units.

Q1(iii)

Horizon Technologies faced internal challenges, including leadership struggles with an authoritative CEO. How did Mr. Jonathan Mercer transform his leadership style to foster a more collaborative work environment, and what were the key outcomes of this transformation?

A. Mr. Mercer increased his authoritative approach to drive quicker decision-making and efficiency.

B. He introduced a strict top-down hierarchy to enhance discipline and order within the organization.

C. Mr. Mercer invested in leadership development programs, enhancing interpersonal and communication skills, which resulted in a more collaborative and dynamic work environment.

D. He delegated most of his responsibilities to middle managers, reducing his involvement in the company's daily operations.

Q1(iv)

While implementing a cost leadership strategy, Horizon Technologies went beyond just streamlining their production processes. What other factors did they consider achieving cost efficiencies, and how did this contribute to their success?

A. They solely focused on reducing labor costs, resulting in job cuts and employee dissatisfaction.

B. Horizon Technologies invested heavily in extravagant marketing campaigns to attract a premium customer base.

C They optimized supply chain management and invested in research and development, leading to enhanced product quality and reduced production costs.

D The company acquired competitors to eliminate competition and establish a monopoly in the market.

Q1(v)

The primary factor contributing to Horizon Technologies' remarkable transformation was their commitment to systematic analysis. What role did value chain analysis play in this transformation, and how did it drive their success in both local and global markets?

A Value chain analysis revealed opportunities for diversification, enabling them to cater to various market segments.

B It allowed the company to identify and eliminate inefficiencies in their operations, resulting in cost reductions and improved product quality.

C Value chain analysis highlighted the need for excessive vertical integration, helping them control the entire supply chain.

D Horizon Technologies used value chain analysis primarily for financial forecasting and budgeting.

ICAI'S ANSWERS

Q1(i)

Answer key: **(A)**

Q1(ii)

Answer key: **(A)**

Q1(iii)

Answer key: **(C)**

Q1(iv)

Answer key: **(C)**

Q1(v)

Answer key: **(B)**

ICAI · P6 · RTP Jan 2025 · question p. 31-32

220 RTP **Old P7 Nov 2020** Q3 MCQ old scheme

Training company operates a network of accounting training centres throughout Europe, the US and Australia. The business intends to enter developing markets in order to drive growth and has now decided to enter India which is 7,500 kilometres from the Training Co.'s UK headquarters. The Board has suggested that it will require externally focused management information to move into India. Which of the following is an external factor(s) that the Board should consider while implementing its strategy?

A Key local rivals and their strengths and weaknesses

B Courses are suitable for this market

C Timing of the courses (Public holidays, religious festivals, etc to be avoided)

D All of the above

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP Nov 2020 · question p. 16

221 MTP **Jan 2026 S-I** Q1(b) 5 marks

Also asked in MTP Sep 2025 S-II Q1(a) · MTP May 2024 S-I Q1(b)

ABC Corp, a multinational consumer electronics company, is planning to expand its operations into a new country. The company's senior management is evaluating the potential risks and opportunities of entering this new market. As part of their analysis, they decide to use the PESTLE framework to assess the external factors that could impact their decision. How can the PESTLE framework help ABC Corp assess the external factors affecting its decision to expand into a new country?

ICAI'S ANSWER

The PESTLE framework can help ABC Corp assess the external factors affecting its decision to expand into a new country by considering the following aspects:

- **Political Factors:** These include the stability of the government, government policies on foreign investment, trade agreements, and regulatory frameworks. By analyzing these factors, ABC Corp can assess the political risks associated with entering the new market.
- **Economic Factors:** Economic factors such as GDP growth rate, inflation rate, exchange rates, and economic stability can impact ABC Corp's decision. By analyzing these factors, the company can understand the economic environment of the new market and its potential impact on business operations.
- **Social Factors:** Social factors such as cultural norms, demographics, and lifestyle trends can influence consumer behavior and demand for ABC Corp's products. Understanding these factors can help the company tailor its marketing strategies to the new market.
- **Technological Factors:** Technological factors such as infrastructure, technological advancements, and the level of technology adoption in the new market can impact ABC Corp's operations. By assessing these factors, the company can determine the technological requirements for entering the new market.
- **Legal Factors:** Legal factors such as laws and regulations related to foreign investment, intellectual property rights, and labor laws can impact ABC Corp's decision. By analyzing these factors, the company can ensure compliance with legal requirements in the new market.
- **Environmental Factors:** Environmental factors such as climate change, environmental regulations, and sustainability practices can impact ABC Corp's operations and reputation. By considering these factors, the company can assess the environmental risks and opportunities in the new market.

Overall, the PESTLE framework can provide ABC Corp with a comprehensive analysis of the external factors that could impact its decision to expand into a new country, helping the company make informed and strategic decisions.

ICAI · P6 · MTP Jan 2026 · Series I · question p. 11 · answer p. 17-18

222 MTP **Jan 2026 S-II** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

Titan Tech, a mid-sized software development company based in India, has been experiencing rapid growth over the past five years. The company specializes in customized software solutions for small and medium enterprises (SMEs). However, the competitive landscape is shifting due to the entry of global tech giants and evolving customer needs.

To chart its future strategy, Titan Tech conducted a PESTLE analysis. Politically, government incentives for digital transformation present growth opportunities, but regulatory compliance is tightening. Economically, rising disposable incomes of SMEs promise market expansion, yet inflation is driving up operational costs. Technological advancements like AI and blockchain are reshaping industry standards, and environmentally, there is pressure to adopt sustainable practices. Socially, SMEs are increasingly valuing personalized customer support. Lastly, legal changes in data privacy regulations pose significant compliance challenges.

Titan Tech also mapped its stakeholders using Mendelow's Matrix. Customers and key investors, identified as high-power, high-interest stakeholders, require constant engagement. Employees, although influential, have medium interest, while regulatory bodies, with high power but low interest, need to be monitored closely.

For strategic growth, the leadership team evaluated their product portfolio using the BCG Matrix. Their flagship product, BizEase (a CRM tool), is a "Star," showing high market growth and market share. The legacy ERP product is a "Cash Cow," while new offerings in AI-driven analytics are "Question Marks." A failed project management tool was classified as a "Dog" and discontinued.

The CEO, Priya Mehra, believes the company's leadership style needs to evolve to meet internal and external challenges. While her approach has traditionally been transactional, focusing on clear roles and rewards, she recognizes the need to adopt a more transformational style to inspire innovation and motivate employees amid uncertainty.

To stay competitive, Titan Tech has adopted Michael Porter's differentiation strategy. By focusing on delivering highly customizable solutions and superior customer service, they aim to stand out in the crowded market. Additionally, a value chain analysis revealed that investing in advanced R&D and strengthening customer support are critical to maintaining their competitive advantage.

As Titan Tech faces these crossroads, the company's leadership must make strategic decisions to sustain growth and profitability.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

Which external factor from the PESTLE analysis is most likely to require Titan Tech to adapt its data management practices?

- A Government incentives for digital transformation
- B Changes in data privacy regulations
- C Rising disposable incomes of SMEs
- D Advancements in AI and blockchain

Q1(A)(ii) 2 marks

According to Mendelow's Matrix, which group of stakeholders requires the highest level of engagement from Titan Tech?

- A Employees
- B Regulatory bodies
- C Customers and key investors
- D Suppliers

Q1(A)(iii) 2 marks

Which product in Titan Tech's portfolio is most likely funding the company's investment in AI-driven analytics?

- A BizEase
- B The legacy ERP product
- C The failed project management tool
- D AI-driven analytics offerings

Q1(A)(iv) 2 marks

What leadership change is Priya Mehra considering inspiring innovation within Titan Tech?

- A Shifting from transactional to transformational leadership
- B Focusing on stricter performance metrics
- C Moving to a completely laissez-faire leadership style
- D Increasing reliance on transactional leadership

Q1(A)(v) 2 marks

How does Titan Tech's use of Michael Porter's differentiation strategy help it stay competitive?

- A By offering the lowest-cost products in the market
- B By focusing on mass-market appeal
- C By providing highly customizable solutions and superior customer service
- D By heavily investing in advertising

ICAI'S ANSWERS

Q1(A)(i)
Answer key: **(B)**

Q1(A)(ii)
Answer key: **(C)**

Q1(A)(iii)
Answer key: **(B)**

Q1(A)(iv)
Answer key: **(A)**

Q1(A)(v)
Answer key: **(C)**

ICAI · P6 · MTP Jan 2026 · Series II · question p. 9-10

223 MTP **Sep 2025 S-I** Q2(b) 5 marks

Same question, different ICAI answer: #210 Exam Jan 2025

"International development is expensive and challenging". In the context of the statement, explain the internationalization of business and the steps involved in such strategic planning.

ICAI'S ANSWER

Internationalization has become a pivotal trend for businesses aiming to enhance profitability and access cheaper resources. It allows companies to explore new markets, achieve economies of scale, and prolong product lifecycles.

However, the process of internationalization is complex due to additional variables and linkages that differ from domestic operations.

To navigate this complexity, businesses should adopt a structured approach to international strategic planning. The steps involved include:

1. **Evaluate Global Opportunities and Threats:** Businesses must assess potential global markets, identify opportunities and threats while aligning them with their internal capabilities.

2. **Describe the Scope of Operations:** Clearly defining the extent of the firm's international commercial activities is crucial for focused strategy development.

3. **Create Global Business Objectives:** Establishing clear objectives helps guide the organization's international efforts and aligns with its overall mission.

4. **Develop Distinct Corporate Strategies:** Formulating specific strategies tailored for global operations ensures that the organization can effectively compete in diverse markets.

These steps facilitate the identification of market opportunities and the formulation of effective global strategies, enabling businesses to thrive in the international arena despite the inherent challenges and costs associated with such expansion.

ICAI · P6 · MTP Sep 2025 · Series I · question p. 14 · answer p. 20-21

224 MTP **May 2025 S-II** Q1(B)(iii) 1 mark MCQ

ABC Corp., a pharmaceutical company, faces strict regulatory approvals before launching a new drug. Meanwhile, government policies promote local drug manufacturing, and digital advancements are transforming research. Which PESTLE factor is most relevant to the regulatory approvals for new drugs?

A Political

B Legal

C Technological

D Economic

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP May 2025 · Series II · question p. 13

225 MTP **May 2025 S-II** Q2(b) 5 marks

Aarav is planning to launch his new organic food brand. He is evaluating different cities across the country to establish his business in the most suitable environment. One promising option is Pune, a city known for its health-conscious consumers, strong distribution networks, and government initiatives supporting sustainable businesses. With favorable policies, tax benefits, and access to experienced mentors, Pune seems like an ideal choice for Aarav to launch and scale his organic food brand successfully. Define the term Business Environment with respect to the above scenario. Explain how a business's interaction with its environment can contribute to the development of a successful strategy.

ICAI'S ANSWER

Business Environment refers to the external factors, influences, and conditions that impact a business's decisions, strategies, and operations. In Aarav's case, the business environment includes

the evolving consumer preferences, government policies, and market dynamics in Pune, which will play a crucial role in shaping his organic food brand's strategy.

Benefits of Interaction with the Business Environment

- **Determine Opportunities and Threats:** Aarav can assess market demand for organic products, emerging health trends, and regulatory frameworks. This will help him identify potential opportunities for expansion and anticipate challenges such as competition and supply chain disruptions.
- **Give Direction for Growth:** By understanding consumer behavior and industry trends, Aarav can align his business with the growing demand for organic and sustainable food options. This insight will help him expand strategically and introduce innovative product offerings.
- **Continuous Learning:** Regular engagement with the business environment will encourage Aarav and his team to stay updated with nutrition trends, technological advancements in food processing, and changing consumer preferences. This knowledge will help them remain competitive and adapt to industry shifts effectively.
- **Image Building:** Responding to environmental and social expectations, such as sustainable sourcing, eco-friendly packaging, and ethical farming practices, will enhance the brand's reputation. A socially responsible business is more likely to attract loyal customers and gain market trust.
- **Meeting Competition:** Aarav can analyze competitors' strategies and differentiate his brand through unique selling propositions (USPs), better distribution networks, or customer engagement initiatives. Understanding the competitive landscape will enable him to position his business effectively and stay ahead in the market.

By actively interacting with the business environment, Aarav can leverage opportunities, mitigate risks, and build a sustainable, customer-centric organic food brand in Pune.

ICAI · P6 · MTP May 2025 · Series II · question p. 14 · answer p. 21-22

226 MTP **Old P7 Dec 2021 S-II** Q1(H) 1 mark MCQ old scheme

The strategic landscape of healthcare sector around the world is changing rapidly because of-

A Doctors Educational Interests

B Indian Nurses going to abroad

C Internet and Technological advancement

D Patients being more aware

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 8

227 MTP **Old P7 May 2019 S-II** Q1(iii) 1 mark MCQ old scheme

Which of the following is not part of external analysis:

A Customer segments.

B Organizational constraints.

C Entry barriers.

D Competitors.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 4

2.2 Defining the industry: value chain and product life cycle

28 questions · asked in 22 ICAI documents · 4 exam papers

228 EXAM **Sep 2026** Q7(a) 5 marks

A company's success depends on how effectively it manages value creation through various linked activities before the sale, during the sale, and after the sale. Weakness in any one stage can negatively affect the overall customer experience. Explain this statement using an appropriate strategic framework.

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P6 · Sep 2026 exam · question p. 22

229 EXAM **May 2026** Q6(a) 5 marks

"In a modern competitive landscape, the interaction of supply and demand determines the price at which quantity provided equals to quantity desired." Analyse the inherent characteristics of business products that must be managed to maintain profitability under these market dynamics.

ICAI'S ANSWER

Business products possess certain inherent characteristics that businesses must manage effectively to maintain profitability in a competitive market where price is determined by the interaction of supply and demand. Characteristics of Business Products

1. Products are Tangible or Intangible: A product may be tangible such as a car, mobile phone or table or intangible such as banking, insurance or telecom services. Businesses must manage both types efficiently to satisfy customer requirements.

2. Product has a Price: Every product has a price determined by market forces of supply and demand. The market price is the price at which quantity supplied equals quantity demanded. In the present competitive environment, businesses often cannot fix prices by simply adding profit margins over cost. Therefore, firms need to control and reduce costs to maintain profitability.

3. Products have Features that Deliver Satisfaction: Products possess features relating to design, quality, function and customer experience that provide value and satisfaction to consumers. Businesses continuously improve product features to optimise customer experience and differentiate products from competitors.

4. Product is Pivotal for Business: Product is the centre around which all strategic and operational activities revolve, including production, quality control, marketing, logistics and sales. Thus, product acts as the driving force behind business operations and profitability.

5. Product has a Useful Life: Every product has a useful life and product life cycle after which it may require replacement, reinvention or discontinuation. Businesses need to innovate and update products continuously to remain competitive and profitable in changing market conditions.

ICAI · P6 · May 2026 exam · question p. 27-28 · answer p. 28-29

230 EXAM **Sep 2024** Q6(b) 5 marks

Value Chain Analysis consist two activities: Primary activities and Support activities. As per Michael Porter both the activities are intertwined. Do you agree with the statement? Also delineate the main areas in which primary activities of any organization are grouped.

ICAI'S ANSWER

Yes, I agree with the statement that Value Chain Analysis consist of two activities: Primary activities and Support activities. As per Michael Porter both the activities are intertwined. It is a tool used to examine the activities that create value in an organization, helping to enhance efficiency and build competitive advantage. It breaks down a business's operations to identify areas for improvement in value creation. The primary activities of an organization are categorized into five areas:

1. Inbound logistics: Activities related to receiving, storing, and distributing inputs (e.g., materials handling, stock control, and transport).

2. Operations: Transforming inputs into final products or services (e.g., machining, packaging, assembly).

3. Outbound logistics: Collecting, storing, and delivering products to customers (e.g., warehousing, transport).

4. Marketing and sales: Promoting and selling the product or service, including advertising and sales administration.

5. Service: Enhancing or maintaining product value (e.g., installation, repair, training).

ICAI · P6 · Sep 2024 exam · question p. 29-30 · answer p. 29-30

231 EXAM **May 2024** Q7(a) 5 marks

Same question, different ICAI answer: #241 MTP May 2025 S-I

What are the key characteristics of business products that contribute to the overall competitiveness and dynamics of the market?

ICAI'S ANSWER

Businesses sell products. A product can be either a good or a service. It might be physical good or a service, an experience. Following are the key characteristics of business products:

1. Products are either tangible or intangible. A tangible product can be handled, seen, and physically felt, such as a car, book, pen, table, mobile handset and so on. Alternatively, an intangible product is not a physical good, such as telecom services, banking, insurance, or repair services.

2. Product has a price. Businesses determine the cost of their products and charge a price for them. The dynamics of supply and demand influence the market price of an item or service. The market price is the price at which quantity provided equals quantity desired. The price that may be paid is determined by the market, the quality, the marketing, and the targeted group. In the present competitive world price is often given by the market and businesses have to work on costs to maintain profitability.

3. Products have certain features that deliver satisfaction. A product feature is a component of a product that satisfies a consumer need. Features determine product pricing, and businesses alter features during the development process to optimize the user experience. Products should be able to provide value satisfaction to the customers for whom they are meant. Features of the product will distinguish it in terms of its function, design, quality and experience A customer's cumulative

experience with a product from its purchase to the end of its useful life is an important component of a product feature.

4. Product is pivotal for business. The product is at the centre of business around which all strategic activities revolve. The product enables production, quality, sales, marketing, logistics and other business processes. Product is the driving force behind business activities.

5. A product has a useful life. Every product has a usable life after which it must be replaced, as well as a life cycle after which it is to be reinvented or may cease to exist. We have observed that fixed line telephone instruments have largely been replaced by mobile phones.

ICAI · P6 · May 2024 exam · question p. 31 · answer p. 31-32

232 RTP **Sep 2026** Q10

Also asked in RTP Sep 2025 Q10

Value Chain Analysis consists of two activities: Primary activities and Support activities. As per Michael Porter both the activities are intertwined. Do you agree with the statement? Also delineate the main areas in which primary activities of any organization are grouped.

ICAI'S ANSWER

Yes, I agree with the statement that Value Chain Analysis consists of two activities: Primary activities and Support activities. As per Michael Porter both the activities are intertwined. It is a tool used to examine the activities that create value in an organization, helping to enhance efficiency and build competitive advantage. It breaks down a business's operations to identify areas for improvement in value creation. The primary activities of an organization are categorized into five areas:

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3. Outbound logistics: Collecting, storing, and delivering products to customers (e.g., warehousing, transport).

4. Marketing and sales: Promoting and selling the product or service, including advertising and sales administration.

5. Service: Enhancing or maintaining product value (e.g., installation, repair, training).

ICAI · P6 · RTP Sep 2026 · question p. 33 · answer p. 38

233 RTP **Jan 2025** Q3 MCQ

A company's flagship product has experienced a plateau in sales despite heavy promotions and marketing. What phase of the Product Life Cycle are they likely in, and what is the best strategic option to consider?

- A Introduction; increase prices
- B Growth; diversify product range
- C Maturity; seek product differentiation
- D Decline; invest in new technology

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · RTP Jan 2025 · question p. 35

234 RTP **Sep 2024** Q3 MCQ

Also asked in MTP Sep 2024 S-II Q1(B)(i)

A traditional desi ghee company modernized its production and introduced pro-biotic desi ghee, facing initial market doubts. Aggressive marketing campaigns highlighted its benefits, gaining acceptance. During which stage of the product life cycle did the desi ghee company face doubts but gained acceptance through aggressive marketing campaigns?

A Introduction stage

B Growth stage

C Maturity stage

D Decline stage

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · RTP Sep 2024 · question p. 34

235 RTP **Sep 2024** Q9

Also asked in Old P7 RTP Nov 2023 Q10 · MTP May 2025 S-I Q4(a)

A company has recently launched a new product in the market. Initially, it faced slow sales growth, limited markets, and high prices. However, over time, the demand for the product expanded rapidly, prices fell, and competition increased. Identify the stages of the product life cycle (PLC) that the company went through.

ICAI'S ANSWER

The company went through the following stages of the product life cycle (PLC): Introduction stage: Initially, the company faced slow sales growth, limited markets, and high prices, which are characteristic of the introduction stage. During this stage, competition is almost negligible, and customers have limited knowledge about the product. Growth stage: Over time, the demand for the product expanded rapidly, prices fell, and competition increased. These are typical features of the growth stage in the PLC. In this stage, the product gains market acceptance, and customers become more aware of the product's benefits and show interest in purchasing it.

ICAI · P6 · RTP Sep 2024 · question p. 36 · answer p. 40

236 RTP **Old P7 Nov 2022** Q10 old scheme

Woodworld Ltd. is a company manufactures a variety of household furniture items. They offered traditional designs, low cost furniture items to low income group custom ers. During the last couple of years, the company has been observing a fall in the market share. This is due to the change in the taste and preferences, designing, better quality, increase in purchasing power of buyers towards the household furniture. The customers are switching away traditional designs and material that have been the backbone of Woodworld Ltd.

As a CEO of Woodworld Ltd., what can be the strategic options available with you.

ICAI'S ANSWER

Woodworld is having a product portfolio that is evidently in the decline stage. The product is being replaced with the latest designs with better quality of the product. Strategically, the company should minimize their dependence on the existing products and identi fy other avenues for the survival and growth. As a CEO of Woodworld Ltd., following can be the strategic options available with the CEO:

- Invest in new product development and switchover to the latest designs. Woodworld Ltd. also need time to invest in hiring interior designers.
- They can acquire or takeover a competitor, provided they have or are able to generate enough financial resources.
- They may also consider unrelated growth and identify other areas for expansion. This will enable Woodworld Ltd. to spread their risks.
- In longer run, they should divest the existing products. However, they may continue with the existing products in a limited manner for such time there is demand for the product.

ICAI · Old P7 · RTP Nov 2022 · question p. 17 · answer p. 20

237 RTP **Old P7 Jul 2021 Q4** MCQ old scheme

ABC Ltd. has identified that all three of its main products are at the maturity phase of the product life cycle. Which of the following is ABC Ltd. likely to be experiencing due to this?

A. High, but declining sales

B. Growing numbers of competitors

C. Product diversification and differentiation strategies

D. Adoption of price skimming strategies

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP Jul 2021 · question p. 15

238 RTP **Old P7 Jul 2021 Q9** old scheme

ABC Ltd. manufactures and sells air purifier 'Fresh Breath'. The 'Fresh Breath' has seen sales growth of around 1% for the last two years, after strong growth in the previous five years. This is due to new products entering the market in competition with the 'Fresh Breath'. ABC Ltd. is therefore considering cutting its prices to be in line with its major rivals with a hope to maintain the market share. Market research indicates that this will now cause a significant increase in the level of sales, even though in previous years price cuts have had little effect on demand. ABC ltd. is also planning to launch a promotional campaign to highlight the benefits of the 'Fresh Breath' against its rival products. Identify and explain the stage of the product life cycle in which 'Fresh Breath' falls.

ICAI'S ANSWER

Product Life Cycle is a useful concept for guiding strategic choice. PLC is an S-shaped curve which exhibits the relationship of sales with respect of time for a product that passes through the four successive stages of introduction (slow sales growth), growth (rapid market acceptance) maturity (slowdown in growth rate) and decline (sharp downward drift).

The product 'Fresh Breath' of ABC Ltd. falls under Maturity stage of product life cycle. In this stage, the competition gets tough and market gets stablised. Profit comes down because of stiff competition.

At this stage, ABC Ltd. have to work for maintaining stability by cutting the prices to be in line with its major rivals with a hope to maintain the market share and by launching a promotional campaign to highlight the benefits of the 'Fresh Breath' against its rival products.

ICAI · Old P7 · RTP Jul 2021 · question p. 16 · answer p. 18-19

239 RTP **Old P7 May 2018** Q4(a) old scheme

Distinguish between the following: Inbound logistics and outbound logistics

ICAI'S ANSWER

Inbound logistics are the activities concerned with receiving, storing and distributing the inputs to the product/service. It includes all activities such as materials handling, stock control, transport, etc.

Outbound logistics relate to collection, storage and distribution of the product to customers. It includes all activities such as storage/warehousing of finished goods, order processing, scheduling deliveries, operation of delivery vehicles, etc.

PassBook's note: Absent from the current study material).

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 19

240 MTP **Jan 2026 S-I** Q4(a) 5 marks

What do you mean by value chain analysis? Delineate the support activities in value chain analysis, as stated by Michael Porter.

ICAI'S ANSWER

Value chain analysis is a strategic tool used to examine each business activity to determine how it adds value, helping firms improve efficiency, identify cost-saving opportunities and gain competitive advantage through better coordination and performance of internal processes.

Support Activities in Value Chain Analysis (Michael Porter)

Michael Porter identified four main categories of support activities that support the primary activities and help the organization achieve competitive advantage:

1. **Procurement:** Refers to the processes involved in acquiring the various resource inputs needed for the primary activities. It focuses on how resources are sourced rather than the resources themselves. Procurement occurs across many parts of the organization.

2. **Technology Development:** Every value activity has associated technology or know-how. This includes R&D, product design, process development and improvements in resources such as raw materials. Technology development enhances the efficiency and effectiveness of value activities.

3. **Human Resource Management:** This area spans across all primary activities and involves recruiting, managing, training, developing and rewarding employees. Effective HR management is vital for ensuring that the organization has the right people to perform its activities successfully.

4. **Infrastructure:** Infrastructure consists of the systems and routines that support the entire organization, including planning, finance, quality control, information management and organizational culture. It sustains and coordinates primary and support activities and is crucial for overall organizational performance.

ICAI · P6 · MTP Jan 2026 · Series I · question p. 12 · answer p. 22

241 MTP **May 2025 S-I** Q2(a) 5 marks

Same question, different ICAI answer: #231 Exam May 2024

What are the key characteristics of business products that contribute to the overall competitiveness and dynamics of the market?

ICAI'S ANSWER

Businesses sell products. A product can be either a good or a service. It might be physical good or a service, an experience.

Following are the key characteristics of business products:

1. **Products are either tangible or intangible.** A tangible product can be handled, seen, and physically felt, such as a car, book, pen, table, mobile handset and so on. Alternatively, an intangible product is not a physical good, such as telecom services, banking, insurance, or repair services.

2. **Product has a price.** Businesses determine the cost of their products and charge a price for them. The dynamics of supply and demand influence the market price of an item or service. The market price is the price at which quantity provided equals quantity desired. The price that may be paid is determined by the market, the quality, the marketing, and the targeted group. In the present competitive world prices are often given by the market and businesses have to work on costs to maintain profitability.

3. **Products have certain features that deliver satisfaction.** A product feature is a component of a product that satisfies a consumer's need. Features determine product pricing, and businesses alter features during the development process to optimize the user experience. Products should be able to provide value satisfaction for the customers for whom they are meant. Features of the product will distinguish between terms of function, design, quality and experience. A customer's cumulative experience with a product from its purchase to the end of its useful life is an important component of a product feature.

4. **Product is pivotal for business.** The product is at the centre of business around which all strategic activities revolve. The product enables production, quality, sales, marketing, logistics and other business processes. Product is the driving force behind business activities.

5. **A product has a useful life.** Every product has a usable life after which it must be replaced, as well as a life cycle after which it is to be reinvented or may cease to exist. We have observed that fixed-line telephone instruments have largely been replaced by mobile phones.

ICAI · P6 · MTP May 2025 · Series I · question p. 11 · answer p. 19-20

242 MTP **Jan 2025 S-II** Q1(B)(iii) 1 mark MCQ

During which stage of the Product Life Cycle would you typically expect the highest marketing expenditure per unit sold as companies aggressively promote their product?

- A Maturity
- B Introduction
- C Growth
- D Decline

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP Jan 2025 · Series II · question p. 11

243 MTP **Jan 2025 S-II** Q1(b) 5 marks

Also asked in MTP May 2024 S-II Q2(b)

Reshuffle Corp is a company that manufactures and sells office furniture. They offer a range of products, from desks and chairs to cabinets and shelves. Recently, the company has been facing increased competition from online retailers offering similar products at lower prices.

Analyzing the characteristics of products in the furniture industry, discuss how Reshuffle Corp can differentiate its products to maintain a competitive edge in the market.

ICAI'S ANSWER

To maintain a competitive edge in the face of increased competition, Reshuffle Corp can differentiate its products in several ways:

- **Tangible and Intangible Aspects:** Reshuffle Corp can focus on the tangible aspects of its products, such as using high-quality materials and innovative designs to create furniture that is both functional and aesthetically pleasing. Additionally, they can emphasize the intangible aspects of their products, such as excellent customer service and a strong brand reputation for reliability and durability.
- **Pricing Strategies:** While market prices are often dictated by competition, Reshuffle Corp can work on cost optimization to maintain profitability. They can also consider offering value-added services, such as free installation or extended warranties, to justify a higher price point.
- **Product Features:** By continually optimizing their product features based on customer feedback and market trends, Reshuffle Corp can ensure that their products deliver maximum satisfaction to their target customers. This may include features that enhance functionality, design, quality, and overall user experience.
- **Product Centric Approach:** Reshuffle Corp should keep their products at the center of their strategic activities, ensuring that all business processes, from production to sales and marketing, are aligned to meet customer needs and expectations.
- **Product Life Cycle Management:** Reshuffle Corp should be aware of the life cycle of their products and plan for reinvention or replacement accordingly. They can introduce new product lines or upgrade existing ones to keep up with changing customer preferences and market trends.

ICAI · P6 · MTP Jan 2025 · Series II · question p. 11 · answer p. 11-12

244 MTP **May 2024 S-II** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

Café Delight, a thriving restaurant chain known for its unique blend of Australian and Indian culinary experiences, embarked on a remarkable journey from its humble beginnings as a small café in Australia to becoming a renowned player in the Indian restaurant industry. This case study digs into the strategic decisions and market dynamics that fueled Café Delight's growth, highlighting its transition from a single café in Powai, Mumbai, to a flourishing chain with a presence in five cities and over 25 stores. It explores how Café Delight effectively leveraged social media and adapted its pricing strategy to compete with global brands while maintaining a healthy profit margin.

In 2005, Café Delight was founded in Melbourne, Australia, by a passionate entrepreneur with a vision to bring the flavors of Australia and India together. The first café established in Powai, Mumbai, received accolades for its unique menu, blending Australian coffee culture with Indian culinary traditions. Over the course of five years, Café Delight expanded to three stores in Mumbai, driven by exceptional mouth publicity, customer loyalty, and consistent quality.

As the social media landscape evolved, Café Delight recognized the power of online platforms in reaching a wider audience. By effectively utilizing social media and online marketing, Café Delight expanded its presence to five cities across India and established over 25 stores. Customer engagement through social media platforms enabled the brand to create a strong and vibrant community, driving organic growth.

Café Delight's customer-centric approach involved continuously evolving its menu to cater to the changing tastes and dietary preferences of its patrons. By understanding the evolving needs of its customers, Café Delight could offer personalized menu items, seasonal specials, and dietary alternatives. This approach created a sense of loyalty and engagement among customers, strengthening the brand's appeal. Not just customers but High-power, low-interest stakeholders, including regulatory authorities, were addressed with careful compliance and adherence to industry standards. Low-power, high-interest stakeholders, like potential customers and local communities, were engaged through targeted marketing campaigns and community involvement initiatives. This meticulous stakeholder analysis allowed Café Delight to build and maintain strong relationships with each group, effectively managing their influence and impact on the brand.

With its expanding presence and increasing popularity, Café Delight underwent a shift in its pricing strategy. It transitioned from a pocket-friendly pricing model to a skimming strategy, capitalizing on its unique blend of Australian and Indian flavors to position itself as a premium restaurant. Café Delight faced stiff competition from global brands entering the Indian market but maintained a profit margin of approximately 30% through menu engineering and targeted pricing.

In one of its kind, using strategic tools enabled Café Delight to identify and act on opportunities while mitigating threats, contributing to its long-term success in the highly competitive restaurant industry.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

Café Delight effectively leveraged social media and adapted its pricing strategy as it stepped into which phase of business life cycle of operations?

- A Introduction Stage
- B Growth Stage
- C Maturity Stage
- D Decline Stage

Q1(A)(ii) 2 marks

What stakeholder group did Café Delight engage through targeted marketing campaigns and community involvement initiatives?

- A High-power, high-interest stakeholders
- B Low-power, low-interest stakeholders
- C Low-power, high-interest stakeholders
- D High-power, low-interest stakeholders

Q1(A)(iii) 2 marks

What best describes Café Delight's initial expansion strategy when it expanded from one café to three in Mumbai?

- A Aggressive price reduction

B Leveraging customer loyalty and word-of-mouth publicity

C Extensive online marketing

D Embracing global branding strategies

Q1(A)(iv) 2 marks

At which level of strategic management does Café Delight's transition from a pocket-friendly pricing model to a skimming strategy fit?

A Corporate level

B Business level

C Functional level

D Operational level

Q1(A)(v) 2 marks

What type of strategy did Café Delight use to differentiate itself from competitors in the Indian restaurant industry?

A Cost leadership strategy

B Focused differentiation strategy

C Cost focus strategy

D Hybrid strategy

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(B)**

Q1(A)(ii)

Answer key: **(C)**

Q1(A)(iii)

Answer key: **(B)**

Q1(A)(iv)

Answer key: **(B)**

Q1(A)(v)

Answer key: **(B)**

ICAI · P6 · MTP May 2024 · Series II · question p. 8-9

245 MTP **May 2024 S-II** Q1(B)(iii) 1 mark MCQ

A company negotiating the best prices and quality from its suppliers to add to customer's delight is an example of?

A Value Creation by improving primary activity

B Value Creation by improving support activity

C Competitive Advantage Creation

D Stakeholder Management

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP May 2024 · Series II · question p. 11

246 MTP **Old P7 Nov 2023 S-II** Q4(b) 5 marks old scheme

Woodworld Ltd. is a company manufactures a variety of household furniture items. They offered traditional designs, low cost furniture items to low income group customers. During the last couple of years, the company has been observing a fall in the market share. Th is is due to the change in the taste and preferences, designing, better quality, increase in purchasing power of buyers towards the household furniture. The customers are switching away traditional designs and material that have been the backbone of Woodworld Ltd.

As a CEO of Woodworld Ltd., what can be the strategic options available with you.

ICAI'S ANSWER

Woodworld is having a product portfolio that is evidently in the decline stage. The product is being replaced with the latest designs with better quality of the product. Strategically, the company should minimize their dependence on the existing products and identify other avenues for the survival and growth. As a CEO of Woodworld Ltd., following can be the strategic options available with the CEO:

- Invest in new product development and switchover to the latest designs. Woodworld Ltd. also need time to invest in hiring interior designers.
- They can acquire or takeover a competitor, provided they have or are able to generate enough financial resources.
- They may also consider unrelated growth and identify other areas for expansion. This will enable Woodworld Ltd. to spread their risks.
- In longer run, they should divest the existing products. However, they may continue with the existing products in a limited manner for such time there is demand for the product.

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 7 · answer p. 8

247 MTP **Old P7 May 2023 S-II** Q2 5 marks old scheme

The CEO of ABC Enterprises, Mr. Rasik Mehta, had the idea of creating a fitness shake called Robust, which prompted the company to conduct research and development. The company conducted a market survey and feasibility study, which indicated that the idea was feasible and had potential for pr ofitability. Consequently, the product was manufactured, marketed, and launched, which led to its success. As a result, the production of Robust grew, and it became widely available. However, with time, the demand for the product decreased, leading to its obsolescence. Identify and explain the concept highlighted in the above case?

ICAI'S ANSWER

The case highlights the concept of Product Life Cycle (PLC), which outlines the various stages a product goes through, including introduction, growth, maturity and decline. Successful businesses must adapt their strategies to each stage to remain profitable.

Product Life Cycle (PLC) is a useful concept for guiding strategic choice. Essentially, PLC is S-shaped curve which exhibits the relationship of sales with respect of time for a product that passes through the four successive stages of introduction (slow sales growth), growth (rapid market acceptance) maturity (slowdown in growth rate) and decline (sharp downward drift). If businesses are substituted for product, the concept of PLC could work just as well.

The first stage of PLC is the introduction stage in which competition is almost negligible, prices are relatively high, and markets are limited. The growth in sales is at a lower rate because of lack of knowledge on the part of customers.

The second stage of PLC is growth stage. In the growth stage, the demand expands rapidly, prices fall, competition increases, and market expands. The customer has knowledge about the product and shows interest in purchasing it.

The third stage of PLC is maturity stage. In this stage, the competition gets tough, and market gets stabilised. Profit comes down because of stiff competition. At this stage organisations may work for maintaining stability.

The fourth stage of PLC is declining stage in which the sales and profits fall down sharply due to some new product replaces the existing product. So, a combination of strategies can be implemented to stay in the market either by diversification or retrenchment.

Figure: Product Life Cycle

ICAI · Old P7 · MTP May 2023 · Series II · question p. 7 · answer p. 7

248 MTP **Old P7 May 2023 S-II** Q5(a) 5 marks old scheme

Explain briefly the primary activities that are grouped into five main activities under Value chain analysis.

ICAI'S ANSWER

The primary activities of the organization are grouped into five main areas: inbound logistics, operations, outbound logistics, marketing and sales, and service.

- Inbound logistics are the activities concerned with receiving, storing and distributing the inputs to the product/service. This includes materials handling, stock control, transport etc.
- Operations transform these inputs into the final product or service: machining, packaging, assembly, testing, etc.
- Outbound logistics collect, store and distribute the product to customers. For tangible products this would be warehousing, materials handling, transport, etc. In the case of services, it may be more concerned with arrangements for bringing customers to the service, if it is a fixed location (e.g., sports events).
- Marketing and sales provide the means whereby consumers/users are made aware of the product/service and are able to purchase it. This would include sales administratio n, advertising, selling and so on. In public services, communication networks which help users' access a particular service are often important.
- Service are all those activities, which enhance or maintain the value of a product/service, such as installation, repair, training and spares.

ICAI · Old P7 · MTP May 2023 · Series II · question p. 7 · answer p. 9

249 MTP **Old P7 May 2022 S-II** Q3(b) 5 marks old scheme

Write short note on "Phases and significance of Product Life Cycle".

ICAI'S ANSWER

Product Life Cycle (PLC) is a useful concept for guiding strategic choice. Essentially, PLC is S-shaped curve which exhibits the relationship of sales with respect of time for a product that passes through the four successive stages of introduction (slow sales growth), g rowth (rapid market acceptance) maturity (slowdown in growth rate) and decline (sharp downward drift). If businesses are substituted for product, the concept of PLC could work just as well.

The first stage of PLC is the introduction stage in which competition is almost negligible, prices are relatively high, and markets are limited. The growth in sales is at a lower rate because of lack of knowledge on the part of customers.

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The third stage of PLC is maturity stage. In this stage, the competition gets tough, and market gets stabilised. Profit comes down because of stiff competition. At this stage organisations may work for maintaining stability.

The fourth stage of PLC is declining stage in which the sales and profits fall down sharply due to some new product replaces the existing product. So, a combination of strategies can be implemented to stay in the market either by diversification or retrenchment.

Figure: Product Life Cycle

Significance of PLC

The main advantage of PLC is that it can be used to diagnose a portfolio of products (or businesses) in order to establish the stage at which each of them exists. Particular attention is to be paid on the businesses that are in the declining stage. Depending on the diagnosis, appropriate strategic choice can be made. For instance, expansion may be a feasible alternative for businesses in the introductory and growth stages. Mature businesses may be used as sources of cash for investment in other businesses which need resources. A combination of strategies like selective harvesting, retrenchment, etc. may be adopted for declining businesses. In this way, a balanced portfolio of businesses may be built up by exercising a strategic choice based on the PLC concept.

ICAI · Old P7 · MTP May 2022 · Series II · question p. 8 · answer p. 6-7

250 MTP **Old P7 Dec 2021 S-II** Q1(B) 2 marks MCQ old scheme

During which stage of the Product Life Cycle will marketing strategies need to concentrate on differentiating a product from competing products, building brand loyalty and offering incentives to attract competitor's customers to switch?

A Decline

B Growth

C Maturity

D Introduction

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 6

251 MTP **Old P7 Nov 2018 S-I** Q1(a) 5 marks old scheme

Atrix Ltd. is a company engaged in the designing, manufacturing, and marketing of mechanical instruments like speed meters, oil pressure gauges, and so on. Their products are fitted into two and four wheelers. During the last couple of years, the company has been observing a fall in the market share. This is on account of shift to the new range of electronic instruments. The customers are switching away mechanical instruments that have been the backbone of Atrix Ltd.

As a CEO of Atrix Ltd., what can be the strategic options available with you.

ICAI'S ANSWER

Atrix is having a product portfolio that is evidently in the decline stage. The product is being replaced with the technologically superior product. Strategically the company should minimize their dependence on the existing products and identify other avenues for the survival and growth. As a CEO of Atrix Ltd., following can be the strategic options available with the CEO:

- Invest in new product development and switchover to the new technology. Atrix Ltd. also need time to invest in emerging new technology.
- They can acquire or takeover a competitor, provided they have or are able to generate enough financial resources.
- They may also consider unrelated growth and identify other areas for expansion. This will enable Atrix Ltd. to spread their risks.
- In longer run, they should divest the existing products. However, they may continue with the existing products in a limited manner for such time there is demand for the product.

ICAI · Old P7 · MTP Nov 2018 · Series I · question p. 2 · answer p. 9

2.3 Porter's five forces

64 questions · asked in 48 ICAI documents · 13 exam papers

252 EXAM **Sep 2026** Q5(b) 5 marks

NewGlow Herbals, a company producing premium herbal cosmetics, sold their products mainly through large supermarket chains and online retail platforms. Recently the company started facing pressure from major retailers who demanded a reduction of prices. They argue that since customers are highly price sensitive they would have to replace NewGlow Herbals products with cheaper alternative brands. In order to stay competitive, NewGlow Herbals though reluctant, was forced to reduce the maximum retail prices.

Identify the competitive force faced by NewGlow Herbals. When is this force evident ? How does this force influence the competitive condition of the industry ?

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P6 · Sep 2026 exam · question p. 20

253 EXAM **Jan 2026** Q8(a) 5 marks

Porter's five forces model hold that the state of competition in an industry is a composite of active competitive pressure in the market. Identify the areas of market in which competitive pressure operates.

ICAI'S ANSWER

Porter's Five Forces Model holds that the state of competition in an industry is a composite of competitive pressures operating in five areas of the overall market:

- Competitive pressures associated with the market manoeuvring and jockeying for buyer patronage that goes on among rival sellers in the industry.
- Competitive pressures associated with the threat of new entrants into the market.
- Competitive pressures coming from the attempts of companies in other industries to win buyers over to their own substitute products.

- Competitive pressures stemming from supplier bargaining power and supplier-seller collaboration.
- Competitive pressures stemming from buyer bargaining power and seller-buyer Collaboration.

ICAI · P6 · Jan 2026 exam · question p. 32-33 · answer p. 32-33

254 EXAM **Sep 2025** Q6(b) 5 marks

Which concept explains the efficiency increase gained by worker through repetitive production work, leading to cost reduction and competitive advantage? List down its relevance features in strategic management.

ICAI'S ANSWER

The concept is Experience Curve. The experience curve, akin to a learning curve, explains the efficiency increase gained by workers through repetitive productive work. It is based on the phenomenon that unit costs decline as a firm accumulates experience in terms of a cumulative volume of production – the idea being, "we learn as we grow." Relevant Features of Experience Curve in Strategic Management

- As business organisations grow, they gain experience which enables cost efficiencies.
- Experience may provide an advantage over competition as lower costs create a barrier for new entrants.
- Experience is considered a key barrier to entry for new firms contemplating industry entry.
- Large and successful organisations possess stronger experience effect, helping in leadership and cost advantage.

Thus, the experience curve is a critical concept in strategic management as it links growth with learning, cost reduction and competitive advantage, making it a strong determinant of industry positioning and entry barriers.

ICAI · P6 · Sep 2025 exam · question p. 22-24 · answer p. 23-24

255 EXAM **Jan 2025** Q8(a) 5 marks

As per one of the five forces of competition, Michael Porter stated that the more intensive is the rivalry, the less attractive is the industry. In view of this, explain the conditions in which rivalry among competitors tends to be cut throat and industry profitability is low.

ICAI'S ANSWER

According to Michael Porter's Five Forces framework, rivalry among competitors significantly influences the attractiveness and profitability of an industry. When rivalry becomes cutthroat, several conditions contribute to low industry profitability:

1. Industry Leader Presence: While a strong industry leader can help maintain pricing discipline, the effectiveness diminishes as the number of competitors increases. Many rivals can engage in aggressive pricing strategies, leading to decreased profitability.

2. Number of Competitors: A higher number of competitors increases rivalry, making it difficult for any single firm to control pricing. This leads to intensified price competition, which adversely affects industry profitability.

3. High Fixed Costs: Industries with high fixed costs create pressure on firms to fully utilize their capacity. When firms face excess capacity, they often resort to price cuts to maintain sales volume,

which diminishes profitability across the industry.

4. Exit Barriers: High exit barriers prevent firms from leaving the industry, keeping competition high. Specialized assets or other constraints can lead firms to remain in the market, maintaining competitive pressure and negatively impacting profitability for all players.

5. Product Differentiation: In industries lacking product differentiation, firms primarily compete on price. This leads to price wars and lower profitability. In contrast, firms that can differentiate their products tend to achieve higher profit margins and reduce competitive pressure.

6. Slow Industry Growth: When industry growth slows, firms may adopt aggressive tactics to protect or gain market share, resulting in intensified rivalry and diminished profitability as they compete for a limited customer base. In summary, conditions such as the presence of a strong industry leader, the number of competitors, high fixed costs, exit barriers, lack of product differentiation, and slow industry growth contribute to cutthroat rivalry and low industry profitability.

ICAI · P6 · Jan 2025 exam · question p. 31 · answer p. 32-33

256 **EXAM** **Sep 2024** Q8(a) **5 marks**

Also asked in MTP Jan 2026 S-II Q2(b)

In light of the five forces as propagated by Michael Porter, explain the common barriers which may cause restrain for the keenness of new entrepreneurs.

ICAI'S ANSWER

In light of Michael Porter's Five Forces, new entrepreneurs often face significant barriers that restrain their keenness to enter an industry. These barriers increase the competitiveness of existing firms and discourage new entrants, impacting industry profitability. Common barriers that may restrain new entrepreneurs include:

(i) Capital Requirements: When a large amount of capital is required to enter an industry, firms lacking funds are effectively barred from the industry, thus enhancing the profitability of existing firms in the industry.

(ii) Economies of Scale: Many industries are characterized by economic activities driven by economies of scale. Economies of scale refer to the decline in the per-unit cost of production (or other activity) as volume grows.

(iii) Product Differentiation: Product differentiation refers to the physical or perceptual differences, or enhancements, that make a product special or unique in the eyes of customers.

(iv) Switching Costs: To succeed in an industry, new entrant must be able to persuade existing customers of other companies to switch to its products. When such switching costs are high, buyers are often reluctant to change.

(v) Brand Identity: The brand identity of products or services offered by existing firms can serve as another entry barrier. Brand identity is particularly important for infrequently purchased products that carry a high unit cost to the buyer.

(vi) Access to Distribution Channels: The unavailability of distribution channels for new entrants poses another significant entry barrier. Despite the growing power of the internet, many firms may continue to rely on their control of physical distribution channels to sustain a barrier to entry to rivals.

(vii) Possibility of Aggressive Retaliation: Sometimes the mere threat of aggressive retaliation by incumbents can deter entry by other firms into an existing industry.

ICAI · P6 · Sep 2024 exam · question p. 32 · answer p. 33

257 EXAM **Old P7 Nov 2023** Q7(a) 5 marks old scheme

Same question, different ICAI answer: #273 RTP Jan 2025

According to Michael Porter, what are the five competitive forces that exist within an industry?

ICAI'S ANSWER

Michael Porter's Five Forces model is a widely utilized tool for systematically analyzing the competitive forces within an industry. The model identifies five competitive forces that shape the overall competitive landscape:

- Threat of New Entrants: New entrants bring added capacity and product variety, intensifying competition and impacting prices. The size of new entrants magnifies their competitive influence, placing constraints on prices and affecting existing players' profitability.
- Bargaining power of Buyers: The ability of buyers to form groups or cartels influences their bargaining power. This force, particularly in industrial products, impacts pricing and often leads to demands for better services, influencing costs and investments for producers.
- Bargaining power of Suppliers: Suppliers with specialized offerings exert significant bargaining power, especially when limited in number. Supplier bargaining power determines raw material costs, affecting industry attractiveness and profitability.
- Rivalry among Current Players: Existing players engage in competition, influencing strategic decisions across various levels. This rivalry is evident in pricing, advertising, cost pressures, and product strategies, impacting the overall competitive landscape.
- Threats from Substitutes: Substitute products can alter an industry's competitive dynamics, offering price advantages or performance improvements. Substitutes limit prices and profits, and industries with substantial R&D investments are particularly susceptible to threats from substitute products.

These forces collectively determine industry attractiveness and profitability by influencing factors such as costs and investments required for industry participation. The strength of these forces varies across industries, ultimately shaping the potential for earning attractive profits.

ICAI · Old P7 · Nov 2023 exam · question p. 11 · answer p. 11-12

258 EXAM **Old P7 May 2023** Q8(b) old scheme

Buyers of an industry's products or services can sometimes exert considerable pressure on the company. In the light of the five forces as propagated by Michael Porter explain this force. Also state as to when this leverage is evident.

ICAI'S ANSWER

Bargaining Power of Buyers: This is another force that influences the competitive condition of an industry. This force becomes heavier depending on the possibility of buyers forming groups or cartels. Mostly, this is a phenomenon seen in industrial products. Quite often, users of industrial products come together formally or even informally and exert pressure on the producer. The bargaining power of the buyers influences not only the prices that the producer can charge but also

influences costs and investments of the producer. This is because powerful buyers usually bargain for better services which involves more investment on the part of the producer.

Buyers of an industry's products or services can sometimes exert considerable pressure on existing firms to secure lower prices or better services. This leverage is particularly evident when;

(i) Buyers have full knowledge of the source(s) of products and their substitutes. Thus, challenging the price being charged by producers.

(ii) They spend a lot of money on the industry's products i.e. they are big buyers. Thus, in a position to demand favourable terms of contract.

(iii) The industry's product is not perceived as critical to the buyer's needs and buyers are more concentrated than firms supplying the product. They can easily switch to the substitutes available.

ICAI · Old P7 · May 2023 exam · question p. 12-13 · answer p. 13

259 EXAM **Old P7 May 2022** Q10(b) OR 5 marks old scheme

"The bargaining power of suppliers determines an industry's attractiveness and profitability." Discuss.

ICAI'S ANSWER

Quite often, suppliers too, exercise considerable bargaining power over purchasing companies. The more specialised the offering from the supplier, greater may be its clout. Further, when the suppliers are limited in number, they may openly exhibit their bargaining power. The bargaining power of suppliers determines the cost of raw materials and other inputs of the industry, and therefore, an industry's attractiveness and profitability. Suppliers can influence the profitability of an industry in a number of ways. Suppliers can command bargaining power over a firm when;

(i) Their products are crucial to the buyer and substitutes are not available.

(ii) They can erect/ensure high switching costs.

(iii) They are more concentrated than their buyers. Less suppliers, more buyers.

ICAI · Old P7 · May 2022 exam · question p. 15-16 · answer p. 16

260 EXAM **Old P7 Dec 2021** Q10(b) OR 5 marks old scheme

What are the factors which determine the nature of rivalry in an industry?

ICAI'S ANSWER

The intensity of rivalry in an industry is a significant determinant of an industry's attractiveness and profitability. The intensity of rivalry can influence the costs of suppliers, distribution, and of attracting customers and thus, can directly affect the profitability. "The more intensive the rivalry, the less attractive is the industry". Rivalry among competitors tends to be cutthroat and an industry's profitability is low when;

(i) An industry has no clear leader. Therefore, continuous war for leadership.

(ii) Competitors in the industry are numerous.

(iii) Competitors operate with high fixed costs. Thus, aiming for better Return on Investment with more fierce tactics.

(iv) Competitors face high exit barriers, and therefore, continue to fight for market share.

(v) Competitors have little opportunity to differentiate their offerings.

(vi) The industry faces slow or diminished growth.

ICAI · Old P7 · Dec 2021 exam · question p. 16-17 · answer p. 17

261 EXAM **Old P7 Jul 2021** Q9(a) 5 marks old scheme

There are many companies in the market offering COVID vaccine. Analyse the product in terms of threat of new entrants.

ICAI'S ANSWER

There are three companies offering a vaccine for COVID-19 in India and a fourth company is awaiting approval from authorities.

This product involves huge capital requirements and hence not every existing pharma company is likely to get into the competition. However, once approved for use, the entire world is the target market. This would lead to economies of scale helping the company to recover the investments made. The product differentiation is in terms of the low after effect of the vaccine and the effectiveness of the vaccine in controlling COVID-19. Brand identity is becoming very important with people preferring international brands compared to a home – grown company. Factors like switching cost, access to distribution channels and possibility of aggressive retaliation do not apply at present because governments across the world are controlling these factors and the vaccine has not entered the phase of free competition.

ICAI · Old P7 · Jul 2021 exam · question p. 60 · answer p. 60-61

262 EXAM **Old P7 Nov 2019** Q9(a) 5 marks old scheme

Discuss in what conditions rivalry among competitors tends to be cut-throat and profitability of the industry goes down.

ICAI'S ANSWER

The intensity of rivalry in an industry is a significant determinant of industry attractiveness and profitability. The intensity of rivalry can influence the costs of suppliers, distribution, and of attracting customers and thus directly affect the profitability. The more intensive the rivalry, the less attractive is the industry. Rivalry among competitors tends to be cutthroat and industry profitability low when

(i) An industry has no clear leader.

(ii) Competitors in the industry are numerous.

(iii) Competitors operate with high fixed costs.

(iv) Competitors face high exit barriers.

(v) Competitors have little opportunity to differentiate their offerings.

(vi) The industry faces slow or diminished growth.

ICAI · Old P7 · Nov 2019 exam · question p. 12-13 · answer p. 12-13

263 EXAM **Old P7 Nov 2018** Q7(d) 2 marks old scheme

What do you mean by "Economies of Scale"?

ICAI'S ANSWER

Economies of scale refer to the decline in the per unit cost of production as volume grows. A large firm that enjoys economies of scale can produce high volume of goods at lower costs. This tends to

discourage new entrants.

ICAI · Old P7 · Nov 2018 exam · question p. 11 · answer p. 12

264 EXAM **Old P7 May 2018** Q8(e) 2 marks old scheme

Same question, different ICAI answer: #311 Old P7 MTP May 2018 S-I

Which of the following statements are 'correct' and which are 'incorrect'? Give reasons, in brief, for your answer:

Economies of scale discourages new entrants.

ICAI'S ANSWER

Correct: Economies of scale leads to decline in the per-unit cost of production (or other activity) as volume grows. A large firm that enjoys economies of scale can produce high volumes of goods at successively lower costs. This tends to discourage new entrants.

ICAI · Old P7 · May 2018 exam · question p. 11 · answer p. 11

265 EXAM **Old P7 May 2018** Q11(a) 5 marks old scheme

Explain briefly the competitive forces in any industry as identified by Michael Porter.

ICAI'S ANSWER

Five forces model of Michael Porter is a popular tool for systematically diagnosing the significant competitive pressures in the market and assessing their strength and importance. The model holds that the state of competition in an industry is a composite of competitive pressures operating in five forces as follows:

1. Threat of new entrants: New entrants place a limit on prices and affect the profitability of existing players. The new capacity and product range the new entrants bring increases competitive pressure. bigger the new entrant, the more severe the competitive effect.

2. Bargaining power of customers: The bargaining power of the buyers influences not only the prices that the producer can charge but also influence costs and investments of the producer. This force will become heavier depending on the possibilities of the buyers forming groups or cartels, particularly in case of industrial products.

3. Bargaining power of suppliers: Often suppliers can exercise considerable bargaining power. If the suppliers are also limited in number they stand a still better chance to exhibit their bargaining power. The bargaining power of suppliers determines the cost of raw materials and other inputs of the industry and, therefore, can affect industry attractiveness and profitability.

4. Rivalry among current players: The rivalry among existing players is quite obvious. This is what is normally understood as competition. The impact is evident more at functional level in the prices being charged, advertising, and pressures on costs, product and so on.

5. Threats from substitutes: Substitute products are a latent source of competition in an industry. Substitute products offering a price advantage and/or performance improvement to the consumer can have significant impact.

The five forces together determine industry attractiveness/profitability. This is so because these forces influence the causes that underlie industry attractiveness/profitability.

ICAI · Old P7 · May 2018 exam · question p. 14 · answer p. 15

266 RTP **Sep 2026** Q9

SwiftDeliver Logistics Ltd. is a same-day delivery company operating in six metropolitan cities in India. The company is considering expanding to Tier-2 cities. As part of due diligence, the Strategic Planning team is conducting an industry environment analysis. The team has gathered the following information:

- Many e-commerce firms are building in-house delivery capabilities.
- Fuel prices have risen 18% in the past year.
- Drone-based last-mile delivery start-ups are attracting significant venture capital funding.
- Large e-commerce clients negotiate aggressively on delivery rates. Conduct a Porter's Five Forces analysis for SwiftDeliver using the information provided, identifying the relevant force for each bullet point.

ICAI'S ANSWER

Porter's Five Forces Model, developed by Michael Porter, is a framework used to analyse the competitive forces operating in an industry and to assess its attractiveness. The analysis for SwiftDeliver Logistics Ltd. is as follows:

Observation	Relevant Force	Explanation
Many e-commerce firms are building in-house delivery capabilities.	Threat of New Entrants	Large e-commerce companies developing their own logistics networks increase competition in the industry. This reduces the dependence on third-party logistics providers like SwiftDeliver and may adversely affect its market share.
Fuel prices have risen 18% in the past year.	Bargaining Power of Suppliers	Fuel is a key input for logistics companies. An increase in fuel prices raises operating costs, indicating higher bargaining power of suppliers and affecting the profitability of the company.
Drone-based last-mile delivery start-ups are attracting significant venture capital funding.	Threat of Substitute Products or Services	Drone-based delivery is an alternative mode of providing last-mile delivery services. As this technology develops, it may offer faster and more cost-effective delivery solutions, posing a substitute threat to traditional logistics services.
Large e-commerce clients negotiate aggressively on delivery rates.	Bargaining Power of Buyers	Large customers place bulk orders and contribute significantly to the company's revenue. Their strong bargaining position enables them to demand lower prices, customised services, and better delivery terms, thereby reducing the company's profit margins.

The industry analysis indicates that SwiftDeliver Logistics Ltd. operates in a highly competitive environment characterised by increasing competition, strong bargaining power of buyers and suppliers, and emerging substitute technologies. Before expanding into Tier-2 cities, the company should focus on improving operational efficiency, adopting innovative technologies, and differentiating its services to sustain its competitive advantage.

ICAI · P6 · RTP Sep 2026 · question p. 33 · answer p. 36-38

267 RTP **May 2026** Q3 MCQ

In the smartphone industry, if a few large component manufacturers control the supply of specialized OLED screens and there are no viable alternative suppliers, the smartphone brands face high pressure

from:

A Bargaining power of buyers

B Threat of substitutes

C Bargaining power of suppliers

D Industry rivalry

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · RTP May 2026 · question p. 33

268 RTP **May 2026** Q9

Riya, the strategy manager of FreshSip Beverages Ltd., was studying the packaged fruit juice market in India before launching a new preservative-free juice brand. She observed that several established brands, low-priced local players, and substitute drinks like smoothies and flavored milk were competing intensely. Which aspect of external environment analysis is reflected in this situation?

ICAI'S ANSWER

The situation reflects the competitive environment (industry environment) aspect of external environment analysis. The competitive environment consists of factors within the industry that influence a firm's competitive position, such as existing competitors, new entrants, substitutes, and pricing rivalry. As per strategic analysis, firms must evaluate industry structure and competitive forces before entering or expanding in a market.

In the given case, Riya observed the presence of many established brands, low-cost local players, and substitute beverages like smoothies and flavored milk. This indicates intense industry rivalry and strong threat from substitutes. Such conditions affect profitability and market entry decisions. Therefore, FreshSip must assess competitive forces and develop appropriate strategies such as differentiation or cost competitiveness to succeed. Hence, the aspect reflected is the competitive (industry) environment of external analysis.

ICAI · P6 · RTP May 2026 · question p. 34 · answer p. 37-38

269 RTP **Jan 2026** Q3 MCQ

EcoRide Motors, an Indian electric scooter company, faces rising competition from new EV start-ups offering affordable models. Battery suppliers have raised costs due to global shortages, while customers now compare multiple brands online before purchase. Traditional petrol scooter manufacturers are also entering the EV segment. EcoRide struggles to maintain profitability despite growing market demand. Which force poses the greatest threat to EcoRide's profitability?

A Threat of Substitutes

B Bargaining Power of Suppliers

C Rivalry among Existing Competitors

D Bargaining Power of Buyers

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · RTP Jan 2026 · question p. 29

270 RTP **Jan 2026** Q10

As per Michael Porter's Five Forces Model of Competition, intense rivalry among existing competitors reduces the overall attractiveness and profitability of an industry. In this context, explain the situations in which competition among firms becomes cut-throat, leading to lower industry profitability.

ICAI'S ANSWER

According to Michael Porter's Five Forces framework, rivalry among competitors significantly influences the attractiveness and profitability of an industry. When rivalry becomes cutthroat, several conditions contribute to low industry profitability:

1. Industry Leader Presence: While a strong industry leader can help maintain pricing discipline, the effectiveness diminishes as the number of competitors increases. Many rivals can engage in aggressive pricing strategies, leading to decreased profitability.

2. Number of Competitors: A higher number of competitors increases rivalry, making it difficult for any single firm to control pricing. This leads to intensified price competition, which adversely affects industry profitability.

3. High Fixed Costs: Industries with high fixed costs create pressure on firms to fully utilize their capacity. When firms face excess capacity, they often resort to price cuts to maintain sales volume, which diminishes profitability across the industry.

4. Exit Barriers: High exit barriers prevent firms from leaving the industry, keeping competition high. Specialized assets or other constraints can lead firms to remain in the market, maintaining competitive pressure and negatively impacting profitability for all players.

5. Product Differentiation: In industries lacking product differentiation, firms primarily compete on price. This leads to price wars and lower profitability. In contrast, firms that can differentiate their products tend to achieve higher profit margins and reduce competitive pressure.

6. Slow Industry Growth: When industry growth slows, firms may adopt aggressive tactics to protect or gain market share, resulting in intensified rivalry and diminished profitability as they compete for a limited customer base. In summary, conditions such as the presence of a strong industry leader, the number of competitors, high fixed costs, exit barriers, lack of product differentiation and slow industry growth contribute to cutthroat rivalry and low industry profitability.

ICAI · P6 · RTP Jan 2026 · question p. 31 · answer p. 36-37

271 RTP **May 2025** Q5 MCQ

XYZ Logistics, a leading transportation company, has been operating in the industry for over a decade. Over the years, the company has expanded its fleet, optimized route planning, and implemented advanced fuel efficiency techniques. As a result, the company's per mile operating cost has significantly decreased due to improved efficiency and cumulative experience in managing large-scale logistics operations. Which strategic management concept best explains this reduction in operating costs?

- A Experience curve
- B Ansoff's growth matrix
- C Strategic surveillance
- D Value chain analysis

ICAI'S ANSWER

Answer key: **(A)**

272 RTP **May 2025** Q9

Same question, different ICAI answer: #303 MTP Jan 2025 S-I

Easy Access is a marketing services company providing consultancy to a range of business clients. Easy Access and its rivals have managed to persuade the Government to require all marketing services companies to complete a time-consuming and bureaucratic registration process and to comply with an industry code of conduct. Do you think that by doing this Easy Access and its rivals has an advantage in some ways to fight off competitors? Explain.

ICAI'S ANSWER

Yes, Easy Access and its rivals get advantage from this move. The new bureaucratic process is making it more complicated for organizations to start up and enter the Easy Access market, increasing barriers to entry and thereby reducing the threat of new entrants. New entrants can reduce an industry's profitability, because they add new production capacity, leading to increase in supply of the product, sometimes even at a lower price and can substantially erode existing firm's market share position. However, New entrants are always a powerful source of competition. The new capacity and product range they bring in throws up a new competitive pressure. The bigger the new entrant, the more severe the competitive effect. New entrants also place a limit on prices and affect the profitability of existing players, which is known as Price War.

ICAI · P6 · RTP May 2025 · question p. 38 · answer p. 41

273 RTP **Jan 2025** Q10

Same question, different ICAI answer: #257 Old P7 Exam Nov 2023

According to Michael Porter, what are the five competitive forces that exist within an industry?

ICAI'S ANSWER

Michael Porter's Five Forces model is a widely utilized tool for systematically analyzing the competitive forces within an industry. The model identifies five competitive forces that shape the overall competitive landscape:

- Threat of New Entrants: New entrants bring added capacity and product variety, intensifying competition and impacting prices. The size of new entrants magnifies their competitive influence, placing constraints on prices and affecting existing players' profitability.
- Bargaining power of Buyers: The ability of buyers to form groups or cartels influences their bargaining power. This force, particularly in industrial products, impacts pricing and often leads to demand for better services, influencing costs and investments for producers.
- Bargaining power of Suppliers: Suppliers with specialized offerings exert significant bargaining power, especially when limited in number. Supplier bargaining power determines raw material costs, affecting industry attractiveness and profitability.
- Rivalry among Current Players: Existing players engage in competition, influencing strategic decisions across various levels. This rivalry is evident in pricing, advertising, cost pressures, and product strategies, impacting the overall competitive landscape.
- Threats from Substitutes: Substitute products can alter an industry's competitive dynamics, offering price advantages or performance improvements. Substitutes limit prices and profits, and industries with substantial R&D investments are particularly susceptible to threats from substitute products. These forces collectively determine industry's attractiveness and profitability

by influencing factors such as costs and investments required for industry participation. The strength of these forces varies across industries, ultimately shaping the potential for earning attractive profits.

ICAI · P6 · RTP Jan 2025 · question p. 37 · answer p. 42

274 RTP **Sep 2024** Q10

Rajiv Arya owns an electrical appliance company specializing in the manufacture of domestic vacuum cleaners. The market is competitive, with four other manufacturers offering similar products and achieving comparable sales volumes. Additionally, these rival firms hold several patents related to the vacuum cleaner technology. The supplier base for raw materials is extensive, with multiple suppliers available. Identify and explain the significant forces from Porter's Five Forces framework that are relevant to Rajiv Arya's company.

ICAI'S ANSWER

The competitive rivalry will be a significant force in case of company of Rajiv Arya as all the rivals are similar in sizes and are manufacturing similar products. It is difficult for any single manufacturer to dominate the market. Large number of patents will make it difficult for new entrants to break into the market. Further, as there are a large number of small suppliers the power that suppliers can exert will also be low. There is no information relating to substitutes and bargaining power of customers in the information given in scenario. However, a domestic vacuum cleaner will directly compete with other options such as house maids. Availability of house maids at low cost can significantly disturb the sales of products. Further, as the products are similar customers can easily shift from one company to another. This will only enhance competitive rivalry.

ICAI · P6 · RTP Sep 2024 · question p. 36 · answer p. 40-41

275 RTP **May 2024** Q3 MCQ

Kanika, known as "Desi Taylor Swift," launched the lipstick brand Kolor among intense global and domestic competition. Despite a lack of groundwork, her substantial 45 million social media following gained significant attention. Which aspect of Michael Porter's force multiplier is working in favour of Kolor?

A Social Media Influence

B Threat of New Entrants

C Supplier Bargaining Power

D Buyer Bargaining Power

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP May 2024 · question p. 33

276 RTP **May 2024** Q10

Same question, different ICAI answer: #293 Old P7 RTP May 2018 · #302 MTP Sep 2025 S-II · #309 Old P7 MTP Nov 2020 S-I · #310 Old P7 MTP Nov 2018 S-II

Explain the concept of Experience Curve and highlight its relevance in strategic management.

ICAI'S ANSWER

Experience curve akin to a learning curve which explains the efficiency increase gained by workers through repetitive productive work. Experience curve is based on the commonly observed phenomenon that unit costs decline as a firm accumulates experience in terms of a cumulative volume of production. It is based on the concept, "we learn as we grow". The implication is that larger firms in an industry would tend to have lower unit costs as compared to those for smaller companies, thereby gaining a competitive cost advantage. Experience curve results from a variety of factors such as learning effects, economies of scale, product redesign and technological improvements in production. Experience curve has following features:

- As business organisation grow, they gain experience.
- Experience may provide an advantage over the competition. Experience is a key barrier to entry.
- Large and successful organisation possess stronger "experience effect".

A typical experience curve may be depicted as follows:

Figure: Experience curve As a business grows, it understands the complexities and benefits from its experiences. The concept of experience curve is relevant for a number of areas in strategic management. For instance, the experience curve is considered a barrier for new firms contemplating entry in an industry. It is also used to build market share and discourage competition.

ICAI · P6 · RTP May 2024 · question p. 35 · answer p. 39-40

277 RTP **Old P7 Nov 2023** Q16 old scheme

Same question, different ICAI answer: #284 Old P7 RTP Dec 2021

Easy Access is a marketing services company providing consultancy to a range of business clients. Easy Access and its rivals have managed to persuade the Government to require all marketing services companies to complete a time-consuming and bureaucratic registration process and to comply with an industry code of conduct. Do you think that by doing this Easy Access and its rivals has an advantage in some way to fight off competitors? Explain.

ICAI'S ANSWER

Yes, Easy Access and its rivals get advantage by this move. The new bureaucratic process is making it more complicated for organizations to start up and enter in Easy Access market, increasing barriers to entry and thereby reducing the threat of new entrants. New entrants can reduce an industry's profitability, because they add new production capacity, leading to increase in supply of the product, sometimes even at a lower price and can substantially erode existing firm's market share position. However, New entrants are always a powerful source of competition. The new capacity and product range they bring in throws up a new competitive pressure. The bigger the new entrant, the more severe the competitive effect. New entrants also place a limit on prices and affect the profitability of existing players, which is known as Price War.

ICAI · Old P7 · RTP Nov 2023 · question p. 16 · answer p. 20

278 RTP **Old P7 May 2023** Q4 MCQ old scheme

Raju started a samosa stall in a local market and the existing momos and bhelpuri stall owners started creating problems for him. This is an example of-

A Bargaining power of suppliers

B Threat of new entrants

C Substitute products

D Nature of rivalry in industry

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP May 2023 · question p. 17

279 RTP **Old P7 May 2023** Q16 old scheme

Same question, different ICAI answer: #294 Old P7 RTP May 2018

What are the common barriers that are faced by new entrants when an existing firm earns higher profits?

ICAI'S ANSWER

A firm's profitability tends to be higher when other firms are blocked from entering the industry. New entrants can reduce industry profitability because they add new production capacity leading to increase supply of the product even at a lower price and can substantially erode existing firm's market share. Barriers to entry represent economic forces (or 'hurdles') that slow down or impede entry by other firms. Common barriers to entry include:

(i) Capital requirements: When a large amount of capital is required to enter an industry, firms lacking funds are effectively barred from the industry, thus enhancing the profitability of existing firms in the industry.

(ii) Economies of scale: Many industries are characterized by economic activities driven by economies of scale. Economies of scale refer to the decline in the per-unit cost of production (or other activity) as volume grows. A large firm that enjoys economies of scale can produce high volumes of goods at successively lower costs. This tends to discourage new entrants.

(iii) Product differentiation: Production differentiation refers to the physical or perceptual differences, or enhancements, that make a product special or unique in the eyes of customers. Firms in the personal care products and cosmetics industries actively engage in product differentiation to enhance their products' features. Differentiation works to reinforce entry barriers because the cost of creating genuine product differences may be too high for the new entrants.

(iv) Switching costs: To succeed in an industry, new entrant must be able to persuade existing customers of other companies to switch to its products. To make a switch, buyers may need to test a new firm's product, negotiate new purchase contracts, and train personnel to use the equipment, or modify facilities for product use. Buyers often incur substantial financial (and psychological) costs in switching between firms. When such switching costs are high, buyers are often reluctant to change.

(v) Brand identity: The brand identity of products or services offered by existing firms can serve as another entry barrier. Brand identity is particularly important for infrequently purchased products that carry a high unit cost to the buyer. New entrants often encounter significant difficulties in building up the brand identity, because to do so they must commit substantial resources over a long period.

(vi) Access to distribution channels: The unavailability of distribution channels for new entrants poses another significant entry barrier. Despite the growing power of the internet, many firms may continue to rely on their control of physical distribution channels to sustain a barrier to entry to rivals. Often, existing firms have significant influence over the distribution channels and can retard or impede their use by new firms.

(vii) Possibility of aggressive retaliation: Sometimes the mere threat of aggressive retaliation by incumbents can deter entry by other firms into an existing industry. For example, introduction of products by a new firm may lead existing firms to reduce their product prices and increase their advertising budgets.

ICAI · Old P7 · RTP May 2023 · question p. 19 · answer p. 24-25

280 RTP **Old P7 Nov 2022** Q15 old scheme

Same question, different ICAI answer: #307 Old P7 MTP Nov 2023 S-II

Rajiv Arya is owner of an electrical appliance company that specializes in manufacturing of domestic vacuum cleaners. There are four other manufacturers with similar products and sales volume. Current rival firms also own a number of patents related to the product. The supplier base for procurement of raw material is also very large as there are multiple suppliers.

Identify Porter's Five Forces that may be classified as significant for the company? Explain.

ICAI'S ANSWER

The competitive rivalry will be a significant force in case of company of Rajiv Arya as all the rivals are similar in sizes and are manufacturing similar products. It is difficult for any single manufacturer to dominate the market. Large number of patents will make it difficult for new entrants to break into the market. Further, as there are a large number of small suppliers the power that suppliers can exert will also be low.

There is no information relating to substitutes and bargaining power of customers in the information given in scenario. However, a domestic vacuum cleaner will directly compete with other options such as house maids. Availability of house maids at low cost can significantly disturb the sales of products.

Further, as the products are similar customers can easily shift from one company to another. This will only enhance competitive rivalry.

The competitive rivalry will be significant in Rajiv Arya's dealing industry as all rivals are similar in sizes and manufacture similar products, making it difficult for anyone manufacturer to dominates the market or gain market share. The large number of patents will make it hard for new entrants to break into the market, while the fact that Rajiv Arya buys from a large number of small suppliers suggests that supplier power is also low. Finally, there is no information relating to substitutes and bargaining power of customers in the information given in scenario.

ICAI · Old P7 · RTP Nov 2022 · question p. 17 · answer p. 22

281 RTP **Old P7 Nov 2022** Q16 old scheme

A startup company is thinking of launching of a low cost detergent powder in the market. The market of the said product is already dominated by a big FMCG player.

You are advised to put forward your suggestions to the management of the company to deal with the problems of 'Entry 'Barrier' while launching the low cost detergent powder.

ICAI'S ANSWER

There are number of factors that can act as entry barrier for the start-up company. An FMCG, big in size, is already dominating the market space and will act as a strong deterrent for the new start-up.

The following will be some suggestions to the management of the start-up to deal with the problem of entry barriers:

1. The company is working on producing low cost detergent. Keeping other expenses also on the lower side the management can create price advantage that is competitive to the existing established players including the large FMCG.

2. The company focussing on single product in comparison to multiple products of an FMCG can develop competencies to produce and sell the low cost detergent that are difficult to deploy by the FMCG by its strategy that addresses needs of multiple products.

3. The start-up needs to have strong financial strength to sustain the onslaught from the dominant FMCG and other players. The start-up can identify sources of capital well in advance and be able to use it judiciously to their advantage.

4. The start-up should identify the customer segments that are likely to switch to the product well in advance so as to target the same and generate the initial hold on the market. Once the product gets some hold and their brands get some identity, the market can be further developed to address other customers.

5. The start-up should identify the environmental factors that go to their advantage. These may include special scheme of the government to encourage entrepreneurs, tax holiday, low interest rates, advantages available to small and medium sized enterprises alike.

6. It has to create an image in the market that its products are qualitative and 'Made in India' to attract a particular segment of customers.

7. They need to have a team of experts and dedicated management professionals who can implement strategies formulated by top management.

ICAI · Old P7 · RTP Nov 2022 · question p. 17-18 · answer p. 22-23

282 RTP **Old P7 May 2022** Q6 MCQ old scheme

Halder & Sons have invested in latest technology in terms of latest printing machines from Germany and Israel. But recent advent of internet has posed a big threat to their printing business as majority of their clients have now turned to more environment friendly options. They are not able to sell off their machines which are now redundant. What condition are they facing right now?

A Improper market analysis

B Exit Barriers

C Paralysis of Strategic Vision

D Weak SWOT Analysis

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP May 2022 · question p. 17

283 RTP **Old P7 May 2022** Q16 old scheme

What are the five competitive forces in an industry as identified by Michael Porter?

ICAI'S ANSWER

Five forces model of Michael Porter is a popular tool for systematically diagnosing the significant competitive pressures in the market and assessing their strength and importance. The model holds that the state of competition in an industry is a composite of competitive pressures operating in five forces as follows:

1. Threat of new entrants: New entrants place a limit on prices and affect the profitability of existing players. The new capacity and product range the new entrants bring increases competitive pressure.

2. Bargaining power of customers: The bargaining power of the buyers influences not only the prices that the producer can charge but also influence costs and investments of the producer. This force will become heavier depending on the possibilities of the buyers forming groups or cartels, particularly in case of industrial products.

3. Bargaining power of suppliers: Often suppliers can exercise considerable bargaining power. The bargaining power of suppliers determines the cost of raw materials and other inputs of the industry and, therefore, can affect industry attractiveness and profitability.

4. Rivalry among current players: The impact is evident more at functional level in the prices being charged, advertising, and pressures on costs, product and so on.

5. Threats from substitutes: Substitute products are a latent source of competition in an industry. Substitute products offering a price advantage and/or performance improvement to the consumer can have significant impact.

ICAI · Old P7 · RTP May 2022 · question p. 19 · answer p. 23-24

284 RTP **Old P7 Dec 2021** Q15 old scheme

Same question, different ICAI answer: #277 Old P7 RTP Nov 2023

Easy Access is a marketing services company providing consultancy to a range of business clients. Easy Access and its rivals have managed to persuade the Government to require all marketing services companies to complete a time-consuming and bureaucratic registration process and to comply with an industry code of conduct. Do you think that by doing this Easy Access and its rivals has an advantage in some way to fight off competitors? Explain.

ICAI'S ANSWER

Yes, Easy Access and its rivals get advantage by this move. The new bureaucratic process is making it more complicated for organizations to start up and enter in Easy Access market, increasing barriers to entry and thereby reducing the threat of new entrants. New entrants can reduce an industry's profitability, because they add new production capacity, leading to increase in supply of the product, sometimes even at a lower price and can substantially erode existing firm's market share position. However, New entrants are always a powerful source of competition. The new capacity and product range they bring in throws up a new competitive pressure. The b igger the new entrant, the more severe the competitive effect. New entrants also place a limit on prices and affect the profitability of existing players, which is known as Price War.

ICAI · Old P7 · RTP Dec 2021 · question p. 18 · answer p. 23

285 RTP **Old P7 Jul 2021** Q15 old scheme

Competitive pressures operate as a composite in five areas of the overall market. Elaborate.

ICAI'S ANSWER

Competition makes organizations work harder, however, it is neither a coincidence nor bad luck. All organizations have competition and its benefit are enjoyed by the markets. The customers are able to get better products at lower costs. They get better value for their money because of competition. A powerful and widely used tool for systematically diagnosing the significant competitive pressures in a market and assessing the strength and importance of each is the Porter's five-forces model of competition. This model holds that the state of competition in an industry is a composite of competitive pressures operating in five areas of the overall market as follows:

(i) Rivalry among current players: Competitive pressures associated with the market manoeuvring and jockeying for buyer patronage that goes on among rival sellers in the industry.

(ii) Threat of new entrants: Competitive pressures associated with the threat of new entrants into the market.

(iii) Threats from substitutes: Competitive pressures coming from the attempts of companies in other industries to win buyers over to their own substitute products.

(iv) Bargaining power of suppliers: Competitive pressures stemming from supplier bargaining power and supplier-seller collaboration.

(v) Bargaining power of customers: Competitive pressures stemming from buyer bargaining power and seller-buyer collaboration.

ICAI · Old P7 · RTP Jul 2021 · question p. 17 · answer p. 20-21

286 RTP **Old P7 May 2020** Q10 old scheme

Eco-carry bags Ltd., a recyclable plastic bags manufacturing and trading company has seen a potential in the ever-growing awareness around hazards of plastics and the positive outlook of the society towards recycling and reusing plastics.

A major concern for Eco-carry bags Ltd. are paper bags and old cloth bags. Even though they are costlier than recyclable plastic bags, irrespective, they are being welcomed positively by the consumers.

Identify and explain that competition from paper bags and old cloth bags fall under which category of Porter's Five Forces Model for Competitive Analysis?

ICAI'S ANSWER

Eco-carry bags Ltd. faces competition from paper bags and old cloth bags and falls under Threat of Substitutes force categories in Porter's Five Forces Model for Competitive Analysis. Paper and cloth bags are substitutes of recyclable plastic bags as they perform the same function as plastic bags. Substitute products are a latent source of competition in an industry. In many cases, they become a major constituent of competition. Substitute products offering a price advantage and/or performance improvement to the consumer can drastically alter the competitive character of an industry.

ICAI · Old P7 · RTP May 2020 · question p. 14-15 · answer p. 20

287 RTP **Old P7 Nov 2019** Q11 old scheme

Same question, different ICAI answer: #304 MTP Sep 2024 S-I

Buyers can exert considerable pressure on business. Do you agree? Discuss.

ICAI'S ANSWER

Buyers of an industry's products or services can exert considerable pressure on existing firms to secure lower prices or better services. This is evident in situations where buyers enjoy superior position than the seller of product. This leverage is particularly evident when:

(i) Buyers have full knowledge of the sources of products and their substitutes.

(ii) They spend a lot of money on the industry's products, i.e., they are big buyers.

(iii) The industry's product is not perceived as critical to the buyer's needs and buyers are more concentrated than firms supplying the product. They can easily switch to the substitutes available.

ICAI · Old P7 · RTP Nov 2019 · question p. 15 · answer p. 21

288 RTP **Old P7 May 2019** Q1(xiv) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

What will happen in case many new businesses enter a market?

- A Barriers to entry will rise.
- B Competitive rivalry will intensify.
- C Capacity of industry will fall.
- D Industry will become more lucrative.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP May 2019 · question p. 11

289 RTP **Old P7 May 2019** Q10 old scheme

Rahul Sharma is Managing Director of a company which is manufacturing trucks. He is worried about the entry of new businesses. What kind of barriers will help Rahul against such a threat?

ICAI'S ANSWER

A firm's profitability tends to be higher when other firms are blocked from entering the industry. New entrants can reduce industry profitability because they add new production capacity leading to increase supply of the product even at a lower price and c an substantially erode existing firm's market share position. Barriers to entry represent economic forces that slow down or impede entry by other firms. Common barriers to entry include:

(i) Capital Requirements: When a large amount of capital is required to enter an industry, firms lacking funds are effectively barred from the industry, thus enhancing the profitability of existing firms in the industry.

(ii) Economies of Scale: Many industries are characterized by economic activities driven by economies of scale. Economies of scale refer to the decline in the per-unit cost of production (or other activity) as volume grows.

(iii) Product Differentiation: Product differentiation refers to the physical or perceptual differences, or enhancements, that make a product special or unique in the eyes of customers.

(iv) Switching Costs: To succeed in an industry, new entrant must be able to persuade existing customers of other companies to switch to its products. When such switching costs are high, buyers are often reluctant to change.

(v) Brand Identity: The brand identity of products or services offered by existing firms can serve as another entry barrier. Brand identity is particularly important for infrequently purchased products that carry a high unit cost to the buyer.

(vi) Access to Distribution Channels: The unavailability of distribution channels for new entrants poses another significant entry barrier. Despite the growing power of the internet, many firms may continue to rely on their control of physical distribution channels to sustain a barrier to entry to rivals.

(vii) Possibility of Aggressive Retaliation: Sometimes the mere threat of aggressive retaliation by incumbents can deter entry by other firms into an existing industry.

ICAI · Old P7 · RTP May 2019 · question p. 13 · answer p. 18

290 RTP **Old P7 Nov 2018** Q2(e) old scheme

State with reasons which of the following statements are correct/incorrect: Porter's five forces model considers new entrants as a significant source of competition.

ICAI'S ANSWER

Correct: Porter's five forces model considers new entrants as major source of competition. The new capacity and product range that the new entrants bring in throw up new competitive pressure. The bigger the new entrant, the more severe the competitive effect. New entrants also place a limit on prices and affect the profitability of existing players.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 16

291 RTP **Old P7 Nov 2018** Q14 old scheme

Also asked in Old P7 MTP May 2019 S-I Q5(a) · Old P7 MTP Nov 2018 S-II Q2(b)

Explain Porter's five forces model as to how businesses can deal with the competition.

ICAI'S ANSWER

To gain a deep understanding of a company's industry and competitive environment, managers do not need to gather all the information they can find and waste a lot of time digesting it. Rather, the task is much more focused. A powerful and widely used tool for systematically diagnosing the significant competitive pressures in a market and assessing the strength and importance of each is the Porter's five-forces model of competition. This model holds that the state of competition in an industry is a composite of competitive pressures operating in five areas of the overall market:

- Competitive pressures associated with the market manoeuvring and jockeying for buyer patronage that goes on among rival sellers in the industry.
- Competitive pressures associated with the threat of new entrants into the market.
- Competitive pressures coming from the attempts of companies in other industries to win buyers over to their own substitute products.
- Competitive pressures stemming from supplier bargaining power and supplier-seller collaboration.
- Competitive pressures stemming from buyer bargaining power and seller-buyer Collaboration.

ICAI · Old P7 · RTP Nov 2018 · question p. 14 · answer p. 22-23

292 RTP **Old P7 May 2018** Q2(e) old scheme

State with reasons which of the following statements are correct/incorrect: Substitutes can also exert significant competitive pressures.

ICAI'S ANSWER

Correct: According to porter's five forces model, a final force that can influence industry profitability is the availability of substitutes for an industry's product. To predict profit pressure from this source, firms must search for products that perform the same, or nearly the same, function as their existing products.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 17

293 RTP **Old P7 May 2018** Q8 old scheme

Same question, different ICAI answer: #276 RTP May 2024 · #302 MTP Sep 2025 S-II · #309 Old P7 MTP Nov 2020 S-I · #310 Old P7 MTP Nov 2018 S-II

Explain the concept of experience curve and highlight its relevance in strategic management.

ICAI'S ANSWER

Experience curve is similar to learning curve which explains the efficiency gained by workers through repetitive productive work. Experience curve is based on the commonly observed phenomenon that unit costs decline as a firm accumulates experience in terms of a cumulative volume of production. The implication is that larger firms in an industry would tend to have lower unit costs as compared to those of smaller organizatio ns, thereby gaining a competitive cost advantage. Experience curve results from a variety of factors such as learning effects, economies of scale, product redesign and technological improvements in production.

The concept of experience curve is relevant for a number of areas in strategic management. For instance, experience curve is considered a barrier for new firms contemplating entry in an industry. It is also used to build market share and discourage competition.

ICAI · Old P7 · RTP May 2018 · question p. 14 · answer p. 21

294 RTP **Old P7 May 2018** Q14 old scheme

Same question, different ICAI answer: #279 Old P7 RTP May 2023

What are the common barriers that are faced by new entrants when an existing firm earns higher profits?

ICAI'S ANSWER

A firm's profitability tends to be higher when other firms are blocked from entering the industry. New entrants can reduce industry profitability because they add n ew production capacity leading to increase supply of the product even at a lower price and can substantially erode existing firm's market share. Barriers to entry represent economic forces (or 'hurdles') that slow down or impede entry by other firms. Commo n barriers to entry include:

(i) Capital requirements: When a large amount of capital is required to enter an industry, firms lacking funds are effectively barred from the industry, thus enhancing the profitability of existing firms in the industry.

(ii) Economies of scale: Many industries are characterized by economic activities driven by economies of scale. Economies of scale refer to the decline in the per-unit cost of production (or

other activity) as volume grows. A large firm that enjoys economies of scale can produce high volumes of goods at successively lower costs. This tends to discourage new entrants.

(iii) Product differentiation: Production differentiation refers to the physical or perceptual differences, or enhancements, that make a product special or unique in the eyes of customers. Firms in the personal care products and cosmetics industries actively engage in product differentiation to enhance their products' features. Differentiation works to reinforce entry barriers because the cost of c reating genuine product differences may be too high for the new entrants.

(iv) Switching costs: To succeed in an industry, new entrant must be able to persuade existing customers of other companies to switch to its products. To make a switch, buyers may need to test a new firm's product, negotiate new purchase contracts, and train personnel to use the equipment, or modify facilities for product use. Buyers often incur substantial financial (and psychological) costs in switching between firms. When such switching costs are high, buyers are often reluctant to change.

(v) Brand identity: The brand identity of products or services offered by existing firms can serve as another entry barrier. Brand identity is particularly important for infrequently purchased products that carry a high unit cost to the buyer. New entrants often encounter significant difficulties in building up the brand identity, because to do so they must commit substantial resources over a long period.

(vi) Access to distribution channels: The unavailability of distribution channels for new entrants poses another significant entry barrier. Despite the growing power of the internet, many firms may continue to rely on their control of physical distribution channels to sustain a barrier to entry to rivals. Often, existing firms have significant influence over the distribution channels and can retard or impede their use by new firms.

(vii) Possibility of aggressive retaliation: Sometimes the mere threat of aggressive retaliation by incumbents can deter entry by other firms into an existing industry. For example, introduction of products by a new firm may lead existing firms to reduce their product prices and increase their advertising budgets.

ICAI · Old P7 · RTP May 2018 · question p. 15 · answer p. 24-25

295 MTP **Sep 2026 S-I** Q4(b) OR 5 marks

Bharat EV Motors, an Indian electric vehicle manufacturer, has witnessed intense competition in the EV market. Several new domestic and international companies have entered the industry with innovative models. Customers have many alternatives and can easily compare prices and features online. Battery suppliers have increased their prices due to limited availability of raw materials, while petrol and hybrid vehicles continue to remain attractive substitutes for many consumers. In the light of the above case, analyse the competitive environment of Bharat EV Motors using Porter's Five Forces Model. Explain any five competitive forces affecting the company.

ICAI'S ANSWER

Porter's Five Forces Model, developed by Michael Porter, analyses the competitive forces that determine the attractiveness and profitability of an industry.

1. **Threat of New Entrants:** The entry of new domestic and international EV manufacturers increases competition and reduces the market share of existing firms like Bharat EV Motors.

2. **Bargaining Power of Buyers:** Customers have several alternatives and can easily compare prices, quality and features, giving them higher bargaining power and forcing companies to offer

better value.

3. **Bargaining Power of Suppliers:** Limited availability of battery raw materials enables suppliers to increase prices, raising production costs and strengthening their bargaining power.

4. **Threat of Substitute Products:** Petrol, diesel and hybrid vehicles serve as substitutes. If customers find these alternatives more economical or convenient, demand for electric vehicles may decline.

5. **Rivalry among Existing Competitors:** Intense competition among existing EV manufacturers through pricing, product innovation, technology and marketing increases competitive rivalry and affects profitability.

Thus, Porter's Five Forces help organisations understand the competitive intensity of an industry and formulate strategies to build and sustain a competitive advantage.

ICAI · P6 · MTP Sep 2026 · Series I · question p. 13 · answer p. 22

296 MTP **Sep 2026 S-II** Q4(b) 5 marks

Also asked in MTP May 2026 S-II Q3(a)

Which concept explains the efficiency increase gained by workers through repetitive production work, leading to cost reduction and competitive advantage? List down its relevance features in strategic management.

ICAI'S ANSWER

The concept is Experience Curve. The experience curve, akin to a learning curve, explains the efficiency increase gained by workers through repetitive productive work. It is based on the phenomenon that unit costs decline as a firm accumulates experience in terms of a cumulative volume of production – the idea being, "we learn as we grow."

Relevant Features of Experience Curve in Strategic Management

- As business organisations grow, they gain experience which enables cost efficiencies.
- Experience may provide an advantage over competition as lower costs create a barrier for new entrants.
- Experience is considered a key barrier to entry for new firms contemplating industry entry.
- Large and successful organisations possess stronger experience effect, helping in leadership and cost advantage.

Thus, the experience curve is a critical concept in strategic management as it links growth with learning, cost reduction and competitive advantage, making it a strong determinant of industry positioning and entry barriers.

ICAI · P6 · MTP Sep 2026 · Series II · question p. 14 · answer p. 19

297 MTP **Sep 2026 S-II** Q4(b) OR 5 marks

In light of the five forces as propagated by Michael Porter, explain the common barriers which may cause restraint for the keenness of new entrepreneurs.

ICAI'S ANSWER

In light of Michael Porter's Five Forces, new entrepreneurs often face significant barriers that restrain their keenness to enter an industry. These barriers increase the competitiveness of existing

firms and discourage new entrants, impacting industry profitability.

Common barriers that may restrain new entrepreneurs include:

(i) **Capital Requirements:** When a large amount of capital is required to enter an industry, firms lacking funds are effectively barred from the industry, thus enhancing the profitability of existing firms in the industry.

(ii) **Economies of Scale:** Many industries are characterized by economic activities driven by economies of scale. Economies of scale refer to the decline in the per-unit cost of production (or other activity) as volume grows.

(iii) **Product Differentiation:** Product differentiation refers to the physical or perceptual differences, or enhancements, that make a product special or unique in the eyes of customers.

(iv) **Switching Costs:** To succeed in an industry, new entrant must be able to persuade existing customers of other companies to switch to its products. When such switching costs are high, buyers are often reluctant to change.

(v) **Brand Identity:** The brand identity of products or services offered by existing firms can serve as another entry barrier. Brand identity is particularly important for infrequently purchased products that carry a high unit cost to the buyer.

(vi) **Access to Distribution Channels:** The unavailability of distribution channels for new entrants poses another significant entry barrier. Despite the growing power of the internet, many firms may continue to rely on their control of physical distribution channels to sustain a barrier to entry to rivals.

(vii) **Possibility of Aggressive Retaliation:** Sometimes the mere threat of aggressive retaliation by incumbents can deter entry by other firms into an existing industry.

ICAI · P6 · MTP Sep 2026 · Series II · question p. 14 · answer p. 19-20

298 MTP **May 2026 S-I** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

PlaySphere Interactive was founded in Bangalore in 2010 as a small startup developing mobile puzzle games for local users. For several years, its growth remained modest, as the Indian gaming industry was still in its infancy.

In 2015, the new CEO redefined the company's vision as "To be India's leading creator of immersive gaming experiences," and its mission as "To design culturally relevant games with global quality." This gave PlaySphere both long-term direction and concrete operational purpose.

The company's breakthrough came when it launched a fantasy role-playing game, MythQuest, based on Indian mythology. Within a year, it reached millions of downloads. Success was partly due to its core competitive advantage an in-house game engine optimized for low-bandwidth conditions, which allowed seamless multiplayer play. This helped PlaySphere survive intense industry rivalry and the threat of substitutes from foreign gaming platforms, both of which are key forces in Porter's Five Forces model.

As player volumes increased, PlaySphere benefited from the experience curve costs per unit declined as developers became more efficient and processes standardized. This improved profitability despite rising competition.

To manage its expanding portfolio, the company restructured into two Strategic Business Units (SBUs): Mobile Games (casual and puzzle titles) and Immersive Games (RPGs and multiplayer). Each SBU was given autonomy for faster decision-making, while the corporate office focused on resource allocation.

Leadership also played a role. The CEO adopted a participative leadership style, involving development teams in key creative and technical decisions, which boosted morale and innovation.

In 2020, sudden regulations on in-app purchases threatened revenues. PlaySphere responded using special alert control, adjusting its monetization models quickly to stay compliant. At the same time, it relied on premise control to monitor assumptions about growth in internet penetration and youth demographics, ensuring its strategies remained valid.

Today, PlaySphere stands as one of Bangalore's fastest-growing gaming companies, with revenues crossing ₹ 4,000 crore, symbolizing how strategic clarity and adaptive execution can turn a startup into a national leader.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

PlaySphere's declaration "To be India's leading creator of immersive gaming experiences" is best classified as which element of strategic intent, and why?

- A Mission – because it defines operational purpose
- B Objective – because it is short-term and measurable
- C Vision – because it describes long-term aspirations
- D Corporate Strategy – because it defines resource allocation

Q1(A)(ii) 2 marks

The success of MythQuest despite foreign competitors highlights which forces from Porter's Five Forces model that PlaySphere managed to withstand?

- A Bargaining Power of Suppliers and Threat of New Entrants
- B Industry Rivalry and Threat of Substitutes
- C Bargaining Power of Buyers and Threat of New Entrants
- D Industry Rivalry and Bargaining Power of Suppliers

Q1(A)(iii) 2 marks

As PlaySphere scaled up, development costs per unit declined due to learning efficiencies and process standardization. Which strategic management concept explains this phenomenon?

- A Economies of Scale
- B Value Chain Analysis
- C Experience Curve
- D Cost Leadership

Q1(A)(iv) 2 marks

The restructuring of PlaySphere into two SBUs (Mobile Games and Immersive Games) represents which level of strategy, and how does it help execution?

- A Functional-level – focuses on departmental activities

B Corporate-level – manages a portfolio of businesses

C Business-level – defines competitive positioning in one industry

D Operational-level – deals with day-to-day activities

Q1(A)(v) 2 marks

When regulations on in-app purchases suddenly changed, PlaySphere applied which type of strategic control and why?

A Premise Control – checking underlying assumptions

B Implementation Control – tracking key projects

C Special Alert Control – responding to sudden events

D Strategic Surveillance – scanning broad signals

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(C)**

Q1(A)(ii)

Answer key: **(B)**

Q1(A)(iii)

Answer key: **(C)**

Q1(A)(iv)

Answer key: **(B)**

Q1(A)(v)

Answer key: **(C)**

ICAI · P6 · MTP May 2026 · Series I · question p. 9-10

299 MTP **May 2026 S-II** Q1(B)(i) 2 marks MCQ

A small e-commerce startup is entering a highly competitive online retail market. The market is dominated by a few large players with significant market share. Which of the following forces is most likely to impact the startup's ability to compete effectively?

A Threat of new entrants

B Bargaining power of suppliers

C Threat of substitute products or services

D Rivalry among existing competitors

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · MTP May 2026 · Series II · question p. 12

300 MTP **May 2026 S-II** Q1(c) 5 marks

Karan Malhotra owns a company that operates a chain of organic food restaurants in metropolitan cities. The market has a limited number of premium organic restaurants, but customers have many alternative dining options such as fast-food outlets, home-cooked meals, and food delivery services. Customers are highly conscious of price and quality and frequently switch between restaurants based on offers and reviews. Additionally, entering the organic restaurant business requires moderate investment and

compliance with food safety standards, but no major technological barriers exist. Identify the Porter's Five Forces that are significant in this scenario and explain their impact on the company.

ICAI'S ANSWER

In this case, the bargaining power of customers is a significant force. Customers have multiple dining choices and are highly price sensitive. Since switching costs are low, they can easily move to other restaurants offering better value, quality, or discounts. This forces the company to continuously improve its offerings and pricing strategies.

The threat of substitutes is also high, as customers can opt for alternatives such as fast food, home-cooked meals, or online food delivery services. These substitutes can significantly impact demand, especially if they are more convenient or cost-effective.

The threat of new entrants is moderate because, although some investment and regulatory compliance are required, there are no major technological barriers. New players can enter the market if they identify growth opportunities, increasing competition over time.

The competitive rivalry is moderate, as there are limited premium organic restaurants, but competition still exists in attracting and retaining health-conscious customers.

There is no strong indication of high or low bargaining power of suppliers in the scenario. However, if organic ingredient suppliers are limited, supplier power could increase; otherwise, it may remain moderate.

ICAI · P6 · MTP May 2026 · Series II · question p. 13-14 · answer p. 13

301 MTP **Jan 2026 S-I** Q1(B)(ii) 2 marks MCQ

In the Indian smartphone market, Chinese brands completely captured the budget segment. Which of Porter's Five Forces is intensified by the presence of numerous players offering functionally similar, low-priced products?

- A Rivalry Among Existing Competitors
- B Bargaining Power of Suppliers
- C Threat of New Entrants
- D Bargaining Power of Buyers

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · MTP Jan 2026 · Series I · question p. 10

302 MTP **Sep 2025 S-II** Q3(b) 5 marks

Same question, different ICAI answer: #276 RTP May 2024 · #293 Old P7 RTP May 2018 · #309 Old P7 MTP Nov 2020 S-I · #310 Old P7 MTP Nov 2018 S-II

Explain the concept of Experience Curve and highlight its relevance in strategic management.

ICAI'S ANSWER

Experience curve akin to a learning curve which explains the efficiency increase gained by workers through repetitive productive work. Experience curve is based on the commonly observed phenomenon that unit costs decline as a firm accumulates experience in terms of a cumulative volume of production. It is based on the concept, "we learn as we grow".

The implication is that larger firms in an industry tend to have lower unit costs compared to those for smaller companies, thereby gaining a competitive cost advantage.

Experience curve results from a variety of factors such as learning effects, economies of scale, product redesign and technological improvements in production.

Experience curve has following features:

- As business organisation grow, they gain experience.
- Experience may provide an advantage over the competition. Experience is a key barrier to entry.
- Large and successful organisation possess stronger “experience effect”.

A typical experience curve may be depicted as follows:

Figure: Experience curve

As a business grows, it understands the complexities and benefits from its experiences.

The concept of experience curve is relevant for a number of areas in strategic management. For instance, the experience curve is considered a barrier for new firms contemplating entry into an industry. It is also used to build market share and discourage competition.

ICAI · P6 · MTP Sep 2025 · Series II · question p. 15 · answer p. 20-21

303 MTP **Jan 2025 S-I** Q3(a) 5 marks

Same question, different ICAI answer: #272 RTP May 2025

Easy Access is a marketing services company providing consultancy to a range of business clients. Easy Access and its rivals have managed to persuade the Government to require all marketing services companies to complete a time-consuming and bureaucratic registration process and to comply with an industry code of conduct. Do you think that by doing this Easy Access and its rivals has an advantage in some ways to fight off competitors? Explain.

ICAI’S ANSWER

Yes, Easy Access and its rivals get advantage by this move. The new bureaucratic process is making it more complicated for organizations to start up and enter the Easy Access market, increasing barriers to entry and thereby reducing the threat of new entrants. New entrants can reduce an industry's profitability, because they add new production capacity, leading to increase in supply of the product, sometimes even at a lower price and can substantially erode existing firm's market share position. However, New entrants are always a powerful source of competition. The new capacity and product range they bring in throws up a new competitive pressure. The bigger the new entrant, the more severe the competitive effect. New entrants also place a limit on prices and affect the profitability of existing players, which is known as Price War.

ICAI · P6 · MTP Jan 2025 · Series I · question p. 11 · answer p. 16

304 MTP **Sep 2024 S-I** Q4(a) 5 marks

Same question, different ICAI answer: #287 Old P7 RTP Nov 2019

Buyers can exert considerable pressure on business. Do you agree? Discuss.

ICAI’S ANSWER

Buyers of an industry's products or services can sometimes exert considerable pressure on existing firms to secure lower prices or better services. This is evident in situations where buyers enjoy a

superior position than the seller of the product. This leverage is particularly evident when:

(i) Buyers have full knowledge of the sources of products and their substitutes.

(ii) They spend a lot of money on the industry's products, i.e., they are big buyers.

(iii) The industry's product is not perceived as critical to the buyer's needs and buyers are more concentrated than firms supplying the product. They can easily switch to the substitutes available.

ICAI · P6 · MTP Sep 2024 · Series I · question p. 11 · answer p. 14-15

305 MTP **May 2024 S-I** Q1(B)(iii) 1 mark MCQ

The threat of substitutes is high when:

- A There are few substitute products available
- B Switching costs are low
- C Suppliers have high bargaining power
- D There is strong brand loyalty

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP May 2024 · Series I · question p. 8

306 MTP **May 2024 S-II** Q1(c) 5 marks

GreenThrift Inc., a sustainable clothing retailer, is experiencing a surge in popularity due to the growing awareness of environmental issues among consumers. The company specializes in selling second-hand clothing and upcycled garments, offering an eco-friendly alternative to traditional fast fashion.

A major concern for GreenThrift Inc. is the emergence of new sustainable fashion brands in the market. These brands focus on using organic and recycled materials, as well as ethical manufacturing practices, which align with the values of environmentally conscious consumers.

Identify and explain that competition from new sustainable fashion brands falls under which category of Porter's Five Forces Model for Competitive Analysis?

ICAI'S ANSWER

Competition from new sustainable fashion brands falls under the "Threat of New Entrants" category of Porter's Five Forces Model for Competitive Analysis. These new entrants pose a threat to existing sustainable clothing retailers like GreenThrift Inc. by increasing competition and potentially eroding market share. The emergence of these brands, focusing on using organic and recycled materials along with ethical manufacturing practices, aligns with the values of environmentally conscious consumers, making them strong competitors in the sustainable fashion market.

ICAI · P6 · MTP May 2024 · Series II · question p. 11-12 · answer p. 14

307 MTP **Old P7 Nov 2023 S-II** Q5(a) 5 marks old scheme

Same question, different ICAI answer: #280 Old P7 RTP Nov 2022

Rajiv Arya is owner of an electrical appliance company that specializes in manufacturing of domestic vacuum cleaners. There are four other manufacturers with similar products and sales volume. Current rival firms also own a number of patents related to the product. The supplier base for procurement of raw material is also very large as there are multiple suppliers.

Identify Porter's Five Forces that may be classified as significant for the company? Explain.

ICAI'S ANSWER

The competitive rivalry will be a significant force in case of company of Rajiv Arya as all the rivals are similar in sizes and are manufacturing similar products. It is difficult for any single manufacturer to dominate the market. Large number of patents will make it difficult for new entrants to break into the market. Further, as there are a large number of small suppliers the power that suppliers can exert will also be low.

There is no information relating to substitutes and bargaining power of customers in the information given in scenario. However, a domestic vacuum cleaner will directly compete with other options such as house maids. Availability of house maids at low cost can significantly disturb the sales of products.

Further, as the products are similar customers can easily shift from one compa ny to another. This will only enhance competitive rivalry.

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 8 · answer p. 8-9

308 MTP **Old P7 May 2023 S-II** Q4(a) 5 marks old scheme

Pulkit was very confident about cloud kitchen business model, and he bought three real estate spaces in very hideous localities. Later due to government and court orders the cloud kitchens had to be only operated in a well-ventilated space, which made his investment redundant. What aspect of industry competition is Pulkit currently faced as a result of this situation?

ICAI'S ANSWER

Pulkit may be facing exit barriers due to his investment in the real estate spaces. Exit barriers are factors that make it difficult for a company to exit a particular market or industry. In this case, Pulkit's investment in the real estate spaces may make it difficult for him to exit the cloud kitchen industry or switch to a different business model. If Pulkit is unable to find new spaces or make the necessary renovations, he may be forced to continue operating in the hideous localities, which may impact his brand image and customer experience. This can create an exit barrier for Pulkit as it may be difficult for him to turn to a different business model or exit the industry entirely. Additionally, Pulkit may have incurred significant sunk costs in the purchase and renovation of the real estate spaces, which can create a further exit barrier. Sunk costs refer to costs that have already been incurred and cannot be recovered. If Pulkit has invested a significant amount of money in the real estate spaces, he may be hesitant to exit the industry or switch to a different business model as it may mean that he has to write off the sunk costs.

Therefore, Pulkit may be facing exit barriers due to his investment in the real estate spaces, which may make it difficult for him to adapt to the new requirements or exit the industry entirely.

ICAI · Old P7 · MTP May 2023 · Series II · question p. 7 · answer p. 8-9

309 MTP **Old P7 Nov 2020 S-I** Q6(a) 5 marks old scheme

Same question, different ICAI answer: #276 RTP May 2024 · #293 Old P7 RTP May 2018 · #302 MTP Sep 2025 S-II · #310 Old P7 MTP Nov 2018 S-II

Explain the concept of Experience Curve and highlight its relevance in strategic management.

ICAI'S ANSWER

Experience curve is similar to learning curve which explains the efficiency gained by workers through repetitive productive work. Experience curve is based on the commonly observed

phenomenon that unit costs decline as a firm accumulates experience in terms o f a cumulative volume of production. It is represented diagrammatically as follows:

The implication is that larger firms in an industry would tend to have lower unit costs as compared to those of smaller organizations, thereby gaining a competitive cost advantage. Experience curve results from a variety of factors such as learning effects, economies of scale, product redesign and technological improvements in production.

The concept of experience curve is relevant for a number of areas in strategic management. For instance, experience curve is considered a barrier for new firms contemplating entry in an industry. It is also used to build market share and discourage competition.

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 8 · answer p. 8

310 MTP **Old P7 Nov 2018 S-II** Q3(b) 5 marks old scheme

Same question, different ICAI answer: #276 RTP May 2024 · #293 Old P7 RTP May 2018 · #302 MTP Sep 2025 S-II · #309 Old P7 MTP Nov 2020 S-I

Explain the concept of Experience Curve and highlight its relevance in strategic management.

ICAI'S ANSWER

Experience curve is similar to learning curve which explains the efficiency gained by workers through repetitive productive work. Experience curve is based on the commonly observed phenomenon that unit costs decline as a firm accumulates experience in terms of a cumulative volume of production. The implication is that larger firms in an industry would tend to have lower unit costs as compared to those of smaller organizations, thereby gaining a competitive cost advantage. Experience curve results from a variety of factors such as learning effects, economies of scale, product redesign and technological improvements in production.

The concept of experience curve is relevant for a number of areas in strategic management. For instance, experience curve is considered a barrier for new firms contemplating entry in an industry. It is also used to build market share and discourage competition.

ICAI · Old P7 · MTP Nov 2018 · Series II · question p. 2 · answer p. 10

311 MTP **Old P7 May 2018 S-I** Q2(b) 2 marks old scheme

Same question, different ICAI answer: #264 Old P7 Exam May 2018

Which of the following statements are 'correct' and which are 'incorrect'? Give reasons, in brief, for your answer:

Economies of scale discourages new entrants.

ICAI'S ANSWER

Correct: Economies of scale refer to the decline in the per-unit cost of production (or other activity) as volume grows. A large firm that enjoys economies of scale can produce high volumes of goods at successively lower costs. This tends to discourage new entrants.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 3 · answer p. 8

2.4 Understanding customers, markets and competition

43 questions · asked in 29 ICAI documents · 7 exam papers

312 EXAM Sep 2026 Case scenario · MCQ 9 to MCQ 13 10 marks

CASE SCENARIO

Case Scenario - II :

Jatin opened a shop with a wooden counter and two shelves at the corner of a narrow lane in a quiet neighbourhood. He sold some basic stationery and grocery items. Most of his customers were neighbours who appreciated the convenience, even though the selection of items was limited.

Although Jatin's shop was small, his approach was always customer-centric as he actively led the efforts on customer prioritization. He analyzed his customers well, studied their brand preferences and the groceries usually bought by them. He knew that customers are vital for the shop's existence as they provide revenue and resultant profits. His shop was known for neat displays, fair prices but more importantly trusted for transparent quality.

Once during the monsoons, when heavy rains disrupted the retail supply chains, many larger stores struggled to restock. However, Jatin's shelves remained fuller than many of them because he had built strong relationship with small suppliers and partnered with local farmers to source directly. He also offered discounts on certain items of daily use to his regular customers. As a result, his store gained popularity and customers even from nearby areas apart from the immediate neighbourhood also began visiting his store.

To cater to increasing growth, Jatin reinvested his earnings to expand his shelves by adding fresh vegetables, dairy products & other items of daily requirement and extended the store hours. With growth as the shop started lacking space, he acquired an adjacent shop thereby doubling his shop size.

However, with passage of time, competition intensified with big retail chains opening their supermarkets nearby. The new stores were fully air-conditioned with bright lights, several options and carried out extensive advertisements. Again, modern customers also started purchasing groceries through delivery apps offering discounts and same day delivery. As footfall declined Jatin faced a decrease in revenue and increasing pressure to modernize operations.

Jatin stayed calm and decided not to compete directly with the large retailers and the online platforms. He believed the ability to execute and make a real difference is more important than mere strategizing. Instead he responded by introducing small but meaningful novel ideas. He decided to provide personalized services to the neighbourhood. He remembered customer preferences and kept a regular track of customers' monthly purchases. He also started taking orders over the phone, popular messaging apps and introduced personalized home delivery for the existing elderly customers. Customers began preferring his shop despite higher prices because of its quality and specialized differentiated offerings.

Over the years Jatin's shop grew in size combining the efficiency of modern retail stores with the warmth of a neighbourhood shop. Customers can now find almost everything they need under one roof.

Based on the above case scenario, choose the correct answer to Q. Nos. 9 to 13.

MCQ 9 2 marks

Assertion (A) : Customer analysis is an essential marketing component of strategic business plans.

Reason (R) : Consumer decision making is affected by psychological factors internal to customer.

A Both (A) and (R) are true, and (R) is a correct explanation of (A).

B Both (A) and (R) are true, and (R) is not the correct explanation of (A).

C (A) is true but (R) is false.

D (A) is false but (R) is true.

MCQ 10 2 marks

Read the following statements from the above caselet :

(i) Jatin started taking orders over phone and introducing personalized home delivery for elderly customers.

(ii) Jatin acquired the adjacent shop as he lacked space and his store doubled in size.

(iii) Jatin's shelves were always full even during heavy rains as he partnered with local farmers to source directly and build strong relations with small suppliers.

(iv) Jatin reinvested his earning to expand his store shelves.

Which of the above options may be considered as a Proactive Strategy by Jatin's shop ?

A Only (i)

B (i) and (iv)

C Only (iii)

D (i), (ii), (iv)

MCQ 11 2 marks

The strategy adopted by Jatin to compete with large retailers and online platforms was

A Innovation strategy as novel ideas to reach out and service the customers were introduced.

B Stability strategy as Jatin stays with his current business.

C Market Development strategy as Jatin introduced personalized home delivery for the elderly customers.

D Product Development strategy like Jatin started taking orders on phone and messaging apps.

MCQ 12 2 marks

What was the strategy adopted by Jatin and what benefit did he get when he decided to provide personalized services to the customers of the neighbourhood ?

A Differentiation strategy as he was able to enhance brand image.

B Focused strategy as he was able keep competitors away by providing expert services.

C Diversification strategy as he was able to expand his business.

D Focused differentiation strategy as he was able to build strong customer loyalty leading to higher profit margins.

MCQ 13 2 marks

Which of the statements below, can be inferred from the reading of the caselet ?

A Small enterprises cannot compete effectively with big enterprises.

B Organizations can plan for all the changes in market dynamics.

C Effective leaders thrive in uncertainty with focused execution.

D Customers are always cost conscious.

ICAI'S ANSWERS

MCQ 9

Answer key: **ICAI has not published the key yet.**

MCQ 10

Answer key: **ICAI has not published the key yet.**

MCQ 11

Answer key: **ICAI has not published the key yet.**

MCQ 12

Answer key: **ICAI has not published the key yet.**

MCQ 13

Answer key: **ICAI has not published the key yet.**

ICAI · P6 · Sep 2026 exam · question p. 7-8

313 EXAM **May 2026** MCQ 15 2 marks MCQ

A fashion retail company is designing a new marketing campaign for Generation Z. During its market survey, the company observes that customers' personal preferences, attitudes, lifestyle, motivation, and perception of quality strongly influence their buying behaviour, even before they are exposed to advertisements or peer opinions. Considering these facts, the company should primarily focus on which conceptual domain of the consumer behaviour?

A Cultural influences

B Social influences

C External influences

D Internal influences

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · May 2026 exam · question p. 7

314 EXAM **Jan 2026** Q5(c) 5 marks

Mr. Rohit Khanna runs a chain of organic grocery stores under the brand name "Green Basket" in northern India. Over the past two years, he has faced intense competition from large retail chains and online delivery platforms offering organic products at discounted prices. Despite loyal customers, his profit margins are shrinking. On his consultant's advice, Rohit decided to undertake a comprehensive study to understand the competitors, their vision, mission, and financial status to gain competitive advantage. Identify the business analysis done by Mr. Rohit and discuss steps to carry out the same.

ICAI'S ANSWER

In the given case, Mr. Rohit Khanna has undertaken Competitor Analysis/Competitive Landscape analysis. Competitor analysis is a part of external environment analysis, wherein a firm systematically studies its competitors to understand their objectives, strategies, strengths, weaknesses and capabilities in order to gain competitive advantage. Steps to Understand the Competitive Landscape

1. Identify the Competitors: The first step is to identify existing and potential competitors in the industry and collect data regarding their respective market shares.

2. Understand the Competitors: After identification, information about competitors' products and services, pricing, distribution and strategies is gathered through sources such as market research reports, internet, newspapers, social media and industry publications.

3. Determine Competitors' Strengths: Analyse what competitors do well, such as superior products, strong branding, effective marketing or efficient operations and why customers prefer them.

4. Determine Competitors' Weaknesses: Weaknesses are identified through consumer reports, reviews and feedback available in various media, highlighting areas where competitors underperform.

5. Put all of the information together: All information is consolidated to identify gaps in competitors' offerings and areas where the firm can improve or differentiate to build competitive advantage.

Thus, through Competitor Analysis, Mr. Rohit can better understand the competitive dynamics of the organic grocery market and formulate suitable strategies to protect profit margins and sustain the competitive position of Green Basket.

ICAI · P6 · Jan 2026 exam · question p. 25 · answer p. 27-28

315 EXAM **Old P7 Nov 2023** Q10(a) 5 marks old scheme

Mr. LMN has established a successful venture in the textiles sector in Maharashtra. His enterprise specializes in crafting unique and high-quality home furnishings, which have garnered significant market presence. However, there was a sales dip in the previous year. Seeking professional advice, Mr. LMN consulted a strategic management expert who suggested his first course of action should be to grasp the dynamics of the competitive landscape.

In order to comprehend the competitive landscape, what steps should Mr. LMN follow?

ICAI'S ANSWER

Understanding the competitive landscape is crucial for Mr. LMN to navigate the textile sector in Maharashtra successfully. This involves identifying both direct and indirect competitors while gaining insights into their vision, mission, core values, niche markets, and strengths and weaknesses. Here are the structured steps Mr. LMN should follow to comprehend the competitive landscape and bolster his strategic position:

(i) Identify the competitor: The first step to understand the competitive landscape is to identify the competitors in the firm's industry and have actual data about their respective market share.

(ii) Understand the competitors: Once the competitors have been identified, the strategist can use market research report, internet, newspapers, social media, industry reports, and various other sources to understand the products and services offered by them in different markets.

(iii) Determine the strengths of the competitors: What are the strengths of the competitors? What do they do well? Do they offer great products? Do they utilize marketing in a way that comparatively reaches out to more consumers? Why do customers give them their business?

(iv) Determine the weaknesses of the competitors: Weaknesses (and strengths) can be identified by going through consumer reports and reviews appearing in various media. After all, consumers are often willing to give their opinions, especially when the products or services are either great or very poor.

(v) Put all of the information together: At this stage, the strategist should put together all information about competitors and draw inference about what they are not offering and what the firm can do to

fill in the gaps. The strategist can also know the areas which need to be strengthened by the firm.

By following these steps, Mr. LMN can gain a comprehensive understanding of the competitive landscape, enabling him to make informed strategic decisions. This tailored approach considers the specific dynamics of the textile sector in Maharashtra, ensuring that the insights gained are directly applicable to his business context.

ICAI · Old P7 · Nov 2023 exam · question p. 15 · answer p. 16

316 EXAM **Old P7 Jul 2021** Q8(b) 5 marks old scheme

Same question, different ICAI answer: #335 MTP Sep 2024 S-I

"Understanding the competitive landscape is important to build upon a competitive advantage". Explain.

ICAI'S ANSWER

Competitive landscape is a business analysis which identifies competitors, either direct or indirect. Competitive landscape is about identifying and understanding the competitors and at the same time, it permits the comprehension of their vision, mission, core values, niche market, strengths and weaknesses.

An in-depth investigation and analysis of a firm's competition allows it to assess the competitors' strengths and weaknesses in the marketplace and helps it to choose and implement effective strategies that will improve its competitive advantage.

Steps to understand the competitive landscape for building competitive advantage are:

(i) Identify the competitor: The first step to understand the competitive landscape is to identify the competitors in the firm's industry and have actual data about their respective market share.

(ii) Understand the competitors: Once the competitors have been identified, the strategist can use market research report, internet, newspapers, social media, industry reports, and various other sources to understand the products and services offered by them in different markets.

(iii) Determine the strengths of the competitors: What are the strengths of the competitors? What do they do well? Do they offer great products? Do they utilize marketing in a way that comparatively reaches out to more consumers? Why do customers give them their business?

(iv) Determine the weaknesses of the competitors: Weaknesses (and strengths) can be identified by going through consumer reports and reviews appearing in various media. After all, consumers are often willing to give their opinions, especially when the products or services are either great or very poor.

(v) Put all of the information together: At this stage, the strategist should put together all information about competitors and draw inference about what they are not offering and what the firm can do to fill in the gaps. The strategist can also know the areas which need to be strengthen by the firm.

ICAI · Old P7 · Jul 2021 exam · question p. 59 · answer p. 59-60

317 EXAM **Old P7 May 2019** Q7(b) 5 marks old scheme

Same question, different ICAI answer: #336 Old P7 MTP Nov 2022 S-I

What do you understand by 'Competitive Landscape'? What are steps to understand the competitive landscape?

ICAI'S ANSWER

Competitive landscape is a business analysis which identifies competitors, either direct or indirect. Competitive landscape is about identifying and understanding the competitors and at the same time, it permits the comprehension of their vision, mission, core values, niche market, strengths and weaknesses.

Steps to understand the competitive landscape are:

(i) Identify the competitor: The first step to understand the competitive landscape is to identify the competitors in the firm's industry and have actual data about their respective market share.

(ii) Understand the competitors: Once the competitors have been identified, the strategist can use market research report, internet, newspapers, social media, industry reports, and various other sources to understand the products and services offered by them in different markets.

(iii) Determine the strengths of the competitors: What are the strength of the competitors? What do they do well? Do they offer great products? Do they utilize marketing in a way that comparatively reaches out to more consumers? Why do customers give them their business?

(iv) Determine the weaknesses of the competitors: Weaknesses (and strengths) can be identified by going through consumer reports and reviews appearing in various media. After all, consumers are often willing to give their opinions, especially when the products or services are either great or very poor.

(v) Put all of the information together: At this stage, the strategist should put together all information about competitors and draw inference about what they are not offering and what the firm can do to fill in the gaps. The strategist can also know the areas which need to be strengthen by the firm.

ICAI · Old P7 · May 2019 exam · question p. 11 · answer p. 11-12

318 EXAM **Old P7 Nov 2018** Q12(b) OR 3 marks old scheme

Also asked in Old P7 MTP Jul 2021 S-I Q3(b)

Examine the significance of KSFs (Key Success Factors) for competitive success.

ICAI'S ANSWER

As industry's Key Success Factors (KSFs) are those things that most affect industry members' ability to prosper in the market place – the particular strategy elements, product attributes, resources, competencies, competitive capabilities and business outcomes that spell the difference between profit & loss and ultimately, between competitive success or failure. KSFs by their very nature are so important that all firms in the industry must pay close attention to them. They are the prerequisites for industry success, or, to put it in another way, KSFs are the rules that shape whether a company will be financially and competitively successful.

ICAI · Old P7 · Nov 2018 exam · question p. 17 · answer p. 18

319 RTP **Jan 2026** Q9

Also asked in RTP May 2024 Q9

Riya Sharma owns a confectionery business in Jaipur, specializing in homemade chocolates and candies. Despite holding a substantial market share in the central region, her business has experienced declining sales of these products over the last few years. Concerned about the market dynamics, Riya consults a management expert for guidance. The consultant recommends a comprehensive understanding of the

competitive landscape. Explain the steps to be followed by Riya Sharma to understand the competitive landscape to address the sales decline.

ICAI'S ANSWER

Steps to understand the competitive landscape are as follows:

(i) Identify the competitor: The first step to understanding the competitive landscape is to identify the competitors in the firm's industry and have actual data about their respective market share.

(ii) Understand the competitors: Once the competitors have been identified, the strategist can use market research report, internet, newspapers, social media, industry reports, and various other sources to understand the products and services offered by them in different markets.

(iii) Determine the strengths of the competitors: What is the strength of the competitors? What do they do well? Do they offer great products? Do they utilize marketing in a way that comparatively reaches out to more consumers. Why do customers give them their business?

(iv) Determine the weaknesses of the competitors: Weaknesses (and strengths) can be identified by going through consumer reports and reviews appearing in various media. After all, consumers are often willing to give their opinions, especially when the products or services are either great or very poor.

(v) Put all of the information together: At this stage, the strategist should put together all information about competitors and draw inference about what they are not offering and what the firm can do to fill in the gaps. The strategist can also know the areas which need to be strengthened by the firm.

ICAI · P6 · RTP Jan 2026 · question p. 31 · answer p. 35-36

320 RTP **Jan 2025** Q9

Mr. Arun Kumar has built a successful business in the handmade ceramic products industry in Gujarat. His company, CeramiCrafts, is renowned for crafting distinctive, high-quality ceramic home décor items that have gained a strong foothold in the market. However, recent market shifts and rising competition have impacted sales. Seeking professional guidance, Mr. Kumar consults a strategic advisor who recommends an in-depth analysis of the competitive landscape. To comprehend the competitive landscape, what steps should Mr. Kumar follow?

ICAI'S ANSWER

Understanding the competitive landscape is crucial for Mr. Arun Kumar to navigate the handmade ceramic products industry in Gujarat successfully. This involves identifying both direct and indirect competitors while gaining insights into their vision, mission, core values, niche markets, and strengths and weaknesses. Here are the structured steps Mr. Kumar should follow to comprehend the competitive landscape and bolster his strategic position:

(i) Identify the competitor: The first step to understanding the competitive landscape is to identify the competitors in the handmade ceramic products industry. Mr. Kumar should gather actual data on the market share and positioning of competitors within the industry.

(ii) Understand the competitors: Once the competitors have been identified, Mr. Kumar can use market research reports, the internet, newspapers, social media, industry reports, and various other sources to understand the products and services offered by competitors. This will help him comprehend how they position themselves in different markets and their unique selling propositions.

(iii) Determine the strengths of the competitors: Mr. Kumar should assess what the competitors excel at. Do they offer superior product quality? Are they using marketing strategies that reach a wider customer base? Why do consumers choose them over others? Understanding these strengths will help Mr. Kumar identify areas where his company, CeramiCrafts, can enhance its offerings.

(iv) Determine the weaknesses of the competitors: Weaknesses of competitors can be identified by reviewing customer feedback, consumer reports, and reviews. Consumers often share their experiences, especially when products or services are either exceptional or subpar. By examining these weaknesses, Mr. Kumar can find opportunities to position CeramiCrafts as a better alternative.

(v) Put all of the information together: At this stage, Mr. Kumar should consolidate all the information gathered about competitors. This will help him identify gaps in the market that his company can fill, as well as areas where CeramiCrafts needs to improve. By understanding the competition thoroughly, he can devise strategies that strengthen his market position. By following these steps, Mr. Kumar can gain a comprehensive understanding of the competitive landscape, enabling him to make informed strategic decisions for CeramiCrafts. This tailored approach ensures that the insights gained are directly applicable to the handmade ceramic products industry in Gujarat.

ICAI · P6 · RTP Jan 2025 · question p. 37 · answer p. 40-41

321 RTP **Old P7 May 2023** Case scenario · Q1(i) to Q1(v) old scheme

CASE SCENARIO

Anand, a fashion designer from Mumbai, started a nail art parlour in a posh Mumbai urban area, in partnership with his college friend Aanya. They had a clear choice of business as per their field of study and were assured that cosmetics is one of the biggest industries in India.

Cosmetics include a huge range of products, from skin care to hair care, makeup (the most profitable), lip care, hygiene products and many more lines of personal care. However, Aanya being a trained nano art designer and Anand driven by Nail Art, happened to share common interests, and hence, built Naileo.

The business plan was simple, collaborate with online service providers, be active on social media, offer paid promotions, and give out free trials to lure in customers. The focus being on creating a connection. Clearly, the target group was young working females who could spend decent amounts of money on personal luxury. The brand wanted to cash on easy disposal income of the target consumers. However, in the same segment for men, tattoo parlours were already taking away the share of business. These tattoo brands could easily transition into Nail Art and be a tough competition to Naileo. The team had to be aware of the competitor dynamics.

Anand had personal connections in Solan district of Himachal Pradesh, where they planned to open small workshops to produce artificial nails of high quality to be sold pan- India, online as well as to other parlours. The team of two also wanted to add value to the society. For that they offered free training to young girls and offered them permanent employment. The customers found the initiative quite enriching and supported them by being loyal to their services. This was an unplanned aspect of brand building that added more value than paid promotions.

The brand has been doing well lately, with the economic model being sustainable so far. They plan to open two more stores in Mumbai and a flagship store in Bengaluru. With a set vision of the future and a socially impactful mission, Naileo has been a profitable bet for Anand and Aanya.

Based on the above Case Scenario, answer the Multiple Choice Questions.

Q1(i)

Tattoo Parlours are an indirect competition to Naileo. Application of which of the following can be utilised to understand the in-depth intricacies of their competitive strength?

- A Competitive Landscape
- B Identification Tools
- C Competitive Intelligence
- D Collation of all gathered information

Q1(ii)

Anand's decision of opening Solan Workshop can be described as?

- A Horizontal Integration Diversification
- B Vertical Integration Diversification
- C Concentric Diversification
- D Strategic Alliance

Q1(iii)

The main idea behind marketing is to connect with the customers. In this context, which of the following has been willingly ignored by the marketing team at Naileo?

- A Market Segmentation
- B Market Scanning
- C Market Positioning
- D Marketing Target

Q1(iv)

Based on question three above, what was the core methodology behind willingly ignoring a major aspect of marketing?

- A SWOT Analysis, founders' area of expertise
- B BCG Matrix, Artificial Nails being a cash cow
- C Vision, to employ underprivileged youth
- D Mission, to be a national leader in new cosmetic segment

Q1(v)

Anand being the strategy implementer of Naileo, should be aware of which of the following statements around corporate culture?

- A Corporate Culture prevails strategic decisions
- B Change all the hindering facets of corporate culture for effective strategy execution
- C Implementation is a superset of corporate culture
- D Leadership Style is a subset of culture

ICAI'S ANSWERS

Q1(i)

Answer key: **(C)**

Q1(ii)

Answer key: **(B)**

Q1(iii)

Answer key: **(D)**

Q1(iv)

Answer key: **(A)**

Q1(v)

Answer key: **(B)**

ICAI · Old P7 · RTP May 2023 · question p. 15

322 RTP **Old P7 Jul 2021** Case scenario · Q1(i) to Q1(v) old scheme

CASE SCENARIO

Increasing investment in the share market, mutual funds, and equity/debt investment plans from the growing salaried middle class gave birth to Scripzy, an Artificial Intelligence based market predictor and digital brokerage company. The company is headquartered in Mumbai and has a team of 100+ IT professionals working on building a safe and secure digital infrastructure.

The market is saturated. There is fierce competition and big brands have all jumped in with digital offerings for their existing customers. Scripzy, on the other hand, is new and vulnerable but its organic reach to the young earning set of customers is a winning streak. This was achieved by project Force.

Project Force was a secret market analysis conducted by internal teams to find sustainable competitive advantages, focus on final product attributes most valued by customers and imitate the competitive capabilities of competitors. It was a complete final product-customer approach which helped them win over youngsters.

Interestingly, the company being AI based has also automated its internal decision making with in-house AI decision making bots. The top management explains their requirements to the AI bot and the bot makes functional decisions that are to be executed by respective teams. It also engages with team leaders and sends regular reports on fulfilments. This projected a very strong image for the company in the international market and a Chinese investor offered them a huge undisclosed amount to buy-out the AI system. Scripzy immediately accepted the offer and earned huge sums from the unexpected sale.

Repercussions followed and their core customers, the youth, boycotted their product. The team had to approach the share market leaders to support and with a little influence from the share market leaders, they were able to regain their “True Indian Company” status in the media. Nonetheless, damage had been done and they saw their customer base shattered to an all time low.

Decisions which seem economically attractive are multi-faceted, and this is one lesson that Scripzy shall remember for times to come. Business for now is low and weak, but a good strategy can change the landscape for Scripzy’s future.

Based on the above Case Scenario, answer the Multiple Choice Questions.

Q1(i)

Which of the following statement by Ansoff is most appropriate for Scripzy’s strategy in the changing environment?

A Preparedness of worst case scenarios

B Far fetched planning of leadership

C Money has the power to influence environment

D Blend of proactive and reactive actions

Q1(ii)

Project Force was crucial in determining Scripzy's position in the market. However, which of the following metrics was missed by the team while understanding KSFs?

A Crucial product attributes

B Sustainable competitive advantage

C Resources for competitive success

D Competitive capabilities to be competitively successful

Q1(iii)

Scripzy's huge investment in Artificial Intelligence has caused its organisational structure to be which of the following structures?

A SBU Structure

B Divisional Structure

C Hourglass Structure

D Multidivisional Structure

Q1(iv)

In future, to fight out uncertainties like geo-political influences, which of the following can be used by Scripzy?

A Strategic Audit

B Scenario Analysis

C Benchmarking

D ADL Matrix

Q1(v)

Not all customers can be satisfied, and Scripzy addressed the same by connecting with the right customers. Arrange the following in the order that Scripzy followed while pursuing their customer reach out.

(i) Market Positioning

(ii) Market Segmentation

(iii) Market Target

A (i), (ii), (iii)

B (ii), (iii), (i)

C (iii), (ii), (i)

D (i), (iii), (ii)

ICAI'S ANSWERS

Q1(i)

Answer key: **(D)**

Q1(ii)

Answer key: **(C)**

Q1(iii)

Answer key: **(C)**

Q1(iv)

Answer key: **(B)**

Q1(v)

Answer key: **(B)**

ICAI · Old P7 · RTP Jul 2021 · question p. 13

323 RTP **Old P7 Nov 2020** Case scenario · Q1(i) to Q1(v) old scheme

CASE SCENARIO

Connect Private Limited, a Mumbai based company is launching a smartphone, under the brand name of Poppy. The company recognizes plethora of options that customers have from Chinese manufacturers flooding the smartphone landscape. With recent COVID-19 pandemic hurting the global sentiment towards Chinese products, the company plans to play on the patriotic card and advertise Poppy as the "Desi" smartphone of India. Strategic Arm of the company undertook an industry analysis and reported, that, budget phone segment was overtaken by the Chinese brands completely; however, the low segment of smartphones was still open for exploration. Thus, the company planned to enter the market with two models, Poppy A and Poppy B, priced at ' 4,499 and ' 5,499. The company is also aware that their product can easily be imitated at same costing as well as pricing, and thus the very essence of their product can be lost. A team of marketing professionals was hired to tackle this issue. The solution they suggested was to take the first mover advantage by spending huge sums in advertising and promotion. Based on sound consciousness of the competition from huge money backed international players, the company decided to manufacture smartphone covers and accessories with the same "Desi" tag, along with Poppy smartphones. This shall help them mitigate the risk of being completely thrown out of business. Consequently, they invested a fairly good amount in manufacturing of these accessories.

The investors made it an objective for the team to reach an annual sales volume of 15,000 handsets and 70,000 pieces of accessories. The accessories sales surpassed the expectations by a fairly good margin. However, Poppy A and Poppy B did not receive the much anticipated response and the leadership decided to reduce the scope and focus purely on accessories business going forward.

With a new focus on accessories production, the "Desi" tag will still play an important part in the success. However, they need to ensure creation of strong barriers to entry for domestic players, and for that, they have plans to increase the production to enormous levels. This shall reduce their unit cost, thus, eliminating the new entrants due t o extremely competitive pricing.

Based on the above case scenario, answer the multiple choice questions which are as follows:

Q1(i)

Connect Private Limited, entered a saturated market of smartphones, after a due market study of understanding the competitive landscape. Put the below steps in correct sequence of understanding the competitive landscape.

(I) Understanding the competitors

(II) Determining strengths and weaknesses of the competitors

(III) Identify the competitors

(IV) Put all information gathered together

A (I),(III),(II),(IV)

B (III),(I),(II),(IV)

C (II),(III),(IV),(I)

D (I),(III),(II),(IV)

Q1(ii)

Annual sales volume as an objective by the investors was crucial to establish the company in the market. In which stage of strategic management are such annual objectives especially important?

A Formulation

B Control

C Evaluation

D Implementation

Q1(iii)

Following the sales numbers reported at the end of year, the leadership took a serious strategic stand point to move forward and shift to a new core business which was more profitable. Under which of the following category of business strategy can this decision be categorized?

A Retrenchment strategy

B Strategic alliance

C Diversification strategy

D Market development

Q1(iv)

After getting results from the market, accessories business of the company can be classified under which category of BCG's growth share matrix?

A Star

B Question mark

C Cash cow

D Dog

Q1(v)

In the second phase of shifting the business focus to peripheral accessories production, Connect Private Limited has planned setting up entries to barrier for its potential competitors. Which of the following barrier have they planned to implement?

A Capital requirement

B Product differentiation

C Access to distribution channels

D Economies of scale

ICAI'S ANSWERS

Q1(i)

Answer key: **(B)**

Q1(ii)

Answer key: **(D)**

Q1(iii)

Answer key: **(A)**

Q1(iv)

Answer key: **(C)**

Q1(v)

Answer key: **(D)**

ICAI · Old P7 · RTP Nov 2020 · question p. 14

324 RTP **Old P7 Nov 2018** Q1(b) old scheme

Briefly answer the following questions: Define key success factors (KSFs).

ICAI'S ANSWER

An industry's key success factors (KSFs) are those things or strategic elements that affect industry members' ability to prosper in a market place. For a business organization within an industry, it may include, cost structure, technology, distribution system and so on. It is correct to state that the KSFs help to shape whether a company will be financially and competitively successful.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 15

325 RTP **Old P7 Nov 2018** Q2(b) old scheme

State with reasons which of the following statements are correct/incorrect: Competitive strategy is designed to help firms achieve competitive advantage.

ICAI'S ANSWER

Correct: Competitive strategy is designed to help firms achieve competitive advantage. Having a competitive advantage is necessary for a firm to compete in the market. Competitive advantage comes from a firm's ability to perform activities more effectively than its rivals.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 16

326 RTP **Old P7 May 2018** Q2(b) old scheme

State with reasons which of the following statements are correct/incorrect: Key success factors determine competitive success.

ICAI'S ANSWER

Correct: The purpose of identifying Key Success Factors is to make judgments about things that are more important to competitive success and the things that are less important. To compile a list of every factor that matters even a little bit defeats the purpose of concentrating management attention on the factors truly critical to long-term competitive success.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 17

327 RTP **Old P7 May 2018** Q7 old scheme

Suresh Singhania is the owner of an agri-based private company in Sangrur, Punjab. His unit is producing puree, ketchups and sauces. While its products have significant market share in the northern part of country, the sales are on decline in last couple of years. He seeks help of a management expert who advises him to first understand the competitive landscape.

Explain the steps to be followed by Suresh Singhania to understand competitive landscape.

ICAI'S ANSWER

Steps to understand the competitive landscape

(i) Identify the competitor: The first step to understand the competitive landscape is to identify the competitors in the firm's industry and have actual data about their respective market share.

(ii) Understand the competitors: Once the competitors have been identified, the strategist can use market research report, internet, newspapers, social media, industry reports, and various other sources to understand the products and services offered by them in different markets.

(iii) Determine the strengths of the competitors: What are the strength of the competitors? What do they do well? Do they offer great products? Do they utilize marketing in a way that comparatively reaches out to more consumers. Why do customers give them their business?

(iv) Determine the weaknesses of the competitors: Weaknesses (and strengths) can be identified by going through consumer reports and reviews appearing in various media. After all, consumers are often willing to give their opinions, especially when the products or services are either great or very poor.

(v) Put all of the information together: At this stage, the strategist should put together all information about competitors and draw inference about what they are not offering and what the firm can do to fill in the gaps. The strategist can also know the areas which need to be strengthen by the firm.

ICAI · Old P7 · RTP May 2018 · question p. 14 · answer p. 21

328 MTP **Sep 2026 S-I Q4(b)** 5 marks

Aarav Mehta, the founder of TechNova Mobiles, is preparing to launch the company's latest AI-enabled smartphone targeted at young professionals and technology enthusiasts. Although the smartphone offers advanced features and innovative technology, Aarav believes that understanding consumer behaviour is essential for ensuring a successful product launch. He wants the marketing team to design a strategy that effectively influences customers' purchase decisions and builds long-term customer satisfaction. In the light of the above case, explain how Aarav Mehta can develop an effective marketing strategy by considering the various factors influencing consumer behaviour.

ICAI'S ANSWER

To effectively market the AI-enabled smartphone, Aarav Mehta should develop a marketing strategy by understanding the factors influencing consumer behaviour, which are:

- **External Influences:** Use social media, technology forums and collaborations with tech influencers to create awareness and build a positive brand image among target customers.
- **Internal Influences:** Appeal to customers' desire for innovation and superior performance by highlighting the smartphone's AI capabilities, premium design and advanced features.
- **Decision-Making:** Provide detailed product specifications, feature comparisons, demonstrations and customer testimonials to help consumers make informed purchase decisions.
- **Post-decision Processes:** Offer prompt after-sales service, regular software updates, warranties and encourage customer feedback and reviews to enhance satisfaction and build customer loyalty.

Figure: Process of consumer behaviour

By aligning its marketing strategy with consumer behaviour, TechNova Mobiles can effectively attract technology enthusiasts, strengthen customer relationships and ensure the successful launch of its new smartphone.

ICAI · P6 · MTP Sep 2026 · Series I · question p. 13 · answer p. 21-22

329 MTP **Jan 2026 S-II** Q1(B)(ii) 2 marks MCQ

Also asked in Old P7 MTP Nov 2023 S-I Q1(B)

Imagine you are tasked with analyzing the competitive landscape for a new product launch. In this context, which of the following factors is not relevant to understanding the competitive landscape?

A Identifying the competitor

B Understanding the customer

C Determining the strength of the competitors

D Determining the weakness of the competitors

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP Jan 2026 · Series II · question p. 11

330 MTP **Jan 2026 S-II** Q1(a) 5 marks

A luxury skincare brand saw a sudden spike in sales after celebrity endorsements and social media promotions. What factors could be influencing this change in consumer buying behavior, and why is understanding such behavior critical to business success?

ICAI'S ANSWER

The sudden surge in demand for the skincare brand after celebrity endorsements can be explained through the framework of Consumer Behaviour, which goes beyond identifying customers and focuses on how they purchase products, their preferences, perceptions and shopping patterns.

Consumer behaviour is influenced by four major conceptual domains:

1. **External Influences:** These include factors such as advertisements, celebrity endorsements, peer recommendations and social norms. In this case, the endorsements and social media promotions acted as strong marketing stimuli, directly shaping how consumers perceived the brand and influencing their decision to purchase.

2. **Internal Influences:** These are psychological processes within the consumer, such as motivation, attitudes and perception. The promotions may have altered consumer perception of the product's quality and created motivation linked to beauty, self-image or aspirational lifestyles, prompting purchase.

3. **Decision-Making Process:** Consumers often follow a sequence:

- Problem recognition
- Search for alternatives
- Information seeking and evaluation
- Final choice

The endorsements and promotions helped consumers recognise the product as a desirable solution, providing information and reducing perceived risk, leading to quicker and more confident decision-making.

4. **Post-Decision Processes:** If customers feel satisfied after purchase, they will repeat buying and recommend the brand to others, helping sustain the increased sales. If dissatisfied, they may experience dissonance and not return.

Understanding customer behaviour—its external and internal influences, decision-making stages and post-purchase reactions—is critical. It enables businesses to communicate effectively, design relevant marketing campaigns, deliver products that meet consumer needs and retain customers for repeat sales.

ICAI · P6 · MTP Jan 2026 · Series II · question p. 12 · answer p. 15-16

331 MTP **Sep 2025 S-I** Q1(b) 5 marks

ZymaTech Pvt. Ltd., a growing player in the smart home devices industry, seeks to increase its market share amidst strong competition from HomeEdge, AutoNest and IntelliSpace. Each competitor holds a distinct edge—brand loyalty, pricing & distribution reach and AI driven product innovation respectively. However, IntelliSpace faces criticism regarding post-sales service. ZymaTech, while offering decent product quality, struggles with brand visibility and customer service. As a strategist at ZymaTech, how would Mr. Anoj Dass apply the steps involved in understanding the competitive landscape to help the company build a sustainable competitive advantage?

ICAI'S ANSWER

To improve ZymaTech's competitive advantage, Mr. Anoj Dass would apply the five steps of understanding the competitive landscape as follows:

1. **Identify the competitors:** ZymaTech has already identified its three major competitors—HomeEdge, AutoNest and IntelliSpace. Data on their market share confirms they are significant players in the smart home industry.

2. **Understand the competitors:** Through market reports, online reviews, and competitor websites, Mr. Anoj Dass would assess each competitor's product portfolio, pricing, market presence and customer feedback. This helps understand what they offer and how they position themselves.

3. **Determine the strengths of the competitors:** HomeEdge has strong brand loyalty—this makes it a premium and trusted choice. AutoNest's strength lies in affordability and an extensive distribution network. IntelliSpace leads in premium AI-driven innovations but faces service issues.

4. **Determine the weaknesses of the competitors:** IntelliSpace's weak post-sales service is a gap ZymaTech can exploit. AutoNest's lower product quality (not mentioned but inferred from low price) and HomeEdge's premium pricing could be other opportunities.

5. **Put all of the information together:** ZymaTech should improve its customer service, enhance brand visibility through digital campaigns and offer mid-range AI-integrated products to position itself between AutoNest's affordability and IntelliSpace's premium features. It should target the segment looking for quality and innovation at a reasonable price—thereby exploiting competitor gaps and strengthening its own capabilities.

ICAI · P6 · MTP Sep 2025 · Series I · question p. 13 · answer p. 18-19

332 MTP **May 2025 S-II** Q1(a) 5 marks

ABC Tech, a leading smartphone manufacturer, is navigating a highly competitive market where innovation and cost efficiency are key. Customers prioritize battery life, camera quality, and seamless software integration when choosing a brand. To stay ahead, ABC Tech invests heavily in research and development, optimizes its supply chain for cost-effective production, and enhances customer service. Identify the Key Success Factors (KSFs) for ABC Tech based on the industry conditions described. How can the company achieve a sustainable competitive advantage by leveraging these factors?

ICAI'S ANSWER

The Key Success Factors (KSFs) for ABC Tech include:

- **Product Innovation:** Superior battery life, camera quality, and seamless software integration are crucial attributes influencing customer choice.
- **Cost Efficiency:** Optimizing the supply chain ensures competitive pricing and higher profit margins.
- **Customer Experience:** High-quality customer service builds brand loyalty and differentiation.

To gain a sustainable competitive advantage, ABC Tech should:

1. Focus on continuous R&D to introduce advanced features that set its products apart.
2. Streamline its supply chain to maintain cost leadership while ensuring product quality.
3. Enhance customer engagement through superior after-sales service and ecosystem integration.

By excelling in these KSFs, ABC Tech can establish a distinct market position and outperform competitors in the long run.

ICAI · P6 · MTP May 2025 · Series II · question p. 13 · answer p. 19

333 **MTP** **Jan 2025 S-I** Q1(b) **5 marks**

Also asked in MTP May 2024 S-I Q2(b)

You are a strategic manager for a tech company launching a new smartphone model. The company wants to target tech-savvy consumers who value innovation and cutting-edge technology. Using the concept of customer behavior, develop a marketing strategy to promote the new smartphone.

ICAI'S ANSWER

To target tech-savvy consumers for the new smartphone model, the tech company can develop a marketing strategy based on customer behavior. Consumer behaviour may be influenced by a number of things. These elements can be categorised into the following conceptual domains:

- **External Influences:** Utilize online platforms and tech forums to generate buzz around the new smartphone. Partner with tech influencers and bloggers to review the product and create awareness among tech-savvy consumers.
- **Internal Influences:** Appeal to the desire for innovation and advanced features among tech-savvy consumers. Highlight the unique selling points of the new smartphone, such as its cutting-edge technology, performance, and design.
- **Decision Making:** Recognize that tech-savvy consumers are early adopters who value functionality and performance. Provide detailed specifications and comparisons with other smartphones to help them make an informed decision.
- **Post-decision Processes:** Offer excellent customer service and support to address any technical issues or concerns. Encourage customers to provide feedback and reviews to build credibility and trust among tech-savvy consumers.

Figure: Process of consumer behaviour

By understanding the behavior of tech-savvy consumers and aligning the marketing strategy with their preferences, the tech company can effectively promote the new smartphone and attract this demographic.

ICAI · P6 · MTP Jan 2025 · Series I · question p. 11 · answer p. 13-14

334 MTP **Jan 2025 S-II** Q2(a) 5 marks

Also asked in MTP Sep 2024 S-II Q2(a)

Analyze the role of Key Success Factors (KSFs) in determining competitive success within an industry.

ICAI'S ANSWER

As industry's Key Success Factors (KSFs) are those things that most affect industry members' ability to prosper in the marketplace – the particular strategy elements, product attributes, resources, competencies, competitive capabilities and business outcomes that spell the difference between profit & loss and ultimately, between competitive success or failure. KSFs by their very nature are so important that all firms in the industry must pay close attention to them. They are the prerequisites for industry success, or, to put it in another way, KSFs are the rules that shape whether a company will be financially and competitively successful.

ICAI · P6 · MTP Jan 2025 · Series II · question p. 12 · answer p. 12

335 MTP **Sep 2024 S-I** Q3(a) 5 marks

Same question, different ICAI answer: #316 Old P7 Exam Jul 2021

"Understanding the competitive landscape is important to build upon a competitive advantage". Explain.

ICAI'S ANSWER

Competitive landscape is a business analysis which identifies competitors, either direct or indirect. Competitive landscape is about identifying and understanding the competitors and at the same time, it permits the comprehension of their vision, mission, core values, niche market, strengths and weaknesses.

An in-depth investigation and analysis of a firm's competition allows it to assess the competitors' strengths and weaknesses in the marketplace and helps it to choose and implement effective strategies that will improve its competitive advantage.

Steps to understand the competitive landscape for building competitive advantage are:

(i) **Identify the competitor:** The first step to understanding the competitive landscape is to identify the competitors in the firm's industry and have actual data about their respective market share.

(ii) **Understand the competitors:** Once the competitors have been identified, the strategist can use market research report, internet, newspapers, social media, industry reports, and various other sources to understand the products and services offered by them in different markets.

(iii) **Determine the strengths of the competitors:** What are the strengths of the competitors? What do they do well? Do they offer great products? Do they utilize marketing in a way that comparatively reaches out to more consumers? Why do customers give them their business?

(iv) **Determine the weaknesses of the competitors:** Weaknesses (and strengths) can be identified by going through consumer reports and reviews appearing in various media. After all, consumers are often willing to give their opinions, especially when the products or services are either great or very poor.

(v) **Put all of the information together:** At this stage, the strategist should put together all information about competitors and draw inference about what they are not offering and what the firm can do to fill in the gaps. The strategist can also know the areas which need to be strengthened by the firm.

ICAI · P6 · MTP Sep 2024 · Series I · question p. 10 · answer p. 13-14

336 MTP **Old P7 Nov 2022 S-I** Q3(a) 5 marks old scheme

Same question, different ICAI answer: #317 Old P7 Exam May 2019

What do you understand by 'Competitive Landscape'? What are steps to understand the competitive landscape?

ICAI'S ANSWER

Competitive landscape is a business analysis which identifies competitors, either direct or indirect. Competitive landscape is about identifying and understanding the competitors and at the same time, it permits the comprehension of their vision, mission, core values, ni che market, strengths and weaknesses.

Steps to understand the competitive landscape are:

(i) Identify the competitor: The first step to understand the competitive landscape is to identify the competitors in the firm's industry and have actual data about t heir respective market share.

(ii) Understand the competitors: Once the competitors have been identified, the strategist can use market research report, internet, newspapers, social media, industry reports, and various other sources to understand the products and services offered by them in different markets.

(iii) Determine the strengths of the competitors: What are the strength of the competitors? What do they do well? Do they offer great products? Do they utilize marketing in a way that comparatively reaches out to more consumers? Why do customers give them their business?

(iv) Determine the weaknesses of the competitors: Weaknesses (and strengths) can be identified by going through consumer reports and reviews appearing in various media. After all, consumers are often willing to give their opinions, especially when the products or services are either great or very poor.

(v) Put all of the information together: At this stage, the strategist should put together all information about competitors and draw inference about what they are not offering and what the firm can do to fill in the gaps. The strategist can also know the areas which need to be strengthen by the firm.

ICAI · Old P7 · MTP Nov 2022 · Series I · question p. 9 · answer p. 8-9

337 MTP **Old P7 Nov 2019 S-I** Q1(ii) 1 mark MCQ old scheme

Competitive landscape requires the application of:

A Competitive advantage

B Competitive strategy

C Competitive acumen

D Competitive intelligence

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 4

338 MTP **Old P7 May 2019 S-I** Q3(b) 5 marks old scheme

Dinesh Yadav is the owner of a beverage-based private company in Sonipat, Haryana. His unit is producing fruit juices, cold drinks, soda and lime. While its products have significant market share in the northern part of country, the sales are on decline in last couple of years. He seeks help of a management expert who advises him to first understand the competitive landscape.

Explain the steps to be followed by Dinesh Yadav to understand competitive landscape.

ICAI'S ANSWER

Steps to understand the competitive landscape:

(i) Identify the competitor: The first step to understand the competitive landscape is to identify the competitors in the firm's industry and have actual data about their respective market share.

(ii) Understand the competitors: Once the competitors have been identified, the strategist can use market research report, internet, newspapers, social media, industry reports, and various other sources to understand the products and services offered by them in different markets.

(iii) Determine the strengths of the competitors: What are the strength of the competitors? What do they do well? Do they offer great products? Do they utilize marketing in a way that comparatively reaches out to more consumers. Why do customers give them their business?

(iv) Determine the weaknesses of the competitors: Weaknesses (and strengths) can be identified by going through consumer reports and reviews appearing in various media. After all, consumers are often willing to give their opinions, especially when the products or services are either great or very poor.

(v) Put all of the information together: At this stage, the strategist should put together all information about competitors and draw inference about what they are not offering and what the firm can do to fill in the gaps. The strategist can also know the areas which need to be strengthen by the firm.

ICAI · Old P7 · MTP May 2019 · Series I · question p. 6 · answer p. 6-7

CHAPTER 3

Strategic Analysis: Internal Environment

3.1 Key stakeholders and Mendelow's matrix

27 questions · asked in 14 ICAI documents · 1 exam paper

339 EXAM **Jan 2025** Q6(b) 5 marks

Also asked in MTP May 2026 S-II Q4(a) · MTP Jan 2026 S-I Q4(b)

"Managing stakeholders is critical to the success of a project". Explain how Mendelow's Matrix helps in managing stakeholders and categorizing the stakeholders into groups.

ICAI'S ANSWER

The Mendelow's matrix is a simple framework to help manage key stakeholders.

Managing Stakeholders: Mendelow's Matrix is an essential tool for managing stakeholders effectively in project management, as it involves managing the competing interests of various stakeholders. It categorizes stakeholders based on their power and interest levels. This framework helps project managers to identify which stakeholders are incredibly important and prioritize their engagement strategies to ensure project success. Categorization of Stakeholders: The matrix divides stakeholders into four groups:

- Key Players (High Power, High Interest): These stakeholders require close management and regular communication. Engaging them fully ensures their support and input, which is crucial for project success. For instance, CEOs and shareholders fall into this category.
- Keep Satisfied (High Power, Low Interest): While these stakeholders have significant influence, they may not be as invested in the project's success. It is essential to keep them satisfied with sufficient information to prevent potential conflicts.
- Keep Informed (Low Power, High Interest): Stakeholders in this group are interested in the project but lack the power to influence its outcome. Regular updates and communication can foster goodwill and may provide valuable feedback.
- Low Priority (Low Power, Low Interest): These stakeholders require minimal attention. Monitoring their interest and power levels periodically is sufficient, as they do not significantly impact the project.

In summary, Mendelow's Matrix provides a clear framework for categorizing stakeholders based on their power and interest, facilitating effective stakeholder management and enhancing the likelihood of project success.

ICAI · P6 · Jan 2025 exam · question p. 27 · answer p. 28-29

340 RTP **Jan 2026** Q11

EcoBuild Constructions, a leading infrastructure development company, is planning to launch a large-scale smart city project. The project involves multiple stakeholders, including government bodies, investors, suppliers, local communities and environmental groups — each with varying levels of influence and interest. To ensure smooth project execution and stakeholder cooperation, the management wants to analyze and manage these stakeholders effectively. How can EcoBuild Constructions use Mendelow's Matrix to analyze and manage stakeholders in this project?

ICAI'S ANSWER

EcoBuild Constructions can use Mendelow's Matrix effectively to analyze and manage stakeholders through a structured, grid-based approach by following these steps:

1. Identify Stakeholders: Begin by identifying all relevant stakeholders such as government bodies, investors, suppliers, environmental groups and local communities who may influence or be affected by the project.

2. Assess Power and Interest: Evaluate each stakeholder's power (ability to influence project outcomes) and interest (level of concern or involvement). Power may stem from authority, resources or expertise, while interest relates to the stakeholder's stake in the project's success.

3. Plot Stakeholders on the Grid: Create a grid with Power on one axis and Interest on the other. Plot stakeholders accordingly:

o High Power–High Interest: Key Players

o High Power–Low Interest: Keep Satisfied

o Low Power–High Interest: Keep Informed

o Low Power–Low Interest: Low Priority

4. Develop Strategies for Each Quadrant:

o Key Players: Engage closely with these stakeholders, involve them in decision-making and keep them informed as their support is vital for project success.

o Keep Satisfied: Provide periodic updates and address concerns to maintain their satisfaction and prevent potential opposition.

o Keep Informed: Communicate regularly and share progress updates to sustain their interest and gain valuable feedback.

o Low Priority: Monitor occasionally for changes in their power or interest but allocate minimal resources to manage them.

5. Monitor and Adapt: Continuously review stakeholder power and interest, as these may change over time. Adjust engagement strategies accordingly to ensure ongoing alignment with project goals. By applying Mendelow's Matrix, EcoBuild Constructions can systematically analyze and manage stakeholders, tailor communication and engagement efforts and build strong relationships—thereby increasing the likelihood of the project's success.

ICAI · P6 · RTP Jan 2026 · question p. 31 · answer p. 37-38

341 RTP **Sep 2025** Q4 MCQ

A health-conscious community group strongly advocates for more organic options in local eateries and shows great interest in influencing food choices. However, a small local café, whose loyal customer base prefers traditional food remains unaffected by the group's efforts. In terms of Mendelow's Matrix, how should this stakeholder group be classified?

A High Interest, High Power

B Low Interest, Low Power

C High Interest, Low Power

D Low Interest, High Power

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · RTP Sep 2025 · question p. 31

342 RTP **Sep 2025** Q11

Soltex Green Energy is rolling out a major wind project in a coastal town. A local business coalition with strong political ties and deep interest in the project has started influencing policy discussions. The company's strategy team is closely engaging with them while managing other stakeholders differently. What might be the reason Soltex is prioritizing engagement with this specific group? Identify and briefly explain the four types of stakeholder categories businesses typically deal with in such situations.

ICAI'S ANSWER

Soltex Green Energy is prioritizing engagement with the local business coalition because they fall under the category of Key Players in Mendelow's Stakeholder Matrix. This group possesses high power (due to strong political ties and ability to influence policy) and high interest (due to deep involvement in the wind project). As per Mendelow's Matrix, such stakeholders must be fully engaged, informed regularly, and their advice and expectations carefully considered, as they can significantly impact the success of the project. Mendelow's Matrix categorizes stakeholders into four types based on their Power (ability to influence the organization) and Interest (concern with the organization's success):

1. Key Players (High Power, High Interest): These stakeholders should be closely managed and fully engaged. They are critical to strategic decisions.

2. Keep Satisfied (High Power, Low Interest): These stakeholders should be kept satisfied with regular information but not over-communicated with.

3. Keep Informed (Low Power, High Interest): These stakeholders must be kept adequately informed to avoid misunderstandings and gain useful feedback.

4. Low Priority (Low Power, Low Interest): These stakeholders require minimal effort, only to be monitored occasionally.

Power / Influence	Interest in the Organisation: Low	Interest in the Organisation: High
High	**KEEP SATISFIED** — Consult often; Increase their interest; Can be hindrance to new ideas or strategic choices	**KEY PLAYER** — Manage Closely; Involve in decision making; Engage regularly and build strong relationship
Low	**LOW PRIORITY** — Monitor only, no engagement; General occasional communication	**KEEP INFORMED** — Utilise the high interest by engaging in decisions; Consult in their areas of expertise and interest

Mendelow's Matrix thus helps organizations like Soltex to allocate their time, resources, and communication efforts strategically across different stakeholder groups, adjusting the engagement as the environment evolves.

ICAI · P6 · RTP Sep 2025 · question p. 33 · answer p. 38-39

343 RTP **Jan 2025** Q4 MCQ

A multinational corporation is planning a merger with a local firm in a developing country. The local firm's community has high stakes in maintaining local employment and environmental standards but

possesses low power in formal negotiations. How should the corporation categorize this stakeholder?

A High power, low interest

B Low power, high interest

C High power, high interest

D Low power, low interest

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP Jan 2025 · question p. 35

344 RTP **Sep 2024** Case scenario · Q1(i) to Q1(v)

CASE SCENARIO

Once upon a time in the land of sun, sand, and vibrant cultures, there existed a company named "MuseoGoa" - a company that managed museums in the beautiful state of Goa. MuseoGoa had a vision to celebrate the rich history and culture of Goa, but their journey was not without its fair share of challenges. MuseoGoa had chosen a picturesque location in a quaint village to build their first museum. However, this initial enthusiasm was met with an uproar from the local communities. The villagers were concerned about the impact on their way of life and traditions. They worried that the influx of tourists might disrupt their peaceful existence. To address this challenge, MuseoGoa applied Mendelow's matrix, identifying the local communities as key stakeholders. They decided to engage in open dialogues, understanding and respecting the villagers' concerns. MuseoGoa initiated community-building activities, such as involving locals in museum operations, supporting local artisans, and organizing cultural events that showcased the village's heritage. Slowly but steadily, the company transformed from being perceived as a threat to a valued partner within the community. While MuseoGoa had successfully resolved their initial issues with the local community, they faced another challenge. Their location, although idyllic, was a bit off the beaten path. Tourists typically preferred the bustling beaches closer to the city, and this posed a real challenge. MuseoGoa decided to employ a pricing strategy. They priced their tickets affordably, significantly cheaper than the city's attractions. This strategy attracted budget-conscious tourists who were looking for unique experiences in Goa without burning a hole in their pockets. As word spread about the cultural gem tucked away in the village, visitors started flocking in, drawn not just by the museum's charm but also the economical ticket prices. In the age of social media, MuseoGoa knew that word-of-mouth was no longer limited to whispers. They tapped into the power of social media to promote their unique museum experience. MuseoGoa ran interactive campaigns, encouraging visitors to share their experiences on various platforms. One particular Instagram post featuring a vibrant Goan mural in the museum went viral. This was the turning point. The picture-perfect aesthetics of the museum attracted influencers, bloggers, and travel enthusiasts, making MuseoGoa a social media sensation. Visitors came pouring in, not just from India but from across the globe, eager to capture their own moments at the "Instagrammable Museum of Goa." With success came ambition. MuseoGoa decided to expand its footprint beyond Goa. To guide this expansion, they conducted a strategy audit and trend analysis. They identified emerging cultural and tourism trends and found potential markets in Pune and Trivandrum. In Pune, MuseoGoa curated a special exhibition that celebrated the fusion of Goan and Maharashtrian cultures. They strategically partnered with local influencers and travel agencies to market the new experience. The expansion into Pune was met with resounding success. For Trivandrum, MuseoGoa recognized the importance of local traditions and the distinct flavor of Kerala. They tailored their offerings to harmonize with the regional culture. MuseoGoa became the

gateway for tourists to explore Kerala's rich heritage, with the museum acting as a bridge between Goa and Kerala's cultural tapestry. MuseoGoa's journey from initial uproar to expansion was a testament to their commitment to community building, strategic pricing, social media savvy, and a keen eye for trends. The company continued to flourish, celebrating the diverse cultural tapestry of India and making history come alive in every location they touched.

Based on the above Case Scenario, answer the Multiple Choice Questions.

Q1(i)

Which strategic management concept did MuseoGoa use to address the initial concerns of the local community?

- A SWOT analysis
- B Mendelow's matrix
- C Cost leadership strategy
- D Porter's Five Forces model

Q1(ii)

MuseoGoa's idyllic location in a quaint village posed a challenge as tourists preferred beaches closer to the city. To attract visitors, MuseoGoa priced their tickets affordably, cheaper than city attractions, drawing budget-conscious tourists looking for unique experiences. What business strategy did MuseoGoa employ to attract more tourists?

- A Cost leadership strategy
- B Differentiation strategy
- C Focus strategy
- D Diversification strategy

Q1(iii)

How did MuseoGoa approach its expansion into new markets such as Pune and Trivandrum?

- A Outsourcing strategy
- B Franchising strategy
- C Product diversification strategy
- D Market development strategy

Q1(iv)

Which element of the 7S McKinsey model is demonstrated by MuseoGoa's strategic use of social media and pricing strategies to attract visitors?

- A Style
- B Strategy
- C Shared Values
- D Skills

Q1(v)

What played a crucial role in MuseoGoa's success in Pune and Trivandrum?

- A Strategic partnerships
- B Aggressive advertising

C Product differentiation

D Vertical integration

ICAI'S ANSWERS

Q1(i)

Answer key: **(B)**

Q1(ii)

Answer key: **(A)**

Q1(iii)

Answer key: **(D)**

Q1(iv)

Answer key: **(B)**

Q1(v)

Answer key: **(A)**

ICAI · P6 · RTP Sep 2024 · question p. 31-33

345 **RTP** **Sep 2024** Q12

Same question, different ICAI answer: #349 MTP Sep 2025 S-II · #351 MTP May 2025 S-I

How can Mendelow's Matrix be used to analyze and manage the stakeholders effectively?

ICAI'S ANSWER

Mendelow's Matrix can be used effectively to analyze and manage stakeholders through a grid-based approach by the following steps:

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3. Plot Stakeholders on the Grid: Create a grid with Power on one axis and Interest on the other. Plot each stakeholder on the grid based on your assessment. Stakeholders with high power and high interest are placed in the "Key Players" quadrant, those with high power but low interest are in the "Keep Satisfied" quadrant, those with low power but high interest are in the "Keep Informed" quadrant, and those with low power and low interest are in the "Low Priority" quadrant.

Power / Influence	Interest in the Organisation: Low	Interest in the Organisation: High
High	**KEEP SATISFIED** — Consult often; Increase their interest	**KEY PLAYER** — Manage Closely; Involve in decision making; Engage regularly and build strong relationship
Low	**LOW PRIORITY** — Monitor only, no engagement; General occasional communication	**KEEP INFORMED** — Utilise the high interest by engaging in decisions; Consult in their areas of

4. Develop Strategies for each Quadrant: Based on the placement of stakeholders in the grid, develop specific strategies for managing each quadrant:

- Key Players: Fully engage with these stakeholders, seek their input, and keep them informed. They are crucial for the success of your project, so their needs and expectations should be a top priority.
- Keep Satisfied: These stakeholders have significant power but may not be as interested in your project. Keep them satisfied by providing regular updates and addressing any concerns they may have to prevent them from becoming detractors.
- Keep Informed: While these stakeholders may not have much power, they are highly interested in your project. Keep them informed to ensure they remain supportive and to leverage their insights and feedback.
- Low Priority: These stakeholders have low power and interest. Monitor them for any changes but allocate minimal resources to managing their expectations.

5. Monitor and Adapt: Continuously monitor the power and interest of stakeholders and adjust your strategies accordingly. Stakeholders may move between quadrants based on changing circumstances, so it's important to remain flexible and responsive. By using Mendelow's Matrix as a grid-based tool, you can effectively analyze and manage stakeholders by tailoring your engagement strategies to their specific needs and expectations, ultimately increasing the likelihood of project success.

ICAI · P6 · RTP Sep 2024 · question p. 37 · answer p. 42-44

346 RTP **May 2024** Q5 MCQ

Quntik operates in the software industry and enjoys a strong position in the market. They have identified an opportunity to acquire a smaller company to expand their product offerings. Which quadrant of Medelow's Matrix would the CEO of a smaller company fall into?

A Keep Satisfied

B Key Player

C Low Priority

D Keep Informed

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP May 2024 · question p. 34

347 MTP **Sep 2026 S-I** Q3(a) 5 marks

GreenBasket Pvt. Ltd., an online grocery retailer, is planning to expand its operations across India. The management recognises that different stakeholders have varying levels of influence and interest in the organisation. While the company intends to engage its investors and top management in every strategic decision, it plans to regularly update employees, suppliers, and customers about its expansion plans. The company also intends to maintain good relations with regulatory authorities and lenders by ensuring compliance and periodic communication. At the same time, it proposes to spend minimal time and resources on business magazines and similar external groups, while continuing to monitor them. In the light of the above case, explain how GreenBasket Pvt. Ltd. can manage its stakeholders effectively using Mendelow's Matrix.

ICAI'S ANSWER

Mendelow's Matrix is a stakeholder analysis tool that categorises stakeholders based on their Power (ability to influence the organisation) and Interest (level of concern in the organisation's success). It helps organisations determine the appropriate level of engagement with different stakeholders.

GreenBasket Pvt. Ltd. should manage its stakeholders as follows:

- **Key Players (High Power, High Interest):** Investors and top management should be closely involved in strategic decisions and regularly consulted, as they significantly influence the organisation's success.
- **Keep Satisfied (High Power, Low Interest):** Regulatory authorities and lenders should be kept satisfied through compliance, timely communication, and periodic updates.
- **Keep Informed (Low Power, High Interest):** Employees, suppliers, and customers should receive regular information and feedback opportunities, as they are highly interested in the organisation's activities.
- **Low Priority (Low Power, Low Interest):** Business magazines and similar external groups require only occasional monitoring, with minimum time and resources devoted to them.

Using Mendelow's Matrix enables GreenBasket Pvt. Ltd. to allocate its resources efficiently, strengthen stakeholder relationships, and improve the effectiveness of its strategic decisions.

ICAI · P6 · MTP Sep 2026 · Series I · question p. 12-13 · answer p. 19

348 MTP **Sep 2025 S-II** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

Nav-Uday Electric Mobility Pvt. Ltd., a family-led company based in Pune, began its journey in 1998 as a modest battery manufacturer. Under the leadership of its founder, Mr. Prakash Deshmukh and later his children, the company evolved into a respected player in the electric two-wheeler segment, especially catering to semi-urban and tier-2 markets in India. Their electric scooters earned a reputation for being sturdy, affordable and well-suited to Indian road conditions. With a loyal customer base and an extensive dealer network, Nav-Uday enjoyed steady growth for many years.

However, by 2020, the Indian EV landscape started changing rapidly. International players such as Volterra Motors from Germany and HwaRide from South Korea entered the market with AI-enabled features, aspirational designs and strategic e-commerce partnerships. Their sleek, tech-savvy scooters captured the attention of India's urban youth and redefined customer expectations. Nav-Uday, which had traditionally focused on functionality and affordability, found itself losing momentum in the face of this disruption.

Recognizing the challenges, Nav-Uday's leadership initiated a comprehensive strategic review. It became evident that while the company maintained strong relationships and a value-driven culture, it had not kept pace with emerging market trends and global innovations. The organization's rigid functional structure, outdated information systems and conservative decision-making processes hindered its ability to adapt quickly. Employees, though skilled in cost-effective engineering, lacked exposure to global design thinking and user-centric innovation.

The review also identified key stakeholders—such as dealers, regulatory authorities and financial partners—whose growing influence needed to be addressed through stronger engagement and alignment with the company's future goals. Three strategic alternatives emerged from the analysis are (1) Targeting less competitive international markets like Africa and Southeast Asia for exports; (2)

Becoming a contract manufacturer for global EV brands entering India; (3) Monetizing their patented battery-swapping technology by licensing it within the EV ecosystem.

Nav-Uday chose a hybrid path, combining the second and third options. They began manufacturing for international players while licensing their underutilized battery-swapping technology globally. This dual strategy allowed the company to diversify its revenue streams with lower capital risk while playing to its engineering strengths. To support this strategic shift, the company restructured its operations, implemented agile processes, adopted integrated information systems and empowered leaders across departments to make faster, data-driven decisions. They also onboarded professionals with global exposure and established innovation-focused teams.

By balancing tradition with transformation, Nav-Uday is now better positioned to compete on a global scale. While staying rooted in its core values of trust and reliability, the company has embraced adaptability, innovation and collaboration as cornerstones of its future growth.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

Based on Mendelow's Matrix, how would you categorize Dealers in the case of Nav-Uday, who have significant influence and expect alignment with the company's future strategy?

- A Low Power – Low Interest (Minimal Effort)
- B Low Power – High Interest (Keep Informed)
- C High Power – Low Interest (Keep Satisfied)
- D High Power – High Interest (Key Players)

Q1(A)(ii) 2 marks

When Nav-Uday onboarded professionals with global exposure and established innovation-focused teams, it primarily impacted which "S" in the 7S Model?

- A Style
- B Skills
- C Shared Values
- D Structure

Q1(A)(iii) 2 marks

In the context of Porter's Five Forces, the entry of Volterra Motors and HwaRide into the Indian EV market represents:

- A Threat of substitutes
- B Bargaining power of suppliers
- C Threat of new entrants
- D Rivalry among existing competitors

Q1(A)(iv) 2 marks

Nav-Uday's decision to export to less competitive international markets like Africa and Southeast Asia would primarily be classified as:

- A Corporate-level strategy
- B Business-level strategy

C Functional-level strategy

D Network-level strategy

Q1(A)(v) 2 marks

Nav-Uday's core business model of offering reliable, functional scooters at an affordable price prior to market disruption was primarily a:

A Cost Leadership strategy

B Differentiation strategy

C Focus strategy

D Diversification strategy

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(D)**

Q1(A)(ii)

Answer key: **(B)**

Q1(A)(iii)

Answer key: **(C)**

Q1(A)(iv)

Answer key: **(A)**

Q1(A)(v)

Answer key: **(A)**

ICAI · P6 · MTP Sep 2025 · Series II · question p. 11-12

349 MTP **Sep 2025 S-II** Q4(b) 5 marks

Also asked in MTP May 2024 S-I Q4(b)

Same question, different ICAI answer: #345 RTP Sep 2024 · #351 MTP May 2025 S-I

How can Mendelow's Matrix be used to analyze and manage the stakeholders effectively?

ICAI'S ANSWER

Mendelow's Matrix can be used effectively to analyze and manage stakeholders through a grid-based approach by the following steps:

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2. **Assess Power and Interest:** For each stakeholder, assess their power to influence your project or organization and their level of interest in its success. Power can be assessed based on factors such as authority, resources, and expertise, while interest can be gauged by their level of involvement, expectations, and potential benefits or risks.

3. **Plot Stakeholders on the Grid:** Create a grid with Power on one axis and Interest on the other. Plot each stakeholder on the grid based on your assessment. Stakeholders with high power and high interest are placed in the "Key Players" quadrant, those with high power but low interest are in the "Keep Satisfied" quadrant, those with low power but high interest are in the "Keep Informed" quadrant, and those with low power and low interest are in the "Low Priority" quadrant.

Power / Influence	Low interest in the Organisation	High interest in the Organisation
High	**KEEP SATISFIED** — Consult often; Increase their interest; Can be hindrance to new ideas or strategic choices	**KEY PLAYER** — Manage Closely; Involve in decision making; Engage regularly and build strong relationship
Low	**LOW PRIORITY** — Monitor only, no engagement; General occasional communication	**KEEP INFORMED** — Utilise the high interest by engaging in decisions; Consult in their areas of expertise and interest

4. **Develop Strategies for each Quadrant:** Based on the placement of stakeholders in the grid, develop specific strategies for managing each quadrant:

- **Key Players:** Fully engage with these stakeholders, seek their input, and keep them informed. They are crucial for the success of your project, so their needs and expectations should be a top priority.
- **Keep Satisfied:** These stakeholders have significant power but may not be as interested in your project. Keep them satisfied by providing regular updates and addressing any concerns they may have to prevent them from becoming detractors.
- **Keep Informed:** While these stakeholders may not have much power, they are highly interested in your project. Keep them informed to ensure they remain supportive and to leverage their insights and feedback.
- **Low Priority:** These stakeholders have low power and interest. Monitor them for any changes but allocate minimal resources to managing their expectations.

5. **Monitor and Adapt:** Continuously monitor the power and interest of stakeholders and adjust your strategies accordingly. Stakeholders may move between quadrants based on changing circumstances, so it's important to remain flexible and responsive.

By using Mendelow's Matrix as a grid-based tool, you can effectively analyze and manage stakeholders by tailoring your engagement strategies to their specific needs and expectations, ultimately increasing the likelihood of project success.

ICAI · P6 · MTP Sep 2025 · Series II · question p. 15 · answer p. 22-24

350 MTP **May 2025 S-I** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

In the bustling metropolis of Techville, a once small startup named Athena Corporation embarked on a journey that exemplified the essence of strategic management.

Athena Corporation began its journey as a manufacturer of cutting-edge tech gadgets. In the initial years, they classifide stakeholders based on their power and interest. By nurturing important stakeholders like investors, and minimizing conflicts amongst them, the company-maintained stability. This strategic stakeholder analysis proved instrumental during the introduction and growth phases of their product life cycle.

As the product reached maturity, Athena Corporation faced the inevitable challenges of saturation. However, they decided to innovate, investing heavily in research and development. Their commitment to value creation resulted in a series of product enhancements, rekindling customer interest and extending the product's life cycle.

The company recognized the importance of distribution. They diversified their distribution strategy, forging partnerships with global retailers and e-commerce giants. This enabled them to reach a wider audience and adapt to changing market conditions, reinforcing their presence during the product decline phase.

The most significant obstacle Athena Corporation faced was existing big giants in the tech industry. To combat this, they leveraged their brand's reputation and strong distribution networks. Additionally, they initiated collaborations with smaller startups, enhancing innovation and expanding their reach.

To enter new international markets, Athena Corporation conducted a further comprehensive analysis. By using its strengths of branding, addressing not being able to manage costs, & capitalizing on opportunities for AI (Artificial Intelligence) and motivating its talented employees, it mitigated to an extent the threats of competition in the global markets. And so, it is safe to say that the next 10 years are going to be a defining moment in Athena Corps' life.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

How did Athena Corporation effectively utilize Mendelow's Matrix to manage stakeholders based on their power and interest, ensuring long-term stability and success?

- A By prioritizing low-power, high-interest stakeholders, thus enhancing their influence.
- B By applying SWOT analysis to assess stakeholder dynamics and adapt their strategies.
- C By minimizing conflicts with low-power, low-interest stakeholders and nurturing high-power, high-interest stakeholders.
- D By frequently changing their stakeholder classification to maintain flexibility.

Q1(A)(ii) 2 marks

In which specific phase of the product life cycle did Athena Corporation invest significantly in research and development, resulting in a rejuvenation of their product offering?

- A The introduction phase, to establish their market presence.
- B The growth phase, to capture market share.
- C The maturity phase, to extend the product's life cycle.
- D The decline phase, to liquidate existing inventory.

Q1(A)(iii) 2 marks

When it comes to diversifying their distribution strategy, what was the key approach adopted by Athena Corporation to reach a broader audience and adapt to changing market conditions?

- A Heavy investments in advertising campaigns.
- B Acquisition of competitors in the industry.
- C Development of an elaborate loyalty program for existing customers.
- D Establishment of strong distribution networks with global retailers and e-commerce giants.

Q1(A)(iv) 2 marks

What unique challenge did Athena Corporation face in the tech industry that presented a significant barrier to entry?

- A An oversaturated market with too many competitors.

B A rapidly changing technology landscape.

C High barriers to entry due to the complex and competitive nature of the industry

D A lack of innovative product ideas

Q1(A)(v) 2 marks

Athena Corporation conducted a comprehensive strategic analysis before expanding globally. What specific framework did they employ?

A Porter's Five Forces analysis

B PESTEL analysis

C SWOT analysis

D Competitive landscape analysis

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(C)**

Q1(A)(ii)

Answer key: **(C)**

Q1(A)(iii)

Answer key: **(D)**

Q1(A)(iv)

Answer key: **(C)**

Q1(A)(v)

Answer key: **(C)**

ICAI · P6 · MTP May 2025 · Series I · question p. 8-9

351 MTP **May 2025 S-I** Q4(b) OR 5 marks

Same question, different ICAI answer: #345 RTP Sep 2024 · #349 MTP Sep 2025 S-II

How can Mendelow's Matrix be used to analyze and manage the stakeholders effectively?

ICAI'S ANSWER

Stakeholders through a grid-based approach by the following steps:

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- **Low Priority:** These stakeholders have low power and interest. Monitor them for any changes but allocate minimal resources to managing their expectations.

ICAI · P6 · MTP May 2025 · Series I · question p. 12 · answer p. 22-24

352 MTP **May 2025 S-II** Q1(B)(ii) 2 marks MCQ

A group of environmental activists consistently raises concerns about a company's environmental impact. While their opinions are acknowledged, they lack the authority to directly influence company decisions. The company monitors their concerns and engages with them when necessary to maintain its reputation. Which quadrant of Mendelow's Matrix best categorizes these stakeholders?

A High Interest, Low Power

B Low Interest, Low Power

C High Interest, High Power

D Low Interest, High Power

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · MTP May 2025 · Series II · question p. 12-13

353 MTP **Jan 2025 S-I** Q1(a) 5 marks

Chic Threads, a boutique fashion brand renowned for its commitment to sustainability and ethical practices, has recently launched a new line of eco-friendly clothing made from recycled materials. The brand recognizes the growing influence of environmentally conscious consumers who actively shape industry standards through their advocacy and purchasing decisions. These consumers align with Chic Threads' values and have a significant impact on its market position and reputation. How should Chic

Threads effectively manage its relationship with environmentally conscious consumers, considering their high power and high interest in shaping the brand's success?

ICAI'S ANSWER

According to Mendelow's Matrix, environmentally conscious consumers who influence industry standards fall into the Key Players quadrant. These stakeholders possess both high power and high interest, making them crucial to the success of Chic Threads' sustainability-focused initiatives. Their high interest stems from their alignment with the brand's ethical and eco-friendly values, while their high power arises from their ability to shape market trends, advocate for sustainable practices, and impact on the brand's reputation through their purchasing decisions and influence within the industry.

As Key Players, these consumers require active engagement. Chic Threads must focus on satisfying their expectations by providing regular updates on sustainability efforts, maintaining transparent communication, and incorporating their feedback to ensure continued support. The brand should actively involve these stakeholders in its decision-making processes by seeking their input on product design and sustainability measures. Additionally, building strong relationships through targeted marketing campaigns, collaborations, and awareness initiatives will further solidify their trust and advocacy. Effectively managing this stakeholder group is vital, as their support and satisfaction directly contribute to the success of the brand's eco-friendly clothing line.

ICAI · P6 · MTP Jan 2025 · Series I · question p. 11 · answer p. 13

3.2 Strategic drivers

61 questions · asked in 39 ICAI documents · 7 exam papers

354 EXAM May 2026 Q7(b) 5 marks

"The wider and stronger the channel the better position a business has to fight and win over competition." In the context of this statement, define the concept of channels. Why is channel analysis more important for a business strategy? Explain different type of channels.

ICAI'S ANSWER

Channels refer to the distribution system through which an organisation distributes its products or provides its services to customers. Strong and wide channels help businesses reach customers effectively and gain competitive advantage. Importance of Channel Analysis Channel analysis is important when a business strategy aims to scale up and expand into new geographies and markets. Businesses need suitable channels to reach new customers effectively. Strong channels also help businesses fight competition and create barriers for new entrants into the industry. Types of Channels

1. Sales Channel: Sales channel refers to intermediaries involved in selling the product to the end user. It focuses on who sells the product to customers. For example, fashion designers use agencies and retail stores to sell products to consumers.

2. Product Channel: Product channel refers to intermediaries who physically handle and distribute the product from producer to customer. For example, logistics companies and delivery services distribute products purchased through online platforms.

3. Service Channel: Service channel refers to entities providing support services such as installation, maintenance and customer assistance after purchase. For example, installation of appliances by authorised service providers after sales.

Thus, strong and efficient channels act as important strategic tools for market reach, customer satisfaction and competitive advantage.

ICAI · P6 · May 2026 exam · question p. 30 · answer p. 31-32

355 EXAM **Jan 2026** MCQ 16 MCQ

A café is overcrowded on weekends but nearly empty on weekdays. To even out demand, it launches a "Workday Loyalty Card" with discounts for weekday visits. This strategy illustrates:

- A Demarketing
- B Augmented Marketing
- C Social Marketing
- D Synchro-marketing

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · Jan 2026 exam · question p. 9

356 EXAM **Jan 2026** Q5(a) 5 marks

Full Health Limited is a beverage company engaged in the production and distribution of energy drink. It plans to launch a new line of beverages targeted at health-conscious consumers. The Indian energy drink market, however, is already saturated with strong competitors, including several well-established national and international brands that command a significant market share. Considering the dominant position of these rival firms in the segment, which analytical tool would you recommend the manager to use to assess the market environment? Additionally, explain the procedure for implementing this tool effectively.

ICAI'S ANSWER

Strategic Group Mapping is the most appropriate analytical tool in the given case. Since the Indian energy drink market is saturated and dominated by strong national and international competitors, this tool helps in analysing competition within the industry by grouping firms that follow similar strategies. It enables the manager of Full Health Limited to understand the relative competitive positions of rival firms and identify strategic gaps or opportunities. The procedure for constructing a Strategic Group Mapping and deciding which firms belong to which strategic group is as follows:

1. Identify the competitive characteristics that differentiate firms in the industry. Typical variables include price/quality range (high, medium, low), geographic coverage (local, regional, national, global), degree of vertical integration (none, partial, full), product-line breadth (wide, narrow), distribution channels used (one, some, all), and degree of service offered (no-frills, limited, full).

2. Plot firms on a two-variable map using selected pairs of these differentiating characteristics.

3. Assign firms falling in the same strategy space to the same strategic group.

4. Draw circles around each strategic group, making the circles proportional to the group's respective share of total industry sales revenue.

Thus, Strategic Group Mapping helps the manager assess intra-industry competitive dynamics and take informed decisions before launching a new beverage line in a highly competitive market.

ICAI · P6 · Jan 2026 exam · question p. 25 · answer p. 26

357 EXAM Jan 2025 Case scenario · MCQ 9 to MCQ 13

CASE SCENARIO

Case Scenario - III Primo Neo Logistics (PNL) is engaged in transportation of goods in India. It has its operational presence across the country since the year 2010. In addition to transporting goods by road, company is also taking services of private airways as its logistics partner. However, there is a sharp decline in business through airways as sales and profits have declined steeply. Company also wants to ascertain the market positions of rival companies having similar competitive approaches in the market with the intent to identify the strongest or the weakest players in view of the tough competitive landscape. Once the market position is ascertained, company would like to modify its strategy to adapt according to the changing circumstances. Technology, means and ways of transporting goods are also changing. Company wants to utilize its resources and capabilities, not only to compete and survive but to grow efficiently. Multidimensional expansion with new and improved means of transportation and marketing seems inevitable. Company has strong presence in transporting goods by road and wants to collaborate with some other operator who can bring expertise in transporting goods using improved technology. Cargo Movers Plc. (CMP) is a well-known transporter of goods using state of art technology in the Asia Pacific region. Banking upon their respective core competencies, PNL and CMP would like to develop close and collaborative relationship where both will continue to maintain their respective independent existence. Once collaboration is in place, marketing team of both the companies would like to cater to the needs of transporting goods with speed and agility. In line with basic principles, the team will also focus on best long- run performance of the marketing system. In view of the same the team is planning to rope in various social media influencers with intent to create a brand image with customer orientation and spreading a word about its distinctive services to its present and prospective customers.

Based on the above case scenario, choose the correct answer to Q. Nos. 9 to 13.

MCQ 9

The business through private airways is at which phase of product life cycle?

A Introduction

B Growth

C Maturity

D Decline

MCQ 10

Tool for identifying the strongest and weakest competitors is known as:

A Strategic Group Mapping

B Portfolio Analysis

C Strategic Surveillance

D Strategic Audit

MCQ 11

The strategy being followed by PNL is:

A Adaptive strategy

B Proactive strategy

C Reactive strategy

D Blend of proactive and reactive strategy

MCQ 12

Relationship being considered between PNL and CMP is indicating:

- A Horizontal Integration
- B Merger and Acquisition
- C Strategic Alliance
- D Vertical Integration

MCQ 13

The activity of marketing team will be called as:

- A Enlightened marketing
- B Augmented marketing
- C Differential marketing
- D Synchro marketing

ICAI'S ANSWERS

MCQ 9

Answer key: **(D)**

MCQ 10

Answer key: **(A)**

MCQ 11

Answer key: **(D)**

MCQ 12

Answer key: **(C)**

MCQ 13

Answer key: **(A)**

ICAI · P6 · Jan 2025 exam · question p. 4

358 **EXAM** **Jan 2025** Q8(b) OR **5 marks**

Also asked in RTP Jan 2026 Q12 · MTP Sep 2025 S-I Q3(a)

Same question, different ICAI answer: #365 RTP Sep 2026

Write a short note on the key strategic drivers of an organization.

ICAI'S ANSWER

Key Strategic Drivers of an Organization Strategic drivers are essential elements that influence an organization's ability to differentiate itself from its competitors and achieve competitive advantage. These drivers assess the current performance of the business and provide insights into areas that need focus. The key strategic drivers include:

1. Industry and Markets: Understanding the industry and markets is crucial for identifying the organization's relative position. Industries group similar companies based on their primary products, while markets are defined by the buyers and sellers of these products. Analyzing industry and market dynamics, often through tools like strategic group mapping, helps organizations evaluate competition and refine strategies.

2. Customers: Identifying and understanding customers is a critical driver. Customers are segmented based on their needs and spending capacity, which guides product development and marketing

strategies. Differentiating between customers (buyers) and consumers (users) is vital to tailoring pricing, design, and usability strategies effectively.

3. Products and Services: Products and services are central to defining the business. Organizations must assess their offerings, classify products, and devise strategies for differentiation, branding, and pricing. Product innovation and marketing are key to maintaining competitiveness.

4. Channels: The channels through which products and services are delivered impact accessibility and customer satisfaction. Strategies related to direct, digital, or relationship-based marketing ensure the efficient distribution of offerings to target customers. By aligning these drivers with organizational goals, businesses can achieve sustained growth and maintain a competitive edge.

ICAI · P6 · Jan 2025 exam · question p. 32 · answer p. 34

359 **EXAM** **May 2024** Q8(a) **5 marks**

Also asked in RTP Jan 2025 Q12 · MTP Jan 2026 S-II Q3(b)

What are channels? Why is channel analysis important? Explain the different types of channels?

ICAI'S ANSWER

Channels represent the distribution system through which organizations distribute their products or provide services to customers. They play a pivotal role in reaching target markets, maximizing sales, and establishing competitive advantages. Channel analysis is important when the business strategy is to scale up and expand beyond the current geographies and markets. When a business plans to grow to newer markets, they need to develop or leverage existing channels to get to new customers. Thus, analysis of channels that suit one's products and customers is of utmost importance. There are typically three channels that should be considered: sales channel, product channel and service channel.

- The sales channel - These are the intermediaries involved in selling the product through each channel and ultimately to the end user. The key question is: Who needs to sell to whom for your product to be sold to your end user? For example, many fashion designers use agencies to sell their products to retail organizations, so that consumers can access them.
- The product channel - The product channel focuses on the series of intermediaries who physically handle the product on its path from its producer to the end user. This is true of Australia Post, who delivers and distributes many online purchases between the seller and purchaser when using eBay and other online stores.
- The service channel - The service channel refers to the entities that provide necessary services to support the product, as it moves through the sales channel and after purchase by the end user. The service channel is an important consideration for products that are complex in terms of installation or customer assistance. For example, a Bosch dishwasher may be sold in a Bosch showroom, and then once sold it is installed by a Bosch contracted plumber.

ICAI · P6 · May 2024 exam · question p. 33 · answer p. 33-34

360 **EXAM** **May 2024** Q8(b) OR **5 marks**

Same question, different ICAI answer: #382 MTP Sep 2026 S-II

Recommend a tool to analyze the competitive position of various rival companies in the market and outline the step by step procedure for using the identified tool.

ICAI'S ANSWER

A tool to identify the market positions of rival companies by grouping them into like positions is Strategic Group Mapping. A strategic group consists of those rival firms which have similar competitive approaches and positions in the market. The procedure for constructing a strategic group map and deciding which firms belong in which strategic group are as follows:

1. Identify the competitive characteristics that differentiate firms in the industry typical variables that are price/quality range (high, medium, low); geographic coverage (local, regional, national, global); degree of vertical integration (none, partial, full); product-line breadth (wide, narrow); use of distribution channels (one, some, all); and degree of service offered (no-frills, limited, full).

2. Plot the firms on a two-variable map using pairs of these differentiating characteristics.

3. Assign firms that fall in about the same strategy space to the same strategic group.

4. Draw circles around each strategic group making the circles proportional to the size of the group's respective share of total industry sales revenues.

ICAI · P6 · May 2024 exam · question p. 33 · answer p. 35

361 EXAM **Old P7 Jul 2021** Q7(a) 5 marks old scheme

A manufacturing company is in direct competition with fifteen companies at national level. Head of marketing department of this company wishes to study the market position of rival companies by grouping them into like positions. Name the tool that may be used by him/her. Explain the procedure that may be used to implement the techniques.

ICAI'S ANSWER

A tool to identify the market positions of rival companies by grouping them into like positions is strategic group mapping. A strategic group consists of those rival firms which have similar competitive approaches and positions in the market.

The procedure for constructing a strategic group map and deciding which firms belong in which strategic group are as follows:

1. Identify the competitive characteristics that differentiate firms in the industry typical variables that are price/quality range (high, medium, low); geographic coverage (local, regional, national, global); degree of vertical integration (none, partial, full); product-line breadth (wide, narrow); use of distribution channels (one, some, all); and degree of service offered (no-frills, limited, full).

2. Plot the firms on a two-variable map using pairs of these differentiating characteristics.

3. Assign firms that fall in about the same strategy space to the same strategic group.

4. Draw circles around each strategic group making the circles proportional to the size of the group's respective share of total industry sales revenues.

ICAI · Old P7 · Jul 2021 exam · question p. 58 · answer p. 58

362 EXAM **Old P7 Nov 2018** Q7(e) 2 marks old scheme

Define Augmented Marketing. Give two examples.

ICAI'S ANSWER

Augmented Marketing is provision of additional customer services and benefits built around the core and actual products that relate to introduction of hi-tech services like movies on demand, online

computer repair services, etc. Such innovative offerings provide a set of benefits that promise to elevate customer service to unprecedented levels.

ICAI · Old P7 · Nov 2018 exam · question p. 11 · answer p. 12

363 EXAM **Old P7 May 2018** Q11(b) 5 marks old scheme

Same question, different ICAI answer: #371 Old P7 RTP Nov 2023 · #395 Old P7 MTP Nov 2022 S-I

Define the term 'Marketing'. Distinguish between social marketing and service marketing.

ICAI'S ANSWER

In general, marketing is an activity performed by business organizations. In the present day for business, it is considered to be the activities related to identifying the needs of customers and taking such actions to satisfy them in return of some consideration. The term marketing constitutes different processes, functions, exchanges and activities that create perceived value by satisfying needs of individuals.

Social marketing and service marketing are marketing strategies primarily with different orientations. Social Marketing refers to the design, implementation, and control of programs seeking to increase the acceptability of a social ideas, cause, or practice among a target group. For instance, the publicity campaign for prohibition of smoking or encouraging girl child, etc.

On the other hand, service marketing is applying the concepts, tools, and techniques, of marketing to services. Service is any activity or benefit that one party can offer to another that is essentially intangible and non-perishing. These may be from business to consumer and from business to business.

ICAI · Old P7 · May 2018 exam · question p. 14-15 · answer p. 15-16

364 RTP **Sep 2026** Q4 MCQ

StrideX Footwear Ltd. is planning to strengthen its position in the sports shoe market. Before acquiring a smaller rival, the management wants to identify competitor groups based on their pricing strategies and product range to locate firms with weak competitive positions. Which strategic tool would be most useful for this purpose?

A Merger and Acquisition Planning

B BCG Growth Matrix

C Strategic Group Mapping

D GE Nine-Cell Matrix

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · RTP Sep 2026 · question p. 31

365 RTP **Sep 2026** Q12

Also asked in RTP May 2026 Q12 · RTP Sep 2025 Q12 · MTP May 2026 S-I Q3(a)

Same question, different ICAI answer: #358 Exam Jan 2025

Write a short note on the key strategic drivers of an organization.

ICAI'S ANSWER

Key Strategic Drivers of an Organization Strategic drivers are essential elements that influence an organization's ability to differentiate itself from its competitors and achieve competitive advantage. These drivers assess the current performance of the business and provide insights into areas that need focus. The key strategic drivers include:

1. Industry and Markets: Understanding the industry and markets is crucial for identifying the organization's relative position. Industries group similar companies based on their primary products, while markets are defined by the buyers and sellers of these products. Analyzing industry and market dynamics, often through tools like strategic group mapping, helps organizations evaluate competition and refine strategies.

2. Customers: Identifying and understanding customers is a critical driver. Customers are segmented based on their needs and spending capacity, which guides product development and marketing strategies. Differentiating between customers (buyers) and consumers (users) is vital to tailoring pricing, design, and usability strategies effectively.

3. Products and Services: Products and services are central to defining the business. Organizations must assess their offerings, classify products, and devise strategies for differentiation, branding, and pricing. Product innovation and marketing are key to maintaining competitiveness.

4. Channels: The channels through which products and services are delivered impact on accessibility and customer satisfaction. Strategies related to direct, digital, or relationship-based marketing ensure the efficient distribution of offerings to target customers. By aligning these drivers with organizational goals, businesses can achieve sustained growth and maintain a competitive edge.

ICAI · P6 · RTP Sep 2026 · question p. 34 · answer p. 39-40

366 RTP **May 2026** Q11

Neha, the strategy head of UrbanRide Motors Ltd., was analysing the two-wheeler industry before launching a new premium electric scooter. She observed that firms in the market could be grouped based on price range (economy–premium) and technology (petrol–electric). She decided to position UrbanRide among premium electric brands. Which strategic analysis tool is reflected in this situation?

ICAI'S ANSWER

The situation reflects the use of Strategic Group Mapping, an important tool of industry (competitive) environment analysis. Strategic group mapping identifies clusters of firms within an industry that follow similar strategies or have similar characteristics, such as price level, quality, technology, distribution, or product range. Firms within the same strategic group compete more directly with each other than with firms in other groups. In the given case, Neha classified two-wheeler firms based on price (economy to premium) and technology (petrol to electric). This classification creates distinct strategic groups such as economy petrol, premium petrol, economy electric, and premium electric. UrbanRide plans to position itself in the premium electric group. Such mapping helps identify close competitors, market gaps, and positioning opportunities before strategic decisions. Hence, the strategic analysis tool reflected is Strategic Group Mapping.

ICAI · P6 · RTP May 2026 · question p. 35 · answer p. 39

367 RTP **Jan 2026** Q5 MCQ

In the Indian automobile industry, firms like Speedo Motors and Turbo Auto compete in the mid-range car segment, focusing on fuel efficiency. Meanwhile, LuxeDrive and Elite Motors dominate the premium

segment, emphasizing luxury and advanced technology. Each group follows distinct pricing and marketing strategies and movement between these segments is limited due to brand perception and R&D costs. What does this scenario best illustrate?

A Strategic Alliances

B Strategic Group Mapping

C Value Chain Analysis

D Core Competence Identification

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP Jan 2026 · question p. 29

368 RTP **May 2025** Q4 MCQ

A sportswear brand, Athleon, is introducing a new range of eco-friendly performance shoes for fitness enthusiasts. The strategic manager wants to analyze the market position of competing brands in the sustainable sports footwear segment. Which tool can be used for this analysis?

A SWOT Analysis

B Strategic Group Mapping

C BCG Matrix

D Value Chain Analysis

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP May 2025 · question p. 36

369 RTP **Old P7 Nov 2023** Q5 MCQ old scheme

Indian Company plans to offer snack during travel through ropeways and two fre e movies tickets on completion of the travel. This marketing technique is known as_____

A Augmented marketing

B Synchro

C Social

D Demarketing

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP Nov 2023 · question p. 14

370 RTP **Old P7 Nov 2023** Q7 MCQ old scheme

XYZ is a high-end department store chain that is struggling to survive. A number of other department store chains compete with it and are also struggling. How should XYZ best analyse the industry in order to work out how to increase performance?

A Identify groups of department stores that compete in a similar way.

B Show the competitive pathways that various competitors will adopt.

C Determine the combined effect of all the stores' different strategies.

D Ignore key success factors that affect discount stores.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP Nov 2023 · question p. 15

371 RTP **Old P7 Nov 2023** Q19 old scheme

Same question, different ICAI answer: #363 Old P7 Exam May 2018 · #395 Old P7 MTP Nov 2022 S-I

Define the term 'Marketing'. Distinguish between social marketing and service marketing.

ICAI'S ANSWER

In general, marketing is an activity performed by business organizations. In the present day for business, it is considered to be the activities related to identifying the needs of customers and taking such actions to satisfy them in return of some consideration. Th e term marketing constitutes different processes, functions, exchanges and activities that create perceived value by satisfying needs of individuals.

Social marketing and service marketing are marketing strategies primarily with different orientations. Social Marketing refers to the design, implementation, and control of programs seeking to increase the acceptability of a social ideas, cause, or practice among a target group. For instance, the publicity campaign for prohibition of smoking or encouraging girl child, etc.

ICAI · Old P7 · RTP Nov 2023 · question p. 16 · answer p. 22

372 RTP **Old P7 May 2023** Q5 MCQ old scheme

The activity of identifying the strongest and weakest companies is known as:

A Strategic Audit

B Portfolio Analysis

C Strategic Surveillance

D Strategic Group mapping

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2023 · question p. 17

373 RTP **Old P7 May 2023** Q6 MCQ old scheme

Also asked in MTP Jan 2026 S-II Q1(B)(iii)

An airline operator is providing special lounge at major airports for its frequent flyers. This marketing technique is known as:-

A Relationship Marketing

B Augmented Marketing

C Social Marketing

D Synchro Marketing

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP May 2023 · question p. 17

374 RTP **Old P7 May 2022** Q4 MCQ old scheme

Airlines providing special lounge access to loyal customers is a type of which marketing?

A Augmented Marketing

B Direct Marketing

C Relationship Marketing

D Services Marketing

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP May 2022 · question p. 17

375 RTP **Old P7 May 2020** Q1(ii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

'Strategic group mapping' helps in-

A Identifying the strongest rival companies

B Identifying weakest rival companies

C Identifying weakest and strongest rival companies

D None of the above

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP May 2020 · question p. 11

376 RTP **Old P7 May 2020** Q1(xiv) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

The marketing strategy which is used to reduce or shift the demand is:

A Enlightened Marketing

B Synchro-Marketing

C Place Marketing

D Demarketing

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2020 · question p. 11

377 RTP **Old P7 May 2019** Q1(iv) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

A _____ consists of those rival firms which have similar competitive approaches and positions in the market.

- A BCG Matrix.
- B Strategic group.
- C Strategy Map.
- D Industry.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP May 2019 · question p. 9

378 RTP **Old P7 May 2019** Q5 old scheme

Same question, different ICAI answer: #398 Old P7 MTP Jul 2021 S-II

What is a Strategic Group? Discuss the procedure for constructing a strategic group map.

ICAI'S ANSWER

A strategic group consists of those rival firms which have similar competitive approaches and positions in the market. Companies in the same strategic group can resemble one another in any of the several ways – have comparable product-line breadth, same price/quality range, same distribution channels, same product attributes, identical technological approaches, offer similar services and technical assistance and so on. The procedure for constructing a strategic group map and deciding which firms belong in which strategic group is as follows:

- Identify the competitive characteristics that differentiate firms in the industry typical variables are price/quality range (high, medium, low); geographic coverage (local, regional, national, global); degree of vertical integration (none, partial, full); product-line breadth (wide, narrow); use of distribution channels (one, some, all); and degree of service offered (no-frills, limited, full).
- Plot the firms on a two-variable map using pairs of these differentiating characteristics.
- Assign firms that fall in about the same strategy space to the same strategic group.
- Draw circles around each strategic group making the circles proportional to the size of the group's respective share of total industry sales revenues.

ICAI · Old P7 · RTP May 2019 · question p. 12 · answer p. 15

379 RTP **Old P7 Nov 2018** Q2(f) old scheme

State with reasons which of the following statements are correct/incorrect: Tele-shopping is an instance of direct marketing.

ICAI'S ANSWER

Correct: Direct marketing is done through various advertising media that interact directly with customer. Teleshopping is a form of direct marketing which operates without conventional intermediaries and employs television and other IT devices for reaching the customer. The communication between the marketer and the customer is direct through third party interfaces such as telecom or postal systems.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 16

380 MTP **Sep 2026 S-I** Q1(B)(iii) 1 mark MCQ

Elevating customer service to unprecedented level by providing better customer interface, online repair service and service on site is known as:

A Augmented marketing

B Enlightened marketing

C Social marketing

D Synchro marketing

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · MTP Sep 2026 · Series I · question p. 11

381 MTP **Sep 2026 S-I** Q1(b) 5 marks

Rafi Merchant, a timber trader based in Surat, entered into a strategic alliance with Woodie Ducks, a South Africa-based manufacturer of premium wooden planks, to manufacture and supply wooden planks worth ₹150 crore for residential projects in GIFT City, Gujarat. Before the consignment reached India, real estate developers and customers shifted their preference to polyester-based furnishing materials due to their durability, affordability and variety of colours. Consequently, the demand for wooden planks declined sharply, causing substantial losses to Rafi Merchant. In the light of the above case, identify and explain the strategic driver overlooked by Rafi Merchant. Also, state other strategic drivers that organisations should consider before making strategic decisions.

ICAI'S ANSWER

Rafi Merchant overlooked the strategic driver of Customers. Customers are one of the key strategic drivers, and organisations must understand the needs, preferences and buying behaviour of their target customers before taking strategic decisions. Different customers have different requirements and changes in customer preferences directly influence the demand for products and services. In the given case, customers shifted their preference from premium wooden planks to polyester-based furnishing materials due to their greater durability, affordability and wider range of colours. As a result, the demand for wooden planks declined, leading to substantial losses for Rafi Merchant despite the strategic alliance.

Apart from Customers, organisations should also analyse the following strategic drivers before making strategic business decisions:

1. **Industry and Markets:** Organisations should understand their position in the industry and the markets in which they operate. This involves analysing the competitive environment, market size, customer segments, growth opportunities and competitors' strategies. Such analysis helps in identifying the organisation's competitive position and formulating strategies to achieve and sustain a competitive advantage.

2. **Products/Services:** Organisations should continuously evaluate whether their products or services meet changing customer needs. They should improve existing products, introduce new offerings, or discontinue unprofitable ones. Product differentiation through quality, branding, innovation, packaging and after-sales service helps organisations remain competitive and create customer value.

3. **Channels:** Organisations should analyse the effectiveness of their sales, product, and service channels. Efficient distribution channels improve market reach, ensure better customer accessibility,

strengthen customer service and support business expansion while creating barriers for new competitors.

ICAI · P6 · MTP Sep 2026 · Series I · question p. 12 · answer p. 15-16

382 MTP **Sep 2026 S-II** Q2(b) 5 marks

Same question, different ICAI answer: #360 Exam May 2024

Recommend a tool to analyze the competitive position of various rival companies in the market and outline the step-by-step procedure for using the identified tool.

ICAI'S ANSWER

A tool to identify the market positions of rival companies by grouping them into like positions is Strategic Group Mapping. A strategic group consists of those rival firms which have similar competitive approaches and positions in the market.

The procedure for constructing a strategic group map and deciding which firms belong in which strategic group are as follows:

1. Identify the competitive characteristics that differentiate firms in the industry typical variables that are price/quality range (high, medium, low); geographic coverage (local, regional, national, global); degree of vertical integration (none, partial, full); product-line breadth (wide, narrow); use of distribution channels (one, some, all); and degree of service offered (no-frills, limited, full).

2. Plot the firms on a two-variable map using pairs of these differentiating characteristics.

3. Assign firms that fall into about the same strategy space to the same strategic group.

4. Draw circles around each strategic group making the circles proportional to the size of the group's respective share of total industry sales revenues.

ICAI · P6 · MTP Sep 2026 · Series II · question p. 13 · answer p. 16

383 MTP **May 2026 S-I** Q1(a) 5 marks

A strategic analyst wants to study the competitive positioning of companies in the smartphone industry based on price range and product features. Explain how the analyst can use Strategic Group Mapping to analyse the industry. Also, state the insights that can be derived from such a map.

ICAI'S ANSWER

The strategic analyst can use Strategic Group Mapping to analyse the competitive positioning of smartphone companies based on price range and product features as follows:

Steps to use Strategic Group Mapping:

1. **Identify key variables:** Select relevant competitive dimensions such as price (low to high) and product features (basic to advanced).

2. **Plot companies on a graph:** Position each smartphone company on a two-dimensional map using these variables.

3. **Form strategic groups:** Companies with similar strategies (e.g., high price–high features or low price–basic features) will cluster together forming strategic groups.

4. **Represent market share:** The size of each group (circle) may indicate the market share of firms within that group.

Insights derived from the map:

- Helps in understanding the competitive positioning of firms in the industry.
- Identifies direct competitors within the same strategic group.
- Reveals market gaps or opportunities (e.g., underserved segments).
- Highlights mobility barriers between groups (e.g., difficulty in moving from low-end to premium segment).
- Assists in analysing the intensity of competition within and across groups.

Thus, Strategic Group Mapping provides a visual and analytical tool for better strategic decision-making in the smartphone industry.

ICAI · P6 · MTP May 2026 · Series I · question p. 12 · answer p. 13

384 MTP **Jan 2026 S-I** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

Zenith Global Enterprises (ZGE), a diversified conglomerate based in Dubai, operates across five distinct industries: renewable energy, luxury real estate, fashion retail, healthcare and digital services. With a revenue of $12 billion in 2024, ZGE is recognized for its ability to adapt and thrive in competitive global markets. However, the conglomerate's leadership is now focusing on streamlining operations and leveraging digital channels to sustain growth.

To address operational complexity, ZGE's management highlights the advantages of its Strategic Business Unit (SBU) structure. Each business unit operates autonomously with dedicated leadership teams, enabling tailored strategies for market-specific needs. For example, the renewable energy SBU recently secured a $500 million contract with a European government for solar power solutions, while the fashion retail SBU launched a luxury e-commerce platform that grew sales by 45% year-on-year.

ZGE's overarching strategy emphasizes the best-cost provider approach. By balancing premium quality with competitive pricing, the healthcare SBU, for instance, has introduced telemedicine services that cost 30% less than competitors without compromising service quality. This approach resonates strongly with middle-income consumers across Asia and Africa.

Digital marketing has become a cornerstone of ZGE's customer engagement strategy. In 2024, the company allocated $200 million to develop AI-driven marketing campaigns, leveraging predictive analytics to personalize ads. This resulted in a 20% higher customer acquisition rate across all SBUs. The luxury real estate division also adopted virtual reality (VR) tours, allowing global customers to explore properties remotely, driving a 35% increase in international sales.

A key challenge for ZGE lies in balancing the needs of customers (the direct purchasers) and consumers (the end users). In the digital services SBU, this tension is evident in pricing decisions for their cloud computing solutions. While enterprise customers demand cost-efficient packages, end users prioritize seamless, high-speed performance. ZGE's leadership employs customer insights and feedback loops to align pricing with both groups' expectations.

Finally, ZGE's channel of distribution heavily relies on e-commerce platforms. The fashion retail SBU's recent collaboration with a major e-commerce marketplace increased distribution efficiency by 40%. Meanwhile, the healthcare SBU's direct-to-consumer online pharmacy has achieved $100 million in annual revenue by offering home delivery of essential medicines.

With these strategies, ZGE aims to achieve 10% annual growth while maintaining its commitment to innovation and quality. However, as the conglomerate scales, it must address potential challenges such as inter-SBU competition and digital transformation risks.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

The decision of the renewable energy SBU to secure a $500 million European solar contract is an example of:

- A Reactive response to market uncertainty
- B Proactive expansion into international government partnerships
- C Reactive change based on customer feedback
- D Delayed adaptation to global competition

Q1(A)(ii) 2 marks

How does ZGE's best-cost provider strategy benefit its healthcare SBU?

- A By offering the lowest-priced services in the market
- B By maintaining high service quality at competitive prices
- C By targeting only premium customers in developed markets
- D By focusing solely on cost-cutting measures

Q1(A)(iii) 2 marks

What role does digital marketing play in ZGE's growth strategy?

- A It reduces the need for traditional marketing channels.
- B It drives personalized customer engagement and higher acquisition rates.
- C It replaces in-person customer interactions entirely.
- D It focuses solely on promoting the renewable energy SBU.

Q1(A)(iv) 2 marks

How has the reliance on e-commerce benefited ZGE's distribution strategy?

- A By completely eliminating traditional retail outlets
- B By improving efficiency and expanding market reach
- C By reducing the importance of product quality
- D By focusing only on domestic markets

Q1(A)(v) 2 marks

What potential challenge could arise from ZGE's SBU structure?

- A Difficulty in digital transformation across the conglomerate
- B Increased competition between SBUs
- C Limited autonomy for each business unit
- D Reduced innovation within individual SBUs

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(B)**

Q1(A)(ii)
Answer key: **(B)**

Q1(A)(iii)
Answer key: **(B)**

Q1(A)(iv)
Answer key: **(B)**

Q1(A)(v)
Answer key: **(B)**

ICAI · P6 · MTP Jan 2026 · Series I · question p. 8-9

385 MTP **Jan 2026 S-II** Q1(b) 5 marks

A consumer technology startup continually revises its business model to align with shifting user behaviour, the rise of new digital platforms and rapid technological advancements. In the context of internal strategic analysis, identify the key internal elements or strategic drivers that the firm is responding to that shape its strategic direction?

ICAI'S ANSWER

The tech startup is responding to internal strategic drivers—the key elements within the organisation that shape its performance and strategic direction. Internal analysis involves assessing strategic drivers, which include:

1. **Industry and Markets:** The startup closely monitors its relative position in the industry and changing market dynamics. As user behaviour, platforms and technologies evolve, the startup adapts its model to stay aligned with shifting market expectations.

2. **Customers:** Changing user behaviour directly influences customer needs and preferences. Understanding these customers, their usage patterns and their value to the business drives the startup to update its offerings.

3. **Products/Services:** The startup modifies its business model to refine or expand its products/services in response to technological shifts and customer demands. This ensures relevance, competitiveness and differentiation in the market.

4. **Channels:** As new digital platforms emerge, the startup adjusts the channels through which it delivers its services—such as apps, web platforms or partner integrations—to reach customers effectively.

Therefore, the internal elements the firm is responding to are its key strategic drivers: industry & markets, customers, products/services and channels. These drivers help the organisation assess its current performance and make strategic decisions to stay competitive and aligned with emerging trends.

ICAI · P6 · MTP Jan 2026 · Series II · question p. 12 · answer p. 16

386 MTP **Sep 2025 S-I** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

Introducing "UrbanScape Developers", a new-age contemporary real estate developers, reshaping urban landscapes with groundbreaking projects across three dynamic Indian cities of Mumbai, Bangalore, and Delhi.

In the bustling metropolis of Mumbai, UrbanScape is coming up with "CitySquare Mall," a futuristic retail destination poised to redefine shopping experiences. Boasting state-of-the-art facilities and a modern mix of brands, it promises to be a benchmark of today's retailing, attracting shoppers from across the globe.

In Bangalore, UrbanScape is shaping up "GreenVista Residency," an eco-conscious housing society that sets new standards in sustainable living. Nested in the middle of lush greenery and equipped with eco-friendly amenities, it offers residents a peaceful blend of luxury and environmental responsibility.

Meanwhile, in the vibrant capital city of Delhi, UrbanScape is building "MetroBiz Institute", a global-desi MBA college dedicated to nurturing the leaders of tomorrow. With innovative curriculum, industry-aligned programs, and world-class faculty, it aims to cultivate a new generation of business visionaries and changemakers.

However, despite these visionary projects, UrbanScape is facing challenges in attracting pre-bookings from potential customers. A market study revealed that high interest rates and soaring gold prices have created an environment where individuals are hesitant to invest in real estate, opting instead for more liquid assets.

To tackle this issue smartly, UrbanScape initiated strategic collaborations with leaders in the banking sector. Leveraging their influence and expertise, they strategized an effort to lobby for interest rate subsidies targeted towards new-age technology-based real estate developers like themselves. By aligning themselves strategically and positioning their cause as essential for driving economic growth and urban development, they aim to generate decent demand and incentivize investment in the real estate sector.

Furthermore, they recognize the shifting dynamics of consumer behavior and preferences towards spending more on travel and experiences. In response, they are adopting a proactive approach to engage potential buyers in innovative ways. They are launching an immersive, AI-based website that offers virtual experiences of their projects. Prospective buyers can explore apartments, wander through the mall's corridors, or attend virtual classes at the MBA college - all from the comfort of their living rooms. This revolutionary platform not only increases customer engagement but also generates significant word-of-mouth marketing, as impressive visitors share their experiences with friends and family.

With a comprehensive strategy in place, UrbanScape Developers is navigating the ever-evolving real estate landscape with confidence and foresight. As they continue to shape the urban areas of India's most dynamic cities, the future holds endless possibilities for its visionary endeavors.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

To evaluate how projects like "CitySquare Mall" and "MetroBiz Institute" are positioned relative to competitors in terms of market share and business focus, which tool would help UrbanScape make informed strategic decisions?

A Strategic Group Mapping

B SWOT Analysis

C Product Life Cycle

D PESTLE Analysis

Q1(A)(ii) 2 marks

To understand how rising interest rates and increasing gold prices are impacting buyer behavior in real estate, which analytical tool should UrbanScape use to assess macro-environmental factors and adapt its strategy accordingly?

- A Value Chain Analysis
- B GE Matrix
- C PESTLE Analysis
- D Ansoff Matrix

Q1(A)(iii) 2 marks

UrbanScape introduced an AI-powered website offering immersive experiences of their properties to engage tech-savvy customers who prefer virtual interactions. What strategic benefit is UrbanScape most likely aiming to achieve through this technological investment?

- A Compliance with government policy
- B Differentiation and enhanced customer experience
- C Reduction in production costs
- D Price leadership strategy

Q1(A)(iv) 2 marks

UrbanScape's eco-friendly housing project and emphasis on innovation show a strong internal culture of sustainability and forward-thinking. Which component of the 7S Framework does this reflect?

- A Strategy
- B Structure
- C Shared Values
- D Skills

Q1(A)(v) 2 marks

After receiving poor pre-booking responses, UrbanScape re-evaluated its economic assumptions and initiated lobbying efforts. This indicates use of which control type to verify the ongoing validity of external assumptions?

- A Implementation Control
- B Premise Control
- C Feedback Control
- D Strategic Surveillance

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(A)**

Q1(A)(ii)

Answer key: **(C)**

Q1(A)(iii)

Answer key: **(B)**

Q1(A)(iv)

Answer key: **(C)**

Q1(A)(v)

Answer key: **(B)**

ICAI · P6 · MTP Sep 2025 · Series I · question p. 10-11

387 MTP **Sep 2025 S-II** Q4(b) OR 5 marks

Also asked in MTP May 2024 S-I Q3(a)

A beverage company is launching a new line of energy drinks targeted at health-conscious consumers. The strategic manager wants to study the market position of rival companies in the energy drink segment. Which tool can be used for this analysis, and what is the procedure to implement it effectively?

ICAI'S ANSWER

To study the market position of rival companies in the energy drink segment, the strategic manager can use strategic group mapping. This tool helps identify strategic groups, which consist of rival firms with similar competitive approaches and positions in the market. The procedure for implementing strategic group mapping effectively is as follows:

1. Identify the competitive characteristics that differentiate firms in the industry typical variables that are price/quality range (high, medium, low); geographic coverage (local, regional, national, global); degree of vertical integration (none, partial, full); product-line breadth (wide, narrow); use of distribution channels (one, some, all); and degree of service offered (no-frills, limited, full).

2. Plot the firms on a two-variable map using pairs of these differentiating characteristics.

3. Assign firms that fall in about the same strategy space to the same strategic group.

4. Draw circles around each strategic group making the circles proportional to the size of the group's respective share of total industry sales revenues.

By following these steps, the strategic manager can gain valuable insights into the competitive landscape of the energy drink segment and identify potential positioning strategies for the new line of energy drinks targeted at health-conscious consumers.

ICAI · P6 · MTP Sep 2025 · Series II · question p. 15 · answer p. 24

388 MTP **Sep 2024 S-II** Q2(b) 5 marks

What are distribution channels, and why is analyzing them crucial for business expansion? Describe the three main types of channels explaining their roles in ensuring products reach customers efficiently and with the necessary support.

ICAI'S ANSWER

Channels represent the distribution system through which organizations distribute their products or provide services to customers. They play a pivotal role in reaching target markets, maximizing sales, and establishing competitive advantages.

Channel analysis is important when the business strategy is to scale up and expand beyond the current geographies and markets. When a business plans to grow to newer markets, they need to develop or leverage existing channels to get to new customers. Thus, analysis of channels that suit one's products and customers is of utmost importance.

There are typically three channels that should be considered: sales channel, product channel and service channel.

- **The sales channel** - These are the intermediaries involved in selling the product through each channel and ultimately to the end user. The key question is: Who needs to sell to whom for your product to be sold to your end user? For example, many fashion designers use agencies to sell their products to retail organizations, so that consumers can access them.
- **The product channel** - The product channel focuses on the series of intermediaries who physically handle the product on its path from its producer to the end user. This is true of Australia Post, who delivers and distributes many online purchases between the seller and purchaser when using eBay and other online stores.
- **The service channel** - The service channel refers to the entities that provide necessary services to support the product, as it moves through the sales channel and after purchase by the end user. The service channel is an important consideration for products that are complex in terms of installation or customer assistance. For example, a Bosch dishwasher may be sold in a Bosch showroom, and then once sold it is installed by a Bosch contracted plumber.

ICAI · P6 · MTP Sep 2024 · Series II · question p. 10 · answer p. 12-13

389 MTP **Sep 2024 S-II** Q4(b) OR 5 marks

A manufacturing company is in direct competition with fifteen companies at the national level. The head of marketing department of this company wishes to study the market position of rival companies by grouping them into like positions. Name the tool that may be used by him/her. Explain the procedure that may be used to implement the techniques.

ICAI'S ANSWER

A tool to identify the market positions of rival companies by grouping them into like positions is strategic group mapping. A strategic group consists of those rival firms which have similar competitive approaches and positions in the market.

The procedure for constructing a strategic group map and deciding which firms belong in which strategic group are as follows:

1. Identify the competitive characteristics that differentiate firms in the industry typical variables that are price/quality range (high, medium, low); geographic coverage (local, regional, national, global); degree of vertical integration (none, partial, full); product-line breadth (wide, narrow); use of distribution channels (one, some, all); and degree of service offered (no-frills, limited, full).

2. Plot the firms on a two-variable map using pairs of these differentiating characteristics.

3. Assign firms that fall in about the same strategy space to the same strategic group.

4. Draw circles around each strategic group making the circles proportional to the size of the group's respective share of total industry sales revenues.

ICAI · P6 · MTP Sep 2024 · Series II · question p. 10 · answer p. 15-16

390 MTP **Old P7 Nov 2023 S-I** Q1(E) 1 mark MCQ old scheme

A renowned coffee chain offers a loyalty program where customers earn points for every purchase, which can be redeemed for free drinks or snacks. This marketing technique is known as:

A Augmented Marketing

B Synchro Marketing

C Social Marketing

D Relationship Marketing

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 7

391 MTP **Old P7 Nov 2023 S-II** Q1(E) 2 marks MCQ old scheme

ABC Fashion provides early access and exclusive designs to its exclusive clientele, emphasizing personalized experiences. Which marketing type does this exemplify?

A Augmented marketing

B Service marketing

C Person marketing

D Relationship marketing

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 7

392 MTP **Old P7 May 2023 S-I** Q1(B) 2 marks MCQ old scheme

Tomtom a sneaker brand wanted to understand their competitive landscape and thus were looking for the weakest competitors to buy them and thereby decrease competition. Which of the following will be most helpful for them to begin with their plans?

A Mergers and Acquisition Planning

B BCG Growth Matrix

C Strategic Group Mapping

D GE Stop Light Matrix

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2023 · Series I · question p. 7

393 MTP **Old P7 May 2023 S-II** Q1(E) 1 mark MCQ old scheme

In case of home appliances, the concept of offering additional customer services and benefits to the customers, can be considered as

A Social Marketing

B Augmented Marketing

C Concentrated Marketing

D Differential Marketing

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP May 2023 · Series II · question p. 6

394 MTP **Old P7 Nov 2022 S-I** Q1(C) 1 mark MCQ old scheme

Big Billion Days sale by Flipkart is an example of which type of strategic marketing technique?

- A Synchro Marketing
- B Concentrated Marketing
- C Demarketing
- D Enlightened Marketing

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Nov 2022 · Series I · question p. 8

395 MTP **Old P7 Nov 2022 S-I** Q5(b) 5 marks old scheme

Same question, different ICAI answer: #363 Old P7 Exam May 2018 · #371 Old P7 RTP Nov 2023

Define the term 'Marketing'. Distinguish between social marketing and service marketing.

ICAI'S ANSWER

In general, marketing is an activity performed by business organizations. In the present day for business, it is considered to be the activities related to identifying the needs of customers and taking such actions to satisfy them in return of some consideration. The term marketing constitutes different processes, functions, exchanges and activities that create perceived value by satisfying needs of individuals.

Social marketing and service marketing are marketing strategies primarily with different orientations. Social Marketing refers to the design, implementation, and control of programs seeking to increase the acceptability of a social ideas, cause, or practice among a target group. For instance, the publicity campaign for prohibition of smoking or encouraging girl child, etc.

ICAI · Old P7 · MTP Nov 2022 · Series I · question p. 9 · answer p. 10

396 MTP **Old P7 May 2022 S-II** Q1(C) 2 marks MCQ old scheme

Dharam, an organic farming expert was consulting a group of farmers to build sustainable brand of their corn produce. He suggested to follow the strategy of the biggest player in this business. Which of the following can be used to identify such a player?

- A BCG Matrix
- B ADL Matrix
- C Dominant Force Analysis of the Industry
- D Strategic Group Mapping

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2022 · Series II · question p. 7

397 MTP **Old P7 Jul 2021 S-II** Q1(D) 2 marks MCQ old scheme

A famous restaurant enjoys full occupancy during the lunch and dinner time for last few months. In fact, many customers go back as they have to wait for their turn. Between 15:00 hours to 18:00 hours, the occupancy rate is near to nil. To raise the footfalls of customers during this lean time, the owner offers a

discount of 20% on total bill if a customer comes in these 3 hours. Whic h type of marketing strategy does the restaurant follow to attract the customers in the lean period?

- A Differential Marketing
- B Synchro-marketing
- C Place Marketing
- D Concentrated Marketing

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 6

398 MTP **Old P7 Jul 2021 S-II** Q3(b) 5 marks old scheme

Same question, different ICAI answer: #378 Old P7 RTP May 2019

What is a strategic group? Discuss the procedure for constructing a strategic group map.

ICAI'S ANSWER

A strategic group consists of those rival firms which have similar competitive approaches and positions in the market. Companies in the same strategic group can resemble one another in any of the several ways – have comparable product-line breadth, same price/quality range, same distribution channels, same product attributes, identical technological approaches, offer similar services and technical assistance and so on.

The procedure for constructing a strategic group map and deciding which firms belong in which strategic group is as follows:

- Identify the competitive characteristics that differentiate firms in the industry typical variables are price/quality range (high, medium, low); geographic coverage (local, regiona l, national, global); degree of vertical integration (none, partial, full); product-line breadth (wide, narrow); use of distribution channels (one, some, all); and degree of service offered (no-frills, limited, full).
- Plot the firms on a two-variable map using pairs of these differentiating characteristics.
- Assign firms that fall in about the same strategy space to the same strategic group.
- Draw circles around each strategic group making the circles proportional to the size of the group's respective share of total industry sales revenues.

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 7 · answer p. 8

399 MTP **Old P7 Nov 2020 S-I** Q1(E) 1 mark MCQ old scheme

'Strategic group mapping' helps in-

- A Identifying the strongest rival companies
- B Identifying weakest rival companies
- C Identifying weakest and strongest rival companies
- D None of the above

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 7

400 MTP **Old P7 May 2020 S-I** Q1(E) 1 mark MCQ old scheme

The process of creating, maintaining, and enhancing strong, value-laden relationships with customers and other stakeholder is:

A Social marketing

B Augmented marketing

C Direct marketing

D Relationship marketing

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2020 · Series I · question p. 7

401 MTP **Old P7 Nov 2019 S-I** Q1(vi) 1 mark MCQ old scheme

A campaign advocating the message of 'save water' is:

A Services Marketing

B Holistic marketing

C Social Marketing

D Direct Marketing

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 4

402 MTP **Old P7 May 2018 S-I** Q3(c) 5 marks old scheme

Mr. Banerjee is head of marketing department of a manufacturing company. His company is in direct competition with thirteen companies at national level. He wishes to study the market positions of rival companies by grouping them into like positions.

Name the tool that may be used by Mr. Banerjee? Explain the procedure that may be used to implement the technique.

ICAI'S ANSWER

A tool to study the market positions of rival companies by grouping them into like positions is strategic group mapping. Grouping competitors is useful when there are many competitors such that it is not practical to examine each one in-depth. In the given scenario there are thirteen competitors. A strategic group consists of those rival firms which have similar competitive approaches and positions in the market.

The procedure for constructing a strategic group map and deciding which firms belong in which strategic group is as follows:

- Identify the competitive characteristics that differentiate firms in the industry typical variables that are price/quality range (high, medium, low); geographic coverage (local, regional, national, global); degree of vertical integration (none, partial, full); product-line breadth (wide, narrow); use of distribution channels (one, some, all); and degree of service offered (no-frills, limited, full).
- Plot the firms on a two-variable map using pairs of these differentiating characteristics.

- Assign firms that fall in about the same strategy space to the same strategic group.
- Draw circles around each strategic group making the circles proportional to the size of the group's respective share of total industry sales revenues.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 3 · answer p. 9

3.3 Resources, capabilities and core competence

33 questions · asked in 29 ICAI documents · 6 exam papers

403 EXAM **Sep 2026** Q8(a) 5 marks

"A core competency for a firm is whatever it does best." Explain the concept of core competency. What are the conditions required to be met for a company to regard its competence as core competency ?

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P6 · Sep 2026 exam · question p. 22

404 EXAM **Sep 2024** Q7(a) 5 marks

Explain the four specific criteria of sustainable competitive advantages that a company can use to determine the capabilities that are core competencies.

ICAI'S ANSWER

Four specific criteria of sustainable competitive advantage that firms can use to determine those capabilities that are core competencies. Capabilities that are valuable, rare, costly to imitate, and non-substitutable are core competencies. i. Valuable: Valuable capabilities are the ones that allow the firm to exploit opportunities or avert the threats in its external environment. A firm created value for customers by effectively using capabilities to exploit opportunities. Finance companies build a valuable competence in financial services. In addition, to make such competencies as financial services highly successful require placing the right people in the right jobs. Human capital is important in creating value for customers. ii. Rare: Core competencies are very rare capabilities and very few of the competitors possess this. Capabilities possessed by many rivals are unlikely to be sources of competitive advantage for any one of them. Competitive advantage results only when firms develop and exploit valuable capabilities that differ from those shared with competitors. iii. Costly to imitate: Costly to imitate means such capabilities that competing firms are unable to develop easily. iv. Non-substitutable: Capabilities that do not have strategic equivalents are called non-substitutable capabilities. This final criterion for a capability to be a source of competitive advantage is that there must be no strategically equivalent valuable resources that are themselves either not rare or imitable.

ICAI · P6 · Sep 2024 exam · question p. 30-31 · answer p. 31

405 EXAM **Old P7 May 2023** Q7(b) old scheme

"The sustainability of competitive advantage and a firm's ability to earn profits from its competitive advantage depends on characteristics of resources and capabilities". Explain this statement.

ICAI'S ANSWER

The sustainability of competitive advantage and a firm's ability to earn profits from it depends, to a

great extent, upon four major characteristics of resources and capabilities which are as follows:

1. Durability: The period over which a competitive advantage is sustained depends in part on the rate at which a firm's resources and capabilities deteriorate. In industries where the rate of product innovation is fast, product patents are quite likely to become obsolete. Similarly, capabilities which are the result of the management expertise of the CEO are also vulnerable to his or her retirement or departure. On the other hand, many consumer brand names have a highly durable appeal.

2. Transferability: Even if the resources and capabilities on which a competitive advantage is based are durable, it is likely to be eroded by competition from rivals. The ability of rivals to attack position of competitive advantage relies on their gaining access to the necessary resources and capabilities. The easier it is to transfer resources and capabilities between companies, the less sustainable will be the competitive advantage which is based on them.

3. Imitability: If resources and capabilities cannot be purchased by a would-be imitator, then they must be built from scratch. How easily and quickly can the competitors build the resources and capabilities on which a firm's competitive advantage is based? This is the true test of imitability. Where capabilities require networks of organizational routines, whose effectiveness depends on the corporate culture, imitation is difficult.

4. Appropriability: Appropriability refers to the ability of the firm's owners to appropriate the returns on its resource base. Even where resources and capabilities are capable of offering sustainable advantage, there is an issue as to who receives the returns on these resources.

ICAI · Old P7 · May 2023 exam · question p. 10-11 · answer p. 11

406 **EXAM** **Old P7 May 2022** Q9(b) 5 marks old scheme

Same question, different ICAI answer: #412 RTP May 2024

There are four specific criteria of sustainable competitive advantage that firms can use to determine those capabilities that are known as core competencies. Explain.

ICAI'S ANSWER

Four specific criteria of sustainable competitive advantage that firms can use to determine those capabilities that are core competencies. Capabilities that are valuable, rare, costly to imitate, and non-substitutable are core competencies.

i. Valuable: Valuable capabilities are the ones that allow the firm to exploit opportunities or avert the threats in its external environment. A firm created value for customers by effectively using capabilities to exploit opportunities. Finance companies build a valuable competence in financial services. In addition, to make such competencies as financial services highly successful require placing the right people in the right jobs. Human capital is important in creating value for customers.

ii. Rare: Core competencies are very rare capabilities and very few of the competitors possess this. Capabilities possessed by many rivals are unlikely to be sources of competitive advantage for any one of them. Competitive advantage results only when firms develop and exploit valuable capabilities that differ from those shared with competitors.

iii. Costly to imitate: Costly to imitate means such capabilities that competing firms are unable to develop easily.

iv. Non-substitutable: Capabilities that do not have strategic equivalents are called non-substitutable capabilities. This final criterion for a capability to be a source of competitive advantage is that there

must be no strategically equivalent valuable resources that are themselves either not rare or imitable.

ICAI · Old P7 · May 2022 exam · question p. 14 · answer p. 14-15

407 EXAM **Old P7 Jan 2021** Q6 5 marks old scheme

Mohan has joined as the new CEO of XYZ Corporation and aims to make it a dominant technology company in the next five years. He aims to develop competencies for managers for achieving better performance and a competitive advantage for XYZ Corporation. Mohan is well aware of the importance of resources and capabilities in generating competitive advantage. Discuss the four major characteristics of resources and capabilities required by XYZ Corporation to sustain the competitive advantage and its ability to earn profits from it.

ICAI'S ANSWER

XYZ Corporation is aiming to transform into a dominant technology company under the leadership of Mohan, the new CEO. He aims to develop competencies for managers for achieving better performance and a competitive advantage for the corporation. Mohan is also well aware of the importance of resources and capabilities in generating and sustaining the competitive advantage. Therefore he must focus on characteristics of resources and capabilities of the corporation.

The sustainability of competitive advantage and a firm's ability to earn profits from it depends, to a great extent, upon four major characteristics of resources and capabilities which are as follows:

1. Durability: The period over which a competitive advantage is sustained depends in part on the rate at which a firm's resources and capabilities deteriorate. In industries where the rate of product innovation is fast, product patents are quite likely to become obsolete. Similarly, capabilities which are the result of the management expertise of the CEO are also vulnerable to his or her retirement or departure. On the other hand, many consumer brand names have a highly durable appeal.

2. Transferability: Even if the resources and capabilities on which a competitive advantage is based are durable, it is likely to be eroded by competition from rivals. The ability of rivals to attack position of competitive advantage relies on their gaining access to the necessary resources and capabilities. The easier it is to transfer resources and capabilities between companies, the less sustainable will be the competitive advantage which is based on them.

3. Imitability: If resources and capabilities cannot be purchased by a would-be imitator, then they must be built from scratch. How easily and quickly can the competitors build the resources and capabilities on which a firm's competitive advantage is based? This is the true test of imitability. Where capabilities require networks of organizational routines, whose effectiveness depends on the corporate culture, imitation is difficult.

4. Appropriability: Appropriability refers to the ability of the firm's owners to appropriate the returns on its resource base. Even where resources and capabilities are capable of offering sustainable advantage, there is an issue as to who receives the returns on these resources.

ICAI · Old P7 · Jan 2021 exam · question p. 12 · answer p. 12-13

408 EXAM **Old P7 Jan 2021** Q9(a) 5 marks old scheme

Core competencies provide edge to a business over its competitors. Discuss. Also, briefly state the three areas in which major core competencies are identified.

ICAI'S ANSWER

A core competence is a unique strength of an organization which may not be shared by others. Core competencies are those capabilities that are critical to a business achieving competitive advantage. In order to qualify as a core competence, the competency should differentiate the business from any other similar businesses. An organization's combination of technological and managerial know-how, wisdom and experience are a complex set of capabilities and resources that can lead to a competitive advantage compared to a competitor.

According to C.K. Prahalad and Gary Hamel, major core competencies are identified in following three areas:

1. Competitor differentiation: The Company can consider having a core competence if the competence is unique and it is difficult for competitors to imitate. This can provide a company an edge compared to competitors. It allows the company to provide better products and services to market with no fear that competitors can copy it.

2. Customer value: When purchasing a product or service it has to deliver a fundamental benefit for the end customer in order to be a core competence. It will include all the skills needed to provide fundamental benefits. The service or the product has to have real impact on the customer as the reason to choose to purchase them. If customer has chosen the company without this impact, then competence is not a core competence and it will not affect the company's market position.

3. Application of competencies to other markets: Core competence must be applicable to the whole organization; it cannot be only one particular skill or specified area of expertise. Therefore, although some special capability would be essential or crucial for the success of business activity, it will not be considered as core competence if it is not fundamental from the whole organization's point of view. Thus, a core competence is a unique set of skills and expertise, which will be used throughout the organization to open up potential markets to be exploited.

ICAI · Old P7 · Jan 2021 exam · question p. 16 · answer p. 16

409 EXAM **Old P7 May 2018** Q7(d) 2 marks old scheme

Explain the meaning of core competencies.

ICAI'S ANSWER

A core competence is a unique strength of an organization which may not be shared by others. It is defined as a combination of skills and techniques rather than individual skill or separate technique. Core competencies are those capabilities that are critical to a business achieving competitive advantage. In order to qualify as a core competence, the competency should differentiate the business from any other similar businesses.

ICAI · Old P7 · May 2018 exam · question p. 10 · answer p. 10-11

410 RTP **Sep 2026** Q11

OrthoCare Super Speciality Hospital has developed an advanced robotic knee replacement surgery programme supported by years of surgeon expertise, specialised training protocols, coordinated teamwork and a unique organisational culture. Although several competing hospitals have invested in similar robotic technology, they have been unable to achieve comparable surgical outcomes because the hospital's expertise is based on complex, tacit knowledge that cannot be easily copied. Identify the characteristics of a core competency illustrated in the above case and briefly explain it.

ICAI'S ANSWER

The characteristic of a core competency illustrated in the given case is Costly to Imitate. It means that competing firms are unable to develop or duplicate such capabilities easily. A capability becomes difficult to imitate because it is created through the superior integration of technological, physical and human resources along with organisational culture, teamwork, experience and accumulated knowledge. Such competencies are developed over time and cannot be replicated merely by acquiring similar technology or resources. In the given case, although competing hospitals have invested in robotic knee replacement technology, they have failed to achieve comparable surgical outcomes because OrthoCare's expertise is based on specialised surgeon skills, coordinated teamwork, unique organisational culture and tacit knowledge. These capabilities are deeply embedded in the organisation and are not easily transferable or replicable. Therefore, OrthoCare's robotic knee replacement programme represents a core competency that is costly to imitate, providing the hospital with a sustainable competitive advantage. Only capabilities that are valuable, rare, costly to imitate and non-substitutable qualify as core competencies and become a source of sustainable competitive advantage.

ICAI · P6 · RTP Sep 2026 · question p. 33 · answer p. 38-39

411 RTP **Sep 2024** Q4 MCQ

A small tech company focused on enhancing their main product, which became crucial across various industries due to its increased power and adaptability. Their early partnerships and smart decisions facilitated rapid growth, leading to a $5 billion valuation in just five years. According to C.K. Prahalad and Gary Hamel, which area represents the tech company's core competency?

- A Customer Value
- B Competitor Differentiation
- C Product Differentiation
- D Application to Other Markets

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · RTP Sep 2024 · question p. 34-35

412 RTP **May 2024** Q12

Also asked in MTP May 2025 S-I Q4(b)

Same question, different ICAI answer: #406 Old P7 Exam May 2022

There are four specific criteria of sustainable competitive advantage that firms can use to determine those capabilities that are known as core competencies. Explain.

ICAI'S ANSWER

Four specific criteria of sustainable competitive advantage that firms can use to determine those capabilities that are core competencies. Capabilities that are valuable, rare, costly to imitate, and non-substitutable are core competencies.

i. Valuable: Valuable capabilities are the ones that allow the firm to exploit opportunities or avert the threats in its external environment. A firm created value for customers by effectively using capabilities to exploit opportunities. Finance companies build a valuable competence in financial

services. In addition, to make such competencies as financial services highly successful requires placing the right people in the right jobs. Human capital is important in creating value for customers.

ii. Rare: Core competencies are very rare capabilities and very few of the competitors possess these. Capabilities possessed by many rivals are unlikely to be sources of competitive advantage for any one of them. Competitive advantage results only when firms develop and exploit valuable capabilities that differ from those shared with competitors.

iii. Costly to imitate: Costly to imitate means such capabilities that competing firms are unable to develop easily.

iv. Non-substitutable: Capabilities that do not have strategic equivalents are called non-substitutable capabilities. This final criterion for a capability to be a source of competitive advantage is that there must be no strategically equivalent valuable resources that are themselves either not rare or imitable.

ICAI · P6 · RTP May 2024 · question p. 36 · answer p. 41-42

413 RTP **Old P7 Nov 2023** Q2 MCQ old scheme

Big retail stores (e.g., Big Bazaar) and supermarkets have special core competenc ies in the areas of:

A. Merchandising

B. Securing supplies at lower cost

C. In-house activity management

D. Computerized stock ordering and billing systems

E. Own brand labels

Select the correct options:

- A A, C, D
- B B, D, E
- C A, B, C, D
- D A, B, D, E

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP Nov 2023 · question p. 14

414 RTP **Old P7 Dec 2021** Q10 old scheme

Core competencies provide edge to a business over its competitors.

ICAI'S ANSWER

A core competence is a unique strength of an organization which may not be shared by others. Core competencies are those capabilities that are critical to a business achieving competitive advantage. In order to qualify as a core competence, the competency should differentiate the business from any other similar businesses. An organization's combination of technological and managerial know-how, wisdom and experience are a complex set of capabilities and resources that can lead to a competitive advantage compared to a competitor.

According to C.K. Prahalad and Gary Hamel, major core competencies are identified in following three areas:

1. Competitor differentiation: The Company can consider having a core competence if the competence is unique and it is difficult for competitors to imitate. This can provide a company an edge compared to competitors. It allows the company to provide better products and services to market with no fear that competitors can copy it.

2. Customer value: When purchasing a product or service it has to deliver a fundamental benefit for the end customer in order to be a core competence. It will include all the skills needed to provide fundamental benefits. The service or the product has to have real impact on the customer as the reason to choose to purchase them. If customer has chosen the company without this impact, then competence is not a core competence and it will not affect the company's market position.

3. Application of competencies to other markets: Core competence must be applicable to the whole organization; it cannot be only one particular skill or specified area of expertise. Therefore, although some special capability would be essential or crucial for the success of business activity, it will not be considered as core competence if it is not fundamental from the whole organization's point of view. Thus, a core competence is a unique set of skills and expertise, which will be used throughout the organization to open up potential markets to be exploited.

ICAI · Old P7 · RTP Dec 2021 · question p. 17 · answer p. 20-21

415 RTP **Old P7 Nov 2020** Q9 old scheme

'Speed' is a leading retail chain, on account of its ability to operate its business at low costs. The retail chain aims to further strengthen its top position in the retail industry. The Chief executive of the retail chain is of the view that to achieve the goals they should focus on lowering the costs of procurement of products. Highlight and explain the c ore competence of the retail chain.

ICAI'S ANSWER

A core competence is a unique strength of an organization which may not be shared by others. Core competencies are those capabilities that are critical to a business achieving competitive advantage. In order to qualify as a core competence, the competency should differentiate the business from any other similar businesses. A core competency for a firm is whatever it does is highly beneficial to the organisation. 'Speed' is the leader on account of its ability to keep costs low. The cost advantage that 'Value for Money' has created for itself has allowed the retailer to price goods lower than competitors. The core competency in this case is derived from the company's ability to generate large sales volume, allowing the company to remain profitable with low profit margin.

ICAI · Old P7 · RTP Nov 2020 · question p. 17 · answer p. 20

416 RTP **Old P7 May 2020** Q4 old scheme

Capabilities that are valuable, rare, costly to imitate, and non-substitutable are core competencies. Explain these four specific criteria of sustainable competitive advantage that firms can use to determine those capabilities that are core competencies.

ICAI'S ANSWER

Four specific criteria of sustainable competitive advantage that firms can use to determine those capabilities that are core competencies. Capabilities that are valuable, rare, costly to imitate, and non-substitutable are core competencies.

i. Valuable: Valuable capabilities are the ones that allow the firm to exploit opportunities or avert the threats in its external environment. A firm created value for customers by effectively using capabilities to exploit opportunities. Finance companies build a valuable competence in financial services. In addition, to make such competencies as financial services highly successful require placing the right people in the right jobs. Human capital is important in creating value for customers.

ii. Rare: Core competencies are very rare capabilities and very few of the competitors possess this. Capabilities possessed by many rivals are unlikely to be sources of competitive advantage for any one of them. Competitive advantage results only when firms develop and exploit valuable capabilities that differ from those shared with competitors.

iii. Costly to imitate: Costly to imitate means such capabilities that competing firms are unable to develop easily. For example: Intel has enjoyed a first-mover advantage more than once because of its rare fast R&D cycle time capability that brought SRAM and DRAM integrated circuit technology, and brought microprocessors to market well ahead of the competitor. The product could be imitated in due course of time, but it was much more difficult to imitate the R&D cycle time capability.

iv. Non-substitutable: Capabilities that do not have strategic equivalents are called non-substitutable capabilities. This final criterion for a capability to be a source of competitive advantage is that there must be no strategically equivalent valuable resources that are themselves either not rare or imitable.

ICAI · Old P7 · RTP May 2020 · question p. 14 · answer p. 17

417 RTP **Old P7 Nov 2019** Q1(b) MCQ old scheme

In the questions given below select the best answer out of options (A), (B), (C), or (D):

Which of the following is not true for core competency:

- A It distinguishes a company competitively.
- B It is a source of competitive advantage.
- C It is an individual skill and separate technique.
- D It is often visible in the form of organizational functions.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP Nov 2019 · question p. 12-13

418 RTP **Old P7 Nov 2019** Q5 old scheme

Same question, different ICAI answer: #424 MTP Jan 2026 S-I

Major core competencies are identified in three areas - competitor differentiation, customer value and application to other markets. Discuss.

ICAI'S ANSWER

According to C.K. Prahalad and Gary Hamel, major core competencies are identified in three areas - competitor differentiation, customer value, and application to other markets.

- Competitor differentiation: The company can consider having a core competence if the competence is unique and it is difficult for competitors to imitate. This can provide a company an edge compared to competitors. It allows the company to provide better products or services to market with no fear that competitors can copy it.

- Customer value: When purchasing a product or service it has to deliver a fundamental benefit for the end customer in order to be a core competence. It will include all the skills needed to provide fundamental benefits. The service or the product has to have real impact on the customer as the reason to choose to purchase them. If customer has chosen the company without this impact, then competence is not a core competence.
- Application of competencies to other markets: Core competence must be applicable to the whole organization; it cannot be only one particular skill or specified area of expertise. Therefore, although some special capability would be essential or crucial for the success of business activity, it will not be considered as core competence, if it is not fundamental from the whole organization's point of view. Thus, a core competence is a unique set of skills and expertise, which will be used through out the organisation to open up potential markets to be exploited.

ICAI · Old P7 · RTP Nov 2019 · question p. 14 · answer p. 17-18

419 RTP **Old P7 May 2019** Q1(v) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

According to C.K. Prahalad and Gary Hamel, major core competencies are identified in three areas - _____, _____, and application to other markets.

A Competitor differentiation, customer value.

B Competitor differentiation, focus.

C Cost leadership, differentiation.

D Profits, growth.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP May 2019 · question p. 9

420 RTP **Old P7 May 2019** Q4 old scheme

Rohit Patel is having a small chemist shop in the central part of Ahmedabad. What kind of competencies Rohit can build to gain competitive advantage over online medic ine sellers?

ICAI'S ANSWER

Capabilities that are valuable, rare, costly to imitate, and non-substitutable are core competencies. A small chemist shop has a local presence and functions within a limited geographical area. Still it can build its own competencies to gain competitive advantage. Rohit Patel can build competencies in the areas of:

(i) Developing personal and cordial relations with the customers.

(ii) Providing home delivery with no additional cost.

(iii) Developing a system of speedy delivery that can be difficult to match by online sellers. Being in central part of city, he can create a network to supply at wider locations in the city.

(iv) Having extended working hours for convenience of buyers.

(v) Providing easy credit or a system of monthly payments to the patients consuming regular medicines.

ICAI · Old P7 · RTP May 2019 · question p. 12 · answer p. 15

421 RTP **Old P7 Nov 2018** Q7 old scheme

'Value for Money' is a leading retail chain, on account of its ability to operate its business at low costs. The retail chain aims to further strengthen its top position in the retail industry. Marshal, the CEO of the retail chain is of the view that to achieve the goals they should focus on lowering the costs of procurement of products.

Highlight and explain the core competence of the 'Value for Money' retail chain.

ICAI'S ANSWER

A core competence is a unique strength of an organization which may not be shared by others. Core competencies are those capabilities that are critical to a business achieving competitive advantage. In order to qualify as a core competence, the competency should differentiate the business from any other similar businesses. A core competency for a firm is whatever it does is highly beneficial to the organisation.

'Value for Money' is the leader on account of its ability to keep costs low. The cost advantage that 'Value for Money' has created for itself has allowed the retailer to price goods lower than competitors. The core competency in this case is derived from the company's ability to generate large sales volume, allowing the company to remain profitable with low profit margin.

ICAI · Old P7 · RTP Nov 2018 · question p. 13 · answer p. 20

422 MTP **Sep 2026 S-II** Q1(B)(iii) 1 mark MCQ

Also asked in MTP Jan 2025 S-I Q1(B)(iii)

Urbankey has a unique capability in rapid prototyping, allowing them to bring new products to market faster than the competitors. Such an advantage can be termed as?

A Market Expansion Strategy

B Core Competency

C Cost Leadership Strategy

D Appropriate SWOT Analysis

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP Sep 2026 · Series II · question p. 12

423 MTP **May 2026 S-I** Q1(B)(ii) 2 marks MCQ

A company has strong R&D capability, but competitors can easily replicate its products. However, its organisational culture enables continuous innovation which competitors cannot imitate. What is MOST likely the firm's core competency?

A R&D capability

B Product design

C Organisational culture enabling innovation

D Manufacturing efficiency

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP May 2026 · Series I · question p. 11

424 MTP **Jan 2026 S-I** Q4(b) OR 5 marks

Also asked in MTP May 2025 S-II Q3(a) · MTP Jan 2025 S-I Q4(b) · MTP Sep 2024 S-I Q4(b)

Same question, different ICAI answer: #418 Old P7 RTP Nov 2019

Major core competencies are identified in three areas - competitor differentiation, customer value and application to other markets. Discuss.

ICAI'S ANSWER

According to C.K. Prahalad and Gary Hamel, major core competencies are identified in three areas - competitor differentiation, customer value, and application to other markets.

- **Competitor differentiation:** The company can consider having a core competence if the competence is unique and it is difficult for competitors to imitate. This can provide a company an edge compared to competitors. It allows the company to provide better products or services to market with no fear that competitors can copy it.
- **Customer value:** When purchasing a product or service it has to deliver a fundamental benefit for the end customer in order to be a core competence. It will include all the skills needed to provide fundamental benefits. The service or the product has to have real impact on the customer as the reason to choose to purchase them. If customer has chosen the company without this impact, then competence is not a core competence.
- **Application of competencies to other markets:** Core competence must be applicable to the whole organization; it cannot be only one particular skill or specified area of expertise. Therefore, although some special capability would be essential or crucial for the success of business activity, it will not be considered as core competence, if it is not fundamental from the whole organization's point of view. Thus, a core competence is a unique set of skills and expertise, which will be used throughout the organisation to open up potential markets to be exploited.

ICAI · P6 · MTP Jan 2026 · Series I · question p. 12 · answer p. 23-24

425 MTP **Jan 2025 S-II** Q3(a) 5 marks

Rohit Patel has a small chemist shop in the central part of Ahmedabad. What kind of competencies Rohit can build to gain competitive advantage over online medicine sellers?

ICAI'S ANSWER

Capabilities that are valuable, rare, costly to imitate, and non-substitutable are core competencies. A small chemist shop has a local presence and functions within a limited geographical area. Still, it can build its own competencies to gain competitive advantage. Rohit Patel can build competencies in the areas of:

(i) Developing personal and cordial relations with the customers.

(ii) Providing home delivery with no additional cost.

(iii) Developing a system of speedy delivery that can be difficult to match by online sellers. Being in the central part of the city, he can create a network to supply at wider locations in the city.

(iv) Having extended working hours for convenience of buyers.

(v) Providing easy credit or a system of monthly payments to the patients consuming regular medicines.

ICAI · P6 · MTP Jan 2025 · Series II · question p. 12 · answer p. 13

426 MTP **Sep 2024 S-I** Q1(B)(i) 2 marks MCQ

TechWave, a software development firm, aims to gain a competitive edge in the rapidly evolving tech industry. To achieve this, they focus on building their strength in artificial intelligence (AI) and machine learning (ML). TechWave invests heavily in R&D, hires top talent with specialized skills, and forms partnerships with leading AI research institutions. They also provide continuous training for their employees to keep them updated with the latest advancements. By developing these, TechWave can create innovative AI-driven solutions that differentiate them from competitors and attract a growing number of clients seeking cutting-edge technology. What strategy is TechWave using to gain a competitive edge in the tech industry?

A Market segmentation

B Diversification

C Core competency building

D Cost leadership

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP Sep 2024 · Series I · question p. 9

427 MTP **Old P7 May 2022 S-I** Case scenario · Q1(A)1 to Q1(A)5 7 marks old scheme

CASE SCENARIO

Pantheon Yoga Center (PYC), situated in the dense forests of Chhattisgarh by Dr. Manohar Dasgupta, a less known meditation center is visited by affluent Indians and foreign seekers, only by invitation. The uniqueness of his methodologies remains in the fact that only a few people have been able to experience them yet.

Recently, CEO of a big investment bank approached Dr. Dasgupta to take special sessions for his management team in Los Angeles, USA - and given Dr. Dasgupta's popularity amongst business leaders, he wanted to strengthen his network as well for business purposes by building relations with him. Though Dr. Dasgupta was reluctant at first but understanding the need to publicize his practice and an offer by the CEO to get access to more corporates through this route, he took the opportunity, and called his corporate suite of sessions, the 'Shanti Classes'.

There were certain risks though; first, his techniques could be shunned by the top management as being too orthodox and old. Second, maybe they could be revealed to the outside world in a very disruptive manner, thus taking away the core uniqueness of exclusivity, and lastly, how would he monetize his methodologies if they expanded so quickly.

With above risks also came the need to build a strong team of like minded individuals who could support and propagate the ideologies in a positive fashion. For this he relied on his daughter, Sukanya. She took three months to build a team of fifty young-vibrant men and women from different backgrounds and trained them with basics and a few specializations.

PYC opened its first branch in Los Angeles, USA, and then took the opportunity to open three more in India. One each in Madhya Pradesh, Gujarat and Assam.

The center and its techniques have now been recognised globally, especially in Northern America, while Europe is still to be explored business wise. One thing that Pantheon model reassures is that strategy has no boundation with respect to product or service; it applies to each kind in its own way.

Based on the above Case Scenario, answer the Multiple-Choice Questions which are as follows:

Q1(A)1 2 marks

Core competencies cannot be built on single know how, instead it has to be integration of many resources. From the above case, what was the core competency of PYC and which of the following competencies were missing from its bunch of competencies?

- A Customer Satisfaction was the core competency and its competencies did not include meditation expertise.
- B Location of the Yoga Center was the core competency and its competencies did not include technological know-how.
- C Exclusivity was the core competency and its competencies did not include easy scalability.
- D Dr. Dasgupta's brand name was the core competency and its competencies did not include exclusivity.

Q1(A)2 2 marks out of syllabus

Suppose you are a banker funding PYC's new ventures. Please apprise the management about the third risk mentioned above and which of the functional level strategies is it associated with for PYC?

- A Associated with Delivering Value to Customer, Marketing Strategy
- B Associated with Sources of Funds, Financial Strategy
- C Associated with Free Publicity, Marketing Strategy
- D Associated with Management of Funds, Financial Strategy

Q1(A)3 1 mark

The formation of "Shanti Classes' by Dr. Dasgupta to popularise his business can be categorised as which of the following growth strategies?

- A Product Development
- B Diversification
- C Market Penetration
- D Market Development

Q1(A)4 1 mark

Which growth strategy was the CEO of the investment bank trying to achieve with Dr. Dasgupta's classes?

- A Merger
- B Diversification
- C Acquisition
- D Strategic Alliance

Q1(A)5 1 mark out of syllabus

The biggest challenge that you think Sukanya would face while implementing Human Resource Strategy for the newly trained 50 odd individuals would be?

- A Building core competency with faith in employees
- B Creating Competitive Advantage based on employee skills
- C Managing Diversity of Workforce
- D Providing Purposeful Direction

ICAI'S ANSWERS

Q1(A)1

Answer key: **(C)**

Q1(A)2

Answer key: **(B)**

Q1(A)3

Answer key: **(D)**

Q1(A)4

Answer key: **(D)**

Q1(A)5

Answer key: **(D)**

ICAI · Old P7 · MTP May 2022 · Series I · question p. 6

428 MTP **Old P7 May 2022 S-II** Q4(a) 5 marks old scheme

Also asked in Old P7 MTP Nov 2019 S-I Q4(b)

Telecom industry is growing at a rapid speed in India. There is a cut throat competition among the service providers in the industry. Identify the capabilities that will best serve as a source of competitive advantage for a firm over its rivals?

ICAI'S ANSWER

Core competencies are capabilities that serve as a source of competitive advantage for a firm over its rivals. Core competency as the collective learning in the organization, especially coordinating diverse production skills and integrating multiple streams of technologies. An organization's combination of technological and managerial know-how, wisdom and experience are a complex set of capabilities and resources that can lead to a competitive advantage compared to a competitor.

ICAI · Old P7 · MTP May 2022 · Series II · question p. 8 · answer p. 7

429 MTP **Old P7 Dec 2021 S-II** Q1(G) 1 mark MCQ old scheme

Marketing and Sales of Hindustan Unilever Limited and lowering of operating cost by Walmart are examples of what?

A Competitive Advantage

B Core Competency

C Strategic Planning

D Key Performance Indicators (KPIs)

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 7

430 MTP **Old P7 May 2019 S-II** Q1(iv) 1 mark MCQ old scheme

A core competence is all except?

A Valuable

B Rare

C Impossible to imitate

D Non-substitutable

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 4

431 MTP **Old P7 May 2019 S-II** Q2 5 marks old scheme

'Speed' is a leading retail chain, on account of its ability to operate its business at low costs. The retail chain aims to further strengthen its top position in the retail industry. The Chief executive of the retail chain is of the view that to achieve the goals they should focus on lowering the costs of procurement of products. Highlight and explain the core competence of the retail chain.

ICAI'S ANSWER

A core competence is a unique strength of an organization which may not be shared by others. Core competencies are those capabilities that are critical to a business achieving competitive advantage. In order to qualify as a core competence, the competency should differentiate the business from any other similar businesses. A core competency for a firm is whatever it does is highly beneficial to the organisation. 'Speed' is the leader on account of its ability to keep costs low. The cost advantage that 'Value for Money' has created for itself has allowed the retailer to price goods lower than competitors. The core competency in this case is derived from the company's ability to generate large sales volume, allowing the company to remain profitable with low profit margin.

ICAI · Old P7 · MTP May 2019 · Series II · question p. 6 · answer p. 7

3.4 SWOT analysis: combining external and internal analysis

16 questions · asked in 19 ICAI documents · 4 exam papers

432 EXAM **Sep 2026** Q5(c) 5 marks

NextPro Education Services has gained popularity through its classroom-based professional training programs. The organization is considering entering into international markets through a fully online certification platform. It has experienced faculty members, a strong reputation, and extensive course content. However, it has limited experience in international operations and online platform management. The increasing demand for remote learning creates new growth possibilities, while global competition and changing learner preferences present challenges. The management seeks a detailed evaluation before making a strategic decision, through a SWOT analysis approach.

(i) Briefly describe what SWOT Analysis is.

(ii) Evaluate the factors that can affect the above proposed plan through the SWOT Analysis framework.

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P6 · Sep 2026 exam · question p. 21

433 EXAM **Sep 2025** Q7(a) 5 marks

"The primary objective of SWOT analysis is to help organizations develop a full awareness of all factor involved in making a business decision." In the light of the above statement, explain why is it necessary to do SWOT analysis for business organization before using the strategy.

ICAI'S ANSWER

The primary objective of SWOT analysis is to help organizations develop a full awareness of all the factors (internal as well as external) involved in making a business decision. Hence, it becomes necessary to conduct SWOT analysis before strategy formulation for the following reasons:

- SWOT analysis identifies the Strengths and Weaknesses (internal factors) and Opportunities and Threats (external factors). This ensures that management considers all aspects before deciding on a strategic move.
- It helps in discovering recommendations and strategies with a focus on leveraging strengths and opportunities while working to overcome weaknesses and threats. This lays the base for realistic and practical strategies.
- SWOT highlights both – the areas where the business is performing well and the areas which need improvement. This helps organizations to align resources efficiently to achieve objectives.
- Periodic SWOT analysis helps organizations to check the current landscape of their business and to make necessary improvements in operations, thus keeping strategies relevant to changing circumstances.
- It places complex internal and external issues into a simple framework, making it easier for managers to identify challenges, opportunities, and competitive factors before finalizing a strategy.

Thus, SWOT analysis is a necessary step before using any strategy, as it ensures that decisions are based on both internal capabilities and external realities, thereby increasing the chances of success in achieving organizational objectives.

ICAI · P6 · Sep 2025 exam · question p. 24 · answer p. 24-25

434 EXAM **Old P7 Dec 2021** Q8(a) 5 marks old scheme

STU's association with India goes back to 1967, when it played a key role in constructing a very long highway in India spreading over multiple states. Since then, it is contributing in many ways to the country's growth story. Now it is looking at playing an active role in the key projects taken up by the central government. Suggest few Opportunities and Threats that the company should consider.

ICAI'S ANSWER

Faced with a constantly changing environment, each business unit needs to develop a marketing information system to track trends and developments, which can be categorized as an opportunity or a threat. The company has to review its strength and weakness in the background of environment's opportunities and threat, i.e., an organization's SWOT analysis.

STU is looking at playing an active role in the key projects taken up by the central government. Following are the potential opportunities and threats to STU:

Potential STU's Opportunities:

- Alliances or joint ventures with central government that expand the STU's market coverage or boost its competitive capability.
- Possibilities of working on the future projects of central government.
- Serving additional customer groups or expanding into new geographic markets.
- Utilizing existing company skills or technological know-how to enter new projects.
- Openings to take market share away from rivals.

- Openings to exploit emerging new technologies.
- Integrating forward or backward.

Potential STU's Threats:

- Due to COVID-19 pandemic, companies can have face the lockdown situation.
- Economic factors such as recession etc.
- Likely entry of potent new competitors.
- Technological changes/innovations in construction equipment.
- Costly new regulatory requirements.
- Growing bargaining power of suppliers.
- Vulnerability to industry driving forces.

ICAI · Old P7 · Dec 2021 exam · question p. 13 · answer p. 13

435 EXAM **Old P7 May 2018** Q12(b) OR 3 marks old scheme

Also asked in Old P7 RTP Jul 2021 Q10

Write a short note on SWOT analysis.

ICAI'S ANSWER

SWOT analysis is a tool used by organizations for evolving strategic options for the future. The term SWOT refers to the analysis of strengths, weaknesses, opportunities and threats facing a company. Strengths and weaknesses are identified in the internal environment, whereas opportunities and threats are located in the external environment.

(a) Strength: Strength is an inherent capability of the organization which it can use to gain strategic advantage over its competitor.

(b) Weakness: A weakness is an inherent limitation or constraint of the organisation which creates strategic disadvantage to it.

(c) Opportunity: An opportunity is a favourable condition in the external environment which enables it to strengthen its position.

(d) Threat: An unfavourable condition in the external environment which causes a risk for, or damage to the organisation's position.

The major purpose of SWOT analysis is to enable the management to create a firm-specific business model that will best align, fit or match an organisational resources and capabilities to the demands for environment in which it operates.

ICAI · Old P7 · May 2018 exam · question p. 16 · answer p. 17

436 RTP **Sep 2025** Q3 MCQ

A startup evaluates its strategic position by identifying its unique technology as a strength, high competition as a threat, an untapped market segment as an opportunity and operational inefficiencies as a weakness. It plans to use these insights to refine its business strategy. Which strategic tool is being used?

A Competitor benchmarking analysis

B SWOT analysis

C PESTEL analysis for market dynamics

D Internal capabilities evaluation

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP Sep 2025 · question p. 31

437 RTP **May 2025** Q12

Also asked in MTP May 2026 S-II Q2(b)

Same question, different ICAI answer: #445 Old P7 MTP Nov 2023 S-I

Write short note on SWOT analysis.

ICAI'S ANSWER

SWOT analysis is a tool used by organizations for evolving strategic options for the future. The term SWOT refers to the analysis of strengths, weaknesses, opportunities and threats facing a company. Strengths and weaknesses are identified in the internal environment, whereas opportunities and threats are located in the external environment.

(a) Strength: Strength is an inherent capability of the organization which it can use to gain strategic advantage over its competitor.

(b) Weakness: A weakness is an inherent limitation or constraint of the organisation which creates strategic disadvantage to it.

(c) Opportunity: An opportunity is a favourable condition in the external environment which enables it to strengthen its position.

(d) Threat: An unfavourable condition in the external environment which causes a risk for, or damage to the organisation's position. The major purpose of SWOT analysis is to enable the management to create a firm-specific business model that will best align, fit or match organisational resources and capabilities to the demands of the environment in which it operates.

ICAI · P6 · RTP May 2025 · question p. 39 · answer p. 43

438 RTP **Jan 2025** Q11

ABC Corporation, a leading manufacturer of consumer electronics, is considering launching a new line of smart home devices. As a strategic manager, conduct a SWOT analysis for ABC Corporation to assess the feasibility and potential success of this new venture. Consider both internal and external factors that could impact on the success of the new product line.

ICAI'S ANSWER

SWOT Analysis for ABC Corporation's New Smart Home Devices Venture:

Strengths	Weaknesses
• Strong brand reputation in consumer electronics.	• Limited experience in the smart home devices market.
• Established distribution network.	• May require additional investments in research and development.
• Access to technological expertise for product development.	• Potential challenges in integrating a new product line with existing offerings.
• Financial resources to support product launch and marketing.	• Lack of established customer base for smart home devices.

Opportunities	Threats
• Growing market for smart home devices due to increasing consumer interest in home automation.	• Intense competition from established players in the smart home devices market.
• The possibility of partnering with existing smart home platform providers.	• Rapid technological advancements lead to short product life cycles.
• Potential to leverage brand loyalty from existing customers.	• Potential for cybersecurity threats in connected devices.
• Ability to differentiate through innovative features and design.	• Economic factors impacting consumer spending on discretionary items.

The SWOT analysis highlights that while ABC Corporation has several strengths that can support the launch of a new smart home devices line, there are also significant weaknesses and threats to consider. To maximize the chances of success, ABC Corporation should focus on leveraging its brand reputation and distribution network while carefully addressing the weaknesses and threats identified. Additionally, being informed about technological developments and consumer trends will be essential for maintaining competitiveness in the dynamic smart home devices market.

ICAI · P6 · RTP Jan 2025 · question p. 37 · answer p. 43-44

439 RTP **Old P7 Dec 2021** Q3 MCQ old scheme

Also asked in MTP Sep 2026 S-II Q1(B)(i)

ABC is a marketing consultancy business. ABC's most recent corporate analysis has identified that three new businesses have recently entered its market and started aggressively targeting ABC's key client. As part of ABC's corporate analysis, these three new businesses would be a

A Strength

B Opportunity

C Weakness

D Threat

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP Dec 2021 · question p. 16

440 RTP **Old P7 May 2020** Q5 old scheme

What is the purpose of SWOT analysis? Why is it necessary to do a SWOT analysis before selecting a particular strategy for a business organization?

ICAI'S ANSWER

An important component of strategic thinking requires the generation of a series of strategic alternatives, or choices of future strategies to pursue, given the company's internal strengths and weaknesses and its external opportunities and threats. The comparison of strengths, weaknesses, opportunities, and threats is normally referred to as SWOT analysis.

- Strength: Strength is an inherent capability of the organization which it can use to gain strategic advantage over its competitors.
- Weakness: A weakness is an inherent limitation or constraint of the organization which creates strategic disadvantage to it.
- Opportunity: An opportunity is a favourable condition in the organisation's environment which enables it to strengthen its position.
- Threat: A threat is an unfavourable condition in the organisation's environment which causes a risk for, or damage to, the organisation's position.

SWOT analysis helps managers to craft a business model (or models) that will allow a company to gain a competitive advantage in its industry (or industries). Competitive advantage leads to increased profitability, and this maximizes a company's chances of surviving in the fast-changing, competitive environment. Key reasons for SWOT analyses are:

- It provides a logical framework.
- It presents a comparative account.
- It guides the strategist in strategy identification.

ICAI · Old P7 · RTP May 2020 · question p. 14 · answer p. 17-18

441 RTP **Old P7 Nov 2018** Q3(b) old scheme

Write short notes on the following: SWOT analysis.

ICAI'S ANSWER

SWOT analysis is a tool used by organizations for evolving strategic options for the future. The term SWOT refers to the analysis of strengths, weaknesses, opportunities and threats facing a company. Strengths and weaknesses are identified in the internal environment, whereas opportunities and threats are located in the external environment.

Strength: Strength is an inherent capability of the organization which it can use to gain strategic advantage over its competitor.

Weakness: A weakness is an inherent limitation or constraint of the organisation which creates strategic disadvantage to it.

Opportunity: An opportunity is a favourable condition in the external environment which enables it to strengthen its position.

Threat: An unfavourable condition in the external environment which causes a risk for, or damage to the organisation's position.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 17-18

442 RTP **Old P7 May 2018** Q1(b) old scheme

Briefly answer the following questions: What is an opportunity?

ICAI'S ANSWER

An opportunity is a favourable condition in the organization's environment which enables it to consolidate and strengthen its position. An example of opportunity is growing demand for the products or services that are offered by company.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 16

443 MTP **Sep 2024 S-I** Q1(b) 5 marks

GreenGardens, a small but growing organic farm, is assessing its business environment to strategically plan for future growth. The farm boasts high-quality, pesticide-free crops, but faces challenges with its limited distribution channels. As the demand for organic products continues to rise, GreenGardens recognizes the potential to broaden its market reach. However, unpredictable weather conditions and competition from larger farms present significant obstacles. To effectively navigate these challenges and opportunities, GreenGardens needs to conduct a comprehensive evaluation. Identify the type of analysis GreenGardens should conduct to strategically plan for its future growth and outline the grid.

ICAI'S ANSWER

GreenGardens should conduct a SWOT analysis to strategically plan for future growth. This analysis will help them understand their internal strengths and weaknesses, as well as external opportunities and threats.

SWOT Analysis Grid for GreenGardens:

Strengths	Weaknesses
High-quality, pesticide-free produce	Limited distribution channels
Strong brand reputation for organic products	Small scale of operations
Dedicated and knowledgeable workforce	Limited marketing and sales reach

Opportunities	Threats
Rising demand for organic products	Unpredictable weather conditions
Potential to expand into new markets	Intense competition from larger farms
Increased consumer awareness of health and sustainability	Regulatory changes affecting organic farming

By systematically evaluating these areas, GreenGardens can leverage its strengths, address its weaknesses, capitalize on opportunities, and mitigate threats. This strategic planning will guide them toward sustainable growth and success in the organic farming industry.

ICAI · P6 · MTP Sep 2024 · Series I · question p. 10 · answer p. 11-12

444 MTP **May 2024 S-II** Q3(a) 5 marks

EasyLife Corporation, a leading manufacturer of consumer electronics, is considering launching a new line of smart home devices. As a strategic manager, conduct a SWOT analysis for EasyLife Corporation to assess the feasibility and potential success of this new venture. Consider both internal and external factors that could impact the success of the new product line.

ICAI'S ANSWER

SWOT Analysis for EasyLife Corporation's New Smart Home Devices Venture:

Strengths	Weaknesses
Strong brand reputation in consumer electronics. Established distribution network. Access to technological expertise for product development. Financial resources to support product launch and marketing.	Limited experience in the smart home devices market. May require additional investments in research and development. Potential challenges in integrating a new product line with existing offerings. Lack of established customer base for smart home devices.
Opportunities	**Threats**
Growing market for smart home devices due to increasing consumer interest in home automation. Possibility of partnering with existing smart home platform providers. Potential to leverage brand loyalty from existing customers. Ability to differentiate through innovative features and design.	Intense competition from established players in the smart home devices market. Rapid technological advancements lead to short product life cycles. Potential for cybersecurity threats in connected devices. Economic factors impacting consumer spending on discretionary items.

The SWOT analysis highlights that while EasyLife Corporation has several strengths that can support the launch of a new smart home devices line, there are also significant weaknesses and threats to consider. To maximize the chances of success, EasyLife Corporation should focus on leveraging its brand reputation and distribution network while carefully addressing the weaknesses and threats identified. Additionally, staying informed about technological developments and consumer trends will be essential for maintaining competitiveness in the dynamic smart home devices market.

ICAI · P6 · MTP May 2024 · Series II · question p. 12 · answer p. 15-16

445 MTP **Old P7 Nov 2023 S-I** Q3(b) 5 marks old scheme

Same question, different ICAI answer: #437 RTP May 2025

Write short note on SWOT analysis.

ICAI'S ANSWER

SWOT analysis is a tool used by organizations for evolving strategic options for the future. The term SWOT refers to the analysis of strengths, weaknesses, opportunities and threats facing a company. Strengths and weaknesses are identified in the internal environment, whereas opportunities and threats are located in the external environment.

(a) Strength: Strength is an inherent capability of the organization which it can use to gain strategic advantage over its competitor.

(b) Weakness: A weakness is an inherent limitation or constraint of the organisation which creates strategic disadvantage to it.

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 7 · answer p. 7

446 MTP **Old P7 May 2019 S-I** Q1(xii) 1 mark MCQ old scheme

Internal _____ are activities in an organization that are performed especially well.

A Opportunities

B Competencies

C Strengths

D Management

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2019 · Series I · question p. 5

447 MTP **Old P7 Nov 2018 S-I** Q3(a) 5 marks old scheme

Why is it necessary to do a SWOT analysis before selecting a particular strategy for a business organization?

ICAI'S ANSWER

An important component of strategic thinking requires the generation of a series of strategic alternatives, or choices of future strategies to pursue, given the company's internal strengths and weaknesses and its external opportunities and threats. The comparison of strengths, weaknesses, opportunities, and threats is normally referred to as SWOT analysis.

- Strength: Strength is an inherent capability of the organization which it can use to gain strategic advantage over its competitors.
- Weakness: A weakness is an inherent limitation or constraint of the organization which creates strategic disadvantage to it.
- Opportunity: An opportunity is a favourable condition in the organisation's environment which enables it to strengthen its position.
- Threat: A threat is an unfavourable condition in the organisation's environment which causes a risk for, or damage to, the organisation's position.

SWOT analysis helps managers to craft a business model (or models) that will allow a company to gain a competitive advantage in its industry (or industries). Competitive advantage leads to increased profitability, and this maximizes a company's chances of surviving in the fast-changing, competitive environment. Key reasons for SWOT analyses are:

- **It provides a logical framework.**
- It presents a comparative account.
- It guides the strategist in strategy identification.

ICAI · Old P7 · MTP Nov 2018 · Series I · question p. 2 · answer p. 10-11

3.5 Porter's generic strategies

106 questions · asked in 56 ICAI documents · 12 exam papers

448 EXAM May 2026 Case scenario · MCQ 9 to MCQ 13 10 marks

CASE SCENARIO

Case Scenario - II Alex Motor Company was born out of crisis in a small garage on the edge of a dusty town. In the early 90s when the fuel prices soared and imported vehicles flooded the market, many automobile companies were forced to shut down their operations. Many employees lost their jobs. Ajay Sharma, a production engineer at a failing automobile plant along with ten of his colleagues, rented an abandoned garage and a portion of unused equipment from a shutdown factory and decided to start operations. Their main aim was to transform Indian auto industry by providing comprehensive, affordable and fuel-efficient vehicles. Instead of chasing volumes, the company focused on customization-adjustable cargo layouts, fuel efficient engines and easy maintenance to cater demand of narrow market. Alex Motor Company developed its first commercial model Alex One which was simple but could survive floods, heat waves, bumpy roads, and most importantly was fuel efficient. The customers loved it and hence sales grew steadily. Ajay made a simple promise that every decision would begin on the factory floor and not in the board-room. Mechanics were encouraged to suggest improvement in design and were rewarded for the best innovations, but success brought a new challenge. The younger generation demanded technology with higher connectivity, better safety systems and cleaner energy. Due to these matters Alex Motor Company lagged behind from the flashy foreign brands that entered the Indian market. As a result, sales declined and critics called the company outdated. Ajay, now the CEO of the company, faced defining choice, either to sell the company or reinvent it. Ajay's team of engineers, through participation, shared their next plan of action to the employees for the further technology upgradation, in order to gain growth and success of business. The team took the initiative to develop the good working culture and code of ethics. They focused on training and various motivational plans for employees so they can be tuned up with new working system. In this way the company made its breakthrough with the launch of Alex Electra; a hybrid vehicle designed specifically for congested urban environment. It was not just the technology that made Electra different, but the mindset. Engineers, designers and data-analysts worked side by side, decision making became faster and mistakes were treated as learning cost and not failures. Alex Motor Company also established company-owned showrooms and service centers to increase their sales and provide free after-sale services which led to improved customer services and brand image. Today Alex Motor Company's success is studied in business schools as it proved that companies that listen, learn and adapt can outlast any crisis.

Based on the above case scenario, choose the correct answer to questions no. 9 to13:

MCQ 9 2 marks

Identify the initial strategy to gain competitive advantage adopted by Alex Motor Company.

- A Growth strategy emphasizing strong and fuel-efficient vehicles.
- B Focused cost leadership strategy emphasizing fuel efficiency and easy maintenance.
- C Focused differentiation strategy emphasizing customized commercial vehicles, easy maintenance and fuel efficiency rather than mass production.
- D Expansion strategy emphasizing customized vehicles and mass production.

MCQ 10 2 marks

Use McKinsey's 7S Model to identify the soft elements that change during reinvention.

(i) Shared value

(ii) Style

(iii) Strategy

(iv) Staff

A Only (i) and (ii) are correct.

B Only (i), (iii) and (iv) are correct.

C (i), (ii), (iii) and (iv) are correct.

D Only (i), (ii) and (iv) are correct.

MCQ 11 2 marks

Strategic Management allowed Alex Motor Company to be

A More directive towards the cross-functional team to reduce communication barrier.

B Partly proactive as the company anticipated future urban mobility needs and partly reactive as the company responded to the declining sales.

C More proactive as it readily launched Alex Electra with updated technology to stay competitive.

D More authoritative in taking faster decisions.

MCQ 12 2 marks

Ajay Sharma undertook a retrenchment strategy to save his company when the sales of his company declined, and his company was called outdated. The action plan undertaken to implement it was

(i) Assessing the current problem

(ii) Providing innovative transport service

(iii) Developing an action plan with specific goals

(iv) Restructuring organizational hierarchy

Which of the above actions does not pertain to the strategy undertaken by Ajay Sharma?

A (ii) and (iv)

B (iii) and (iv)

C (i), (iii) and (iv)

D Only (iii)

MCQ 13 2 marks

The mission of Alex Motor Company was:

A To adopt new technology such as connectivity, advanced safety features and cleaner energy solutions.

B Introducing cross-functional teams so that decision making process becomes faster.

C To establish company owned showrooms and service centers to increase their sales and provide after sale services.

D To transform Indian auto industry by providing comprehensive, affordable and fuel-efficient vehicles through present capability and activities.

ICAI'S ANSWERS

MCQ 9

Answer key: **(C)**

MCQ 10

Answer key: **(D)**

MCQ 11

Answer key: **(B)**

MCQ 12

Answer key: **(A)**

MCQ 13

Answer key: **(D)**

ICAI · P6 · May 2026 exam · question p. 4-5

449 EXAM **May 2026** MCQ 14 2 marks MCQ

Altex Ltd. is a company that produces and sells home appliances. However, at present the company is facing stiff competition from the new entrants who are offering similar products at a lower price. To stay competitive the top management of the company decided to adopt the best cost provider strategy. Which of the following actions should the company take to align with their best cost provider strategy?

A Reducing the price of their products without making changes in manufacturing process and product features.

B Streamlining manufacturing processes to reduce cost, sourcing materials from cost-effective suppliers and adding innovative features to their products.

C Streamlining manufacturing processes to reduce cost with no innovation in product feature.

D Focusing solely on premium features thereby increasing the cost of the products to reflect the added value.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · May 2026 exam · question p. 7

450 EXAM **May 2026** Q5(b) 5 marks

Pearl India Ltd. is a major packaged food company which dominates in some sectors like snacks, diary, biscuits and instant meals. It offers high quality and unique products that match the taste and preference of the customers. It always takes steps to enhance brand image and charge a premium price for which buyers do not negotiate. Often the unique features of their products that are not available with their competitors help them to gain competitive advantage. Hence, using this strategy, today Pearl India Ltd. is consistently gaining its position in the industry over its competitors. Identify and explain Michael Porter's generic strategy being followed by Pearl India Ltd. to gain competitive advantage. What are the disadvantages of following such strategy?

ICAI'S ANSWER

Pearl India Ltd. is following the Differentiation Strategy propounded by Michael Porter. Differentiation strategy is aimed at a broad market and involves creation of products or services that are perceived by customers as unique. The uniqueness may be associated with product quality, features, brand image, technology or customer preferences. Because of differentiation, the business can charge a premium price and gain competitive advantage. In the given case, Pearl India Ltd. offers high quality and unique food products matching customer tastes and preferences. It continuously enhances its brand image and charges premium prices for which buyers do not negotiate. The special

features of its products help it gain a strong competitive position over rivals. Disadvantages of Differentiation Strategy

1. In the long run, uniqueness may be difficult to sustain as competitors may imitate product features.

2. Charging very high prices for differentiated products may force customers to switch to alternative products.

3. Differentiation strategy fails if the basis of differentiation is not valued by customers.

ICAI · P6 · May 2026 exam · question p. 24-25 · answer p. 26

451 **EXAM** **Jan 2026** Q6(b) **5 marks**

In a business strategy, consider a firm pursuing cost leadership to become the lowest-cost producer in its industry. For this approach to be effective, what key conditions must be present? However, cost leadership is not without its pitfalls - discuss the potential disadvantages that could undermine its effectiveness.

ICAI'S ANSWER

Cost Leadership Strategy aims at becoming the lowest-cost producer in an industry while offering products or services of acceptable quality. It enables the firm to charge lower prices than competitors and still earn satisfactory profits. Striving to be a low-cost producer in an industry can especially be effective,

- when the market is composed of many price-sensitive buyers and
- when there are few ways to achieve product differentiation.

Disadvantages of Cost Leadership Strategy

1. Cost advantage may not last long as competitors may imitate cost reduction techniques.

2. Cost leadership can succeed only if the firm can achieve higher sales volume.

3. Cost leaders tend to keep their costs low by minimizing cost of advertising, market research, and research and development, but this approach can prove to be expensive in the long run.

4. Technological advancement areas a great threat to cost leaders.

Thus, while Cost Leadership Strategy can provide a strong competitive advantage, its success depends on favourable conditions and continuous vigilance to avoid risks that may undermine its effectiveness.

ICAI · P6 · Jan 2026 exam · question p. 28 · answer p. 29-30

452 **EXAM** **Sep 2025** Q5(a) **5 marks**

ARP Motors, an automobile company, was struggling in the competitive SUV market in India. As a business strategist, you recommended that ARP launch a compact SUV that balances affordability with premium features. In response, ARP developed and introduced FLEXON, strategically pricing it and incorporating high-end features such as a 5-star Global NCAP safety rating, a modern design and an advanced technology. Furthermore, the company expanded into the electric vehicle segment with FLEXON EV, positioning it as one of the most affordable yet feature-rich electric SUVs in India. Which strategy did you recommend to ARP Motors to achieve a competitive advantage? Explain the strategy briefly and enumerate the key ways ARP Motors implemented it.

ICAI'S ANSWER

The strategy recommended to ARP Motors is the Best-Cost Provider Strategy.

Best-cost provider strategy is directed towards giving customers more value for their money by emphasizing both low cost and premium features. The objective is to keep costs and prices lower than those of other sellers of comparable products while offering better quality and superior features. Application in ARP Motors Case:

- Launch of FLEXON (Compact SUV): ARP priced FLEXON strategically at an affordable level, while at the same time incorporating premium features such as a 5-star Global NCAP safety rating, advanced technology and a modern design. This reflects the approach of offering better quality at lower or comparable prices.
- Introduction of FLEXON EV: By entering the electric vehicle market, ARP positioned FLEXON EV as one of the most affordable yet feature-rich electric SUVs in India. This aligns with the principle of charging lower prices for comparable products or offering higher quality for similar prices thereby giving customers more value for money.

ICAI · P6 · Sep 2025 exam · question p. 20-21 · answer p. 20-21

453 **EXAM** **Sep 2024** Q5(c) 5 marks

Market for baby care, readymade garments for new born, toys and strollers meant for babies are there. M/s. Maa ki Pasand is desirous to introduce new products for existing customers and new customers as well. The market for such products is narrow. On one side there are customers who are price conscious and on the other side there are customers who are ready to pay premium charges for an upscale product. The company wants to charge low price, relative to other firms that compete within the target market for customers who are price sensitive and also wants to charge premium based on uniqueness for rest of its products. Which of the strategy is being considered by the company, out of strategies as suggested by Michael Porter at business level. Also outline the advantages and disadvantages using such strategy.

ICAI'S ANSWER

The company, M/s. Maa ki Pasand, is adopting a focus strategy that incorporates both focused cost leadership and focused differentiation strategies. In the given case, M/s. Maa ki Pasand aims to target price-conscious customers by charging low prices relative to other firms within the narrow market of baby care products. This aligns with focused cost leadership, where the firm competes based on price within a targeted niche. For the segment of customers willing to pay more for premium, unique products, the company follows a focused differentiation strategy. It caters to this specific niche by offering high-end, differentiated products, which is a key feature of focused differentiation.
Advantages of using a Focus Strategy:

1. Premium prices: For the differentiated segment, the company can charge higher prices for its upscale products.

2. Expertise in niche markets: M/s. Maa ki Pasand can develop expertise in both price-sensitive and premium segments, making it difficult for rivals to compete effectively.

Disadvantages of Using a Focus Strategy:

1. Distinctive competencies required: The firm needs to have strong competencies in both cost control and product differentiation to succeed. Otherwise, it may struggle to pursue the focus strategy effectively.

2. High costs: Serving a narrow market can lead to higher costs due to limited demand, which could pose challenges in maintaining profitability, especially in the premium segment.

3. Disappearance in long run: In the long run, the niche goods can disappear or be taken over by large competitors by acquiring the same distinctive competencies. In conclusion, M/s. Maa ki Pasand is adopting a focus strategy by targeting specific customer niches with both cost leadership and differentiation. While this strategy offers opportunities for premium pricing and market expertise, it also comes with challenges related to cost control and distinctive competencies.

ICAI · P6 · Sep 2024 exam · question p. 25-26 · answer p. 28-29

454 EXAM **Old P7 Nov 2022** Q6 5 marks old scheme

Quick N Sturdy Inc., a multinational company, is undergoing feasibility study to introduce new luxury and sports car for specific group of customers. The product is meant for customers with distinctive preferences and special requirements. The product is not a standard one and as such the target market is also narrow. Company knows that demand for the product is large enough to be profitable for the company, but small enough to be ignored by other major industry players. The company wants to position itself in the niche market with the prime consideration to offer unique features in the product for the target market.

In the given situation, identify the generic strategy as suggested by Michael Porter. Also state the advantages and disadvantages of such strategy.

ICAI'S ANSWER

Quick N Sturdy Inc. has adopted Focused Differentiation Strategy which is one of the Michael Porter's Generic strategies. A focused differentiation strategy requires offering unique features that fulfil the demands of a narrow market. Some firms using a focused differentiation strategy concentrate their efforts on a particular sales channel, such as selling over the internet only. Others target particular demographic groups. Firms that compete based on uniqueness and target a narrow market are following a focused differentiation strategy.

Advantages of Focused Strategy

1. Premium prices can be charged by the organisations for their focused product/services.

2. Due to the tremendous expertise in the goods and services that the organisations following focus strategy offer, rivals and new entrants may find it difficult to compete.

Disadvantages of Focused Strategy

1. The firms lacking in distinctive competencies may not be able to pursue focus strategy.

2. Due to the limited demand of product/services, costs are high, which can cause problems.

3. In the long run, the niche could disappear or be taken over by larger competitors by acquiring the same distinctive competencies.

ICAI · Old P7 · Nov 2022 exam · question p. 13 · answer p. 13

455 EXAM **Old P7 Nov 2022** Q8(b) 5 marks old scheme

What is cost leadership strategy? Under what circumstances an organization can gain competitive advantages from cost leadership strategy? Is there any risk in pursuing cost leadership strategy?

ICAI'S ANSWER

Cost leadership strategy emphasizes producing standardized products at a very low per-unit cost for consumers who are price-sensitive. It frequently results from productivity increases and aggressive pursuit of cost reduction throughout the development, production, marketing, and distribution processes. It allows a firm to earn higher profits than its competitors.

The circumstances in which an organization can gain competitive advantages from cost leadership strategy are:

- when the market is composed of many price-sensitive buyers.
- when there are few ways to achieve product differentiation.
- when buyers do not care much about differences from brand to brand.
- when there are a large number of buyers with significant bargaining power.

The basic idea is to underprice competitors and thereby gain market share driving some of the competitors out of the market.

Some risks of pursuing cost leadership are:

- that competitors may imitate the strategy, therefore driving overall industry profits down
- that technological breakthroughs in the industry may make the strategy ineffective; or that buyer interests may swing to other differentiating features besides price.

ICAI · Old P7 · Nov 2022 exam · question p. 15-16 · answer p. 16

456 **EXAM** **Old P7 Dec 2021** Q6 5 marks old scheme

Inspite of high commodity inflation, shortage of components and the threat of third wave of COVID-19 pandemic in India, manufacturers of packaged goods, home appliances and consumer electronics are expecting the business to grow by 12 to 25 percent in the coming months. After one-and-a-half years of disruption, manufacturers are now confident about managing their inventories better, keeping their supply channels well-stocked and preparing themselves to minimalize the impact of any COVID related restrictions even as they gear up for the festive season, which usually accounts for 25 to 35 percent of their yearly sales.

The home appliances sector could be an example. After a dismal April-June quarter in the year 221; producers of air conditioners, refrigerators and washing machines are expecting their business to grow by 15-20 percent in the months to come. All the companies operating in the sector have geared up to grab the opportunities available in the market.

A leading company in the home appliances domain, XXP India, is planning to launch various innovative product designs and offer loyalty programmes to lure consumers.

With reference to Michael Porter's generic strategies, identify which strategy XXP India has planner for? Explain how this strategy will be advantageous to the company to remain profitable?

ICAI'S ANSWER

According to Michael Porter, strategies allow organizations to gain competitive advantage from three different bases: cost leadership, differentiation, and focus. Porter called these base generic strategies.

XXP India Ltd. has planned for Differentiation Strategy. The company is planning to launch various innovative product designs and offer loyalty programmes to lure customers. Differentiation strategy should be pursued only after a careful study of buyers' needs and preferences to determine the feasibility of incorporating one or more differentiating features into a unique product that features

the desired attributes. A successful differentiation strategy allows a firm to charge a higher price for its product and to gain customer loyalty, because consumers may become strongly attached to the differentiated features.

Advantages of Differentiation Strategy

A differentiation strategy may help an organisation to remain profitable even with rivalry, new entrants, suppliers' power, substitute products, and buyers' power.

1. Rivalry - Brand loyalty acts as a safeguard against competitors. It means that customers will be less sensitive to price increases, as long as the firm can satisfy the needs of its customers.

2. Buyers – They do not negotiate for price as they get special features, and they have fewer options in the market.

3. Suppliers – Because differentiators charge a premium price, they can afford to absorb higher costs of supplies as the customers are willing to pay extra too.

4. Entrants – Innovative features are an expensive offer. So, new entrants generally avoid these features because it is tough for them to provide the same product with special features at a comparable price.

5. Substitutes – Substitute products can't replace differentiated products which have high brand value and enjoy customer loyalty.

ICAI · Old P7 · Dec 2021 exam · question p. 10 · answer p. 10-11

457 **EXAM** **Old P7 Jan 2021** Q8(b) 5 marks old scheme

Also asked in Old P7 MTP Dec 2021 S-I Q5(a)

Spacetek Pvt. Ltd. is an IT company. Although there is cut throat competition in the IT sector, Spacetek deals with distinctive niche clients and is generating high efficiencies for serving such niche market. Other rival firms are not attempting to specialize in the same target market. Identify the strategy adopted by Spacetek Pvt. Ltd. and also explain the advantages and disadvantages of that strategy.

ICAI'S ANSWER

Spacetek Pvt. Ltd. company has adopted Focus strategy which is one of the Michael Porter's Generic strategies. Focus strategies are most effective when consumers have distinctive preferences or requirements and when rival firms are not attempting to specialize in the same target segment. An organization using a focus strategy may concentrate on a particular group of customers, geographic markets, or on particular product-line segments in order to serve a well-defined but narrow market better than competitors who serve a broader market.

Advantages of Focus Strategy

1. Premium prices can be charged by the organizations for their focused product/services.

2. Due to the tremendous expertise about the goods and services that organizations following focus strategy offer, rivals and new entrants may find it difficult to compete.

Disadvantages of Focus Strategy

1. The firms lacking in distinctive competencies may not be able to pursue focus strategy.

2. Due to the limited demand of product/services, costs are high which can cause problems.

3. In the long run, the niche could disappear or be taken over by larger competitors by acquiring the same distinctive competencies.

ICAI · Old P7 · Jan 2021 exam · question p. 14-15 · answer p. 15

458 EXAM **Old P7 Nov 2020** Q6 5 marks old scheme

ABC Ltd. is a beverage manufacturing company. It chiefly manufactures soft drinks. The products are priced on the lower side which has made the company a leader in the business. Currently it is holding 35 percent market share. The R & D of company developed a formula for manufacturing sugar free beverages. On successful trial and approval by the competent authorities, company was granted to manufacture sugar free beverages. This company is the pioneer to launch sugar free beverages which are sold at a relatively higher price. This new product has been accepted widely by a class of customers. These products have proved profitable for the company. Identify the strategy employed by the company ABC Ltd. and mention what measures could be adopted by the company to achieve the employed strategy.

ICAI'S ANSWER

According to Porter, strategies allow organizations to gain competitive advantage from three different bases: cost leadership, differentiation, and focus. Porter called these base generic strategies.

ABC Ltd. has opted Differentiation Strategy. The company has invested huge amount in R & D and developed a formula for manufacturing sugar free beverages to give the customer value and quality. They are pioneer and serve specific customer needs that are not met by other companies in the industry. The new product has been accepted by a class of customers. Differentiated and unique sugar free beverages enable ABC Ltd. to charge relatively higher for its products hence making higher profits and maintain its competitive position in the market. Sugar free beverage of ABC Ltd. is being accepted widely by a class of customers. Differentiation strategy is aimed at broad mass market and involves the creation of a product or service that is perceived by the customers as unique. The uniqueness can be associated with product design, brand image, features, technology, and dealer network or customer service.

Achieving Differentiation Strategy

To achieve differentiation, following strategies are generally adopted by an organization:

1. Offer utility to the customers and match products with their tastes and preferences.

2. Elevate/Improve performance of the product.

3. Offer the high-quality product/service for buyer satisfaction.

4. Rapid product innovation to keep up with dynamic environment.

5. Taking steps for enhancing brand image and brand value.

6. Fixing product prices based on the unique features of product and buying capacity of the customer.

ICAI · Old P7 · Nov 2020 exam · question p. 11 · answer p. 11-12

459 EXAM **Old P7 Nov 2019** Q10(b) OR 5 marks old scheme

Same question, different ICAI answer: #477 Old P7 RTP Jul 2021

Write a short note on the concept of cost leadership strategy and how to achieve it?

ICAI'S ANSWER

Cost leadership strategy requires vigorous pursuit of cost reduction in the areas of procurement, production, storage and distribution of product or service and also economies in overhead costs.

Accordingly, the cost leader is able to charge a lower price for its products than its competitors and still make satisfactory profits. The low cost leadership should be such that no competitors are able to imitate so that it can result in sustainable competitive advantage to the cost leader firm.

To achieve cost leadership, following are the actions that could be taken:

1. Forecast the demand of a product or service promptly.

2. Optimum utilization of the resources to get cost advantages.

3. Achieving economies of scale leads to lower per unit cost of product/service.

4. Standardisation of products for mass production to yield lower cost per unit.

5. Invest in cost saving technologies and try using advance technology for smart working.

6. Resistance to differentiation till it becomes essential.

ICAI · Old P7 · Nov 2019 exam · question p. 13 · answer p. 14

460 EXAM **Old P7 May 2019** Q9(b) 5 marks old scheme

Also asked in Old P7 MTP Nov 2022 S-I Q4(b)

What do you mean by differentiation strategy? How is it achieved?

ICAI'S ANSWER

Differentiation strategy is aimed at broad mass market and involves the creation of a product or service that is perceived by the customers as unique. The uniqueness can be associated with product design, brand image, features, technology, dealer network or customer service. Because of differentiation, the business can charge a premium for its product.

Differentiation strategy should be pursued only after a careful study of buyers' needs and preferences to determine the feasibility of incorporating one or more differentiating features into a unique product that features the desired attributes.

To achieve differentiation, following measures can be adopted by an organization:

1. Offer utility for the customers and match the products with their tastes and preferences.

2. Elevate the performance of the product.

3. Offer the promise of high quality product/service for buyer satisfaction.

4. Rapid product innovation.

5. Taking steps for enhancing image and its brand value.

6. Fixing product prices based on the unique features of the product and buying capacity of the customer.

ICAI · Old P7 · May 2019 exam · question p. 13 · answer p. 14

461 EXAM **Old P7 Nov 2018** Q9(b) 5 marks old scheme

Sohan and Ramesh are two friends who are partners in their business of making biscuits. Sohan believe in making profits through selling more volume of products. Hence, he believes in charging lesser price to the customers. Ramesh, however of the opinion that higher price should be charged to create an image of exclusivity and for this, he proposes that the product to undergo some change.

Analyse the nature of generic strategy used by Sohan and Ramesh.

ICAI'S ANSWER

Considering the generic strategies of Porter there are three different bases: cost leadership, differentiation and focus. Sohan and Ramesh are contemplating pricing for their product.

Sohan is trying to have a low price and high volume are thereby trying for cost leadership. Cost leadership emphasizes producing standardised products at a very low per unit cost for consumers who are price sensitive.

Ramesh desires to create perceived value for the product and charge higher prices. He is trying to adopt differentiation. Differentiation is aimed at producing products and services considered unique industry wide and directed at consumers who are relatively price insensitive.

ICAI · Old P7 · Nov 2018 exam · question p. 13 · answer p. 14

462 EXAM **Old P7 May 2018** Q7(a) 2 marks old scheme

Explain the concept of competitive advantage.

ICAI'S ANSWER

Competitive advantage is the position of a firm to maintain and sustain a favorable market position when compared to the competitors. Competitive advantage is ability to offer buyers something different and thereby providing more value for the money. It is achieved advantage over rivals when a company's profitability is greater than average profitability of firms in its industry. It is the result of a successful strategy. This position gets translated into higher market share, higher profits when compared to those that are obtained by competitors operating in the same industry. Competitive advantage may also be in the form of low cost relationship in the industry or being unique in the industry along dimensions that are widely valued by the customers in particular and the society at large.

ICAI · Old P7 · May 2018 exam · question p. 10 · answer p. 10

463 RTP **Sep 2026** Q13

Elite Motors Ltd., a luxury automobile manufacturer, exclusively targets ultra-high-net-worth individuals by offering premium cars with bespoke features such as hand-stitched leather interiors, personalised design options, and superior craftsmanship that are not available in mass-market vehicles. The company deliberately serves a narrow customer segment and differentiates its products through exceptional quality and exclusivity rather than competing on price. Identify the Porter's Generic Strategy and explain the strategy with suitable justification.

ICAI'S ANSWER

The Porter's Generic Strategy illustrated in the case is Focused Differentiation Strategy. A Focused Differentiation Strategy involves concentrating on a narrow and well-defined market segment and offering products or services with unique attributes that are valued by customers. The objective is to satisfy the specific needs of a niche market by providing superior quality, exclusivity, innovation or customised features. Customers in this segment are willing to pay a premium price for the differentiated offerings. In the given case, Elite Motors Ltd. exclusively targets ultra-high-net-worth individuals, indicating a narrow customer segment. It differentiates its luxury automobiles through bespoke features such as hand-stitched leather interiors, personalised design options and superior craftsmanship, which are unavailable in mass-market vehicles. The company competes on the basis of uniqueness and exclusivity rather than price. Hence, the company is adopting Porter's Focused

Differentiation Strategy, as it combines a focus on a niche market with product differentiation to achieve a sustainable competitive advantage.

ICAI · P6 · RTP Sep 2026 · question p. 34 · answer p. 40

464 RTP **May 2026** Q5 MCQ

VitaGlow Naturals Ltd., a personal care company, launches a new herbal shampoo "HerbaSilk" that is sulphate-free, prevents hair fall and contains rare botanical extracts sourced from the Himalayas. Customers perceive it as superior to ordinary shampoos. The company prices HerbaSilk 25% higher than its regular shampoo range and sales rise strongly due to its perceived uniqueness. Identify the strategy adopted by VitaGlow Naturals Ltd.:

A Cost leadership strategy

B Focus strategy

C Differentiation strategy

D Best-cost provider strategy

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · RTP May 2026 · question p. 33

465 RTP **May 2025** Q11

EliteWheels Ltd. is a luxury automobile manufacturer that caters to affluent customers seeking exclusivity and high-end features. The company offers premium vehicles with cutting-edge technology, showed customization options, and top-tier customer service. Unlike mass-market car brands, EliteWheels Ltd. charges a significant premium for its automobiles, ensuring that only a niche segment of customers can afford them. Additionally, the company invests heavily in advanced engineering and innovation to maintain its superior quality and brand prestige. Identify and explain the strategy adopted by EliteWheels Ltd.

ICAI'S ANSWER

According to Michael Porter, competitive advantage can be derived from three generic strategies: cost leadership, differentiation, and focus. EliteWheels Ltd. targets a niche market segment by offering unique and high-value automobiles tailored to the needs of affluent consumers. While the company manages its costs efficiently, it does not compromise on the quality or exclusivity of its products. By maintaining superior craftsmanship, advanced technology, and high personalization levels, the brand commands a premium price for its vehicles. Thus, the strategy adopted by EliteWheels Ltd. is Focused Differentiation. A focused differentiation strategy involves offering distinctive features that cater to a specific market segment. Companies employing this strategy may target a specific customer demographic, geographic region, or sales channel. Firms that compete based on uniqueness and focus on a specialized market segment follow a Focused Differentiation Strategy.

ICAI · P6 · RTP May 2025 · question p. 38 · answer p. 43

466 RTP **Sep 2024** Q11

Inspite of high commodity inflation, shortage of components and the threat of third wave of COVID-19 pandemic in India, manufacturers of packaged goods, home appliances and consumer electronics are

expecting the business to grow by 12 to 25 percent in the coming months. After one-and-a-half years of disruption, manufacturers are now confident about managing their inventories better, keeping their supply channels well-stocked and preparing themselves to minimalize the impact of any COVID related restrictions even as they gear up for the festive season, which usually accounts for 25 to 35 percent of their yearly sales. The home appliances sector could be an example. After a dismal April- June quarter in the year 2021, producers of air conditioners, refrigerators and washing machines are expecting their business to grow by 15-20 percent in the months to come. All the companies operating in the sector have geared up to grab the opportunities available in the market. A leading company in the home appliances domain, XXP India, is planning to launch various innovative product designs and offer loyalty programmes to lure consumers. With reference to Michael Porter's generic strategies, identify which strategy XXP India has planner for? Explain how this strategy will be advantageous to the company to remain profitable?

ICAI'S ANSWER

According to Michael Porter, strategies allow organizations to gain competitive advantage from three different bases: cost leadership, differentiation, and focus. Porter called these base generic strategies. XXP India Ltd. has planned for Differentiation Strategy. The company is planning to launch various innovative product designs and offer loyalty programmes to lure customers. Differentiation strategy should be pursued only after a careful study of buyers' needs and preferences to determine the feasibility of incorporating one or more differentiating features into a unique product that features the desired attributes. A successful differentiation strategy allows a firm to charge a higher price for its product and to gain customer loyalty, because consumers may become strongly attached to the differentiated features. Advantages of Differentiation Strategy A differentiation strategy may help an organisation to remain profitable even with rivalry, new entrants, suppliers' power, substitute products, and buyers' power.

1. Rivalry - Brand loyalty acts as a safeguard against competitors. It means that customers will be less sensitive to price increases, as long as the firm can satisfy the needs of its customers.

2. Buyers – They do not negotiate for price as they get special features, and they have fewer options in the market.

3. Suppliers – Because differentiators charge a premium price, they can afford to absorb higher costs of supplies as the customers are willing to pay extra too.

4. Entrants – Innovative features are an expensive offer. So, new entrants generally avoid these features because it is tough for them to provide the same product with special features at a comparable price.

5. Substitutes – Substitute products can't replace differentiated products which have high brand value and enjoy customer loyalty.

ICAI · P6 · RTP Sep 2024 · question p. 36-37 · answer p. 41-42

467 RTP **May 2024** Q4 MCQ

Mukul faced intense competition in an undifferentiated industry. To address this, he opted for a cost-cutting strategy to attract customers with lower pricing. Which factor could pose a risk to Mukul's cost-cutting strategy?

A Prompt forecasting of demand for the product or service

B Investing in cost-saving technologies and using advanced technology for smart, efficient working

C Technological breakthroughs in the industry

D Resistance to differentiation until it becomes essential

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · RTP May 2024 · question p. 33-34

468 RTP **May 2024** Q11

ABC Ltd. is a beverage manufacturing company. It chiefly manufactures soft drinks. The products are priced on the lower side, which has made the company a leader in the business. Currently it holds 35 percent of the market share. The R & D of the company developed a formula for manufacturing sugar-free beverages. On successful trial and approval by the competent authorities, the company was granted to manufacture sugar free beverages. This company is the pioneer to launch sugar free beverages which are sold at a relatively higher price. This new product has been accepted widely by a class of customers. These products have proved profitable for the company. Identify the strategy employed by the company ABC Ltd. and mention what measures could be adopted by the company to achieve the employed strategy.

ICAI'S ANSWER

According to Porter, strategies allow organizations to gain competitive advantage from three different bases: cost leadership, differentiation, and focus. Porter called these base generic strategies. ABC Ltd. has opted for the Differentiation Strategy. The company has invested a huge amount in R & D and developed a formula for manufacturing sugar-free beverages to give the customer value and quality. They are pioneers and serve specific customer needs that are not met by other companies in the industry. The new product has been accepted by a class of customers. Differentiated and unique sugar-free beverages enable ABC Ltd. to charge relatively higher for its products, hence making higher profits and maintaining its competitive position in the market. Sugar free beverage of ABC Ltd. is being accepted widely by a class of customers. Differentiation strategy is aimed at a broad mass market and involves the creation of a product or service that is perceived by the customers as unique. The uniqueness can be associated with product design, brand image, features, technology, and dealer network or customer service. Achieving Differentiation Strategy To achieve differentiation, following strategies are generally adopted by an organization:

1. Offer utility to the customers and match products with their tastes and preferences.
2. Elevate/Improve performance of the product.
3. Offer a high-quality product/service for buyer satisfaction.
4. Rapid product innovation to keep up with dynamic environment.
5. Taking steps to enhance brand image and brand value.
6. Fixing product prices based on the unique features of product and buying capacity of the customer.

ICAI · P6 · RTP May 2024 · question p. 35 · answer p. 40-41

469 RTP **Old P7 Nov 2023** Q17 old scheme

Same question, different ICAI answer: #475 Old P7 RTP Dec 2021 · #504 Old P7 MTP May 2023 S-I

Explain in brief the various basis of differentiation strategy.

ICAI'S ANSWER

There are several basis of differentiation, major being: Product, Pricing and Org anization. Product: Innovative products that meet customer needs can be an area where a company has an advantage over competitors. However, the pursuit of a new product offering can be costly – research and development, as well as production and marketing costs can all add to the cost of production and distribution. The payoff, however, can be great as customer's flock to be among the first to have the new product.

Pricing: It fluctuates based on its supply and demand and may also be influenced by the customer's ideal value for a product. Companies that differentiate based on product price can either determine to offer the lowest price or can attempt to establish superiority through higher prices.

Organisation: Organisational differentiation is yet another form of differentiation. Maximizing the power of a brand or using the specific advantages that an organization possesses can be instrumental to a company's success. Location advantage, name recognition and customer loyalty can all provide additional ways for a company differentiate itself from the competition.

ICAI · Old P7 · RTP Nov 2023 · question p. 16 · answer p. 20-21

470 RTP **Old P7 May 2023** Q15 old scheme

Domolo is a premium cycle and cycling equipments brand which targets high spending customer with a liking for quality and brand name. Their cycles range from rupees fifteen thousand to rupees one lac. The recent trend of fitness through cycling has created humongous demand for cycles and peripherals like helmets, lights, braking systems, fitness applications, etc. The customer base has grown 150% in the last three months. Mr. Vijay, who is an investor wants to tap in this industry and bring about cheaper options to people who cannot spend so much. Which business level strategy would best suit for Mr. Vijay's idea and what are the major sub-strategies that can be implemented to capture maximum market?

ICAI'S ANSWER

The Best Cost Provider strategy would ensure a better reach to the not so affluent customers and provide them with good quality cycles and equipments, thus tapping in on the increasing trend of cycling.

Two sub-strategies that can be implemented are:

1. Offering lower prices than rivals for the same quality of products

2. Charging same prices for better quality of products

The idea of Mr. Vijay is to provide almost same quality of products in terms of functionality if not so in terms of branding, to customer who do not have huge sums of money to pay. Thus, sub-strategy number one, offering lower prices for almost same quality should be implemented to become the best cost provider of cycles and related equipments in the market.

ICAI · Old P7 · RTP May 2023 · question p. 18-19 · answer p. 24

471 RTP **Old P7 Nov 2022** Q14 old scheme

Same question, different ICAI answer: #479 Old P7 RTP Nov 2020

Airlines industry in India is highly competitive with several players. Businesses face severe competition and aggressively market themselves with each other. Luxury Jet is a private Delhi based company with a fleet size of 9 small aircrafts with seating capacity ranging between 6 seats to 9 seats. There aircrafts are

chartered by big business houses and high net worth individuals for their personalised use. With customised tourism packages their aircrafts are also often hired by foreigners. Identify and explain the Michael Porter's Generic Strategy followed by Luxury Jet.

ICAI'S ANSWER

The Airlines industry faces stiff competition. However, Luxury Jet has attempted to create a niche market by adopting focused differentiation strategy. A focused differentiation strategy requires offering unique features that fulfil the demands of a narrow market. Luxury Jet compete in the market based on uniqueness and target a narrow market which provides business houses, high net worth individuals to maintain strict schedules. The option of charter flights provided several advantages including, flexibility, p rivacy, luxury and many a times cost saving. Apart from conveniences, the facility will provide time flexibility. Travelling by private jet is the most comfortable, safe and secure way of flying your company's senior business personnel.

Chartered services in airlines can have both business and private use. Personalized tourism packages can be provided to those who can afford it.

ICAI · Old P7 · RTP Nov 2022 · question p. 17 · answer p. 22

472 RTP **Old P7 May 2022** Q15 old scheme

A business consultancy firm specializes in environment management consultancy. It advises client companies on how to set up environmental management accounting systems. For measuring recording and analyzing environmental costs. A large part of its business involves performing environmental audits to check whether companies have achieved an international assurance standard in environmental management; this is something that rival consultancy firms do not do. The firm also carries out other management consultancy projects for client, but these make up only a small proportion of its total annual fee income.

Identify the strategy categories by Michael Porter which best describes the strategy of this firm.

ICAI'S ANSWER

By concentrating mainly on the 'market' for consultancy services in environmental management, the firm is pursuing a focus strategy. By offering audit services, which rival firms do not, this indicates a differentiation strategy within this chosen mark et niche. Hence, the firm is following Focus differentiation strategy.

A focused differentiation strategy requires offering unique features that fulfil the demands of a narrow market. Similar to focused low-cost strategy, narrow markets are defined in different ways in different settings. Some firms using a focused differentiation strategy concentrate their efforts on a particular sales channel, such as selling over the internet only. Others target particular demographic groups. Firms that compete based o n uniqueness and target a narrow market are following a focused differentiations strategy.

ICAI · Old P7 · RTP May 2022 · question p. 18-19 · answer p. 23

473 RTP **Old P7 Dec 2021** Case scenario · Q1(i) to Q1(v) old scheme

CASE SCENARIO

O-Farm, an organic farm products brand has been operating in India since 2014. It has had a decent history of business with revenue of ₹ 50 crores in the previous year and a Compound Annual Growth Rate (CAGR) of 11% year on year.

While the company operated on “Kisaan Kalyan” i.e., farmer friendly agenda since its inception, the rough times ahead seem to call for changes. The recent amendments in Agriculture laws, though indirectly related to organic farming, have posed immense threat to how the business operates. The leaders have been proactive in shifting gears and budgeted funds for shifting focus to “Upbhokta Sewa”, i.e., customer orientation. To create newer demands and position themselves against the local farming practice changes, they reached out to West Asian and African Nations for their farm inputs, just like many other small traders from their segment. Accordingly, they ordered dry fruits from Afghanistan, whole wheat from Nigeria, and citrus fruits from Turkey. This has helped them get raw inputs at cheaper than usual rates and even better contractual terms, thus, reducing input costs and thereby, passing on the surplus margins to customers.

Further, the marketing team roped in big cricket stars and many social media influencers to aware customers about the brand’s customer orientation and product benefits. But, as the focus was on minimal spending, the team smartly locked in affiliate marketing terms with the influencers and even celebrities, instead of upfront promotion fee. This also helped in saving a lot of cost initially.

With the changing environment in the Indian subcontinent around agriculture production, the team is confident with its strategic positioning. The sales have been just at the break - even bars for now, and the projected CAGR is 19% year on year, taking the sales volume to 10X in the next 4 years.

Farming has been a respected profitable business with big players as huge as oil companies. Nonetheless, it is complex, as it involves a lot of stakeholders, especially as it still remains a labour intensive industry.

Based on the above Case Scenario, answer the Multiple Choice Questions.

Q1(i)

O-Farm’s new strategy implementation as a result of amendment of Agriculture laws by the government, resonates with which of the following statements?

- A Organisational operations are highly influenced by ripple effect of environmental changes.
- B Organisational structure is highly influenced by ripple effect of environmental changes.
- C Organisational operations are not affected by the ripple effect of environmental changes.
- D Organisational structure can influence the environmental changes.

Q1(ii)

The shift of O-Farm from “Kisaan Kalyan” to “Upbhokta Sewa” is a change in?

- A Mission
- B Vision
- C Promotion
- D Product

Q1(iii)

Which of the following was the first and major advantage for O-Farm that helped them achieve Cost Leadership in the market?

- A Economies of Scale was achieved very early on
- B Prompt forecast of product’s demand
- C Becoming customer oriented

D Well negotiated purchase contracts

Q1(iv)

O-Farm's marketing strategy is an example of which of the following marketing strategies?

A Person Marketing

B Augmented Marketing

C Enlightened Marketing

D Synchro Marketing

Q1(v)

The brand has achieved cost leadership through multiple strategies, but it would be a constant challenge to sustain this leadership because of which of the following reasons?

A Competitors would imitate its modus operandi.

B Marketing cost will be huge as volumes increase given its choice of marketing strategy.

C Change in Agriculture Laws shall disrupt its supply chain time and gain.

D Sales volume will have to outperform its own targets and even that of competitors.

ICAI'S ANSWERS

Q1(i)

Answer key: **(A)**

Q1(ii)

Answer key: **(B)**

Q1(iii)

Answer key: **(D)**

Q1(iv)

Answer key: **(C)**

Q1(v)

Answer key: **(B)**

ICAI · Old P7 · RTP Dec 2021 · question p. 14

474 RTP **Old P7 Dec 2021** Q4 MCQ old scheme

Trekking Poles is a small company based in the Himalayan ranges in India. It is known in the region for its hill walking sticks. Trekking Poles sell specialist walking equipment in their small shop at the foot of the mountains. They do not have a website yet are able to sell their products at premium prices. Which of the following one of Porter's generic strategies best fits Trekking Poles?

A Cost leadership

B Differentiation

C Focused cost leadership

D Focused differentiation

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP Dec 2021 · question p. 16

475 RTP **Old P7 Dec 2021** Q16 old scheme

Same question, different ICAI answer: #469 Old P7 RTP Nov 2023 · #504 Old P7 MTP May 2023 S-I

Explain in brief the various basis of differentiation strategy.

ICAI'S ANSWER

There are several basis of differentiation, major being: Product, Pricing and Organization. Product: Innovative products that meet customer needs can be an area where a company has an advantage over competitors. However, the pursuit of a new product offering can be costly – research and development, as well as production and marketing costs can all add to the cost of production and distribution. The payoff, however, can be great as customer's flock to be among the first to have the new product.

Pricing: It fluctuates based on its supply and demand and may also be influenced by the customer's ideal value for a product. Companies that differentiate based on product price can either determine to offer the lowest price or can attempt to establish superiority through higher prices.

Organisation: Organisational differentiation is yet another form of differentiation. Maximizing the power of a brand or using the specific advantages that an organization possesses can be instrumental to a company's success. Location advantage, name recognition and customer loyalty can all provide additional ways for a company differentiate itself from the competition.

ICAI · Old P7 · RTP Dec 2021 · question p. 18 · answer p. 23

476 RTP **Old P7 Jul 2021** Q2 MCQ old scheme

Sanjivni Pharmaceuticals Limited manufacturers a cough syrup Zenus. It has modified Zenus syrup, claiming that the Zenus cough syrup is sugar-free, and the consumer will not feel drowsiness after consuming this cough syrup. Consumers found this product as unique. The sales of Zenus cough syrup have increased as expected. The price of this sugar-free syrup is higher by 20% than the earlier syrup. Identify the strategy adopted by Sanjivni Pharmaceuticals Limited.

- A Focus strategy
- B Best cost provider strategy
- C Differentiation strategy
- D Cost leadership strategy

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP Jul 2021 · question p. 14

477 RTP **Old P7 Jul 2021** Q16 old scheme

Same question, different ICAI answer: #459 Old P7 Exam Nov 2019

Write a short note on the concept of cost leadership strategy and how to achieve it?

ICAI'S ANSWER

Cost leadership strategy requires vigorous pursuit of cost reduction in the areas of procurement, production, storage and distribution of product or service and als o economies in overhead costs. Accordingly, the cost leader is able to charge a lower price for its products than its competitors and still make satisfactory profits. The low cost leadership should be such that no competitors are able to imitate so that it can result in sustainable competitive advantage to the cost leader firm.

To achieve cost leadership, following are the actions that could be taken:

1. Forecast the demand of a product or service promptly.

2. Optimum utilization of the resources to get cost advantages.

3. Achieving economies of scale leads to lower per unit cost of product/service.

4. Standardisation of products for mass production to yield lower cost per unit.

5. Invest in cost saving technologies and try using advance technology for smart working.

6. Resistance to differentiation till it becomes essential.

ICAI · Old P7 · RTP Jul 2021 · question p. 16-17 · answer p. 21

478 RTP **Old P7 Nov 2020** Q6 MCQ old scheme

The Niche strategy is the best way to enter a:

A New market

B Growing market

C Matured market

D None of the above

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP Nov 2020 · question p. 17

479 RTP **Old P7 Nov 2020** Q15 old scheme

Also asked in Old P7 RTP May 2018 Q13

Same question, different ICAI answer: #471 Old P7 RTP Nov 2022

Airlines industry in India is highly competitive with several players. Businesses face severe competition and aggressively market themselves with each other. Luxury Jet is a private Delhi based company with a fleet size of 9 small aircrafts with seating capacity ranging between 6 seats to 9 seats. There aircrafts are chartered by big business houses and high net worth individuals for their personalised use. With customised tourism packages their aircrafts are also often hired by foreigners. Identify and explain the Michael Porter's Generic Strategy followed by Luxury Jet.

ICAI'S ANSWER

The Airlines industry faces stiff competition. However, Luxury Jet has attempted to create a niche market by adopting focused differentiation strategy. A focused differentiation strategy requires offering unique features that fulfil the demands of a narrow market. Luxury Jet compete in the market based on uniqueness and target a narrow market which provides business houses, high net worth individuals to maintain strict schedules. The option of charter flights provided several advantages including, flexibility, privacy, luxury and many a times cost saving. Apart from conveniences, the facility will provide time flexibility. Travelling by private jet is the most comfortable, safe and secure way of flying your company's senior business personnel.

Chartered services in airlines can have both business and private use. Personalized tourism packages can be provided to those who can afford it.

ICAI · Old P7 · RTP Nov 2020 · question p. 18 · answer p. 22-23

480 RTP **Old P7 Nov 2020** Q16 old scheme

Also asked in Old P7 MTP Nov 2020 S-I Q5(b) · Old P7 MTP May 2018 S-I Q5(b)

Same question, different ICAI answer: #519 Old P7 MTP May 2020 S-I

Distinguish between Cost Leadership and Differentiation Strategies.

ICAI'S ANSWER

Cost leadership emphasizes producing standardized products at a very low per-unit cost for consumers who are price-sensitive. Differentiation is a strategy aimed at producing products and services considered unique industry wide and directed at consumers who are relatively price-insensitive.

A primary reason for pursuing forward, backward, and horizontal integration strategies is to gain cost leadership benefits. But cost leadership generally must be pursued in conjunction with differentiation. Different strategies offer different degrees of differentiation. A differentiation strategy should be pursued only after a careful study of buyers' needs and preferences to determine the feasibility of incorporating one or more differentiating features into a unique product. A successful differentiation strategy allows a firm to charge a higher price for its product and to gain customer loyalty.

ICAI · Old P7 · RTP Nov 2020 · question p. 18 · answer p. 23

481 RTP **Old P7 May 2020** Q1(v) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Differentiation Strategy can be achieved by following measures:

1. Match products with tastes and preferences of customers.

2. Elevate the performance of the product.

3. Rapid product innovation

Which of the above is true?

A (1) and (2)

B (1) and (3)

C (2) and (3)

D (1), (2) and (3)

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2020 · question p. 11

482 RTP **Old P7 May 2020** Q11 old scheme

A differentiation strategy may help to remain profitable even with rivalry, new entrants, suppliers' power, substitute products, and buyers' power. Explain.

ICAI'S ANSWER

A differentiation strategy may help to remain profitable even with: rivalry, new entrants, suppliers' power, substitute products, and buyers' power.

1. Rivalry - Brand loyalty acts as a safeguard against competitors. It means that customers will be less sensitive to price increases, as long as the firm can satisfy the needs of its customers.

2. Buyers – They do not negotiate for price as they get special features and also they have fewer options in the market.

3. Suppliers – Because differentiators charge a premium price, they can afford to absorb higher costs of supplies and customers are willing to pay extra too.

4. Entrants – Innovative features are an expensive offer. So, new entrants generally avoid these features because it is tough for them to provide the same product with special features at a comparable price.

5. Substitutes – Substitute products can't replace differentiated products which have high brand value and enjoy customer loyalty.

ICAI · Old P7 · RTP May 2020 · question p. 15 · answer p. 20

483 RTP **Old P7 Nov 2019** Q1(e) MCQ old scheme

In the questions given below select the best answer out of options (A), (B), (C), or (D):

Best-cost provider strategy is related to providing customers more value for money by:

- A Highlighting low cost and low quality difference.
- B Emphasizing low cost and better quality difference.
- C Producing high cost and low quality difference.
- D Managing high cost and low quality difference.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP Nov 2019 · question p. 12-13

484 RTP **Old P7 Nov 2019** Q10 old scheme

A century-old footwear company "Mota Shoes" had an image of being the footwear choice for formal occasions. In an attempt to reinvent its brand, it tied up with a foreign footwear giant "Buffrine" to manufacture and sell its Hideseek brand in the country. Putting its best foot forward, it launched extra soft, casual and relaxed footwear for young. Aiming at a brand and image makeover the "Mota Shoes" decided to price the Hide Seek products at premium.

What kind of Michael Porter business level strategy is being used by "Mota Shoe company"? State its advantages.

ICAI'S ANSWER

Mota shoes is trying to use differentiation. This strategy is aimed at broad mass market and involves the creation of a product or service that is perceived by the customers as unique. The uniqueness can be associated with product design, brand image, features, technology, dealer network or customer service. Because of differentiation, the business can charge a premium for its product.

A differentiation strategy has definite advantages as it may help to remain profitable even with rivalry, new entrants, suppliers' power, substitute products, and buyers' power.

i. Rivalry: Brand loyalty acts as a safeguard against competitors. It means that customers will be less sensitive to price increases, as long as the firm can satisfy the needs of its customers.

ii. Buyers: They do not negotiate for price as they get special features and also they have fewer options in the market.

iii. Suppliers: Because differentiators charge a premium price, they can afford to absorb higher costs of supplies and customers are willing to pay extra too.

iv. New entrants: Innovative features are expensive to copy. So, new entrants generally avoid these features because it is tough for them to provide the same product with special features at a comparable price.

v. Substitutes: Substitute products can't replace differentiated products which have high brand value and enjoy customer loyalty.

ICAI · Old P7 · RTP Nov 2019 · question p. 14 · answer p. 20-21

485 RTP **Old P7 May 2019** Q1(ix) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

A thing that a firm does especially well in comparison to the rival firms is:

A Opportunity availed.

B Successful leadership.

C Competitive advantage.

D Comparative advantage.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP May 2019 · question p. 9-10

486 RTP **Old P7 May 2019** Q1(xiii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

According to Porter, which of the following is important to achieve competitive advantage?

A Differentiation and cost advantage.

B Outsourcing activities.

C Having strong relationship with buyer and sellers.

D Focus on most competitive businesses.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP May 2019 · question p. 11

487 RTP **Old P7 May 2019** Q11 old scheme

What do you understand by cost leadership? How is it achieved?

ICAI'S ANSWER

Cost leadership is a low cost competitive strategy that aims at broad mass market. It requires vigorous pursuit of cost reduction in the areas of procurement, production, storage and distribution of product or service and also economies in overhead costs. Because of its lower costs, the cost leader is able to charge a lower price for its products than its competitors and still make satisfactory profits.

A primary reason for pursuing forward, backward, and horizontal integration strategies is to gain cost leadership benefits. A successful cost leadership strategy usually permeates the entire firm, as evidenced by high efficiency, low overhead, limited perks, intolerance of waste, intensive screening of budget requests, wide spans of control, rewards linked to cost containment, and broad employee participation in cost control efforts. Some risks of pursuing cost leadership are that competitors may imitate the strategy.

To achieve cost leadership, following are the actions that could be taken:

(a) Forecast the demand of a product or service promptly.

(b) Optimum utilization of the resources to get cost advantages.

(c) Achieving economies of scale leads to lower per unit cost of product/service.

(d) Standardisation of products for mass production to yield lower cost per unit.

(e) Invest in cost saving technologies and try using advance technology for smart working.

(f) Resistance to differentiation till it becomes essential.

ICAI · Old P7 · RTP May 2019 · question p. 13 · answer p. 18-19

488 RTP **Old P7 Nov 2018** Q1(e) old scheme

Briefly answer the following questions: Explain the meaning of cost leadership strategy.

ICAI'S ANSWER

A number of cost elements affect the relative attractiveness of generic strategies. A successful cost leadership strategy usually permeates the entire firm, as evidenced by high efficiency, low overhead cost, and waste reduction. The low cost leadership should be such that no competitors are able to imitate so that it can result in sustainable competitive advantage to the cost leader firm.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 15

489 RTP **Old P7 Nov 2018** Q4(b) old scheme

Same question, different ICAI answer: #509 Old P7 MTP May 2022 S-II

Distinguish between the following: Cost leadership and differentiation strategies.

ICAI'S ANSWER

Cost leadership emphasizes producing standardized products at a very low per-unit cost for consumers who are price-sensitive. Differentiation is a strategy aimed at producing products and services considered unique industry wide and directed at consumers who are relatively price-insensitive.

A primary reason for pursuing forward, backward, and horizontal integration strategies is to gain cost leadership benefits. But cost leadership generally must be pursued in conjunction with differentiation. Different strategies offer different degrees of differentiation. A differentiation strategy should be pursued only after a careful study of buyers' needs and preferences to determine the feasibility of incorporating one or more differentiating features into a unique product. A successful differentiation strategy allows a firm to charge a higher price for its product and to gain customer loyalty.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 18-19

490 RTP **Old P7 Nov 2018** Q13 old scheme

Gennex is a company that designs, manufactures and sells computer hardware and software. Gennex is well known for its innovative products that has helped the company to have advantage over its competitors. It also spends on research and development and concerned with innovative softwares. Often the unique features of their product, that are not available with their competitors helps them to gain competitive advantage. Gennex using the strategy is consistently gaining its position in the industry over its competitors. Identify and explain the Porter's generic strategy which Gennex has opted to gain the competitive advantage.

ICAI'S ANSWER

According to Porter, strategies allow organizations to gain competitive advantage from three different bases: cost leadership, differentiation, and focus. Porter called these base generic strategies.

Gennex has opted differentiation strategy. Its products are designed and produced to give the customer value and quality. They are unique and serve specific customer needs that are not met by other companies in the industry. Highly differentiated and unique hardware and software enables Gennex to charge premium prices for its products hence making higher profits and maintain its competitive position in the market.

Differentiation strategy is aimed at broad mass market and involves the creation of a product or service that is perceived by the customers as unique. The uniqueness can be associated with product design, brand image, features, technology, dealer network or customer service.

ICAI · Old P7 · RTP Nov 2018 · question p. 13-14 · answer p. 22

491 RTP **Old P7 May 2018** Q1(e) old scheme

Briefly answer the following questions: Explain Best-cost provider strategy.

ICAI'S ANSWER

Best-cost provider strategy involves providing customers more value for the money by emphasizing low cost and better quality difference. It can be done:

(a) through offering products at lower price than what is being offered by rivals for products with comparable quality and features or

(b) charging similar price as by the rivals for products with much higher quality and better features.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 16

492 RTP **Old P7 May 2018** Q3(b) old scheme

Same question, different ICAI answer: #527 Old P7 MTP Nov 2018 S-I

Write short notes on the following: Advantages of Cost leadership strategy

ICAI'S ANSWER

A cost leadership strategy may help to remain profitable in the presence of rivalry, new entrants, suppliers' power, substitute products, and buyers' power.

(i) Rivalry – Competitors are likely to avoid a price war, since the low cost firm will continue to earn profits after competitors compete away their profits.

(ii) Buyers – Powerful buyers/customers would not be able to exploit the cost leader firm and will continue to buy its product.

(iii) Suppliers – Cost leaders are able to absorb greater price increases before it must raise price to customers.

(iv) Entrants – Low cost leaders create barriers to market entry through its continuous focus on efficiency and reducing costs.

(v) Substitutes – Low cost leaders are more likely to lower costs to induce customers to stay with their product, invest to develop substitutes, purchase patents.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 18

493 MTP **Sep 2026 S-II** Q1(c) 5 marks

ARP Motors, an automobile company, was struggling in the competitive SUV market in India. As a business strategist, you recommended that ARP launch a compact SUV that balances affordability with premium features. In response, ARP developed and introduced FLEXON, strategically pricing it and incorporating high-end features such as a 5-star Global NCAP safety rating, a modern design and advanced technology. Furthermore, the company expanded into the electric vehicle segment with FLEXON EV, positioning it as one of the most affordable yet feature-rich electric SUVs in India. Which strategy did you recommend to ARP Motors to achieve a competitive advantage? Explain the strategy briefly and enumerate the keyways ARP Motors implemented it.

ICAI'S ANSWER

The strategy recommended to ARP Motors is the Best-Cost Provider Strategy.

Best-cost provider strategy is directed towards giving customers more value for their money by emphasizing both low cost and premium features. The objective is to keep costs and prices lower than those of other sellers of comparable products while offering better quality and superior features.

Application in ARP Motors Case:

- **Launch of FLEXON (Compact SUV):** ARP priced FLEXON strategically at an affordable level, while at the same time incorporating premium features such as a 5-star Global NCAP safety rating, advanced technology and a modern design. This reflects the approach of offering better quality at lower or comparable prices.
- **Introduction of FLEXON EV:** By entering the electric vehicle market, ARP positioned FLEXON EV as one of the most affordable yet feature-rich electric SUVs in India. This aligns with the principle of charging lower prices for comparable products or offering higher quality for similar prices thereby giving customers more value for money.

ICAI · P6 · MTP Sep 2026 · Series II · question p. 13 · answer p. 15

494 MTP **May 2025 S-II** Q1(b) 5 marks

EcoTrend, a growing e-commerce company, competes with industry giants by offering premium, eco-friendly products at high prices, targeting environmentally conscious consumers. Meanwhile, its competitor, BudgetBazaar, focuses on providing the lowest prices by optimizing costs and streamlining operations. Another player, VogueVista, differentiates itself through exclusive, fashion-forward designs that attract trend-savvy customers. Identify the generic strategies used by EcoTrend, BudgetBazaar, and VogueVista based on Michael Porter's Generic Strategies framework. Explain how each company gains a competitive advantage.

ICAI'S ANSWER

Michael Porter's Generic Strategies framework includes Cost Leadership, Differentiation, and Focus Strategies. Based on the caselet:

1. **EcoTrend** – Differentiation Focus Strategy

- Targets a niche market (environmentally conscious consumers) with premium, eco-friendly products.
- Gains a competitive advantage through product uniqueness and sustainability.

2. **BudgetBazaar** – Cost Leadership Strategy

- Focuses on offering the lowest prices by optimizing costs and streamlining operations.
- Gains a competitive advantage through operational efficiency and economies of scale.

3. **VogueVista** – Differentiation Strategy

- Differentiates itself with exclusive, fashion-forward designs that appeal to style-conscious customers.
- Gains a competitive advantage through unique product offerings and strong brand image.

Each company applies a distinct generic strategy to establish a strong position in the market.

ICAI · P6 · MTP May 2025 · Series II · question p. 13-14 · answer p. 19-20

495 MTP **Jan 2025 S-I** Q3(b) 5 marks

Explain in brief the various basis of differentiation strategies.

ICAI'S ANSWER

There are several basis of differentiation, major being: Product, Pricing and Organization.

Product: Innovative products that meet customer needs can be an area where a company has an advantage over competitors. However, the pursuit of a new product offering can be costly – research and development, as well as production and marketing costs can all add to the cost of production and distribution. The payoff, however, can be great as customers' flocks are among the first to have the new product.

Pricing: It fluctuates based on its supply and demand and may also be influenced by the customer's ideal value for a product. Companies that differentiate based on product price can either determine to offer the lowest price or can attempt to establish superiority through higher prices.

Organisation: Organisational differentiation is yet another form of differentiation. Maximizing the power of a brand or using the specific advantages that an organization possesses can be instrumental to a company's success. Location advantage, name recognition and customer loyalty can all provide additional ways for a company to differentiate itself from the competition.

ICAI · P6 · MTP Jan 2025 · Series I · question p. 11 · answer p. 16

496 MTP **Jan 2025 S-II** Q1(c) 5 marks

A business consultancy firm focuses on providing specialized services in environmental management consultancy. It assists client companies in establishing robust environmental management accounting systems for the measurement, recording, and analysis of environmental costs. A significant portion of the firm's operations involve conducting environmental audits to verify compliance with international assurance standards in environmental management—an exclusive service not offered by its competitors.

While the firm also undertakes other management consultancy projects, these constitute only a minor share of its total annual revenue. Identify the strategy categories by Michael Porter which best describes the strategy of this firm.

ICAI'S ANSWER

By concentrating primarily on the market for consultancy services in environmental management, the firm is pursuing a focus strategy. Its provision of audit services, which rival firms do not offer, highlights a differentiation strategy within this specific market niche. Therefore, the firm is following a focused differentiation strategy.

A focused differentiation strategy involves offering unique features that cater to the specific needs of a narrow market segment. As with the focused low-cost strategy, narrow markets can be defined differently depending on the context. For instance, some firms using this strategy focus on a particular sales channel, such as exclusively selling online, while others may target specific demographic groups. Firms that compete on uniqueness while addressing the needs of a narrow market exemplify the focused differentiation strategy.

ICAI · P6 · MTP Jan 2025 · Series II · question p. 11-12 · answer p. 12

497 MTP **Sep 2024 S-I** Q1(B)(iii) 1 mark MCQ

XYZ Corporation has launched AlphaTech to enter the consumer electronics industry with a focus on offering high-performance devices and innovative features at competitive prices. Which competitive strategy is AlphaTech employing?

- A Differentiation strategy
- B Cost leadership strategy
- C Best-cost provider strategy
- D Focus strategy

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP Sep 2024 · Series I · question p. 9

498 MTP **Sep 2024 S-II** Q1(B)(ii) 2 marks MCQ

ValueMart is a discount retail chain that targets budget-conscious consumers by offering a wide range of products at the lowest possible prices. The company achieves this by sourcing goods in bulk, negotiating lower prices with suppliers, and maintaining lean operations. ValueMart's goal is to dominate the market by attracting price-sensitive customers from competitors. Which of Michael Porter's Generic Strategies is ValueMart primarily employing?

- A Differentiation
- B Focused Cost Leadership
- C Cost Leadership
- D Focused Differentiation

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP Sep 2024 · Series II · question p. 9

499 MTP May 2024 S-I Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

In the fiercely competitive automotive industry, Zing, a promising newcomer, set out on a strategic journey with ambitions of making a substantial impact. Recognizing the significance of a robust distribution network early on, Zing forged partnerships with established dealerships, offering them attractive margins. This strategic move significantly enhanced Zing's reach, with a presence in 80% of the nation's dealerships by 2022, expanding its coverage significantly.

To differentiate themselves from competitors, Zing adopted two key strategies. Firstly, they prioritized product design, investing heavily in aesthetics and incorporating innovative features and environmentally friendly technologies. This focus on design led to their vehicles receiving excellent reviews and achieving an impressive 15% year-on-year growth in sales.

Secondly, Zing implemented switching costs to discourage customers from switching to other brands. Their vehicles featured branded software, making it both expensive and cumbersome for customers to transition to alternative brands. This strategic move effectively protected Zing's market share.

Zing's overarching goal was to position itself as a premium automotive brand, blending luxury with sustainability. However, their execution fell down as they challenged with maintaining consistent quality and service levels, resulting in mixed customer reviews.

Despite their best efforts, Zing's differentiation strategy fell short due to issues with inconsistent quality and service. Negative word-of-mouth and declining customer satisfaction scores tarnished their brand image, leading to stagnating sales. This failure to deliver on their brand promise proved to be a significant setback.

As Zing's reputation suffered from execution failures, securing additional funds for international expansion became challenging. Consequently, they made the difficult decision to postpone their global ambitions for the next five years, focusing instead on stabilizing their finances and rebuilding their brand image.

In summary, Zing's strategic journey illustrates the importance of not only crafting a compelling differentiation strategy but also executing it flawlessly. In the competitive automotive landscape, maintaining consistent quality and service is paramount to sustaining brand loyalty and achieving long-term success.

Based on the above Case Scenario, answer the Multiple Choice Questions.

Q1(A)(i) 2 marks

What key strategic approach did Zing use to expand its market presence in the automotive industry?

- A Product innovation and design
- B Cost leadership strategy
- C Entering new international markets
- D Vertical integration

Q1(A)(ii) 2 marks

How did Zing protect its market share from potential competitors?

- A Price-cutting strategy
- B Branded software and switching costs
- C Aggressive marketing campaigns

D International expansion

Q1(A)(iii) 2 marks

Why did Zing's differentiation strategy fall short in the market?

A Intense price competition

B Poor marketing strategy

C Inconsistent quality and service

D Lack of international expansion

Q1(A)(iv) 2 marks

Forging partnerships with established dealerships to enhance its distribution network falls under which level of strategy?

A Corporate level strategy

B Business level strategy

C Functional level strategy

D Competitive level strategy

Q1(A)(v) 2 marks

How did Zing initially expand its market presence across the nation?

A Aggressive marketing campaigns

B Developing low-cost vehicles

C Partnering with established dealerships

D Launching a luxury brand

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(A)**

Q1(A)(ii)

Answer key: **(B)**

Q1(A)(iii)

Answer key: **(C)**

Q1(A)(iv)

Answer key: **(B)**

Q1(A)(v)

Answer key: **(C)**

ICAI · P6 · MTP May 2024 · Series I · question p. 6

500 MTP **May 2024 S-II** Q4(b) 5 marks

StarTech Solutions, an aerospace technology firm, operates in a highly competitive industry. Despite the fierce competition in the aerospace sector, StarTech has carved out a niche for itself by focusing on serving unique, high-end clients. Unlike its competitors, StarTech has chosen not to diversify its target market and instead specializes in providing cutting-edge solutions to this niche market.

Identify and explain the strategy adopted by StarTech Solutions. Discuss the advantages and disadvantages of this strategy.

ICAI'S ANSWER

The strategy adopted by StarTech Solutions is Focused differentiation. This strategy involves targeting a specific segment of the market with unique products or services that are perceived as valuable by customers in that segment. By specializing in serving unique, high-end clients, StarTech is able to differentiate itself from competitors and create a competitive advantage.

Advantages of Focused Differentiation:

- **Strong Customer Loyalty:** By catering to a specific niche market, StarTech can build strong relationships with its customers, leading to higher customer loyalty and retention.
- **Higher Profit Margins:** Serving a niche market allows StarTech to command higher prices for its specialized products or services, leading to higher profit margins.
- **Reduced Competition:** By focusing on a niche market that other firms are not targeting, StarTech faces less competition, allowing it to establish itself as a leader in that segment.
- **Better Resource Allocation:** Focusing on a specific market segment allows StarTech to allocate its resources more efficiently, concentrating on areas that will provide the greatest return on investment.

Disadvantages of Focused Differentiation:

- **Limited Market Size:** The niche market that StarTech is targeting may be limited in size, restricting the company's potential for growth.
- **Risk of Market Changes:** Changes in the market or customer preferences could impact on the demand for StarTech's specialized products or services, leading to potential revenue loss.
- **Higher Costs:** Serving a niche market may require specialized resources and expertise, leading to higher costs of operation.
- **Imitation by Competitors:** If StarTech's success in the niche market attracts competitors, they may attempt to imitate its strategy, eroding its competitive advantage.

Overall, the focused differentiation strategy adopted by StarTech Solutions has allowed it to differentiate itself in a competitive industry and build a strong position in the market. However, the company must be aware of the potential challenges and risks associated with this strategy and continue to innovate and adapt to maintain its competitive edge.

ICAI · P6 · MTP May 2024 · Series II · question p. 12 · answer p. 18-19

501 MTP **Old P7 Nov 2023 S-I** Q5(a) 5 marks old scheme

BudgetSmart Retailers, a renowned supermarket chain, faced fierce competition in the grocery retail sector due to escalating operational expenses. Rising costs from rent, labor, and inventory management challenged their profitability amidst the emergence of discount stores and online competitors. To counter this, BudgetSmart Retailers optimized their supply chain through bulk procurement, revamped store layouts for cost efficiency and customer experience, embraced lean operational practices to minimize waste, and conducted comprehensive staff training to boost productivity and customer service efficiency.

Identify and explain the strategy adopted by BudgetSmart Retailers to enhance the profitability.

ICAI'S ANSWER

Budget Smart Retailers adopted a cost leadership strategy to enhance profitability in the fiercely competitive grocery retail sector. It is a low-cost competitive strategy that aims at broad mass

market. It requires vigorous pursuit of cost reduction in the areas of procurement, production, storage and distribution of product or service and also economies in overhead costs. Because of its lower costs, the cost leader is able to charge a lower price for its products than most of its competitors and still earn satisfactory profits.

By negotiating bulk procurement deals with suppliers, BudgetSmart Retailers lowered their cost of goods, allowing them to offer competitive prices to customers. The revamping of store layouts aimed to maximize space utilization and product placement, reducing operational costs and improving the overall shopping experience. Embracing lean principles minimized waste in the supply chain, reducing unnecessary expenses and improving efficiency. Comprehensive staff training boosted employee productivity and customer service efficiency, contributing to cost reduction and enhanced customer satisfaction.

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 8 · answer p. 8

502 MTP **Old P7 May 2023 S-I** Q1(D) 2 marks MCQ old scheme

Also asked in Old P7 MTP May 2022 S-I Q1(F)

Best Cost provider strategies:

A Seek to attract buyers on the basis of charging low price for low quality

B Aim at giving customers less value for more money

C Seek to attract buyers on the basis of charging high price for high quality

D Aim to giving customers low cost and better quality

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2023 · Series I · question p. 7

503 MTP **Old P7 May 2023 S-I** Q1(E) 1 mark MCQ old scheme

Walmart a global giant sells fast moving consumer goods at even less than wholesale prices to retail customers, this is a strategy of?

A Market Penetration

B Cost Differentiation

C Cost Leadership

D Market Development

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2023 · Series I · question p. 7

504 MTP **Old P7 May 2023 S-I** Q6(b) 5 marks old scheme

Same question, different ICAI answer: #469 Old P7 RTP Nov 2023 · #475 Old P7 RTP Dec 2021

Explain in brief the various basis of differentiation strategy.

ICAI'S ANSWER

There are several basis of differentiation, major being: Product, Pricing and Organization.

Product: Innovative products that meet customer needs can be an area where a company has an advantage over competitors. However, the pursuit of a new product offering can be costly – research and development, as well as production and marketing costs can all add t o the cost of production and distribution. The payoff, however, can be great as customer's flock to be among the first to have the new product.

Pricing: It fluctuates based on its supply and demand and may also be influenced by the customer's ideal value for a product. Companies that differentiate based on product price can either determine to offer the lowest price or can attempt to establish superiority through higher prices.

Organisation: Organisational differentiation is yet another form of differentiation. Maximizing the power of a brand or using the specific advantages that an organization possesses can be instrumental to a company's success. Location advantage, name recognition and customer loyalty can all provide additional ways for a company differentiate itself from the competition.

ICAI · Old P7 · MTP May 2023 · Series I · question p. 8 · answer p. 10

505 MTP **Old P7 May 2023 S-II** Case scenario · Q1(A)1 to Q1(A)5 6 marks old scheme

CASE SCENARIO

Hi-tech Corporation has been a pioneer in developing innovative products and core technologies that have played a vital role in shaping the future of electronics. The company's expertise in liquid crystal displays (LCDs) and digital technologies has helped it offer one of the most comprehensive and advanced lines of consumer electronics, information products, and electronic components while also creating new network businesses. However, it hasn't always been a leader in the industry.

Hi-tech Corporation has travelled a long way from an assembler of televisions to a leading TV manufacturer. In the early days, Hi-tech was making low-quality, low-priced televisions and was overshadowed by big players like LG, Sony and Samsung. It was a technology follower in the beginning and was using secondary technology, which resulted in a low brand image. The company went through a major transformation under the leadership of Mr. Joyce, who focused on R&D and innovation to enhance its market coverage and reputation.

Hi-tech's innovation in LCD technology and developing products featuring LCDs made it the world's largest manufacturer of LCD TVs. The company's success has been attributed to its focus on innovation, which is a critical factor in sustaining its position as a leader in the industry. However, the global economic downturn has affected Hi-tech, and the industry has realized that only innovation in terms of quality, cost, and competitive strength can help companies survive. Additionally, every new technology becomes obsolete faster, which means companies have to continuously innovate to stay ahead of the competition.

Hi-tech is facing challenges from the ever-changing competitive scenario, with global competitors striving to dethrone it and the entry of low-cost manufacturers from Asia. The emergence of newer display technologies with superior quality at a lower price has posed one of the biggest challenges for Hi-tech. While Hi-tech has taken the first-mover advantage, it is facing competition from late entrants.

Based on the above Case Scenario, answer the Multiple-Choice Questions which are as follows:

Q1(A)1 2 marks

Can Hi-tech's initial position in the industry be called as cost leadership strategy?

A Initial Position: A manufacturer of low-quality, low-priced televisions. No, not a cost leader, as cost leader does not necessarily mean low quality with low prices.

B Initial Position: A manufacturer of low-quality, low-priced televisions. Yes, a cost leader, as they offered low prices.

C Initial Position: Technology follower. Yes, a cost leader, as technology followers are always cost leaders.

D Initial Position: Technology leader. Yes, a cost leader as technology leaders is always cost leaders due to advanced cost cutting techniques.

Q1(A)2 1 mark

Mr.Joyce's focussed results from moving to an innovative company were?

A Increased market share.

B Increased market coverage and reputation.

C Enjoy price skimming in the market.

D Change the business model of the organisation.

Q1(A)3 1 mark

As consultant who studies industries, what would be your highlighted areas of industry analysis for Hi-tech?

A Competition from late entrants

B Emergence of newer display technologies

C Global economic downturn

D All of the above

Q1(A)4 1 mark

From the case above, which of the following has been the most crucial learning for the company from a long-term product life cycle perspective?

A Innovation is the key to success.

B Change in management leads to required growth.

C Continuous innovation is essential to stay ahead of the competition.

D Industry analysis should be the first as well as the last step in strategic management.

Q1(A)5 1 mark

What was the Key Success Factor in Hi-tech's success?

A Market coverage

B Reputation

C Innovation

D Cost

ICAI'S ANSWERS

Q1(A)1

Answer key: **(A)**

Q1(A)2

Answer key: **(B)**

Q1(A)3

Answer key: **(D)**

Q1(A)4

Answer key: **(C)**

Q1(A)5

Answer key: **(C)**

ICAI · Old P7 · MTP May 2023 · Series II · question p. 5

506 MTP **Old P7 May 2023 S-II** Q1(G) 1 mark MCQ old scheme

Which one out of the following, is not a generic strategy as suggested by Michael Porter?

A Focus Strategy

B Differentiation Strategy

C Cost Leadership Strategy

D Best-Cost Provider Strategy

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2023 · Series II · question p. 7

507 MTP **Old P7 Nov 2022 S-II** Q5(b) 5 marks old scheme

What are the various alternative strategies which the managers need to identify that will create and sustain a competitive advantage in the business? Discuss.

ICAI'S ANSWER

According to Porter, strategies allow organizations to gain competitive advantage from three different bases: cost leadership, differentiation, and focus. These bases form different generic strategies as follows:

- Cost leadership emphasizes producing standardized products at a very low per-unit cost for consumers who are price-sensitive. It frequently results from productivity increases and aggressive pursuit of cost reduction throughout the development, production, marketing, and distribution processes. It allows a firm to earn higher profits than its competitors.
- Differentiation is a strategy aimed at producing products and services considered unique industry wide and directed at consumers who are relatively price-insensitive. It concerns with distinguishing a product/service from that of its competitors through unique design features, technological leadership, unique uses of products and attributes like quality, environmental impact and customer service.
- Focus means producing products and services that fulfill the specific needs of small groups of consumers. It involves selecting or focusing a market or customer segment in which to operate.

ICAI · Old P7 · MTP Nov 2022 · Series II · question p. 9 · answer p. 9

508 MTP **Old P7 May 2022 S-I** Q2 5 marks old scheme

A private Moneyload Ltd. Bank that targets high worth individuals. They offer a premium service with many additional and personal services not normally available through other banks. They charge a significant annual fee for these services. The company makes full use of information technology throughout its operations in order to minimize costs. Identify and explain the generic strategy adopted by Moneyload Ltd. Bank?

ICAI'S ANSWER

According to Porter, strategies allow organizations to gain competitive advantage from three different bases: cost leadership, differentiation, and focus. Porter called these base generic strategies.

Moneyland Ltd. Bank targets a narrow segment of the market, offering unique and desirable products. The bank will want to keep its costs under control, but it will not reduce costs at the expenses of reducing the quality levels of the customer service it offers. By maintaining high quality levels, it will still be able to charge a premium for its services. Thus, the strategy adopted by Moneyland Ltd. Bank is Focused Differentiation.

A focused differentiation strategy requires offering unique features that fulfil the demands of a narrow market. Some firms using a focused differentiation strategy concentrate their efforts on a particular sales channel, such as selling over the internet only. Others target particular demographic groups. Firms that compete based on uniqueness and target a narrow market are following a focused differentiations strategy.

ICAI · Old P7 · MTP May 2022 · Series I · question p. 8 · answer p. 7

509 MTP **Old P7 May 2022 S-II** Q6(a) 5 marks old scheme

Same question, different ICAI answer: #489 Old P7 RTP Nov 2018

Distinguish between the following:

Cost Leadership and Differentiation Strategies.

ICAI'S ANSWER

Cost leadership emphasizes producing standardized products at a very low per-unit cost for consumers who are price-sensitive. Differentiation is a strategy aimed at producing products and services considered unique industry wide and directed at consumers who are relatively price insensitive.

A primary reason for pursuing forward, backward, and horizontal integration strateg ies is to gain cost leadership benefits. But cost leadership generally must be pursued in conjunction with differentiation. Different strategies offer different degrees of differentiation. A differentiation strategy should be pursued only after a careful study of buyers' needs and preferences to determine the feasibility of incorporating one or more differentiating features into a unique product. A successful differentiation strategy allows a firm to charge a higher price for its product and to gain customer loyalty.

ICAI · Old P7 · MTP May 2022 · Series II · question p. 8 · answer p. 8

510 MTP **Old P7 Dec 2021 S-I** Q1(F) 1 mark MCQ old scheme

DMart sells fast moving consumer goods at wholesale prices to retail customers, is a strategy of?

A Market Penetration

B Cost Differentiation

C Cost Leadership

D Market Development

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Dec 2021 · Series I · question p. 7

511 MTP **Old P7 Dec 2021 S-II** Case scenario · Q1(A)1 to Q1(A)5 6 marks old scheme

CASE SCENARIO

Aloe Veda, a women run health company has been making innovative products based on Aloe Vera. Their portfolio includes creams, edibles, juices, face masks, and now even hand sanitizers. They have had a simple focus; luring women customers of all ages who care about their personal health and hygiene at prices that the common consumer can afford. The market is growing over the years and even men have shown interest in their products.

However, running the company has not been easy, for big FMCG brands are readily offering similar products with better reach. Mr. Mukesh Bakshi was onboarded to help the company scale up its customer reach and he implemented old school distribution tactics. The distributors were offered better margins, foreign trips and gifts and even profit sharing in some cases. This helped the company shelf Aloe Veda products at most of the retailers. Online business was also ramped up diligently.

Mukesh has been instrumental in achieving targets, but the core team has been a group of close-knit partners who have built the company on trust. And as the business grew, the partners took up individual responsibilities in an autonomous fashion, where each one of them was responsible for their own segment's operations and process improvement, and collectively driven by positive and margins. The policy of "trust all, ask no questions" could be seen at the leadership level.

The company has been aware of its industry and the players therein, with different set of strengths and economic backgrounds, but it wanted to deep dive into some more metrics to get a holistic view of the competition. For that, they reached out to KMGP LLP to project a strategic group mapping for them, based on which they could plan ahead. KMGP LLP prepared the below chart;

Business segment of Ale Veda has been booming industry wide, all they need to focus is on maintaining their values and scaling before it's too late. And of course, keeping an eye on the external business environment shall be crucial too.

Based on the above Case Scenario, answer the Multiple-Choice Questions which are as follows:

Q1(A)1 1 mark out of syllabus

Mukesh Bakshi, has been leading Aloe Veda from the front with a spear headed strategy on innovating which of the following?

- A Product
- B Price
- C Place
- D Promotion

Q1(A)2 1 mark

Aloe Veda has been taking up competition with big FMCG brands in which of the following segments?

- A Cost Leadership of Supply Chain
- B Differentiation of Product
- C Focused Cost Leadership of Product
- D Focused Differentiation of Product

Q1(A)3 1 mark

Which important aspect of organisational structure configuration is missing in Aloe Veda?

- A Configuration of Intended Roles

B Configuration of Processes

C Configuration of Decision Making

D Configuration of Governance Mechanism

Q1(A)4 1 mark

As per strategic group mapping done by the marketing team, which of the following is the biggest threat for Aloe Veda for its niche market?

A Ele

B IndCos

C Strategic group mapping does not tell that clearly

D There are no threats to their niche market

Q1(A)5 2 marks

Suppose Aloe Veda asks its customers to plant Aloe Vera plant in their houses to get additional discounts. From Aloe Veda's strategic intent of being environmentally inclined while retaining its customers, much before rivals try to poach them, can be termed as?

A Planned Strategy

B Reactive Strategy

C Adaptive Strategy

D This is not a strategy, it is a marketing gimmick

ICAI'S ANSWERS

Q1(A)1

Answer key: **(C)**

Q1(A)2

Answer key: **(C)**

Q1(A)3

Answer key: **(D)**

Q1(A)4

Answer key: **(B)**

Q1(A)5

Answer key: **(A)**

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 5

512 MTP **Old P7 Dec 2021 S-II** Q2 5 marks old scheme

BHAVNAV is a business which makes and sells laptop computers in France. In recent years it has been struggling to compete with its rivals and has seen a significant fall in its market share. BHAVNAV's managers identify that majority of its products launched by BHAVNAV's rivals were high specification, with good quality materials and many innovative design features. Products with inferior quality, such as those sold by BHAVNAV have not sold well in France. This information led BHAVNAV's management team to decide to select a new business strategy based on Porter's Generic Strategic Model. Identify and suggest the best business strategy BHAVNAV's management has to opt

for?

ICAI'S ANSWER

According to Porter, the three different business strategies are: cost leadership, differentiation, and focus. Porter called these base generic strategies.

The information about competitor activities indicates that the market is uninterested in low-cost items, so a cost leadership approach is unlikely to be successful for BHAVNAV. It is suggested to adopt a differentiation strategy and find some way of enabling its laptops to stand out from its rivals.

Differentiation strategy is aimed at broad mass market and involves the creation of a product or service that is perceived by the customers as unique. The uniqueness can be associated with product design, brand image, features, technology, dealer network or customer service.

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 8 · answer p. 6

513 MTP **Old P7 Jul 2021 S-I** Case scenario · Q1(A)1 to Q1(A)5 5 marks old scheme

CASE SCENARIO

Rohansh Bakshi a 22-year-old from Maharashtra, started a gaming equipment company called TEEMOX, which specialises in gaming chairs, gaming consoles, controllers, wireless keyboard, and touchscreen mouse pads. Rohan has been an innovator and loves building products. Hence, to prioritise his time more on development, he insisted Mr. N. Muniyappa, his mentor, to be the CEO of the company and spearhead business from the front.

Rohansh has always believed in bringing something new to the consumer and that is clearly projected in the products offered by TEEMOX. His designs reflect youth with exciting colors and comfort, and they match the quality of global big brands. However, to make hi s products worth the money that his customers are paying, the procurement is done from Indonesia and Vietnam, where the materials are easily available at low costs.

Interestingly, Rohansh's AI based gaming chairs have been a huge hit for the company, bringing in the maximum revenue and margins. The business has gone from 200 units sold to over 5000 units sold in just six months. To add to it, a famous FMCG Brand approached TEEMOX to collaborate for a sports drink focused on gamers. The team is excited about this collaboration as the deal shall bring in more awareness and open newer markets for them. But Mr. Muniyappa insists that this might as well displease the existing consumers who relate to TEEMOX as a customer-oriented brand rather than yet another money minting business.

Nonetheless, the plans seem to be working in the company's favour for now and the future seems bright. To put in context, the gaming industry is booming with a Compound Annual Growth Rate (CAGR) of 190%, adding over 20 million new customers every quarter. Clearly, o pportunities are enormous, and the brand is on track. A well-established vision and mission for the company could be a strong strategic advantage for challenging times to come.

Based on the above Case Scenario, answer the Multiple-Choice Questions which are as follows:

Q1(A)1 1 mark

Based on the above case which of the following seems true above the Strategy of TEEMOX?

- A Strategy was unified and comprehensive.
- B Strategy was comprehensive and integrated.
- C Strategy was integrated and unified.
- D Strategy was integrated, unified and comprehensive.

Q1(A)2 1 mark

Gaming chair business of TEEMOX is a cash cow. Which of the following strategies helped it become such an influential business?

- A Organisation differentiation
- B Product differentiation
- C Focused differentiation
- D Low-cost product provider

Q1(A)3 1 mark

By routing its products from Indonesian and Vietnam, TEEMOX was able to achieve which of the following strategies on the holistic level of business?

- A Product differentiation
- B Horizontal integration of business
- C Best cost provider in the industry
- D Globalisation of business

Q1(A)4 1 mark

With the appointment of Mr. N. Muniyappa, Rohansh can be designated as which of the following?

- A Vice President
- B CEO Emeritus
- C Chairman
- D Functional Head

Q1(A)5 1 mark out of syllabus

Which Ps of marketing have been the winning Ps for TEEMOX?

- A Product and Place
- B Promotion and Price
- C Price and Product
- D Promotion and Place

ICAI'S ANSWERS

Q1(A)1

Answer key: **(D)**

Q1(A)2

Answer key: **(B)**

Q1(A)3

Answer key: **(C)**

Q1(A)4

Answer key: **(D)**

Q1(A)5

Answer key: **(C)**

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 5

514 MTP **Old P7 Jul 2021 S-I** Q2 5 marks old scheme

X-Olympus is a gaming software company specializing in developing games for ZBox and GameStation-4. The company is facing stiff competition due to saturation of market and price wars, which h as excessively favor and highlight their dependence on gaming console manuf acturers. Thereby, the company desires to establish a competitive advantage over industry rivals by enhancing the gaming experience by expanding into Edge-Cloud Gaming Service on a monthly subscription basis. This service offering does not require dedicated gaming consoles yet provide customers game streaming in 4K resolution with an ample range of games to select from. This move is expected to insulate X -Olympus from price wars and provide a competitive advantage. Identify and explain the generic strategies adopted by X-Olympus?

ICAI'S ANSWER

According to Porter, strategies allow organizations to gain competitive advantage from three different bases: cost leadership, differentiation, and focus. Porter called these base generic strategies.

X-Olympus is facing cutthroat competition due to saturation of market and price wars as there is no clear leader out of the numerous competitors. For this, the strategy adopted by X-Olympus is Product Differentiation by introducing a unique product to cater the customer needs at a lesser cost which would insulate it from the fierce competition and never-ending price wars.

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 7 · answer p. 7

515 MTP **Old P7 Jul 2021 S-II** Q1(G) 1 mark MCQ old scheme

Also asked in Old P7 MTP May 2019 S-I Q1(xv)

A firm successfully implementing a differentiation strategy would expect:

- A Customers to be sensitive to price increases.
- B To charge premium prices.
- C Customers to perceive the product as standard.
- D To automatically have high levels of power over suppliers.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 7

516 MTP **Old P7 Jul 2021 S-II** Q5(a) 5 marks old scheme

Domolo is a premium cycles and cycling equipments brand which targets high spending customer with a liking for quality and brand name. Their cycles range from rupees fifteen thousand to rupees one lac. The recent trend of fitness through cycling has created humongous demand for cycles and peripherals like helmets, lights, braking systems, fitness applications, etc. The customer base has grown 150% in the last three months. Mr. Vijay, who is an investor wants to tap in this industry and bring about cheaper options to people who cannot spend so much. Which business level strategy would best suit for Mr. Vijay's idea and what are the major sub-strategies that can be implemented to capture maximum market?

ICAI'S ANSWER

The Best Cost Provider strategy would ensure a better reach to the not so affluent customers and provide them with good quality cycles and equipments, thus tapping in on the increasing trend of

cycling.

Two sub-strategies that can be implemented are:

1. Offering lower prices than rivals for the same quality of products

2. Charging same prices for better quality of products

The idea of Mr. Vijay is to provide almost same quality of products in terms of functionality if not so in terms of branding, to customer who do not have huge sums of money to pay. Thus, sub - strategy number one, offering lower prices for almost same quality should be impl emented to become the best cost provider of cycles and related equipments in the market.

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 8 · answer p. 8-9

517 MTP **Old P7 May 2020 S-I** Q1(C) 2 marks MCQ old scheme

Perscopter, a manufacturer of private helicopter offers unique features that fullfill the demands of a narrow market. It competes in market based on its uniqueness and custom-oriented private helicopters. Perscopter provides limited number of high-end helicopters with ultimate features. Which business strategy is being followed by Perscopter?

A Differentiation

B Focused differentiation

C Cost leadership

D Focused cost leadership

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP May 2020 · Series I · question p. 7

518 MTP **Old P7 May 2020 S-I** Q4(b) 5 marks old scheme

Write a short note on the concept of competitive advantage.

ICAI'S ANSWER

Competitive advantage is the position of a firm to maintain and sustain a favorable market position when compared to the competitors. Competitive advantage is ability to offer buyers something different and thereby providing more value for the money. It is achieved advantage over rivals when a company's profitability is greater than average profitability of firms in its industry. It is the result of a successful strategy. This position gets translated into higher market share, higher profits when compared to those that are obtained by competitors operating in the same industry. Competitive advantage may also be in the form of low cost relationship in the industry or being unique in the industry along dimensions that are widely valued by the customers in particular and the society at large.

ICAI · Old P7 · MTP May 2020 · Series I · question p. 8 · answer p. 8

519 MTP **Old P7 May 2020 S-I** Q6(a) 5 marks old scheme

Same question, different ICAI answer: #480 Old P7 RTP Nov 2020

Distinguish between cost leadership and differentiation strategies.

ICAI'S ANSWER

According to Porter, strategies allow organizations to gain competitive advantage from three different bases: cost leadership, differentiation, and focus. Cost leadership emphasizes producing standardized products at a very low per-unit cost for consumers who are price-sensitive. Differentiation is a strategy aimed at producing products and services considered unique industry wide and directed at consumers who are relatively price-insensitive.

A primary reason for pursuing forward, backward, and horizontal integration strategies is to gain cost leadership benefits. But cost leadership generally must be pursued in conjunction with differentiation. Different strategies offer different degrees of differentiation. A differentiation strategy should be pursued only after a careful study of buyers' needs and preferences to determine the feasibility of incorporating one or more differentiating features into a unique product. A successful differentiation strategy allows a firm to charge a higher price for its product and to gain customer loyalty.

ICAI · Old P7 · MTP May 2020 · Series I · question p. 8 · answer p. 8-9

520 MTP **Old P7 Nov 2019 S-I** Q1(v) 1 mark MCQ old scheme

In Michael Porter's generic strategy _____ emphasizes producing standardized products at a very low per unit-cost for consumers who are price sensitive.

- A Cheap leadership
- B Inferior product leadership
- C Cost leadership
- D Cost benefit

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 4

521 MTP **Old P7 Nov 2019 S-I** Q1(x) 1 mark MCQ old scheme

Also asked in Old P7 MTP May 2019 S-I Q1(xiii)

Anything that a firm does especially well compared to rival firms is referred to as _____.

- A Competitive advantage
- B Comparative advantage
- C Opportunity cost
- D Sustainable advantage

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 5

522 MTP **Old P7 Nov 2019 S-I** Q1(xiii) 1 mark MCQ old scheme

Best-cost provider strategy involves providing customers more value for the money by emphasizing:

- A Low cost and low quality difference
- B Low cost and better quality difference

C High cost and low quality difference

D High cost and better quality difference

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 5

523 MTP **Old P7 Nov 2019 S-I** Q2 5 marks old scheme

'Coffee Beans' is a coffeehouse chain that operates across the globe in different countries. 'Coffee Beans' has adopted a strategy to build business by establishing product uniqueness or qualities and gain competitive advantage based on features of its offerings in coffee business. Which type of strategy 'Coffee Beans' has adopted?

ICAI'S ANSWER

Coffee Beans is opting for differentiation strategy. This strategy is aimed at broad mass market and involves the creation of a product or service that is perceived by the customers as unique. The uniqueness can be associated with product design, brand image, features, technology, dealer network or customer service. Because of differentiation, Coffee Beans can charge a premium for its product.

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 6 · answer p. 7

524 MTP **Old P7 May 2019 S-I** Q2 5 marks old scheme

Infant care is a successful store chain that caters products for expectant mothers and new moms. They offer everything from nursing classes to strollers, toys, infant clothes, diapers and baby furniture. Due to a one-stop shop for infants, they are charging a premium for its products.

Identify and explain how the strategy adopted by infant care.

ICAI'S ANSWER

Infant care is opting for differentiation strategy. A one-stop shop is a benefit for this type of customers, seeking convenience in a time. Infant care is catering the products only related to infants that is perceived by the customers as unique. Because of differentiation, the Infant care is charging a premium for its product.

ICAI · Old P7 · MTP May 2019 · Series I · question p. 6 · answer p. 6

525 MTP **Old P7 May 2019 S-II** Q1(x) 1 mark MCQ old scheme

Michael Porter Generic strategies to gain competitive advantage include all except:

A Cost leadership

B Differentiation

C Focus

D Revenue generation

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 5

526 MTP **Old P7 May 2019 S-II** Q5(a) 5 marks old scheme

Gennex is a company that designs, manufactures and sells computer hardware and software. Gennex is well known for its innovative products that has helped the company to have advantage over its competitors. It also spends on research and development and concerned with innovative softwares. Often the unique features of their product helps them to gain competitive advantage. Gennex using the strategy is consistently gaining its position in the industry over its competitors.

Identify and explain the strategy which Gennex has opted to gain the competitive advantage.

ICAI'S ANSWER

According to Porter, strategies allow organizations to gain competitive advantage from three different bases: cost leadership, differentiation, and focus. Porter called these base generic

strategies.

Gennex has opted differentiation strategy. Its products are designed and produced to give the customer value and quality. They are unique and serve specific customer needs that are not met by other companies in the industry. Highly differentiated and unique hardware and software enables Gennex to charge premium prices for its products hence making higher profits and maintain its competitive position in the market.

Differentiation strategy is aimed at broad mass market and involves the creation of a product or service that is perceived by the customers as unique. The uniqueness can be associated with product design, brand image, features, technology, dealer network or customer service.

ICAI · Old P7 · MTP May 2019 · Series II · question p. 6 · answer p. 8

527 MTP **Old P7 Nov 2018 S-I** Q5(b) 5 marks old scheme

Same question, different ICAI answer: #492 Old P7 RTP May 2018

Write short notes on the following:

Advantages of cost leadership strategy

ICAI'S ANSWER

Advantages of Cost leadership strategy

Earlier we have discussed Porter's Five Forces Model in detail. A cost leadership strategy may help to remain profitable even with: rivalry, new entrants, suppliers' power, substitute products, and buyers' power.

1. Rivalry – Competitors are likely to avoid a price war, since the low cost firm will continue to earn profits after competitors compete away their profits.

2. Buyers – Powerful buyers/customers would not be able to exploit the cost leader firm and will continue to buy its product.

3. Suppliers – Cost leaders are able to absorb greater price increases before it must raise price to customers.

4. Entrants – Low cost leaders create barriers to market entry through its continuous focus on efficiency and reducing costs.

5. Substitutes – Low cost leaders are more likely to lower costs to induce customers to stay with their product, invest to develop substitutes, purchase patents.

ICAI · Old P7 · MTP Nov 2018 · Series I · question p. 2 · answer p. 12

528 MTP **Old P7 Nov 2018 S-II** Q6(b) 3 marks old scheme

Define Competitive Advantage.

ICAI'S ANSWER

Competitive advantage is the position of a firm to maintain and sustain a favorable market position when compared to the competitors. Competitive advantage is ability to offer buyers something different and thereby providing more value for the money. It is the result of a successful strategy. This position gets translated into higher market share, higher profits when compared to those that are obtained by competitors operating in the same industry. Competitive advantage may also be in the form of low cost relationship in the industry or being unique in the industry along dimensions that are widely valued by the customers in particular and the society at large.

ICAI · Old P7 · MTP Nov 2018 · Series II · question p. 2 · answer p. 12

529 MTP **Old P7 May 2018 S-I** Q1(a) 2 marks old scheme

Explain competitive advantage.

ICAI'S ANSWER

Competitive advantage is the position of a firm to maintain and sustain a favorable market position when compared to the competitors. Competitive advantage is ability to offer buyers something different and thereby providing more value for the money. It is the result of a successful strategy. This position gets translated into higher market share, higher profits when compared to those that are obtained by competitors operating in the same industry. Competitive advantage may also be in the form of low cost relationship in the industry or being unique in the industry along dimensions that are widely valued by the customers in particular and the society at large.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 3 · answer p. 8

CHAPTER 4

Strategic Choices

4.1 Growth strategies: integration and diversification

101 questions · asked in 55 ICAI documents · 11 exam papers

530 EXAM **Jan 2026** Q7(b) 5 marks

Also asked in MTP Sep 2026 S-II Q3(b)

Innovation is widely regarded as a catalyst for business growth, enabling firms to upgrade existing products and processes, enhance customer satisfaction, and improve profitability. In light of this statement explain what an innovation offers to the organisation and any risk involved in doing so.

ICAI'S ANSWER

Innovation refers to the creation and implementation of new or significantly improved products, services, processes or business models. Innovation acts as a key driver of growth, competitiveness and long-term sustainability. Innovation refers to the upgradation of existing products, services or processes, which leads to higher market share, revenues, profitability and customer satisfaction. For long-term business growth, innovation plays a crucial strategic role. What Innovation Offers to an Organisation

1. Helps Solve Complex Problems: Innovation enables businesses to identify opportunities in societal and business problems and develop customer-centric and sustainable solutions. Though initial costs may be high, innovation ensures long-term economic and environmental sustainability.

2. Increases Productivity: Innovation simplifies and automates tasks, reduces manual effort and improves efficiency. Automation and digital tools enhance productivity at both process and organisational levels, creating a ripple effect across industries.

3. Gives Competitive Advantage: Faster innovation helps firms move ahead of competitors. Innovative products offer greater customer satisfaction, require less marketing effort, help retain existing customers and attract new ones.

Risks Involved in Innovation

1. High Cost and Financial Risk: Innovation involves significant investment and returns may not be immediate or assured.

2. Uncertain Returns: Some innovations may not deliver expected benefits, making them appear as unnecessary expenses in the short run.

3. Technological Uncertainty: Rapid technological changes may make existing innovations obsolete.

4. Implementation Risk: Poor execution or lack of organisational capability can lead to failure of innovative initiatives.

Thus, while innovation is a powerful driver of growth, productivity and competitive advantage, it also involves risks that must be carefully managed to achieve long-term sustainability and success.

ICAI · P6 · Jan 2026 exam · question p. 30 · answer p. 31-32

531 EXAM **Sep 2025** Q7(b) 5 marks

"In a dynamic business environment, merger serves as a critical tool for companies seeking expansion, synergy creation and competitive advantage." Discuss the concept of mergers, their classifications and their impact on business performance.

ICAI'S ANSWER

Merger is a process when two or more companies come together to expand their business operations. In such a case the deal gets finalized on friendly terms and both the organizations share profits in the newly created entity. In a merger two organizations combine to increase their strength and financial gains along with breaking of the trade barriers. Types of Mergers and their impact on business performance

(a) Horizontal Merger: A horizontal merger occurs when two firms in the same industry and direct competitors combine. Its objective is to achieve economies of scale by eliminating duplication, widening product lines, reducing investment in working capital and fixed assets and removing competition, thereby strengthening market position and efficiency.

(b) Vertical Merger: A vertical merger occurs between firms in the same industry at different production or distribution stages. It may involve backward integration (taking over suppliers) or forward integration (acquiring buyers/distributors). Such mergers create synergies, cost efficiencies and advantages by controlling inputs, reducing dependence and enhancing overall operational and financial performance.

(c) Co-generic Merger: A co-generic merger takes place between firms related through production processes, markets, or technologies. It allows product line extension or acquisition of components essential for operations. Such mergers enable businesses to diversify around common resources and strategic needs, creating opportunities for growth, synergy and better utilization of existing capabilities.

(d) Conglomerate Merger: A conglomerate merger involves firms from unrelated industries with no direct linkages in customers, functions or technologies. It helps companies diversify risk, enter new markets and expand business portfolios. Though largely unrelated, some overlap in production, marketing or R&D may exist, offering opportunities for growth and financial stability.

ICAI · P6 · Sep 2025 exam · question p. 24-25 · answer p. 25-26

532 **EXAM** **May 2024** Q6(a) **5 marks**

Same question, different ICAI answer: #579 MTP May 2025 S-II

'Innovation leads to unnecessary expenses that do not give as many returns.' Do you agree with the statement? Give reasons in support of your answer.

ICAI'S ANSWER

The statement "Innovation leads to unnecessary expenses that do not give as many returns" is often debated, but evidence strongly suggests that innovation is crucial for long-term business growth and success. I disagree with the statement for several reasons: Innovation offers the following for a business to grow long term: Helps to solve complex problems: A business strives to find opportunities in existing problems of the society, and it does so through planned innovation in areas of expertise. This guided innovation helps solve complex problems by developing customer centric sustainable solutions. Increases productivity: Innovation leads to simplification and in most cases automation of existing tasks. Companies are willing to spend millions on increasing their productivity. Innovation, by automating repetitive tasks and simplifying the long chain of processes, adds to productivity of teams and thereby the organization as a whole. Gives competitive advantage: Being ahead of competition is a need and businesses spend majority of their strategic time building solutions to achieve this advantage. The faster a business innovates, the farther it goes from its competitors reach. Innovative products need less marketing as they aim to provide added

satisfaction to consumers, thus, creating a competitive advantage. Innovation not only helps retain its existing customers but helps acquire new ones with ease too.

ICAI · P6 · May 2024 exam · question p. 29 · answer p. 29-30

533 **EXAM** **May 2024** Q8(b) **5 marks**

Also asked in MTP Jan 2026 S-II Q4(a)

Explain the concept of vertically integrated diversification. How is forward integration different from backward integration?

ICAI'S ANSWER

Vertically integrated diversification is a strategic approach in which a company expands its business operations into different stages of the production or distribution process within the same industry. This involves either forward integration or backward integration. The key difference between forward and backward integration lies in the direction of expansion within the supply chain. Forward integration moves towards the end consumer, while backward integration moves towards the source of raw materials or components. Forward integration allows companies to have more control over distribution channels, improve customer relationships, and capture a larger share of the value chain. In contrast, backward integration helps companies secure a stable supply of inputs, reduce dependency on suppliers, and potentially lower production costs. Forward integration is often associated with activities such as retailing, marketing, and after-sales services, while backward integration is associated with activities such as manufacturing, sourcing, and procurement. Both types of integration offer strategic advantages such as increased market power, cost efficiencies, and greater control over critical business processes. However, the decision to pursue forward or backward integration depends on factors such as industry dynamics, competitive landscape, and the company's core competencies and resources.

ICAI · P6 · May 2024 exam · question p. 33 · answer p. 34

534 **EXAM** **Old P7 Nov 2023** Q9(b) **5 marks** **old scheme**

Also asked in MTP Sep 2024 S-II Q3(b)

Which strategy is implemented by redefining the business, by enlarging its scope of business and substantially increasing investment in the business? Explain the major reasons for adopting this strategy.

ICAI'S ANSWER

The strategy in question is the growth/expansion strategy.

The Growth/Expansion strategy involves redefining the business, expanding its scope, and significantly increasing investments. This dynamic and vigorous approach is synonymous with promise and success. It entails a substantial reformulation of goals, major initiatives, and strategic moves, including investments, exploration into new products, technologies, and markets, and innovative decision-making. While promising growth, this strategy navigates the enterprise through relatively unknown and risky paths, rich with potential but also pitfalls.

Major Reasons for Adopting Growth/Expansion Strategy:

- It may become imperative when environment demands increase in pace of activity.
- Strategists may feel more satisfied with the prospects of growth from expansion; chief executives may take pride in presiding over organizations perceived to be growth-oriented.

- Expansion may lead to greater control over the market vis-a-vis competitors.
- Advantages from the experience curve and scale of operations may accrue.
- Expansion also includes intensifying, diversifying, acquiring and merging businesses.

ICAI · Old P7 · Nov 2023 exam · question p. 14 · answer p. 15

535 EXAM **Old P7 Nov 2023** Q10(b) 5 marks old scheme

Also asked in RTP Jan 2025 Q14

What do you understand by Strategic Alliance? Discuss its advantages.

ICAI'S ANSWER

A strategic alliance is a relationship between two or more businesses that enables each to achieve certain strategic objectives which neither would be able to achieve on its own. The strategic partners maintain their status as independent and separate entities, share the benefits and control over the partnership, and continue to make contributions to the alliance until it is terminated.

The advantages of strategic alliance can be broadly categorised as follows:

(a) Organizational: Strategic alliance helps to learn necessary skills and obtain certain capabilities from strategic partners. Strategic partners may also help to enhance productive capacity, provide a distribution system, or extend supply chain.

(b) Economic: There can be reduction in costs and risks by distributing them across the members of the alliance. Greater economies of scale can be obtained in an alliance, as production volume can increase, causing the cost per unit to decline. The partners can also take advantage of co-specialization, creating additional value.

(c) Strategic: Rivals can join together to cooperate instead of competing. Strategic alliances may also be useful to create a competitive advantage by the pooling of resources and skills. This may also help with future business opportunities and the development of new products and technologies. Strategic alliances may also be used to get access to new technologies or to pursue joint research and development.

(d) Political: Sometimes strategic alliances are formed with a local foreign business to gain entry into a foreign market either because of local prejudices or legal barriers to entry.

ICAI · Old P7 · Nov 2023 exam · question p. 15 · answer p. 17

536 EXAM **Old P7 May 2023** Q8(a) old scheme

Health Pharma Pvt. Ltd. (HPPL) a one person company with limited liability is manufacturing generic and medicinal drugs in India.

Hygiene Laboratories Plc. (HLP) a multinational company with its strong financial position is one of the major players in pharmaceutical sector.

Individually, each company has its own core competencies. However, additional focus by the state on generic medicine with renewed regulatory requirements are posing challenges in fierce competitive environment.

Considering benefits of synergies, both the companies are considering to join hands for better growth opportunities. Earlier, they tried to go for joint venture or strategic alliance but the arrangement could not materialize.

In view of the facts given above:

(i) If HPPL and HLP join hands and make new entity named Health N Hygiene Pharma Ltd., what type of growth strategy will this strategic development be?

(ii) In case, HLP is sold out to HPPL and HLP ceased to exist, what type of growth strategy will this strategic deal be?

(iii) What are the differences between the above two identified growth strategies?

ICAI'S ANSWER

(i) If HPPL and HLP join hands and form a new entity named Health N Hygiene Pharma Ltd., this strategic development would be considered a Merger growth strategy. A merger is a combination of two or more companies to form a new entity with shared ownership and control.

(ii) If HLP is sold out to HPPL and HLP ceases to exist, this strategic deal would be categorized as an Acquisition growth strategy. An acquisition occurs when one company purchases another, resulting in the acquiring company gaining control over the acquired company's assets, operations, and intellectual property.

(iii) Many organizations in order to achieve quick growth, expand or diversify with the use of mergers and acquisitions strategies. Merger and acquisition in simple words are defined as a process of combining two or more organizations together. There is a thin line of difference between the two terms, but the impact of combination is completely different in both the cases.

Merger is considered to be a process when two or more organizations join together to expand their business operations. In such a case the deal gets finalized on friendly terms. Owners of pre-merged entities have right over the profits of new entity. In a merger two organizations combine to increase their strength and financial gains.

While, when one organization takes over the other organization and controls all its business operations, it is known as acquisition. In the process of acquisition, one financially strong organization overpowers the weaker one. Acquisitions often happen during economic recession or during declining profit margins. In this process, one that is financially stronger and bigger establishes it power. The combined operations then run under the name of the powerful entity. A deal in case of an acquisition is often done in an unfriendly manner; it is more or less a forced association.

ICAI · Old P7 · May 2023 exam · question p. 11-12 · answer p. 12-13

537 EXAM **Old P7 May 2022** Q10(b) 5 marks old scheme

What do you understand by diversification? Distinguish between concentric and conglomerate diversification.

ICAI'S ANSWER

Diversification is defined as entry into new products or product lines, new services or new markets, involving substantially different skills, technology and knowledge. Diversification endeavours can be related or unrelated to existing businesses of the firm.

Following are the differences between the concentric diversification and conglomerate diversifications:

Concentric Diversification	Conglomerate Diversification
Meaning: It occurs when a firm adds related products or markets.	Meaning: It occurs when a firm diversifies into areas that are unrelated to its current line of business.
Linkage: The new business is linked to the existing businesses through process, technology or marketing.	Linkage: Here no such linkages exist; the new business/product is disjointed from the existing businesses/products.
Reasons for pursuing: The most common reason for pursuing a concentric diversification is that opportunities in a firm's existing line of business are available.	Reasons for pursuing: The common reason for pursuing a conglomerate growth strategy is that opportunities in a firm's current line of business are limited or opportunities outside are highly lucrative.

ICAI · Old P7 · May 2022 exam · question p. 15 · answer p. 16

538 **EXAM** **Old P7 Dec 2021** Q9(b) 5 marks old scheme

GWA, a leading Japan based automobile company decides to make India a hub for the company's 250 cc motorcycle to be manufactured in collaboration with the TPR Group, a leading Indian motorcycle manufacturer. The production is to be exported to the company's home market as well as to other African countries.

What is this growth strategy called? Point out the most important advantages both the companies expect from such strategy/collaboration.

ICAI'S ANSWER

GWA of Japan and TRP group of India opted for strategic alliance as their growth strategy. A strategic alliance is a relationship between two or more businesses that enables each to achieve certain strategic objectives which neither would be able to achieve on its own. Strategic alliances are often formed in the global marketplace between businesses that are based in different regions of the world.

Advantages of Strategic Alliance

Strategic alliance usually is only formed if they provide an advantage to all the parties in the alliance. These advantages can be broadly categorised as follows:

1. Organizational: Strategic alliance helps to learn necessary skills and obtain certain capabilities from strategic partners. Strategic partners may also help to enhance productive capacity, provide a distribution system, or extend supply chain. Having a strategic partner who is well-known and respected also helps add legitimacy and creditability to a new venture.

2. Economic: There can be reduction in costs and risks by distributing them across the members of the alliance. Greater economies of scale can be obtained in an alliance, as production volume can increase, causing the cost per unit to decline. Finally, partners can take advantage of co-specialization, creating additional value, such as when a leading computer manufacturer bundles its desktop with a leading monitor manufacturer's monitor.

3. Strategic: Rivals can join together to cooperate instead of competing with each other. Vertical integration can be created where partners are part of supply chain. Strategic alliances may also be useful to create a competitive advantage by the pooling of resources and skills. This may also help

with future business opportunities and the development of new products and technologies. Strategic alliances may also be used to get access to new technologies or to pursue joint research and development.

4. Political: Sometimes strategic alliances are formed with a local foreign business to gain entry into a foreign market either because of local prejudices or legal barriers to entry. Forming strategic alliances with politically influential partners may also help improve your own influence and position.

ICAI · Old P7 · Dec 2021 exam · question p. 14-15 · answer p. 15-16

539 EXAM **Old P7 Nov 2019** Q8(b) 5 marks old scheme

Explain the Strategic Alliance. Describe the advantages of Strategic Alliance.

ICAI'S ANSWER

A strategic alliance is a relationship between two or more businesses that enables each to achieve certain strategic objectives which neither would be able to achieve on its own. The strategic partners maintain their status as independent and separate entities, share the benefits and control over the partnership, and continue to make contributions to the alliance until it is terminated.

Advantages of Strategic Alliance

Strategic alliance usually is only formed if they provide an advantage to all the parties in the alliance. These advantages can be broadly categorised as follows:

1. Organizational: Strategic alliance helps to learn necessary skills and obtain certain capabilities from strategic partners. Strategic partners may also help to enhance productive capacity, provide a distribution system, or extend supply chain. Strategic partners may provide a good or service that complements thereby creating a synergy. Having a strategic partner who is well-known and respected also helps add legitimacy and creditability to a new venture.

2. Economic: There can be reduction in costs and risks by distributing them across the members of the alliance. Greater economies of scale can be obtained in an alliance, as production volume can increase, causing the cost per unit to decline. Finally, partners can take advantage of co-specialization, creating additional value.

3. Strategic: Rivals can join together to cooperate instead of compete. Vertical integration can be created where partners are part of supply chain. Strategic alliances may also be useful to create a competitive advantage by the pooling of resources and skills. This may also help with future business opportunities and the development of new products and technologies. Strategic alliances may also be used to get access to new technologies or to pursue joint research and development.

4. Political: Sometimes strategic alliances are formed with a local foreign business to gain entry into a foreign market either because of local prejudices or legal barriers to entry. Forming strategic alliances with politically-influential partners may also help improve your own influence and position.

ICAI · Old P7 · Nov 2019 exam · question p. 11 · answer p. 12

540 EXAM **Old P7 May 2019** Q6 5 marks old scheme

Gautam and Siddhartha two brothers are the owners of a cloth manufacturing unit located in Faridabad. They are doing well and have substantial surplus funds available within the business. They have

different approaches regarding corporate strategies to be followed to be more competitive and profitable in future.

Gautam is interested in acquiring another industrial unit located in Faridabad manufacturing stationery items such as permanent markers, notebooks, pencils and pencil sharpeners, envelopes and other office supplies. On the other hand, Siddhartha desires to start another unit to produce readymade garments.

Discuss the nature of corporate strategies being suggested by two brothers and risks involved in it.

ICAI'S ANSWER

Gautam wishes to diversify in a business that is not related to their existing line of product and can be termed as conglomerate diversification. He is interested in acquiring another industrial unit located in Faridabad manufacturing stationery items such as permanent markers, notebooks, pencils and pencil sharpeners, envelopes and other office supplies, which is not related to their existing product. In conglomerate diversification, the new businesses/ products are disjointed from the existing businesses/products in every way; it is a unrelated diversification. In process/ technology/ function, there is no connection between the new products and the existing ones. Conglomerate diversification has no common thread at all with the firm's present position.

On the other hand, Siddhartha seeks to move forward in the chain of existing product by adopting vertically integrated diversification/ forward integration. The cloth being manufactured by the existing processes can be used as raw material of garments manufacturing business. In such diversification, firms opt to engage in businesses that are related to the existing business of the firm. The firm remains vertically within the same process and moves forward or backward in the chain. It enters specific product/process steps with the intention of making them into new businesses for the firm. The characteristic feature of vertically integrated diversification is that here, the firm does not jump outside the vertically linked product-process chain.

Both types of diversifications have their own risks. In conglomerate diversification, there are no linkages with customer group, customer marketing functions and technology used, which is a risk. In the case of vertical integrated diversification, there is a risk of lack of continued focus on the original business.

ICAI · Old P7 · May 2019 exam · question p. 10 · answer p. 10

541 EXAM **Old P7 Nov 2018** Q7(c) 2 marks old scheme

List the advantages of Strategic Alliances.

ICAI'S ANSWER

Advantages of strategic alliance are:

(i) Organisational: learn skills and obtain capabilities from strategic partners.

(ii) Economic: Sharing of costs and risks by members of alliance.

(iii) Strategic: Rivals can join together to cooperate rather than compete.

(iv) Political: Alliance with partners with political influence improve overall power position of the organisation.

ICAI · Old P7 · Nov 2018 exam · question p. 11 · answer p. 12

542 EXAM **Old P7 Nov 2018** Q8(d) 2 marks old scheme

Which of the following statements are correct and which are incorrect? Give reasons in brief for your answer.

Acquiring of ambulance services by a hospital is an example of forward integration strategy.

ICAI'S ANSWER

Incorrect: Acquiring of ambulance services by a hospital is an example of backward integration strategy. Backward integration is a step towards creation of effective supply by entering business of input providers. Forward integration is moving forward in the value chain.

ICAI · Old P7 · Nov 2018 exam · question p. 12-13 · answer p. 12-13

543 EXAM **Old P7 Nov 2018** Q8(e) 2 marks old scheme

Which of the following statements are correct and which are incorrect? Give reasons in brief for your answer.

There is no such thing as backward integration.

ICAI'S ANSWER

Incorrect: Organisations may diversify into new businesses that are vertically integrated with their existing business. Backward integration firms create effective supply by entering business of input providers. This strategy is employed to expand profits and gain greater control over production.

ICAI · Old P7 · Nov 2018 exam · question p. 12 · answer p. 13

544 EXAM **Old P7 May 2018** Q7(e) 2 marks old scheme

Describe the term 'Co-generic merger'.

ICAI'S ANSWER

In co-generic merger two or more merging organizations are associated in some way or the other related to the production processes, business markets, or basic required technologies. Such merger includes the extension of the product line or acquiring components that are required in the daily operations. It offers great opportunities to business to diversify around a common set of resources and strategic requirements.

ICAI · Old P7 · May 2018 exam · question p. 10 · answer p. 11

545 RTP **May 2026** Q6 MCQ

Rajesh Textiles Ltd., a leading fabric manufacturer, establishes MedCare Hospitals to enter the healthcare services industry, which has no technological or market linkage with its existing textile business. The management expects growth through sectoral expansion and risk spreading. This move represents which type of diversification?

A Concentric diversification

B Conglomerate diversification

C Horizontal diversification

D Vertical diversification

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP May 2026 · question p. 34

546 RTP **May 2026** Q13

Arvind, CEO of Stellar Electronics Ltd., decided that instead of depending only on consumer appliances, the company should enter the renewable energy equipment business to achieve long-term growth and reduce business risk. He proposed establishing a new division for solar panels and batteries. Which corporate strategy is reflected in this decision?

ICAI'S ANSWER

The decision taken by Arvind reflects the diversification strategy, which is a corporate-level strategy. Corporate level strategy is concerned with the choice of business, direction and scope of the organization as a whole. It addresses the fundamental issue of what businesses the organization should be in and how the overall business portfolio should be managed to achieve growth and stability. Diversification strategy involves entry into new products or businesses that are different from the firm's existing operations. It is adopted to achieve growth, reduce risk arising from dependence on a single business and exploit new opportunities in the environment.

In the given case, Stellar Electronics Ltd., which was earlier operating in consumer appliances, proposes to enter the renewable energy equipment business such as solar panels and batteries by creating a new division. This represents expansion into a new business area beyond its present product line with the objective of long-term growth and risk reduction. Thus, the company is broadening its business portfolio by adding a new business, which is characteristic of diversification at the corporate level. Hence, the corporate strategy reflected is diversification strategy.

ICAI · P6 · RTP May 2026 · question p. 35 · answer p. 40-41

547 RTP **Jan 2026** Q6 MCQ

TechNova Inc., a leading U.S. robotics company, partners with Mechtron India Pvt. Ltd. to jointly design and manufacture affordable industrial robots for the South Asian market. Both companies agree to share technology, production facilities and marketing channels to accelerate market entry and reduce costs. What type of strategy is TechNova implementing?

A Joint Venture

B Market Penetration

C Strategic Alliance

D Diversification

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · RTP Jan 2026 · question p. 30

548 RTP **Sep 2025** Q13

Zeon Beverages, known for its fruit juices, recently acquired a nationwide cold-storage logistics company to control the quality and speed of its product delivery. Earlier, it had set up its own fruit-processing unit to reduce dependence on third-party suppliers. The company believes this strategy strengthens its supply chain and market control. What type of strategic move is Zeon making through these acquisitions? How does this approach differ from horizontal and conglomerate diversification?

ICAI'S ANSWER

Zeon Beverages is pursuing a strategy of vertically integrated diversification, a form of concentric diversification, where the company expands into businesses that are related to its existing operations

along the value chain. By setting up its own fruit-processing unit (backward integration) and acquiring a cold-storage logistics company (forward integration), Zeon is strengthening its supply chain, improving quality control and enhancing speed of delivery. This move falls under concentric diversification, where the new businesses are linked to existing ones through process, technology or marketing, providing synergistic benefits. This approach differs from:

1. Horizontal Integrated Diversification – where a firm expands by acquiring similar or complementary businesses operating at the same stage of production. For example, if Zeon had acquired another fruit juice brand, it would be horizontal diversification.

2. Conglomerate Diversification – which involves expansion into unrelated businesses with no connection in terms of product, market, or technology. For instance, if Zeon ventured into unrelated sectors like real estate or electronics, it would be conglomerate diversification. Hence, Zeon's strategy is a vertically integrated concentric diversification, aimed at enhancing operational efficiency and gaining better control over its value chain.

ICAI · P6 · RTP Sep 2025 · question p. 33 · answer p. 40

549 RTP **May 2025** Q3 MCQ

AeroGlide Inc., a global aviation company, approached Rajesh K, an Indian entrepreneur, to collaborate with his team on a next-generation aircraft manufacturing project. Their goal is to expand into South Asia, a region with a growing demand for advanced aviation technology. What strategy is AeroGlide Inc. trying to implement?

- A Market Penetration
- B Market Development
- C Strategic Alliance
- D Diversification

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · RTP May 2025 · question p. 36

550 RTP **May 2025** Q13

Same question, different ICAI answer: #553 Old P7 RTP Nov 2023 · #590 Old P7 MTP Nov 2022 S-I

Jynklo Ltd. is an established online children gaming company in Japan. They are performing good in the gaming industry. The management of Jynklo Ltd. has decided to expand its business. They decided to start a premium sports drink named JynX for athletes. Identify and explain the growth strategy adopted by Jynklo Ltd.?

ICAI'S ANSWER

Currently Jynklo Ltd. is performing in the children's gaming industry. But now its management has decided to expand their business by starting a premium sports drink named JynX for athletes. As there are no links to both products with respect to customer groups, customer functions, or the technologies being used, Jynklo Ltd. have opted Conglomerate diversification. Jynklo Ltd. diversifies in a business that is not related to their existing line of products and can be termed as conglomerate diversification. In conglomerate diversification, the new businesses/ products are disjointed from the existing businesses/products in every way; it is an unrelated diversification. In process/ technology/

function, there is no connection between the new products and the existing ones. Conglomerate diversification has no common threat at all with the firm's present position.

ICAI · P6 · RTP May 2025 · question p. 39 · answer p. 44

551 RTP **Sep 2024** Q14

Also asked in MTP Jan 2026 S-I Q3(b) · MTP Sep 2025 S-II Q4(a) · MTP May 2024 S-I Q4(b) OR

Distinguish between Concentric Diversification and Conglomerate Diversification. ".

ICAI'S ANSWER

The following are the principal points of distinction between concentric diversification and conglomerate diversification:

(i) Concentric diversification occurs when a firm adds related products or markets. On the other hand, conglomerate diversification occurs when a firm diversifies into areas that are unrelated to its current line of business.

(ii) In concentric diversification, the new business is linked to the existing businesses through process, technology or marketing. In conglomerate diversification, no such linkages exist; the new business/product is disjointed from the existing businesses/ products.

(iii) The most common reasons for pursuing concentric diversification are that opportunities in a firm's existing line of business are available. However, common reasons for pursuing a conglomerate growth strategy are that opportunities in a firm's current line of business are limited or opportunities outside are highly lucrative.

ICAI · P6 · RTP Sep 2024 · question p. 37 · answer p. 45-46

552 RTP **Old P7 Nov 2023** Case scenario · Q1(i) to Q1(v) old scheme

CASE SCENARIO

Easy Drinks LLP, a company in the health drink industry, found itself grappling with a severe cash crunch due to high production costs and sluggish sales amid tough competition. Led by KK Batra, the team realized that a significant overhaul of their existi ng processes and business approach was necessary to turn the tide. Taking a bold leap, they took the decision to invest all of their debt in their balance sheet into brand building. Their new strategy comprised of two key elements. First, they sought to position their brand as a leading extreme sports drink, aiming to elevate the customer's experience and perceived value. Second, they opted to outsource their production and distribution to external vendors. This move was driven by the intention to reduce operational costs significantly and channel the savings into strengthening their brand positioning. With these transformative changes in mind, the company reimagined itself as "Purple Tiger." The brand's new identity featured a distinctive logo—a roaring tiger on a bright purple can, setting it apart from its competitors in the market.

To build a brand that resonated with consumers, Easy Drinks LLP heavily invested in extreme sports sponsorships. They supported world record holders' attempts, sponsored skydiving, fishing, deep diving, paragliding, bullfights, hot air balloon races, and various other adventure sports worldwide. The vision was to capture the attention of every individual who identified with the thrill of adventure sports. This approach marked a revolutionary step for the company.

Another aspect that set Purple Tiger apart from its competitors was its packaging. While most other brands offered standard 150 ml fat cans, Purple Tiger introduced a unique 180 ml long slimmer can.

This differentiation allowed the company to charge a premium for the perceived "pride" it added to the consumer's experience, a strategy they termed "Pride Premium Pricing."

However, the decision to outsource the entire operations posted its own set of risks, mainly concerning quality control and measurement. Despite this, Easy Drinks LLP carefully selected Thai Beverages, a reputable Thailand-based company, as their strategic partner to support them in this endeavour. To instill confidence and ensure a long-term relationship, Thai Beverages was offered a share in the profits. This move aimed to free up the team's focus from operational and supply chain matters, enabling them to concentrate fully on brand building.

Purple Tiger's transformation exemplifies how a change in strategy can bring about a complete shift in the outlook, vision, and mission of a company. The successful execution of their new approach demonstrates the potential for newer dimensions to emerge in the business landscape.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(i)

How did Purple Tiger's unique packaging contribute to its competitive advantage?

- A It attracted more customers
- B It reduced production costs
- C It allowed them to charge a premium
- D It strengthened the partnership with Thai Beverages

Q1(ii)

Which of the following growth strategy did Easy Drinks LLP use to free up their own teams and focus on their core specification of brand building?

- A Horizontal integrated diversification
- B Vertical integrated diversification
- C Conglomerate diversification
- D Concentric diversification

Q1(iii) out of syllabus

The partnership with Thai Beverages is an outbound version of which of these?

- A Supply chain management
- B Logistics management
- C Financial strategy
- D Ease of operational control

Q1(iv)

Purple Tiger's decision to involve Thai Beverages in profit sharing reflects a strategic focus on:

- A Strategic alliances
- B Competitive benchmarking
- C Financial leverage
- D Outsourcing

Q1(v)

Easy Drinks LLP's decision to sponsor extreme sports aligns with which strategic objective?

A Market development

B Market penetration

C Product development

D Diversification

ICAI'S ANSWERS

Q1(i)

Answer key: **(C)**

Q1(ii)

Answer key: **(B)**

Q1(iii)

Answer key: **(A)**

Q1(iv)

Answer key: **(A)**

Q1(v)

Answer key: **(B)**

ICAI · Old P7 · RTP Nov 2023 · question p. 12

553 RTP **Old P7 Nov 2023** Q14 old scheme

Same question, different ICAI answer: #550 RTP May 2025 · #590 Old P7 MTP Nov 2022 S-I

Jynklo Ltd. is an established online children gaming company in Japan. They are performing good in the gaming industry. The management of Jynklo Ltd. has decided to expand its business. They decided to start a premium sports drink named JynX for athletes. Identify and explain the growth strategy adopted by Jynklo Ltd.?

ICAI'S ANSWER

Currently Jynklo Ltd. is performing in the children gaming industry. But now its management has decided to expand their business by starting a premium sports drink named JynX for athletes. As there are no linkages in both products with respect to customer groups, customer functions, or the technologies being used, so Jynklo Ltd. have opted Conglomerate diversification.

Jynklo Ltd. diversify in a business that is not related to their existing line of product and can be termed as conglomerate diversification. In conglomerate diversification, the new businesses/ products are disjointed from the existing businesses/products in every way; it is an unrelated diversification. In process/ technology/ function, there is no connection between the new products and the existing ones. Conglomerate diversification has no common thread at all with the firm's present position.

ICAI · Old P7 · RTP Nov 2023 · question p. 16 · answer p. 19-20

554 RTP **Old P7 May 2023** Q3 MCQ old scheme

Sumedha has a home-grown brand which makes traditional lehengas. She thought of expanding her business and added linen jackets and cotton trousers to her product line. Which strategy is she working on?

A Backward integration

B Intensification

C Diversification

D Horizontal Diversification

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP May 2023 · question p. 17

555 RTP **Old P7 Nov 2022** Q6 MCQ old scheme

Hupo a honey brand decided to start a new brand for making honey ginger candies to meet the rising demand. Identify their growth strategy?

A Conglomerate Diversification

B Concentric Diversification

C Vertical Integration

D Horizontal Integration

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP Nov 2022 · question p. 16

556 RTP **Old P7 Nov 2022** Q13 old scheme

Write a short note on Merger and Acquisition Strategy.

ICAI'S ANSWER

Merger and acquisition in simple words are defined as a process of combining two or more organizations together. There is a thin line of difference between the two terms but the impact of combination is completely different in both the cases.

Merger is considered to be a process when two or more companies come together to expand their business operations. In such a case the deal gets finalized on friendly terms and both the organizations share profits in the newly created entity. In a merger two organizations combine to increase their strength and financial gains along with breaking the trade barriers.

When one organization takes over the other organization and controls all its business operations, it is known as acquisitions. In this process of acquisition, one financially strong organization overpowers the weaker one. Acquisitions often happen during recession in economy or during declining profit margins. In this process, one that is financially stronger and bigger establishes it power. The combined operations then run under the name of the powerful entity. A deal in case of an acquisition is often done in an unfriendly manner, it is more or less a forced association where the powerful organization either consumes the operation or a company in loss is forced to sell its entity.

ICAI · Old P7 · RTP Nov 2022 · question p. 17 · answer p. 21

557 RTP **Old P7 May 2022** Q3 MCQ old scheme

A tea farm owners plan to open tea cafes in tourist spots and to sell their own premium tea to build a brand. Which of the following can this be termed as?

A Backward Integration

B Forward Integration

C Diversification

D Horizontal Integration

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP May 2022 · question p. 17

558 RTP **Old P7 May 2022** Q14 old scheme

Same question, different ICAI answer: #592 Old P7 MTP Nov 2022 S-II

Diversification endeavours can be categorized into four broad classifications. State the basis for this classification and name the four categories. How is concentric diversification different from vertically diversification? Explain.

ICAI'S ANSWER

Diversification strategy involves expansion into new businesses that are outside the current business and markets of an organisation. Based on the nature and extent of their relationship to existing businesses, diversification can be classified into four b road categories:

(i) Vertically integrated diversification

(ii) Horizontally integrated diversification

(iii) Concentric diversification

(iv) Conglomerate diversification

Concentric diversification takes place when the products are related. The new product is a spin-off from the existing facilities and products/processes. This means that in concentric diversification too, there are benefits of synergy with the current operations. However, concentric diversification differs from vertically integrated diversi fication in the nature of the linkage the new product has with the existing ones.

In vertically integrated diversification, firms opt to engage in businesses that are related to the existing business of the firm. The firm remains vertically within the same process. Sequence moves forward or backward in the chain and enters specific product/process steps with the intention of making them into new businesses for the firm. The new product falls within the firm's current process-product chain. In concentric diversification, there is a departure from this vertical linkage, a new related product is added to the existing business. The new product is only connected in a loop-like manner at one or more points in the firm's existing process/technology/product chain.

ICAI · Old P7 · RTP May 2022 · question p. 18 · answer p. 22-23

559 RTP **Old P7 Dec 2021** Q13 old scheme

Leatherite Ltd. was started as a leather company to manufacture footwear. Currently, they are in the manufacturing of footwears for males and females. The top management desires to expand the business in the leather manufacturing goods. To expand they decided to purchase more machines to manufacture leather bags for males and f emales. Identify and explain the strategy opted by the top management of Leatherite Ltd.

ICAI'S ANSWER

Leatherite Ltd. is currently manufacturing footwears for males and females and its top management has decided to expand its business by manufacturing leather bags for males and females. Both the

products are similar in nature within the same industry. The strategic diversification that the top management of Leatherite Ltd. has opted is concentric in nature. They were in business of manufacturing leather footwears and now they will manufacture leather bags as well. They will be able to use existing infrastructure and distribution channel. Concentric diversification amounts to related diversif ication. In concentric diversification, the new business is linked to the existing businesses through process, technology or marketing. The new product is a spin-off from the existing facilities and products/processes. This means that in concentric diversification too, there are benefits of synergy with the current operations.

ICAI · Old P7 · RTP Dec 2021 · question p. 18 · answer p. 22

560 RTP **Old P7 Dec 2021** Q14 old scheme

Explain the term Merger and Acquisition as a growth strategy. Differentiate between both of them. State the situations in which such strategies are considered by any organization.

ICAI'S ANSWER

Acquisition or merger with an existing concern is an instant means of achieving expansion. It is an attractive and tempting proposition in the sense that it circumvents the time, risks and skills involved in screening internal growth opportunities, seizing them and building up the necessary resource base required to materialise growth.

Apart from the urge to grow, acquisitions and mergers are resorted to for purposes of achieving a measure of synergy between the parent and the acquired enterprises. Synergy may result from such bases as physical facilities, technical and managerial skills, distribution channels, general administration, research and development and so on.

Many organizations in order to achieve quick growth, expand or diversify with the use of mergers and acquisitions strategies. Merger and acquisition in simple words are d efined as a process of combining two or more organizations together. There is a thin line of difference between the two terms but the impact of combination is completely different in both the cases.

Merger is considered to be a process when two or more organizations join together to expand their business operations. In such a case the deal gets finalized on friendly terms. Owners of pre-merged entities have right over the profits of new entity. In a merger two organizations combine to increase their strength and financial gains. While, when one organization takes over the other organization and controls all its business operations, it is known as acquisition. In the process of acquisition, one financially strong organization overpowers the weaker one. Acquisitions often happen during economic recession or during declining profit margins. In this process, one that is financially stronger and bigger establishes it power. The combined operations then run under the name of the powerful entity. A deal in case of an acquisition is often done in an unfriendly manner, it is more or less a forced association.

ICAI · Old P7 · RTP Dec 2021 · question p. 18 · answer p. 22-23

561 RTP **Old P7 Jul 2021** Q6 MCQ old scheme

Also asked in Old P7 MTP Nov 2019 S-I Q1(iv)

If suppliers are unreliable or too costly, which of these strategies may be appropriate?

A Horizontal integration

B Backward integration

C Market penetration

D Forward integration

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP Jul 2021 · question p. 15

562 RTP **Old P7 May 2020** Q1(xii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Vertical integration may be beneficial when

A Lower transaction costs and improved coordination are vital and achievable through vertical integration.

B Flexibility is reduced, providing a more stationary position in the competitive environment.

C Various segregated specializations will be combined.

D The minimum efficient scales of two corporations are different.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP May 2020 · question p. 13

563 RTP **Old P7 May 2020** Q8 old scheme

Organo is a large supermarket chain. It is considering the purchase of a number of farms that provides Organo with a significant amount of its fresh produce. Organo feels that by purchasing the farms, it will have greater control over its supply chain. Identify and explain the type of diversification opted by Organo?

ICAI'S ANSWER

Organo is a large supermarket chain. By opting backward integration and purchase a number of farms, it will have greater control over its supply chain. Backward integration is a step towards, creation of effective supply by entering business of input providers. Strategy employed to expand profits and gain greater control over production of a product whereby a company will purchase or build a business that will increase its own supply capability or lessen its cost of production.

ICAI · Old P7 · RTP May 2020 · question p. 14 · answer p. 19

564 RTP **Old P7 May 2020** Q9 old scheme

Same question, different ICAI answer: #600 Old P7 MTP Nov 2020 S-I

Write short note on expansion through acquisitions and mergers.

ICAI'S ANSWER

Acquisitions and mergers are basically combination strategies. Some organizations prefer to grow through mergers. Merger is considered to be a process when two or more companies come together to expand their business operations. In such a case the deal gets finalized on friendly terms and both the organizations share profits in the newly created entity. In a merger two organizations combine to increase their strength and financial gains along with breaking the trade barriers.

When one organization takes over the other organization and controls all its business operations, it is known as acquisition. In this process of acquisition, one financially strong organization overpowers

the weaker one. Acquisitions often happen during recession in economy or during declining profit margins. In this process, one that is financially stronger and bigger establishes it power. The combined operations then run under the name of the powerful entity. A deal in case of an acquisition is often done in an unfriendly manner, it is more or less a forced association where the powerful organization either consumes the operation or a company in loss is forced to sell its entity.

ICAI · Old P7 · RTP May 2020 · question p. 14 · answer p. 19-20

565 RTP **Old P7 Nov 2019** Q1(i) MCQ old scheme

In the questions given below select the best answer out of options (A), (B), (C), or (D):

Acquisition of another organisation that was using your product in their manufacturing is:

- A Horizontal integrated diversification
- B Forward integrated diversification
- C Backward integrated diversification
- D conglomerate diversification

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP Nov 2019 · question p. 12-13

566 RTP **Old P7 May 2019** Q1(viii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Which of the following is not a type of diversification strategy?

- A Vertical diversification.
- B Concentric diversification.
- C Conglomerate diversification.
- D Co-generic diversification.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2019 · question p. 9-11

567 RTP **Old P7 May 2019** Q1(xviii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

An organization acquires its supplier is an example of:

- A Horizontal integrated diversification.
- B Forward integrated diversification.
- C Backward integrated diversification.
- D Conglomerate diversification.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP May 2019 · question p. 9

568 RTP **Old P7 May 2019** Q9 old scheme

Same question, different ICAI answer: #596 Old P7 MTP Dec 2021 S-II

What are the advantages of a strategic alliance?

ICAI'S ANSWER

A strategic alliance is a relationship between two or more businesses that enables each to achieve certain strategic objectives which neither would be able to achieve on its own. The strategic partners maintain their status as independent and separate entities, share the benefits and control over the partnership, and continue to make contributions to the alliance until it is terminated. The advantages of strategic alliance can be broadly categorised as follows:

(a) Organizational: Strategic alliance helps to learn necessary skills and obtain certain capabilities from strategic partners. Strategic partners may also help to enhance productive capacity, provide a distribution system, or extend supply chain.

(b) Economic: There can be reduction in costs and risks by distributing them across the members of the alliance. Greater economies of scale can be obtained in an alliance, as production volume can increase, causing the cost per unit to decline.

(c) Strategic: Rivals can join together to cooperate instead of compete. Strategic alliances may also be useful to create a competitive advantage by the pooling of resources and skills. This may also help with future business opportunities and the development of new products and technologies. Strategic alliances may also be used to get access to new technologies or to pursue joint research and development.

(d) Political: Sometimes strategic alliances are formed with a local foreign business to gain entry into a foreign market either because of local prejudices or legal barriers to entry.

ICAI · Old P7 · RTP May 2019 · question p. 13 · answer p. 17-18

569 RTP **Old P7 May 2019** Q18(a) old scheme

Also asked in Old P7 RTP May 2018 Q4(c)

Distinguish between the following: Mergers and acquisitions.

ICAI'S ANSWER

Merger and acquisition in simple words are defined as a process of combining two or more organizations together.

Some organizations prefer to grow through mergers. Merger is considered to be a process when two or more companies come together to expand their business operations. In such a case the deal gets finalized on friendly terms and both the organizations share profits in the newly created entity. In a merger two organizations combine to increase their strength and financial gains along with breaking the trade barriers.

When one organization takes over the other organization and controls all its business operations, it is known as acquisitions. In this process of acquisition, one financially strong organization overpowers the weaker one. Acquisitions often happen during recession in economy or during declining profit margins. In this process, one that is financially stronger and bigger establishes it power. The combined operations then run under the name of the powerful entity. A deal in case of an acquisition is often done in an unfriendly manner, it is more or less a forced association.

ICAI · Old P7 · RTP May 2019 · question p. 13 · answer p. 22

570 RTP **Old P7 Nov 2018** Q4(a) old scheme

Distinguish between the following: Forward integration and backward integration.

ICAI'S ANSWER

Forward and backward integration form part of vertically integrated diversification. In vertically integrated diversification, firms opt to engage in businesses that are vertically related to the existing business of the firm. The firm remains vertically within the same process. While diversifying, firms opt to engage in businesses that are linked forward or backward in the chain and enters specific product/process steps with the intention of making them into new businesses for the firm.

Backward integration is a step towards creation of effective supply by enterin g business of input providers. Strategy employed to expand profits and gain greater control over production of a product whereby a company will purchase or build a business that will increase its own supply capability or lower its cost of production. On the other hand, forward integration is moving forward in the value chain and entering business lines that use existing products. Forward integration will also take place where organisations enter into businesses of distribution channels.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 18

571 RTP **Old P7 Nov 2018** Q11 old scheme

Vastralok Ltd., was started as a textile company to manufacture cloth. Currently, they are in the manufacturing of silk cloth. The top management desires to expand the business in the cloth manufacturing. To expand they decided to purchase more machines to manufacture cotton cloth.

Identify and explain the strategy opted by the top management of Vastralok Ltd.

ICAI'S ANSWER

Vastralok Ltd. is currently manufacturing silk cloth and its top management has decided to expand its business by manufacturing cotton cloth. Both the products are similar in nature within the same inductry. The strategic diversification that the top management of Vastralok Ltd. has opted is concentric in nature. They were in business of manufacturing silk and now they will manufacture cotton as well. They wil be able to use existing infrastructure and distribution channel. Concentric diversification amounts to related diversification. In concentric diversification, the new business is linked to the existing businesses through process, technology or marketing. The new product is a spin-off from the existing facilities and products/processes. This means that in concentric diversification too, there are benefits of synergy with the current operations.

ICAI · Old P7 · RTP Nov 2018 · question p. 13 · answer p. 22

572 RTP **Old P7 May 2018** Q11 old scheme

Swift Insurance is a company engaged in the business of providing medical insurance maintaining a market share of 25 to 30 per cent in last five years. Recently, the company decided to enter into the business of auto insurance by having foreign collaboration. Identify the strategy being followed by the Swift Insurance with its advantages.

ICAI'S ANSWER

Overall Swift Insurance is following growth or expansion strategy as it is redefining the business and enlarging its scope. The step will also substantially increase investment in the business.

The new business is related and at the same time caters to a different segment and accordingly can be termed as related diversification. The new business falls within the scope of general insurance and

horizontally related to the existing business. In the process of expansion, the company will be able to exploit:

- Its brand name.
- The marketing skills available.
- The existing sales and distribution infrastructure.
- Research and development.
- Economies of scale

ICAI · Old P7 · RTP May 2018 · question p. 14 · answer p. 23

573 RTP **Old P7 May 2018** Q12 old scheme

Also asked in MTP May 2024 S-II Q4(b) OR

Same question, different ICAI answer: #582 MTP Jan 2025 S-II

Strategic alliances are formed if they provide an advantage to all the parties in the alliance. Do you agree? Explain in brief the advantages of a strategic alliance.

ICAI'S ANSWER

Strategic alliances are formed if they provide an advantage to all the parties in the alliance. These advantages can be broadly categorised as follows:

(i) Organizational: Strategic alliances may be formed to learn necessary skills and obtain certain capabilities from the strategic partner. Strategic partners may also help to enhance productive capacity, provide a distribution system, or extend supply chain. A strategic partner may provide a good or service that complements each other, thereby creating a synergy. If one partner is relatively new or untried in a certain industry, having a strategic partner who is well-known and respected will help add legitimacy and creditability to the venture.

(ii) Economic: Alliances can reduce costs and risks by distributing them across the members of the alliance. Partners can obtain greater economies of scale in an alliance, as production volume increase, causing the cost per unit to decline. Finally, partners can take advantage of co-specialization, where specializations are bundled together, creating additional value.

(iii) Strategic: Organizations may join to cooperate instead of compete. Alliances may also create vertical integration where partners are part of supply chain. Strategic alliances may also be useful to create a competitive advantage by the pooling of resources and skills. This may also help with future business opportunities and the development of new products and technologies. Strategic alliances may also be used to get access to new technologies or to pursue joint research and development.

(iv) Political: Sometimes there is need to form a strategic alliance with a local foreign business to gain entry into a foreign market either because of local prejudices or legal barriers to entry. Forming strategic alliances with politically-influential partners may also help improve overall influence and position.

ICAI · Old P7 · RTP May 2018 · question p. 15 · answer p. 24

574 MTP **Sep 2026 S-I** Q1(c) 5 marks

Jeff Inc., a leading US-based smartphone company, intends to strengthen its global presence by manufacturing its latest Android smartphones with high storage capacity in India. For this purpose, it enters into an agreement with Desi Group, a leading Indian mobile manufacturer, under which both

companies will collaborate in manufacturing the smartphones. The products will be exported to the USA as well as European countries. Both companies will continue to exist as independent entities while sharing resources, expertise and risks. Identify the growth strategy adopted by Jeff Inc. and Desi Group. Also explain any four advantages that both companies are likely to derive from this arrangement.

ICAI'S ANSWER

The growth strategy adopted by Jeff Inc. and Desi Group is a Strategic Alliance. A strategic alliance is an arrangement between two or more independent firms to cooperate in achieving specific strategic objectives. The participating firms remain legally independent but share resources, capabilities, knowledge and risks to achieve mutual benefits.

Advantages of Strategic Alliance

1. **Organisational Advantage:** The alliance enables Jeff Inc. to leverage Desi Group's manufacturing capabilities and production facilities, while Desi Group gains access to Jeff Inc.'s technological expertise and global quality standards. This facilitates learning and capability enhancement for both partners.

2. **Economic Advantage:** By sharing production facilities, investment and operational costs, both companies can reduce costs and business risks. Higher production volumes for exports also help achieve economies of scale, resulting in lower per-unit production cost.

3. **Strategic Advantage:** The collaboration allows both companies to pool their resources and competencies, thereby strengthening their competitive position in international markets. It also provides opportunities for joint product development and technology advancement.

4. **Political Advantage:** Collaborating with an established Indian manufacturer enables Jeff Inc. to benefit from local market knowledge, regulatory support and ease of operations, while Desi Group enhances its international presence through association with a reputed global brand.

Thus, the collaboration between Jeff Inc. and Desi Group represents a Strategic Alliance, enabling both organisations to achieve common strategic objectives by combining their complementary strengths while remaining independent entities.

ICAI · P6 · MTP Sep 2026 · Series I · question p. 12 · answer p. 16-17

575 MTP **Sep 2025 S-II** Q1(b) 5 marks

A leading smartphone manufacturer has partnered with a reputed software firm to jointly develop a next-generation AI-enabled operating system. Both companies maintain their independent operations but collaborate closely on product design, development, and marketing. The partnership aims to leverage shared resources, complementary expertise and expanded market access for mutual benefit. Identify and explain the form of cooperative strategy being used in this scenario.

ICAI'S ANSWER

The form of cooperative strategy in this scenario is a Strategic Alliance. A strategic alliance is a relationship between two or more businesses that enables each to achieve certain strategic objectives which neither would be able to achieve on its own. The strategic partners remain independent entities, share the benefits and control of the partnership and contribute resources until the alliance is terminated.

In this case, the smartphone manufacturer brings hardware design expertise, manufacturing capacity and an established distribution network, while the software firm contributes AI capabilities,

software development skills and technological innovation. By collaborating on the AI-enabled operating system, both companies benefit from:

- **Organizational advantages** – Learning new skills, combining complementary strengths and enhancing credibility in the market.
- **Economic advantages** – Sharing costs and risks of development, achieving economies of scale and improving efficiency.
- **Strategic advantages** – Pooling resources to accelerate innovation, create a competitive advantage and potentially enter new markets.

ICAI · P6 · MTP Sep 2025 · Series II · question p. 14 · answer p. 17

576 MTP **May 2025 S-I** Q3(b) 5 marks

Differentiate between Concentric diversification and Conglomerate diversification.

ICAI'S ANSWER

The following are the principal points of distinction between concentric diversification and conglomerate diversification:

(i) Concentric diversification occurs when a firm adds related products or markets. On the other hand, conglomerate diversification occurs when a firm diversifies into areas that are unrelated to its current line of business.

(ii) In concentric diversification, the new business is linked to the existing businesses through process, technology or marketing. In conglomerate diversification, no such linkages exist; the new business/product is disjointed from the existing businesses/ products.

(iii) The most common reasons for pursuing concentric diversification are that opportunities in a firm's existing line of business are available. However, common reasons for pursuing a conglomerate growth strategy are that opportunities in a firm's current line of business are limited or opportunities outside are highly lucrative.

ICAI · P6 · MTP May 2025 · Series I · question p. 11 · answer p. 21

577 MTP **May 2025 S-II** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

Founded with a dream to bring the world's finest spices to kitchens worldwide, Rachini Group has evolved into a diversified conglomerate, spanning industries from spices to car dealerships and real estate. This case study delves into the journey of Rachini Group.

Rachini Group's clear objective from its inception was to become a leading player in the spice trade industry. They aimed to source, package, and distribute the highest quality spices to homes and businesses globally. This unwavering focus on quality and customer satisfaction allowed them to establish themselves as a trusted brand, defining their path to success. The company, under the strict stewardship of Mangat Singh, emphasized quality control, adherence to core values, and a disciplined approach to business. While this management style limited creativity within middle management, it ensured consistency and quality throughout the organization, especially in their core spice business.

Recognizing the potential for growth and value addition, Rachini Group expanded by investing in acquiring spice farms and processing facilities, ensuring a robust supply chain. This allowed them to control quality and costs, creating a significant competitive advantage. As a result of their expansion and diversification, Rachini Group began generating positive cash flows. These financial gains

provided the necessary resources for further expansion and allowed the company to venture beyond its spice business.

In their quest for expansion, Rachini Group forged strategic partnerships and alliances with influential politicians and royal families in Arabia. These connections provided valuable insights, eased market entry, and facilitated regulatory approvals, giving the company a competitive edge. The group diversified into other sectors like car dealerships and real estate, seeking to tap into lucrative markets and reduce dependency on a single industry.

Despite their success, Rachini Group faced backlash from social groups who believed that the concentration of wealth in the hands of a few was dangerous for society. They were accused of worsening income inequality. This criticism prompted the company to reevaluate its approach and consider the broader impact of its business activities. In response, the family-owned business initiated a philanthropic arm, focusing on improving the living conditions, education, and healthcare in the communities they operated. This philanthropic endeavor aimed to balance their business success with social responsibility, nurturing a more positive image and addressing the criticisms they faced.

Rachini Group continues to thrive with a remarkable compound annual growth rate (CAGR) of 12%. Their diversified business portfolio, including car dealerships and real estate, now constitutes 40% of their total group revenue. The company remains committed to its spice trade roots while exploring new opportunities. Their plan to go public in 2026 is a testament to their ambition and determination to remain a key player in the global business landscape.

Rachini Group's remarkable evolution serves as a compelling case study in the world of business, showcasing the power of clear objectives, and adaptability in the face of social challenges. As they move towards their IPO in 2026, they continue to be a fascinating story of business success with a commitment to the greater good.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

How did Rachini Group control quality and costs in their spice business?

- A By reducing their workforce - Human Resource Management
- B By outsourcing production - Organizational Structure Planning
- C By investing in spice farms and processing facilities - Vertical Integration
- D By cutting prices - Best Cost Provider Strategy

Q1(A)(ii) 2 marks

Rachini Group's emphasis on acquiring spice farms and processing facilities to gain supply chain control aligns with which 'S' in McKinsey's 7S Framework?

- A Systems
- B Structure
- C Strategy
- D Staff

Q1(A)(iii) 2 marks

How did Rachini Group gain a competitive edge in their expansion efforts?

- A Through extensive marketing campaigns

B By entering new international markets

C By forging strategic partnerships and alliances

D By increasing their workforce

Q1(A)(iv) 2 marks

The strategic alliances with royal families and politicians most likely helped Rachini Group reduce the threat of:

A Substitute products

B Bargaining power of buyers

C New entrants

D Industry rivalry

Q1(A)(v) 2 marks

What was Rachini Group's initial Vision when it was founded?

A To diversify quickly into unrelated businesses

B To become a leading player in the spice trade industry

C To establish a philanthropic arm

D To go public by 2026

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(C)**

Q1(A)(ii)

Answer key: **(C)**

Q1(A)(iii)

Answer key: **(C)**

Q1(A)(iv)

Answer key: **(C)**

Q1(A)(v)

Answer key: **(B)**

ICAI · P6 · MTP May 2025 · Series II · question p. 10-11

578 MTP **May 2025 S-II** Q2(a) 5 marks

NovaTech Pvt. Ltd. is a well-established educational technology (EdTech) company in the India. The company has been performing well in the online learning industry. The management of NovaTech Pvt. Ltd. has now decided to expand its business by launching a luxury skincare brand named "GlowNova." Identify and explain the growth strategy adopted by NovaTech Pvt. Ltd.

ICAI'S ANSWER

Currently, NovaTech Pvt. Ltd. operates in the educational technology industry, offering digital learning solutions. However, its management has decided to expand into an entirely different sector by launching GlowNova, a luxury skincare brand. Since there is no connection between their existing EdTech business and the new skincare venture in terms of customer groups, customer needs, or technologies used, NovaTech Pvt. Ltd. has opted for conglomerate diversification.

In conglomerate diversification, a company expands into a completely unrelated industry where its new products or services have no direct link to its existing business. There is no overlap in technology, market, or product functions. This type of diversification helps companies spread risk, enter new markets, and explore new revenue streams.

NovaTech Pvt. Ltd.'s decision to launch a skincare brand while operating in the EdTech sector demonstrates a strategic move toward unrelated diversification, allowing the company to tap into an entirely different consumer market.

ICAI · P6 · MTP May 2025 · Series II · question p. 14 · answer p. 21

579 MTP **May 2025 S-II** Q3(b) 5 marks

Same question, different ICAI answer: #532 Exam May 2024

'Innovation leads to unnecessary expenses that do not give as many returns.' Do you agree with the statement? Give reasons in support of your answer.

ICAI'S ANSWER

The statement "Innovation leads to unnecessary expenses that do not give as many returns" is often debated, but evidence strongly suggests that innovation is crucial for long-term business growth and success. I disagree with the statement for several reasons:

Innovation offers the following for a business to grow long term:

- **Helps to solve complex problems:** A business strives to find opportunities in existing problems of society, and it does so through planned innovation in areas of expertise. This guided innovation helps solve complex problems by developing customer centric sustainable solutions.
- **Increases productivity:** Innovation leads to simplification and in most cases automation of existing tasks. Companies are willing to spend millions on increasing their productivity. Innovation, by automating repetitive tasks and simplifying the long chain of processes, adds to productivity of teams and thereby the organization as a whole.
- **Gives competitive advantage:** Being ahead of competition is a need and businesses spend majority of their strategic time building solutions to achieve this advantage. The faster a business innovates, the farther it goes from its competitor's reach. Innovative products need less marketing as they aim to provide added satisfaction to consumers, thus creating a competitive advantage. Innovation not only helps retain its existing customers but helps acquire new ones with ease too.

ICAI · P6 · MTP May 2025 · Series II · question p. 14 · answer p. 22-23

580 MTP **Jan 2025 S-I** Q1(B)(ii) 2 marks MCQ

UN&T reached out to Mukesh S, an entrepreneur from India to get his team to work on a mega solar energy project and enter India's deccan plateau which enjoys an abundance of sunshine. What strategy is UN&T trying to implement?

A Market Penetration

B Market Development

C Strategic Alliance

D Diversification

ICAI'S ANSWER

Answer key: **(C)**

581 MTP **Jan 2025 S-I** Q4(a) 5 marks

Leatherite Ltd. was started as a leather company to manufacture footwear. Currently, they are in the manufacturing of footwears for males and females. The top management desires to expand the business in leather manufacturing goods. To expand they decided to purchase more machines to manufacture leather bags for males and females. Identify and explain the strategy opted by the top management of Leatherite Ltd.

ICAI'S ANSWER

Leatherite Ltd. is currently manufacturing footwears for males and females and its top management has decided to expand its business by manufacturing leather bags for males and females. Both the products are similar in nature within the same industry. The strategic diversification that the top management of Leatherite Ltd. has opted for is concentric in nature. They were in business manufacturing leather footwear and now they will manufacture leather bags as well. They will be able to use existing infrastructure and distribution channels.

Concentric diversification amounts to related diversification.

In concentric diversification, the new business is linked to the existing businesses through process, technology or marketing. The new product is a spin-off from the existing facilities and products/processes. This means that in concentric diversification too, there are benefits of synergy with the current operations.

ICAI · P6 · MTP Jan 2025 · Series I · question p. 12 · answer p. 16-17

582 MTP **Jan 2025 S-II** Q4(b) OR 5 marks

Same question, different ICAI answer: #573 Old P7 RTP May 2018

Strategic alliances are formed if they provide an advantage to all the parties in the alliance. Do you agree? Explain in brief the advantages of a strategic alliance.

ICAI'S ANSWER

Strategic alliances are formed if they provide an advantage to all the parties in the alliance. These advantages can be broadly categorised as follows:

(i) **Organizational:** Strategic alliances may be formed to learn necessary skills and obtain certain capabilities from the strategic partner. Strategic partners may also help to enhance productive capacity, provide a distribution system, or extend supply chain. A strategic partner may provide a good or service that complements each other, thereby creating a synergy. If one partner is relatively new or untried in a certain industry, having a strategic partner who is well-known and respected will help add legitimacy and creditability to the venture.

(ii) **Economic:** Alliances can reduce costs and risks by distributing them across the members of the alliance. Partners can obtain greater economies of scale in an alliance, as production volume increases, causing the cost per unit to decline. Finally, partners can take advantage of co-specialization, where specializations are bundled together, creating additional value.

(iii) **Strategic:** Organizations may join to cooperate instead of competing. Alliances may also create vertical integration where partners are part of the supply chain. Strategic alliances may also be useful to create a competitive advantage by the pooling of resources and skills. This may also help with future business opportunities and the development of new products and technologies. Strategic

alliances may also be used to get access to new technologies or to pursue joint research and development.

(iv) **Political:** Sometimes there is need to form a strategic alliance with a local foreign business to gain entry into a foreign market either because of local prejudices or legal barriers to entry. Forming strategic alliances with politically influential partners may also help improve overall influence and position.

ICAI · P6 · MTP Jan 2025 · Series II · question p. 12 · answer p. 15

583 MTP **Sep 2024 S-II** Q1(a) 5 marks

TechNova, a leading software development firm known for its cutting-edge operating systems, is developing a groundbreaking new platform. ElectroWave, an emerging player in the electronics and hardware industry, specializes in manufacturing advanced devices. TechNova and ElectroWave have decided to join forces to design innovative laptops and smartphones, aiming to tap into new markets and broaden their business horizons. What kind of external growth strategy is being considered by TechNova and ElectroWave?

ICAI'S ANSWER

The collaboration between TechNova, a software development firm, and ElectroWave, an electronics and hardware manufacturing company, represents a co-generic merger. This type of external growth strategy involves the merger of companies from related but non-competing industries, allowing them to leverage complementary strengths and diversify their product offerings.

TechNova specializes in creating cutting-edge software, while ElectroWave focuses on manufacturing advanced electronic devices. By joining forces, they can combine their expertise to design innovative laptops and smartphones, creating products that neither company could have developed as effectively on their own. This strategic partnership allows them to enter new markets, enhance their competitive advantage, and explore synergies between software and hardware.

The co-generic merger provides significant opportunities for both companies to capitalize on shared technologies, streamline their operations, and expand their customer base. It is a strategic move that enables them to diversify while maintaining a strong focus on their core competencies, ultimately helping them to grow and compete more effectively in the global market.

ICAI · P6 · MTP Sep 2024 · Series II · question p. 9-10 · answer p. 11

584 MTP **Old P7 Nov 2023 S-I** Case scenario · Q1(A)1 to Q1(A)5 6 marks old scheme

CASE SCENARIO

One Earth Limited (OEL) operates as a diversified conglomerate with involvement in various sectors including FMCG, stationery, apparel, heavy engineering, and cement industries. Benefitting from a substantial free reserve of Rs. 75,000 crores, OEL has established a robust brand reputation, largely attributed to its dominant market positions in multiple sectors.

In the cement industry, OEL has maintained its industry leadership for the past two decades. The cement division's recent performance has been notably strong. A significant development in the industry landscape took place when two competitors, Raksha Products Limited and Strongman Cement Limited – initially ranked third and fourth in market share respectively – merged to form a new entity, Unnati Cement Ltd (UCL). As a result, UCL now secures the second position in terms of market share.

Amidst this backdrop, the Chairman of OEL convened a comprehensive meeting involving the Board, divisional heads, marketing leadership, and the Group CFO. The meeting's objectives encompassed devising concrete strategies for the cement division, exploring avenues for broader corporate expansion, and determining an interim dividend strategy in celebration of OEL's golden jubilee anniversary.

Mr. Hrishikesh Raj, the CEO of the cement division, articulated the industry's lag in modernization when compared to global standards. He highlighted the immense potential within emerging product categories such as high-strength Portland Pozzolana Cement (PPC), ready-mix products, and cement blocks. Anticipating a swift consumer attraction to these innovations, he proposed a modernization initiative demanding an investment of approximately Rs. 5,000 crores. This transformation is predicted to yield a 22% reduction in overhead costs post-modernization, along with a 10% reduction in wastage.

Analyzing the financial landscape of competitors, the CFO presented insights indicating that other players are unlikely to undertake expansion or upgrades for the next 7-8 years. In response, the Board greenlit the proposed modernization effort and earmarked an additional Rs. 1,000 crores to fortify the distribution channels.

Another proposal discussed during the meeting centered on OEL's diversification into the home appliances sector. The Board granted approval for this strategic expansion, allocating Rs. 6,500 crores to facilitate entry into this new market. Additionally, the Board endorsed the distribution of an interim dividend amounting to Rs. 50 per share as part of the celebrations marking OEL's golden jubilee year.

Based on the above Case Scenario, answer the Multiple-Choice Questions which are as follows:

Q1(A)1 1 mark

What strategic level are the decisions to foray into the home appliances business and approve the interim dividend made on?

- A Business Level
- B Corporate Level
- C Functional Level
- D Operational Level

Q1(A)2 2 marks

In the context of Michael Porter's Five Forces framework, the merger between Raksha Products Limited and Strongman Cement Limited leading to Unnati Cement Ltd (UCL) moving to the second position in market share demonstrates:

- A Bargaining power of suppliers
- B Threat of new entrants
- C Intensity of industry rivalry
- D Bargaining power of buyers

Q1(A)3 1 mark

What type of diversification strategy is OEL pursuing by entering the home appliances segment?

- A Horizontal diversification
- B Vertical integration

C Concentric diversification

D Conglomerate diversification

Q1(A)4 1 mark out of syllabus

Which strategic management concept does Mr. Hrishikesh Raj emphasize when discussing the industry's lag in modernization?

A Benchmarking

B Business Process Reengineering (BPR)

C Competitive positioning

D Market segmentation

Q1(A)5 1 mark

Which of the following best describes OEL's overall corporate strategy in light of the above case scenario?

A Cost leadership

B Product differentiation

C Market expansion and diversification

D Focused niche strategy

ICAI'S ANSWERS

Q1(A)1

Answer key: **(B)**

Q1(A)2

Answer key: **(C)**

Q1(A)3

Answer key: **(D)**

Q1(A)4

Answer key: **(A)**

Q1(A)5

Answer key: **(C)**

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 5

585 MTP **Old P7 Nov 2023 S-II** Case scenario · Q1(A)1 to Q1(A)5 5 marks old scheme

CASE SCENARIO

In the wake of increasing incomes among salaried individuals and a surge in economic consumption, Anant Khanna, a 23-year-old graduate from IIT Mumbai, identified a lucrative market opportunity. He launched a digital credit payback platform named Money Mox, targeting the growing second-generation demographic.

Since its inception last year, the company has swiftly garnered a user base of approximately two million active customers. The availability of disruptive technology from earlier FinTech startups facilitated the establishment of the platform. Money Mox's concept is straightforward: create an exclusive community of high-income, high-spending individuals and incentivize their purchases through credit and debit card rewards.

The company recently made headlines, attracting the interest of global investors. Following this, early investor Josh Kattings met with the team and advised them not to merely mimic the approach of Batuya, a key competitor with a distinct business model, but rather to learn, enhance, and refine the process for customers.

Surprisingly, Josh also proposed a collaboration between Money Mox and Batuya for enhanced market penetration. However, Anant and his team hesitated, as they were dealing with their own infrastructure issues and were more inclined towards outperforming the competition rather than forming alliances at this stage.

Last month, the company publicly disclosed its revenue projections, which caught the attention of established players in the banking sector. CBZ Bank, at the forefront of this interest, extended an offer to purchase Money Mox for 50 crores, under a 100% equity arrangement. Anant and his team are yet to respond to this substantial offer from the well-established bank, underscoring how unique ideas are valued in developing economies like India.

Based on the above Case Scenario, answer the Multiple-Choice Questions which are as follows:

Q1(A)1 1 mark

Which model has been thoughtfully considered while taking the decision to dive into FinTech market?

- A BCG growth share matrix
- B ADL matrix
- C Stop-Light strategy model
- D SWOT analysis

Q1(A)2 1 mark

Money Mox's market strategy falls under which of Michael Porter's generic strategies?

- A Cost leadership strategy
- B Focused differentiation strategy
- C Focused cost leadership
- D Differentiation strategy

Q1(A)3 1 mark

Which of the following may be true about the downsides of the plan to work along with Batuya, that Anant and team might have considered?

- A Trade secrets can be spilled out
- B Ally may become a competitor
- C There may be good sharing of skills and technology and thus the costs will rise
- D Only A and B

Q1(A)4 1 mark out of syllabus

Which procedural approach was brought out in the investor meeting by Josh Kattings for a better market standing of Money Mox?

- A Business process re-engineering (BPR)
- B Benchmarking
- C Change management

D Strategy control

Q1(A)5 1 mark

CBZ Bank's offer to buy 100% equity of Money Mox is an example of?

A Horizontal merger

B Concentric diversification

C Strategic alliance

D Co-generic merger

ICAI'S ANSWERS

Q1(A)1

Answer key: **(C)**

Q1(A)2

Answer key: **(B)**

Q1(A)3

Answer key: **(D)**

Q1(A)4

Answer key: **(B)**

Q1(A)5

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 5

586 MTP **Old P7 May 2023 S-I** Q1(G) 1 mark MCQ old scheme

Merger of two organisations that are operating in the same industry but at different stages of production and distribution system is called: -

A Horizontal Merger

B Vertical Merger

C Co-generic Merger

D Conglomerate Merger

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP May 2023 · Series I · question p. 8

587 MTP **Old P7 May 2023 S-I** Q2 5 marks old scheme

Jeff Inc., a leading USA based Mobile company decides to make India a hub for the company's Android Mobile having largest storage memory to be manufactured in collaboration with the Desi Group, a leading Indian mobile manufacturer. The production is to be exported to the company's home market as well as to other European countries.

What is this growth strategy called? Point out the most important advantages both the companies expect from such strategy/collaboration.

ICAI'S ANSWER

Jeff Inc. of USA and Desi group of India opted for strategic alliance as their growth strategy. A strategic alliance is a relationship between two or more businesses that enables each to achieve

certain strategic objectives which neither would be able to achieve on its own. Strategic alliances are often formed in the global marketplace between businesses that are based in different regions of the world.

Advantages of Strategic Alliance

Strategic alliance usually is only formed if they provide an advantage to all the parties in the alliance. These advantages can be broadly categorised as follows:

1. Organizational: Strategic alliance helps to learn necessary skills and obtain certain capabilities from strategic partners. Strategic partners may also help to enhance productive capacity, provide a distribution system, or extend supply chain. Having a strategic partner who is well-known and respected also helps add legitimacy and creditability to a new venture.

2. Economic: There can be reduction in costs and risks by distributing them across the members of the alliance. Greater economies of scale can be obtained in an alliance, as production volume can increase, causing the cost per unit to decline. Finally, partners can take advantage of co - specialization, creating additional value, such as when a leading computer manufacturer bundles its desktop with a leading monitor manufacturer's monitor.

3. Strategic: Rivals can join together to cooperate instead of competing with each other. Vertical integration can be created where partners are part of supply chain. Strategic alliances may also be useful to create a competitive advantage by the pooling of resources and skills. This may also help with future business opportunities and the development of new products and te chnologies. Strategic alliances may also be used to get access to new technologies or to pursue joint research and development.

4. Political: Sometimes strategic alliances are formed with a local foreign business to gain entry into a foreign market either because of local prejudices or legal barriers to entry. Forming strategic alliances with politically influential partners may also help improve your own influence and position.

ICAI · Old P7 · MTP May 2023 · Series I · question p. 8 · answer p. 7

588 MTP **Old P7 May 2023 S-II** Q1(D) 2 marks MCQ old scheme

A company that produces and sells athletic shoes may acquire or merge with another athletic shoe manufacturer in order to increase their market share and reduce competition is an example of -

A Horizontal integration

B Backward integration

C Market penetration

D Forward integration

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2023 · Series II · question p. 6

589 MTP **Old P7 May 2023 S-II** Q3(a) 5 marks old scheme

ABC Ltd. intends to grow its business. Its top management argues that its 'Corporate Strategy' will ensure the growth of the firm. Do you agree with the top management's argument? Give reasons.

ICAI'S ANSWER

Yes, agreeing with the top management's argument. Corporate strategy is basically the growth design of the firm; it spells out the growth objective-the direction, pace and timing of the firm's growth. It also spells out the strategy for achieving the growth. Corporate strategy ensures the growth of the firm because of the following arguments:

- It ensures the correct alignment of the firm with its environment. It also serves as the design for filling the strategic planning gap.
- It gives importance to combination, sequence, timing, direction and depth of various moves and action initiatives taken by managers to handle environmental uncertainties and complexities.
- It helps build the relevant competitive advantages for the firm. Masterminding and working out the right fit between the firm and its external environment.
- It is to harness the opportunities available in the environment, countering the threats embedded therein.

ICAI · Old P7 · MTP May 2023 · Series II · question p. 7 · answer p. 8

590 MTP **Old P7 Nov 2022 S-I** Q2 5 marks old scheme

Same question, different ICAI answer: #550 RTP May 2025 · #553 Old P7 RTP Nov 2023

Jynklo Ltd. is an established online children gaming company in Japan. They are performing good in the gaming industry. The management of Jynklo Ltd. has decided to expand its business. They decided to start a premium sports drink named JynX for athletes. Identify and explain the growth strategy adopted by Jynklo Ltd.?

ICAI'S ANSWER

Currently Jynklo Ltd. is performing in the children gaming industry. But now its management has decided to expand their business by starting a premium sports drink named JynX for athletes. As there are no linkages in both products with respect to customer groups, customer functions, or the technologies being used, so Jynklo Ltd. have opted Conglomerate diversification.

Jynklo Ltd. diversify in a business that is not related to their existing line of product and can be termed as conglomerate diversification. In conglomerate diversification, the new businesses/ products are disjointed from the existing businesses/products in every way; it is a unrelated diversification. In process/ technology/ function, there is no connection between the new products and the existing ones. Conglomerate diversification has no common thread at all with the firm's present position.

ICAI · Old P7 · MTP Nov 2022 · Series I · question p. 9 · answer p. 8

591 MTP **Old P7 Nov 2022 S-II** Q1(F) 1 mark MCQ old scheme

Same question, different ICAI answer: #602 Old P7 MTP May 2019 S-I

Conglomerate diversification is another name for which of the following?

A Related diversification

B Unrelated diversification

C Portfolio diversification

D Acquisition diversification

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Nov 2022 · Series II · question p. 8

592 MTP **Old P7 Nov 2022 S-II** Q6(b) 5 marks old scheme

Same question, different ICAI answer: #558 Old P7 RTP May 2022

Diversification endeavours can be categorized into four broad classifications. State the basis for this classification and name the four categories. How is concentric diversification different from vertically diversification? Explain.

ICAI'S ANSWER

Diversification strategy involves expansion into new businesses that are outside the current business and markets of an organisation. Based on the nature and extent of their relationship to existing businesses, diversification can be classified into four broad categories:

(i) Vertically integrated diversification

(ii) Horizontally integrated diversification

(iii) Concentric diversification

(iv) Conglomerate diversification

Concentric diversification takes place when the products are related. The new product is a spin-off from the existing facilities and products/processes. This means that in concentric diversification too, there are benefits of synergy with the current operations. However, concentric diversification differs from vertically integrated diversification in the nature of the linkage the new product has with the existing ones.

In vertically integrated diversification, firms opt to engage in businesses that are related to the existing business of the firm. The firm remains vertically within the same process. Sequence moves forward or backward in the chain and enters specific product/process steps with the intention of making them into new businesses for the firm. The new product falls within the firm's current process-product chain. In concentric diversification, there is a departure from this vertical linkage, a new related product is added to the existing business. The new product is only connected in a loop-like manner at one or more points in the firm's existing process/technology/product chain.

ICAI · Old P7 · MTP Nov 2022 · Series II · question p. 9 · answer p. 10

593 MTP **Old P7 May 2022 S-I** Q4(a) 5 marks old scheme

There has been fierce demand for both Gecko and FlyBee for the last 3 years. Gecko makes mass consumption pens while FlyBee is a notebook and diary brand - both being complementary goods of each other. But to grow further, FlyBee decided to take up competition with Gecko in pens segment and thereby launched, FlyPens. Identify and explain the growth strategy opted by FlyBee?

ICAI'S ANSWER

FlyBee is a notebook and diary brand. But to grow further, FlyBee decided to take up competition with Gecko in pens segment and thereby launched, FlyPens. FlyBee that is hitherto not into producing pens starts producing them and other similar products is following concentric diversification which is basically related diversification.

In this form of diversification, the new business is linked to the existing businesses through existing systems such as processes, technology or marketing. The new product is a spin-off from the existing facilities and products/processes. There are benefits of synergy with the current operations. The most common reasons for pursuing a concentric diversification are that opportunities in existing line of business are available.

ICAI · Old P7 · MTP May 2022 · Series I · question p. 8 · answer p. 8

594 MTP **Old P7 May 2022 S-II** Case scenario · Q1(A)1 to Q1(A)5 6 marks old scheme

CASE SCENARIO

In a recent board meeting, the Chairman of Inclusive Heal Pharma Ltd, (IHPL) a major pharmaceutical company in India, proposed reassigning around 100 employees and lay off of another 275. The chairman proposed to cut jobs throughout the country under a res tructure of the pharmaceutical business. Some of the employees who will be taken off from pharmaceutical business will be redeployed on a new project for entry into wellness segment that is increasingly becoming lucrative. The company has been looking for growth opportunities for a couple of years. The proposal came after failed takeover of another company Rosy Cheek Health Ltd. (RCHL), a prominent manufacturer of various nutritional supplements that include proteins, vitamins and minerals. IHPL tried hard to acquire RCHL and raised its bid three times and finally offered Rs 450 crores in form of cash of Rs 250 crores and balance in shares. The offer was found to be unattractive by RCHL.

IHPL wanted to expand and have a separate product line to include he alth and wellness products in its portfolio to create two distinct business groups. With the entry into new segment there will be need to explain the business undertaken by IHPL in a new form as there will be difference with respect to the customer needs and target markets. The Chairman said that the organisational changes underpin pursuit for growth that remains top priority for the organisation.

The Chairman informed the board that the proposed new organisation will result in a reduction in middle management roles by around fifteen per cent and reduction in junior management roles by ten per cent. It is proposed to redesign workflows and processes both within IHPL and its interactions with suppliers, hospitals and other associate organisations. Improvements in organisational reporting structures and use of technology will make many middle level positions redundant and lead to reduction in the jobs. It will not only reduce the salary costs but bring overall efficiencies. New enlarged team can be created later at the time of launch of wellness products.

Based on the above Case Scenario, answer the Multiple-Choice Questions which are as follows:

Q1(A)1 1 mark out of syllabus

Managerial activity to redesign workflows and processes both within IHPL and its interactions with suppliers, hospitals and other associate organisations is:

- A Strategic Implementation
- B Growth and Improvement
- C Organisational Change
- D Reengineering

Q1(A)2 1 mark

Changes in the business undertaken by the IHPL with respect to the customer needs, target markets shall directly amount to changes in:

- A Organisational vision

B Business mission

C Business definition

D Organisational goals

Q1(A)3 1 mark

A shift to wellness products is part of:

A Growth

B Forward integration

C Backward integration

D Horizontal diversification

Q1(A)4 1 mark

Division of organisation into two distinct segments for pharma products and wellness products is a form of:

A Simple structure

B Functional structure

C Divisional structure

D Matrix structure

Q1(A)5 2 marks

By not raising the bid and creating a structure to produce wellness product, IHPL is shifting from _____ strategy to _____ strategy.

A Merger, Retrenchment

B Diversification, Growth

C Acquisition, Diversification

D Acquisition, Intensification

ICAI'S ANSWERS

Q1(A)1

Answer key: **(D)**

Q1(A)2

Answer key: **(C)**

Q1(A)3

Answer key: **(D)**

Q1(A)4

Answer key: **(C)**

Q1(A)5

Answer key: **(C)**

ICAI · Old P7 · MTP May 2022 · Series II · question p. 6

595 MTP **Old P7 Dec 2021 S-II** Q1(F) 1 mark MCQ old scheme

A rubber manufacturer starts making shoe soles and gum can be termed as?

A Conglomerate Diversification

B Concentric Diversification

C Horizontal Integration

D Vertical Integration

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 7

596 MTP **Old P7 Dec 2021 S-II** Q3(b) 5 marks old scheme

Same question, different ICAI answer: #568 Old P7 RTP May 2019

What are the advantages of a strategic alliance?

ICAI'S ANSWER

A strategic alliance is a relationship between two or more businesses that enables each to achieve certain strategic objectives which neither would be able to achieve on its own. The strategic partners maintain their status as independent and separate entities, share the benefits and control over the partnership, and continue to make contributions to the alliance until it is

terminated. The advantages of strategic alliance can be broadly categorised as follows:

(a) Organizational: Strategic alliance helps to learn necessary skills and obtain certain capabilities from strategic partners. Strategic partners may also help to enhance productive capacity, provide a distribution system, or extend supply chain.

(b) Economic: There can be reduction in costs and risks by distributing them across the members of the alliance. Greater economies of scale can be obtained in an alliance, as production volume can increase, causing the cost per unit to decline.

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 8 · answer p. 6-7

597 MTP **Old P7 Jul 2021 S-I** Q1(C) 2 marks MCQ old scheme

Beta Company, a car manufacturer is buying up a supplier so that it gets a dedicated supplier with both guaranteed quality and price. The material could be manufactured when required by Beta Company leading to lower inventory levels. Which strategy has Beta Company adopted?

A Backward integration

B Forward integration

C Conglomerate diversification

D Horizontal integrated diversification

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 6

598 MTP **Old P7 Nov 2020 S-I** Case scenario · Q1(A)i to Q1(A)v 6 marks old scheme

CASE SCENARIO

Aero Mind Bridge Technologies Ltd (AMBTL) is a software development company work as a solution provider to airlines industry. The company was established more than a decade ago by Mr. Pranshu Gupta having experience of working in United States of America (USA). His entrepreneurial desires

brought him back to India to promote Aero Mind Bridge Technologies Ltd (AMBTL). The company started its operations with a meagre capital of ' 10 lakhs with limited workforce. Currently, it enjoys a valuation of more than ' 50 crores. Almost everybody acknowledged the competency of AMBTL in developing customised software for the airlines industry.

The high growth of the company was mainly on account of the heavy inflows of the funds in the airlines industry from various big business houses that have diversified into airlines industry. Currently, these business houses were in the manufacturing of FMCG, textiles, packaging etc. and having good expertise and uniqueness in these industries.

However, AMBTL saw stagnation in last three years. The order position was shrinking day by day. The margins were also reducing. Last year was particularly bad for the AMBTL and its annual sales reduced by 20 % for the first time since its inception.

Most of the business houses that had entered in the airlines industry had less knowledge and experience in the industry. However, their desire to diversify and seeing new opportunity in the airlines industry prompted them to invest heavily into the industry.

However, things did not turn out to be as expected. The tough competition between several players, reduction in the fare by railways and high prices of aviation fuel created problems for the industry. The sector was not able to generate reasonable profits thus resulting difficulty in maintaining operations. They were in need for hard to come by capital. Lately, the airlines industry is witnessing some consolidation with companies planning for mergers or even contemplating closures.

The general global recession also resulted in the reduction of travel expenditure of corporates resulting in decrease in the order position of AMBTL.

Based on the above Case Scenario, answer the Multiple Choice Questions which are as follows:

Multiple Choice Questions (MCQs)

Q1(A)i 1 mark

Identify the nature of diversification by the business houses entering into airlines industry.

- A Concentric diversification
- B Conglomerate diversification
- C Vertically integrated diversification
- D Horizontal integrated diversification

Q1(A)ii 1 mark

The big business houses were in the manufacturing of FMCG, textiles, packaging etc. and having good expertise and uniqueness in these industries. But they are not performing well in airlines industry because of

- A Non availability of funds
- B Incompetent workforce
- C Rapid technological changes
- D Lacking core competence

Q1(A)iii 1 mark

According to Michael Porter's model, identify the competitive pressures faced by airlines industry as per the given scenario. 1. Competitive pressure among rival sellers 2. Competitive pressure from suppliers 3.

Competitive pressure from substitute products 4. Competitive pressure from buyers 5. Competitive pressure from new entrants Select the correct combination in the above scenario:

- A 1, 2 & 3
- B 1, 3 & 4
- C 2, 3 & 5
- D 1, 4 & 5

Q1(A)iv 2 marks

AMBTL can be identified as a Star as per BCG's Growth Matrix, basis the rapid growth it has shown to maintain market and fuel the growth potential. For last three years, AMBTL turn into, as per the BCG matrix, when its growth slows down?

- A Dog
- B Question Mark
- C Will remain a star
- D Cash Cow

Q1(A)v 1 mark

Mr. Pranshu Gupta as a core strategist of AMBTL, authorised for bringing about strategic change in his company, how he will initiate "unfreezing of the situation"?

- A Promoting new ideas throughout the organization
- B Promoting compliance throughout the organization
- C Promoting change in process throughout the organization
- D None of the above

ICAI'S ANSWERS

Q1(A)i

Answer key: **(B)**

Q1(A)ii

Answer key: **(D)**

Q1(A)iii

Answer key: **(A)**

Q1(A)iv

Answer key: **(D)**

Q1(A)v

Answer key: **(A)**

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 5

599 MTP **Old P7 Nov 2020 S-I** Q1(H) 1 mark MCQ old scheme

When two organisations combine to increase their strength and financial gains along with reducing competition is called----------.

- A Hostile takeover
- B Liquidation
- C Merger

D Acquisition

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 8

600 MTP **Old P7 Nov 2020 S-I** Q3(a) 5 marks old scheme

Same question, different ICAI answer: #564 Old P7 RTP May 2020

Write short note on expansion through acquisitions and mergers.

ICAI'S ANSWER

Acquisitions and mergers are basically combination strategies. Some organizations prefer to grow through mergers. Merger is considered to be a process when two or more companies come together to expand their business operations. In such a case the deal gets finalized on friendly terms and both the organizations share profits in the newly created entity. In a merger , two organizations combine to increase their strength and financial gains along with breaking the trade barriers.

When one organization takes over the other organization and controls all its business operations, it is known as acquisition. In this process of acquisition, one financially strong organization overpowers the weaker one. Acquisitions often happen during recession in economy or during declining profit margins. In this process, one that is financially stronger and bigger establishes it s power. The combined operations then run under the name of the powerful entity. A deal in case of an acquisition is often done in an unfriendly manner, it is more or less a forced association where the powerful organization either consumes the operation or a company in loss is forced to sell its entity.

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 8 · answer p. 6-7

601 MTP **Old P7 May 2019 S-I** Q1(iii) 1 mark MCQ old scheme

Vertical integration may be beneficial when

A Lower transaction costs and improved coordination are vital and achievable through vertical integration.

B Flexibility is reduced, providing a more stationary position in the competitive environment.

C Various segregated specializations will be combined.

D The minimum efficient scales of two corporations are different.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2019 · Series I · question p. 4

602 MTP **Old P7 May 2019 S-I** Q1(ix) 1 mark MCQ old scheme

Same question, different ICAI answer: #591 Old P7 MTP Nov 2022 S-II

Conglomerate diversification is another name for which of the following?

A Related diversification

B Unrelated diversification

C Portfolio diversification

D Acquisition diversification

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2019 · Series I · question p. 5

603 MTP **Old P7 May 2019 S-I** Q4(b) 5 marks old scheme

Leatherite Ltd., was started as a leather company to manufacture footwear. Currently, they are in the manufacturing of footwears for males and females. The top management desires to expand the business in the leather manufacturing goods. To expand they decided to purchase more machines to manufacture leather bags for males and females.

Identify and explain the strategy opted by the top management of Leatherite Ltd.

ICAI'S ANSWER

Leatherite Ltd. is currently manufacturing footwears for males and females and its top management has decided to expand its business by manufacturing leather bags for males and females. Both the products are similar in nature within the same industry. The strategic diversification that the top management of Leatherite Ltd. has opted is concentric in nature. They were in business of manufacturing leather footwears and now they will manufacture leather bags as well. They will be able to use existing infrastructure and distribution channel. Concentric diversification amounts to related diversification.

In concentric diversification, the new business is linked to the existing businesses through process, technology or marketing. The new product is a spin-off from the existing facilities and products/processes. This means that in concentric diversification too, there are benefits of synergy with the current operations.

ICAI · Old P7 · MTP May 2019 · Series I · question p. 6 · answer p. 7

604 MTP **Old P7 May 2019 S-II** Q1(vii) 1 mark MCQ old scheme

Acquision of a company producing readymade garments by a company manufacturing yarn is.

A Horizontal integration

B Horizontal Diversification

C Forward integration

D Backward integration

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 5

605 MTP **Old P7 May 2019 S-II** Q1(ix) 1 mark MCQ old scheme

Conglomerate diversification can also be explained as:

A Merger

B Combination strategy

C Related diversification

D Unrelated diversification

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 5

606 MTP **Old P7 May 2018 S-I** Q1(c) 2 marks old scheme

What do you understand by co-generic merger?

ICAI'S ANSWER

In co-generic merger two or more merging organizations are associated in some way or the other related to the production processes, business markets, or basic required technologies. Such merger include the extension of the product line or acquiring components that are required in the daily operations.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 3 · answer p. 8

4.2 Stability and retrenchment: turnaround, divestment and liquidation

73 questions · asked in 49 ICAI documents · 14 exam papers

607 EXAM **Sep 2026** Q5(a) 5 marks

Legacy Electronics Ltd. was once a market leader in consumer appliances and enjoyed a loyal customer base. However, increased competition, outdated product offerings, rising costs, and changing consumer expectations have adversely affected the company's performance. Over the past five years, the company has reported declining sales, continuous losses, and reduced market share. Several manufacturing facilities are operating inefficiently, while financial pressures have limited investment in innovation and marketing. Concerned about the organization's future, the management team is seeking a structured approach to revive the company's performance and restore sustainable profitability.

State the key problems involved and suggest the major components of an action plan that management should implement to improve the company's condition and achieve long-term recovery.

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P6 · Sep 2026 exam · question p. 20

608 EXAM **May 2026** Q5(c) 5 marks

A well-established MM Company is manufacturing tubeless tyre as one of its major products for quite some time. The product has reached at the maturity stage of the product life cycle. Company is aware about the competitive scenario and fast change in technology. Cost benefit analysis indicates that it would be better to modernise its plant and machinery so as to improve its efficiency and productivity. The basic idea is to remain competitive in the dynamic and volatile business world and at the same time having an objective to preserve their market share. Suggest the specific corporate strategy to be adopted by the MM Company in the given situation. Also state the reasons why a company should adopt such strategy in general. Justify your opinion about identified strategy in a case of start-up venture.

ICAI'S ANSWER

MM Company should adopt a Stability Strategy. A stability strategy is pursued when a firm continues in the same business and aims to maintain its market position through incremental improvements in efficiency and operations. In the given case, the company's product has reached the maturity stage of the product life cycle, and the company wants to modernise its plant and machinery to improve

efficiency and productivity while preserving market share in a dynamic business environment.
Reasons for Adopting Stability Strategy

1. A product has reached the maturity stage of the product life cycle.

2. The staff feels comfortable with the status quo as it involves less changes and less risks.

3. It is opted when the environment in which an organisation is operating is relatively stable.

4. It is adopted where expansion may be perceived as threatening.

5. After rapid expansion, a firm may want to stabilise and consolidate itself.

Applicability in Case of Start-up Venture: Stability strategy is generally not suitable for start-ups because startups are in the early stages of ideation and development where speed, agility and expansion are important. Stability strategy is more meaningful for mature businesses operating at full capacity rather than emerging ventures.

ICAI · P6 · May 2026 exam · question p. 25 · answer p. 27

609 **EXAM** **May 2026** Q6(b) **5 marks**

What is meant by corporate level strategies? Identify and explain the basic features of corporate level strategies being represented by each of the following decisions:

(i) The company decided to expand its profit-making units of packaged food division into the international market and closing down the loss-making units.

(ii) The company decided to sell-out its commercial real estate division entirely as it is incurring heavy losses due to intense competition.

(iii) The company has decided to maintain the current operations of the home appliances division which is maintaining steady sales and strong brand loyalty with no major investments.

(iv) The company decided to make high investments in a rapidly growing online learning platform division to take greater control over the market.

ICAI'S ANSWER

Corporate level strategies are the strategies formulated at the top management level which define the overall direction and scope of the organization. These strategies deal with decisions relating to stability, expansion, retrenchment and combination of businesses.

(i) Combination Strategy: The company is simultaneously expanding its profitable packaged food business into international markets while closing down loss-making units. Thus, it is adopting a Combination Strategy involving both expansion and retrenchment strategies.

(ii) Retrenchment Strategy: The decision to sell out the commercial real estate division due to heavy losses represents Retrenchment Strategy. Under this strategy, the firm retrenches or drops loss making businesses through sell out or liquidation to improve overall performance.

(iii) Stability Strategy: The decision to continue current operations of the home appliances division with steady sales and strong brand loyalty represents Stability Strategy. Under this strategy, the firm continues with the same business and maintains the existing level of effort without major investments.

(iv) Expansion/Growth Strategy: The decision to make high investments in a rapidly growing online learning platform to gain greater market control represents Expansion/Growth Strategy. This strategy

involves substantial investments and business growth to achieve greater market control and competitive advantage.

ICAI · P6 · May 2026 exam · question p. 27-29 · answer p. 28-29

610 **EXAM** **Jan 2026** Q5(b) **5 marks**

Next Tech Solutions, an IT services firm, is suffering from declining client retention, rising operational costs, and outdated service offerings. Employee morale is low, and the firm's reputation for innovation has faded. Due to uncompetitive product and services, continuous losses, negative cash flow from business have alarmed investors. The board chooses not to wind up the operations but to rejuvenate the organization through effective leadership. They appointed Mr. Moksha a young and visionary executive to initiate strategic changes. What corporate strategy should Moksha adopt, and what measures should he take to implement this strategy effectively and ensure long-term sustainability?

ICAI'S ANSWER

In the given case, Next Tech Solutions is facing continuous losses, declining client retention, outdated service offerings, low employee morale and negative cash flows. However, since the Board has decided not to wind up the business and has appointed a young and visionary leader, the most appropriate corporate strategy is Turnaround Strategy. A Turnaround Strategy is adopted when an organisation is sick but viable, and management believes that through corrective actions and effective leadership, the firm can regain profitability, competitiveness and long-term sustainability.
Stages in the Action Plan for Turnaround Strategy

1. Stage One – Assessment of Current Problems: The first step is to diagnose the root causes of decline such as uncompetitive products, poor cash flow, rising costs and internal inefficiencies, and assess the extent of damage.

2. Stage Two – Situation Analysis and Strategic Planning: The firm should evaluate its chances of survival and develop a strategic plan focusing on improving competitiveness, employee morale and operational efficiency.

3. Stage Three – Implementing an Emergency Action Plan: Immediate steps are taken to stabilise the business, including cost cutting, improving cash flows, raising funds and addressing short-term operational issues.

4. Stage Four – Restructuring the Business: This stage involves restructuring core operations and finances, improving efficiency and repositioning the firm for recovery and growth.

5. Stage Five – Returning to Normal: The organisation gradually moves towards profitability by introducing new services, improving customer relationships, strengthening innovation and building long-term sustainability.

Thus, by adopting a Turnaround Strategy and systematically implementing these stages, Mr. Moksha can rejuvenate Next Tech Solutions and restore stakeholder confidence.

ICAI · P6 · Jan 2026 exam · question p. 25 · answer p. 26-27

611 **EXAM** **Sep 2025** Q5(b) **5 marks**

You are the CFO of a multinational corporation that has been facing declining profitability in one of its business units for the past three years. It has been struggling with negative cash flows and intense competition. Significant investment would be needed for technological upgrades. You are not interested in investing in restructuring and revitalizing. A more promising investment opportunity is available

elsewhere. As CFO, what step would you take in response to this situation? How would you justify your decision?

ICAI'S ANSWER

As CFO, the appropriate step would be to adopt a Divestment Strategy for the business unit.

Divestment strategy involves the sale or liquidation of a portion of business, a major division, profit centre or SBU. It is usually adopted when a turnaround has been attempted but has proved unsuccessful or when it is obvious that divestment is the only answer. The decision is further justified because:

- Persistent negative cash flows from this unit are creating financial strain.
- Intensity of competition makes survival difficult.
- Technological up gradation is not feasible for the company at this stage.
- A better alternative investment opportunity is available elsewhere making it preferable to release resources from the loss-making unit.

Thus, adopting Divestment Strategy will allow the company to stop financial losses, free resources and reallocate them to more promising opportunities, thereby ensuring long-term value creation.

ICAI · P6 · Sep 2025 exam · question p. 20 · answer p. 21-22

612 EXAM **Jan 2025** MCQ 14 MCQ

Farm Fresh Ltd., a family-owned organic farming business has been operating successfully over the past 10 years. Currently the company is facing stiff competition from the large farming houses. Hence to maintain status quo, the management of the company decided to adopt stability strategy. Which of the following initiatives best support Farm Fresh Ltd.'s stability strategy?

A Develop a new range of organic produce to attract a new segment of customers.

B Improve functional efficiency of its farm equipment to increase productivity and reduce cost of production.

C Purchase a number of farms to increase production.

D Add a few channels of distribution to attract customers in related market areas.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · Jan 2025 exam · question p. 6

613 EXAM **Sep 2024** Q5(b) 5 marks

Symergy Ltd. is manufacturing a product since year 2010. The company was doing well till year 2022. After that its market share started declining. Accumulated losses started mounting and in turn carried a persistent negative impact on its cash flow. As a result morale of the employees was not up to mark. The Board of Directors (BoD) of the company thought it proper to continue in business by placing emphasis on improvement in internal efficiency. In view of the same, the BoD is evolving a workable action plan with intent to ensure a radical change in direction in strategy which includes revamping in top management. Which retrenchment strategy company should adopt in the given situation? Also state the stages in the action plan for the strategy.

ICAI'S ANSWER

In the given situation, the suitable retrenchment strategy for Symergy Ltd. is the Turnaround Strategy. This strategy is designed to reverse the company's decline and restore it to profitability, particularly when the company is facing challenges such as declining market share, negative cash flows, and low employee morale. Stages in the Action Plan for Turnaround Strategy:

- Stage One - Assessment of Current Problems: The first step is to assess and diagnose the root causes of the company's decline, such as uncompetitive products, poor cash flow, or internal inefficiencies. This stage involves determining the extent of the damage caused by these problems.
- Stage Two - Analyze the Situation and Develop a Strategic Plan: Evaluate the chances of the company's survival and develop a strategic plan that outlines the corrective actions to be taken. This includes identifying appropriate strategies to address internal inefficiencies, improve competitiveness, and enhance employee morale.
- Stage Three - Implementing an Emergency Action Plan: If the situation is critical, an immediate action plan must be executed to stabilize the business. This may involve cutting costs, ensuring positive cash flow, raising necessary funds, and addressing short-term operational issues.
- Stage Four - Restructuring the Business: Focus on restructuring the company's core business operations, especially if they have been significantly affected. This stage involves efforts to improve efficiency, restructure finances, and position the company for long-term recovery and growth.
- Stage Five - Returning to Normal: In the final stage, the company should begin showing signs of profitability and improving financial performance. Strategic efforts such as introducing new products, improving customer service, and forming alliances should be emphasized to restore market share and build long-term sustainability. By following these stages, Symergy Ltd. can develop a comprehensive turnaround plan to regain its financial stability, improve operational efficiency, and rebuild its competitive position in the market.

ICAI · P6 · Sep 2024 exam · question p. 25 · answer p. 27-28

614 **EXAM** **Sep 2024** Q7(b) **5 marks**

Start-ups rarely aim for stability strategy. While agreeing with the statement or otherwise, support your point of view by briefly stating as to when the stability strategy is meaningful. State the major reasons for considering stability strategy as one of the corporate strategies by a company.

ICAI'S ANSWER

Agree with the given statement. Start-ups rarely aim for a stability strategy because they are in the early stages of ideation and development, where speed and agility are critical. Stability strategy is more relevant for businesses that have reached maturity, where maintaining current operations and market share becomes a priority. Start-ups, however, focus on rapid growth and market penetration, and stability is usually considered when a business has expanded to full capacity. A stability strategy is meaningful in the following scenarios:

- When a firm continues serving the same markets with the same products and services.
- Firms whose products are in the maturity stage of the product life cycle or who have a substantial market share may opt for stability to retain their position.
- Stability helps consolidate gains after rapid expansion, optimize returns on committed resources, and enhance functional efficiencies.

Major reasons for choosing a stability strategy include:

- Maturity of products in the life cycle.
- Comfort of staff with fewer changes and risks.
- Stable external environment.
- A need to consolidate after rapid growth or expansion.
- Where it is not advisable to expand as it may be perceived as threatening.

ICAI · P6 · Sep 2024 exam · question p. 30-31 · answer p. 31-32

615 **EXAM** **Old P7 Nov 2022** Q8(a) 5 marks old scheme

A company started its operation in 2015 with Product Alpha. In early 2021, with intent to have its better presence in the market, the company diversifies by acquiring a company with product Beta. After sometime, it was observed that product Beta is not faring well. Aggressive competition was therein market for the product. It was also revealed that though customers are not price sensitive, but product was not keeping pace with the fast changing unique features as expected by its customers.

Company has tried one of the retrenchment strategies by putting efforts to improve its internal efficiency, but could not get desired results. In the situation, company is of a considered view to remain and grow in product alpha and to decouple with product Beta from its portfolio.

As a strategist, suggest the retrenchment strategy to be adopted by the company. Also delineate reasons why a company should adopt such strategy?

ICAI'S ANSWER

As per the facts of the case, company had tried to improve its internal efficiency. In other words, had tried turnaround strategy but could not get the desired results.

Company does not want to go for complete close down of business. Rather it wants to continue and grow in its original business i.e. product Alpha.

As a strategist, it is advisable that the company should adopt divestment strategy. In the given situation where the business of product Beta is not faring well and became unprofitable and unviable due to aggressive competition in the market, the best option for the company is to divest the product Beta which is loss-making business.

Retrenchment may be done either internally or externally. Turnaround strategy is adopted in case of internal retrenchment where emphasis is laid on improving internal efficiency of the organization, while divestment strategy is adopted when a business turns unprofitable and unviable due to some external factors. In view of the above, the company should go for divestment strategy.

A divestment strategy may be adopted due to various reasons:

1. A business that had been acquired proves to be a mismatch and cannot be integrated within the company.

2. Persistent negative cash flows from a particular business create financial problems for the whole company, creating the need for divestment of that business.

3. Severity of competition and the inability of a firm to cope with it may cause it to divest.

4. It is not possible for the business to do Technological up-gradation that is required for the business to survive, a preferable option would be to divest.

5. A better alternative may be available for investment, causing a firm to divest a part of its unprofitable business.

ICAI · Old P7 · Nov 2022 exam · question p. 15 · answer p. 15-16

616 EXAM **Old P7 May 2022** Q10(a) 5 marks old scheme

ABC Steel Industries finds out that its products have reached at maturity stage and already has overcapacity. Therefore, it concentrates on maintaining operational efficiency of its plants. Identity the strategy implemented by ABC Steel Industries along with reasons.

ICAI'S ANSWER

ABC Steel Industries has opted to implement Stability strategy. Stability strategies are intended to safeguard the existing interests and strengths of business. It involves organisations to pursue established and tested objectives, continue on the chosen path, maintain operational efficiency and so on. A stability strategy is pursued when a firm continues to serve in the same or similar markets and deals in same products and services. In stability strategy, few functional changes are made in the products or markets, however, it is not a 'do nothing' strategy. This strategy is typical for mature business organizations. Some small organizations also frequently use stability as a strategic focus to maintain comfortable market or profit position.

Major reasons for Stability strategy are:

- A product has reached the maturity stage of the product life cycle.
- The staff feels comfortable with the status quo as it involves less changes and less risks.
- It is opted when the environment in which an organisation is operating is relatively stable.
- Where it is not advisable to expand as it may be perceived as threatening.
- After rapid expansion, a firm might want to stabilize and consolidate itself.

ICAI · Old P7 · May 2022 exam · question p. 15 · answer p. 15-16

617 EXAM **Old P7 Dec 2021** Q8(b) 5 marks old scheme

Same question, different ICAI answer: #627 RTP Sep 2025 · #651 MTP Sep 2026 S-I

"There are certain conditions or indicators which point out that a turnaround is needed if the company has to survive". Discuss.

ICAI'S ANSWER

Rising competition, business cycles and economic volatility have created a climate where no business can take viability for granted. Turnaround strategy is a highly targeted effort to return an organization to profitability and increase positive cash flows to a sufficient level. Organizations that have faced a significant crisis that has negatively affected operations requires turnaround strategy. Turnaround strategy is used when both threats and weaknesses adversely affect the health of an organization so much that its basic survival is a question. When organization is facing both internal and external pressures making things difficult then it has to find something which is entirely new, innovative and different. Being organization's first objective is to survive and then grow in the market; turnaround strategy is used when organization's survival is under threat. Once turnaround is successful the organization may turn to focus on growth.

Conditions for turnaround strategies: When firms are losing their grips over market, profits due to several internal and external factors, and if they have to survive under the competitive environment, they have to identify danger signals as early as possible and undertake rectification steps

immediately. These are certain conditions or indicators which point out that a turnaround is needed if the company has to survive. These danger signals are:

- Persistent negative cash flow from business.
- Uncompetitive products or services.
- Declining market share.
- Deterioration in physical facilities.
- Over-staffing, high turnover of employees, and low morale.
- Mismanagement.

ICAI · Old P7 · Dec 2021 exam · question p. 13-14 · answer p. 14

618 EXAM **Old P7 Jul 2021** Q8(a) 5 marks old scheme

Also asked in MTP Sep 2024 S-I Q2(a)

The CEO of a textile mill is convinced that his loss making company can be turned around. Suggest an action plan for a turnaround to the CEO.

ICAI'S ANSWER

A workable action plan for turnaround of the textile mill would involve:

- Stage One – Assessment of current problems: In the first step, assess the current problems and get to the root causes and the extent of damage.
- Stage Two – Analyze the situation and develop a strategic plan: Identify major problems and opportunities, develop a strategic plan with specific goals and detailed functional actions after analyzing strengths and weaknesses in the areas of competitive position.
- Stage Three – Implementing an emergency action plan: If the organization is in a critical stage, an appropriate action plan must be developed to stop the bleeding and enable the organization to survive.
- Stage Four – Restructuring the business: If the core business is irreparably damaged, then the outlook for the entire organization may be bleak. Efforts to be made to position the organization for rapid improvement.
- Stage Five – Returning to normal: In the final stage of turnaround strategy process, the organization should begin to show signs of profitability, return on investments and enhancing economic value-added.

ICAI · Old P7 · Jul 2021 exam · question p. 59 · answer p. 59

619 EXAM **Old P7 Jan 2021** Q7(b) 5 marks old scheme

Also asked in Old P7 MTP May 2022 S-II Q2

X Pvt. Ltd. had recently ventured into the business of co-working spaces when the global pandemic struck.. This has resulted in the business line becoming unprofitable and unviable, and a failure of the existing strategy. However, the other businesses of X Pvt. Ltd. are relatively less affected by the pandemic as compared to the recent co-working spaces. Suggest a strategy for X Pvt. Ltd. with reasons to justify your answer.

ICAI'S ANSWER

It is advisable that divestment strategy should be adopted by X Pvt. Ltd.

In the given situation where the business of co-working spaces became unprofitable and unviable due to Global pandemic, the best option for the company is to divest the loss making business.

Retrenchment may be done either internally or externally. Turnaround strategy is adopted in case of internal retrenchment where emphasis is laid on improving internal efficiency of the organization, while divestment strategy is adopted when a business turns unprofitable and unviable due to some external factors. In view of the above, the company should go for divestment strategy.

Further, divestment helps address issues like:

1. Persistent cash flows from loss making segment could affect other profit-making segments, which is the case in the given scenario.

2. Inability to cope from the losses, which again is uncertain due to pandemic.

3. Better investment opportunity, which could be the case if X Pvt. Ltd. can invest the money it generates from divestment.

ICAI · Old P7 · Jan 2021 exam · question p. 13 · answer p. 14

620 EXAM **Old P7 Nov 2020** Q10(b) 5 marks old scheme

Briefly describe the meaning of divestment and liquidation strategy and establish difference between the two.

ICAI'S ANSWER

Divestment strategy involves the sale or liquidation of a portion of business, or a major division, profit centre or SBU. Divestment is usually a part of rehabilitation or restructuring plan and is adopted when a turnaround has been attempted but has proved to be unsuccessful.

Liquidation strategy is a retrenchment strategy considered the most extreme and unattractive strategy, which involves closing down a firm and selling its assets.

Difference between Divestment strategy and Liquidation strategy:

Basis of Difference	Divestment Strategy	Liquidation Strategy
Meaning	Divestment strategy involves sale or liquidation of a portion of business.	Liquidation strategy involves closing down a firm and selling its business.
Policy option	Divestment is usually a part of rehabilitation or restructuring plan and is adopted when a turnaround has been attempted but has proved to be unsuccessful. Option of a turnaround may even be ignored if it is obvious that divestment is the only answer.	Liquidation becomes only option in case of severe and critical conditions where either turnaround or divestment are not seen as solution or have been attempted but failed.
Purpose	Efforts are made for survival of the organization.	Liquidation as a form of retrenchment strategy is unattractive and considered as the last resort.
Consequences	Survival of organization helps in retaining personnel, at least to some extent.	There is loss of employment and opportunities with stigma of failure.

ICAI · Old P7 · Nov 2020 exam · question p. 16 · answer p. 17

621 EXAM **Old P7 Nov 2019** Q6 5 marks old scheme

An XYZ Company is facing continuous losses. There is decline in sales and product market share. The products of the company became uncompetitive and there is persistent negative cash flow. The physical facilities are deteriorating and employees have low morale. At the board meeting, the board members decided that they should continue the organization and adopt such measures that the company functions properly. The board has decided to hire young executive Shayamli for improving the functions of the organization. What corporate strategy should Shayamli adopt for this company and what steps to be taken to implement the corporate strategy adopted by Shayamli?

ICAI'S ANSWER

XYZ Company is facing continuous losses, decline in sales and product market share, persistent negative cash flow, uncompetitive products, declining market share, deterioration in physical facilities, low morale of employees. In such a scenario, Shayamli may choose turnaround strategy as this strategy attempts to reverse the process of decline and bring improvement in organizational health. This is also important as Board has decided to continue the company and adopt measures for its proper functioning.

For success, Shayamli needs to focus on the short and long-term financing needs as well as on strategic issues. During the turnaround, the "product mix" may be changed, requiring the organization to do some repositioning. A workable action plan for turnaround would involve:

Stage One – Assessment of current problems: In the first step, assess the current problems and get to the root causes and the extent of damage.

Stage Two – Analyze the situation and develop a strategic plan: Identify major problems and opportunities, develop a strategic plan with specific goals and detailed functional actions.

Stage Three – Implementing an emergency action plan: If the organization is in a critical stage, an appropriate action plan must be developed to stop the bleeding and enable the organization to survive.

Stage Four – Restructuring the business: If the core business is irreparably damaged, then the outlook for the entire organization may be bleak. Efforts to be made to position the organization for rapid improvement.

Stage Five – Returning to normal: In the final stage of turnaround strategy process, the organization should begin to show signs of profitability, return on investments and enhancing economic value-added.

ICAI · Old P7 · Nov 2019 exam · question p. 9 · answer p. 9

622 EXAM **Old P7 May 2018** Q7(c) 2 marks old scheme

Explain the meaning of Directional Strategy.

ICAI'S ANSWER

Directional strategies, also called grand strategies, provide basic directions for strategic actions towards achieving strategic goals. Such strategies are formulated at the corporate level so are also known as corporate strategies. The corporate strategies a firm can adopt have been classified into four broad categories: stability, expansion, retrenchment, and combination.

ICAI · Old P7 · May 2018 exam · question p. 10 · answer p. 10

623 EXAM Old P7 May 2018 Q9(a) 5 marks old scheme

XYZ Ltd. is a multi-product company, suffering from continuous losses since last few years and has accumulated heavy losses which have eroded its net worth.

What strategic option is available to the management of this sick company? Advise with reasons.

ICAI'S ANSWER

XYZ Ltd. is a sick company with accumulated losses that have eroded its net worth. The multi-product company may analyse its various products to take decisions on the viability of each. The company may consider retrenchment strategy. Retrenchment becomes necessary for coping with hostile and adverse situations in the environment and when any other strategy is likely to be suicidal.

Retrenchment strategy is adopted because of continuous losses and unviability and stability can be ensured by reallocation of resources from unprofitable to profitable businesses.

Retrenchment strategy is followed when an organization substantially reduces the scope of its activity. This is done through an attempt to find out the problem areas and diagnose the causes of the problems. Next, steps are taken to solve the problems. These steps result in different kinds of retrenchment strategies as follows:

Turnaround strategy: If the organization chooses to transform itself into a leaner structure and focuses on ways and means to reverse the process of decline, it adopts a turnaround strategy. It may try to reduce costs, eliminate unprofitable outputs, generate revenue, improve coordination, better control, and so on.

Divestment Strategy: Divestment strategy involves the sale or liquidation of a portion of business, or a major division, profit centre or SBU. Divestment is usually a part of rehabilitation or restructuring plan and is adopted when a turnaround has been attempted but has proved to be unsuccessful.

Liquidation Strategy: In the retrenchment strategy, the most extreme and unattractive is liquidation strategy. It involves closing down a firm and selling its assets. It is considered as the last resort because it leads to serious consequences such as loss of employment for workers and other employees, termination of opportunities where a firm could pursue any future activities, and the stigma of failure.

The management of multiproduct sick company manufacturing various items need to understand pros and cons of each strategic option. The decision will depend upon the specific circumstances of each product and management goals of the company.

ICAI · Old P7 · May 2018 exam · question p. 12 · answer p. 12-13

624 RTP Sep 2026 Q5 MCQ

PrimeVision Entertainment Ltd. had been incurring continuous losses for several years. After evaluating all revival options, the promoters concluded that selling the company's assets would generate higher value than continuing its operations. Accordingly, they decided to permanently close the business and pursue asset sales. Which retrenchment strategy has the company adopted?

A Restructuring Business

B Liquidation Strategy

C Business Process Re-engineering

D Divestment

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP Sep 2026 · question p. 31-32

625 RTP **Jan 2026** Q13

ReInnovate Electronics Ltd., a company engaged in the manufacture of consumer electronic appliances since 2010, had been performing well until 2022. However, thereafter its market share began to decline steadily. The company started incurring accumulated losses which adversely affected its cash flow position. Consequently, employee morale also deteriorated. The Board of Directors (BoD) of the company decided to continue its operations by focusing on improving internal efficiency. To achieve this, the BoD is formulating a practical action plan aimed at bringing about a radical change in strategic direction including a revamp of the top management team. Which strategy should the company adopt in this situation? Also, outline the stages involved in the action plan for implementing this strategy.

ICAI'S ANSWER

In the given situation, the suitable retrenchment strategy for ReInnovate Electronics Ltd. is the Turnaround Strategy. This strategy is designed to reverse the company's decline and restore it to profitability, particularly when the company is facing challenges such as declining market share, negative cash flows, and low employee morale. Stages in the Action Plan for Turnaround Strategy:

- Stage One - Assessment of Current Problems: The first step is to assess and diagnose the root causes of the company's decline, such as uncompetitive products, poor cash flow or internal inefficiencies. This stage involves determining the extent of the damage caused by these problems.
- Stage Two - Analyze the Situation and Develop a Strategic Plan: Evaluate the chances of the company's survival and develop a strategic plan that outlines the corrective actions to be taken. This includes identifying appropriate strategies to address internal inefficiencies, improving competitiveness and enhancing employee morale.
- Stage Three - Implementing an Emergency Action Plan: If the situation is critical, an immediate action plan must be implemented to stabilize the business. This may involve cutting costs, ensuring positive cash flow, raising necessary funds and addressing short-term operational issues.
- Stage Four - Restructuring the Business: Focus on restructuring the company's core business operations, especially if they have been significantly affected. This stage involves efforts to improve efficiency, restructure finances and position the company for long-term recovery and growth.
- Stage Five - Returning to Normal: In the final stage, the company should begin showing signs of profitability and improving financial performance. Strategic efforts such as introducing new products, improving customer service and forming alliances should be emphasized to restore market share and build long-term sustainability. By following these stages, ReInnovate Electronics Ltd. can develop a comprehensive turnaround plan to regain financial stability, improve operational efficiency and rebuild its competitive position in the market.

ICAI · P6 · RTP Jan 2026 · question p. 31-32 · answer p. 39-40

626 RTP **Sep 2025** Q6 MCQ

A well-established clothing brand is experiencing a decline in sales and market share due to the changing consumer preferences and rising competition. In response, the company restructures its

operations, cuts cost, revamps its product line, enhances marketing efforts and focuses on boosting employee morale and operational efficiency. What type of strategy is the company implementing?

- A Divestment strategy
- B Market penetration strategy
- C Cost leadership strategy
- D Turnaround strategy

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · RTP Sep 2025 · question p. 32

627 RTP **Sep 2025** Q14

Same question, different ICAI answer: #617 Old P7 Exam Dec 2021 · #651 MTP Sep 2026 S-I

"There are certain conditions or indicators which point out that a turnaround is needed if the company has to survive". Discuss.

ICAI'S ANSWER

In today's competitive and volatile business environment, no organization can assume sustained viability. A turnaround strategy is a focused effort aimed at restoring an organization's profitability and ensuring survival when both internal weaknesses and external threats endanger its existence.

Turnaround becomes necessary when a company faces a significant crisis that severely affects its operations and performance. It is typically adopted when survival is the immediate goal, before growth can be pursued. There are several indicators or conditions that signal the need for a turnaround strategy:

- Persistent negative cash flows from operations
- Uncompetitive products or services
- Declining market share
- Deterioration in physical facilities
- Over-staffing, high employee turnover, and low morale
- Mismanagement Early identification of these danger signals and immediate corrective action is essential for ensuring the company's survival and eventual recovery.

ICAI · P6 · RTP Sep 2025 · question p. 34 · answer p. 40-41

628 RTP **Sep 2024** Q13

Pizza Galleria was India's first pizza delivery chain enjoying monopoly for several years. However, after the entry of Modino and Uncle Jack it is struggling to compete. Both Modino and Uncle Jack have opened several eateries and priced the product aggressively. In the last four years the chain has suffered significant losses. The chain wishes to know whether they should go for a turnaround strategy. List out components of action plan for turnaround strategy.

ICAI'S ANSWER

Pizza Chain may choose to have turnaround strategy if there are:

- Persistent negative cash flow from business.
- Uncompetitive products or services.

- Declining market share.
- Deterioration in physical facilities.
- Over-staffing, high turnover of employees, and low morale.
- Mismanagement. For turnaround strategies to be successful, it is imperative to focus on the short and long-term financing needs as well as on strategic issues. The chain may attempt to leverage the potential Indian market by engaging a new logistics partner. It may bring innovation in food items, as well as quality and improvements in the overall dine-in and delivery experience. During the turnaround, the "product mix" may be changed, requiring the organization to do some repositioning.

A workable action plan for turnaround would involve: Stage One – Assessment of current problems: The first step is to assess the current problems and get to the root causes and the extent of damage the problem has caused. Stage Two – Analyze the situation and develop a strategic plan: Before making any major changes; determine the chances of the business's survival. Identify appropriate strategies and develop a preliminary action plan. Stage Three – Implementing an emergency action plan: If the organization is in a critical stage, an appropriate action plan must be developed to stop the bleeding and enable the organization to survive. A positive operating cash flow must be established as quickly as possible and enough funds to implement the turnaround strategies must be raised. Stage Four – Restructuring the business: The financial state of the organization's core business is particularly important. If the core business is irreparably damaged, then the outlook for the entire organization may be bleak. Efforts to be made to position the organization for rapid improvement. Stage Five – Returning to normal: In the final stage of turnaround strategy process, the organization should begin to show signs of profitability, return on investments and enhancing economic value-added. Emphasis is placed on a number of strategic efforts such as carefully adding new products and improving customer service, creating alliances with other organizations, increasing the market share, etc.

ICAI · P6 · RTP Sep 2024 · question p. 37 · answer p. 44-45

629 RTP **May 2024** Q14

Same question, different ICAI answer: #637 Old P7 RTP Jul 2021 · #661 Old P7 MTP Jul 2021 S-I

Justify the statement "Stability strategy is opposite of Expansion strategy".

ICAI'S ANSWER

Stability Strategies, as the name suggests, are intended to safeguard the existing interests and strengths of business. It involves organisations pursuing established and tested objectives, continue on the chosen path, maintaining operational efficiency and so on. A stability strategy is pursued when a firm continues to serve in the same or similar markets and deals in the same products and services. In stability strategy, few functional changes are made in the products or markets, however, it is not a 'do nothing' strategy. This strategy is typical for mature business organizations. Some small organizations also frequently use stability as a strategic focus to maintain comfortable market or profit position.

On the other hand, expansion strategy is an aggressive strategy as it involves redefining the business by adding the scope of business substantially, increasing the efforts of the current business. In this sense, it becomes the opposite to stability strategy. Expansion is a promising and popular strategy that tends to be equated with dynamism, vigor, promise and success. Expansion also includes

diversifying, acquiring and merging businesses. This strategy may take the enterprise along relatively unknown and risky paths, full of promises and pitfalls.

ICAI · P6 · RTP May 2024 · question p. 36 · answer p. 42-43

630 RTP **Old P7 Nov 2023** Q15 old scheme

Same question, different ICAI answer: #643 Old P7 RTP Nov 2019

What is stability strategy? What are the reasons to pursue stability strategy?

ICAI'S ANSWER

One of the important goals of a business enterprise is stability - to safeguard its existing interests and strengths, to pursue well established and tested objectives, to continue in the chosen business path, to maintain operational efficiency on a sustain ed basis, to consolidate the commanding position already reached, and to optimise returns on the resources committed in the business. A stability strategy is pursued by a firm when:

- It continues to serve in the same or similar markets and deals in same or similar products and services.
- The strategic decisions focus on incremental improvement of functional performance. Major reasons for stability strategy are as follows:
- A product has reached the maturity stage of the product life cycle.
- It is less risky as it involves less changes and the staff feel comfortable with things as they are.
- The environment faced is relatively stable.
- Expansion may be perceived as being threatening.
- Consolidation is sought through stabilizing after a period of rapid expansion.

ICAI · Old P7 · RTP Nov 2023 · question p. 16 · answer p. 20

631 RTP **Old P7 May 2023** Q13 old scheme

Same question, different ICAI answer: #656 Old P7 MTP Nov 2023 S-I

Redefinition of business is involved in both "Expansion" and "Retrenchment" strategy, however, method involved in their execution is completely different. Explain.

ICAI'S ANSWER

Expansion strategy is implemented by redefining the business by adding the scope of business substantially increasing the efforts of the current business. On the other hand, Retrenchment strategy involves redefinition of business by divesting a major product line or market.

Expansion is a promising and popular strategy that tends to be equated with dynamism, vigour, promise and success. Retrenchment or retreat becomes necessary or expedient for coping with particularly hostile and adverse situations in the environment and when any other strategy is likely to be suicidal.

Expansion may take the enterprise along relatively unknown and risky paths, full of promises and pitfalls. Retrenchment involves regrouping and recouping of the resources.

ICAI · Old P7 · RTP May 2023 · question p. 18 · answer p. 23

632 RTP **Old P7 May 2023** Q14 old scheme

ABC Inc. a successful company in the healthcare industry, was facing a decline due to outdated technology and lack of innovation. The company was losing market share and struggling to retain customers. In an effort to reverse the trend, the management decided to implement a strategy. They hired new talent, invested in research and development, and streamlined their operations to increase efficiency. Through these efforts, ABC Inc. was able to introduce new products and services, reposition themselves in t he market, and eventually regain their competitive edge. The company's revenue and profits increased, and they were once again on the path to success.

Discuss the strategy which has been implemented by the management of ABC Inc. t

ICAI'S ANSWER

The management of ABC Inc. implemented turnaround strategy which is a highly-targeted effort to return ABC Inc. to profitability and increase positive cash flows to a sufficient level. Organizations those have faced a significant crisis that has negatively affected operations require turnaround strategy. Once turnaround is successful the organization may turn to focus on growth.

Conditions for turnaround strategies When firms are losing their grips over market, profits due to several internal and external factors, and if they have to survive under the competitive environment they have to identify danger signals as early as possible and undertake rectification steps immediately. These conditions may be, inter alia cash flow problems, lower profit margins, high employee turnover and decline in market share, capacity underutilization, low morale of employees, recessionary conditions, mismanagement, raw material supply problems and so on.

Action plan for turnaround strategy

- Stage One – Assessment of current problems
- Stage Two – Analyze the situation and develop a strategic plan
- Stage Three – Implementing an emergency action plan
- Stage Four – Restructuring the business
- Stage Five – Returning to normal

ICAI · Old P7 · RTP May 2023 · question p. 18 · answer p. 23

633 RTP **Old P7 Nov 2022** Case scenario · Q1(i) to Q1(v) old scheme

CASE SCENARIO

In July 2014, Fresh Air Hospitality and Resorts launched a major project called 'Fit in Future' after being in losses for three consecutive years. According to analysis by senior management many customers were not returning and repeat sales of rooms were low. The costs were also high with a lot of wastage in kitchen. If the losses were allowed to continue the survival of the organisation was doubtful.

'Fit in Future' project was organisation-wide, employee driven initiative that focused in reversing the trend and find ways to find out how the organisation can survive. Focus was to provide high-quality services while finding new ways of delivery to improve customer satisfaction and reduce costs. The idea was to create a conducive organisational culture and work climate. At the time, Shailja Mehta joined the organisation as the new Resident Manager. She brought with her considerable experience in improving the quality of services in restaurants, banquet sale and room reservations. She immediately set about spending two months talking to staff on the front line followed by a series of meetings, where discussions were held about bringing a guest-first approach. Some of the staff

members expressed frustration that their suggestions on improving services were often not heard making them demotivated. The new manager noted their concerns. Over time, she offered enthusiasm and inspired staff to exert them for the good of the organization.

As an outcome of the project, it was decided that both in internal as well as external interactions, customers will be called guests and treated accordingly. There was general agreement that reducing wastages and improving the quality of services shall be chief priority from top to bottom. It was decided that the team leaders shall always work together with front-line staff for speedy decisions. Focussed training programmes were organised to train the front-line staff to remain well-groomed and courteous to guests at all times. Accordingly, a new system was put in place from January 2015. As a result of the efforts, the satisfaction level of guests improved, and their loyalty reflected in form of increase in repeat sales over next two years.

After two years, while the organisation was able to make some profits, they were still low considering the capital employed. In July 2018, Shailja Mehta suggested to make extensive study to radically redesign existing ways of doing work and deliver se rvices. Based on the above case scenario answer the following multiple-choice questions:

Q1(i)

'Fit in Future' project can be best related to:

- A Improving leadership
- B Improving morale
- C Coordination
- D Turnaround

Q1(ii) out of syllabus

Name the strategic tool to measure and set goals for wastage in kitchen as per best practices.

- A Benchmarking
- B Cost control
- C Loss assessment
- D Turnaround

Q1(iii)

The leadership style of Shailja Mehta can be best described as

- A Autocratic
- B Motivational
- C Transactional
- D Transformational

Q1(iv) out of syllabus

The suggestions made by Shailja Mehta in July 2018 are related to:

- A Business Process Reengineering
- B Leverage
- C Organisational redesign
- D Strategic Control

Q1(v)

To succeed Fresh Air Hospitality and Resorts needs to:

(i) Deliver better value to customers.

(ii) Improve efficiencies.

(iii) Fix minimum profit percentage over costs.

A (i) and (ii)

B (i) and (iii)

C (ii) and (iii)

D (i), (ii) and (iii)

ICAI'S ANSWERS

Q1(i)

Answer key: **(D)**

Q1(ii)

Answer key: **(A)**

PassBook's note: No definition, types or process in the current Paper 6B study material.

Q1(iii)

Answer key: **(D)**

Q1(iv)

Answer key: **(A)**

Q1(v)

Answer key: **(A)**

ICAI · Old P7 · RTP Nov 2022 · question p. 14

634 RTP **Old P7 May 2022** Case scenario · Q1(i) to Q1(v) old scheme

CASE SCENARIO

Since its inception in 1910, the family business of Indian ethnic wear firm Shanti Prasad & Sons, run by Mr. Mukesh Gupta and his three sons has seen major transformation in supply chain, product development and management. The inheritance over generations hasn't been easy, as it was subject to family brawls, but the company stood strong to its core principles.

Since 2011, major foreign brands have been eyeing the segment with world class designers opening up their boutiques in plush areas around the country. JJM, a French design house, recently branded its Indian wear with leading film personalities, to attract masses. This damaged existing supply chains, attracted new age buyers and has been profitable from the very beginning.

The three sons reach out to you for management consultancy, to help them meet the competition, if not beat it. You study the business inside out and come up with three options.

First, to exit Indian Market, and start exporting their designs to European markets. This would ensure bigger revenue and forex gains, and also the distribution chains were well built there.

Second, to become the major manufacturer of JMM and other big foreign brands. This would ensure they stay relevant in the market as all the promotional spend would be taken care of by JMM and the volumes they would rope in would actually mean growth for Shanti Prasad & Sons too.

Third, to sell their designs to the global brands with patent protection. This would ensure a perpetual flow of revenue and a new market altogether, with global business exposure. The family after considering your proposals, knowing the intricacies of business, and its environment, decided to blend options two and three. The success or failure could only be gauged in three quarters, when they sit down for an internal post implementation review.

Based on the above Case Scenario, answer the Multiple Choice Questions.

Q1(i)

What can be said about the attitude of the owners with regards to their strategy mindset when they reached out for consultancy?

- A Expansion Oriented
- B Stability Oriented
- C Retrenchment Oriented
- D Combination Oriented

Q1(ii) out of syllabus

If the owners went with option two, which of the following components of marketing strategy would be irrelevant for them?

- A Product and Promotion
- B Price and Product
- C Promotion only
- D Place only

Q1(iii)

Option three if opted, would help in sustainability of which of the following, and would ensure so because of what major characteristic of sustainability?

- A Sustainability of Competitive Advantage by ensuring Transferability
- B Sustainability of Value Creation by ensuring Appropriability
- C Sustainability of Value Creation by restricting Imitability
- D Sustainability of Competitive Advantage by ensuring Durability

Q1(iv)

For Shanti Prasad & Sons well as JJM, globalisation has been a key area of consideration. As times change, and new players enter a market, the existing firms need to be careful about their survival. Which of the following statements about Globalisation is false for JJM?

- A It unifies the trade and such trade barriers become irrelevant
- B It needs ability to compete in domestic market with foreign competitors
- C It includes commitment to invest heavily in other countries
- D It brings in foreign investment in the form of FDI

Q1(v)

For JMM, which of the following structures would be best suited, in case all major Indian family run businesses start producing designs for them, while JMM simply takes care of distribution and marketing?

A Simple Structure

B Network Structure

C Matrix Structure

D Divisional Structure

ICAI'S ANSWERS

Q1(i)

Answer key: **(B)**

Q1(ii)

Answer key: **(C)**

Q1(iii)

Answer key: **(D)**

Q1(iv)

Answer key: **(B)**

Q1(v)

Answer key: **(B)**

ICAI · Old P7 · RTP May 2022 · question p. 15

635 RTP **Old P7 May 2022** Q13 old scheme

Racers Ltd. manufactures bicycles. Until recently it has adopted a differentiation strategy, offering high quality bicycles which Racers Ltd. sells at a high profit margin.

In recent years, Racers Ltd. has entered a period of decline due to the market becoming flooded with cheaper, high quality bicycles from abroad, where labour costs are lower. Racers Ltd. has therefore decided to adjust its strategy and adopt a focus approach, targeting its bicycles towards professional athletes. This will allow Racers Ltd. to continue earning high margins, though the size of its potential market will likely fall. Identify and explain the need of adopting this strategy by Racers Ltd. to manage decline?

ICAI'S ANSWER

Racers Ltd. has adopted Turnaround strategy. This involves Racers Ltd. repositioning itself in the market in an attempt to once again gain competitive advantage.

Turnaround is needed when an enterprise's performance deteriorates to a point that it needs a radical change of direction in strategy, and possibly in structure and culture as well. It is a highly targeted effort to return an organization to profitability and increase positive cash flows to a sufficient level. It is used when both threats and weaknesses adversely affect the health of an organization so much that its basic survival is difficult. The overall goal of turnaround strategy is to return an underperforming or distressed company to normalcy in terms of acceptable levels of profitability, solvency, liquidity and cash flow. To achieve its objectives, turnaround strategy must reverse causes of distress, resolve the financial crisis, achieve a rapid improvement in financial performance, regain stakeholder support, and overcome internal constraints and unfavourable industry characteristics.

ICAI · Old P7 · RTP May 2022 · question p. 18 · answer p. 22

636 RTP **Old P7 Jul 2021** Q13 old scheme

Mini theatre Ltd. was a startup venture of three young IIM graduates. They developed an application to watch web-based content like web series, TV Shows, theatre shows, etc. after purchasing their exclusive rights. They were successful in getting many consumers enrolled with them. After a certain span of time, the company realized that some regional content like 'bangla movies', 'Gujarati shows' etc. were having high cost and less viewership. The leadership team of Mini theatre Ltd. decided to sell the rights and curtail any further content development in these areas.

Identify and explain the corporate strategy adopted by the leadership team of Mini theatre Ltd.

ICAI'S ANSWER

The leadership team of Mini theatre Ltd. decided to cuts off the loss-making units, reduces the functions performed that some of regional content like 'bangla movies', 'Gujarati shows' etc. were having high cost and less viewership, it adopts a divestment strategy. The leadership team of Mini theatre Ltd. decided to sell the rights and curtail any further content development in these areas.

Divestment strategy involves the sale or liquidation of a portion of business, or a major division, profit centre or SBU. Divestment is usually a part of rehabilitation or restructuring plan and is adopted when a turnaround has been attempted but has proved to be unsuccessful. The option of a turnaround may even be ignored if it is obvious that divestment is the only answer.

ICAI · Old P7 · RTP Jul 2021 · question p. 16 · answer p. 20

637 RTP **Old P7 Jul 2021** Q14 old scheme

Same question, different ICAI answer: #629 RTP May 2024 · #661 Old P7 MTP Jul 2021 S-I

Justify the statement "Stability strategy is opposite of Expansion strategy".

ICAI'S ANSWER

Stability Strategies, as name suggests, are intended to safeguard the existing interests and strengths of business. It involves organisations to pursue established and tested objectives, continue on the chosen path, maintain operational efficiency and so o n. A stability strategy is pursued when a firm continues to serve in the same or similar markets and deals in same products and services. In stability strategy, few functional changes are made in the products or markets, however, it is not a 'do nothing' s trategy. This strategy is typical for mature business organizations. Some small organizations also frequently use stability as a strategic focus to maintain comfortable market or profit position. On the other hand, expansion strategy is aggressive strategy as it involves redefining the business by adding the scope of business substantially, increasing efforts of the current business. In this sense, it becomes opposite to stability strategy. Expansion is a promising and popular strategy that tends to be equated with dynamism, vigor, promise and success. Expansion also includes diversifying, acquiring and merging businesses. This strategy may take the enterprise along relatively unknown and risky paths, full of promises and pitfalls.

ICAI · Old P7 · RTP Jul 2021 · question p. 16 · answer p. 20

638 RTP **Old P7 Nov 2020** Q13 old scheme

General public is discerning from buying air conditioning units based on the Health Ministry guidelines regarding emergence of a contagious viral pandemic. Consequently, Nebula Pvt. Ltd, a manufacturer of evaporation coils used in air conditioning units has faced significant loss in working capital due to sharp fall in demand. The company conducted financial assessment and developed a workable action plan based on short and long term financial needs. But for immediate needs, an emergency plan has been

implemented. It includes selling scrap, asset liquidation and overheads cost reduction. Further, to avoid any such untoward event in future, they plan to diversify into newer business areas along with its core business. Identify and explain the strategy opted by M/s. Nebula Pvt. Ltd.?

ICAI'S ANSWER

M/s. Nebula Pvt Ltd has opted Turnaround Strategy as the company while facing serious working capital crunch persistently conducted an assessment of current problem and developed a workable action plan based on short and long term financial needs and strategic issues. A workable action plan for turnaround would involve:

Stage One – Assessment of current problems: In the first step, assess the current problems and get to the root causes and the extent of damage.

Stage Two – Analyze the situation and develop a strategic plan: Identify major problems and opportunities, develop a strategic plan with specific goals and detailed functional actions.

Stage Three – Implementing an emergency action plan: If the organization is in a critical stage, an appropriate action plan must be developed to stop the bleeding and enable the organization to survive.

Stage Four – Restructuring the business: If the core business is irreparably damaged, then the outlook for the entire organization may be bleak. Efforts to be made to position the organization for rapid improvement.

Stage Five – Returning to normal: In the final stage of turnaround strategy process, the organization should begin to show signs of profitability, return on inves tments and enhancing economic value-added.

ICAI · Old P7 · RTP Nov 2020 · question p. 18 · answer p. 22

639 RTP **Old P7 Nov 2020** Q14 old scheme

Also asked in Old P7 RTP Nov 2018 Q12

What is Divestment strategy? When is, it adopted?

ICAI'S ANSWER

Divestment strategy involves the sale or liquidation of a portion of business, or a major division, profit centre or SBU. For a multiple product company, divestment could be a part of rehabilitating or restructuring plan called turnaround.

- A divestment strategy may be adopted due to various reasons:
- When a turnaround has been attempted but has proved to be unsuccessful.
- A business that had been acquired proves to be a mismatch and cannot be integrated within the company.
- Persistent negative cash flows from a particular business create financial problems for the whole company.
- Severity of competition and the inability of a firm to cope with it.
- Technological upgradation is required if the business is to survive but where it is not possible for the firm to invest in it.
- A better alternative may be available for investment.

ICAI · Old P7 · RTP Nov 2020 · question p. 18 · answer p. 22

640 RTP **Old P7 May 2020** Q1(iv) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Retrenchment strategy in the organization can be explained as

A Reducing trenches (gaps) created between individuals.

B Divesting a major product line or market.

C Removal of employees from job through the process of reorganization.

D Removal of employees from job in one business to relocate them in other business.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP May 2020 · question p. 11

641 RTP **Old P7 Nov 2019** Q1(d) MCQ old scheme

In the questions given below select the best answer out of options (A), (B), (C), or (D):

Arrange divestment, liquidation, stability and turnaround strategies in order of preference for adoption by a typical organisation.

A Turnaround, stability, liquidation and divestment.

B Divestment, liquidation, stability and turnaround.

C Stability, turnaround, liquidation and divestment.

D Stability, turnaround, divestment and liquidation.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP Nov 2019 · question p. 12

642 RTP **Old P7 Nov 2019** Q8 old scheme

Pizza Galleria was India's first pizza delivery chain enjoying monopoly for several years. However, after entry of Modino and Uncle Jack it is struggling to compete. Both Modino and Uncle Jack have opened several eateries and priced the product aggressively. In last four years the chain has suffered significant losses. The chain wishes to know whether they should go for turnaround strategy. List out components of action plan for turnaround strategy.

ICAI'S ANSWER

Pizza Chain may choose to have turnaround strategy if there are:

- Persistent negative cash flow from business.
- Uncompetitive products or services.
- Declining market share.
- Deterioration in physical facilities.
- Over-staffing, high turnover of employees, and low morale.
- Mismanagement.

For turnaround strategies to be successful, it is imperative to focus on the short and long-term financing needs as well as on strategic issues. The chain may attempt to leverage the potential Indian

market by engaging a new logistics partner. It may bring innovation in food items, as well as quality and improvements in the overall dine-in and delivery experience. During the turnaround, the "product mix" may be changed, requiring the organization to do some repositioning.

A workable action plan for turnaround would involve:

Stage One – Assessment of current problems: The first step is to assess the current problems and get to the root causes and the extent of damage the problem has caused. Stage Two – Analyze the situation and develop a strategic plan: Before making any major changes; determine the chances of the business's survival. Identify appropriate strategies and develop a preliminary action plan.

Stage Three – Implementing an emergency action plan: If the organization is in a critical stage, an appropriate action plan must be developed to stop the bleeding and enable the organization to survive. A positive operating cash flow must be established as quickly as possible and enough funds to implement the turnaround strategies must be raised. Stage Four – Restructuring the business: The financial state of the organization's core business is particularly important. If the core business is irreparably damaged, then the outlook for the entire organization may be bleak. Efforts to be made to position the organization for rapid improvement.

Stage Five – Returning to normal: In the final stage of turnaround strategy process, the organization should begin to show signs of profitability, return on investments and enhancing economic value-added. Emphasis is placed on a number of strategic efforts such as carefully adding new products and improving customer service, creating alliances with other organizations, increasing the market share, etc.

ICAI · Old P7 · RTP Nov 2019 · question p. 14 · answer p. 19-20

643 RTP **Old P7 Nov 2019** Q9 old scheme

Same question, different ICAI answer: #630 Old P7 RTP Nov 2023

What is stability strategy? What are the reasons to pursue stability strategy?

ICAI'S ANSWER

One of the important goals of a business enterprise is stability - to safeguard its existing interests and strengths, to pursue well established and tested objectives, to continue in the chosen business path, to maintain operational efficiency on a sustained basis, to consolidate the commanding position already reached, and to optimise returns on the resources committed in the business. A stability strategy is pursued by a firm when:

- It continues to serve in the same or similar markets and deals in same or similar products and services.
- The strategic decisions focus on incremental improvement of functional performance. Major reasons for stability strategy are as follows:
- A product has reached the maturity stage of the product life cycle.
- It is less risky as it involves less changes and the staff feels comfortable with things as they are.
- The environment faced is relatively stable.
- Expansion may be perceived as being threatening.
- Consolidation is sought through stabilizing after a period of rapid expansion.

ICAI · Old P7 · RTP Nov 2019 · question p. 14 · answer p. 20

644 RTP **Old P7 May 2019** Q1(x) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Stability strategy is a _____ strategy.

- A Functional level.
- B Business level.
- C Corporate level.
- D implementation.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP May 2019 · question p. 9-10

645 RTP **Old P7 May 2019** Q8 old scheme

With the global economic recession Soft Cloth Ltd. incurred significant losses in all its previous five financial years. Currently, they are into manufacturing of cloth made of cotton, silk, polyster, rayon, lycra and blends. Competition is also intense on account of cheap imports. The company is facing cash crunch and has not been able to pay the salaries to its employees in the current month.

Suggest a grand strategy that can be opted by Soft Cloth Ltd.

ICAI'S ANSWER

Soft Cloth Ltd. is facing internal as well as external challenges. The external environment is in economic recession and the organization is facing cash crunch. The company needs to work on retrenchment / turnaround strategy. The strategy is suitable in case of issues such as:

- Persistent negative cash flow.
- Uncompetitive products or services
- Declining market share
- Deterioration in physical facilities
- Overstaffing, high turnover of employees, and low morale
- Mismanagement

The company may consider to substantially reduce the scope of its activity. This is done through an attempt to find out the problem areas and diagnose the causes of the problems. Next, steps are taken to solve the problems.

These steps result in different kinds of retrenchment strategies. If the organization chooses to focus on ways and means to reverse the process of decline, it adopts at turnaround strategy. If it cuts off the loss-making units, divisions, or SBUs, curtails its product line, or reduces the functions performed, it adopts a divestment strategy. If none of these actions work, then it may choose to abandon the activities totally, resulting in a liquidation strategy.

ICAI · Old P7 · RTP May 2019 · question p. 12 · answer p. 17

646 RTP **Old P7 Nov 2018** Q1(d) old scheme

Same question, different ICAI answer: #648 Old P7 RTP May 2018

Briefly answer the following questions: Explain the meaning of the combination strategies.

ICAI'S ANSWER

Combination strategies refer to a mix of different strategies like stability; expansion, diversification or retrenchment to suit particular situations that an enterprise is facing. For instance, a strategy of diversification/acquisition may call for retrenchment in some obsolete product lines.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 15

647 RTP **Old P7 Nov 2018** Q2(d) old scheme

State with reasons which of the following statements are correct/incorrect: Stability strategy is not a 'do-nothing' strategy.

ICAI'S ANSWER

Correct: Stability strategies are implemented by approaches wherein few functional changes are made in the products or markets. It is not a 'do nothing' strategy. It involves keeping track of new developments to ensure that the strategy continues to make sense. This strategy is typical for mature business organizations. Some small organizations will also frequently use stability as a strategic focus to maintain comfortable market or profit position.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 16

648 RTP **Old P7 May 2018** Q1(d) old scheme

Same question, different ICAI answer: #646 Old P7 RTP Nov 2018

Briefly answer the following questions: Explain the meaning of the Combination strategies.

ICAI'S ANSWER

Combination Strategies refer to a mix of different strategies like stability; expansion, diversification or retrenchment to suit particular situations that an enterprise is facing. For instance, a strategy of diversification/acquisition may call for retrenc hment in some obsolete product lines.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 16

649 RTP **Old P7 May 2018** Q2(d) old scheme

State with reasons which of the following statements are correct/incorrect: Turnaround should succeed liquidation strategy.

ICAI'S ANSWER

Incorrect: A retrenchment strategy considered the most extreme and unattractive is liquidation strategy, which involves closing down a firm and selling its assets. It is considered as the last resort because it leads to serious consequences such as loss of employment for workers and other employees, termination of opportunities where a firm could pursue any future activities, and the stigma of failure. In an ideal scenario, turnaround should be attempted first and should precede option of liquidatio n.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 17

650 MTP **Sep 2026 S-I** Q1(B)(ii) 2 marks MCQ

A pharmaceutical company has recently completed three major acquisitions and integrated more than 8,000 employees into its operations. Although several new business opportunities are available, management postpones further expansion for the next three years to consolidate operations and improve organisational efficiency. The primary reason for adopting this strategy is:

A Lack of investment opportunities

B Consolidation after rapid expansion

C Government restrictions

D Declining customer demand

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP Sep 2026 · Series I · question p. 10-11

651 MTP **Sep 2026 S-I** Q2(b) 5 marks

Same question, different ICAI answer: #617 Old P7 Exam Dec 2021 · #627 RTP Sep 2025

"There are certain conditions or indicators which point out that a turnaround is needed if the company has to survive". Discuss.

ICAI'S ANSWER

Rising competition, business cycles and economic volatility have created a climate where no business can take viability for granted. Turnaround strategy is a highly targeted effort to return an organization to profitability and increase positive cash flow to a sufficient level. Organizations that have faced a significant crisis that has negatively affected operations require turnaround strategy. Turnaround strategy is used when both threats and weaknesses adversely affect the health of an organization so much that its basic survival is a question. When organization is facing both internal and external pressures making things difficult, then it has to find something which is entirely new, innovative and different. Being organization's first objective is to survive and then grow in the market; turnaround strategy is used when organization's survival is under threat. Once turnaround is successful the organization may focus on growth.

Conditions for turnaround strategies: When firms are losing their grips over market, profits are due to several internal and external factors, and if they have to survive in the competitive environment, they have to identify danger signals as early as possible and undertake rectification steps immediately. These are certain conditions or indicators which point out that a turnaround is needed if the company has to survive. These danger signals are:

- Persistent negative cash flow from business.
- Uncompetitive products or services.
- Declining market share.
- Deterioration in physical facilities.
- Over-staffing, high turnover of employees, and low morale.
- Mismanagement.

ICAI · P6 · MTP Sep 2026 · Series I · question p. 12 · answer p. 18

652 MTP **Sep 2025 S-I** Q1(c) 5 marks

ZephyrFit Pvt. Ltd., a startup founded by three young business graduates, launched a fitness app offering diverse wellness content, including regional formats like Kerala Ayurveda, Punjabi workouts and local diet plans. Initially popular, the company later discovered that certain regional segments incurred high costs but had low user engagement. To improve profitability, the leadership sold the rights to this underperforming content and halted further development in these areas. Instead, they focused on

widely accessed and cost-effective offerings. Identify and explain the type of corporate strategy adopted by the leadership of ZephyrFit Pvt. Ltd. in this situation.

ICAI'S ANSWER

The corporate strategy adopted by ZephyrFit Pvt. Ltd. is a Divestment Strategy, which involves the sale or liquidation of a portion of business, or a major division, profit centre or strategic business unit (SBU). In this case, the company observed that certain regional wellness content, such as Kerala Ayurveda and Punjabi workouts, involved high costs and received low user engagement, making them financially unviable. As part of its restructuring plan, ZephyrFit decided to sell the rights to this content and halt further development in those areas.

A divestment strategy may be adopted when a business faces persistent negative cash flows, severity of competition, or when there is a better alternative for investment. These conditions are clearly evident in the case, as the company shifted focus to more popular and cost-effective wellness content.

The characteristics of divestment strategy also highlight that such a move should be seen as an integral part of corporate strategy and not with stigma, especially when the goal is to restore overall business viability. Thus, the decision by ZephyrFit aligns with the principles and rationale of a divestment strategy.

ICAI · P6 · MTP Sep 2025 · Series I · question p. 14 · answer p. 19

653 MTP **May 2025 S-I** Q1(B)(iii) 1 mark MCQ

Also asked in Old P7 MTP Jul 2021 S-II Q1(F) · Old P7 MTP Nov 2019 S-I Q1(xii)

Which strategy is implemented after the failure of turnaround strategy?

A Expansion strategy

B Diversification strategy

C Divestment strategy

D Growth strategy

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP May 2025 · Series I · question p. 10

654 MTP **May 2024 S-I** Q3(b) 5 marks

The CEO of a textile mill believes that his company, currently operating at a loss, can be turned around. Develop an action plan outlining steps the CEO can take to achieve this turnaround.

ICAI'S ANSWER

A workable action plan for turnaround of the textile mill would involve:

- **Stage One – Assessment of current problems:** In the first step, assess the current problems and get to the root causes and the extent of damage.
- **Stage Two – Analyze the situation and develop a strategic plan:** Identify major problems and opportunities, develop a strategic plan with specific goals and detailed functional actions after analyzing strengths and weaknesses in the areas of competitive position.
- **Stage Three – Implementing an emergency action plan:** If the organization is in a critical stage, an appropriate action plan must be developed to stop the bleeding and enable the organization to survive.

- **Stage Four – Restructuring the business:** If the core business is irreparably damaged, then the outlook for the entire organization may be bleak. Efforts to be made to position the organization for rapid improvement.
- **Stage Five – Returning to normal:** In the final stage of turnaround strategy process, the organization should begin to show signs of profitability, return on investments and enhancing economic value-added.

ICAI · P6 · MTP May 2024 · Series I · question p. 9 · answer p. 13

655 MTP **Old P7 Nov 2023 S-I** Q1(D) 2 marks MCQ old scheme

You have been appointed as a strategic manager at ABC Company, which is currently facing a situation where one of its products has entered the maturity stage of its Product Life Cycle (PLC). The company has made a deliberate decision to maintain its existing business operations and is content with achieving incremental growth for this product aligns with which of the following strategies?

A Expansion strategy

B Stability strategy

C Retrenchment strategy

D Combination strategy

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 6-7

656 MTP **Old P7 Nov 2023 S-I** Q3(a) 5 marks old scheme

Same question, different ICAI answer: #631 Old P7 RTP May 2023

Redefinition of business is involved in both "Expansion" and "Retrenchment" strategy, however, method involved in their execution is completely different. Explain.

ICAI'S ANSWER

Expansion strategy is implemented by redefining the business by adding to the scope of business substantially increasing the efforts of the current business. On the other hand, Retrenchment strategy involves redefinition of business by divesting a major product line or market.

Expansion is a promising and popular strategy that tends to be equated with dynamism, vigour, promise and success. Retrenchment or retreat becomes necessary or expedient for coping with particularly hostile and adverse situations in the environment and when any other strategy is likely to be suicidal.

Expansion may take the enterprise along relatively unknown and risky paths, full of promises and pitfalls. Retrenchment involves regrouping and recouping of the resources.

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 7 · answer p. 6-7

657 MTP **Old P7 Nov 2023 S-II** Q2 5 marks old scheme

"XYZ Ltd., a multi-product company, has been experiencing consistent losses in recent years, leading to a significant erosion of its net worth. What strategic options should the management consider addressing the company's current situation? Provide recommendations along with supporting reasons."

ICAI'S ANSWER

XYZ Ltd. is a sick company with accumulated losses that have eroded its net worth. The multi-product company may analyse its various products to take decisions on the viability of each. The company may consider a retrenchment strategy. Retrenchment becomes necessary for coping with hostile and adverse situations in the environment and when any other strategy is likely to be suicidal.

Retrenchment strategy is adopted because of continuous losses and unviability and stability can be ensured by reallocation of resources from unprofitable to profitable businesses.

Retrenchment strategy is followed when an organization substantially reduces the scope of its activity. This is done through an attempt to find out the problem areas and diagnose the causes of the pr oblems. Next, steps are taken to solve the problems. These steps result in different kinds of retrenchment strategies as follows:

Turnaround strategy: If the organization chooses to transform itself into a leaner structure and focuses on ways and means to reverse the process of decline, it adopts a turnaround strategy. It may try to reduce costs, eliminate unprofitable outputs, generate revenue, improve coordination, better control, and so on.

Divestment Strategy: Divestment strategy involves the sale or liquidation of a portion of business, or a major division, profit centre or SBU. Divestment is usually a part of a rehabilitation or restructuring plan and is adopted when a turnaround has been attempted but has proved to be unsuccessful.

Liquidation Strategy: In the retrenchment strategy, the most extreme and unattractive is liquidation strategy. It involves closing down a firm and selling its assets. It is considered as the last resort because it leads to serious consequences such as loss of employment for workers and other employees, termination of opportunities where a firm could pursue any future activities, and the stigma of failure.

The management of multiproduct sick company manufacturing various items need to understand pros and cons of each strategic option. The decision will depend upon the specific circumstances of each product and the management goals of the company.

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 7 · answer p. 6

658 MTP **Old P7 Nov 2022 S-I** Q1(D) 1 mark MCQ old scheme

The business news anchor said that "chillflix's dead business is worth more than alive". What did she hint at?

A Restructuring Business

B Liquidation

C Business Process Re-engineering

D Divestment

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Nov 2022 · Series I · question p. 8

659 MTP **Old P7 Dec 2021 S-I** Q1(D) 2 marks MCQ old scheme

Mixfix was having a tough time with its operations and wanting to restructure itself from scratch. For this, they consult a veteran in business strategy, Mrs. Sunita K, who post analysis of their business said,

"your dead business is worth more than alive". What did Mrs. Sunita hint at?

- A Restructuring Business
- B Liquidation
- C Business Process Re-engineering
- D Divestment

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Dec 2021 · Series I · question p. 6

660 MTP **Old P7 Dec 2021 S-II** Q6(a) 5 marks old scheme

Distinguish between the following:

Divestment and liquidation strategy.

ICAI'S ANSWER

Divestment Strategy	Liquidation Strategy
Divestment strategy involves the sale or liquidation of a portion of business, or a major division, profit center or SBU.	It involves closing down a firm and selling its assets.
Divestment is usually a part of rehabilitation or restructuring plan and is adopted when a turnaround has been attempted but has proved to be unsuccessful. Option of a turnaround may even be ignored if it is obvious that divestment is the only answer.	Liquidation becomes only option in case of severe and critical conditions where either turnaround and divestment are not seen as solution or have been attempted but failed.
Efforts are made for the survival of organization.	Liquidation as a form of retrenchment strategy is considered as the most extreme and unattractive.
Survival of organization helps in retaining personnel, at least to some extent.	There is loss of employment with stigma of failure.

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 8 · answer p. 8-9

661 MTP **Old P7 Jul 2021 S-I** Q5(a) 5 marks old scheme

Same question, different ICAI answer: #629 RTP May 2024 · #637 Old P7 RTP Jul 2021

Justify the statement "Stability strategy is opposite of Expansion strategy".

ICAI'S ANSWER

Stability strategies, as name suggests, are intended to safeguard the existing interests and strengths of business. It involves organisations to pursue established and tested objectives, continue on the chosen path, maintain operational efficiency and so on. A stability strategy is pursued when a firm continues to serve in the same or similar markets and deals in same products and services. In stability strategy, few functional changes are made in the products or markets, however, it is not a 'do nothing' strategy. This strategy is typical for mature business organizations. Some small

organizations also frequently use stability as a strategic focus to maintain comfortable market or profit position.

On the other hand, expansion strategy is aggressive strategy as it involves redefining the business by adding the scope of business substantially, increasing efforts of the current business. In this sense, it becomes opposite to stability strategy. Expansion is a promising and popular strategy that tends to be equated with dynamism, vigor, promise and success. Expansion also includes diversifying, acquiring and merging businesses. This strategy may take the enterprise along relatively unknown and risky paths, full of promises and pitfalls.

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 8 · answer p. 8

662 MTP **Old P7 Jul 2021 S-II** Q4(b) 5 marks old scheme

Same question, different ICAI answer: #664 Old P7 MTP Nov 2019 S-I

Differentiate between Divestment and Liquidation strategy.

ICAI'S ANSWER

Following are the differences between Divestment and Liquidation strategy:

Divestment Strategy	Liquidation Strategy
Divestment strategy involves the sale or liquidation of a portion of business, or a major division, profit center or SBU.	It involves closing down a firm and selling its assets.
Divestment is usually a part of rehabilitation or restructuring plan and is adopted when a turnaround has been attempted but has proved to be unsuccessful. Option of a turnaround may even be ignored if it is obvious that divestment is the only answer.	Liquidation becomes only option in case of severe and critical conditions where either turnaround or divestment are not seen as solution or have been attempted but failed.
Efforts are made for the survival of organization.	Liquidation as a form of retrenchment strategy is considered as the most extreme and unattractive.
Survival of organization helps in retaining personnel, at least to some extent.	There is loss of employment with stigma of failure.

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 8 · answer p. 8

663 MTP **Old P7 May 2020 S-I** Q5(b) 5 marks old scheme

Explain in brief the reasons to adopt turnaround strategy.

ICAI'S ANSWER

Reasons to adopt Turnaround Strategy:

1. Turnaround is needed when an enterprise's performance deteriorates to a point that it needs a radical change of direction in strategy, and possibly in structure and culture as well.

2. It is a highly targeted effort to return an organization to profitability and increase positive cash flows to a sufficient level.

3. It is used when both threats and weaknesses adversely affect the health of an organization so much that its basic survival is difficult.

4. The overall goal of turnaround strategy is to return an underperforming or distressed company to normalcy in terms of acceptable levels of profitability, solvency, liquidity and cash flow.

5. To achieve its objectives, turnaround strategy must reverse causes of distress, resolve the financial crisis, achieve a rapid improvement in financial performance, regain stakeholder support, and overcome internal constraints and unfavourable industry characteristics.

ICAI · Old P7 · MTP May 2020 · Series I · question p. 8 · answer p. 8

664 MTP **Old P7 Nov 2019 S-I** Q5(b) 5 marks old scheme

Same question, different ICAI answer: #662 Old P7 MTP Jul 2021 S-II

Differentiate between divestment and liquidation strategy.

ICAI'S ANSWER

Divestment Strategy	Liquidation Strategy
Divestment strategy involves the sale or liquidation of a portion of business, or a major division, profit center or SBU.	It involves closing down a firm and selling its assets.
Divestment is usually a part of rehabilitation or restructuring plan and is adopted when a turnaround has been attempted but has proved to be unsuccessful. Option of a turnaround may even be ignored if it is obvious that divestment is the only answer.	Liquidation becomes only option in case of severe and critical conditions where either turnaround and divestment are not seen as solution or have been attempted but failed.
Efforts are made for the survival of organization.	Liquidation as a form of retrenchment strategy is considered as the most extreme and unattractive.
Survival of organization helps in retaining personnel, at least to some extent.	There is loss of employment with stigma of failure.

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 6 · answer p. 8

665 MTP **Old P7 Nov 2019 S-I** Q6(b) 5 marks old scheme

Write a short note on need for turnaround strategy.

ICAI'S ANSWER

Turnaround is needed when an enterprise's performance deteriorates to a point that it needs a radical change of direction in strategy, and possibly in structure and culture as well. It is a highly targeted effort to return an organization to profitability and increase positive cash flows to a sufficient level. It is used when both threats and weaknesses adversely affect the health of an organization so much that its basic survival is difficult.

The overall goal of turnaround strategy is to return an underperforming or distressed company to normalcy in terms of acceptable levels of profitability, solvency, liquidity and cash flow. To achieve its objectives, turnaround strategy must reverse causes of distress, resolve the financial crisis, achieve a rapid improvement in financial performance, regain stakeholder support, and overcome internal constraints and unfavourable industry characteristics.

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 6 · answer p. 9

666 MTP **Old P7 May 2019 S-I** Q1(vii) 1 mark MCQ old scheme

Stability strategy is a _____ strategy.

A SBU level

B Corporate level

C Business level

D Functional level

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP May 2019 · Series I · question p. 5

667 MTP **Old P7 May 2019 S-II** Q1(viii) 1 mark MCQ old scheme

Which of the following can be used in retrenchment strategy?

A Reducing assets.

B Operational improvement.

C Cutting cost.

D All of the above.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 5

668 MTP **Old P7 May 2019 S-II** Q3(b) 5 marks old scheme

A company manufactures computers that are of low in production cost, competitive price, and quality to their competitor's product. Profits and market share are declining day by day. Shree, a senior executive realizes that drastic strategies have to be created for the survival of a company. After SWOT analysis by assessing the strengths and weaknesses, they come up with the conclusion that they cannot compete in the computers with the competitors. The management directs Shree to act quick and develop a suitable strategic plan.

Discuss the strategy which can be opted by Shree.

ICAI'S ANSWER

Shree can opt for turnaround strategy which is a highly-targeted effort to return the company to profitability and increase positive cash flows to a sufficient level. Organizations those have faced a significant crisis that has negatively affected operations require turnaround strategy. Once turnaround is successful the organization may turn to focus on growth.

Conditions for turnaround strategies

When firms are losing their grips over market, profits due to several internal and external factors, and if they have to survive under the competitive environment they have to identify danger signals as early as possible and undertake rectification steps immediately. These conditions may be, inter alia cash flow problems, lower profit margins, high employee turnover and decline in market share, capacity underutilization, low morale of employees, recessionary conditions, mismanagement, raw material supply problems and so on.

Action plan for turnaround strategy

- Stage One – Assessment of current problems
- Stage Two – Analyze the situation and develop a strategic plan
- Stage Three – Implementing an emergency action plan
- Stage Four – Restructuring the business
- Stage Five – Returning to normal

ICAI · Old P7 · MTP May 2019 · Series II · question p. 6 · answer p. 7

669 MTP **Old P7 Nov 2018 S-II** Q2(a)(i) 2 marks old scheme

Which of the following statements are 'correct' and which are 'incorrect'? Give reasons, in brief, for your answer:

Divesting a major product line or market is termed as retrenchment strategy.

ICAI'S ANSWER

Correct: An organization can redefine its business by divesting a major product line or market. The divesting can be termed as retrenchment strategy. The enterprise may withdraw from marginal markets, withdraw some brands or sizes of products. It may also withdraw some of slow moving products. In an extreme manner, it may seek retirement either from the production or the marketing activity.

ICAI · Old P7 · MTP Nov 2018 · Series II · question p. 2 · answer p. 9

670 MTP **Old P7 Nov 2018 S-II** Q3(a) 5 marks old scheme

Why a Turnaround Strategy is required for a business?

ICAI'S ANSWER

Turnaround is needed when an enterprise's performance deteriorates to a point that it needs a radical change of direction in strategy, and possibly in structure and culture as well. It is a highly-targeted effort to return an organization to profitability and increase positive cash flows to a sufficient level. It is used when both threats and weaknesses adversely affect the health of an organization so much that its basic survival is difficult.

The overall goal of turnaround strategy is to transorm an underperforming or distressed company to normalcy in terms of acceptable levels of profitability, solvency, liquidity and cash flow. To achieve its objectives, turnaround strategy must reverse causes of distress, resolve the financial crisis, achieve a rapid improvement in financial performance, regain stakeholder support, and overcome internal constraints and unfavourable industry characteristics.

ICAI · Old P7 · MTP Nov 2018 · Series II · question p. 2 · answer p. 10

671 MTP **Old P7 May 2018 S-I** Q3(b) 5 marks old scheme

Arena Ltd. manufactures computers that are of low in production cost, competitive price, and quality to their competitor's product. Profits and market share are declining day by day. Shreekanth, a senior executive realizes that drastic strategies have to be created for the survival of a company. After SWOT analysis by assessing the strengths and weaknesses, they come up with the conclusion that they cannot compete in the computers with the competitors. The management directs Shreekanth to act quick and develop a suitable strategic plan.

Discuss the strategy which can be opted by Shreekanth.

ICAI'S ANSWER

Shreekant opt for turnaround strategy which is a highly-targeted effort to return Arena Ltd. to profitability and increase positive cash flows to a sufficient level. Organizations those have faced a significant crisis that has negatively affected operations require turnaround strategy. Once turnaround is successful the organization may turn to focus on growth.

Conditions for turnaround strategies

When firms are losing their grips over market, profits due to several internal and external factors, and if they have to survive under the competitive environment they have to identify danger signals as early as possible and undertake rectification steps immediately. These conditions may be, inter alia cash flow problems, lower profit margins, high employee turnover and decline in market share, capacity underutilization, low morale of employees, recessionary conditions, mismanagement, raw material supply problems and so on.

Action plan for turnaround strategy

- Stage One – Assessment of current problems
- Stage Two – Analyze the situation and develop a strategic plan
- Stage Three – Implementing an emergency action plan
- Stage Four – Restructuring the business
- Stage Five – Returning to normal

ICAI · Old P7 · MTP May 2018 · Series I · question p. 3 · answer p. 8-9

4.3 Ansoff's matrix and the ADL matrix

31 questions · asked in 30 ICAI documents · 3 exam papers

672 EXAM **Sep 2026** MCQ 16 1 mark MCQ

According to the growth matrix proposed by Igor Ansoff, a company selected a growth option in which its knowledge of customer segment preferences changed, but product features remain largely unchanged.

Which strategy is most likely being pursued ?

A Market Development

B Product Development

C Diversification

D Market Penetration

ICAI'S ANSWER

Answer key: **ICAI has not published the key yet.**

ICAI · P6 · Sep 2026 exam · question p. 12

673 EXAM **Sep 2025** MCQ 14 2 marks MCQ

Bio Cure is pioneer in low-cost rapid diagnostic kits and commands strong brand loyalty in Tier-2 and Tier-3 Indian cities. The company holds a leading competitive position, thanks to its proprietary technology and wide distribution network. However, the rapid diagnostic industry is maturing, with new regulations, consolidation, and slowing growth rates. Many firms are shifting their focus to AI-powered health platforms, making it harder for traditional players to innovate without high R&D spend.

Based on the ADL matrix, where is Bio Cure positioned?

A Dominant position in a declining industry

B Strong position in a mature industry

C Tenable position in a growing industry

D Weak position in an ageing industry

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · Sep 2025 exam · question p. 6

674 EXAM **Jan 2025** Q8(b) 5 marks

Also asked in MTP May 2026 S-I Q4(a)

Same question, different ICAI answer: #676 RTP Jan 2026 · #687 MTP Sep 2026 S-II

Explain the 'product market growth matrix' as propagated by Igor Ansoff as a device for identifying growth opportunities for the future.

ICAI'S ANSWER

The Ansoff's Product Market Growth Matrix, developed by Igor Ansoff, is a strategic tool that helps businesses identify growth opportunities by analyzing the interplay between products and markets. It offers four distinct strategies based on whether the products and markets are existing or new. These strategies are:

1. Market Penetration: Focuses on selling existing products in existing markets. This involves increasing market share by enhancing sales through advertising, promotions, competitive pricing, or encouraging higher usage among current customers.

2. Market Development: Entails selling existing products in new markets. This could involve exploring new geographical regions, utilizing alternative distribution channels, or creating new market segments.

3. Product Development: Involves introducing new or modified products into existing markets. This strategy often requires innovation and developing products that meet current market needs.

4. Diversification: Refers to marketing new products in new markets. It is a high-risk strategy as the business ventures into unfamiliar products and markets.

As market dynamics evolve, companies may transition between these strategies to adapt and sustain growth. The matrix provides a structured framework for businesses to align their growth strategies with their capabilities and market conditions.

ICAI · P6 · Jan 2025 exam · question p. 31 · answer p. 33

675 RTP **Sep 2026** Case scenario · Q1(i) to Q1(v)

CASE SCENARIO

Green Harvest Organics (GHO), a mid-sized agricultural company based in California, specializes in producing organic fruit and vegetables for local markets. The company's mission is to promote sustainable farming while delivering fresh, organic produce to its customers. While GHO has been profitable, they aim to expand their market presence and strengthen their competitive position in the organic food industry. To align its internal structure with its growth goals, GHO's leadership applied

the McKinsey 7S Model. They identified gaps in their shared values and organizational vision, which previously focused solely on local markets & competition. Their structure and systems are also being upgraded to support larger-scale operations, while staff are undergoing training to embrace a customer-centric approach. All seven elements of the McKinsey 7S Model were aligned to support organizational growth. To expand its market share, GHO introduced loyalty programmes to encourage repeat purchases among existing customers and launched promotional campaigns to attract consumers who previously purchased conventional produce. These initiatives aim to strengthen customer retention, attract more buyers within existing markets, and enhance GHO's competitive position without expanding into new markets or spending money on introducing new products. The company's growth strategy also involves establishing a chain of branded farm-to-table cafes. GHO plans to connect directly with consumers and increase its control over the distribution process. This move will allow GHO to capture additional value while strengthening its brand image. As part of their marketing efforts, GHO created subscription boxes and guided its efforts towards educating customers about off-season produce. GHO ensured consistent demand throughout the year. This strategy also aligns with their sustainability goals by reducing food waste. To remain cost-competitive while maintaining high quality, GHO balanced premium-quality organic produce with efficient production methods, ensuring their products remain affordable for middle-income households. Advanced agricultural technology, like precision irrigation and eco-friendly pest control, has been critical in managing the costs and creating value-based offerings. Now, GHO faces crucial decisions about how to scale operations while staying true to its core values of sustainability and quality. Based on the above Case Scenario, answer the Multiple Choice Questions.

Q1(i)

Green Harvest Organics adopted a market penetration strategy by introducing loyalty programmes and promotional campaigns within its existing markets. What is the primary objective of this strategy?

- A Introducing new products into existing markets
- B Increasing market share by selling existing products in existing markets
- C Entering new geographical markets
- D Diversifying into unrelated businesses

Q1(ii)

Green Harvest Organics plans to establish branded farm-to-table cafés to directly serve consumers. Which growth strategy is being adopted?

- A Backward Integration
- B Horizontal Integration
- C Vertical Forward Integration
- D Market Development

Q1(iii)

Green Harvest Organics combines premium-quality organic produce with efficient production methods to offer affordable prices. Which competitive strategy does this represent?

- A Cost Leadership Strategy
- B Differentiation Strategy
- C Best-Cost Provider Strategy
- D Focus Strategy

Q1(iv)

Which of the following strategic initiatives best demonstrates alignment between GHO's mission of promoting sustainable farming and its long-term vision of expanding its market presence?

- A Launching branded farm-to-table cafés while continuing sustainable farming practices.
- B Increasing promotional discounts without improving operational capabilities.
- C Diversifying into unrelated businesses to maximise short-term profits.
- D Outsourcing production to suppliers with lower environmental standards.

Q1(v)

How does the application of the McKinsey 7S Model help Green Harvest Organics achieve its expansion objectives?

- A By developing new product lines
- B By aligning strategy, structure, systems, staff, skills, style and shared values to support organizational growth
- C By focusing only on marketing and branding initiatives
- D By expanding into international markets

ICAI'S ANSWERS

Q1(i)

Answer key: **(B)**

Q1(ii)

Answer key: **(C)**

Q1(iii)

Answer key: **(C)**

Q1(iv)

Answer key: **(A)**

Q1(v)

Answer key: **(B)**

ICAI · P6 · RTP Sep 2026 · question p. 28-29

676 RTP **Jan 2026** Q14

Also asked in MTP Sep 2025 S-I Q4(a)

Same question, different ICAI answer: #674 Exam Jan 2025 · #687 MTP Sep 2026 S-II

Explain the 'product market growth matrix' as propagated by Igor Ansoff as a device for identifying growth opportunities for the future.

ICAI'S ANSWER

Ansoff's Product Market Growth Matrix, developed by Igor Ansoff, is a strategic tool that helps businesses identify growth opportunities by analyzing the interplay between products and markets. It offers four distinct strategies based on whether the products and markets are existing or new. These strategies are:

1. Market Penetration: Focuses on selling existing products in existing markets. This involves increasing market share by enhancing sales through advertising, promotions, competitive pricing, or encouraging higher usage among current customers.

2. Market Development: Entails selling existing products in new markets. This could involve exploring new geographical regions, utilizing alternative distribution channels, or creating new market segments.

3. Product Development: Involves introducing new or modified products into existing markets. This strategy often requires innovation and developing products that meet current market needs.

4. Diversification: Refers to marketing new products in new markets. It is a high-risk strategy as the business ventures into unfamiliar products and markets. As market dynamics evolve, companies may transition between these strategies to adapt and sustain growth. The matrix provides a structured framework for businesses to align their growth strategies with their capabilities and market conditions.

ICAI · P6 · RTP Jan 2026 · question p. 32 · answer p. 40-41

677 RTP **Sep 2025** Q5 MCQ

A mobile phone company already has a strong customer base in its home country. To grow further, it focuses on increasing sales of its existing phones by offering promotional discounts, ramping up advertising and partnering with more local retailers for better distribution. Which growth strategy does this represent according to Ansoff's Matrix?

- A Market penetration strategy
- B Product development strategy
- C Market development strategy
- D Diversification strategy

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · RTP Sep 2025 · question p. 31-32

678 RTP **May 2025** Q14

Same question, different ICAI answer: #689 MTP May 2026 S-II

Write a short note on the role of ADL Matrix in assessing the competitive position of a firm.

ICAI'S ANSWER

The ADL matrix has derived its name from Arthur D. Little which is a portfolio analysis method based on product life cycle. The approach forms a two-dimensional matrix based on stage of industry maturity and the firm's competitive position, environmental assessment and business strength assessment. The role of ADL matrix is to assess the competitive position of a firm based on an assessment of the following criteria:

- Dominant: This is a comparatively rare position and in many cases is attributable either to a monopoly or a strong and protected technological leadership.
- Strong: By virtue of this position, the firm has a considerable degree of freedom over its choice of strategies and is often able to act without its market position being unduly threatened by its competitors.
- Favourable: This position, which generally comes about when the industry is fragmented and no one competitor stand out clearly, results in the market leaders a reasonable degree of freedom.

- Tenable: Although the firms within this category are able to perform satisfactorily and can justify staying in the industry, they are generally vulnerable in the face of increased competition from stronger and more proactive companies in the market.
- Weak: The performance of firms in this category is generally unsatisfactory although the opportunities for improvement do exist.

ICAI · P6 · RTP May 2025 · question p. 39 · answer p. 44-45

679 RTP **Jan 2025** Q5 MCQ

EcoGreen, a company specializing in sustainable home products, has decided to enter the energy sector by developing and marketing solar panels and home energy storage solutions. This new direction involves creating a completely new product line that extends beyond their traditional home goods, thereby entering an industry with their current brand. What strategy is EcoGreen using to enter the energy sector?

A Market penetration

B Product development

C Market development

D Diversification

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · RTP Jan 2025 · question p. 36

680 RTP **Sep 2024** Q5 MCQ

Also asked in MTP Sep 2024 S-II Q1(B)(iii)

A women's clothing brand recognized new opportunities and researched emerging trends and consumer preferences. They introduced a new clothing line, received positive feedback from initial trials, and grew through strategic partnerships and targeted advertising. What strategic choice best describes this approach?

A Product Development

B Market Development

C Market Penetration

D Diversification

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · RTP Sep 2024 · question p. 35

681 RTP **Old P7 May 2023** Q9 old scheme

Same question, different ICAI answer: #690 MTP Jan 2026 S-II · #695 Old P7 MTP Nov 2022 S-II

Sky chemical industry intends to grow its business. Advise the company on the available options using Ansoff's product market growth matrix.

ICAI'S ANSWER

The Ansoff's product market growth matrix (proposed by Igor Ansoff) is a useful tool that helps businesses decide their product and market growth strategy. With the us e of this matrix, a business can get a fair idea about how its growth depends upon its markets in new or existing products in both new and existing markets.

The Ansoff's product market growth matrix is as follows:

Ansoff's Product Market Growth Matrix Sky chemical industry can adopt market penetration, product development, market development or diversification simultaneously for its different products.

Market penetration refers to a growth strategy where the business focuses on selling existing products into existing markets. It is achieved by making more sales to present customers without changing products in any major way.

Market development refers to a growth strategy where the business seeks to sell its existing products into new markets. It is a strategy for company growth by identifying and developing new markets for the existing products of the company.

Product development refers to a growth strategy where business aims to introduce new products into existing markets. It is a strategy for company growth by offering modified or new products to current markets.

Diversification refers to a growth strategy where a business markets new products in new markets. It is a strategy by starting up or acquiring businesses outside the company's current products and markets.

As market conditions change overtime, a company may shift product-market growth strategies. For example, when its present market is fully saturated a company may have no choice other than to pursue new market.

ICAI · Old P7 · RTP May 2023 · question p. 18 · answer p. 21-22

682 RTP **Old P7 Nov 2022** Q9 old scheme

Same question, different ICAI answer: #694 Old P7 MTP May 2023 S-II

Distinguish between Market Development and Product Development under Ansoff's Product Market Growth Matrix.

ICAI'S ANSWER

Following are the differences between the market development and product development:

Market Development	Product Development
Meaning	Meaning
- It refers to a growth strategy where the business seeks to sell its existing products into new markets. It is a strategy for company growth by identifying and developing new markets for current company products.	- It refers to a growth strategy where business aims to introduce new products into existing markets. It is a strategy for company growth by offering modified or new products to current markets.
Strategy Application	Strategy Application
- It may be achieved through new geographical markets, new product dimensions or packaging, new distribution channels or different pricing policies to attract different customers or create new market segments.	- It is for company's growth and requires the development of new competencies and the business to develop modified products which can appeal to existing markets.

ICAI · Old P7 · RTP Nov 2022 · question p. 17 · answer p. 20

683 RTP **Old P7 May 2022** Q10 old scheme

Explain the role of ADL Matrix in assessing competitive position of a firm.

ICAI'S ANSWER

The ADL matrix has derived its name from Arthur D. Little which is a portfolio an alysis method based on product life cycle. The approach forms a two-dimensional matrix based on stage of industry maturity and the firm's competitive position, environmental assessment and business strength assessment. The role of ADL matrix is to assess t he competitive position of a firm based on an assessment of the following criteria:

- Dominant: This is a comparatively rare position and in many cases is attributable either to a monopoly or a strong h
- Strong: By virtue of this position, the firm has a considerable degree of freedom over its choice of strategies and is often able to act without its market position being unduly threatened by its competitors.
- Favourable: This position, which generally comes about when the industry is fragmented and no one competitor stand out clearly, results in the market leaders a reasonable degree of freedom.
- Tenable: Although the firms within this category are able to perform satisfactorily and can justify staying in the industry, they are generally vulnerable in the face o f increased competition from stronger and more proactive companies in the market.
- Weak: The performance of firms in this category is generally unsatisfactory although the opportunities for improvement do exist.

ICAI · Old P7 · RTP May 2022 · question p. 18 · answer p. 20-21

684 RTP **Old P7 Dec 2021** Q9 old scheme

Ajanta & Sons Limited are manufacturers of domestic household security alarms for high income group homeowners in India. The company is currently reviewing two strategic options.

Option 1: Selling the same alarms although with different coverings to smaller and low-income group households at a lower price.

Option 2: Development of new, more sophisticated alarms and a wide range of security services (guards and surveillance) for sale to industrial clients for higher prices. The senior management team of Ajanta & Sons Limited are keen to analyse the two options using Ansoff's matrix.

ICAI'S ANSWER

Selling the same alarms with different coverings to smaller and low income group households at a lower price represents Market Development as the same products are being sold into a new market. Market development refers to a growth strategy where the business seeks to sell its existing products into new markets. It is a strategy for company growth by identifying and developing new markets for the existing products of the company.

While the development of new and more sophisticated alarms and a wide range of security services (guards and surveillance) for sale to industrial clients for higher prices is classified as Diversification, because it involves a new product, being sold in a new market. Diversification refers to a growth strategy where a business markets new products in new markets. It is a strategy by starting up or acquiring businesses outside the company's current products and markets.

ICAI · Old P7 · RTP Dec 2021 · question p. 17 · answer p. 20

685 RTP **Old P7 Nov 2020** Q10 old scheme

Write a short note on the role of ADL Matrix in assessing competitive position of a firm.

ICAI'S ANSWER

The ADL matrix has derived its name from Arthur D. Little which is a portfolio analysis method based on product life cycle. The approach forms a two dimensional matrix based on stage of industry maturity and the firm's competitive position, environmental assessment and business strength assessment. The role of ADL matrix is to assess the competitive position of a firm based on an assessment of the following criteria:

- Dominant: This is a comparatively rare position and in many cases is attributable either to a monopoly or a strong and protected technological leadership.
- Strong: By virtue of this position, the firm has a considerable degree of freedom over its choice of strategies and is often able to act without its market position being unduly threatened by its competitors.
- Favourable: This position, which generally comes about when the industry is fragmented and no one competitor stand out clearly, results in the market leaders a reasonable degree of freedom.
- Tenable: Although the firms within this category are able to perform satisfactorily and can justify staying in the industry, they are generally vulnerable in the face of increased competition from stronger and more proactive companies in the market.
- Weak: The performance of firms in this category is generally unsatisfactory although the opportunities for improvement do exist.

ICAI · Old P7 · RTP Nov 2020 · question p. 17 · answer p. 20-21

686 RTP **Old P7 Nov 2018** Q8 old scheme

Same question, different ICAI answer: #696 Old P7 MTP Dec 2021 S-I · #698 Old P7 MTP May 2019 S-II

How Ansoff's Product Market Growth Matrix is a useful tool for business organizations?

ICAI'S ANSWER

The Ansoff's product market growth matrix (proposed by Igor Ansoff) is a useful tool that helps businesses decide their product and market growth strategy. With the use of this matrix a business can get a fair idea about how its growth depends in new or existing products in both new and existing markets.

Companies should always be looking to the future. Businesses that use the Ansoff matrix can determine the best strategy. The matrix can help them to decide how to do this by demonstrating their options clearly, breaking them down into four strategies, viz., Market Penetration, Market Development, Product Development, Diversification. Determining which of these is best for their business will depend on a number of variables including available resources, infrastructure, market position, location and budget.

ICAI · Old P7 · RTP Nov 2018 · question p. 13 · answer p. 21

687 MTP **Sep 2026 S-II** Q4(a) 5 marks

Same question, different ICAI answer: #674 Exam Jan 2025 · #676 RTP Jan 2026

Explain the 'product market growth matrix' as propagated by Igor Ansoff as a device for identifying growth opportunities for the future.

ICAI'S ANSWER

Ansoff's Product Market Growth Matrix, developed by Igor Ansoff, is a strategic tool that helps businesses identify growth opportunities by analyzing the interplay between products and markets.

It offers four distinct strategies based on whether the products and markets exist or are new. These strategies are:

1. **Market Penetration:** Focuses on selling existing products in existing markets. This involves increasing market share by enhancing sales through advertising, promotions, competitive pricing, or encouraging higher usage among current customers.

2. **Market Development:** Entails selling existing products in new markets. This could involve exploring new geographical regions, utilizing alternative distribution channels, or creating new market segments.

3. **Product Development:** Involves introducing new or modified products into existing markets. This strategy often requires innovation and developing products that meet current market needs.

4. **Diversification:** Refers to marketing new products in new markets. It is a high-risk strategy as the business ventures into unfamiliar products and markets.

As market dynamics evolve, companies may transition between these strategies to adapt and sustain growth. The matrix provides a structured framework for businesses to align their growth strategies with their capabilities and market conditions.

ICAI · P6 · MTP Sep 2026 · Series II · question p. 14 · answer p. 18-19

688 MTP **May 2026 S-I** Q1(c) 5 marks

GreenHarvest Foods, a well-established organic food company in the domestic market, is planning to expand globally. As part of its international strategy, the company is introducing region-specific organic products by adapting ingredients, flavours and packaging to suit local consumer preferences in different countries. Through this approach, GreenHarvest Foods aims to cater to diverse markets and strengthen

its global footprint. Which expansion strategy from Ansoff's Product-Market Growth Matrix best aligns with GreenHarvest Foods' approach?

ICAI'S ANSWER

The strategy adopted by GreenHarvest Foods is Diversification. Diversification refers to a growth strategy where a company introduces new products in new markets. In the given case, GreenHarvest Foods is entering international markets (new markets) and simultaneously offering region-specific organic products (new products) tailored to local tastes and preferences.

This indicates that the company is not only expanding geographically but also modifying and innovating its product offerings to suit different customer segments across countries.

Diversification is considered the most risky strategy in Ansoff's Product-Market Growth Matrix as it involves operating in unfamiliar markets and dealing with new customer preferences, regulatory environments, and competitive dynamics. However, it also offers high growth potential by creating new revenue streams and reducing dependence on existing markets. Thus, GreenHarvest Foods' approach clearly reflects a diversification strategy.

ICAI · P6 · MTP May 2026 · Series I · question p. 12 · answer p. 14-15

689 MTP **May 2026 S-II** Q3(b) 5 marks

Same question, different ICAI answer: #678 RTP May 2025

Write a short note on the role of ADL Matrix in assessing the competitive position of a firm.

ICAI'S ANSWER

The ADL matrix has derived its name from Arthur D. Little which is a portfolio analysis method based on product life cycle. The approach forms a two-dimensional matrix based on stage of industry maturity and the firm's competitive position, environmental assessment and business strength assessment. The role of ADL matrix is to assess the competitive position of a firm based on an assessment of the following criteria:

- **Dominant:** This is a comparatively rare position and in many cases is attributable either to a monopoly or a strong and protected technological leadership.
- **Strong:** By virtue of this position, the firm has a considerable degree of freedom over its choice of strategies and is often able to act without its market position being unduly threatened by its competitors.
- **Favourable:** This position, which generally comes about when the industry is fragmented and no one competitor stands out clearly, results in the market leaders having a reasonable degree of freedom.
- **Tenable:** Although the firms within this category are able to perform satisfactorily and can justify staying in the industry, they are generally vulnerable in the face of increased competition from stronger and more proactive companies in the market.
- **Weak:** The performance of firms in this category is generally unsatisfactory although the opportunities for improvement do exist.

ICAI · P6 · MTP May 2026 · Series II · question p. 14 · answer p. 15-16

690 MTP **Jan 2026 S-II** Q2(a) 5 marks

Same question, different ICAI answer: #681 Old P7 RTP May 2023 · #695 Old P7 MTP Nov 2022 S-II

Sky chemical industry intends to grow its business. Advise the company on the available options using Ansoff's product market growth matrix.

ICAI'S ANSWER

Ansoff's product market growth matrix (proposed by Igor Ansoff) is a useful tool that helps businesses decide their product and market growth strategy. With the use of this matrix, a business can get a fair idea about how its growth depends upon its markets in new or existing products in both new and existing markets.

The Ansoff's product market growth matrix is as follows:

Ansoff's Product Market Growth Matrix

Sky Chemical Industry can adopt market penetration, product development, market development or diversification simultaneously for its different products.

Market penetration refers to a growth strategy where the business focuses on selling existing products into existing markets. It is achieved by making more sales for present customers without changing products in any major way.

Market development refers to a growth strategy where the business seeks to sell its existing products into new markets. It is a strategy for company growth by identifying and developing new markets for the existing products of the company.

Product development refers to a growth strategy where business aims to introduce new products into existing markets. It is a strategy for company growth by offering modified or new products to current markets.

Diversification refers to a growth strategy where a business markets new products in new markets. It is a strategy by starting up or acquiring businesses outside the company's current products and markets.

As market conditions change overtime, a company may shift product-market growth strategies. For example, when its present market is fully saturated a company may have no choice other than to pursue new market.

ICAI · P6 · MTP Jan 2026 · Series II · question p. 12 · answer p. 17-18

691 MTP **Sep 2025 S-II** Q1(B)(iii) 1 mark MCQ

A tech startup wants to enter a new market by introducing a new AI-powered product to an entirely new customer segment. Which strategic option best represents this move?

- A Market Penetration
- B Market Development
- C Product Development
- D Diversification

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · MTP Sep 2025 · Series II · question p. 14

692 MTP **May 2025 S-I** Q1(c) 5 marks

ABC Fashion, a prominent brand in the domestic market, is now venturing into the international arena. As part of its global expansion strategy, the company is introducing a variety of products tailored to meet the unique tastes and preferences of customers in different regions. By customizing its offerings for each market, ABC Fashion aims to capture a broader audience and establish a strong international presence. Which expansion strategy from Ansoff's Product-Market Growth Matrix best aligns with ABC Fashion's approach?

ICAI'S ANSWER

ABC Fashion's expansion into international markets, offering different products tailored to the unique preferences of various customer segments, aligns with the diversification strategy in Ansoff's Product-Market Growth Matrix. This strategy involves introducing new products to new markets, which represents the highest level of risk and reward in the matrix.

By entering international markets, ABC Fashion is stepping into unfamiliar territories where it must navigate different cultural preferences, market dynamics, and consumer behaviours. The decision to offer a variety of products that cater to the specific needs and tastes of each region demonstrates the company's commitment to localizing its offerings, which is a hallmark of diversification.

This strategy is particularly beneficial for companies like ABC Fashion that seek to maximize their growth potential by not only expanding their geographical footprint but also by innovating and adapting their product lines. It allows the company to tap into new revenue streams and diversify its business risk by not relying solely on its domestic market. However, it also requires significant market research, investment, and adaptation to different regulatory environments.

In summary, ABC Fashion's approach reflects a strategic diversification, enabling the brand to establish a strong international presence while meeting the diverse needs of global customers.

ICAI · P6 · MTP May 2025 · Series I · question p. 11 · answer p. 18-19

693 MTP **Sep 2024 S-I** Q1(c) 5 marks

FreshDelight, renowned for its organic fruit juices, aims to expand its market presence by identifying emerging markets in countries where organic products are gaining popularity. To achieve this, FreshDelight launches targeted marketing campaigns and partners with local distributors to introduce its juices to these new regions. This strategy involves adapting product packaging and marketing messages to align with local preferences and regulations. By entering these new markets, FreshDelight hopes to increase its customer base and drive sales growth. What strategy is FreshDelight using to expand its market presence?

ICAI'S ANSWER

FreshDelight is employing a market development strategy to expand its market presence. This approach involves introducing their existing organic fruit juices to new markets, specifically targeting countries where the demand for organic products is on the rise. To achieve this, FreshDelight is launching targeted marketing campaigns and partnering with local distributors to effectively introduce their products to these new regions. Additionally, they are adapting their product packaging and marketing messages to align with local preferences and regulations, ensuring their offerings resonate with the new customer base. By entering these emerging markets, FreshDelight aims to increase its customer base and drive sales growth, leveraging the growing popularity of organic products.

ICAI · P6 · MTP Sep 2024 · Series I · question p. 10 · answer p. 12

694 MTP **Old P7 May 2023 S-II** Q3(b) 5 marks old scheme

Same question, different ICAI answer: #682 Old P7 RTP Nov 2022

Distinguish between Market Development and Product Development under Ansoff's Product Market Growth Matrix.

ICAI'S ANSWER

Following are the differences between the market development and product developm ent:

Market Development	Product Development
Meaning	Meaning
• It refers to a growth strategy where the business seeks to sell its existing products into new markets. It is a strategy for company growth by identifying and developing new markets for current company products.	• It refers to a growth strategy where business aims to introduce new products into existing markets. It is a strategy for company growth by offering modified or new products to current
Strategy Application	markets.
• It may be achieved through new geographical markets, new product dimensions or packaging, new distribution channels or different pricing policies to attract different customers or create new market segments.	Strategy Application • It is for company's growth and requires the development of new competencies and the business to develop modified products which can appeal to existing markets.

ICAI · Old P7 · MTP May 2023 · Series II · question p. 7 · answer p. 8

695 MTP **Old P7 Nov 2022 S-II** Q3(a) 5 marks old scheme

Also asked in Old P7 MTP May 2022 S-I Q3(a)

Same question, different ICAI answer: #681 Old P7 RTP May 2023 · #690 MTP Jan 2026 S-II

Sky chemical industry intends to grow its business. Advise the company on the available options using Ansoff's product market growth matrix.

ICAI'S ANSWER

The Ansoff's product market growth matrix (proposed by Igor Ansoff) is a useful tool that helps businesses decide their product and market growth strategy. With the use of this matrix, a business can get a fair idea about how its growth depends upon its markets in new or existing products in both new and existing markets.

The Ansoff's product market growth matrix is as follows:

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Sky chemical industry can adopt market penetration, product development, market development or diversification simultaneously for its different products.

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Market development refers to a growth strategy where the business seeks to sell its existing products into new markets. It is a strategy for company growth by identifying and developing new markets for

the existing products of the company.

Product development refers to a growth strategy where business aims to introduce new products into existing markets. It is a strategy for company growth by offering modified or new products to current markets.

Diversification refers to a growth strategy where a business markets new products in new markets. It is a strategy by starting up or acquiring businesses outside the company's current products and markets.

As market conditions change overtime, a company may shift product-market growth strategies. For example, when its present market is fully saturated a company may have no choice other than to pursue new market.

ICAI · Old P7 · MTP Nov 2022 · Series II · question p. 9 · answer p. 7-8

696 MTP **Old P7 Dec 2021 S-I** Q3(b) 5 marks old scheme

Same question, different ICAI answer: #686 Old P7 RTP Nov 2018 · #698 Old P7 MTP May 2019 S-II

How Ansoff's Product Market Growth Matrix is a useful tool for business organizations?

ICAI'S ANSWER

The Ansoff's product market growth matrix (proposed by Igor Ansoff) is a useful tool that helps businesses decide their product and market growth strategy. With the use of this matrix a business can get a fair idea about how its growth depends in new or existing products in both new and existing markets.

Companies should always be looking to the future. Businesses that use the Ansoff matrix can determine the best strategy. The matrix can help them to decide how to do this by demonstrating their options clearly, breaking them down into four strategies, viz., Market Penetration, Market Development, Product Development, Diversification. Determining which of these is best for their business will depend on a number of variables including available resources, infrastructure, ma rket position, location and budget.

ICAI · Old P7 · MTP Dec 2021 · Series I · question p. 7 · answer p. 8

697 MTP **Old P7 Jul 2021 S-I** Q6(a) 5 marks old scheme

Distinguish between the following:

Market Development and Product Development under Ansoff's Product Market Growth Matrix.

ICAI'S ANSWER

Following are the differences between the market development and product development:

Market Development	Product Development
• Meaning	• Meaning
It refers to a growth strategy where the business seeks to sell its existing products into new markets. It is a strategy for company growth by identifying and developing new markets for current company products.	It refers to a growth strategy where business aims to introduce new products into existing markets. It is a strategy for company growth by offering modified or new products to current markets.
• Strategy Application	• Strategy Application
It may be achieved through new geographical markets, new product dimensions or packaging, new distribution channels or different pricing policies to attract different	It is for company's growth and requires the development of new competencies and the business to develop modified products which can appeal to existing markets.

customers or create new market segments.

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 8 · answer p. 9

698 MTP **Old P7 May 2019 S-II** Q4(b) 5 marks old scheme

Same question, different ICAI answer: #686 Old P7 RTP Nov 2018 · #696 Old P7 MTP Dec 2021 S-I

How Ansoff's Product Market Growth Matrix is a useful tool for business organizations?

ICAI'S ANSWER

The Ansoff's product market growth matrix (proposed by Igor Ansoff) is a useful tool that helps businesses decide their product and market growth strategy. With the use of this matrix a business can get a fair idea about how its growth depends upon it markets in new or existing products in both new and existing markets.

Companies should always be looking to the future. Businesses that use the Ansoff matrix can determine the best strategy. The matrix can help them to decide how to do this by demonstrating their options clearly, breaking them down into four strategies, viz., Market Penetration, Market Development, Product Development, Diversification. Determining which of these is best for their business will depend on a number of variables including available resources, infrastructure, market position, location and budget.

ICAI · Old P7 · MTP May 2019 · Series II · question p. 6 · answer p. 8

4.4 BCG and GE matrices

41 questions · asked in 33 ICAI documents · 5 exam papers

699 EXAM **Sep 2026** Q6(b) 5 marks

A company's most profitable business is not receiving the highest investment allocation, while another less profitable business is receiving substantial resources. Explain how BCG Matrix may justify such a seemingly contrasting decision.

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P6 · Sep 2026 exam · question p. 21

700 EXAM **May 2026** MCQ 16 1 mark MCQ

In General Electric (GE) Nine-Cell Matrix, which two dimensions form the basis of portfolio analysis to develop the strategic options?

- A Business Strength and Market Attractiveness
- B Company's Strength and Weakness
- C Market Share and Market Growth Rate
- D Competitive Intensity and Pricing Trends

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · May 2026 exam · question p. 8

701 EXAM **Sep 2025** MCQ 16 1 mark MCQ

In General Electric Matrix, what strategy is recommended for business units with high market attractiveness and strong business strength?

- A Invest/Expand
- B Select/Earn
- C Harvest/Divest
- D Liquidate

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · Sep 2025 exam · question p. 7

702 EXAM **Jan 2025** Q5(c) 5 marks

Organic Beverages has been manufacturing various soft drinks for over a decade. It has developed a sugar free beverage to cater to the needs of specific customers by spending heavily on research and development for this product. In addition, a lot of money was spent on marketing (branded as 'Say no to Sugar') and in obtaining licence for it. In a span of five months, company has gained a major share in the market for this new product and it is growing rapidly. Profitability of this product is also better. In order to take the advantage of best opportunity for expansion, it has to make heavy investment to maintain their position in current and new market. Classify 'Say no to Sugar' product in the most related category in the two dimensional growth share matrix as per Boston Consulting Group. Explain the strategies which can be pursued post identification and classification of products in such matrix. Also state the limitations of this technique as one of the strategic options.

ICAI'S ANSWER

The 'Say No to Sugar' product by Organic Beverages can be classified as a Star in the BCG Growth-Share Matrix. This classification is due to the product's rapid market growth and the company's strong market share achieved within a short span of five months. Additionally, the product requires heavy investment to maintain its market position and expand further, which aligns with the

characteristics of a Star. Strategies Post-Identification: After identifying the 'Say No to Sugar' product as a Star, the following strategies can be pursued:

1. Build Strategy: Increase market share through sustained investments in marketing, distribution, and product development. This ensures the product remains competitive and capitalizes on its growth potential.

2. Hold Strategy: Focus on maintaining the current market share and profitability by optimizing resources and sustaining brand reputation.

3. Harvest Strategy: This strategy is not suitable for Stars as it prioritizes short-term cash flow over long-term growth, which contradicts the objectives for a Star.

4. Divest Strategy: Selling or liquidating the product is unsuitable here, as Stars represent the best opportunities for expansion.

Limitations of BCG Matrix:

1. Complexity and Cost: The matrix can be difficult, time-consuming, and costly to implement.

2. Subjectivity: Defining SBUs and measuring market share or growth can be challenging and subjective.

3. Focus on Present: It emphasizes current business scenarios but provides limited guidance for future strategic planning.

4. Overemphasis on Growth: This may lead to unwise investments in high-growth markets or premature divestment of established products.

Thus, while the BCG matrix provides a simplified framework for portfolio analysis, it should be used alongside other strategic tools for balanced decision-making.

ICAI · P6 · Jan 2025 exam · question p. 24 · answer p. 26-27

703 EXAM **Sep 2024** MCQ 15 MCQ

Always Ahead Ltd. is an established player in FMCG, Herbs, Health care and White goods. Company has classified its portfolio on investments in different businesses in four quadrants as suggested by Boston Consulting Group. On further analysis of relationship between market growth rate and relative market share for White goods business, it is found that opportunities to increase its market share are there. Emphasis need to be given to make a strong future with large market share even by foregoing short-term earnings for this business. Which strategy is being pursued by the company for White goods segment:

A Build

B Hold

C Harvest

D Divest

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · Sep 2024 exam · question p. 7

704 RTP **Sep 2026** Q14

EcoBuild Materials Ltd. manufactures specialised construction materials. One of its business divisions has been evaluated using the GE Stop-Light Matrix. The analysis indicates that the division possesses

medium business strength but operates in an industry with low market attractiveness. The management is reviewing the future course of action for this division. Identify the colour zone in which this business falls under the GE Stop-Light Matrix. What strategic action should the company adopt for this division? Give reasons for your answer.

ICAI'S ANSWER

The business division falls in the Yellow Zone (Selective Growth/Earnings Zone) of the GE Stop-Light Matrix. In the GE Stop-Light Matrix, a business with medium business strength operating in a low market attractiveness industry is placed in the Yellow Zone. Businesses in this zone require selective investment and careful evaluation rather than aggressive expansion. The appropriate strategic action is to selectively invest only if the division has the potential to improve its competitive position or generate satisfactory returns. If the prospects for improvement are limited and the business is unlikely to create long-term value, the company should harvest the business by maximising short-term cash flows or divest it to redeploy resources to more attractive business units. Thus, the division belongs to the Yellow Zone, where the strategy is selective investment, with harvesting or divestment considered if future growth prospects remain weak.

ICAI · P6 · RTP Sep 2026 · question p. 34 · answer p. 40-41

705 RTP **May 2026** Q14

Also asked in MTP Jan 2025 S-II Q4(b)

Same question, different ICAI answer: #711 Old P7 RTP May 2022

Explain the strategic implications of each of the following types of business in a corporate portfolio:

(a) Stars, (b) Question Marks, (c) Cash Cows, (d) Dogs

ICAI'S ANSWER

In the BCG growth-share matrix portfolio of investments are represented in two-dimensional space. The vertical axis represents market growth rate, and the horizontal axis represents relative market share. The strategic implications for various business types under BCG in the corporate portfolio are: Stars are products or businesses that are growing rapidly and are the best opportunity for expansion. Stars may follow the Build strategy. They need heavy investments to maintain their position and finance their rapid growth potential. Cash Cows are low-growth, high market share businesses or products. They generate cash and have low costs. They are established, successful, and need less investment to maintain their market share. A strategic alternative advocated for cash cows is Harvest. Question Marks are low market share businesses in high-growth markets. A strategic option for them is Hold for which they need heavy investments. Question marks if left unattended are capable of becoming cash traps. Dogs are low-growth, low-share businesses and products. The relevant strategy is Divest. Dogs may generate enough cash to maintain themselves, but do not have much future. Dogs should be minimized by means of divestment or liquidation.

ICAI · P6 · RTP May 2026 · question p. 35 · answer p. 41

706 RTP **Jan 2025** Q13

InnovaTech, a technology company with a range of business units, is assessing its investment opportunities. To allocate resources effectively, InnovaTech uses a matrix that evaluates each business unit based on two key factors: industry attractiveness and business unit strength. For example, the AI solutions division, positioned in a highly attractive industry with a strong competitive edge, receives a "go ahead" for further investment. In contrast, its legacy software division, operating in a less attractive

industry with a weaker position, receives a "be careful" rating, suggesting limited investment. Identify and explain which analytical tool InnovaTech is using for this evaluation.

ICAI'S ANSWER

InnovaTech is using the GE Matrix, a strategic tool designed to assess the resource allocation needs of different business units based on two factors: industry attractiveness and business unit strength. This matrix is a nine-cell grid that helps companies prioritize investments by categorizing units into "grow," "hold," or "harvest" zones, depending on their positions within the matrix. For InnovaTech, the AI solutions division, which operates in a highly attractive industry with a strong competitive position, falls into the "grow" category, meriting further investment. Meanwhile, the legacy software division operates in a less attractive industry with weaker positioning, likely placing it in the "harvest" or "hold" category, where investments are minimized. The GE Matrix enables companies like InnovaTech to systematically evaluate each business unit's potential, optimize resource allocation, and focus on divisions that align with long-term growth and profitability goals.

ICAI · P6 · RTP Jan 2025 · question p. 37 · answer p. 45

707 RTP **May 2024** Q13

XYZ Corporation is a multinational conglomerate operating in various industries. They have a diverse portfolio of businesses, including a leading consumer electronics division, a growing e-commerce platform, a mature industrial machinery division, and a newly established software development unit. Which division of XYZ Corporation would most likely be classified as a "Star" in the BCG Growth-Share Matrix?

ICAI'S ANSWER

In the BCG Growth-Share Matrix, divisions or business units are classified into four categories: Stars, Cash Cows, Question Marks, and Dogs. These classifications are based on a combination of market share and market growth rate. A "Star" in the BCG Matrix represents a business unit with a high market share in a high-growth market. In the scenario, the newly established software development unit would be classified as a "Star." The software development unit is described as "newly established," suggesting that it is operating in a high-growth market. Additionally, the potential for high market share can be inferred if the unit is strategically positioned to become a leader in the software development industry. Stars typically require significant investment to fuel their growth, but they have the potential to become future Cash Cows as the market matures. Therefore, the software development unit's high growth potential and the opportunity to capture a substantial market share align with the characteristics of a BCG Matrix "Star."

ICAI · P6 · RTP May 2024 · question p. 36 · answer p. 42

708 RTP **Old P7 Nov 2023** Q11 old scheme

ABC Corporation is a conglomerate with a diverse portfolio of businesses. One of its businesses is a well-established division in a mature and stable market. The division has maintained a high market share over the years but is experiencing slow growth due to market saturation. The management team is contemplating the best course of action for this division. How should ABC Corporation approach this division according to the BCG growth-share matrix, and what would be the rationale behind it?

ICAI'S ANSWER

According to the BCG growth-share matrix, the division in a mature and stable market falls into the "Cash Cows" category. "Cash Cows" are low-growth, high market share businesses that generate cash with low costs. The recommended approach for ABC Corporation would be to adopt the "Hold"

strategy. This means the company should preserve the market share of the division and continue generating cash with low costs. Since the market is mature and growth opportunities are limited, the division's focus should be on maintaining profitability and using the generated cash to support other high-potential businesses within the conglomerate. By holding onto the "Cash Cow" division, ABC can leverage its stability and cash flow to invest strategically in other areas of the business for future growth and innovation.

ICAI · Old P7 · RTP Nov 2023 · question p. 15 · answer p. 18

709 RTP **Old P7 May 2023** Q2 MCQ old scheme

Sanjay guided the team of young entrepreneurs to hold to the current position in the market till they get a big opportunity. What could be their business termed as basis Sanjay's advice?

- A Question Mark
- B Cash Cow
- C Star
- D Dog

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP May 2023 · question p. 16

710 RTP **Old P7 May 2022** Q2 MCQ old scheme

Nom-Nom is a fast-food brand and has been facing a lot of competition from American brands and has decided to NOT go very aggressive but to just preserve market share? Which of the strategy Nom-Nom is following?

- A Build
- B Hold
- C Harvest
- D Divest

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP May 2022 · question p. 16

711 RTP **Old P7 May 2022** Q9 old scheme

Same question, different ICAI answer: #705 RTP May 2026

Explain the strategic implications of each of the following types of business in a corporate portfolio:

(a) Stars (b) Question Marks (c) Cash Cows (d) Dogs

ICAI'S ANSWER

In the BCG growth-share matrix portfolio of investments are represented in two-dimensional space. The vertical axis represents market growth rate, and the horizontal axis represents relative market share. The strategic implications for various business types under BCG in the corporate portfolio are:

Stars are products or businesses that are growing rapidly and are best opportunity for expansion. Stars may follow build strategy. They need heavy investments to maintain their position and finance their rapid growth potential.

Cash Cows are low-growth, high market share businesses or products. They generate cash and have low costs. They are established, successful, and need less investment to maintain their market share. Strategic alternative advocated for cash cows is harvest. Question Marks are low market share business in high-growth markets. Strategic option for them is hold for which they need heavy investments. Question marks if left unattended are capable of becoming cash traps.

Dogs are low-growth, low-share businesses and products. Relevant strategy is divest. Dogs may generate enough cash to maintain themselves, but do not have much future. Dogs should be minimized by means of divestment or liquidation.

ICAI · Old P7 · RTP May 2022 · question p. 18 · answer p. 20

712 RTP **Old P7 Jul 2021** Q5 MCQ old scheme

A tool by which management identifies and evaluates the various businesses that make up a company is termed as:

- A Value chain analysis
- B Portfolio analysis
- C Competition analysis
- D Strategic analysis

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP Jul 2021 · question p. 15

713 RTP **Old P7 May 2020** Q1(x) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

A tool by which management identifies and evaluates the various businesses that make up a company is termed as:

- A Value Chain Analysis
- B Portfolio Analysis
- C Competition Analysis
- D Strategic Analysis

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP May 2020 · question p. 11-12

714 RTP **Old P7 May 2019** Q1(xi) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Under BCG an SBU with products having little market share but in an attractive industry is referred to as:

A Cash cow.

B Star.

C Dog.

D Question mark.

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2019 · question p. 9-10

715 MTP **Sep 2026 S-II** Q1(B)(ii) 2 marks MCQ

The Specialist Clothing Company (SCC) is a manufacturer of a wide range of clothing. Fashion is one of the five divisions of SCC. Fashion is operating in a market with high growth and is the market leader. By the next year, it is predicted to have 10% of the market share in a growing market. Fashion should be classified as which of the following according to the BCG matrix.

A Star

B Dog

C Cash cow

D Question mark

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · MTP Sep 2026 · Series II · question p. 12

716 MTP **May 2026 S-I** Q1(B)(i) 2 marks MCQ

Bright Screens' LED TV division has high market share in a fast-growing electronics segment. It invests heavily in advertising and R&D to stay ahead of competitors. How should this division be classified in the BCG Matrix?

A Dog

B Star

C Cash Cow

D Question Mark

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP May 2026 · Series I · question p. 11

717 MTP May 2026 S-II Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

InnovateCo, a $4 billion multinational company headquartered in London, operates as a diversified conglomerate, with its primary business segments in consumer electronics, home appliances, and electric vehicles (EVs). Known for its relentless focus on cost efficiency and innovation, InnovateCo faces a unique challenge: balancing its portfolio of business units while optimizing its internal processes to enhance profitability.

At the core of InnovateCo's strategy is its reliance on the BCG Matrix to classify its business units. The consumer electronics division, with a market share of 25% in a growing industry, is classified as a "Star." On the other hand, its home appliances unit—a mature market segment with steady cash flow but low growth potential—is considered a "Cash Cow," generating $500 million annually in profits. However, InnovateCo's leadership recognizes contradictions when using the ADL Matrix alongside the BCG Matrix. For example, while the EV division is seen as a "Question Mark" under BCG (due to low current market share), it is labeled as "Dominant" under ADL due to its strong industry position and technological leadership. This mismatch has led the management to reconsider resource allocation decisions.

Public perception of InnovateCo's brand plays a crucial role in its success. Using Mendelow's Matrix, the company has identified media outlets and advocacy groups as high-power, high-interest stakeholders, prompting the development of a robust PR strategy. For example, InnovateCo recently launched a sustainability report that highlights its commitment to reducing its carbon footprint by 40% by 2030, earning positive coverage in influential publications.

Internally, InnovateCo has adopted a lean functional structure to improve communication and decision-making. With this approach, cross-departmental coordination between R&D, marketing, and supply chain teams has accelerated product development cycles by 20%. The lean structure also reduces bureaucracy, ensuring quicker responses to market changes.

In terms of competitive positioning, InnovateCo follows a cost leadership strategy with a twist. Leveraging its significant bargaining power with suppliers, the company achieves economies of scale while maintaining high-quality standards. For example, by negotiating bulk raw material purchases, InnovateCo cut production costs for its EV batteries by 15%, allowing it to offer competitive pricing without sacrificing profitability.

Lastly, InnovateCo has fully embraced e-commerce as its primary distribution channel. Its online platform generated $1.2 billion in revenue last year, driven by AI-powered recommendations and a seamless user experience. This channel not only reduces intermediary costs but also provides InnovateCo with direct access to valuable consumer data, enhancing its ability to personalize offerings.

With a focus on streamlining operations, leveraging digital platforms, and refining its strategic frameworks, InnovateCo aims to increase profitability by 12% annually. However, challenges like reconciling strategic contradictions and maintaining stakeholder alignment remain key hurdles for the company.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

How does InnovateCo's home appliances division contribute to the company's strategy?

A By driving innovation in high-growth markets

B By generating steady cash flow for investment in growth areas

C By serving as a testing ground for new technologies

D By acting as the primary driver of revenue

Q1(A)(ii) 2 marks

What contradiction does InnovateCo face when using both the BCG and ADL Matrices?

A The consumer electronics unit is classified differently in both matrices.

B The EV division's classification differs due to conflicting metrics of growth and industry position.

C The home appliances division is labeled as both a "Dog" and "Dominant."

D The ADL Matrix undervalues the contribution of "Stars."

Q1(A)(iii) 2 marks

How does Mendelow's Matrix influence InnovateCo's PR strategy?

A By identifying suppliers as high-power, low-interest stakeholders.

B By focusing solely on customer satisfaction surveys.

C By prioritizing media outlets and advocacy groups for engagement.

D By directing resources toward low-power stakeholders.

Q1(A)(iv) 2 marks

What is the key benefit of InnovateCo's lean functional structure?

A Increased bureaucracy for better control

B Accelerated product development cycles

C Improved focus on a single business unit

D Enhanced reliance on external consultants

Q1(A)(v) 2 marks

How does InnovateCo achieve cost leadership in its EV segment?

A By focusing only on premium pricing

B By outsourcing production to low-cost countries

C By leveraging bargaining power with suppliers to reduce costs

D By eliminating investments in R&D

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(B)**

Q1(A)(ii)

Answer key: **(B)**

Q1(A)(iii)

Answer key: **(C)**

Q1(A)(iv)

Answer key: **(B)**

Q1(A)(v)

Answer key: **(C)**

ICAI · P6 · MTP May 2026 · Series II · question p. 10-11

718 MTP Jan 2026 S-I Q1(c) 5 marks

Organic Beverages has been manufacturing various soft drinks for over a decade. It has developed a sugar free beverage to cater to the needs of specific customers by spending heavily on research and development for this product. In addition, a lot of money was spent on marketing (branded as 'Say no to Sugar') and on obtaining licence for it. In a span of five months, company has gained a major share of the market for this new product, and it is growing rapidly. Profitability of this product is also better. In order to take advantage of best opportunity for expansion, it has to make heavy investment to maintain its position in current and new market.

Classify 'Say no to Sugar' product in the most related category in the two-dimensional growth share matrix as per Boston Consulting Group. Explain the strategies which can be pursued post identification and classification of products in such matrix. Also state the limitations of this technique as one of the strategic options.

ICAI'S ANSWER

The 'Say No to Sugar' product by Organic Beverages can be classified as a Star in the BCG Growth-Share Matrix. This classification is due to the product's rapid market growth and the company's strong market share achieved within a short span of five months. Additionally, the product requires heavy investment to maintain its market position and expand further, which aligns with the characteristics of a Star.

Strategies Post-Identification: After identifying the 'Say No to Sugar' product as a Star, the following strategies can be pursued:

1. **Build Strategy:** Increase market share through sustained investments in marketing, distribution, and product development. This ensures the product remains competitive and capitalizes on its growth potential.

2. **Hold Strategy:** Focus on maintaining the current market share and profitability by optimizing resources and sustaining brand reputation.

3. **Harvest Strategy:** This strategy is not suitable for Stars as it prioritizes short-term cash flow over long-term growth, which contradicts the objectives for a Star.

4. **Divest Strategy:** Selling or liquidating the product is unsuitable here, as Stars represent the best opportunities for expansion.

Limitations of BCG Matrix:

1. **Complexity and Cost:** The matrix can be difficult, time-consuming, and costly to implement.

2. **Subjectivity:** Defining SBUs and measuring market share or growth can be challenging and subjective.

3. **Focus on Present:** It emphasizes current business scenarios but provides limited guidance for future strategic planning.

4. **Overemphasis on Growth:** This may lead to unwise investments in high-growth markets or premature divestment of established products.

Thus, while the BCG matrix provides a simplified framework for portfolio analysis, it should be used alongside other strategic tools for balanced decision-making.

ICAI · P6 · MTP Jan 2026 · Series I · question p. 11 · answer p. 18-19

719 MTP **Sep 2025 S-I** Q1(B)(ii) 2 marks MCQ

PrintPro's laser printer division has stable revenue and a high market share, but operates in a slow-growing market. It generates steady cash with minimal investment needs. Where does this division fall in the BCG Matrix?

A Dog

B Question Mark

C Star

D Cash Cow

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · MTP Sep 2025 · Series I · question p. 12-13

720 MTP **Sep 2025 S-II** Q1(B)(i) 2 marks MCQ

GreenSprout Organics, a sustainable agriculture company, offers a range of eco-friendly farming products. Its portfolio includes mature products generating steady cash flow and several new offerings with high growth potential. Recently, GreenSprout launched a cutting-edge organic bio-fertilizer in a rapidly expanding market. In which quadrant of the BCG Matrix would this new product most likely be placed?

A Cash Cow

B Dog

C Question Mark

D Star

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP Sep 2025 · Series II · question p. 13

721 MTP **May 2024 S-I** Q1(B)(i) 2 marks MCQ

TechMex Inc., a leading technology company, offers a diverse portfolio of products ranging from established cash cows to promising question marks. As part of its strategic planning process, the company aims to assess its product portfolio's performance and allocate resources effectively. In which quadrant of the BCG Matrix would TechMex's new innovative product, recently launched in a rapidly growing market, likely fall into?

A Cash Cow

B Dog

C Question Mark

D Star

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP May 2024 · Series I · question p. 7-8

722 MTP **May 2024 S-II** Q1(B)(ii) 2 marks MCQ

Chocopo, an ice cream company run by Shri Shyam Kumar since 1985, now had its management change to his two daughters, who came in and wanted to experiment with a lot of flavors. They introduced 21 new flavors in a span of 6 months while not losing out of 2 legendary flavors of their dad i.e. Stick Kulfi and Mango Bar. After year 1 of operations, 9 out of the 21 flavors had to be stopped, while 10 flavors were still kept, extending the experimentation. The early sense from market was that they would have to be stopped too, but the sisters decided to extend their timelines. What category as per BCG Matrix would the 10 flavors fall into?

A Cash Cow

B Dog

C Question Mark

D Star

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP May 2024 · Series II · question p. 10-11

723 MTP **Old P7 Nov 2023 S-II** Q1(B) 2 marks MCQ old scheme

XYZ Corporation is a multinational conglomerate operating in various industries. They have a diverse portfolio of businesses, including a leading consumer electronics division, a growing e - commerce platform, a mature industrial machinery division, and a newly established software development unit. Which division of XYZ Corporation would most likely be classified as a "Star" in the BCG Growth-Share Matrix?

A Consumer Electronics Division

B E-commerce Platform

C Industrial Machinery Division

D Software Development Unit

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 6

724 MTP **Old P7 Nov 2022 S-I** Q1(F) 1 mark MCQ old scheme

Dogs in BCG Matrix can be minimized through?

A Converting to Cash Cows

B Liquidating or Divesting

C Foreign Direct Investment Opportunity

D Bad Debt Writing off

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Nov 2022 · Series I · question p. 8

725 MTP **Old P7 Dec 2021 S-I** Q1(B) 2 marks MCQ old scheme

Baba Pvt Ltd has seventeen factories, nine of which they recently gave to other producers on lease. This has increased their cash inflows to a great extent, and they are enjoying this surplus by investing the same in financial assets. Such a strategy can be termed as which of the following?

A Divest

B Harvest

C Hold

D Build

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Dec 2021 · Series I · question p. 6

726 MTP **Old P7 Dec 2021 S-II** Q1(D) 1 mark MCQ old scheme

In context to BCG matrix, which of the following statements is not correct?

A The BCG assumes that all products will grow and mature.

B The BCG can be used to examine a company's current product portfolio.

C A company with only cash cows and dogs has limited long-term prospects.

D All of the above

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 7

727 MTP **Old P7 Jul 2021 S-I** Q1(B) 2 marks MCQ old scheme

The Specialist Clothing Company (SCC) is a manufacturer of a wide range of clothing. Fashion is one of the five divisions of SCC. Fashion is operating in a market with high growth and is a market leader. By the next year, it is predicted to have 10% of the market share in a growing market. Fashion should be classified as which of the following according to the BCG matrix.

A Star

B Dog

C Cash cow

D Question mark

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 6

728 MTP **Old P7 Jul 2021 S-II** Q1(B) 2 marks MCQ old scheme

A beverage company has more than 500 soft drink brands, but none of them is anywhere close to its premium brand One Sip in awareness, revenue and profits. As per BCG's Matrix, One Sip brand for the beverage company is?

A Star

B Dog

C Cash cow

D Question mark

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 6

729 MTP **Old P7 May 2020 S-I** Case scenario · Q1(A)1 to Q1(A)5 6 marks old scheme

CASE SCENARIO

Trepsico Trito Company is one of the most famous brands in food and beverages industry in the world. It has seventeen food and beverage brands worth more than 100 crores. Trepsico Trito, Crisppy Chips (subsidiary), Tasty Chips (acquisition), Tangy (joint venture), Twisters (acquisition), and Threshold drink are just some of the household names that Trepsico Trito Company manages.

Trepsico Trito's mission is to provide consumers around the world with delicious, affordable, convenient and complementary foods and beverages from wholesome breakfasts to healthy and fun daytime snacks and beverages to evening treats. Convenient F&B defines Trepsico Trito's business. Trepsico Trito's vision is articulated as achieving business and financial success while leaving a positive imprint on society – delivering what it calls Performance with Purpose. For example, Trepsico Trito India's Agri program presently benefits over 24,000 farmers across 14 states through various Agri and sourcing initiatives. All the potato used in Crisppy Chips and Tasty Chips is grown in India and sourced from Indian farmers. Through its 360-degree farmer connect initiatives for potato cultivation, Trepsico Trito provides training and seed support, advanced plant protection programs, and assured buy-back with reasonable returns. Besides backward integration with farmers it has invested in cold storages along its supply chain. Since 2009 it has been Water Positive by conserving, utilising and managing this important resource in a sustainable manner.

The company is geographically diverse too. Trepsico Trito operates all around the world-only 50 per cent of its sales come from the United States and Canada.

Given this breadth of business and market scope, Trepsico Trito faces a variety of strategic scenarios: capitalizing on scale advantage in its core brand where it is a global leader; building businesses in fast-developing and unpredictable markets, categories, and products more so on account of shifts in consumer behaviour such as a greater focus on healthy living away from its "star" carbonated beverages and "cash cow" fried snacks businesses; the need for greater experimentation and innovation, for example in new flavours of chips to create and capitalize on newer sources of growth.

It is not inconceivable that Trepsico Trito's different businesses at different times go through different stages of strategy thus necessitating a portfolio approach to strategy formulation with reference to market /business growth and market share such as BCG Matrix. While it competes fiercely with Chilled drink in different countries, it proactively fosters strategic partnerships with quick service restaurants and multiplex players.

Based on the above Case Scenario, answer the Multiple Choice Questions which are as follows:

Q1(A)1 2 marks

Match the columns in respect of the following elements of the strategic intent and their descriptions: Column A Column B (i) Vision (a) Product-Market Configuration (ii) Business Model (b) The way business

is conducted (iii) Business Definition (c) Aspiration for a desired future (iv) Mission (d) The scope of Business

A (i)-(a); (ii)-(b); (iii)-(c); (iv)-(d)

B (i)-(b); (ii)-(c); (iii)-(d); (iv)-(a)

C (i)-(c); (ii)-(b); (iii)-(d); (iv)-(a)

D (i)-(d); (ii)-(c): (iii)-(b); (iv)-(a)

Q1(A)2 1 mark

State the two dimensions implied by portfolio approach to strategy formulation in Trepsico Trito's experiences are:

A Vision and Mission

B Food Business and Beverages Business

C Market Growth and Relative Market Share

D Performance and Purpose

Q1(A)3 1 mark

The business/ product portfolio classification implied by BCG Matrix comprises which of the following combinations?

A Growth; Stability; Retrenchment; Turnaround

B Weakness-Threat; Weakness-Opportunity; Strength-Opportunity; Strength-Threat

C Cash-Cows; Stars; Question Marks; Dogs

D Market Penetration; Product Development; Market Development; Diversification

Q1(A)4 1 mark

Which of the following may be cited as instances of collaborative approach/ strategic alliance Trepsico Trito follows in its strategy?

A Diversification from carbonated drinks to fruit juices

B Diversification from fried to baked chips

C Partnerships with quick service restaurants and multiplexes

D Diversification into breakfast cereals

Q1(A)5 1 mark

Which of the following is the most correct corporate level strategic alternative by the overall strategic direction evident from Trepsico Trito's corporate strategy?

A Growth/Expansion strategy

B Stability strategy

C Retrenchment strategy

D Turnaround strategy

ICAI'S ANSWERS

Q1(A)1

Answer key: **(C)**

Q1(A)2

Answer key: **(C)**

Q1(A)3

Answer key: **(C)**

Q1(A)4

Answer key: **(C)**

Q1(A)5

Answer key: **(A)**

ICAI · Old P7 · MTP May 2020 · Series I · question p. 5

730 MTP **Old P7 May 2019 S-I** Q1(x) 1 mark MCQ old scheme

What does Dogs symbolize in BCG matrix?

A Invest

B Harvest

C Build

D Divest

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2019 · Series I · question p. 5

731 MTP **Old P7 Nov 2018 S-I** Q2(a) 4 marks old scheme

Which of the following statements are 'correct' and which are 'incorrect'? Give reasons, in brief, for your answer:

(i) "B" in BCG Matrix stands for balance.

(ii) A core competence is a unique strength of an organization which may not be shared by others.

ICAI'S ANSWER

(i) Incorrect: The acronym BCG stands for Boston Consulting Group, an organization that developed a matrix to portray an organizational corporate portfolio of investment. This matrix depicts growth of business and the business share enjoyed by an organization. The matri x is also known for its cow and dog metaphors and is popularly used for resource allocation in a diversified company.

(ii) Correct: A core competence is a unique strength of an organization which may not be shared by others. If business is organized on the basis of core competence, it is likely to generate competitive advantage. A core competence provides potential access to a wide variety of markets. Core competencies should be such that it is difficult for competitors to imitate them.

ICAI · Old P7 · MTP Nov 2018 · Series I · question p. 2 · answer p. 9

CHAPTER 5

Strategy Implementation and Evaluation

5.1 Formulation versus implementation: matrix, linkages and issues

42 questions · asked in 46 ICAI documents · 11 exam papers

732 EXAM **May 2026** Q8(a) 5 marks

"Strategic uncertainty refers to the unpredictability of future events and circumstances that can impact an organization's strategy and goals." In the light of this statement, discuss how an organization can deal with or manage such uncertainty.

ICAI'S ANSWER

Strategic uncertainty refers to the unpredictability of future events and circumstances that may affect an organization's strategy and goals. It may arise due to changes in market conditions, technology, competition, regulations and other external environmental factors. An organization can deal with strategic uncertainty in the following ways:

1. Flexibility: Organizations should build flexibility into their strategies so that they can quickly adapt to environmental changes and respond effectively to uncertainties.

2. Diversification: Diversifying product portfolio, markets and customer base helps reduce dependence on a single business area and minimizes the impact of uncertainty.

3. Monitoring and Scenario Planning: Organizations should continuously monitor key indicators of change and undertake scenario planning to understand how different future situations may affect strategies and business operations.

4. Building Resilience: Firms should strengthen operational processes, improve financial flexibility and enhance risk management capabilities to withstand uncertain situations effectively.

5. Collaboration and Partnerships: Strategic alliances and collaborations with suppliers, customers and other organizations help in sharing resources, reducing risk and accessing new markets and technologies.

Thus, organizations can manage strategic uncertainty through flexibility, diversification, resilience, monitoring and collaboration to remain competitive and sustainable in a dynamic environment.

ICAI · P6 · May 2026 exam · question p. 32 · answer p. 32-33

733 EXAM **Jan 2026** MCQ 15 MCQ

Urban Stay Realty decided to expand into Tier-2 cities after strategic planning. The firm allocated budgets, assigned projects to motivated teams, collaborated with local banks for financing, set up monitoring systems for construction and marketing activities, and develop conducive culture. Within two years, the company launched new housing projects successfully and captured market share in new regions. Which stage of strategic management does this case describe?

A Environmental Scanning

B Strategy Formulation

C Strategy Implementation

D Evaluation and Control

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · Jan 2026 exam · question p. 8

734 **EXAM** **Sep 2025** Q8(b) **5 marks**

"Many managers fail to distinguish between strategy formulation and strategy implementation. Yet, it is crucial to realize the difference between the two because they both require very different skills." On the basis of this statement, outline the key distinctions between strategy formulation and strategy implementation.

ICAI'S ANSWER

Difference between Strategy Formulation and Implementation

Strategy Formulation	Strategy Implementation
Strategy Formulation includes planning and decision-making involved in developing the organization's strategic goals and plans.	Strategy Implementation involves all those means related to executing the strategic plans.
In short, Strategy Formulation is placing the Forces before the action.	In short, Strategy Implementation is managing forces during the action.
An Entrepreneurial Activity based on strategic decision-making.	An Administrative Task based on strategic and operational decisions.
Emphasizes on effectiveness.	Emphasizes on efficiency.
Primarily an intellectual and rational process.	Primarily an operational process.
Requires co-ordination among few individuals at the top level.	Requires co-ordination among many individuals at the middle and lower levels.
Requires a great deal of initiative, logical skills, conceptual intuitive and analytical skills.	Requires specific motivational and leadership traits.
Strategic Formulation precedes Strategy Implementation.	Strategy Implementation follows Strategy Formulation.

ICAI · P6 · Sep 2025 exam · question p. 26 · answer p. 27-28

735 **EXAM** **May 2024** Q6(b) **5 marks**

Same question, different ICAI answer: #745 RTP Jan 2026

Explain how organizations can effectively manage strategic uncertainties in a rapidly changing business environment.

ICAI'S ANSWER

In managing strategic uncertainties in a rapidly changing business environment, organizations need to adopt proactive strategies to navigate unpredictability effectively. Here are several key approaches: Flexibility: Organizations should build flexibility into their strategies to enable quick adaptation to change in the environment. Diversification: Diversifying the organization's product portfolio, markets, and customer base can help reduce the impact of strategic uncertainty.

Monitoring and Scenario Planning: Regularly monitoring key indicators of change and conducting scenario planning exercises can help organizations anticipate and prepare for different future scenarios. Building Resilience: Investing in building internal resilience is essential for weathering uncertainty. This includes strengthening operational processes, increasing financial flexibility, and improving risk management capabilities. Collaboration and Partnerships: Collaborating with other organizations, suppliers, customers, and partners can provide access to additional resources, expertise, and market opportunities. Strategic partnerships enable organizations to pool resources, share risk, and leverage each other's strengths to navigate uncertainty more effectively.

ICAI · P6 · May 2024 exam · question p. 29-30 · answer p. 30-31

736 EXAM **Old P7 May 2023** Q9(a) old scheme

Strategic planning is an important constituent of strategic management. In the light of the same explain the meaning of strategic planning. Also outline the characteristics of strategic planning.

ICAI'S ANSWER

Yes, strategic planning is an important constituent of strategic management. It is a process of determining organizational strategy. It gives directions to the organization and involves making decisions and allocating resources to pursue the strategy. It is the formal blueprint of future course of an organization.

Strategic plans are made by the senior management for the entire organization after taking into account the organization strength and weaknesses in the light of opportunities and threats in the external environment. They involve acquisition and allocation of resources for the attainment of organizational objectives.

Strategic planning deals with one or more of three key questions:

- What are we doing?
- For whom do we do it?
- How to improve and excel?

Following are the characteristics of strategic planning:

- Strategic planning shapes the organisation and its resources.
- Strategic planning assesses the impact of environmental variables.
- Strategic planning takes a holistic view of the organisation.
- Strategic planning develops overall objectives and strategies.
- Strategic planning is concerned with the long-term success of the organisation.
- Strategic planning is a senior management responsibility.

ICAI · Old P7 · May 2023 exam · question p. 12-15 · answer p. 13-14

737 EXAM **Old P7 May 2022** Q8(a) 5 marks old scheme

XYZ Ltd. is an automobile company that offers diversified products for all customer segments. Due to COVID-19, the changes took place in the economy forced the company to change its strategy. Being the CEO of the company, what stages will you follow for developing and executing the new strategy?

ICAI'S ANSWER

Today, India has become the outsourcing hub for many of the global automobile manufacturers. The auto industry comprises of four segments which are passenger vehicles, commercial vehicles, three wheelers and two wheelers. XYZ Ltd. is an automobile company that offers diversified products for all customer segments. The company has already in existence, so it has its own vision, mission and a strategy to execute for achieving its vision. While developing and executing the strategy, XYZ Ltd. might have followed the five-stage managerial process as given below:

1. Developing a strategic vision.

2. Environmental and organisational analysis.

3. Formulation of strategy.

4. Implementing and executing the strategy.

5. Strategic evaluation and control.

But due to COVID-19, the automobile industry has faced the lockdown situation. Changes in the economy forced the XYZ Ltd. to change its existing strategy and prepare the new strategy. The changes in the environmental forces due to COVID-19 requires XYZ Ltd. to make modifications in their existing strategies and bring out new strategies. For initiating strategic change, three steps can be followed by the CEO of the company which are as under:

(i) Recognize the need for change: This is the first step to diagnose facets of the corporate culture that are strategy supportive or not. This has already identified by the XYZ Ltd.

(ii) Create a shared vision to manage change: Objectives and vision of both individuals and organization should coincide. The CEO of XYZ Ltd. need to constantly and consistently communicate the vision not only to inform but also to overcome resistance.

(iii) Institutionalize the change: Creating and sustaining a different attitude towards change is essential to ensure that the XYZ Ltd. does not slip back into old ways of thinking or doing things. All these changes should be set up as a practice to be followed by the company and be able to transfer from one level to another as a well settled practice.

ICAI · Old P7 · May 2022 exam · question p. 12-13 · answer p. 12-13

738 **EXAM** **Old P7 May 2022** Q9(a) **5 marks** old scheme

"Strategy formulation and strategy implementation are intertwined and linked with each other." Elucidate this statement with suitable arguments.

ICAI'S ANSWER

The strategy formulation and strategy implementation are intertwined and linked with each other. Two types of linkages exist between these two phases of strategic management. The forward linkages deal with the impact of strategy formulation on strategy implementation while the backward linkages are concerned with the impact in the opposite direction.

Forward Linkages: The different elements in strategy formulation starting with objective setting through environmental and organizational appraisal, strategic alternatives and choice to the strategic plan determine the course that an organization adopts for itself. With the formulation of new strategies, or reformulation of existing strategies, many changes have to be affected within the organization. For instance, the organizational structure has to undergo a change in the light of the requirements of the modified or new strategy. The style of leadership has to be adapted to the needs

of the modified or new strategies. In this way, the formulation of strategies has forward linkages with their implementation.

Backward Linkages: Just as implementation is determined by the formulation of strategies, the formulation process is also affected by factors related with implementation. While dealing with strategic choice, remember that past strategic actions also determine the choice of strategy. Organizations tend to adopt those strategies which can be implemented with the help of the present structure of resources combined with some additional efforts. Such incremental changes, over a period of time, take the organization from where it is to where it wishes to be.

It is to be noted that while strategy formulation is primarily an entrepreneurial activity, based on strategic decision-making, the implementation of strategy is mainly an administrative task based on strategic as well as operational decision-making.

ICAI · Old P7 · May 2022 exam · question p. 14 · answer p. 14

739 EXAM **Old P7 Dec 2021** Q7(b) 5 marks old scheme

What are the important aspects of the process of implementation of strategy?

ICAI'S ANSWER

Implementation and execution are an operations-oriented activity aimed at shaping the performance of core business activities in a strategy-supportive manner. To convert strategic plans into actions and results, a manager must be able to direct organizational change, motivate people, build and strengthen company's competencies and competitive capabilities, create a strategy-supportive work culture, and meet or beat performance targets. Good strategy execution involves creating strong "fits" between strategy and organizational capabilities, structure, climate & culture.

In most situations, strategy-execution process includes the following principal aspects:

1. Developing budgets that steer ample resources into those activities critical to strategic success.

2. Staffing the organization with the needed skills and expertise, consciously building and strengthening strategy-supportive competencies and competitive capabilities and organizing the work effort.

3. Ensuring that policies and operating procedures facilitate rather than impede effective execution.

4. Using the best-known practices to perform core business activities and pushing for continuous improvement.

5. Installing information and operating systems that enable company personnel to better carry out their strategic roles day in and day out.

6. Motivating people to pursue the target objectives energetically.

7. Creating a company culture and work climate conducive to successful strategy implementation and execution.

Exerting the internal leadership needed to drive implementation forward and keep improving strategy execution. When the organization encounters stumbling blocks or weaknesses, management has to see that they are addressed and rectified quickly.

ICAI · Old P7 · Dec 2021 exam · question p. 11 · answer p. 12-13

740 EXAM **Old P7 Jan 2021** Q7(a) 5 marks old scheme

Also asked in Old P7 MTP Dec 2021 S-I Q4(a)

Strategy execution is an operations-oriented activity which involves a good fit between strategy and organizational capabilities, structure, climate & culture. Enumerate the principal aspects of strategy execution process which are used in most of the situations.

ICAI'S ANSWER

Implementation and execution are an operations-oriented activity aimed at shaping the performance of core business activities in a strategy-supportive manner. To convert strategic plans into actions and results, a manager must be able to direct organizational change, motivate people, build and strengthen company's competencies and competitive capabilities, create a strategy-supportive work culture, and meet or beat performance targets. Good strategy execution involves creating strong "fits" between strategy and organizational capabilities, structure, climate & culture.

In most situations, strategy-execution process includes the following principal aspects:

1. Developing budgets that steer ample resources into those activities critical to strategic success.

2. Staffing the organization with the needed skills and expertise, consciously building and strengthening strategy-supportive competencies and competitive capabilities and organizing the work effort.

3. Ensuring that policies and operating procedures facilitate rather than impede effective execution.

4. Using the best-known practices to perform core business activities and pushing for continuous improvement.

5. Installing information and operating systems that enable company personnel to better carry out their strategic roles day in and day out.

6. Motivating people to pursue the target objectives energetically.

7. Creating a company culture and work climate conducive to successful strategy implementation and execution.

8. Exerting the internal leadership needed to drive implementation forward and keep improving strategy execution. When the organization encounters stumbling blocks or weaknesses, management has to see that they are addressed and rectified quickly.

ICAI · Old P7 · Jan 2021 exam · question p. 13 · answer p. 13-14

741 EXAM **Old P7 May 2019** Q10(b) OR 3 marks old scheme

Also asked in Old P7 MTP May 2023 S-I Q5(a)

Distinguish between Strategy Formulation and Strategy Implementation.

ICAI'S ANSWER

Although inextricably linked, strategy implementation is fundamentally different from strategy

formulation in the following ways:

Strategy Formulation	Strategy Implementation
Strategy formulation focuses on effectiveness.	Strategy implementation focuses on efficiency.
Strategy formulation is primarily an intellectual process.	Strategy implementation is primarily an operational process.
Strategy formulation requires conceptual intuitive and analytical skills.	Strategy implementation requires motivation and leadership skills.
Strategy formulation requires coordination among the executives at the top level.	Strategy implementation requires coordination among the executives at the middle and lower levels.

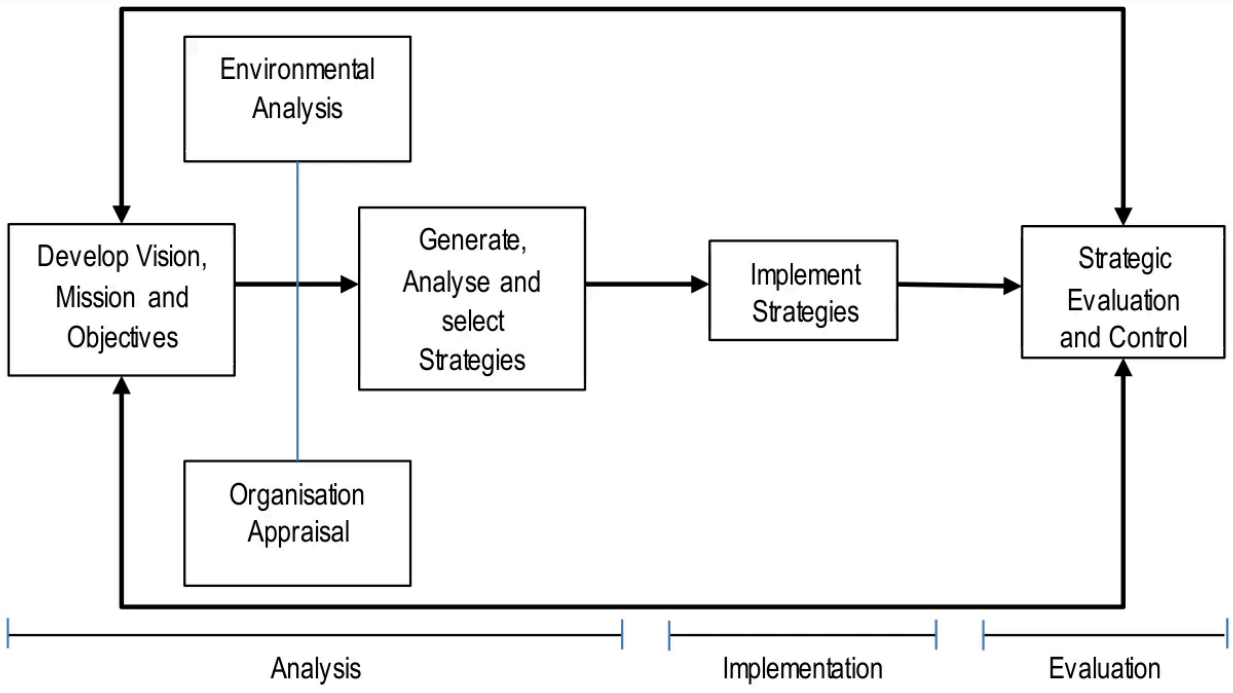
ICAI · Old P7 · May 2019 exam · question p. 14 · answer p. 16

742 EXAM **Old P7 Nov 2018** Q7(b) 2 marks old scheme

Present a diagrammatic representation of a Strategic Management model.

ICAI'S ANSWER

Strategic Management Model



ICAI · Old P7 · Nov 2018 exam · question p. 11 · answer p. 11

743 EXAM **Old P7 May 2018** Q10(b) 5 marks old scheme

Also asked in RTP Sep 2025 Q16 · MTP Sep 2024 S-II Q4(a) · Old P7 MTP Nov 2023 S-II Q3(b) · Old P7 MTP Nov 2022 S-I Q4(a)

Describe the principal aspects of strategy-execution process, which are included in most situations.

ICAI'S ANSWER

Implementation or execution is an operations-oriented, activity aimed at shaping the performance of core business activities in a strategy-supportive manner. In most situations, strategy-execution

process includes the following principal aspects:

- Developing budgets that steer ample resources into those activities that are critical to strategic success.
- Staffing the organization with the needed skills and expertise, consciously building and strengthening strategy-supportive competencies and competitive capabilities, and organizing the work effort.
- Ensuring that policies and operating procedures facilitate rather than impede effective execution.
- Using the best-known practices to perform core business activities and pushing for continuous improvement.
- Installing information and operating systems that enable company personnel to better carry out their strategic roles day in and day out.
- Motivating people to pursue the target objectives energetically.
- Creating culture and climate conducive to successful strategy implementation and execution.
- Exerting the internal leadership needed to drive implementation forward and keep improving strategy execution.

ICAI · Old P7 · May 2018 exam · question p. 13 · answer p. 14

744 **RTP** **Sep 2026** Q16

Also asked in RTP May 2025 Q16

Distinguish between Strategic Planning and Operational Planning.

ICAI'S ANSWER

Strategic planning	Operational planning
Strategic planning shapes the organisation and its resources.	Operational planning deals with current deployment of resources.
Strategic planning assesses the impact of environmental variables.	Operational planning develops tactics rather than strategy.
Strategic planning takes a holistic view of the organisation.	Operational planning projects current operations into the future.
Strategic planning develops overall objectives and strategies.	Operational planning makes modifications to the business functions but not fundamental changes.
Strategic planning is concerned with the long-term success of the organisation.	Operational planning is concerned with the short-term success of the organisation.
Strategic planning is a senior management responsibility.	Operational planning is the responsibility of functional managers.

ICAI · P6 · RTP Sep 2026 · question p. 34 · answer p. 42

745 **RTP** **Jan 2026** Q16

Same question, different ICAI answer: #735 Exam May 2024

Explain how organizations can effectively manage strategic uncertainties in a rapidly changing business environment.

ICAI'S ANSWER

In managing strategic uncertainties in a rapidly changing business environment, organizations need to adopt proactive strategies to navigate unpredictability effectively. Following are the several key approaches: Flexibility: Organizations should build flexibility into their strategies to enable quick adaptation to change in the environment. Diversification: Diversifying the organization's product portfolio, markets, and customer base can help reduce the impact of strategic uncertainty. Monitoring and Scenario Planning: Regularly monitoring key indicators of change and conducting scenario planning exercises can help organizations anticipate and prepare for different future scenarios. Building Resilience: Investing in building internal resilience is essential for weathering uncertainty. This includes strengthening operational processes, increasing financial flexibility, and improving risk management capabilities. Collaboration and Partnerships: Collaborating with other organizations, suppliers, customers, and partners can provide access to additional resources, expertise, and market opportunities. Strategic partnerships enable organizations to pool resources, share risk, and leverage each other's strengths to navigate uncertainty more effectively.

ICAI · P6 · RTP Jan 2026 · question p. 32 · answer p. 42

746 **RTP** **Sep 2025** Q15

Same question, different ICAI answer: #758 MTP May 2026 S-II

Merako Appliances recently automated its assembly line to produce kitchen gadgets faster and at lower cost, improving operational efficiency. However, customer feedback shows that the new products don't meet market needs, leading to declining sales. This has sparked an internal debate on balancing efficiency (doing things right) with effectiveness (doing the right things). How should Merako balance efficiency and effectiveness to achieve sustainable success? Also, describe the four possible situations a business can face when comparing levels of efficiency and effectiveness.

ICAI'S ANSWER

Merako Appliances has improved operational efficiency by automating its assembly line. However, declining sales due to products not meeting customer needs indicate a lack of effectiveness. This highlights the importance of balancing doing things right (efficiency) with doing the right things (effectiveness). To achieve sustainable success, Merako must align its operations with customer preferences through sound strategy formulation (effectiveness), followed by efficient strategy implementation. Four Possible Situations Based on Efficiency and Effectiveness:

1. Efficient and Effective (Thrive): Ideal scenario. The firm does the right things and does them well. Merako should aim for this by aligning products with customer needs while maintaining efficiency.

2. Efficient but Ineffective (Die Slowly): Merako's current state. Operations are streamlined, but customer needs are unmet, risking decline without strategic correction.

3. Inefficient but Effective (Survive): Right strategy but poor execution. The firm may survive but must improve efficiency to sustain.

4. Inefficient and Ineffective (Die Quickly): Neither aligned with customer needs nor operationally sound. Leads to rapid failure unless overhauled.

Operational Management	Strategic Formulation: Effective	Strategic Formulation: Ineffective
Efficient	1 — Thrive	2 — Die Slowly
Inefficient	3 — Survive	4 — Die Quickly

Principal combinations of efficiency and effectiveness

Merako must integrate customer feedback into strategic planning and ensure both efficient execution and effective direction to gain long-term competitiveness.

ICAI · P6 · RTP Sep 2025 · question p. 34 · answer p. 41-42

747 RTP **Old P7 Nov 2023** Q22 old scheme

Also asked in Old P7 MTP Nov 2022 S-I Q3(b)

ABC Ltd. is a shoe manufacturing company. The strategic manager of ABC ltd. is Ms. Suman. Ms. Suman hired the best designers she could find online for her ethnic shoe brand but later she found that the designers were better at leather designs. Identify and explain linkage in the given situation as she had to change her strategy basis the actual resources she had?

ICAI'S ANSWER

The strategy formulation and strategy implementation are intertwined and linked with each other. Two types of linkages exist between these two phases of strategic management. The forward linkages deal with the impact of strategy formulation on strategy implementation while the backward linkages are concerned with the impact in the opposite direction.

In the given situation Ms. Suman has to follow Backward Linkages as she had to change her strategy basis the actual resources she had. While dealing with strategic choice, remember that past strategic actions also determine the choice of strategy. Organizations tend to adopt those strategies which can be implemented with the help of the present structure of resources combined with some additional efforts. Such incremental changes, over a period of time, take the organization from where it is to where it wishes to be.

ICAI · Old P7 · RTP Nov 2023 · question p. 17 · answer p. 23

748 RTP **Old P7 May 2022** Q11 old scheme

Also asked in MTP Sep 2025 S-I Q3(b) · MTP Jan 2025 S-I Q4(b) OR · Old P7 MTP Nov 2023 S-II Q6(b)

Differentiation between Strategic Planning and Operational Planning.

ICAI'S ANSWER

Strategic planning	Operational planning
Strategic planning shapes the organisation and its resources.	Operational planning deals with current deployment of resources.
Strategic planning assesses the impact of environmental variables.	Operational planning develops tactics rather than strategy.
Strategic planning takes a holistic view of the organisation.	Operational planning projects current operations into the future.

Strategic planning	Operational planning
Strategic planning develops overall objectives and strategies.	Operational planning makes modifications to the business functions but not fundamental changes.
Strategic planning is concerned with the long-term success of the organisation.	Operational planning is concerned with the short-term success of the organisation.
Strategic planning is a senior management responsibility.	Operational planning is the responsibility of functional managers.

ICAI · Old P7 · RTP May 2022 · question p. 18 · answer p. 21

749 RTP **Old P7 Dec 2021** Q12 old scheme

Explain the principal aspects of strategy-execution process.

ICAI'S ANSWER

In most situations, strategy-execution process includes the following principal aspects:

- Developing budgets that steer ample resources into those activities critical to strategic success.
- Staffing the organisation with the needed skills and expertise, consciously building and strengthening strategy-supportive competencies and competitive capabilities, and organizing the work effort.
- Ensuring that policies and operating procedures facilitate rather than impede effective execution.
- Using the best-known practices to perform core business activities and pushing for continuous improvement.
- Installing information and operating systems that enable company personnel to better carry out their strategic roles day in and day out.
- Motivating people to pursue the target objectives energetically.
- Creating a company culture and work climate conducive to successful strategy implementation and execution.
- Exerting the internal leadership needed to drive implementation forward and keep improving strategy execution. When the organisation encounters stumbling blocks or weaknesses, management has to see that they are addressed and rectified quickly.

Good strategy execution involves creating strong "fits" between strategy and organisational capabilities, between strategy and the reward structure, between strategy and internal operating systems, and between strategy and the organisation's work climate and culture.

ICAI · Old P7 · RTP Dec 2021 · question p. 17 · answer p. 21-22

750 RTP **Old P7 Nov 2020** Q4 MCQ old scheme

GetWellSoon Limited is a health provider and has only large edge of town hospitals. It is considering setting-up additional small city centre clinics capable of treating less-serious day cases. Which of the following will fall under "Strategy Implementation"?

(1) Acquiring and fitting out clinics

(2) Hiring and/or transferring staff

(3) Publicity, so that patients know where and when to go

(4) Liaison with general practitioners and the main hospitals

A Only (d)

B (b) & (d)

C (a), (b) & (d)

D (a), (b), (c) & (d)

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP Nov 2020 · question p. 16

751 RTP **Old P7 May 2020** Q1(iii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

In which phase of strategic management are annual objectives especially important?

A Formulation

B Control

C Evaluation

D Implementation

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2020 · question p. 11

752 RTP **Old P7 May 2020** Q1(viii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

After an earnest attempt to bring in a strategic change in your organization, you the operational head of XYZ ltd, succeeded but still your organization couldn't achieve the desired competitive position in the market. Out of the following what could be the reason?

A Strategy Formulation

B Strategy Model

C Strategy Implementation

D Strategy Decision

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP May 2020 · question p. 11-12

753 RTP **Old P7 Nov 2019** Q7 old scheme

With the help of a model explain strategic managem ent process.

ICAI'S ANSWER

The strategic management process can best be studied and applied using a model. Identifying an organization's vision, mission, goals and objectives, is the starting point for strategic management process. The strategic management process is dynamic and continuous. A change in any one of the

major components in the model can necessitate a change in any or all of the other components. Therefore, strategy formulation, implementation, and evaluation activities should be performed on a continual basis, not just at the end of the year or semi-annually.

Formulating, implementing, and evaluating strategies are the major components of the strategic management that are represented in the following model:

Figure: Strategic Management Model

Environmental Analysis			
Develop Vision, Mission and Objectives	Generate, Analyse and select Strategies	Implement Strategies	Strategic Evaluation and Control
Organisation Appraisal			
Analysis		Implementation	Evaluation

The strategic management process is not as cleanly divided and neatly performed in practice. Strategists do not go through the process in lockstep fashion. Generally, there is give-and-take among hierarchical levels of an organization. Many organizations conduct formal meetings semi-annually to discuss and update the firm's vision/mission, opportunities/threats, strengths/weaknesses, strategies, objectives, policies, and performance. Creativity from participants is encouraged in meeting. Good communication and feedback are needed throughout the strategic management process.

ICAI · Old P7 · RTP Nov 2019 · question p. 14 · answer p. 18-19

754 RTP **Old P7 May 2019** Q16 old scheme

Same question, different ICAI answer: #772 Old P7 MTP May 2019 S-II

HQ is a service company? Two years back the company hired a reputed management consultant to formulate its strategy. The consultant recommended an aggressive expansion plan. Now in an internal review meeting the company finds that many of the suggestions are not even fully considered.

Which part of strategic management process is missing in HQ?

ICAI'S ANSWER

Strategy implementation is missing in HQ. Implementation is the managerial exercise of putting a chosen strategy into action. It deals with the managerial exercise of supervising the ongoing pursuit of strategy, making it work, improving the competence with which it is executed and showing measurable progress in ac hieving the targeted results.

Strategic implementation is concerned with translating a strategic decision into action, which presupposes that the decision itself (i.e., the strategic choice) was made with some thought being given to feasibility and acceptability. The allocation of resources to new courses of action will need to be undertaken, and there may be a need for adapting the organization's structure to handle new activities as well as training personnel and devising appropriate systems.

It is crucial to realize the difference between the formulation and implementation because they both require very different skills. Also, a company will be successful only when the strategy formulation is sound and implementation is excellent.

ICAI · Old P7 · RTP May 2019 · question p. 13 · answer p. 21

755 RTP **Old P7 Nov 2018** Q9 old scheme

Also asked in Old P7 MTP May 2019 S-I Q4(a)

To convert strategic plans into actions and results, a manager must be able to direct organizational change, motivate people, build and strengthen company competencies and competitive capabilities, create a strategy-supportive work climate, and meet or beat performance targets.

Explain the principal aspects of strategy-execution process.

ICAI'S ANSWER

In most situations, strategy-execution process includes the following principal aspects:

- Developing budgets that steer ample resources into those activities critical to strategic success.
- Staffing the organization with the needed skills and expertise, consciously building and strengthening strategy-supportive competencies and competitive capabilities, and organizing the work effort.
- Ensuring that policies and operating procedures facilitate rather than impede effective execution.
- Using the best-known practices to perform core business activities and pushing for continuous improvement.
- Installing information and operating systems that enable company personnel to better carry out their strategic roles day in and day out.
- Motivating people to pursue the target objectives energetically.
- Creating a company culture and work climate conducive to successful strategy implementation and execution.
- Exerting the internal leadership needed to drive implementation forward and keep improving strategy execution. When the organization encounters stumbling blocks or weaknesses, management has to see that they are addressed and rectified quickly.

Good strategy execution involves creating strong "fits" between strategy and organizational capabilities, between strategy and the reward structure, between strategy and internal operating systems, and between strategy and the organization's work climate and culture.

ICAI · Old P7 · RTP Nov 2018 · question p. 13 · answer p. 21

756 RTP **Old P7 May 2018** Q1(c) old scheme

Briefly answer the following questions: How a company can deal with strategic uncertainty?

ICAI'S ANSWER

Strategic uncertainty denotes the uncertainty that has crucial implications for the organisation. An approach to deal with strategic uncertainty is by grouping them into logical clusters or themes. It is then useful to assess the importance of each cluster in order to set priorities with respect to Information gathering and analysis.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 16

757 RTP **Old P7 May 2018** Q2(c) old scheme

State with reasons which of the following statements are correct/incorrect: Information gathering and deep analysis can eliminate uncertainty.

ICAI'S ANSWER

Incorrect: Strategic uncertainty is often represented by a future trend or event that has inherent unpredictability. Information gathering and additional analysis is not able to eliminate uncertainty.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 17

758 MTP **May 2026 S-II** Q4(b) OR 5 marks

Same question, different ICAI answer: #746 RTP Sep 2025

Merako Appliances recently automated its assembly line to produce kitchen gadgets faster and at lower cost, improving operational efficiency. However, customer feedback shows that the new products don't meet market needs, leading to declining sales. This has sparked an internal debate on balancing efficiency (doing things right) with effectiveness (doing the right things). How should Merako balance efficiency and effectiveness to achieve sustainable success? Also, describe the four possible situations a business can face when comparing levels of efficiency and effectiveness.

ICAI'S ANSWER

Merako Appliances has improved operational efficiency by automating its assembly line. However, declining sales due to products not meeting customer needs indicate a lack of effectiveness. This highlights the importance of balancing doing things right (efficiency) with doing the right things (effectiveness).

To achieve sustainable success, Merako must align its operations with customer preferences through sound strategy formulation (effectiveness), followed by efficient strategy implementation.

Four Possible Situations Based on Efficiency and Effectiveness:

1. **Efficient and Effective (Thrive):** Ideal scenario. The firm does the right things and does them well. Merako should aim for this by aligning products with customer needs while maintaining efficiency.

2. **Efficient but Ineffective (Die Slowly):** Merako's current state. Operations are streamlined, but customer needs are unmet, risking decline without strategic correction.

3. **Inefficient but Effective (Survive):** Right strategy but poor execution. The firm may survive but must improve efficiency to sustain.

4. **Inefficient and Ineffective (Die Quickly):** Neither aligned with customer needs nor operationally sound. Leads to rapid failure unless overhauled.

Operational Management / Strategic Formulation	Effective	Ineffective
Efficient	1 — Thrive	2 — Die Slowly
Inefficient	3 — Survive	4 — Die Quickly

Principal combinations of efficiency and effectiveness

Merako must integrate customer feedback into strategic planning and ensure both efficient execution and effective direction to gain long-term competitiveness.

ICAI · P6 · MTP May 2026 · Series II · question p. 14 · answer p. 17-18

759 MTP **May 2025 S-II** Q4(a) 5 marks

Differentiate between Strategy Formulation and Strategy Implementation.

ICAI'S ANSWER

Although inextricably linked, strategy implementation is fundamentally different from strategy formulation. Summarized are the key distinctions between strategy formulation and strategy

implementation:

Strategy Formulation Vs. Strategy Implementation

Strategy Formulation	Strategy Implementation
Strategy Formulation includes planning and decision-making involved in developing organization's strategic goals and plans.	Strategy Implementation involves all those means related to executing strategic plans.
In short, Strategy Formulation is placing the forces before the action.	In short, Strategy Implementation is managing forces during the action.
An entrepreneurial activity based on strategic decision-making.	An administrative task based on strategic and operational decisions.
Emphasizes on effectiveness.	Emphasizes on efficiency.
Primarily an intellectual and rational process.	Primarily an operational process.
Requires co-ordination among few individuals at the top level.	Requires co-ordination among many individuals at the middle and lower levels.
Requires a great deal of initiative, logical skills, conceptual intuitive and analytical skills.	Requires specific motivational and leadership traits.
Strategic Formulation precedes Strategy Implementation.	Strategy Implementation follows Strategy Formulation.

ICAI · P6 · MTP May 2025 · Series II · question p. 14 · answer p. 23

760 MTP **Jan 2025 S-II** Q1(B)(i) 2 marks MCQ

Harish, a middle manager, is confused about the difference between flexibility and resilience while working around an uncertain situation in the organization. Can you help find the right difference between the two?

A Flexibility is about adapting to new things quickly, while resilience is about holding on to the current position of the things for the short-term as the organisation is confident of its efficiencies.

B Flexibility is a subset of resilience, and to be flexible means to be resilient.

C Flexibility is the opposite of resilience, where, if the organisation is flexible, it changes and if it is resilient it doesn't change at all.

D Both are the same.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · MTP Jan 2025 · Series II · question p. 10

761 MTP **May 2024 S-II** Q3(b) 5 marks

Explain the concept of forward and backward linkages between strategy formulation and implementation in strategic management, using relevant examples. How do these linkages impact the overall strategic decision-making process of an organization?

ICAI'S ANSWER

The concept of forward and backward linkages between strategy formulation and implementation in strategic management highlights the interconnected nature of these two phases and their impact on the overall strategic decision-making process of an organization.

Forward Linkages: Forward linkages refer to the impact of strategy formulation on strategy implementation. When an organization formulates a new strategy or revises an existing one, it sets the direction for the organization's future actions. For example, if a company decides to expand its product line to target a new market segment, this decision will require changes in the organization's structure, resources allocation, and possibly its leadership style. These changes are necessary to align the organization's operations with the new strategic direction. Thus, the formulation of strategies has forward linkages with their implementation, as it sets the stage for how the strategy will be executed.

Backward Linkages: Backward linkages, on the other hand, refer to the impact of implementation on strategy formulation. As an organization implements its strategies, it gains valuable insights and feedback from the implementation process. This feedback can influence future strategic decisions. For example, if a company faces unexpected challenges or discovers new opportunities during the implementation of a strategy, it may need to reevaluate its strategic choices. Similarly, past strategic actions and their outcomes can also influence the formulation of future strategies. Over time, these incremental changes in strategy and implementation take the organization from its current state to where it aims to be, reflecting the dynamic nature of strategic management.

In conclusion, the forward and backward linkages between strategy formulation and implementation highlight the iterative and interconnected nature of strategic management. By understanding and leveraging these linkages, organizations can enhance their strategic decision-making process and improve their overall performance.

ICAI · P6 · MTP May 2024 · Series II · question p. 12 · answer p. 16-17

762 MTP **Old P7 May 2023 S-I** Q1(C) 2 marks MCQ old scheme

Also asked in Old P7 MTP Nov 2022 S-II Q1(B)

After an earnest attempt to bring in a strategic change in your organization, you the operational head of XYZ ltd, succeeded but still your organization couldn't achieve the desired competitive position in the market. Out of the following what could be the reason?

A Strategy Formulation

B Strategy Model

C Strategy Implementation

D Strategy Decision

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2023 · Series I · question p. 7

763 MTP **Old P7 Nov 2022 S-II** Q1(E) 1 mark MCQ old scheme

Also asked in Old P7 MTP May 2022 S-II Q1(E) · Old P7 MTP Dec 2021 S-II Q1(E)

When there is impact of strategy implementation on strategy formulation it can be referred as?

A Backward Linkages

B Forward Linkages

C Vertical Linkages

D Horizontal Linkages

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Nov 2022 · Series II · question p. 8

764 MTP **Old P7 May 2022 S-I** Q6(a) 5 marks old scheme

Distinguish between the following:

Strategic Planning and Operational Planning.

ICAI'S ANSWER

Strategic planning	Operational planning
Strategic planning shapes the organisation and its resources.	Operational planning deals with current deployment of resources.
Strategic planning assesses the impact of environmental variables.	Operational planning develops tactics rather than strategy.
Strategic planning takes a holistic view of the organisation.	Operational planning projects current operations into the future.
Strategic planning develops overall objectives and strategies.	Operational planning makes modifications to the business functions but not fundamental changes.
Strategic planning is concerned with the long-term success of the organisation.	Operational planning is concerned with the short-term success of the organisation.
Strategic planning is a senior management responsibility.	Operational planning is the responsibility of functional managers.

ICAI · Old P7 · MTP May 2022 · Series I · question p. 9 · answer p. 9

765 MTP **Old P7 Dec 2021 S-I** Q1(C) 2 marks MCQ old scheme

Shreya, the owner of Kalakaari boutiques, wanted to reduce uncertainty of their business strategy for which she gathered a lot of information from peers, groups, industry reports and experts. But it did not give her comfort to take up new strategies. What tool can help her in this regard?

A Risk Analysis

B BCG Analysis

C ADL Matrix

D Scenario Analysis

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Dec 2021 · Series I · question p. 6

766 MTP **Old P7 Dec 2021 S-I** Q6(b) 5 marks old scheme

Distinguish between the following:

Strategy Formulation and Strategy Implementation.

ICAI'S ANSWER

Although inextricably linked, strategy implementation is fundamentally different from strategy formulation in the following ways:

Strategy Formulation	Strategy Implementation
• Strategy formulation focuses on effectiveness.	• Strategy implementation focuses on efficiency.
• Strategy formulation is primarily an intellectual process.	• Strategy implementation is primarily an operational process.
• Strategy formulation requires conceptual intuitive and analytical skills.	• Strategy implementation requires motivation and leadership skills.
• Strategy formulation requires coordination among the executives at the top level.	• Strategy implementation requires coordination among the executives at the middle and lower levels.

ICAI · Old P7 · MTP Dec 2021 · Series I · question p. 7 · answer p. 10

767 MTP **Old P7 Jul 2021 S-I** Q1(D) 2 marks MCQ old scheme

Developing vision and mission, identifying an organisation's external opportunities and threats, and determining internal strengths and weaknesses are:

A SBU planning

B Strategy formulation

C Strategy implementation

D Business process reengineering

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 6

768 MTP **Old P7 Jul 2021 S-I** Q6(b) 5 marks old scheme

Distinguish between the following:

Distinguish between Strategy Formulation and Strategy Implementation.

ICAI'S ANSWER

Although inextricably linked, strategy implementation is fundamentally different from strategy

formulation in the following ways:

Strategy Formulation	Strategy Implementation
• Strategy formulation focuses on effectiveness.	• Strategy implementation focuses on efficiency.
• Strategy formulation is primarily an intellectual process.	• Strategy implementation is primarily an operational process.
• Strategy formulation requires conceptual intuitive and analytical skills.	• Strategy implementation requires motivation and leadership skills.
• Strategy formulation requires coordination among the executives at the top level.	• Strategy implementation requires coordination among the executives at the middle and lower levels.

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 8 · answer p. 9

769 MTP **Old P7 Jul 2021 S-II** Q1(E) 1 mark MCQ old scheme

Also asked in Old P7 MTP Nov 2019 S-I Q1(xi)

What is the first step in the comprehensive strategic-management model?

A Developing vision and mission statements

B Performing external audits

C Measuring and evaluating performance

D Establishing long-term objectives

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 7

770 MTP **Old P7 May 2020 S-I** Q1(F) 1 mark MCQ old scheme

Gennex industries are analyzing the technological forces for the firm which may provide it opportunities and threats for which of the following stage/s of strategic management process?

A Strategy formulation

B Strategy implementation

C Strategy evaluation

D All of the above

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2020 · Series I · question p. 7

771 MTP **Old P7 May 2019 S-I** Q1(iv) 1 mark MCQ old scheme

During what stage of strategic management are a firm's specific internal strengths and weaknesses determined?

A Formulation

B Implementation

C Evaluation

D Feedback

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2019 · Series I · question p. 4

772 MTP **Old P7 May 2019 S-II** Q6(b) 5 marks old scheme

Same question, different ICAI answer: #754 Old P7 RTP May 2019

HQ is a service company? Two years back the company hired a reputed management consultant to formulate its strategy. The consultant recommended an aggressive expansion plan. Now in an internal review meeting the company finds that many of the suggestions are not even fully considered.

Which part of strategic management process is missing in HQ?

ICAI'S ANSWER

Strategy implementation is missing in HQ. It is concerned with the managerial exercise of putting a chosen strategy into action. It deals with the managerial exercise of supervising the ongoing pursuit of strategy, making it work, improving the competence with which it is executed and showing measurable progress in achieving the targeted results.

Strategic implementation is concerned with translating a strategic decision into action, which presupposes that the decision itself (i.e., the strategic choice) was made with some thought being given to feasibility and acceptability. The allocation of resources to new courses of action will need to be undertaken, and there may be a need for adapting the organization's structure to handle new activities as well as training personnel and devising appropriate systems.

It is crucial to realize the difference between the formulation and implementation because they both require very different skills. Also, a company will be successful only when the strategy formulation is sound and implementation is excellent.

ICAI · Old P7 · MTP May 2019 · Series II · question p. 7 · answer p. 9

773 MTP **Old P7 Nov 2018 S-I** Q6(b) 3 marks old scheme

How can a company deal with strategic uncertainty?

ICAI'S ANSWER

Strategic uncertainty denotes the uncertainty that has crucial implications for the organisation. A typical external analysis will emerge with dozens of strategic uncertainties. To be manageable, they need to be grouped into logical clusters or themes. It is then useful to assess the importance of each cluster in order to set priorities with respect to Information gathering and analysis.

ICAI · Old P7 · MTP Nov 2018 · Series I · question p. 2 · answer p. 13

5.2 Strategic change and digital transformation

30 questions · asked in 30 ICAI documents · 5 exam papers

774 EXAM **Sep 2026** Q8(b) 5 marks

For any organization undergoing a digital transition, change management is crucial. Define what digital transformation enables an organization to do, and define the process of change management itself. Furthermore, enumerate the five specific ways a properly implemented change management strategy can help an organization, and explain why change management gains more importance in current times.

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P6 · Sep 2026 exam · question p. 22

775 EXAM **May 2026** Q5(a) 5 marks

Eagle Manufacturing Ltd. has been facing declining productivity due to outdated working methods, rigid routines and workforce inefficiency leading to quality degradation and increasing customer complaints. To enhance operations, productivity, quality and work routines, the Board introduces new technologies and operating procedures to ensure continuous improvement and efficient workflow with operator feedback and performance evaluation. The management faces initial backlash from the employees to adopt these new techniques as they are a bit hesitant and scared of change. To cater to their concerns, the management introduces various awareness sessions, capacity building programs and exercises to handhold the operators during this transition while effectively communicating the need for change for future resilience and long-term benefits. Post these training sessions, the new techniques and procedures are gradually implemented in a phase-wise integration with constant support for seamless adoption by the employees in a moderated manner to accept. Finally, the management takes steps to stabilize these new work methods through revised policies, performance measures, and reward systems to ensure that employees do not revert to old practices. Identify the model being applied by Eagle Manufacturing Ltd. in the above case. Explain the different phases of the process for moving the organization from the present to the future. Is this a one-time Process/ application?

ICAI'S ANSWER

The model being applied by Eagle Manufacturing Ltd. is Kurt Lewin's Three Phase Model of Change comprising Unfreezing, Changing and Refreezing. It reflects strategic change undertaken to improve organizational efficiency, productivity and competitiveness. Phases of Kurt Lewin's Change Model

(a) Unfreezing the Situation: Unfreezing means making employees aware of the need for change and preparing them to accept it by breaking old attitudes, rigid routines and existing work practices. In the given case, employees initially resisted the new technologies and procedures. Therefore, management conducted awareness sessions, capacity building programmes and communication exercises to explain the need and long-term benefits of change.

(b) Changing to the New Situation: In this stage, new behaviour patterns, systems and procedures are introduced after employees recognize the need for change. In the given case, new technologies and operating procedures were gradually implemented through phase wise integration with continuous support, guidance and feedback mechanisms for employees.

(c) Refreezing: Refreezing occurs when the new behaviour becomes a permanent way of organizational life and employees do not revert to old practices. In the given case, revised policies,

performance measures and reward systems were introduced to stabilize the new work methods and institutionalise the changed practices successfully.

Is it a One-Time Process? No, it is not a one-time process. Change is a continuous and cyclical process due to dynamic business environment, technological changes and competition. Therefore, organizations continuously undergo the stages of unfreezing, changing and refreezing.

ICAI · P6 · May 2026 exam · question p. 24 · answer p. 24-26

776 EXAM **Sep 2024** MCQ 16 MCQ

The correct sequence of the stages as per Kurt Lewin's model of change is:

A Changing to the new situation, Unfreezing the situation and Refreezing

B Unfreezing the situation, Refreezing and Changing to the new situation

C Refreezing, Unfreezing the situation and Changing to the new situation

D Unfreezing the situation, Changing to the new situation and Refreezing

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · Sep 2024 exam · question p. 8

777 EXAM **Sep 2024** Q8(b) OR 5 marks

Same question, different ICAI answer: #789 MTP Sep 2026 S-I · #793 MTP Sep 2025 S-I · #795 MTP May 2025 S-I

Explain the pointers for navigating change during digital transformation.

ICAI'S ANSWER

Any organisation may find the work of digital transformation challenging and overwhelming. To ensure that a digital transition is effective, change management is essential. Here are some pointers for navigating change during the digital transformation:

1. Specify the digital transformation's aims and objectives: What is the intended outcome? What are the precise objectives that must be accomplished? It will be easier to make sure that everyone is on the same page and pursuing the same aims if everyone has a clear grasp of the goals.

2. Always, always, always communicate: It might be challenging for people to accept change and adjust to it. Ensure that you routinely and honestly discuss the objectives of the digital transformation and how they will affect stakeholders, including employees, clients, and other parties.

3. Be ready for resistance: Even when a change is for the better, it can be challenging for people to embrace it. Have a strategy in place for dealing with any resistance that may arise.

4. Implement changes gradually: Changes should ideally be implemented gradually rather than all at once. In order to avoid overwhelming individuals with too much change at once, this will give people time to become used to the new way of doing things.

5. Offer assistance and training: Workers will need guidance in the new procedures, software applications, etc.

In conclusion, effective completion of the massive project known as digital transformation depends on meticulous planning and change management. Digital transformation efforts are more likely to fail without change management. Organizations can successfully integrate a new digital system by

planning for and managing the changes that must take place. Any project involving digital transformation must include it.

ICAI · P6 · Sep 2024 exam · question p. 32 · answer p. 35

778 EXAM **Old P7 May 2023** Q10(a) old scheme

Same question, different ICAI answer: #794 MTP Sep 2025 S-II

Changes in environmental forces often require businesses to make modifications in their existing strategies. In view of the same explain the areas to be focused while considering concept of strategic change. Also explain the steps to initiate strategic change process.

ICAI'S ANSWER

The changes in the environmental forces often require businesses to make modifications in their existing strategies and bring out new strategies. Strategic change is a complex process that involves a corporate strategy focused on new markets, products, services and new ways of doing business.

For initiating strategic change, three steps can be identified as under:

(i) Recognize the need for change: The first step is to diagnose facets of the corporate culture that are strategy supportive or not. The idea is to determine where the lacuna lies and scope for change exists.

(ii) Create a shared vision to manage change: Objectives and vision of both individuals and organization should coincide. Senior managers need to constantly and consistently communicate the vision not only to inform but also to overcome resistance.

(iii) Institutionalize the change: Creating and sustaining a different attitude towards change is essential to ensure that the firm does not slip back into old ways of thinking or doing things. All these changes should be set up as a practice to be followed by the organization and be able to transfer from one level to another as a well settled practice.

ICAI · Old P7 · May 2023 exam · question p. 15 · answer p. 15

779 EXAM **Old P7 Nov 2018** Q12(a) 7 marks old scheme

Write a short note on strategic change and explain the process of strategic change.

ICAI'S ANSWER

The changes in the environmental forces often require businesses to make modifications in their existing strategies and bring out new strategies. Strategic change is a complex process that involves a corporate strategy focused on new markets, products, services and new ways of doing business.

Three steps for initiating strategic change are:

(i) Recognise the need for change – The first step is to diagnose the which facets of the present corporate culture are strategy supportive and which are not.

(ii) Create a shared vision to manage change – Objectives of both individuals and organisation should coincide. There should be no conflict between them. This is possible only if the management and the organisation members follow a shared vision.

(iii) Institutionalise the change – This is an action stage which requires the implementation of the changed strategy. Creating and sustaining a different attitude towards change is essential to ensure that the firm does not slip back into old ways of doing things.

Kurt Lewin proposed three stages of the change process for moving the organisation from the present to the future.

(i) Unfreezing the situation – The process of unfreezing makes the individuals or organisations aware of the necessity for change and prepares them for it. The change should not come as a surprise to the members of the organisation. Sudden and unannounced change would be socially destructive and morale lowering,

(ii) Changing to new situation – once unfreezing is complete and members of the organisation recognize the need for change, then their behaviour patterns need to be redefined as:

i. Compliance – enforcing reward and punishment strategy for good or bad behaviour

ii. Identification – members are psychologically impressed to identify themselves with some given role models whose behaviour they would like to adopt.

iii. Internalisation - involves some internal changing of the individual's thought process. They are given the freedom to learn and adopt new behaviour.

(iii) Refreezing – occurs when the new behaviour becomes a normal way of life. The new behaviour must replace the former behaviour completely for successful and permanent change. This can be achieved by continuously reinforcing the newly acquired behaviour.

Change process is not a one-time application but a continuous process due to dynamism and ever-changing environment.

ICAI · Old P7 · Nov 2018 exam · question p. 16 · answer p. 17-18

780 **RTP** **May 2026** Q15

FinEdge Services Ltd., a financial consulting firm, initiated a digital transformation programme to modernise its services. The management defined clear digital objectives, assessed existing manual processes and capability gaps, prepared a phased digital roadmap and implemented new technologies and work practices across all levels of the organization. Which concept of strategy implementation is reflected?

ICAI'S ANSWER

The situation reflects digital transformation supported by change management, an aspect of strategy implementation.

Digital transformation refers to the use of digital technologies to develop new or improved business processes, services or operating models. Such transformation requires planned organizational change, which is enabled through change management. Change management in the digital transition consists of four essential elements:

1. Defining the goals and objectives of the transformation

2. Assessing the current state of the organization and identifying gaps

3. Creating a roadmap for change that outlines the steps needed to reach the desired state

4. Implementing and managing the change at every level of the organization In the given case, FinEdge defined digital objectives, assessed manual processes and capability gaps, created a phased roadmap and implemented new technologies and practices across all levels. These actions correspond to all four elements of digital transformation change management. Hence, the concept reflected is digital transformation through change management in strategy implementation.

ICAI · P6 · RTP May 2026 · question p. 35 · answer p. 41-42

781 RTP **Jan 2026** Q15

BrightWave Solutions, a small and medium-sized company in the renewable energy sector, wants to adopt the latest digital technologies to improve its operational processes and product offerings. The company aims to gain a competitive edge in the rapidly evolving renewable energy market through digital transformation. BrightWave Solutions also seeks to manage continuous changes effectively while transforming its management practices and workflows. Identify the strategy required for successful digital transformation. Also, state the most preferred practices that the company should follow.

ICAI'S ANSWER

To enable successful digital transformation, the appropriate strategy for BrightWave Solutions is a Change Management Strategy. This strategy ensures that the organizational, procedural and cultural changes associated with adopting new digital technologies are effectively managed. Following are the five best practices for managing change in small and medium-sized businesses:

1. Begin at the top: Change should be initiated and driven by unified, focused leadership. A committed top management can create and promote a culture that inspires the organization to embrace change.

2. Ensure that the change is both necessary and desired: Before initiating digital transformation, decision-makers must understand its necessity and long-term impact. Without a proper strategy, introducing too much change too quickly can be counterproductive.

3. Reduce disruption: It is essential to minimize employee disruption during transformation. This can be done by:

- Communicating changes early.
- Equipping employees with tools and training.
- Empowering change agents like project managers.
- Involving IT teams proactively.
- Creating an environment conducive to change.

4. Encourage communication: Promote open and continuous two-way communication. This ensures that employees feel heard and involved and that concerns are addressed timely. Effective communication also promotes innovation and collaboration across departments.

5. Recognize that change is the norm, not the exception: Businesses must treat change as a continuous process, not a one-time project. Being change ready helps the organization to adapt, sustain performance and stay aligned with evolving customer expectations. By following these practices, BrightWave Solutions can successfully manage its digital transformation, improve operational efficiency, enhance product offerings and maintain a competitive edge in the renewable energy industry.

ICAI · P6 · RTP Jan 2026 · question p. 32 · answer p. 41-42

782 RTP **May 2024** Q16

Also asked in MTP May 2026 S-I Q4(b) OR

Why is change management crucial during digital transformation, and what are some key strategies for navigating change effectively?

ICAI'S ANSWER

Change management is essential during digital transformation to ensure the success of the process. Here are some key strategies to navigate change effectively:

- Specify the digital transformation's aims and objectives: Clearly defining the intended outcomes and objectives helps ensure everyone is aligned and working towards the same goals.
- Always communicate: Regular and transparent communication is crucial to help people understand the goals of digital transformation and how it will impact various stakeholders, including employees, clients, and other parties.
- Be ready for resistance: Change, even if beneficial, can be met with resistance. Having a strategy in place to address resistance is important for overcoming challenges and ensuring a smooth transition.
- Implement changes gradually: Instead of making all changes at once, gradual implementation allows individuals to adapt to new ways of doing things without feeling overwhelmed by too much change simultaneously.
- Offer assistance and training: Providing support, guidance, and training for employees is crucial as they navigate new procedures, software applications, and other aspects of digital transformation. In conclusion, meticulous planning and effective change management are vital for the successful completion of digital transformation projects. Without proper change management, these efforts are more likely to fail, and organizations can enhance the integration of new digital systems by anticipating and managing the necessary changes.

ICAI · P6 · RTP May 2024 · question p. 36 · answer p. 44

783 RTP **Old P7 May 2022** Q21 old scheme

Glassware Ltd. is about to go through a significant restructuring. The strategic change involves moving from a decentralized to a centralized structure. This will help Glassware avoid duplication of support activities and lower its costs.

The management have held the first staff briefing in which they went to great lengths to explain that the change was necessary to equip the company to face future competitive challenges. Identify and explain the current stage of Glassware Ltd. from the Lewin's three-stage model of change?

ICAI'S ANSWER

Glassware Ltd. is currently in the 'unfreezing' stage, where management is attempting to explain the need for change in an attempt to maximize buy-in by employees and reduce the amount of resistance.

Unfreezing the situation: The process of unfreezing simply makes the individuals aware of the necessity for change and prepares them for such a change. Lewin proposes that the changes should not come as a surprise to the members of the organization. Sudden and unannounced change would be socially destructive and morale lowering. The management must pave the way for the change by first "unfreezing the situation", so that members would be willing and ready to accept the change.

Unfreezing is the process of breaking down the old attitudes and behaviours, customs and traditions so that they start with a clean slate. This can be achieved by making announcements, holding meetings and promoting the new ideas throughout the organization.

ICAI · Old P7 · RTP May 2022 · question p. 19 · answer p. 26

784 RTP **Old P7 Dec 2021** Q21 old scheme

Connect Group was one of the leading makers of the mobile handsets till a few years ago and which went at the bottom of the heap. Connect Group didn't adapt to the current market trends which eventually lead to its downfall. Which would have helped Connect Group to change, adapt and survive? Explain the steps to initiate the change.

ICAI'S ANSWER

Connect Group has to do strategic change for its survival. The changes in the environmental forces often require businesses to make modifications in their existing strategies and bring out new strategies. Strategic change is a complex process that involves a corporate strategy focused on new markets, products, services and new ways of doing business. Unless companies embrace change, they are likely to be freeze and unless companies prepare to deal with sudden, unpredictable, discontinuous, and radical change, they are likely to be extinct.

Three steps for initiating strategic change are:

(i) Recognise the need for change – The first step is to diagnose the which facets of the present corporate culture are strategy supportive and which are not.

(ii) Create a shared vision to manage change – Objectives of both individuals and organisation should coincide. There should be no conflict between them. This is possible only if the management and the organisation members follow a shared vision.

(iii) Institutionalise the change – This is an action stage which requires the implementation of the changed strategy. Creating and sustaining a different attitude towards change is essential to ensure that the firm does not slip back into old ways of doing things.

ICAI · Old P7 · RTP Dec 2021 · question p. 18 · answer p. 25

785 RTP **Old P7 Nov 2020** Q22 old scheme

Discuss three methods for reassigning new patterns of behavior as proposed by H.C. Kellman.

ICAI'S ANSWER

H.C. Kellman has proposed three methods for reassigning new patterns of behaviour. These are compliance, identification and internalisation.

- Compliance: It is achieved by strictly enforcing the reward and punishment strategy for good or bad behaviour. Fear of punishment, actual punishment or actual reward seems to change behaviour for the better.
- Identification: Identification occurs when members are psychologically impressed upon to identify themselves with some given role models whose behaviour the y would like to adopt and try to become like them.
- Internalization: Internalization involves some internal changing of the individual's thought processes in order to adjust to a new environment. They have given freedom to learn and adopt new behaviour in order to succeed in the new set of circumstances.

ICAI · Old P7 · RTP Nov 2020 · question p. 19 · answer p. 25

786 RTP **Old P7 May 2020** Q1(xvi) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

You being the core strategist of your company, entrusted with bringing about strategic change in your company, how will you initiate "unfreezing of the situation"?

A Promoting new ideas throughout the organization

B Promoting compliance throughout the organization

C Promoting change in process throughout the organization

D None of the above

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP May 2020 · question p. 13-14

787 RTP **Old P7 May 2019** Q1(xvii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Which of the following is not a phase in Kurt Lewin's Model of Change?

A Changing.

B Deep freezing.

C Refreezing.

D Unfreezing.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP May 2019 · question p. 9-11

788 RTP **Old P7 May 2018** Q1(h) old scheme

Briefly answer the following questions: Define Refreezing in Kurt Lewin's change process

ICAI'S ANSWER

Kurt Lewin proposed three phases of the change process – Unfreezing, changing and then refreezing. Refreezing occurs when the new behaviour becomes a normal way of life. The new behaviour must replace the former behaviour completely for successful and permanent change to take place. It may be achieved through continuous reinforcement.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 16

789 MTP **Sep 2026 S-I** Q3(b) 5 marks

Also asked in MTP Jan 2026 S-II Q3(a)

Same question, different ICAI answer: #777 Exam Sep 2024 · #793 MTP Sep 2025 S-I · #795 MTP May 2025 S-I

Explain the pointers for navigating change during digital transformation

ICAI'S ANSWER

Any organisation may find the work of digital transformation challenging and overwhelming. To ensure that a digital transition is effective, change management is essential. Here are some pointers for navigating change during the digital transformation:

1. **Specify the digital transformation's aims and objectives:** What is the intended outcome? What are the precise objectives that must be accomplished? It will be easier to make sure that everyone is on the same page and pursuing the same aims if everyone has a clear grasp of the goals.

2. **Always, always, always communicate:** It might be challenging for people to accept change and adjust to it. Ensure that you routinely and honestly discuss the objectives of digital transformation and how they will affect stakeholders, including employees, clients, and other parties.

3. **Be ready for resistance:** Even when a change is for the better, it can be challenging for people to embrace it. Have a strategy in place for dealing with any resistance that may arise.

4. **Implement changes gradually:** Changes should ideally be implemented gradually rather than all at once. In order to avoid overwhelming individuals with too much change at once, this will give people time to become used to the new way of doing things.

5. **Offer assistance and training:** Workers will need guidance in the new procedures, software applications, etc.

In conclusion, effective completion of the massive project known as digital transformation depends on meticulous planning and change management. Digital transformation efforts are more likely to fail without change management. Organizations can successfully integrate a new digital system by planning for and managing the changes that must take place. Any project involving digital transformation must include it.

ICAI · P6 · MTP Sep 2026 · Series I · question p. 13 · answer p. 19-20

790 **MTP** **Sep 2026 S-II** **Q1(b)** **5 marks**

In addition to new market opportunities and change in customer preferences, as a known fact, technology is also changing very fast. In view of the same, 'Twaran', having a small and mid-sized business, wants to use latest digital technologies for improved procedures and products. The primary aim of the firm is to have a competitive edge in the evolving business landscape through digital transformation. The entity would like to deal with regular changes firmly, along with transforming its management techniques. Identify the strategy required for digital transformation. Also state the most preferred practices to be followed by the entity.

ICAI'S ANSWER

To enable successful digital transformation, the appropriate strategy for 'Twaran' is a Change Management Strategy. It is essential to effectively manage the organizational, procedural and cultural changes brought about by the adoption of new digital technologies.

Following are the five best practices for managing change in small and medium-sized businesses:

1. **Begin at the top:** Change should be initiated and driven by unified, focused leadership. A committed top management can create and promote a culture that inspires the organization to embrace change.

2. **Ensure that the change is both necessary and desired:** Before initiating digital transformation, decision-makers must understand its necessity and long-term impact. Without a proper strategy, introducing too much change too quickly can be counterproductive.

3. **Reduce disruption:** It is essential to minimize employee disruption during transformation. This can be done by:

- Communicating changes early.
- Equipping employees with tools and training.
- Empowering change agents like project managers.
- Involving IT teams proactively.

- Creating an environment conducive to change.

4. **Encourage communication:** Promote open and continuous two-way communication. This ensures that employees feel heard and involved and that concerns are addressed timely. Effective communication also promotes innovation and collaboration across departments.

5. **Recognize that change is the norm, not the exception:** Businesses must treat change as a continuous process, not a one-time project. Being change ready helps the organization to adapt, sustain performance and stay aligned with evolving customer expectations.

ICAI · P6 · MTP Sep 2026 · Series II · question p. 13 · answer p. 14-15

791 MTP **May 2026 S-I** Q1(B)(iii) 1 mark MCQ

What is the critical final step in Kurt Lewin's three-step model for institutionalizing organizational change?

A Unfreeze (Creating the motivation to change)

B Change (Implementing the new processes)

C Refreeze (Stabilizing the change by institutionalizing new norms)

D Innovate (Creating a brand-new process)

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP May 2026 · Series I · question p. 12

792 MTP **Jan 2026 S-I** Q2(a) 5 marks

Connect Group was one of the leading makers of mobile handsets till a few years ago and which went at the bottom of the heap. Connect Group didn't adapt to the current market trends, which eventually led to its downfall. What would have helped Connect Group to change, adapt and survive? Explain the steps to initiate the change.

ICAI'S ANSWER

Connect Group has to make strategic changes for its survival. The changes in the environmental forces often require businesses to make modifications in their existing strategies and bring out new strategies. Strategic change is a complex process that involves a corporate strategy focused on new markets, products, services and new ways of doing business. Unless companies embrace change, they are likely to freeze and unless companies prepare to deal with sudden, unpredictable, discontinuous, and radical change, they are likely to be extinct.

Three steps for initiating strategic change are:

(i) **Recognise the need for change** – The first step is to diagnose the which facets of the present corporate culture are strategy supportive and which are not.

(ii) **Create a shared vision to manage change** – Objectives of both individuals and organisation should coincide. There should be no conflict between them. This is possible only if the management and the organisation members follow a shared vision.

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ICAI · P6 · MTP Jan 2026 · Series I · question p. 12 · answer p. 19-20

793 MTP **Sep 2025 S-I** Q4(b)

Same question, different ICAI answer: #777 Exam Sep 2024 · #789 MTP Sep 2026 S-I · #795 MTP May 2025 S-I

Explain the pointers for navigating change during digital transformation.

ICAI'S ANSWER

Any organisation may find the work of digital transformation challenging and overwhelming. To ensure that a digital transition is effective, change management is essential. Here are some pointers for navigating change during the digital transformation:

1. **Specify the digital transformation's aims and objectives:** What is the intended outcome? What are the precise objectives that must be accomplished? It will be easier to make sure that everyone is on the same page and pursuing the same aims if everyone has a clear grasp of their goals.

2. **Always, always, always communicate:** It might be challenging for people to accept change and adjust to it. Ensure that you routinely and honestly discuss the objectives of digital transformation and how they will affect stakeholders, including employees, clients, and other parties.

3. **Be ready for resistance:** Even when a change is for the better, it can be challenging for people to embrace it. Have a strategy in place for dealing with any resistance that may arise.

4. **Implement changes gradually:** Changes should ideally be implemented gradually rather than all at once. In order to avoid overwhelming individuals with too much change at once, this will give people time to become used to the new way of doing things.

5. **Offer assistance and training:** Workers will need guidance with the new procedures, software applications, etc.

In conclusion, effective completion of the massive project known as digital transformation depends on meticulous planning and change management. Digital transformation efforts are more likely to fail without change management. Organizations can successfully integrate a new digital system by planning for and managing the changes that must take place. Any project involving digital transformation must include it.

ICAI · P6 · MTP Sep 2025 · Series I · question p. 14 · answer p. 23

794 MTP **Sep 2025 S-II** Q2(b) 5 marks

Same question, different ICAI answer: #778 Old P7 Exam May 2023

Changes in environmental forces often require businesses to make modifications in their existing strategies. In view of the same explain the areas to be focused while considering concept of strategic change. Also explain the steps to initiate strategic change process.

ICAI'S ANSWER

The changes in the environmental forces often require businesses to make modifications in their existing strategies and bring out new strategies. Strategic change is a complex process that involves a corporate strategy focused on new markets, products, services and new ways of doing business.

For initiating strategic change, three steps can be identified as under:

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(iii) **Institutionalize the change:** Creating and sustaining a different attitude towards change is essential to ensure that the firm does not slip back into old ways of thinking or doing things. All these changes should be set up as practice to be followed by the organization and be able to transfer from one level to another as a well-settled practice.

ICAI · P6 · MTP Sep 2025 · Series II · question p. 15 · answer p. 19

795 MTP **May 2025 S-I** Q3(a) 5 marks

Same question, different ICAI answer: #777 Exam Sep 2024 · #789 MTP Sep 2026 S-I · #793 MTP Sep 2025 S-I

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ICAI'S ANSWER

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ICAI · P6 · MTP May 2025 · Series I · question p. 11 · answer p. 20-21

796 MTP **May 2025 S-II** Q1(c) 5 marks

Nexora Innovations, a mid-sized IT services firm, decided to implement a cloud-based project management system to enhance collaboration and streamline operations. However, many employees resisted the shift, fearing job redundancies and struggling to adapt to the new system. Despite initial communication, productivity dipped, and frustration grew among staff. What key change management strategies should Nexora Innovations adopt to ensure a smooth digital transformation and minimize disruption?

ICAI'S ANSWER

To ensure a successful digital transformation, Nexora Innovations should adopt the following change management strategies:

1. **Begin at the Top:** Leadership must demonstrate commitment, clearly communicate the benefits of the change, and promotes a culture that embraces transformation.

2. **Ensure the Change is Necessary and Desired:** The company should explain the long-term benefits of the cloud-based system and address employees' concerns about job security.

3. **Reduce Disruption:**

- Communicate the transition early and set expectations.
- Provide proper training and resources to help employees adapt.
- Empower change agents (team leaders, project managers) to guide employees through the process.

4. **Encourage Communication:** Establish open feedback channels where employees can voice concerns and seek assistance. Regular updates will keep everyone aligned with the transformation goals.

5. **Recognize Change as a Continuous Process:** Instead of a one-time project, digital transformation should be seen as an ongoing adaptation where employees are encouraged to develop a mindset of continuous learning and improvement.

By implementing these strategies, Nexora Innovations can overcome resistance, enhance adoption, and maximize the benefits of its digital transformation initiative.

ICAI · P6 · MTP May 2025 · Series II · question p. 14 · answer p. 20

797 MTP **Jan 2025 S-I** Q2(a) 5 marks

Connect Group was one of the leading makers of the mobile handsets till a few years ago and which went at the bottom of the heap. Connect Group didn't adapt to the current market trends, which eventually led to its downfall. Which would have helped Connect Group to change, adapt and survive? Explain the steps to initiate the change.

ICAI'S ANSWER

Connect Group has to make strategic changes for its survival. The changes in the environmental forces often require businesses to make modifications in their existing strategies and bring out new strategies. Strategic change is a complex process that involves a corporate strategy focused on new markets, products, services and new ways of doing business. Unless companies embrace change, they are likely to freeze and unless companies prepare to deal with sudden, unpredictable, discontinuous, and radical change, they are likely to be extinct.

Three steps for initiating strategic change are:

(i) **Recognise the need for change** – The first step is to diagnose the which facets of the present corporate culture are strategy supportive and which are not.

(ii) **Create a shared vision to manage change** – Objectives of both individuals and organisation should coincide. There should be no conflict between them. This is possible only if the management and the organisation members follow a shared vision.

(iii) **Institutionalise the change** – This is an action stage which requires the implementation of the changed strategy. Creating and sustaining a different attitude towards change is essential to ensure

that the firm does not slip back into old ways of doing things.

ICAI · P6 · MTP Jan 2025 · Series I · question p. 11 · answer p. 15

798 MTP **May 2024 S-I** Q1(c) 5 marks

Imagine you are a consultant advising a small manufacturing company embarking on a digital transformation journey. The company's leadership is concerned about managing the change effectively. Using the best practices for managing change in small and medium-sized businesses, outline a strategy to help the company navigate this transformation successfully.

ICAI'S ANSWER

To help the small manufacturing company navigate its digital transformation successfully, we would recommend the following strategy:

1. **Begin at the top:** The leadership team should be united and committed to the digital transformation. They should communicate a clear vision for the future of the company and lead by example.

2. **Ensure that the change is necessary and desired:** Before implementing any changes, the company should assess its current state and identify areas where digital transformation can add value. It's important to involve employees in this process to ensure their buy-in.

3. **Reduce disruption:** Employee perceptions of change can vary, so it's important to minimize disruption. This can be done by communicating early and often about the changes, providing training and support for employees, and empowering change agents within the organization.

4. **Encourage communication:** Create channels for employees to ask questions and provide feedback. Encourage collaboration between departments to share ideas and innovations. Effective communication can help alleviate fears and keep everyone aligned.

5. **Recognize that change is the norm:** Digital transformation is not a one-time project but an ongoing process. The company should be prepared to adapt to new technologies and market conditions continuously.

By following these best practices, the small manufacturing company can successfully navigate its digital transformation and position itself for future growth and success.

ICAI · P6 · MTP May 2024 · Series I · question p. 9 · answer p. 10-11

799 MTP **Old P7 Nov 2022 S-II** Q1(C) 2 marks MCQ old scheme

You being the core strategist of your company, entrusted with bringing about strategic change in your company, how will you initiate "unfreezing of the situation"?

- A Promoting new ideas throughout the organization
- B Promoting compliance throughout the organization
- C Promoting change in process throughout the organization
- D None of the above

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Nov 2022 · Series II · question p. 8

800 MTP **Old P7 May 2022 S-I** Q5(a) 5 marks old scheme

Explain the steps for initiating strategic change.

ICAI'S ANSWER

The changes in the environmental forces often require businesses to make modifications in their existing strategies and bring out new strategies. Strategic change is a complex process that involves a corporate strategy focused on new markets, products, services and new ways of doing business.

Three steps for initiating strategic change are:

(i) Recognise the need for change – The first step is to diagnose the which facets of the present corporate culture are strategy supportive and which are not.

(ii) Create a shared vision to manage change – Objectives of both individuals and organisation should coincide. There should be no conflict between them. This is possible only if the management and the organisation members follow a shared vision.

(iii) Institutionalise the change – This is an action stage which requires the implementation of the changed strategy. Creating and sustaining a different attitude towards change is essential to ensure that the firm does not slip back into old ways of doing things.

ICAI · Old P7 · MTP May 2022 · Series I · question p. 9 · answer p. 9

801 MTP **Old P7 May 2020 S-I** Q2 5 marks old scheme

Dr. Raman has been running a nursing home for about twenty two years now, and has gained enormous name for his benevolence in Balram district of Chhattisgarh. Recently, his daughter, Dr. Radhika completed her medicine degree from the United States of America and returned to her hometown to be a part of her father's practice. She has been given the baton to promote modern medicine and retain the local skilled youth in their practice. However, their nursing home's skilled youth has been more inclined to E-Commerce employment opportunities. Dr. Radhika has taken it as a challenge to imbibe the very essence of service in them, by being employed as nurses and caretakers of the ill. This shall be very crucial in growing the practice as desired. Which of the following phases of Kurt Lewin's Model of Change will be most challenging for Dr. Radhika to strategically positioning her father's nursing home?

ICAI'S ANSWER

Kurt Lewin's Model of Change proposes three phases of change process to make the change lasting.

They are Compliance, Identification and Internalization.

For Dr. Radhika, Compliance and Identification will not a big challenge, as her father has been one of the most sort after personalities serving the ill in their district. And her return from the USA to serve her country, especially her district, will help the workforce identify her as a role model and there would actually be no need for compliance, i.e. Reward and Punishment for bringing about a change.

However, the new lucrative E-Commerce employment opportunities will have to be fought through Internalization, i.e. internal changing of the individual's thought process, to give them freedom to learn and succeed. Thus, Internalization will be the most challenging phase.

ICAI · Old P7 · MTP May 2020 · Series I · question p. 8 · answer p. 6

802 MTP **Old P7 May 2019 S-II** Q1(xiv) 1 mark MCQ old scheme

Which of the following is not a phase in Kurt Lewin's Model of Change?

A Changing

B Deep freezing

C Refreezing

D Unfreezing

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 6

803 MTP **Old P7 May 2018 S-I** Q6 OR 7 marks old scheme

Define strategic change. Explain the various stages/phases of change process as propounded by Kurt Lewin.

ICAI'S ANSWER

The changes in the environmental forces often require businesses to make modifications in their existing strategies and bring out new strategies. Strategic change is a complex process and it involves a corporate strategy focused on new markets, products, services and new ways of doing business.

To make the change lasting, Kurt Lewin proposed three phases of the change process for moving the organization from the present to the future. These stages are unfreezing, changing and refreezing.

(i) Unfreezing the situation: The process of unfreezing simply makes the individuals or organizations aware of the necessity for change and prepares them for such a change. Lewin proposes that the changes should not come as a surprise to the members of the organization. Sudden and unannounced change would be socially destructive and morale lowering. The management must pave the way for the change by first "unfreezing the situation", so that members would be willing and ready to accept the change.

(ii) Changing to New situation: Once the unfreezing process has been completed and the members of the organization recognise the need for change and have been fully prepared to accept such change, their behaviour patterns need to be redefined. H.C. Kellman has proposed three methods for reassigning new patterns of behaviour. These are compliance, identification and internalisation.

(iii) Refreezing: Refreezing occurs when the new behaviour becomes a normal way of life. The new behaviour must replace the former behaviour completely for successful and permanent change to take place. In order for the new behaviour to become permanent, it must be continuously reinforced so that this new acquired behaviour does not diminish or extinguish.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 4 · answer p. 12

5.3 Organisation structure and culture

89 questions · asked in 59 ICAI documents · 13 exam papers

804 EXAM **Jan 2026** Q6(a) 5 marks

Also asked in MTP Sep 2026 S-I Q4(a)

What is Corporate culture? Where does it come from?

ICAI'S ANSWER

Corporate culture refers to a company's values, beliefs, business principles, traditions, ways of operating and internal work environment. Every organisation has a unique culture shaped by its philosophy, history, values, rituals, work climate and ingrained ways of doing things. Corporate culture exerts a powerful influence on the behaviour of managers and employees and guides how

decisions are made and work is carried out. Where Does Corporate Culture Come From? Corporate culture is shaped and manifested through the following sources:

1. Values and Business Principles of Management: The values, ethical standards and business principles that management preaches and practices strongly influence organisational culture.

2. Organisational History and Traditions: Past experiences, successes, failures, traditions, stories and legends repeated within the organisation help embed cultural values.

3. Leadership Behaviour and Supervisory Practices: The leadership style, attitudes and behaviour of managers shape employee conduct and work practices.

4. Stakeholder Relationships: Dealings with employees, unions, shareholders, vendors and the community influence beliefs and behavioural norms.

5. Formal and Informal Systems: Policies, procedures, reward systems, communication patterns, peer pressure and organisational politics together define and reinforce culture.

Thus, corporate culture emerges over time from multiple sociological forces operating at different levels of the organisation and acts as a guiding force for employee behaviour, strategy execution and organisational performance.

ICAI · P6 · Jan 2026 exam · question p. 28 · answer p. 29

805 EXAM **Sep 2025** MCQ 15 2 marks MCQ

Edu Edge Learning a digital education start-up, struggled with inconsistent communication and poor integration across departments. Although the strategy and talent were in place, collaboration was ineffective. In order to resolve this issue, the leadership launched a centralized knowledge-sharing platform and defined clear internal communication protocols. Performance appraisal systems were linked to teamwork and collaboration goals, ensuring alignment of all the processes with strategic intent. Which aspects of the McKinsey 7-S Framework is being strengthened at Edu Edge?

A Strategy

B Structure

C System

D Skills

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · Sep 2025 exam · question p. 6

806 EXAM **Sep 2025** Q8(b) OR 5 marks

Write a short note on the hourglass organizational structure.

ICAI'S ANSWER

In recent years information technology and communications have significantly altered the functioning of organizations. The role played by middle management is diminishing as the tasks performed by them are increasingly being replaced by the technological tools. Hourglass organization structure consists of three layers in an organization structure with constricted middle layer. The structure has a short and narrow middle management level. Information technology links the top and bottom levels in the organization reducing away many tasks that are performed by the

middle level managers. A shrunken middle layer coordinates diverse lower-level activities. Hourglass structure has obvious benefits from reduced costs. It also helps in enhancing responsiveness by simplifying decision making. Decision making authorities are shifted close to the source of information, so decision making is faster. However, with the reduced size of middle management, the promotion opportunities for the lower levels diminish significantly.

ICAI · P6 · Sep 2025 exam · question p. 26 · answer p. 28

807 EXAM **Jan 2025** MCQ 15 MCQ

The role played by middle management is diminishing as the tasks performed by them are increasingly being replaced by new and improved technological tools. As a result, in a three layer organizational structure, middle level is constricted. Which one of the following is a suitable name to such structure?

- A Hourglass structure
- B Network Structure
- C Matrix structure
- D Divisional structure

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · Jan 2025 exam · question p. 6

808 EXAM **Jan 2025** Q5(a) 5 marks

ABC group of companies has five projects at different geographical locations. Each project is managed by a dedicated project manager. A Chief Executive Officer (CEO) is supported by a team of subject matter experts (SMEs) in each function at corporate level of the company. As an accepted practice, the authority and communication flow vertically and horizontally in the company. There are five common functions i.e. finance, human resource, operations, marketing and information technology facilitating each project. Each functional manager is having administrative relationship with respective project manager and functional relationship with related SME with a clear mutual understanding of his or her roles and responsibilities. Identify and explain the organizational structure best suited in the above scenario. State the advantages and disadvantages of the above structure.

ICAI'S ANSWER

The organizational structure best suited for the ABC group of companies is the Matrix Structure. The Matrix Structure integrates functional and project-based frameworks, enabling vertical communication between functional managers and teams, and horizontal communication with project managers. Functional managers oversee domains and report to SMEs, while project managers handle project execution. This structure ensures resource sharing, role clarity, collaboration, and alignment with organizational objectives. Advantages of the Matrix Structure:

1. Resource Optimization: Efficient utilization of resources across multiple projects.

2. Flexibility: Shutting down a project is accomplished relatively easily because it quickly adapts to changes in project needs or external environments.

3. Enhanced Communication: Encourages collaboration and knowledge sharing across projects and functions through many channels of communication.

4. Clear Goals: Project objectives are clear. Project managers focus on achieving specific project objectives.

Disadvantages of the Matrix Structure:

1. Complexity: Dual reporting relationships can lead to confusion and conflict between project and functional managers.

2. High Coordination Costs: It results in higher overhead cost and requires significant planning and communication efforts.

3. Power Struggles: Potential for conflicts over resource allocation and priorities.

ICAI · P6 · Jan 2025 exam · question p. 23 · answer p. 24-25

809 EXAM **Sep 2024** MCQ 14 MCQ

Super Products Ltd. is having four divisions, i.e. Alpha, Beta, Cos and Theta. All the divisions are independent product center and are also integral part of product Gama of the company. Each division contains its own set of activities under the control of respective general manager. Each general manager is responsible for his respective product line and its profitability. While having own set of competitors, each center has its own competitive advantages with the resources and capabilities they develop. Such structure is known as:

A Network structure

B Divisional structure

C Multi divisional structure

D Strategic business unit

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · Sep 2024 exam · question p. 7

810 EXAM **Sep 2024** Q5(a) 5 marks

M/s. MTS Ltd, is one of the mobile telephone service providers in India. It has its own mobile network, towers and distribution channels. It operates through its team of network operation, technicians, marketing, sales and after sales services. Currently all the team members are on its roll. Company knows that market is densely competitive. The environment is quite unstable and likely to remain so. Customer's taste and preferences are changing very fast. There is a strong need for innovation and quick response. While eliminating in-house business functions, company is considering outsourcing major activities and focusing on its core competencies. In the given situation identify the organizational structure suitable for the company. Also outline the merits and demerits in going for the identified structure.

ICAI'S ANSWER

The suitable organizational structure for MTS Ltd is the Network Organizational Structure. A company with such a structure is often called a Virtual Organization.

Merits of the Network Structure:

1. Flexibility and Adaptability: The structure allows for rapid technological changes and shifting competition patterns. This enables the company to adapt quickly to the unstable environment and

changing customer preferences.

2. Focus on Core Competencies: The company can concentrate on its distinctive competencies while outsourcing non-core functions to specialized firms, which can perform them more efficiently.

3. Cost Efficiency: Through subcontracting and outsourcing, MTS Ltd can reduce the costs associated with maintaining in-house teams.

4. Decentralized Operations: The network structure scatters business functions across various geographical locations, reducing the need for a large central headquarters and ensuring responsiveness in different regions.

Demerits of the Network Structure:

1. Loss of Synergies: Contracting out functions may prevent MTS Ltd from discovering synergies that could emerge from combining internal activities.

2. Over-Specialization Risk: By focusing on only a few functions, the company may risk choosing the wrong functions, leading to a loss of competitiveness.

3. Stress and Learning Challenges: The flatter structure and increased need for personal interactions may create stress for employees, especially those who lack the confidence for active participation in organization-sponsored learning programs.

ICAI · P6 · Sep 2024 exam · question p. 25 · answer p. 26-27

811 **EXAM** **May 2024** Q5(a) **5 marks**

BOYA Ltd. is a venture in the market present for a decade. Till, 2023, it was working on the values and vision of its founder while operating in limited area of operations. Growth opportunities exist for BOYA Ltd. Considering the changing environment, company is interested to leverage new skills in marketing, technology, product development and financial management. As a known fact, modifying one aspect might have a ripple effect on other elements. The company wants to understand various hard and soft elements interrelated with each other in the company and having a bearing on effective operational results. As a strategist, you intend to prepare a questionnaire based on both types of elements by analyzing the organizational design. The response to the same will help in finding an answer to ensure effectiveness through the interaction of such elements. Briefly discuss the strategic model you will use in the given situation. State the limitations of the model as well.

ICAI'S ANSWER

In addressing the strategic needs of BOYA Ltd., the McKinsey 7S Model is an effective tool to consider. This model focuses on the interaction of hard and soft elements within an organization, suggesting that modifying one aspect might have a ripple effect on the other elements to maintain an effective balance. The McKinsey 7S Model helps analyze the company's organizational design to achieve effectiveness through these interactions. The model categorizes the elements into 'hard' and 'soft' components: The Hard elements are directly controlled by the management. The following elements are the hard elements in an organization.

- Strategy: the direction of the organization, a blueprint to build on a core competency and achieve competitive advantage to drive margins and lead the industry.
- Structure: depending on the availability of resources and the degree of centralisation or decentralization that the management desires, it choses from the available alternatives of organizational structures.

- Systems: the development of daily tasks, operations and teams to execute the goals and objectives in the most efficient and effective manner.

The Soft elements are difficult to define as they are more governed by culture. But these soft elements are equally important in determining an organization's success as well as growth in the industry. The following are the soft elements in this model.

- Shared Values: The core values which get reflected within the organizational culture or influence the code of ethics of the management.
- Style: This depicts the leadership style and how it influences the strategic decisions of the organisation. It also revolves around people motivation and organizational delivery of goals.
- Staff: The talent pool of the organisation.
- Skills: The core competencies or the key skills of the employees play a vital role in defining the organizational success.

While the McKinsey 7S Model provides a structured approach to analysing organizational effectiveness, it has certain limitations:

- It ignores the importance of the external environment and depicts only the most crucial elements within the organization.
- The model does not clearly explain the concept of organizational effectiveness or performance.
- The model is considered to be more static and less flexible for decision making.
- It is generally criticized for missing out the real gaps in conceptualization and execution of strategy.

By applying the McKinsey 7S Model, BOYA Ltd. can gain a comprehensive understanding of how different elements within the organization interact and influence overall performance. The insights gathered from the questionnaire can guide strategic decisions to enhance growth and operational effectiveness.

ICAI · P6 · May 2024 exam · question p. 24 · answer p. 25-26

812 **EXAM** **Old P7 Nov 2022** Q10(b) OR **5 marks** old scheme

Write short note on Strategic Business Unit (SBU).

ICAI'S ANSWER

SBU is a part of a large business organization that is treated separately for strategic management purposes. It is separate part of large business serving product markets with readily identifiable competitors. It is created by adding another level of management in a divisional structure after the divisions have been grouped under a divisional top management authority based on the common strategic interests.

Very large organizations, particularly those running into several products, or operating at distant geographical locations that are extremely diverse in terms of environmental factors, can be better managed by creating strategic business units. SBU structure becomes imperative in an organization with increase in number, size and diversity.

The three most important characteristics of a SBU are:

- It is a single business or a collection of related businesses which offer scope for independent planning and which might feasibly standalone from the rest of the organization.

- It has its own set of competitors.
- It has a manager who has responsibility for strategic planning and profit performance, and who has control of profit-influencing factors.

Benefits of SBUs:

1. Establishing coordination between divisions having common strategic interest.
2. Facilitate strategic management and control.
3. Determine accountability at the level of distinct business units.
4. Allow strategic planning to be done at the most relevant level within the total enterprise.
5. Make the task of strategic review by top executives more objective and more effective.
6. Help to allocate resources to areas with better opportunities.

Thus, an SBU structure with its set of advantages would be most suitable for the company with the given diverse businesses having separate identifiable competitors, but a common organizational goal.

ICAI · Old P7 · Nov 2022 exam · question p. 18 · answer p. 20-21

813 EXAM **Old P7 May 2022** Q8(b) 5 marks old scheme

Due to reoccurrence of various variants of Corona virus, LMN Ltd. is facing unstable environment and it has started unbundling and disintegrating its activities. It also started relying on outside vendors for performing these activities. Identify the organisation structure LMN Ltd. is shifting to. Under what circumstances this structure becomes useful?

ICAI'S ANSWER

LMN Ltd. is shifting into network structure. It is a newer and somewhat more radical organisational design. The network structure could be termed a "non-structure" as it virtually eliminates in-house business functions and outsource many of them. An organization organized in this manner is often called a virtual organization because it is composed of a series of project groups or collaborations linked by constantly changing non-hierarchical, cobweb-like networks.

The network structure becomes most useful when the environment of a firm is unstable and is expected to remain so. Under such conditions, there is usually a strong need for innovation and quick response. Instead of having salaried employees, it may contract with people for a specific project or length of time. Long-term contracts with suppliers and distributors replace services that the company could provide for itself through vertical integration. The network structure provides organization with increased flexibility and adaptability to cope with rapid technological change and shifting pattern of international trade and competition.

ICAI · Old P7 · May 2022 exam · question p. 12 · answer p. 13

814 EXAM **Old P7 Dec 2021** Q7(a) 5 marks old scheme

A Chennai based fast moving consumer goods (FMCG) major CDE Ltd. recently announced restructuring its business. The company indicated that the business would be split into mainly four different streams- FMCG, E-commerce, Retail, and Research & Development. The company management has decided that these four units will operate as separate businesses. The top corporate officer shall delegate responsibility for day-to-day operations and business unit strategy to the concerned managers.

Identify the organization structure that CDE Ltd. has planned to implement. Discuss any four attributes and the benefits the firm may derive by using this organization structure.

ICAI'S ANSWER

CDE Ltd. has planned to implement Strategic Business Unit (SBU) structure. Very large organisations, particularly those running into several products, or operating at distant geographical locations that are extremely diverse in terms of environmental factors, can be better managed by creating strategic business units. SBU structure becomes imperative in an organisation with increase in number, size and diversity.

The attributes of an SBU and the benefits a firm may derive by using the SBU Structure are as follows:

- A scientific method of grouping the businesses of a multi – business corporation which helps the firm in strategic planning.
- An improvement over the territorial grouping of businesses and strategic planning based on territorial units.
- Strategic planning for SBU is distinct from rest of businesses. Products/ businesses within an SBU receive same strategic planning treatment and priorities.
- Each SBU will have its own distinct set of competitors and its own distinct strategy.
- The CEO of SBU will be responsible for strategic planning for SBU and its profit performance.
- Products/businesses that are related from the stand point of function are assembled together as a distinct SBU.
- Unrelated products/ businesses in any group are separated into separate SBUs.
- Grouping the businesses on SBU lines helps in strategic planning by removing the vagueness and confusion.
- Each SBU is a separate business and will be distinct from one another on the basis of mission, objectives etc.

ICAI · Old P7 · Dec 2021 exam · question p. 11 · answer p. 11-12

815 EXAM **Old P7 Jan 2021** Q10(a) 5 marks old scheme

Moonlight Private Limited deals in multi-products and multi-businesses. It has its own set of competitors. It seems impractical for the company to provide separate strategic planning treatment to each one of its product or businesses. As a strategic manager, suggest the type of structure best suitable for Moonlight Private Limited and state its benefits.

ICAI'S ANSWER

It is advisable for Moonlight Private Limited to follow the strategic business unit (SBU) structure.

Moonlight Private Limited has a multi-product and multi-business structure where, each of these businesses has its own set of competitors. In the given case, Strategic Business Unit (SBU) structure would best suit the interests of the company.

SBU is a part of a large business organization that is treated separately for strategic management purposes. It is separate part of large business serving product markets with readily identifiable competitors. It is created by adding another level of management in a divisional structure after the divisions have been grouped under a divisional top management authority based on the common strategic interests.

Very large organizations, particularly those running into several products, or operating at distant geographical locations that are extremely diverse in terms of environmental factors, can be better managed by creating strategic business units, just as is the case for Moonlight Private Limited. SBU structure becomes imperative in an organization with increase in number, size and diversity.

Benefits of SBUs:

1. Establishing coordination between divisions having common strategic interest.

2. Facilitate strategic management and control.

3. Determine accountability at the level of distinct business units.

4. Allow strategic planning to be done at the most relevant level within the total enterprise.

5. Make the task of strategic review by top executives more objective and more effective.

6. Help to allocate resources to areas with better opportunities.

Thus, an SBU structure with its set of advantages would be most suitable for the company with the given diverse businesses having separate identifiable competitors, but a common organizational goal.

ICAI · Old P7 · Jan 2021 exam · question p. 17 · answer p. 17-18

816 EXAM **Old P7 Jan 2021** Q10(b) OR 5 marks old scheme

Elucidate:

Matrix Structure

ICAI'S ANSWER

In matrix structure, functional and product forms are combined simultaneously at the same level of the organization. Employees have two superiors, a product / project manager and a functional manager. The "home" department - that is, engineering, manufacturing, or marketing - is usually functional and is reasonably permanent. People from these functional units are often assigned temporarily to one or more product units or projects.

The product units / projects are usually temporary and act like divisions in that they are differentiated on a product-market basis. The matrix structure may be very appropriate when organizations conclude that neither functional nor divisional forms, even when combined with horizontal linking mechanisms like strategic business units, are right for the implementation of their strategies. Matrix structure was developed to combine the stability of the functional structure with flexibility of the product form. It is very useful when the external environment (especially its technological and market aspects) is very complex and changeable.

A matrix structure is most complex of all designs because it depends upon both vertical and horizontal flows of authority and communication. It may result in higher overhead costs due to more management positions.

The matrix structure is often found in an organization when the following three conditions exist:

1. Ideas need to be cross-fertilized across projects or products;

2. Resources are scarce; and

3. Abilities to process information and to make decisions need to be improved.

ICAI · Old P7 · Jan 2021 exam · question p. 17 · answer p. 19

817 EXAM **Old P7 Nov 2020** Q7(a) 5 marks old scheme

Draw 'Divisional Structure' with the help of a diagram. Also, give advantages and disadvantages of this structure in brief.

ICAI'S ANSWER

Divisional structure is that organizational structure which is based on extensive delegation of authority and built on division basis. The divisional structure can be organized in one of the four ways: by geographic area, by product or service, by customer, or by process. With a divisional structure, functional activities are performed both centrally and in each division separately.

Figure: Divisional Structure

Advantages of divisional structure

- Accountability is clear: Divisional managers can be held responsible for sales and profit levels. Because a divisional structure is based on extensive delegation of authority, managers and employees can easily see the results of their good or bad performances and thus their morale is high.
- Other advantages: It creates career development opportunities for managers, allows local control of local situations, leads to a competitive climate within an organization, and allows new businesses and products to be added easily.

Disadvantages of divisional structure

- Higher cost: Owing to following reasons: (i). requires qualified functional specialist at different divisions and needed centrally (at headquarters); (ii). It requires an elaborate, headquarters –driven control system.
- Conflicts between divisional managers: Certain regions, products, or customers may sometimes receive special treatment, and it may be difficult to maintain consistent, company-wide practices.

ICAI · Old P7 · Nov 2020 exam · question p. 12 · answer p. 12-13

818 EXAM **Old P7 May 2019** Q10(b) 3 marks old scheme

What is an Hourglass structure? How is it beneficial for an organization?

ICAI'S ANSWER

In the recent years information technology and communications have significantly altered the functioning of organizations. The role played by middle management is diminishing as the tasks performed by them are increasingly being replaced by the technological tools. Hourglass organization structure consists of three layers in an organisation structure with constricted middle layer. The structure has a short and narrow middle management level.

Information technology links the top and bottom levels in the organization taking away many tasks that are performed by the middle level managers. A shrunken middle layer coordinates diverse lower level activities.

Hourglass Organization Structure

Hourglass structure has obvious benefit of reduced costs. It also helps in enhancing responsiveness by simplifying decision making. Decision making authority is shifted close to the source of information so that it is faster. However, with the reduced size of middle management, the promotion opportunities for the lower levels diminish significantly.

ICAI · Old P7 · May 2019 exam · question p. 14 · answer p. 15-16

819 EXAM Old P7 Nov 2018 Q8(b) 2 marks old scheme

Which of the following statements are correct and which are incorrect? Give reasons in brief for your answer.

Structure has no impact on the strategy of the organization.

ICAI'S ANSWER

Incorrect: Structures are designed to facilitate the strategic pursuit of a firm and, therefore, follows strategy. Without a strategy or reason for being, it will be difficult to design an effective structure. Strategic developments may require allocation of resources and there may be a need for adapting the organisation's structure to handle new activities as well as training personnel and devising appropriate systems.

ICAI · Old P7 · Nov 2018 exam · question p. 12 · answer p. 12

820 EXAM Old P7 Nov 2018 Q9(a) 5 marks old scheme

Manoj started his telecom business in 2010. Over next five years, he gradually hired fifty people for various activities such as to keep his accounts, administration, sell his products in the market, create more customers, provide after sales service, coordinate with vendors.

Draw the organization structure Manoj should implement in his organization and name it.

ICAI'S ANSWER

Manoj has started a telecom business. Accounts, Administration, Marketing (customer creation, after sales service, vendor coordination) are the functional areas that are desired in the organisational structure. Further there is inherent need to have a department for the management of telecom services/ operations.

Thus, the functional structure in the telecom business of Manoj can be as follows:



ICAI · Old P7 · Nov 2018 exam · question p. 13 · answer p. 13-14

821 EXAM **Old P7 Nov 2018** Q10(a) 5 marks old scheme

Describe corporate culture. Elaborate the statement "Culture is a strength that can also be a weakness".

ICAI'S ANSWER

Corporate culture refers to a company's values, beliefs, business principles, traditions, way of operating and internal work environment. Every corporation has a culture that exerts powerful influences on the behaviour of managers.

Culture as a strength – Culture can facilitate communication, decision making and control and create cooperation and commitment. An organisation's culture could be strong and cohesive when it conducts its business according to clear and explicit set of principles and values. The management devotes considerable time in communicating values & principles to employees and sharing them widely across the organisation.

Culture as a weakness – can obstruct the smooth implementation of strategy by creating resistance to change. An organisation's culture can be characterised as weak when many sub cultures exist, few values and behavioural norms are shared and traditions are rare. In such organisations, employees do not have a sense of commitment, loyalty and a sense of identity.

ICAI · Old P7 · Nov 2018 exam · question p. 14 · answer p. 14-15

822 EXAM **Old P7 May 2018** Q8(c) 2 marks old scheme

Which of the following statements are 'correct' and which are 'incorrect'? Give reasons, in brief, for your answer:

Corporate culture is always identical in all the business organizations.

ICAI'S ANSWER

Incorrect: Every company has its own organisational culture. Each has its own business philosophy and principles, its own ways of approaching to the problems and making decisions, its own work climate, work ethics, etc. Therefore, corporate culture is not identical in all organisations. Organisations over a period of time inherit and percolate down its own specific work ethos and approaches.

ICAI · Old P7 · May 2018 exam · question p. 11 · answer p. 11

823 RTP **May 2026** Q4 MCQ

Jayant oversees the 'Consumer Goods' segment of a large conglomerate. This specific segment has its own dedicated legal and finance heads who operate semi-autonomously from other segments like 'Industrial Parts'. This structure is an example of:

A Simple Structure

B Matrix Structure

C Strategic Business Unit (SBU)

D Functional Structure

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · RTP May 2026 · question p. 33

824 RTP **May 2026** Q16

Also asked in Old P7 RTP Nov 2023 Q20 · MTP Sep 2024 S-I Q2(b)

Write a short note on Matrix Structure.

ICAI'S ANSWER

In matrix structure, functional and product forms are combined simultaneously at the same level of the organization. Employees have two superiors, a product/project manager and a functional manager. The "home" department - that is, engineering, manufacturing, or marketing - is usually functional and is reasonably permanent. People from these functional units are often assigned temporarily to one or more product units or projects. The product units / projects are usually temporary and act like divisions in that they are differentiated on a product-market basis. The matrix structure may be very appropriate when organizations conclude that neither functional nor divisional forms, even when combined with horizontal linking mechanisms like strategic business units, are right for the implementation of their strategies. Matrix structure was developed to combine the stability of the functional structure with flexibility of the product form. It is very useful when the external environment (especially its technological and market aspects) is very complex and changeable. A matrix structure is most complex of all designs because it depends upon both vertical and horizontal flows of authority and communication. It may result in higher overhead costs due to more management positions. The matrix structure is often found in an organization when the following three conditions exist:

1. Ideas need to be cross-fertilized across projects or products;

2. Resources are scarce; and

3. Abilities to process information and to make decisions need to be improved.

ICAI · P6 · RTP May 2026 · question p. 35 · answer p. 42-43

825 RTP **Jan 2026** Q4 MCQ

A financial services company wants to launch a mobile-first platform. The strategy is clearly defined and systems for operations are automated. However, employees are unfamiliar with the technology, and the leadership style emphasizes strict hierarchy, slowing down decision-making. Management wants to ensure the new digital initiative succeeds without resistance or delays. Which 7S elements need urgent alignment?

A Skills and Style

B Structure and Staff

C Shared Values and Systems

D Strategy and Structure

ICAI'S ANSWER

Answer key: **(A)**

ICAI · P6 · RTP Jan 2026 · question p. 29

826 RTP **May 2025** Q2 MCQ

Innovexa Solutions Ltd. operates in the technology sector and has four divisions: Innovate, Develop, Transform, and Elevate. Each division functions as an independent product center while also contributing to the company's flagship product, TechSphere. Every division has its own set of activities, managed by a respective division head, who is responsible for the product line's performance and

profitability. While competing in different market segments, each division leverages its own unique resources and capabilities to maintain a competitive edge. This type of organizational structure is known as:

A Network structure

B Divisional structure

C Multi-divisional structure

D Strategic Business Unit (SBU)

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · RTP May 2025 · question p. 36

827 RTP **Jan 2025** Q6 MCQ

Alpha Corp is undergoing a shift to foster a culture that encourages innovative thinking and team collaboration. To achieve this, the company is focusing on how leaders interact with their teams and set examples for behavior, aiming to align leadership practices with desired cultural outcomes. Which aspect of AlphaCorp is being adjusted to foster a culture of innovation and collaboration?

A Structure

B Systems

C Skills

D Style

ICAI'S ANSWER

Answer key: **(D)**

ICAI · P6 · RTP Jan 2025 · question p. 36

828 RTP **Jan 2025** Q16

GloWare Ltd., an apparel manufacturer, has been in the market for over a decade. Until 2023, it operated on the founding principles of its CEO, focusing on a limited regional market. With new growth opportunities arising, GloWare is now interested in developing new competencies in areas such as digital marketing, product innovation, sustainable materials, and financial management. Recognizing that changing one area may impact others, the company wants a comprehensive understanding of the interconnected elements that contribute to its operational effectiveness. As a strategist, you are tasked with creating a questionnaire to analyze both the "hard" and "soft" elements of the organization. This assessment will enable GloWare to understand the factors that influence its effectiveness and to strategically align its structure, skills, and culture with its growth ambitions.

ICAI'S ANSWER

In addressing the strategic needs of GloWare Ltd., the McKinsey 7-S Model serves as a valuable tool. This model examines how various "hard" and "soft" elements within the organization interact, with the understanding that modifying one aspect can create a ripple effect on other elements, helping to maintain a balanced and effective organizational structure. By analyzing these elements, GloWare can gain insights into its organizational design and make strategic adjustments to improve

performance. The McKinsey 7-S Model categorizes elements into hard and soft components: Hard Elements (directly managed by the company):

1. Strategy: The organization's direction and competitive approach, designed to leverage core competencies and achieve industry leadership.

2. Structure: The chosen organizational setup, shaped by resource availability and the degree of centralization or decentralization desired by management.

3. Systems: The daily operations, processes, and teams that execute objectives in an efficient and effective manner. Soft Elements (influenced by organizational culture and more challenging to define):

1. Shared Values: Core beliefs that shape the culture and ethical code within the organization.

2. Style: Leadership style and its impact on decision-making, employee motivation, and goal delivery.

3. Staff: The talent pool and workforce capabilities.

4. Skills: The key competencies of employees that contribute to organizational success. While the McKinsey 7-S Model provides a structured approach to analyzing organizational effectiveness, it has certain limitations:

1. Limited Focus on External Environment: The model focuses only on internal elements, potentially overlooking external factors impacting the organization.

2. Undefined Organizational Effectiveness: It does not clearly explain how to measure or achieve organizational effectiveness.

3. Static Nature: The model is considered more static and may lack flexibility in dynamic decision-making situations.

4. Potential Gaps in Strategy Execution: It may not fully capture gaps between strategy development and execution. By applying the McKinsey 7-S Model, GloWare Ltd. can gain a comprehensive understanding of the interconnected elements within its organization and how they impact overall performance. Insights gathered from a questionnaire based on this model can inform strategic decisions, allowing GloWare to enhance growth, operational efficiency, and competitiveness in a changing market.

ICAI · P6 · RTP Jan 2025 · question p. 38 · answer p. 46-48

829 **RTP** **Sep 2024** Q15

Also asked in MTP May 2024 S-II Q1(b)

Same question, different ICAI answer: #855 MTP May 2026 S-I

A Mumbai-based conglomerate, PQR Ltd., has announced a major restructuring of its business operations. The company has decided to split its business into four separate units: Manufacturing, Retail, Services, and Technology. Each unit will operate as a separate business, with delegated responsibility for day-to-day operations and strategy to the respective unit managers. Identify the organization structure that PQR Ltd. has planned to implement. Discuss any four attributes and the benefits the firm may derive by using this organization structure.

ICAI'S ANSWER

PQR Ltd. has planned to implement the Strategic Business Unit (SBU) structure. Very large organisations, particularly those running into several products, or operating at distant geographical

locations that are extremely diverse in terms of environmental factors, can be better managed by creating strategic business units. SBU structure becomes imperative in an organisation with increase in number, size and diversity. The attributes of an SBU and the benefits a firm may derive by using the SBU Structure are as follows:

- A scientific method of grouping the businesses of a multi – business corporation which helps the firm in strategic planning.
- An improvement over the territorial grouping of businesses and strategic planning based on territorial units.
- Strategic planning for SBU is distinct from rest of businesses. Products/ businesses within an SBU receive same strategic planning treatment and priorities.
- Each SBU will have its own distinct set of competitors and its own distinct strategy.
- The CEO of SBU will be responsible for strategic planning for SBU and its profit performance.
- Products/businesses that are related from the standpoint of function are assembled together as a distinct SBU.
- Unrelated products/ businesses in any group are separated into separate SBUs.
- Grouping the businesses on SBU lines helps in strategic planning by removing the vagueness and confusion.
- Each SBU is a separate business and will be distinct from one another on the basis of mission, objectives etc.

ICAI · P6 · RTP Sep 2024 · question p. 38 · answer p. 46-47

830 RTP **May 2024** Q6 MCQ

What organizational structure is best suited for House of Jani's strategic need for dynamic allocation of resources, ensuring each project and department is mentored, monitored, and maximized via multiple leaders?

A Functional Structure

B Matrix Structure

C Hourglass Structure

D Network Structure

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP May 2024 · question p. 34

831 RTP **May 2024** Q15

Also asked in MTP May 2026 S-II Q4(b)

York Investors, recognizing the importance of aligning its organizational elements with strategic objectives, has strategically invested in training programs, technology, and communication systems. The company aims to enhance the skills and capabilities of its workforce through comprehensive training initiatives. Simultaneously, York Investors leverages cutting-edge technology to streamline its operations and improve overall efficiency. The investment in communication systems ensures seamless collaboration and information flow across various departments. Identify and explain the model used by York Investors to achieve its strategic objectives.

ICAI'S ANSWER

York Investors is employing the McKinsey 7S Model to achieve its strategic objectives. The model focuses on seven interdependent elements within an organization, categorized into "Hard Ss" and "Soft Ss." In this case:

- Strategy (Hard S): Investing in training programs and technology aligns with the strategic objective of enhancing workforce skills and operational efficiency.
- Structure (Hard S): The investment suggests a structural alignment to support the strategic initiatives, indicating a deliberate organization of resources.
- Systems (Hard S): The use of cutting-edge technology and communication systems reflects a commitment to optimizing daily tasks and improving overall efficiency, addressing the system component of the model.
- Shared Values (Soft S): The emphasis on comprehensive training initiatives indicates a commitment to shared values, reflecting a focus on developing a skilled and capable workforce.
- Style (Soft S): The leadership style is implied in the strategic decision to invest in technology and training for workforce development and operational efficiency.
- Staff (Soft S): The commitment to enhancing skills and capabilities reflects a focus on the talent pool within the organization.
- Skills (Soft S): The strategic investment in training programs directly addresses the development of key skills within the workforce.

York Investors' approach demonstrates a holistic application of the McKinsey 7S Model, emphasizing the interconnectedness of both hard and soft elements to achieve strategic alignment and organizational effectiveness.

ICAI · P6 · RTP May 2024 · question p. 36 · answer p. 43-44

832 RTP **Old P7 Nov 2023** Q6 MCQ old scheme

In which type of organization are Strategic Business Units (SBUs) commonly found?

A Sole proprietorships

B One-business organizations

C Non-profit organizations

D Multi-business organizations

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP Nov 2023 · question p. 15

833 RTP **Old P7 May 2023** Q20 old scheme

Also asked in Old P7 MTP Nov 2022 S-II Q3(b)

You are appointed as a manager of a company where you find that the company's culture is out of sync with what is needed for strategic success. Discuss steps you would initiate to tackle the problem.

ICAI'S ANSWER

Changing problem cultures is very difficult because of deeply held values and habits. It takes concerted management action over a period of time to replace an unhealthy culture with a healthy

culture or to root out certain unwanted cultural obstacles and instil ones that are more strategy-supportive.

- The first step is to diagnose which facets of the present culture are strategy supportive and which are not.
- Then, managers have to talk openly and forthrightly to all concerned about those aspects of the culture that have to be changed.
- The talk has to be followed swiftly by visible, aggressive actions to modify the culture-actions that everyone will understand are intended to establish a new culture more in tune with the strategy.

The menu of culture-changing actions includes revising policies and procedures, altering incentive compensation, recruiting and hiring new managers and employees, replacing key executives, communication on need and benefit to employees and so on.

ICAI · Old P7 · RTP May 2023 · question p. 19 · answer p. 26

834 RTP **Old P7 Nov 2022** Q2 MCQ old scheme

Which of the following is more radical organisation design and is also called as non - structure which virtually eliminates in house business functions and outsources many of them?

A Network Structure

B Strategic Business Unit

C Hourglass Structure

D Divisional Structure

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP Nov 2022 · question p. 15

835 RTP **Old P7 Nov 2022** Q19 old scheme

Same question, different ICAI answer: #866 Old P7 MTP Nov 2023 S-II

'A strategy-supportive culture promotes good strategy execution.' - Explain.

ICAI'S ANSWER

Strong cultures promote good strategy execution when there's fit and hurt execution when there's negligible fit. A culture grounded in values, practices, and behavioral norms that match what is needed for good strategy execution helps energize people throughout the organization to do their jobs in a strategy-supportive manner. A culture built around such business principles as listening to customers, encouraging employees to take pride in their work, and giving employees a high degree of decision-making responsibility. This is very conducive to successful execution of a strategy of delivering superior customer service.

A work environment where the culture matches the conditions for good strategy execution provides a system of informal rules and peer pressure regarding how to conduct business internally and how to go about doing one's job.

A strong strategy-supportive culture makes employees feel genuinely better about their jobs and work environment and the merits of what the company is trying to accomplish. Employees are

stimulated to take on the challenge of realizing the organizational vision, do their jobs competently and with enthusiasm, and collaborate with others.

ICAI · Old P7 · RTP Nov 2022 · question p. 18 · answer p. 24

836 RTP **Old P7 Nov 2022** Q20 old scheme

"Samar Electronics Limited" is engaged in manufacturing and sale of consumer electronic goods globally. The company is rated 'best' in "customer satisfaction survey' for 5 years in a row. The spread of the current pandemic has affected the internal and external environment of the company adversely. Such adverse impact has negatively impacted the revenue of the company. In order to survive and· retain the business, the company decided to outsource a major part of its organisational activities, like manufacturing, distribution channels, after sales service etc. Now the organisation's business functions are scattered worldwide with a small headquarter connected to independent business units digitally.

What type of organisational structure is the company transitioning into? List the·basic features of this new structure and the disadvantages that the company may face in future in this new structural arrangement.

ICAI'S ANSWER

Samar Electronics Limited transitioning into network structure. It is a newer and somewhat more radical organisational design. Its essential features are as follows:

1. It is termed as "non-structure" as it eliminates in house functions and outsources many of them.

2. An organisation organised in this manner is often called "virtual organisation" because it is composed of a series of project groups or collaborations linked by constantly changing nonhierarchical, cob-web like structures.

3. Network structures become most useful when the environment of a firm is unstable and is expected to remain so. Under such conditions, there is usually a strong need for innovation and quick response.

4. Instead of having salaried employees, it may contract with people for a specific project or length of time.

5. Long term contracts with suppliers and distributors replace services that company could provide for itself.

However, network structure does have following disadvantages that the company may face in future:

1. The availability of numerous potential partners can be a source of trouble.

2. Co-ordination among the functioning of business partners is perhaps, the biggest problem for the management in the networking structure.

3. Employees may lack the level of confidence necessary to participate actively in organisation sponsored learning experiences.

ICAI · Old P7 · RTP Nov 2022 · question p. 18 · answer p. 24-25

837 RTP **Old P7 May 2022** Q5 MCQ old scheme

Also asked in Old P7 MTP Nov 2022 S-II Q1(D)

Maadhyam, a hearing aid manufacturer recently introduced an AI based management tool that has the capabilities of managing teams across functions. What could be their new organisational structure post this implementation?

A Divisional Structure

B Matrix Structure

C Hourglass Structure

D Network Structure

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP May 2022 · question p. 17

838 RTP **Old P7 May 2022** Q19 old scheme

Same question, different ICAI answer: #859 MTP Jan 2025 S-II

How the 'Strategic Business Unit (SBU), structure becomes imperative in an organization with increase in number, size and diversity of divisions?

ICAI'S ANSWER

SBU is a part of a large business organization that is treated separately for strategic management purposes. The concept of SBU is helpful in creating an SBU organizational structure. It is separate part of large business serving product markets with readily identifiable competitors. It is created by adding another level of management in a divisional structure after the divisions have been grouped under a divisional top management authority based on the common strategic interests.

Very large organisations, particularly those running into several products, or operating at distant geographical locations that are extremely diverse in terms of environmental factors, can be better managed by creating strategic business units. SBU structu re becomes imperative in an organisation with increase in number, size and diversity. SBUs helps such organisations by:

- Establishing coordination between divisions having common strategic interest.
- Facilitate strategic management and control.
- Determine accountability at the level of distinct business units.
- Allow strategic planning to be done at the most relevant level within the total enterprise.
- Make the task of strategic review by top executives more objective and more effective.
- Help to allocate resources to areas with better opportunities.

ICAI · Old P7 · RTP May 2022 · question p. 19 · answer p. 25

839 RTP **Old P7 May 2022** Q20 old scheme

"A network structure is suited to unstable environment." Elucidate this statement.

ICAI'S ANSWER

Network structure is a newer and somewhat more radical organizational design. The network structure could be termed a "non-structure" as it virtually eliminates in-house business functions and outsource many of them. An organization organized in this manner is often called a virtual organization because it is composed of a series of project groups or collaborations linked by constantly changing non-hierarchical, cobweb-like networks.

The network structure becomes most useful when the environment of a firm is unstable and is expected to remain so. Under such conditions, there is usually a strong need for innovation and quick response. Instead of having salaried employees, it may contract with people for a specific

project or length of time. Long-term contracts with suppliers and distributors replace services that the company could provide for itself through vertical integration. The network structure provides organization with increased flexibility and adaptability to cope with rapid technological change and shifting pattern of international trade and competition.

ICAI · Old P7 · RTP May 2022 · question p. 19 · answer p. 26

840 RTP **Old P7 Dec 2021** Q19 old scheme

Same question, different ICAI answer: #867 Old P7 MTP May 2023 S-I

Bunch Pvt Ltd is dealing in multiproduct like electronics and FMCG and are having outlets in different cities and markets across India. Due to scale of operation, it is having technical difficulty in dealing with distinct product line and markets especially in coordination and control related problems. Identify and suggest an ideal organizational structure for Bunch Pvt Ltd in resolving the problem?

ICAI'S ANSWER

To deal with the problems facing by the Bunch Pvt Ltd., we suggest Multi divisional structure for the organisation. Multidivisional (M-form) structure is composed of operating divisions where each division represents a separate business to which the top corporate officer delegates responsibility for day-to-day operations and business unit strategy to division managers. By such delegation, the corporate office is responsible for formulating and implementing overall corporate strategy and manages divisions through strategic and financial controls.

Multidivisional or M-form structure was developed in the 1920s, in response to coordination-and control-related problems in large firms. Functional departments often had difficulty dealing with distinct product lines and markets, especially in coordinating conflicting priorities among the products. Costs were not allocated to individual products, so it was not possible to assess an individual product's profit contribution. Loss of control meant that optimal allocation of firm resources between products was difficult (if not impossible). Top managers became over-involved in solving short-run problems (such as coordination, communications, conflict resolution) and neglected long-term strategic issues.

ICAI · Old P7 · RTP Dec 2021 · question p. 18 · answer p. 24

841 RTP **Old P7 Jul 2021** Q20 old scheme

Same question, different ICAI answer: #878 Old P7 MTP Jul 2021 S-I

How can management communicate that it is committed to creating a new culture assuming that the old culture was problematic and not aligned with the company strategy?

ICAI'S ANSWER

Corporate culture refers to company's values, beliefs, business principles, traditions, ways of operating and internal work environment. Changing problem cultures is very difficult because of deeply held values and habits. It takes concerted management action over a period of time to replace an unhealthy culture with a healthy culture or to roo t out certain unwanted cultural obstacles and instil ones that are more strategy-supportive.

- The first step is to diagnose which facets of the present culture are strategy supportive and which are not.
- Then, managers have to talk openly and forthrightly to all concerned about those aspects of the culture that have to be changed.

- The talk has to be followed swiftly by visible, aggressive actions to modify the culture-actions that everyone will understand are intended to establish a new culture more in tune with the strategy.

Management through communication has to create a shared vision to manage changes. The menu of culture-changing actions includes revising policies and procedures, altering incentive compensation, shifting budgetary allocations for substantial resources to new strategy projects, recruiting and hiring new managers and employees, replacing key executives, communication on need and benefit to employees and so on.

ICAI · Old P7 · RTP Jul 2021 · question p. 17 · answer p. 23

842 RTP **Old P7 Nov 2020** Q19 old scheme

Delta is an organization specializing in Information Technology enables Services (ITeS) and Communications business. Previous year the organization had successfully integrated an Artificial Intelligence (AI) tool named 'Zeus' into the existing ERP system. The AI tool using Deep Learning technique provided a digital leap transformation in various business processes and operations. It has significantly diminished the role played by specialist managers of the middle management. This technological tool in addition to saving organisational costs by replacing many tasks of the middle management, has also served as a link between top and bottom levels in the organization and assists in faster decision making. The skewed middle level managers now perform cross-functional duties. Which type of organisational structure is the company transitioning into?

ICAI'S ANSWER

The company Delta is transitioning into the Hourglass organization structure because it has used technological tools to transform various business processes and operations and has significantly diminished the role played by specialist managers of the middle management. The technological tool in addition to savings organisational costs by replacing many tasks of the middle management has also served as a link between top and bottom levels in the organization and assists in faster decision making. The skewed middle level managers now perform cross-functional duties. All these factors indicate towards Hourglass organization structure.

ICAI · Old P7 · RTP Nov 2020 · question p. 18-19 · answer p. 23-24

843 RTP **Old P7 May 2020** Q15 old scheme

Also asked in Old P7 MTP May 2020 S-I Q3(a)

What is a strategic business unit? What are its advantages?

ICAI'S ANSWER

A strategic business unit (SBU) is any part of a business organization which is treated separately for strategic management purposes. The concept of SBU is helpful in creating an SBU organizational structure. It is discrete element of the business serving product markets with readily identifiable competitors and for which strategic planning can be concluded. It is created by adding another level of management in a divisional structure after the divisions have been grouped under a divisional top management authority based on the common strategic interests.

Advantages of SBU are:

- Establishing coordination between divisions having common strategic interests. ♦ Facilitates strategic management and control on large and diverse organizations. ♦ Fixes accountabilities at the level of distinct business units.

- Allows strategic planning to be done at the most relevant level within the total enterprise.
- Makes the task of strategic review by top executives more objective and more effective.
- Helps allocate corporate resources to areas with greatest growth opportunities.

ICAI · Old P7 · RTP May 2020 · question p. 15 · answer p. 21-22

844 RTP **Old P7 Nov 2019** Q1(g) MCQ old scheme

In the questions given below select the best answer out of options (A), (B), (C), or (D):

Which of the following is not true for SBUs

A It is relevant for multi-product, multi-business enterprises.

B It provides for more control at enterprise level with centralised strategic planning.

C A SBU has its own set of competitors.

D SBUs can be created for units at distant geographical locations.

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP Nov 2019 · question p. 12-13

845 RTP **Old P7 Nov 2019** Q14 old scheme

Jupiter Electronics Ltd. is known for its ability to come out with path-breaking products. Though the work environment at Jupiters is relaxed and casual, yet, there is a very strong commitment to deadlines. The employees believe in "work hard play hard" ethic. The organisation has moved away from formal and hierarchical set up to a more results-driven approach. Employees are committed to strategies and work towards achieving them. They guard innovations, maintain confidentiality and secrecy in their working. They are closely related to values, practices, and norms of organisations What aspects of an organization that are being discussed? Explain.

ICAI'S ANSWER

The scenario being referred to is culture in Jupiter Electronics. Strong culture promotes good strategy execution when there's fit and impels execution when there's negligible fit. A culture grounded in values, practices, and behavioral norms that match what is needed for good strategy execution helps energize people throughout the organization to do their jobs in a strategy-supportive manner. A culture built around such business principles as listening to customers, encouraging employees to take pride in their work, and giving employees a high degree of decision-making responsibility. This is very conducive to successful execution of a strategy of delivering superior customer service.

A strong strategy-supportive culture makes employees feel genuinely better about their jobs and work environment and the merits of what the company is trying to accomplish. Employees are stimulated to take on the challenge of realizing the organizational vision, do their jobs competently and with enthusiasm, and collaborate with others.

ICAI · Old P7 · RTP Nov 2019 · question p. 15 · answer p. 22

846 RTP **Old P7 Nov 2019** Q15 old scheme

Discuss the concept of Hourglass Structure

ICAI'S ANSWER

Information technology and communications have significantly altered the functioning of organizations. The role played by middle management is diminishing as the tasks performed by them are increasingly being replaced by the technological tools. Hourglass organization structure consists of three layers with constricted middle layer. The structure has a short and narrow middle-management level. Information technology links the top and bottom levels in the organization taking away many tasks that are performed by the middle level managers. A shrunken middle layer coordinates diverse lower level activities. Contrary to traditional middle level managers who are often specialist, the managers in the hourglass structure are generalists and perform wide variety of tasks. They would be handling cross-functional issues emanating such as those from marketing, finance or production.

Hourglass structure has obvious benefit of reduced costs. It also helps in enhancing responsiveness by simplifying decision making. Decision making authority is shifted close to the source of information so that it is faster.

ICAI · Old P7 · RTP Nov 2019 · question p. 15 · answer p. 23

847 RTP **Old P7 May 2019** Q15 old scheme

Also asked in Old P7 MTP May 2019 S-II Q6(a)

Discuss the concept of Multi Divisional Structure.

ICAI'S ANSWER

Multidivisional (M-form) structure is composed of operating divisions where each division represents a separate business to which the top corporate officer delegates responsibility for day-to-day operations and business unit strategy to division managers. By such delegation, the corporate office is responsible for formulating and implementing overall corporate strategy and manages divisions through strategic and financial controls. Multidivisional or M-form structure was developed in the 1920s, in response to coordination-and control-related problems in large firms. Functional departments often had difficulty dealing with distinct product lines and markets, especially in coordinating conflicting priorities among the products.

Costs were not allocated to individual products, so it was not possible to assess an individual product's profit contribution. Loss of control meant that optimal allocation of firm resources between products was difficult (if not impossible). Top managers became over - involved in solving short-run problems (such as coordination, communications, conflict resolution) and neglected long-term strategic issues. Multidivisional structure calls for:

- Creating separate divisions, each representing a distinct business.
- Each division would house its functional hierarchy.
- Division managers would be given responsibility for managing day-to-day operations.
- A small corporate office that would determine the long-term strategic direction of the firm and exercise overall financial control over the semi-autonomous divisions.

ICAI · Old P7 · RTP May 2019 · question p. 13 · answer p. 21

848 RTP **Old P7 Nov 2018** Q1(g) old scheme

Briefly answer the following questions: Explain strategic business unit (SBUs).

ICAI'S ANSWER

A strategic business unit (SBU) is a unit of the company that has a separate mission and objectives which can be planned independently from other company businesses. SBU can be a company division, a product line within a division or even a single product/brand, specific group of customers or geographical location. The SBU is given the authority to make its own strategic decisions within corporate guidelines as long as it meets corporate objectives.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 15

849 RTP **Old P7 Nov 2018** Q2(g) old scheme

State with reasons which of the following statements are correct/incorrect: Strategies may require changes in organizational structure.

ICAI'S ANSWER

Correct: Strategies may require changes in structure as the structure dictates how resources will be allocated. Structure should be designed to facilitate the strategic pursuit of a firm and, therefore, should follow strategy. Without a strategy or reasons for being, companies find it difficult to design an effective structure.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 17

850 RTP **Old P7 Nov 2018** Q3(d) old scheme

Write short notes on the following: Importance of corporate culture.

ICAI'S ANSWER

A culture where creativity, embracing change, and challenging the status quo are pervasive is very conducive to successful execution of a product innovation and technological leadership strategy. A culture built around such business principles as listening to customers, encouraging employees to take pride in their work, and giving employees a high degree of decision-making responsibility is very conducive to successful execution of a strategy of delivering superior customer service. A strong strategy-supportive culture nurtures and motivates people to do their jobs in ways conducive to effective strategy execution; it provides structure, standards, and a value system in which to operate; and it promotes strong employee identification with the company's vision, performance targets, and strategy. All this makes employees feel genuinely better about their jobs and work environment and the merits of what the company is trying to accomplish. Employees are stimulated to take on the challenge of realizing the company's vision, do their jobs competently and with enthusiasm, and collaborate with others as needed to bring the strategy to success.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 18

851 RTP **Old P7 Nov 2018** Q18 old scheme

Davis and Lawrence have proposed three distinct phases to develop matrix structure. Explain.

ICAI'S ANSWER

For development of matrix structure; Davis and Lawrence have proposed three distinct phases:

- Cross-functional task forces: Temporary cross-functional task forces are initially used when a new product line is being introduced. A project manager is in charge as the key horizontal link.
- Product/brand management: If the cross-functional task forces become more permanent, the project manager becomes a product or brand manager a nd a second phase begins. In this

arrangement, function is still the primary organizational structure, but product or brand managers act as the integrators of semi-permanent products or brands.

- Mature matrix: The third and final phase of matrix development involves a true dual-authority structure. Both the functional and product structures are permanent. All employees are connected to both a vertical functional superior and a horizontal product manager.

ICAI · Old P7 · RTP Nov 2018 · question p. 14 · answer p. 24

852 RTP **Old P7 May 2018** Q1(g) old scheme

Briefly answer the following questions: Explain the concept of Network structure.

ICAI'S ANSWER

Network structure is a newer and somewhat more radical organizational design. The network structure could be termed as 'non-structure' as it virtually eliminates in-house business functions and outsource many of them. A corporation organized in this manner is a virtual organization because it is composed of a series of project groups or collaborations linked by constantly changing non-hierarchical, cobweb-like networks.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 16-17

853 RTP **Old P7 May 2018** Q2(g) old scheme

State with reasons which of the following statements are correct/incorrect: Network Structures eliminate many in-house functions.

ICAI'S ANSWER

Correct: The network structure can be termed a "non-structure" by its virtual elimination of in-house business functions. Many activities are outsourced. A corporation organized in this manner is often called a virtual organization because it is composed of a series of project groups or collaborations linked by constantly changing non-hierarchical, cobweb-like networks.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 16-17

854 MTP **Sep 2026 S-I** Case scenario · Q1(A)(i) to Q1(A)(v) 10 marks

CASE SCENARIO

Blue Horizon Travel (BHT), a boutique travel agency based in Singapore, has carved a niche by offering curated luxury travel experiences. However, with the rise of online travel aggregators and changing consumer behavior post-pandemic, BHT's growth has stagnated. To stay competitive, the management is rethinking its organizational structure and strategy while ensuring alignment with its core values and vision.

At the heart of its transformation is the company's emphasis on values. By prioritizing sustainability, cultural immersion and personalized service, BHT seeks to redefine tourism for modern travelers. Its vision is to become the top travel agency for sustainable luxury tourism in Southeast Asia by 2030. To support this vision, BHT is transitioning to a network organizational structure. This new model decentralizes decision-making and encourages collaboration between in-house experts, freelance travel consultants, and local tour operators. This structure enables BHT to respond quickly to customer needs while leveraging diverse expertise.

Additionally, BHT has integrated an hourglass organizational structure within its operations. While the management layer is lean, significant investment is made in customer-facing staff and the

technology backbone. This ensures a seamless experience for clients while maintaining operational efficiency. Moreover, inbound logistics is now a critical value chain activity for BHT. By forming partnerships with sustainable transportation providers and local eco-friendly accommodation partners, the company enhances its competitive advantage. These efforts align with customer expectations and reinforce BHT's sustainability-driven brand.

To monitor its progress, BHT employs premise control, regularly assessing market trends and reviews internal performance metrics. This allows the company to make proactive adjustments to its strategies and ensure alignment with its long-term goals.

Lastly, BHT's leadership has identified key success factors critical to its success: exceptional customer service, strong local partnerships, and the integration of cutting-edge travel technology. With these in place, BHT aims to thrive in a competitive and rapidly evolving industry.

Based on the above Case Scenario, answer the Multiple-Choice Questions.

Q1(A)(i) 2 marks

Significant investment made in customer-facing staff and the technology backbone has been taken seriously by the management. Which of the following would this strategic decision of BHT fall under?

- A Transition to Network Organisational Structure
- B Dwelling upon Hourglass Structure for Internal Operations
- C Part of their Premise Control Activity
- D Upliftment of to their Primary Activity in Value Chain

Q1(A)(ii) 2 marks

Technology is imperative and any business today has to embrace it to flourish. For BHT, integration of cutting-edge travel technology forms part of which aspect of strategic management?

- A Is it part of their Vision Statement
- B Is it part of their Internal Performance Metric
- C Is it part of their Decentralized Structure
- D Is it part of their identified Key Success Factors

Q1(A)(iii) 2 marks

BHT's growth has stagnated. To stay competitive, the management is rethinking its organizational structure and strategy while ensuring alignment with its core values and vision. What are the macro environment trends causing stress on BHT's business.

- A Government policy change and International Travel Restrictions
- B Rise of online travel aggregators and changing consumer behavior
- C Middle East conflict and Slowdown of International student travel
- D Rising air fuel costs and high tax on luxury travel

Q1(A)(iv) 2 marks

Brands aim to attract customer attention through innovative ways. BHT's partnerships with sustainable transportation providers and local eco-friendly accommodation partners strategy were to help them achieve what?

- A Competitive Advantage
- B To respond quickly to customer needs

C Ensuring alignment with its core values and vision

D Key Success Factor

Q1(A)(v) 2 marks

BHT has been working on a lot of changes in the way it conducts its business while ensuring it also keeps itself on track to make proactive adjustments. Which of the following is helping it achieve the following?

A Value Chain Analysis

B A clear vision

C Premise Control

D Network Structure

ICAI'S ANSWERS

Q1(A)(i)

Answer key: **(B)**

Q1(A)(ii)

Answer key: **(D)**

Q1(A)(iii)

Answer key: **(B)**

Q1(A)(iv)

Answer key: **(A)**

Q1(A)(v)

Answer key: **(C)**

ICAI · P6 · MTP Sep 2026 · Series I · question p. 8-9

855 MTP **May 2026 S-I** Q1(b) 5 marks

Also asked in MTP May 2025 S-I Q1(b)

Same question, different ICAI answer: #829 RTP Sep 2024

A Mumbai-based conglomerate, PQR Ltd., has announced a major restructuring of its business operations. The company has decided to split its business into four separate units: Manufacturing, Retail, Services, and Technology. Each unit will operate as a separate business, with delegated responsibility for day-to-day operations and strategy to the respective unit managers. Identify the organization structure that PQR Ltd. has planned to implement. Discuss any four attributes and the benefits the firm may derive by using this organization structure.

ICAI'S ANSWER

PQR Ltd. has planned to implement the Strategic Business Unit (SBU) structure. Very large organisations, particularly those running into several products, or operating at distant geographical locations that are extremely diverse in terms of environmental factors, can be better managed by creating strategic business units. SBU structure becomes imperative in an organisation with an increase in number, size and diversity.

The attributes of an SBU and the benefits a firm may derive by using the SBU Structure are as follows:

- A scientific method of grouping the businesses of a multi – business corporation which helps the firm in strategic planning.
- An improvement over the territorial grouping of businesses and strategic planning based on territorial units.

- Strategic planning for SBU is distinct from rest of businesses. Products/ businesses within an SBU receive same strategic planning treatment and priorities.
- Each SBU will have its own distinct set of competitors and its own distinct strategy.
- The CEO of SBU will be responsible for strategic planning for SBU and its profit performance.
- Products/businesses that are related from the standpoint of function are assembled together as a distinct SBU.
- Unrelated products/ businesses in any group are separated into separate SBUs.
- Grouping the businesses on SBU lines helps in strategic planning by removing the vagueness and confusion.
- Each SBU is a separate business and will be distinct from one another on the basis of mission, objectives etc.

ICAI · P6 · MTP May 2026 · Series I · question p. 12 · answer p. 14

856 MTP **Jan 2026 S-I** Q1(B)(i) 2 marks MCQ

A manufacturing company's success is rooted in its proven ability to consistently adhere to ISO quality standards, deliver products with zero defects, and effectively manage its global supply chain. This inherent capability is a result of years of rigorous, standardized production schedules, quality audits, and logistical processes. Which "S" in the McKinsey 7S Framework best reflects these established, recurring daily activities and formal procedures?

A Staff

B Style

C Systems

D Skills

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP Jan 2026 · Series I · question p. 10

857 MTP **Sep 2025 S-I** Q4(b) OR 5 marks

Aarav Textiles Pvt. Ltd., a global apparel company, faced a revenue decline due to a pandemic. To sustain operations, it outsourced key functions like production, logistics and customer support. Now, it functions with a lean head office digitally connected to dispersed units. What organisational structure is this? Discuss its features and disadvantages.

ICAI'S ANSWER

Aarav Textiles Pvt. Ltd. is transitioning into a network structure, a modern and flexible organisational design. This structure is particularly suitable in times of uncertainty and disruption, such as during a global pandemic. Its essential features include:

1. It is sometimes called a "non-structure" as it eliminates many in-house functions and extensively outsources them.

2. Organisations adopting this model are often referred to as "virtual organisations", comprising a set of project teams or external collaborations connected through non-hierarchical, web-like structures.

3. This structure is highly effective in unstable environments where rapid innovation and quick responses are needed.

4. Instead of maintaining a large permanent workforce, the company may contract individuals or agencies for specific projects or time periods.

5. Long-term contracts with suppliers, manufacturers, and logistics partners replace traditional in-house operations.

Disadvantages

Aarav Textiles may face in the future under this structure include:

1. Managing a wide array of potential partners can become complex and may result in quality or consistency issues.

2. Ensuring effective coordination among diverse, independent business units spread globally is a significant managerial challenge.

3. Employees may feel less connected to the organisation, leading to reduced motivation or reluctance to engage in learning and development initiatives.

ICAI · P6 · MTP Sep 2025 · Series I · question p. 14 · answer p. 24

858 MTP **Jan 2025 S-II** Q1(a) 5 marks

Jupiter Electronics Ltd. is known for its ability to come out with path-breaking products. Though the work environment at Jupiters is relaxed and casual, there is a very strong commitment to deadlines. The employees believe in a “work hard play hard" ethic. The organisation has moved away from formal and hierarchical set up to a more results-driven approach. Employees are committed to strategies and work towards achieving them. They guard innovations, maintain confidentiality and secrecy in their work. They are closely related to values, practices, and norms of organisations. What aspects of an organization are being discussed? Explain.

ICAI'S ANSWER

The scenario being referred to is culture in Jupiter Electronics. Strong culture promotes good strategy execution when there's fit and impels execution when there's negligible fit. A culture grounded in values, practices, and behavioral norms that match what is needed for good strategy execution helps energize people throughout the organization to do their jobs in a strategy-supportive manner. A culture built around such business principles as listening to customers, encouraging employees to take pride in their work, and giving employees a high degree of decision-making responsibility. This is very conducive to successful execution of a strategy of delivering superior customer service.

A strong strategy-supportive culture makes employees feel genuinely better about their jobs and work environment and the merits of what the company is trying to accomplish. Employees are stimulated to take on the challenge of realizing the organizational vision, do their jobs competently and with enthusiasm, and collaborate with others.

ICAI · P6 · MTP Jan 2025 · Series II · question p. 11 · answer p. 11

859 MTP **Jan 2025 S-II** Q2(b) 5 marks

Same question, different ICAI answer: #838 Old P7 RTP May 2022

How the 'Strategic Business Unit' (SBU), structure becomes imperative in an organization with increase in number, size and diversity of divisions?

ICAI'S ANSWER

SBU is a part of a large business organization that is treated separately for strategic management purposes. The concept of SBU is helpful in creating an SBU organizational structure. It is a separate part of large business serving product markets with readily identifiable competitors. It is created by adding another level of management in a divisional structure after the divisions have been grouped under a divisional top management authority based on the common strategic interests.

Very large organisations, particularly those running into several products, or operating at distant geographical locations that are extremely diverse in terms of environmental factors, can be better managed by creating strategic business units. SBU structure becomes imperative in an organisation with increase in number, size and diversity.

SBUs helps such organisations by:

- Establishing coordination between divisions having common strategic interest.
- Facilitate strategic management and control.
- Determine accountability at the level of distinct business units.
- Allow strategic planning to be done at the most relevant level within the total enterprise.
- Make the task of strategic review by top executives more objective and more effective.
- Help to allocate resources to areas with better opportunities.

ICAI · P6 · MTP Jan 2025 · Series II · question p. 12 · answer p. 12-13

860 MTP **Sep 2024 S-I** Q1(B)(ii) 2 marks MCQ

StreamlineCo is examining its internal capabilities to ensure that employees possess advanced knowledge of emerging technologies crucial for the company's future success. This involves investing in specialized training programs and updating job roles to match the latest industry standards. Which aspect of StreamlineCo is being enhanced through specialized training and updated job roles?

A Structure

B Systems

C Skills

D Style

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP Sep 2024 · Series I · question p. 9

861 MTP **Sep 2024 S-II** Q1(c) 5 marks

Orion Tech Solutions Pvt. Ltd. is renowned for its ability to launch groundbreaking software products. Despite the relaxed and casual work environment at Orion, there is a strong commitment to meeting deadlines. Employees at Orion believe in the "work hard, play hard" ethic. The company has shifted from a formal, hierarchical structure to a more results-oriented approach. Employees are deeply committed to the company's strategies and work diligently to achieve them. They safeguard innovations and maintain strict confidentiality and secrecy in their operations. Their work culture is closely aligned with

the organization's values, practices, and norms. What aspects of an organization are being discussed? Explain.

ICAI'S ANSWER

The scenario being referred to is the organizational culture at Orion Tech Solutions Pvt. Ltd. A strong culture encourages effective strategy execution when there is alignment and drives performance even when there is minimal alignment. A culture rooted in values, practices, and behavioural norms that align with the requirements for successful strategy execution energizes employees across the organization to perform their roles in a manner that supports the strategy. Orion's culture, built around principles such as listening to customers, encouraging employees to take pride in their work, and providing a high degree of decision-making autonomy, is highly conducive to successfully executing a strategy focused on delivering superior software solutions.

A strong strategy-supportive culture at Orion makes employees feel genuinely better about their jobs, work environment, and the organization's goals. It motivates them to embrace the challenge of realizing the company's vision, perform their duties competently and enthusiastically, and collaborate effectively with others.

ICAI · P6 · MTP Sep 2024 · Series II · question p. 10 · answer p. 12

862 MTP **May 2024 S-I** Q1(B)(ii) 2 marks MCQ

BlueSky Enterprises, a multinational corporation specializing in renewable energy solutions, is undergoing a strategic transformation to enhance its competitive position in the market. As part of this initiative, the company is reevaluating its organizational structure, processes, and culture. Which aspect of the McKinsey 7S Model is most relevant for BlueSky Enterprises during this strategic transformation?

- A Strategy
- B Structure
- C Systems
- D Skills

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP May 2024 · Series I · question p. 8

863 MTP **May 2024 S-II** Q1(B)(i) 2 marks MCQ

Shamita joined GlobalX Consulting firm as an Analyst in financial fraud mitigation. In her very first assignment she faced an integrity dilemma where her subordinates had missed calling out a potential financial risk which could impact the overall fraud rating of the organisation. She quickly reached out to her seniors who appreciated her diligence and immediately reported the same to senior management. In this scenario which element, soft or hard, is acting in favor of GlobalX?

- A Strategy
- B Systems
- C Shared Value
- D Staff

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP May 2024 · Series II · question p. 10

864 MTP **Old P7 Nov 2023 S-I** Q1(F) 1 mark MCQ old scheme

Which is true for Hourglass Organization Structure?

A Wide at the bottom and widest at the top.

B Middle level managers are generalist and perform wide variety of tasks

C Decision making is slow

D Difficult to keep motivation level high among lower-level staff

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 7

865 MTP **Old P7 Nov 2023 S-II** Q1(D) 2 marks MCQ old scheme

TechNo Solutions, a dynamic tech company, is considering a shift in its organizational structure to enhance efficiency. The management team is evaluating various strategies and decided to virtually eliminate in-house business functions. Which of the following organizational structures is TechNo Solutions shifting towards?

A Network Structure

B Matrix structure

C Hourglass Structure

D SBU Structure

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 6

866 MTP **Old P7 Nov 2023 S-II** Q6(a) 5 marks old scheme

Same question, different ICAI answer: #835 Old P7 RTP Nov 2022

'A strategy-supportive culture promotes good strategy execution.' Explain.

ICAI'S ANSWER

Strong cultures promote good strategy execution when there's fit and hurt execution when there's negligible fit. A culture grounded in values, practices, and behavioral norms that match what is needed for good strategy execution helps energize people throughout the organization to do their jobs in a strategy-supportive manner. A culture built around such business principles as listening to customers, encouraging employees to take pride in their work, and g iving employees a high degree of decision-making responsibility. This is very conducive to successful execution of a strategy of delivering superior customer service.

A work environment where the culture matches the conditions for good strategy execution provides a system of informal rules and peer pressure regarding how to conduct business internally and how to go about doing one's job.

A strong strategy-supportive culture makes employees feel genuinely better about their jobs and work environment and the merits of what the company is trying to accomplish. Employees are

stimulated to take on the challenge of realizing the organizational vision, do their jobs competently and with enthusiasm, and collaborate with others.

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 8 · answer p. 9

867 MTP **Old P7 May 2023 S-I** Q6(a) 5 marks old scheme

Same question, different ICAI answer: #840 Old P7 RTP Dec 2021

Bunch Pvt Ltd. is dealing in multiproduct like electronics and FMCG and are having outlets in different cities and markets across India. Due to scale of operation, it is having technical difficulty in dealing with distinct product line and markets especially in coordination and control related problems. Identify and suggest an ideal organizational structure for Bunch Pvt Ltd in resolving the problem?

ICAI'S ANSWER

To deal with the problems facing by the Bunch Pvt Ltd., we suggest Multi divisional structure for the organisation. Multidivisional (M-form) structure is composed of operating divisions where each

for day-to-day operations and business unit strategy to division managers. By such delegation, the corporate office is responsible for formulating and implementing overall corporate strategy and manages divisions through strategic and financial controls.

Multidivisional or M-form structure was developed in the 1920s, in response to coordination-and control-related problems in large firms. Functional departments often had difficulty dealing with distinct product lines and markets, especially in coordinating conflicting priorities among the products. Costs were not allocated to individual products, so it was not possible to assess an individual product's profit contribution. Loss of control meant that optimal allocation of firm resources between products was difficult (if not impossible). Top managers became over-involved in solving short-run problems (such as coordination, communications, conflict resolution) and neglected long-term strategic issues.

ICAI · Old P7 · MTP May 2023 · Series I · question p. 8 · answer p. 9-10

868 MTP **Old P7 May 2023 S-II** Q1(B) 2 marks MCQ old scheme

Abhishek a freelancer writes promotional materials. He decided to collaborate without requiring physical presence of employee, and hired virtual assistants to transcribe voice mail, update his website, and design PowerPoint graphics. What kind of structure is he using for his business?

- A Functional structure
- B Divisional structure
- C Network structure
- D Multi-divisional structure

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2023 · Series II · question p. 6

869 MTP **Old P7 Nov 2022 S-I** Q1(B) 2 marks MCQ old scheme

Swabhaav, a social media marketing firm introduced an AI based management tool that has the capabilities of managing teams across functions all while being creative. What is the most likely organisational structure post this implementation?

A Divisional

B Matrix

C Hourglass

D Network

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Nov 2022 · Series I · question p. 8

870 MTP **Old P7 Nov 2022 S-II** Case scenario · Q1(A)1 to Q1(A)5 7 marks old scheme

CASE SCENARIO

SKS, a Bollywood actor, was so affected by the chaos in the country due to the Pandemic that he and his team took upon themselves to cater to the poorest section of the society and formed SKS Foundation.

They had to plan in accordance with the policies of the government, arrange for quality medical care especially the internationally acclaimed medicine, which was available in extreme scarcity, transportation of people to and from their hometowns, and on time delivery of basic necessities. The task was humongous given the number of people to be cared for and the restrictions in place for goods/people movement. To execute the plan, they distributed the work amongst themselves as follows;

- Two people worked on the communication flow - WhatsApp, Facebook and IVR systems, were setup to reach out people, and for arrangements
- Three people setup logistics - finding medicine suppliers around India, negotiating prices, fixing transportation agents, making basic necessities available at the very doorstep (last mile delivery)
- Three other people were given the responsibility of food distribution - they took help from temples, gurdwaras and NGOs for making food available to the most needy first, aim was to provide at least two meals a day.
- Finally, one person worked on fund management - major sources being crowdfunding, NGO support, further support was carried through high net worth individuals networking, and celebrity support.

The major challenges were getting the medicines and hospital beds as the demand was sky high and the availability was skewed. But the team was passionate and as they gathered support from the general public, it became easier to operate and arrange necessities.

Management is tougher when the motive is not making profit, because all essential elements of strategy are to be considered, while the only way to measure success is people's safety, satisfaction and happiness. The numeric metrics fail to give a direction and the only measurement is psychological.

Based on the above Case Scenario, answer the Multiple-Choice Questions which are as follows:

Q1(A)1 1 mark out of syllabus

Given the prices of medicines were widely fluctuating every single day based on the media reports and various medical practitioners recommendations, plus oxygen availability was also not under control, which of the following aspects of Financial Strategy would have been most challenging for the team member responsible?

A Strategising sources of funds

B Budgeting of available funds

C Strategizing usage of funds

D Valuing the worth of operations

Q1(A)2 1 mark

Let us suppose the foundation wants to expand with a dedicated 7 to 10 member team for each city. Which of the following structures would ensure each area to be handled by the central team to ensure no compromise on the quality and prices?

A Matrix Structure

B Divisional Structure

C Multidivisional Structure

D Functional Structure

Q1(A)3 2 marks out of syllabus

Which of the following questions would have to be taken care of by the logistics team in particular? i. What are the most reliable sources of medicine sellers? ii. How many of them would be willing to supply at affordable rates? iii. Nature of their business, whether sole proprietorship, LLP, Partnership or Company, for compliance ease? iv. Method of distribution they use if the transportation had to be done nation-wide? v. What volumes can these distributors handle per day/week/month?

A Only (i), (ii), (iv) and (v)

B Only (i), (ii) and (v)

C Only (iv) and (v)

D All of these would have to be taken care

Q1(A)4 2 marks out of syllabus

Given the huge demand and extremely low supply of a new internationally acclaimed medicine, the unethical retailers followed which of the following strategies for maximum profits. Further, in the long term, when the availability stabilizes, what would help them define the target selling price?

A Skimming Pricing Policy followed currently, and later on stabilisation they would need penetration price strategy to set target price.

B Skimming Pricing Policy followed currently, and later on stabilisation they would need benchmarking to set target price.

C Penetration Pricing Policy followed currently, and later on stabilisation they would need skimming to win customer who could afford it.

D Penetration Pricing Policy followed currently, and later on stabilisation they would need flexible pricing strategy to set target price.

Q1(A)5 1 mark out of syllabus

Strategising a not for profit demands a different strategic mindset. Which of the following would not form part of the food distribution team's strategic checklist? i. Cost Saving ii. Reduced Inventory iii. Improved Delivery Time iv. Competitive Advantage

A Options (i) and (iv)

B Only (i)

C Only (iv)

D Options (i), (ii) and (iv)

ICAI'S ANSWERS

Q1(A)1

Answer key: **(B)**

Q1(A)2

Answer key: **(D)**

Q1(A)3

Answer key: **(A)**

Q1(A)4

Answer key: **(B)**

Q1(A)5

Answer key: **(C)**

ICAI · Old P7 · MTP Nov 2022 · Series II · question p. 6

871 MTP **Old P7 Nov 2022 S-II** Q1(G) 1 mark MCQ old scheme

Corporate culture refers to:

A Company's values and beliefs

B Company's business principles

C Internal work environment

D All the above

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2022 · Series II · question p. 8

872 MTP **Old P7 May 2022 S-I** Q1(C) 2 marks MCQ old scheme

J&P, a western wear brand has contracted Pee Kaw marketing firm from Singapore, product design team working as an outsource company from Mexico and Humans branding company taking care of its people's operations. What kind of structure is this?

A Hourglass Structure

B Outsourcing

C Network Structure

D Tree Branch Structure

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2022 · Series I · question p. 7

873 MTP **Old P7 May 2022 S-I** Q5(b) 5 marks old scheme

What do you understand by functional structure?

ICAI'S ANSWER

Functional structure is widely used because of its simplicity and low cost. A functional structure groups tasks and activities by business function.

The functional structure consists of a chief executive officer or a managing director and limited corporate staff with functional line managers in dominant functions such as production, accounting, marketing, R&D, engineering, and human resources. Disadvantages of a functional structure are that it forces accountability to the top, minimizes career development opportunities, etc.

ICAI · Old P7 · MTP May 2022 · Series I · question p. 9 · answer p. 9

874 MTP **Old P7 May 2022 S-II** Q1(G) 1 mark MCQ old scheme

A strategic business unit is a grouping of _____ businesses.

A unrelated

B differentiated

C related

D None of these.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2022 · Series II · question p. 8

875 MTP **Old P7 Dec 2021 S-I** Q2 5 marks old scheme

Maadhyam, a hearing aid manufacturer recently introduced an AI based management tool in its organization which are having the qualities and capabilities of managing teams across functions. This technological tool in addition to saving organisational costs by replacing many tasks of the middle management has also served as a link between top and bottom levels in the organisation and assists in quick decision making. The skewed middle level managers now perform cross-functional duties. What could be their new organizational structure post implementation of AI based management tool? How can this structure benefit the organization?

ICAI'S ANSWER

In the recent years information technology and communications have significantly altered the functioning of organizations. The role played by middle management is diminishing as the tasks performed by them are increasingly being replaced by the technological tools. Hourglass organization structure consists of three layers in an organisation structure with constricted middle layer. The structure has a short and narrow middle management level.

Information technology links the top and bottom levels in the organization taking away many tasks that are performed by the middle level managers. A shrunken middle layer coordinates diverse lower level activities.

Hourglass Organization Structure

Hourglass structure has obvious benefit of reduced costs. It also helps in enhancing responsiveness by simplifying decision making. Decision making authority is shifted close to the source of information so that it is faster. However, with the reduced size of middle management, the promotion opportunities for the lower levels diminish significantly.

ICAI · Old P7 · MTP Dec 2021 · Series I · question p. 7 · answer p. 7

876 MTP **Old P7 Dec 2021 S-II** Q4(a) 5 marks old scheme

ABC Pvt Ltd is dealing in multiproduct like electronics and FMCG and are having outlets in different cities and markets across India. Due to scale of operation, it is having technical difficulty in dealing with distinct product line and Markets especially in coordination and control related problems. Which of following technique which was introduced in 1920 can be used to resolve the problem?

ICAI'S ANSWER

Multi divisional structure is composed of operating divisions where each division represents a separate business to which the top corporate officer delegates responsibility for day-to-day operations and business unit strategy to division managers. Multi divisional structure was developed in the 1920, in response to coordination and control related problems in large firms where functional departments often had difficulty dealing with distinct product lines and Markets.

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 8 · answer p. 7

877 MTP **Old P7 Jul 2021 S-I** Q1(G) 1 mark MCQ old scheme

A corporation organized in network structure is often called

A Virtual organization

B Hierarchical organization

C Structured organization

D Simple organization

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 7

878 MTP **Old P7 Jul 2021 S-I** Q4(b) 5 marks old scheme

Same question, different ICAI answer: #841 Old P7 RTP Jul 2021

How can management communicate that it is committed to creating a new culture assuming that the old culture was problematic and not aligned with the company strategy?

ICAI'S ANSWER

Corporate culture refers to company's values, beliefs, business principles, traditions, ways of operating and internal work environment. Changing problem cultures is very difficult because of deeply held values and habits. It takes concerted management action over a period of time to replace an unhealthy culture with a healthy culture or to root out certain unwanted cultural obstacles and instil ones that are more strategy-supportive.

- The first step is to diagnose which facets of the present culture are str ategy supportive and which are not.
- Then, managers have to talk openly and forthrightly to all concerned about those aspects of the culture that have to be changed.
- The talk has to be followed swiftly by visible, aggressive actions to modify the culture-actions that everyone will understand are intended to establish a new culture more in tune with the strategy.

Management through communication has to create a shared vision to manage changes. The menu of culture-changing actions includes revising policies and procedures, altering incentive compensation, shifting budgetary allocations for substantial resources to new strategy projects, recruiting and

hiring new managers and employees, replacing key executives, communication on need and benefit to employees and so on.

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 7 · answer p. 8

879 MTP **Old P7 Jul 2021 S-II** Q1(C) 2 marks MCQ old scheme

Davis and Lawrence have proposed three distinct phases for development of matrix structure. These phases are (1) Cross-functional task forces (2) Product/brand management and (3) _____.

A Market/external management

B Functional matrix

C Mature matrix

D Internal management

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 6

880 MTP **Old P7 Nov 2020 S-I** Q2 5 marks old scheme

Delta Co. is an organization specializing in Information Technology enabled Services (ITeS) and Communications business. Last year, the organization had successfully integrated an Artificial Intelligence (AI) tool named 'Zeus' into the existing ERP system. The AI tool, using Deep Learning technique provided a digital leap transformation in various business processe s and operations. It has significantly diminished the role played by specialist managers of the middle management. This technological tool in addition to saving organizational costs by replacing many tasks of the middle management has also served as a link between top and bottom levels in the organization and assists in quick decision making. The skewed middle level managers now perform cross-functional duties. Which type of organizational structure is the company transitioning into?

ICAI'S ANSWER

The Delta company is transitioning into the hourglass organization structure because it has used technological tools to transform various business processes and operations and has significantly diminished the role played by specialist managers of the middle management. The technological tool in addition to saving organizational costs by replacing many tasks of the middle management has also served as a link between top and bottom levels in the organization and assists in faster decision making. The skewed middle level managers now perform cross-functional duties. All these factors indicate towards hourglass organization structure.

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 8 · answer p. 6

881 MTP **Old P7 Nov 2020 S-I** Q6(b) 5 marks old scheme

What is corporate culture? How is it both strength and weakness of an organisation?

ICAI'S ANSWER

Corporate culture distinguishes one organisation from another. It refers to a company's values, beliefs, business principles, traditions, and ways of operating and internal work environment. Every corporation has a culture that exerts powerful influences on the behaviour of managers. Culture affects not only the way managers behave within an organization but also the decisions they make about the organization's relationships with its environment and its strategy.

A culture grounded in values, practices, and behavioural norms that match what is needed for good strategy execution helps energize people throughout the company to do their jobs in a strategy-supportive manner, adding significantly to the power and effectiveness of strategy execution

Culture is both a strength and a weakness as follows:

Culture as a strength: As a strength, culture can facilitate communication, decision-making & control and create cooperation & commitment. An organization's culture could be strong and cohesive when it conducts its business according to a clear and explicit set of principles and values, which the management devotes considerable time to communicating to employees and which values are shared widely across the organization.

Culture as a weakness: As a weakness, culture may obstruct the smooth implementation of strategy by creating resistance to change. An organization's culture could be characterized as weak when many subcultures exist, few values and behavioral norms are shared and traditions are rare. In such organizations, employees do not have a sense of commitment and loyalty with the organisation.

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 8 · answer p. 8-9

882 MTP **Old P7 May 2020 S-I** Q1(D) 1 mark MCQ old scheme

Which of the following is more radical organisation design and is also called as non-structure which virtually eliminates in-house business functions and outsources many of them?

- A Network structure
- B Strategic business unit
- C Hourglass structure
- D Simple structure

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2020 · Series I · question p. 6-7

883 MTP **Old P7 Nov 2019 S-I** Q6(a) 5 marks old scheme

Also asked in Old P7 MTP May 2019 S-I Q6(a)

How can a corporate culture be both strength and weakness of an organisation?

ICAI'S ANSWER

The most important phenomenon which often distinguishes one organisation with another is its corporate culture. Corporate culture refers to a company's values, beliefs, business principles, traditions, and ways of operating and internal work environment. Every corporation has a culture that exerts powerful influences on the behaviour of managers.

(i) As a strength: Culture can facilitate communication, decision making and control and instil cooperation and commitment. An organization's culture could be strong and cohesive when it conducts its business according to clear and explicit set of principles and values, which the management devotes considerable time to communicating to employees and which values are shared widely across the organisation.

(ii) As a weakness: Culture, as a weakness can obstruct the smooth implementation of strategy by creating resistance to change. An organization's culture could be characterised as weak when many

sub-cultures exists, few values and behavioural norms are shared and traditions are rare. In such organizations, employees do not have a sense of commitment, loyalty and sense of identity.

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 6 · answer p. 8-9

884 MTP **Old P7 May 2019 S-I** Q1(viii) 1 mark MCQ old scheme

What type of organizational structure do most small businesses follow?

A Divisional structure

B Functional structure

C Hour Glass structure

D Matrix structure

ICAI'S ANSWER

Answer key: **(D)**

PassBook's note: ICAI's key: (D) Matrix structure (answers p.6, checked on the rendered page). SM 5.29 describes the functional structure as the one small firms tend to use ("Small firms tend to be functionally structured").

ICAI · Old P7 · MTP May 2019 · Series I · question p. 5

5.4 Strategic leadership

31 questions · asked in 27 ICAI documents · 6 exam papers

885 EXAM **Sep 2026** Q7(b) 5 marks

In today's competitive landscape, effective strategic leaders must deal with rapid, complex changes and diverse competitive situations. Define what constitutes a 'managerial frame of reference' and explain its significance. Furthermore, list any six specific responsibilities of a strategic leader.

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P6 · Sep 2026 exam · question p. 22

886 EXAM **Old P7 May 2023** Q6 old scheme

Ramesh and Suresh own software development firms ACS Ltd. and BDS Ltd. Ramesh and Suresh pitch their business in international markets and win international contracts. Ramesh has fifty software engineers in his team. Suresh, on the other hand, leads a team of forty software engineers. Every project has a specific and fixed timeline. Individual projects are assigned to project heads by Ramesh and Suresh. Ramesh adheres to strict rules and procedures. He met with the project heads to get an update but exchanged ideas occasionally. He set a weekly target of forty hours to complete the assigned goal or task. The group that met the deadline and completed the task received a 10% bonus. The group that was unable to meet the deadline was penalized. The group that did not meet the deadline was penalized with unpaid extra working hours to complete the task. Suresh, unlike Ramesh, did not priorities a structured approach to work. Suresh inspired the project managers by making them feel like leaders rather than just participants. Suresh's empowering attitude helped to align individual goals with group goals. Ramesh established routines to maximize his team efficiency. Suresh, on the other hand, used positive reinforcement to maximize his team efficiency.

(a) Identify the leadership style employed by Ramesh and Suresh.

(b) What are the conditions/situations that make such leadership styles more appropriate?

(c) Discuss the characteristics of the leadership styles.

ICAI'S ANSWER

(i) Ramesh adopted transactional leadership style, while Suresh adopted transformational leadership style.

(ii) Transactional leadership style can be appropriate in settled and static environment, in growing or mature industries and in organizations that are performing well.

Transformational leadership style may be appropriate in turbulent environment, in industries at the very start or end of their life cycles, in poorly performing organizations when there is a need to inspire a company to embrace major changes.

(iii) Transactional leadership style uses the authority of its office to exchange rewards such as pay, status symbols etc. Transactional leaders prefer a more formalized approach to motivation, setting clear goals with explicit rewards or penalties for achievement and non-achievement. Transactional leaders focus mainly to build on existing culture and enhance current practices.

Transformational leadership style uses charisma and enthusiasm to inspire people to exert them for the good of organization. Transformational leaders inspire employees by offering excitement, vision, intellectual stimulation and personal satisfaction.

ICAI · Old P7 · May 2023 exam · question p. 9 · answer p. 9-10

887 EXAM **Old P7 May 2023** Q10(b) OR old scheme

You have been appointed as head of the Strategic Business Unit (SBU) of a large multiproduct company. Explain the leadership roles, you have to play as a Manager in pushing for good strategy execution.

ICAI'S ANSWER

A head of the strategic business unit (SBU) has many different leadership roles to play: visionary, chief entrepreneur and strategist, chief administrator, culture builder, resource acquirer and allocator, capabilities builder, process integrator, crisis solver, spokesperson, negotiator, motivator, arbitrator, policy maker, policy enforcer, and head cheerleader. Managers have five leadership roles to play in pushing for good strategy execution:

1. Staying on top of what is happening, closely monitoring progress, working through issues and obstacles.

2. Promoting a culture that mobilizes and energizes organizational members to execute strategy and perform at a high level.

3. Keeping the organization responsive to changing conditions, alert for new opportunities and remain ahead of rivals in developing competitively valuable competencies and capabilities.

4. Ethical leadership and insisting that the organization conduct its affairs like a model corporate citizen.

5. Pushing corrective actions to improve strategy execution and overall strategic performance.

ICAI · Old P7 · May 2023 exam · question p. 15-16 · answer p. 16

888 EXAM **Old P7 Nov 2022** Q7(b) 5 marks old scheme

You have been appointed as a Chief Executive Officer (CEO) in a company which is facing many difficulties in proper execution of its strategy. Explain the leadership roles which you should play in pushing for good strategy execution.

ICAI'S ANSWER

A Chief Executive Officer (CEO) has many different leadership roles to play: visionary, chief entrepreneur and strategist, chief administrator, culture builder, resource acquirer and allocator, capabilities builder, process integrator, crisis solver, spokesperson, negotiator, motivator, arbitrator, policy maker, policy enforcer, and head cheerleader. Managers have five leadership roles to play in pushing for good strategy execution:

1. Staying on top of what is happening, closely monitoring progress, working through issues and obstacles.

2. Promoting a culture that mobilizes and energizes organizational members to execute strategy and perform at a high level.

3. Keeping the organization responsive to changing conditions, alert for new opportunities and remain ahead of rivals in developing competitively valuable competencies and capabilities.

4. Ethical leadership and insisting that the organization conduct its affairs like a model corporate citizen.

5. Pushing corrective actions to improve strategy execution and overall strategic performance.

ICAI · Old P7 · Nov 2022 exam · question p. 14 · answer p. 14

889 EXAM **Old P7 Nov 2019** Q10(a) old scheme

Same question, different ICAI answer: #907 Old P7 MTP Nov 2022 S-I

Distinguish between transformational leadership style and transactional leadership style.

ICAI'S ANSWER

Difference between transformational and transactional leadership are as follows:

1. Transformational leadership style uses charisma and enthusiasm to inspire people to exert them for the good of organization. Transactional leadership style uses the authority of its office to exchange rewards such as pay, status symbols etc.

2. Transformational leadership style may be appropriate in turbulent environment, in industries at the very start or end of their cycles, poorly performing organisations, when there is a need to inspire a company to embrace major changes. Transactional leadership style can be appropriate in static environment, in growing or mature industries and in organisations that are performing well.

3. Transformational leaders inspire employees by offering excitement, vision, intellectual stimulation and personal satisfaction. Transactional leaders prefer a more formalized approach to motivation, setting clear goals with explicit rewards or penalties for achievement and non-achievement. Transactional leaders focus mainly to build on existing culture and enhance current practices.

ICAI · Old P7 · Nov 2019 exam · question p. 13 · answer p. 13-14

890 EXAM **Old P7 May 2019** Q9(a) 5 marks old scheme

Discuss the leadership roles played by the managers in pushing for good strategy execution.

ICAI'S ANSWER

A manager as a strategic leader has many different leadership roles to play: visionary, chief entrepreneur and strategist, chief administrator, culture builder, resource acquirer and allocator, capabilities builder, process integrator, crisis solver, spokesperson, negotiator, motivator, arbitrator,

policy maker an so on. Managers have five leadership roles to play in pushing for good strategy execution:

1. Staying on top of what is happening, closely monitoring progress, working through issues and obstacles.

2. Promoting a culture that mobilizes and energizes organizational members to execute strategy and perform at a high level.

3. Keeping the organization responsive to changing conditions, alert for new opportunities and remain ahead of rivals in developing competitively valuable competencies and capabilities.

4. Ethical leadership and insisting that the organization conduct its affairs like a model corporate citizen.

5. Pushing corrective actions to improve strategy execution and overall strategic performance.

ICAI · Old P7 · May 2019 exam · question p. 13 · answer p. 13-14

891 EXAM **Old P7 May 2018** Q9(b) 5 marks old scheme

Ram and Shyam are two brothers engaged in the business of spices. Both have different approaches to management. Ram prefers the conventional and formal approach in which authority is used for explicit rewards and punishment. While, on the other hand, Shyam believes in democratic participative management approach, involving employees to give their best.

Analyse the leadership style followed by Ram and Shyam.

ICAI'S ANSWER

Ram is a follower of transactional leadership style that focuses on designing systems and controlling the organization's activities. Such a leader believes in using authority of its office to exchange rewards, such as pay and status. They prefer a more formalized approach to motivation, setting clear goals with explicit rewards or penalties for achievement or non-achievement. Transactional leaders try to build on the existing culture and enhance current practices. The style is better suited in persuading people to work efficiently and run operations smoothly.

On the other hand, Shyam is a follower of transformational leadership style. The style uses charisma and enthusiasm to inspire people to exert them for the good of the organization. Transformational leaders offer excitement, vision, intellectual stimulation and personal satisfaction. They inspire involvement in a mission, giving followers a 'dream' or 'vision' of a higher calling so as to elicit more dramatic changes in organizational performance. Such a leadership motivates followers to do more than originally affected to do by stretching their abilities and increasing their self-confidence, and also promote innovation throughout the organization.

ICAI · Old P7 · May 2018 exam · question p. 12 · answer p. 13

892 RTP **Sep 2026** Q15

Cura-Stents India Ltd., a manufacturer of high-precision cardiac stents, follows stringent international quality and sterilisation standards. The Plant Director sets fixed production targets, strict quality benchmarks and standard operating procedures. Employees achieving targets receive monetary rewards, while those failing to meet standards face salary deductions and mandatory retraining. The Director mainly monitors performance and takes corrective action for deviations. Identify the style of Strategic Leadership illustrated and distinguish it from Transformational Leadership based on organisational change and employee motivation.

ICAI'S ANSWER

The style of Strategic Leadership illustrated in the case is Transactional Leadership. Transactional Leadership focuses on designing systems, controlling organisational activities and improving the current situation. It uses the authority of the leader's office to exchange rewards such as pay and status, for desired performance. It follows a formal approach to motivation by setting clear goals with explicit rewards for achievement and penalties for non-achievement. This style is appropriate in static environments, mature industries and organisations where efficient operations and smooth functioning are essential. In the given case, the Plant Director sets clear production targets, quality benchmarks and standard operating procedures. Employees achieving the targets receive monetary rewards, whereas those failing to meet standards are penalised through salary deductions and mandatory retraining. The Director mainly monitors performance and takes corrective action, which are the key characteristics of Transactional Leadership. Difference between Transactional and Transformational Leadership

Basis	Transactional Leadership	Transformational Leadership
Organisational Change	Focuses on improving the current situation, building on the existing culture and enhancing current practices. It is suitable for stable environments and efficient operations.	Focuses on creating strategic change by inspiring employees with a vision. It is suitable in turbulent environments and when major organisational change is required.
Employee Motivation	Motivates employees through explicit rewards and penalties linked to performance.	Motivates employees through charisma, enthusiasm, vision and intellectual stimulation, encouraging them to exceed expectations and embrace innovation.

Thus, the Plant Director demonstrates Transactional Leadership, as the emphasis is on achieving operational efficiency, ensuring compliance with standards and motivating employees through a structured system of rewards and penalties.

ICAI · P6 · RTP Sep 2026 · question p. 34 · answer p. 41-42

893 RTP **Old P7 May 2023** Q19 old scheme

Anshuman was a CEO at a struggling company. Despite the challenges, he believed in the potential of his team and was determined to turn the company around. He started by communicating his vision to his employees. He encouraged them to think outside the box, take risks and be creative. He also invested in training programs to help employees develop new skills. He regularly recognized and rewarded employees for their hard work, which increased their job satisfaction and commitment. As a result, the company began to see positive changes.

Identify and discuss the leadership style adopted by Anshuman?

ICAI'S ANSWER

Being a CEO of a struggling company, Anshuman has adopted Transformational leadership style. The style uses charisma and enthusiasm to inspire people to exert them for the good of the organization. Transformational leaders offer excitement, vision, intellectual stimulation and personal satisfaction. They inspire involvement in a mission, giving followers a 'dream' or 'vision' of a higher calling so as to elicit more dramatic changes in organizational performance. Such a leadership motivates followers to do more than originally affected to do by stretching their abilities and increasing their self - confidence, and also promote innovation throughout the organization.

Anshuman believed in the potential of his team. He started by communicating his vision to his employees. He encouraged them to think outside the box, take risks and be creative. He also invested in training programs to help employees develop new skills. He regularly recognized and rewarded employees for their hard work, which increased their job satisfaction and commitment.

ICAI · Old P7 · RTP May 2023 · question p. 19 · answer p. 26

894 RTP **Old P7 Dec 2021** Q20 old scheme

Also asked in Old P7 RTP Nov 2020 Q20

How can you differentiate between transformational and transactional leaders?

ICAI'S ANSWER

Difference between transformational and transactional leadership

1. Transformational leadership style uses charisma and enthusiasm to inspire people to exert them for the good of organization. Transactional leadership style uses the authority of its office to exchange rewards such as pay, status symbols etc.

2. Transformational leadership style may be appropriate in turbulent environment, in industries at the very start or end of their cycles, poorly performing organisations, when there is a need to inspire a company to embrace major changes. Transactional leadership style can be appropriate in static environment, in growing or mature industries and in organisations that are performing well.

3. Transformational leaders inspire employees by offering excitement, vision, intellectual stimulation and personal satisfaction. Transactional leaders prefer a more formalized approach to motivation, setting clear goals with explicit rewards or penalties for achievement and non-achievement. Transactional leaders focus mainly to build on existing culture and enhance current practices.

ICAI · Old P7 · RTP Dec 2021 · question p. 18 · answer p. 25

895 RTP **Old P7 Jul 2021** Q19 old scheme

Same question, different ICAI answer: #902 MTP May 2026 S-II · #905 Old P7 MTP Nov 2023 S-I

Suraj Prakash and Chander Prakash are two brothers engaged in the business of spices. Both have different approaches to management. Suraj Prakash prefers the conventional and formal approach in which authority is used for explicit rewards and punishment. While, on the other hand, Chander Prakash believes in democratic participative management approach, involving employees to give their best.

Analyse the leadership style followed by Suraj Prakash and Chander Prakash.

ICAI'S ANSWER

Suraj Prakesh is a follower of transactional leadership style that focuses on designing systems and controlling the organization's activities. Such a leader believes in using authority of its office to exchange rewards, such as pay and status. They prefer a more formalized approach to motivation, setting clear goals with explicit rewards or penalties for achievement or non-achievement. Transactional leaders try to build on the existing culture and enhance current practices. The style is better suited in persuading people to work efficiently and run operations smoothly.

On the other hand, Chander Prakash is a follower of transformational leadership style. The style uses charisma and enthusiasm to inspire people to exert them for the good of the organization. Transformational leaders offer excitement, vision, intellec tual stimulation and personal satisfaction.

They inspire involvement in a mission, giving followers a 'dream' or 'vision' of a higher calling so as to elicit more dramatic changes in organizational performance. Such a leadership motivates followers to do m ore than originally affected to do by stretching their abilities and increasing their self-confidence, and also promote innovation throughout the organization.

ICAI · Old P7 · RTP Jul 2021 · question p. 17 · answer p. 22

896 RTP **Old P7 May 2020** Q1(xv) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

In strategic management, there are two main styles of leadership. These are transformational and:

A Transparent

B Transitional

C Translational

D Transactional

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2020 · question p. 11

897 RTP **Old P7 May 2020** Q14 old scheme

Also asked in Old P7 RTP Nov 2018 Q17

KaAthens Ltd., a diversified business entity having business operations across the globe. The company leadership has just changed as Mr. D. Bandopadhyay handed over the pedals to his son Aditya Bandopadhyay, due to his poor health. Aditya is a highly educated with an engineering degree from IIT, Delhi. However, being very young he is not clear about his role and responsibilities.

In your view, what are the responsibilities of Aditya Bandopadhyay as CEO of the company.

ICAI'S ANSWER

Aditya Bandopadhyay, an effective strategic leader of KaAthens Ltd. must be able to deal with the diverse and cognitively complex competitive situations that are characteristic of today's competitive landscape.

A Strategic leader has several responsibilities, including the following:

- Making strategic decisions.
- Formulating policies and action plans to implement strategic decision.
- Ensuring effective communication in the organisation.
- Managing human capital (perhaps the most critical of the strategic leader's skills). ♦ Managing change in the organisation.
- Creating and sustaining strong corporate culture.
- Sustaining high performance over time.

ICAI · Old P7 · RTP May 2020 · question p. 15 · answer p. 21

898 RTP **Old P7 May 2019** Q1(xvi) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Which of the following situation will most likely suit a transformational leader?

A An organization that is in trouble.

B A growing organization.

C An organization in a stable environment.

D An organization at maturity stage of product life cycle.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP May 2019 · question p. 11

899 RTP **Old P7 May 2019** Q14 old scheme

Ramesh, is owner of a popular brand of Breads. Yashpal, his son after completing Chartered Accountancy started assisting his father in running of business. The approaches followed by father and son in management were very different. While Ramesh preferred to use authority and having a formal system of defining goals and motivation with explicit rewards and punishments, Yashpal believed in involving employees and generating enthusiasm to inspire people to deliver in the organization.

Discuss the difference in leadership style of father and son.

ICAI'S ANSWER

Ramesh is a follower of transactional leadership style that focuses on designing system s and controlling the organization's activities. Such a leader believes in using authority of its office to exchange rewards, such as pay and status. They prefer a more formalized approach to motivation, setting clear goals with explicit rewards or penalties for achievement or non-achievement. Transactional leaders try to build on the existing culture and enhance current practices. The style is better suited in persuading people to work efficiently and run operations smoothly.

On the other hand, Yashpal is follower of transformational leadership style. The style uses charisma and enthusiasm to inspire people to exert them for the good of the organization. Transformational leaders offer excitement, vision, intellectual stimulation and personal satisfaction. They inspire involvement in a mission, giving followers a 'dream' or 'vision' of a higher calling so as to elicit more dramatic changes in organizational performance. Such a leadership motivates followers to do more than originally affected to do by stretching their abilities and increasing their self-confidence, and also promote innovation throughout the organization.

ICAI · Old P7 · RTP May 2019 · question p. 13 · answer p. 20

900 RTP **Old P7 May 2018** Q4(b) old scheme

Distinguish between the following: Transformational and transactional leadership

ICAI'S ANSWER

Transformational leadership style use charisma and enthusiasm to inspire people to exert them for the good of the organization. Transformational leadership style may be appropriate in turbulent environments, in industries at the very start or end of their life-cycles, in poorly performing organizations when there is a need to inspire a company to embrace major changes. Transformational leaders offer excitement, vision, intellectual stimulation and personal satisfaction.

Such a leadership motivates followers to do more than originally affected to do by stretching their abilities and increasing their self-confidence, and also promote innovation throughout the organization.

On the other hand, transactional leadership style focus more on designing systems and controlling the organization's activities and are more likely to be associated with improving the current situation. Transactional leaders try to build on the existing culture and enhance current practices. Transactional leadership style uses the authority of its office to exchange rewards, such as pay and status. They prefer a more formalized approach to motivation, setting clear goals with explicit rewards or penalties for achievement or non-achievement. Transactional leadership style is more suitable in settled environment, in growing or mature industries, and in organizations that are performing well.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 19

901 RTP **Old P7 May 2018** Q17 old scheme

Also asked in Old P7 MTP Jul 2021 S-II Q6(a)

Suresh Sinha has been recently appointed as the head of a strategic business unit of a large multiproduct company. Advise Mr Sinha about the leadership role to be played by him in execution of strategy.

ICAI'S ANSWER

Leading change has to start with diagnosing the situation and then deciding which of several ways to handle it. Managers have five leadership roles to play in pushing for good strategy execution:

(i) Staying on top of what is happening, closely monitoring progress, solving out issues, and learning what obstacles lie in the path of good execution.

(ii) Promoting a culture of esprit de corps that mobilizes and energizes organizational members to execute strategy in a competent fashion and perform at a high level.

(iii) Keeping the organization responsive to changing conditions, alert for new opportunities, bubbling with innovative ideas, and ahead of rivals in developing competitively valuable competencies and capabilities.

(iv) Exercising ethical leadership and insisting that the company conduct its affairs like a model corporate citizen.

(v) Pushing corrective actions to improve strategy execution and overall strategic performance.

ICAI · Old P7 · RTP May 2018 · question p. 15 · answer p. 27

902 MTP **May 2026 S-II** Q1(b) 5 marks

Same question, different ICAI answer: #895 Old P7 RTP Jul 2021 · #905 Old P7 MTP Nov 2023 S-I

Suraj Prakash and Chander Prakash are two brothers engaged in the business of spices. Both have different approaches to management. Suraj Prakash prefers the conventional and formal approach in which authority is used for explicit rewards and punishment. While, on the other hand, Chander Prakash believes in democratic participative management approach, involving employees to give their best. Analyse the leadership style followed by Suraj Prakash and Chander Prakash.

ICAI'S ANSWER

Suraj Prakash is a follower of transactional leadership style that focuses on designing systems and controlling the organization's activities. Such a leader believes in using the authority of his office to

exchange rewards, such as pay and status. They prefer a more formal approach to motivation, setting clear goals with explicit rewards or penalties for achievement or non-achievement. Transactional leaders try to build on the existing culture and enhance current practices. The style is better suited in persuading people to work efficiently and run operations smoothly.

On the other hand, Chander Prakash is a follower of transformational leadership style. The style uses charisma and enthusiasm to inspire people to exert them for the good of the organization. Transformational leaders offer excitement, vision, intellectual stimulation and personal satisfaction. They inspire involvement in a mission, giving followers a 'dream' or 'vision' of a higher calling to elicit more dramatic changes in organizational performance. Such leadership motivates followers to do more than originally affected by stretching their abilities and increasing their self-confidence and promoting innovation throughout the organization.

ICAI · P6 · MTP May 2026 · Series II · question p. 13 · answer p. 12-13

903 MTP **Jan 2026 S-I** Q3(a) 5 marks

"A manager as a strategic leader has to play many leadership roles", while explaining the statement in brief, delineate the leadership roles which a manager has to play in pushing for a good strategy execution.

ICAI'S ANSWER

Strategic leadership refers to the manager's ability to anticipate, envision, maintain flexibility and empower others to create strategic change as necessitated by external conditions. A manager as a strategic leader is responsible for setting the firm's direction, formulating and implementing strategies and ensuring that the organization moves towards achieving its strategic goals. To achieve this, the manager must play multiple leadership roles such as visionary, strategist, administrator, culture builder and motivator.

Managers have five leadership roles to play in pushing for good strategy execution:

1. **Staying on top of the execution process:** Monitoring progress, resolving emerging issues and understanding obstacles in the way of effective execution.

2. **Promoting a culture of esprit de corps:** Nurturing unity, teamwork and high morale to mobilize and energize employees for effective strategy implementation.

3. **Keeping the organization responsive and innovative:** Ensuring the firm remains adaptive to changes, alert to new opportunities and ahead of rivals in developing competencies.

4. **Exercising ethical leadership:** Insisting that the company behaves ethically and acts as a model corporate citizen.

5. **Pushing corrective actions:** Taking necessary corrective measures to overcome execution problems and improve overall strategic performance.

These roles help managers drive strategy execution effectively while maintaining integrity, adaptability and performance.

ICAI · P6 · MTP Jan 2026 · Series I · question p. 12 · answer p. 20-21

904 MTP **Jan 2025 S-I** Q1(B)(i) 2 marks MCQ

The CEO of GoFlyHigh Airlines has built a high-performance team over five years by closely monitoring performance metrics, setting clear expectations, and motivating employees through rewards and structured improvement plans. Her disciplined and results-focused approach has driven organizational

success by fostering accountability and maintaining high standards. This leadership style emphasizes achieving defined goals through a structured framework, balancing performance recognition with corrective measures for sustained excellence. What strategic leadership style does the CEO exhibit?

A Entrepreneur Leadership

B Transformational Leadership

C Transactional Leadership

D Intrapreneur Leadership

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · MTP Jan 2025 · Series I · question p. 10

905 MTP **Old P7 Nov 2023 S-I** Q6(b) 5 marks old scheme

Same question, different ICAI answer: #895 Old P7 RTP Jul 2021 · #902 MTP May 2026 S-II

Suraj Prakash and Chander Prakash are two brothers engaged in the business of spices. Both have different approaches to management. Suraj Prakash prefers the conventional and formal approach in which authority is used for explicit rewards and punishment. While, on the other hand, Chander Prakash believes in democratic participative management approach, involving employees to give their best.

Analyse the leadership style followed by Suraj Prakash and Chander Prakash.

ICAI'S ANSWER

Suraj Prakesh is a follower of transactional leadership style that focuses on designing systems and controlling the organization's activities. Such a leader believes in using the authority of his office to exchange rewards, such as pay and status. They prefer a more formalized approach to motivation, setting clear goals with explicit rewards or penalties for achievement or non-achievement. Transactional leaders try to build on the existing culture and enhance current practices. The style is better suited in persuading people to work efficiently and run operations smoothly.

On the other hand, Chander Prakash is a follower of transformational leadership style. The style uses charisma and enthusiasm to inspire people to exert them for the good of the organization. Transformational leaders offer excitement, vision, intellectual stimulation and personal satisfaction. They inspire involvement in a mission, giving followers a 'dream' or 'vision' of a higher calling so as to elicit more dramatic changes in organizational performance. Such a leadership motivates followers to do more than originally affected to do by stretching their abilities and increasing their self-confidence, and also promote innovation throughout the organization.

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 8 · answer p. 8-9

906 MTP **Old P7 May 2023 S-I** Case scenario · Q1(A)1 to Q1(A)4 5 marks old scheme

CASE SCENARIO

ABC Ltd. and CHEETA Ltd. are two companies that are in the business of manufacturing electric scooters. Sales of ABC Ltd. are rising while sales of CHEETA Ltd. have been falling. During the last five years, the market share of CHEETA Ltd. reduced from second to fifth position. Mr. Ramesh was appointed as the CEO of CHEETA Ltd., last year, when the company was unable to make a mark for itself in the industry. As an immediate corrective measure Mr. Ramesh decided to emulate the successful standards of ABC Ltd. and set them as their own yardsticks. With the help of standards, he

intended to compare, measure and judge the performance. Further, he introduced a company-wide competition for the best innovation. He has been influential in bringing about a culture of oneness and inspiration amongst the employees. Under his direction one of the employees came up with the idea of inbuilt GPS system in the electric scooter. Another employee gave the idea of mobile charging point in the scooter with a pocket to hold the mobile hand set. CHEETA Ltd., adopted the innovations suggested by its employees in their new model. The new modified model 'RAFTAR' loaded with new features was launched with a slogan "Reach right place in right time and stay connected". Mr Ramesh's leadership turned around the company to be a leader in innovation. CHEETA Ltd., envisaged to innovate mobility solutions with passion to enhance quality of life. The shape of scooter was made attractive. It was available in many colours. The price of new model was higher than the other electric scooters in the market. 'RAFTAR' was widely accepted by the young population.

Based on the above Case Scenario, answer the Multiple-Choice Questions which are as follows:

Q1(A)1 1 mark out of syllabus

What is the strategic tool adopted by CHEETA Ltd., as an immediate corrective measure?

A Business Process Reengineering

B Strategic Audit

C Strategic Control

D Benchmarking

Q1(A)2 2 marks

Which leadership style has been adopted by Mr. Ramesh and this style is appropriate in:

A Transformational Leadership, Turbulent Environment

B Transactional Leadership, Static Environment

C Transactional Leadership, Settled Environment

D Transformational Leadership, Mature Industries

Q1(A)3 1 mark

Which of the following Michael Porters' Generic strategics has been followed in launching 'RAFTAR'?

A Cost Leadership

B Differentiation

C Focused Cost Leadership

D Focused Differentiation

Q1(A)4 1 mark

CHEETA Ltd., envisages to innovate mobility solutions with passion to enhance quality of life. This is_____ of the company.

A Vision

B Strategy

C Mission

D Objective

ICAI'S ANSWERS

Q1(A)1

Answer key: **(D)**

Q1(A)2

Answer key: **(A)**

Q1(A)3

Answer key: **(B)**

Q1(A)4

Answer key: **(C)**

ICAI · Old P7 · MTP May 2023 · Series I · question p. 6

907 MTP **Old P7 Nov 2022 S-I** Q6(a) 5 marks old scheme

Same question, different ICAI answer: #889 Old P7 Exam Nov 2019

Distinguish between Transformational Leadership Style and Transactional Leadership Style.

ICAI'S ANSWER

Difference between transformational and transactional leadership

1. Transformational leadership style uses charisma and enthusiasm to inspire people to exert them for the good of organization. Transactional leadership style uses the authority of its offices to exchange rewards such as pay, status, etc.

2. Transformational leadership style may be appropriate in turbulent environment, in industries at the very start or end of their cycles, poorly performing organisations, when there is a need to inspire a company to embrace major changes. Transactional leadership style can be appropriate in settled environment, in growing or mature industries and in organisations that are performing well.

3. Transformational leaders inspire employees by offering the excitement, vision, intellectual stimulation and personal satisfaction. Transactional leaders prefer a more formalized approach to motivation, setting clear goals with explicit rewards or penalties for achievement and non-achievement. Transactional leaders focus mainly to build on existing culture and enhance current practices.

ICAI · Old P7 · MTP Nov 2022 · Series I · question p. 9 · answer p. 10

908 MTP **Old P7 May 2022 S-II** Q4(b) 5 marks old scheme

Ramesh is owner of a popular brand of Breads. Yashpal, his son af ter completing Chartered Accountancy started assisting his father in running of business. The approaches followed by father and son in management were very different. While Ramesh preferred to use authority and having a formal system of defining goals and motivation with explicit rewards and punishments, Yashpal believed in involving employees and generating enthusiasm to inspire people to deliver in the organization.

Discuss the difference in leadership style of father and son.

ICAI'S ANSWER

Ramesh is a follower of transactional leadership style that focuses on designing systems and controlling the organization's activities. Such a leader believes in using authority of its office to exchange rewards, such as pay and status. They prefer a more formalized approach to motivation, setting clear goals with explicit rewards or penalties for achievement or non-achievement. Transactional leaders try to build on the existing culture and enhance current practices. The style is better suited in persuading people to work efficiently and run operations smoothly.

On the other hand, Yashpal is follower of transformational leadership style. The style uses charisma and enthusiasm to inspire people to exert them for the good of the organization. Transformational

leaders offer excitement, vision, intellectual stimulation and personal satisfaction. They inspire involvement in a mission, giving followers a 'dream' or 'vision' of a higher calling so as to elicit more dramatic changes in organizational performance. Such a leadership motivates followers to do more than originally affected to do by stretching their abilities and increasing their self-confidence, and also promote innovation throughout the organization.

ICAI · Old P7 · MTP May 2022 · Series II · question p. 8 · answer p. 7-8

909 MTP **Old P7 Dec 2021 S-I** Q6(a) 5 marks old scheme

Distinguish between the following:

Transformational leadership and Transactional leadership.

ICAI'S ANSWER

Following are the differences between transformational and transactional leadership:

1. Transformational leadership style uses charisma and enthusiasm to inspire people to exert them for the good of organization. Transactional leadership style uses the authority of its office to exchange rewards such as pay, status symbols etc.

2. Transformational leadership style may be appropriate in turbulent environment, in industries at the very start or end of their cycles, poorly performing organisations, when there is a need to inspire a company to embrace major changes. Transactional leadership style can be appropriate in static environment, in growing or mature industries and in organisations that are performing well.

3. Transformational leaders inspire employees by offering excitement, vision, intellectual stimulation and personal satisfaction. Transactional leaders prefer a more formalized approach to motivation, setting clear goals with explicit rewards or penalties for achievement and non-achievement. Transactional leaders focus mainly to build on existing culture and enhance current practices.

ICAI · Old P7 · MTP Dec 2021 · Series I · question p. 7 · answer p. 9-10

910 MTP **Old P7 Nov 2019 S-I** Q1(vii) 1 mark MCQ old scheme

_____leadership style may be appropriate in turbulent environment.

- A Transactional
- B Transformational
- C Autocratic
- D None of these

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 5

911 MTP **Old P7 May 2019 S-II** Q1(xiii) 1 mark MCQ old scheme

Who is a transformational leader?

- A Someone who is involved in organizational change.
- B A leader, who provides new ways of carrying out management.
- C A leader who inspires the workers to new levels by offering them a vision of a better future.

D A leader who tries to transform their staff by giving them rewards for what they do.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 5

912 MTP **Old P7 Nov 2018 S-I** Q1(b) 5 marks old scheme

Mathew & Sons Ltd. is a diversified business entity having business operations across the globe. Presently, Mr. Mathew is the CEO of Mathew & Sons Ltd. He is going to retire in next 4 months, so he has decided to change the company's leadership and hand over the pedals to his elder son Marshal. Marshal is a highly educated with an engineering degree from USA. However, being very young he is not clear about his role and responsibilities.

In your view, what are the responsibilities of Marshal as CEO of Mathew & Sons Ltd.

ICAI'S ANSWER

Marshal, to be an effective strategic leader of Mathew & Sons Ltd. must be able to deal with the diverse and cognitively complex competitive situations that are characteristic of today's competitive landscape. He has several responsibilities, including the following:

- Making strategic decisions.
- Formulating policies and action plans to implement strategic decision.
- Ensuring effective communication in the organisation.
- Managing human capital (perhaps the most critical of the strategic leader's skills).
- Managing change in the organisation.
- Creating and sustaining strong corporate culture.
- Sustaining high performance over time.

ICAI · Old P7 · MTP Nov 2018 · Series I · question p. 2 · answer p. 9

5.5 Strategic control and performance measures

48 questions · asked in 44 ICAI documents · 10 exam papers

913 EXAM **Sep 2026** MCQ 14 2 marks MCQ

"Vanguard Real Estate" is a massive property development firm. The CEO formulates an aggressive, 15-year strategic plan to build ultra-luxury skyscrapers across the country. However, this entire 15-year strategy is highly based on one massive, uncontrollable assumption: that the central bank will keep long-term interest rates below 4%. If interest rates rise above 4%, the borrowing costs for construction will instantly make Vanguard's business unviable. Knowing that a 15-year plan cannot simply be set in stone and ignored, Vanguard's Chief Financial Officer (CFO) establishes a dedicated "Risk Management Committee". The job of this committee is also to verify if the foundational economic assumptions of the 15-year plan remain valid over time. What specific type of strategic control is the CFO executing ?

A Strategic Surveillance

B Special Alert Control

C Implementation Control

D Premise Control

ICAI'S ANSWER

Answer key: **ICAI has not published the key yet.**

ICAI · P6 · Sep 2026 exam · question p. 11

914 **EXAM** **Sep 2026** Q8(b) OR **5 marks**

Explain what SPM is and how it helps eliminate silos within an organization. Describe the specific insights provided by various strategic performance measures.

ICAI'S ANSWER

ICAI has not published its answers to this paper yet.

ICAI · P6 · Sep 2026 exam · question p. 23

915 **EXAM** **Jan 2026** Q7(a) **5 marks**

An organization should select the right strategic performance measures that are aligned with its goals and objectives and provide relevant and actionable information. Explain all the factors and importance of these factors that needs to be considered.

ICAI'S ANSWER

Strategic performance measures should be carefully selected so that they are aligned with organisational goals and provide relevant, reliable and actionable information. In selecting the right measures, organizations should consider the following factors:

- Relevance: The measure should be relevant to the organization's goals and objectives and provide information that is actionable and meaningful.
- Data Availability: The measure should be based on data that is readily available and can be collected and analyzed in a timely manner.
- Data Quality: The measure should be based on high-quality data that is accurate and reliable.
- Data Timeliness: The measure should be based on data that is current and up to date, enabling organizations to make informed decisions in a timely manner.

These factors are important because they provide a way for organizations to assess the success of their strategies, identify areas for improvement, and make informed decisions about how to allocate resources and adjust their strategies to achieve their desired outcomes. Effective strategic performance measures should be relevant, meaningful, and easy to understand and should be regularly reviewed and updated to ensure their continued alignment with the organization's goals and objectives.

ICAI · P6 · Jan 2026 exam · question p. 30 · answer p. 30-31

916 **EXAM** **Sep 2025** Q5(c) **5 marks**

XYZ Ltd. recently formulated an international expansion strategy and implemented the new market expansion strategy with the aim of increasing its presence in international markets. However, six months into the implementation, sales figures are not meeting projections. Improper use of resources, undesirable tendencies of the workers, non-conformance to norms and standards and unforeseen regulatory challenges have emerged. Additionally, competitor activity has intensified, affecting market share. As a strategic decision-maker, which function of strategic management process would you perform? What specific elements of that function would you implement to overcome these issues and ensure that planned actions translate into successful achievement of goals and results?

ICAI'S ANSWER

In the given case, XYZ Ltd. should perform the Strategic Control function of the strategic management process. Strategic control ensures that what is planned is translated into results by regulating behaviour, placing curbs on undesirable tendencies, ensuring conformance to norms and standards, monitoring proper use of resources, and coping with changes in the environment. The process of control involves the following elements:

1. Objectives of the business system operationalized into measurable and controllable standards.

2. Monitoring and measuring performance of the system.

3. Comparison of results with standards, detecting deviations and gaining insights on standards themselves.

4. Feedback and corrective action to make desired changes and keep the system on course.

By applying strategic control and its elements XYZ Ltd. can overcome deviations and ensure successful achievement of its international expansion goals.

ICAI · P6 · Sep 2025 exam · question p. 20-21 · answer p. 22

917 **EXAM** **Jan 2025** Q7(b) **5 marks**

What do you mean by strategic performance measures? State the reasons for the importance of strategic performance measures for an organization.

ICAI'S ANSWER

Strategic Performance Measures (SPM) are metrics used by organizations to evaluate and track the effectiveness of their strategies in achieving strategic goals and objectives. SPM provides a framework for measuring the performance of key areas critical to the success of the organization's strategy. These measures help in assessing whether the organization is progressing towards its desired outcomes and allow for adjustments to be made to improve performance. Strategic performance measures are essential for organizations for several reasons:

- Goal Alignment: Strategic performance measures help organizations align their strategies with their goals and objectives, ensuring that they are on track to achieve their desired outcomes.
- Resource Allocation: Strategic performance measures provide organizations with the information they need to make informed decisions about resource allocation, enabling them to prioritize their efforts and allocate resources to the areas that will have the greatest impact on their performance.
- Continuous Improvement: Strategic performance measures provide organizations with a framework for continuous improvement, enabling them to track their progress and make adjustments to improve their performance over time.
- External Accountability: Strategic performance measures help organizations demonstrate accountability to stakeholders, including shareholders, customers, and regulatory bodies, by providing a clear and transparent picture of their performance. In summary, strategic performance measures play a vital role in guiding organizations toward success by ensuring alignment with strategic goals, optimizing resource use, fostering continuous improvement, and maintaining accountability to stakeholders.

ICAI · P6 · Jan 2025 exam · question p. 29 · answer p. 30-31

918 EXAM **Sep 2024** Q8(b) 5 marks

Strategic performance measures are key indicators that organizations use to track the effectiveness of their strategies and make informed decisions about resource allocation. In light of the statement, state various types of Strategic performance measures.

ICAI'S ANSWER

Strategic performance measures are key indicators used by organizations to track the effectiveness of their strategies and make informed decisions about resource allocation. These measures provide a snapshot of performance, enabling leaders to assess whether their strategies align with organizational goals and make necessary adjustments for improvement. Types of strategic performance measures include:

1. Financial Measures: These include revenue growth, return on investment (ROI), and profit margins, which help in understanding the financial performance and profitability of the organization.

2. Customer Satisfaction Measures: Metrics like customer satisfaction, retention, and loyalty give insights into how well the organization meets customer needs and the quality of its products and services.

3. Market Measures: Market share, customer acquisition, and referrals indicate the organization's competitiveness and ability to attract and retain customers in the marketplace.

4. Employee Measures: Employee satisfaction, turnover rate, and engagement provide insights into the organization's ability to create a positive work environment and retain talent.

5. Innovation Measures: These include R&D spending, patent applications, and new product launches, reflecting the organization's capacity to innovate and meet evolving customer demands.

6. Environmental Measures: Environmental measures such as energy consumption, waste reduction, and carbon emissions offer insights into the organization's impact on the environment. These measures help track sustainability efforts and ensure that the organization is operating in an eco-friendly and socially responsible manner. These measures help organizations ensure their strategies are effectively executed, aligned with their objectives, and adaptable to changes in both market and environmental contexts.

ICAI · P6 · Sep 2024 exam · question p. 32 · answer p. 34

919 EXAM **Old P7 May 2023** Q9(b) old scheme

"Strategic control focuses on implementation and results produced by the strategy". Explain strategic control along with its different types.

ICAI'S ANSWER

Strategic control focuses on implementation and results produced by the strategy. It focuses on the dual questions of whether: (1) the strategy is being implemented as planned; and (2) the results produced by the strategy are those intended.

There are four types of strategic control:

- Premise control: A strategy is formed on the basis of certain assumptions or premises about the environment. Premise control is a tool for systematic and continuous monitoring of the environment to verify the validity and accuracy of the premises on which the strategy has been built.

- Strategic surveillance: Strategic surveillance is unfocussed. It involves general monitoring of various sources of information to uncover unanticipated information having a bearing on the organizational strategy.
- Special alert control: At times unexpected events may force organizations to reconsider their strategy. Sudden changes in government, natural calamities, unexpected merger/acquisition by competitors, industrial disasters and other such events may trigger an immediate and intense review of strategy.
- Implementation control: Managers implement strategy by converting major plans into concrete, sequential actions that form incremental steps. Implementation control is directed towards assessing the need for changes in the overall strategy in light of unfolding events and results.

ICAI · Old P7 · May 2023 exam · question p. 13-14 · answer p. 14

920 EXAM **Old P7 Dec 2021** Q10(b) 5 marks old scheme

Also asked in Old P7 MTP Nov 2022 S-I Q6(b)

Why is strategy evaluation more difficult? Give reasons.

ICAI'S ANSWER

Strategic evaluation involves measuring and evaluating performance. The goals achieved are compared with the desired goals to identify deviations and make necessary adjustments in strategies or in the efforts being put to achieve those strategies.

Reasons why strategy evaluation is more difficult today include the following trends:

- A dramatic increase in the environment's complexity.
- The increasing difficulty of predicting the future with accuracy.
- The increasing number of variables in the environment.
- The rapid rate of obsolescence of even the best plans.
- The increase in the number of both domestic and world events affecting organizations.
- The decreasing time span for which planning can be done with any degree of certainty.

ICAI · Old P7 · Dec 2021 exam · question p. 16 · answer p. 17

921 EXAM **Old P7 Jan 2021** Q9(b) 5 marks old scheme

Sanya Private Limited is an automobile company. For the past few years, it has been observed that the progress of the company has become stagnant.. When scrutinized, it was found that the planning department was performing fairly well but the plans could not be implemented due to improper use of resources, undesirable tendencies of workers and non-conformance to norms and standards. You are hired as a Strategic Manager. Suggest the elements of process of control to overcome the problem.

ICAI'S ANSWER

Sanya Private Limited deteriorating performance due to poor implementation of plans that is improper use of resources, undesirable tendencies of the workers, and non-conformance to norms and standards, all point towards weak controls in the organization. Implementation of plans cannot assure results unless strong and sufficient controls are put in place. The management of the company should focus diligently on developing controls especially in the identified problem areas.

The process of control has the following elements:

(a) Objectives of the business system which could be operationalized into measurable and controllable standards.

(b) A mechanism for monitoring and measuring the performance of the system.

(c) A mechanism (i) for comparing the actual results with reference to the standards (ii) for detecting deviations from standards and (iii) for learning new insights on standards themselves.

(d) A mechanism for feeding back corrective and adaptive information and instructions to the system, for effecting the desired changes to set right the system to keep it on course.

Above elements of control would ensure a proper check on improper use of resources, undesirable tendencies of the workers, and non-conformance to norms and standards and ensure a result oriented implementation of plans.

ICAI · Old P7 · Jan 2021 exam · question p. 16-17 · answer p. 16-17

922 EXAM **Old P7 Nov 2020** Q7(b) 5 marks old scheme

What is strategic control? Kindly explain the statement that "premise control is a tool for systematic and continuous monitoring of the environment".

ICAI'S ANSWER

Strategic Control

Strategic control is the process of evaluating formulated and implemented strategy. It is directed towards identifying changes in the internal and external environments of the organization and making necessary adjustments accordingly.

Strategic Control focuses on the dual questions of whether: (1) the strategy is being implemented as planned; and (2) the results produced by the strategy are those intended.

Yes, Premise control is a tool for systematic and continuous monitoring of the environment to verify the validity and accuracy of the premises on which the strategy has been built. It primarily involves monitoring two types of factors:

(i) Environmental factors such as economic (inflation, liquidity, interest rates), technology, social and legal-regulatory.

(ii) Industry factors such as competitors, suppliers, substitutes.

It is neither feasible nor desirable to control all types of premises in the same manner. Different premises may require different amount of control. Thus, managers are required to select those premises that are likely to change and would severely impact the functioning of the organization and its strategy.

ICAI · Old P7 · Nov 2020 exam · question p. 12-13 · answer p. 13

923 EXAM **Old P7 May 2018** Q12(b) 3 marks old scheme

Explain different types of strategic control in brief.

ICAI'S ANSWER

Strategic Control focuses on the dual questions of whether: (1) the strategy is being implemented as planned; and (2) the results produced by the strategy are those intended. There are four types of

strategic control:

(a) Premise control: A strategy is formed on the basis of certain assumptions or premises about the environment. Premise control is a tool for systematic and continuous monitoring of the environment to verify the validity and accuracy of the premises on which the strategy has been built.

(b) Strategic surveillance: Strategic surveillance is unfocussed. It involves general monitoring of various sources of information to uncover unanticipated information having a bearing on the organizational strategy.

(c) Special alert control: At times, unexpected events may force organizations to reconsider their strategy. Sudden changes in government, natural calamities, unexpected merger/acquisition by competitors, industrial disasters and other such events may trigger an immediate and intense review of strategy.

(d) Implementation control: managers implement strategy by converting major plans into concrete, sequential actions that form incremental steps. Implementation control is directed towards assessing the need for changes in the overall strategy in light of unfolding events and result.

ICAI · Old P7 · May 2018 exam · question p. 16 · answer p. 17

924 RTP **Sep 2026** Q6 MCQ

At Nova Healthcare Pvt. Ltd., the Hospital Administrator supervises the overall functioning of the diagnostics department. His responsibility includes allocating resources, coordinating departmental activities and ensuring that departmental goals are achieved efficiently and effectively. The Hospital Administrator is exercising:

- A Strategic control
- B Management control
- C Administrative control
- D Operational control

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · RTP Sep 2026 · question p. 32

925 RTP **May 2025** Q15

EcoPure Ltd., a sustainable packaging manufacturer, faces challenges in goal alignment, resource allocation, and customer satisfaction. As a strategic consultant, analyze how strategic performance measures can address these issues. Propose a structured approach to implementation and explain how goal alignment, continuous improvement, and external accountability will drive long-term success and enhance stakeholder confidence.

ICAI'S ANSWER

Strategic performance measures are critical for EcoPure Ltd. as they provide a structured approach to addressing the company's challenges. By implementing these measures, EcoPure Ltd. can enhance efficiency, optimize resources, and improve stakeholder confidence.

- Goal Alignment ensures that all departments work towards EcoPure Ltd.'s sustainability and customer satisfaction objectives. By setting clear goals, the company can ensure consistency in decision-making and strategic execution.

- Resource Allocation helps the company make informed investment decisions, prioritizing areas like production efficiency, innovation, and supply chain improvements. This enables EcoPure Ltd. to optimize resources while maintaining high-quality standards.
- Continuous Improvement allows the company to track key performance indicators such as delivery timelines, product quality, and operational efficiency. Regular analysis and refinements in processes will help the company enhance performance over time.
- External Accountability builds trust with stakeholders, including investors, customers, and regulatory bodies. By maintaining transparency in reporting and demonstrating commitment to sustainability, EcoPure Ltd. can strengthen its market reputation. By leveraging strategic performance measures in these areas, EcoPure Ltd. can overcome its challenges, enhance customer satisfaction, and drive long-term success.

ICAI · P6 · RTP May 2025 · question p. 39 · answer p. 45

926 RTP **Jan 2025** Q15

EcoTec, a company specializing in sustainable technology solutions, is facing challenges due to shifts in environmental regulations and market preferences. To manage these uncertainties, they regularly review and update their business assumptions and strategic plans based on changing regulatory environments and consumer trends. This proactive approach helps them stay aligned with evolving market conditions and maintain a competitive edge. Explain which approach is EcoTech to adapt to changes in regulations and market conditions?

ICAI'S ANSWER

EcoTech is using Premise Control to adapt to changes in regulations and market conditions. Premise Control is a strategic management approach focused on continuously monitoring and reviewing the underlying assumptions that form the basis of an organization's strategy. By regularly assessing these assumptions—such as environmental regulations and consumer preferences, EcoTech ensures that its strategic plans remain relevant and responsive to external changes. This proactive process helps the company make timely adjustments to its strategies, allowing it to stay competitive and aligned with the evolving market environment.

ICAI · P6 · RTP Jan 2025 · question p. 38 · answer p. 46

927 RTP **Sep 2024** Q6 MCQ

For over a hundred years, the KDH business has thrived by leveraging strategic control as a cornerstone of its strategic approach. Regular evaluations of goals and performance ensured they stayed responsive to shifting market trends and evolving customer needs. Which type of strategic control is highlighted here?

A Premise Control

B Special Alert Control

C Implementation Control - Milestone Reviews

D Implementation Control - Monitoring Strategic Thrusts

ICAI'S ANSWER

Answer key: **(C)**

ICAI · P6 · RTP Sep 2024 · question p. 35

928 RTP Sep 2024 Q16

Also asked in MTP May 2026 S-I Q4(b) · MTP May 2024 S-I Q4(a)

Why Strategic Performance Measures are essential for organizations?

ICAI'S ANSWER

Strategic performance measures are essential for organizations for several reasons:

- Goal Alignment: Strategic performance measures help organizations align their strategies with their goals and objectives, ensuring that they are on track to achieve their desired outcomes.
- Resource Allocation: Strategic performance measures provide organizations with the information they need to make informed decisions about resource allocation, enabling them to prioritize their efforts and allocate resources to the areas that will have the greatest impact on their performance.
- Continuous Improvement: Strategic performance measures provide organizations with a framework for continuous improvement, enabling them to track their progress and make adjustments to improve their performance over time.
- External Accountability: Strategic performance measures help organizations demonstrate accountability to stakeholders, including shareholders, customers, and regulatory bodies, by providing a clear and transparent picture of their performance.

ICAI · P6 · RTP Sep 2024 · question p. 38 · answer p. 47

929 RTP May 2024 Case scenario · Q1(i) to Q1(v)

CASE SCENARIO

Swasthya, a rising star in India's dynamic healthcare sector, stands out as a prime example of smart strategic management. At Swasthya, the compass guiding their endeavors is a compelling thought: to emerge as the finest healthcare provider renowned for delivering accessible, top-notch healthcare services. This overarching goal is not an isolated vision, but a thread woven into the very fabric of the organization, driving every facet of their operations. The people of the organization play a pivotal role in this journey. They are entrusted with translating this vision into tangible outcomes at the grassroots level, ensuring that local operations are aligned with the grand aspiration of becoming a healthcare leader. Swasthya works meticulously towards optimizing each link of the patient experience. From streamlining appointment scheduling to expediting test result delivery, every facet of the healthcare journey is scrutinized. Swasthya's strategy is not merely about being a player in the market but about strategically positioning themselves as leaders. They proactively recognize the constant innovations that could disrupt their areas of expertise. To counter this, they introduced value-added offerings such as telemedicine and wellness programs. This addition not only mitigates the risk but also fortifies their long-term viability. Beyond competition, ensuring the quality and safety of patient care is paramount at Swasthya. Stringent hygiene protocols, equipment maintenance regimens, and adherence to healthcare regulations form the cornerstone of their business. In parallel, the organization meticulously undertakes regular assessment as a central element of its decision-making apparatus. This forward-looking exercise encompasses identifying and assessing potential risks such as regulatory changes, medical malpractice vulnerabilities, or shifts in market dynamics, all of which could have far-reaching consequences for their long-term objectives. The implementation of Swasthya's strategy is steered by the McKinsey 7S model, which ensures a harmonious alignment of seven critical elements: strategy, structure, systems, shared values, skills, style, and staff. It emphasizes that the success of a long-term objective is contingent on the synchronization of these seven elements, reinforcing the idea that strategic management is not a compartmentalized process

but a comprehensive activity. Swasthya's strategic journey through India's healthcare landscape is a testament to the seamless integration of core management concepts, guiding its actions and strategies, while keeping the vision and intent at the core.

Based on the above Case Scenario, answer the Multiple Choice Questions.

Q1(i)

How does Swasthya's approach to premise control, including stringent hygiene protocols and equipment maintenance, contribute to their long-term objectives and which concept does it align with?

- A It reduces immediate costs and aligns with strategic risk assessment.
- B It safeguards quality and aligns with strategic risk assessment.
- C It enhances immediate profitability and aligns with shared values.
- D It streamlines administrative processes and aligns with value chain analysis.

Q1(ii)

How does Swasthya counter the risk posed by constant innovations and disruptions in their areas of expertise?

- A By aggressively acquiring innovative startups.
- B By introducing value-added services like telemedicine and wellness programs.
- C By downsizing their operations.
- D By focusing exclusively on urban healthcare markets.

Q1(iii)

Why is the McKinsey 7S model significant in Swasthya's strategic management approach, and which elements of the model ensure a holistic alignment of their strategy?

- A It facilitates short-term profit maximization, with a focus on structure and style.
- B It emphasizes a compartmentalized approach to strategy, focusing on shared values and skills.
- C It ensures a comprehensive alignment of strategy, structure, systems, shared values, skills, style, and staff.
- D It prioritizes immediate cost reduction by aligning systems and strategy.

Q1(iv)

Why is the focus on local operations essential for Swasthya in the context of their long-term objective, and how does it contribute to their overall strategy?

- A It reduces strategic risk by minimizing the need for strategic risk assessment.
- B It aligns with their commitment to immediate profitability.
- C It translates the organization's vision into tangible outcomes and aligns with their long-term objective.
- D It diversifies their portfolio and aligns with competitive landscape analysis.

Q1(v)

The case talks about scrutiny of every facet of the healthcare journey and also emphasizes the fact that people of the organization play a pivotal role in this journey. Based on your reading, which level of management has the most crucial part to play here to ensure the sense of customer-first is imbibed in the organization?

- A Top Management (C-Suite) which sets the tone and strategy of the organization

B Middle Management (Divisional Managers) who have the responsibility of translating strategy to real-time objectives

C Functional Managers who actually do the work on the field

D Board of Directors who are responsible for wealth creation of the shareholders

ICAI'S ANSWERS

Q1(i)

Answer key: **(B)**

Q1(ii)

Answer key: **(B)**

Q1(iii)

Answer key: **(C)**

Q1(iv)

Answer key: **(C)**

Q1(v)

Answer key: **(B)**

ICAI · P6 · RTP May 2024 · question p. 30-31

930 RTP **Old P7 Nov 2023** Q23 old scheme

Also asked in Old P7 RTP Dec 2021 Q22 · Old P7 RTP Nov 2019 Q17

What is implementation control? Discuss its basic forms.

ICAI'S ANSWER

Managers implement strategy by converting major plans into concrete, sequential actions that form incremental steps. Implementation control is directed towards assessing the need for changes in the overall strategy in light of unfolding events and results associated with incremental steps and actions.

Strategic implementation control is not a replacement to operational control. Strategic implementation control, unlike operational controls continuously monitors the basic direction of the strategy. The two basic forms of implementation control are:

(i) Monitoring strategic thrusts: Monitoring strategic thrusts help managers to determine whether the overall strategy is progressing as desired or whether there is need for readjustments.

(ii) Milestone reviews: All key activities necessary to implement strategy are segregated in terms of time, events or major resource allocation. It normally involves a complete reassessment of the strategy. It also assesses the need to continue or refocus the direction of an organization.

ICAI · Old P7 · RTP Nov 2023 · question p. 17 · answer p. 23

931 RTP **Old P7 Nov 2022** Q22 old scheme

Also asked in Old P7 RTP May 2020 Q17

Same question, different ICAI answer: #946 Old P7 MTP Nov 2023 S-II

What is strategic control? Briefly explain the different types of strategic control?

ICAI'S ANSWER

Strategic Control focuses on the dual questions of whether: (1) the strategy is being implemented as planned; and (2) the results produced by the strategy are those intended.

There are four types of strategic control:

- Premise control: A strategy is formed on the basis of certain assumptions or premises about the environment. Premise control is a tool for systematic and continuous monitoring of the environment to verify the validity and accuracy of the premises on which the strategy has been built.
- Strategic surveillance: Strategic surveillance is unfocussed. It involves general monitoring of various sources of information to uncover unanticipated information having a bearing on the organizational strategy.
- Special alert control: At times, unexpected events may force organizations to reconsider their strategy. Sudden changes in government, natural calamities, unexpected merger/acquisition by competitors, industrial disasters and other such events may trigger an immediate and intense review of strategy.
- Implementation control: Managers implement strategy by converting major plans into concrete, sequential actions that form incremental steps. Implementation control is directed towards assessing the need for changes in the overall strategy in light of unfolding events and results.

ICAI · Old P7 · RTP Nov 2022 · question p. 18 · answer p. 25

932 RTP **Old P7 Jul 2021** Q21 old scheme

Why is Strategic Control important for organizations? Discuss briefly 4 types of strategic control that can be implemented to achieve the enterprise goals.

ICAI'S ANSWER

Importance of strategic control: Strategic control is an important process that keeps organisation on its desired path. It involves evaluating strategy as it is formulated and implemented. It is directed towards identifying problems and changes in premises and making necessary adjustments. Strategic control focuses on the dual questions of whether: (1) the strategy is being implemented as planned; and (2) the results produced by the strategy are those intended.

There are four types of strategic control:

- Premise control: A strategy is formed on the basis of certain assumptions or premises about the environment. Premise control is a tool for systematic and continuous monitoring of the environment to verify the validity and accuracy of the premises on which the strategy has been built.
- Strategic surveillance: Strategic surveillance is unfocussed. It involves general monitoring of various sources of information to uncover unanticipated information having a bearing on the organizational strategy.
- Special alert control: At times, unexpected events may force organizations to reconsider their strategy. Sudden changes in government, natural calamities, unexpected merger/acquisition by competitors, industrial disasters and other such events may trigger an immediate and intense review of strategy.
- Implementation control: Managers implement strategy by converting major plans into concrete, sequential actions that form incremental steps. Implementation control is directed towards assessing the need for changes in the overall strategy in light of unfolding events and results.

ICAI · Old P7 · RTP Jul 2021 · question p. 17 · answer p. 23

933 RTP **Old P7 Nov 2019** Q1(h) MCQ old scheme

In the questions given below select the best answer out of options (A), (B), (C), or (D):

Strategy evaluation is difficult on account of following trends, except:

- A There is dramatic increase in the environment's complexity.
- B It is difficult to predict future.
- C Firms have unlimited resources.
- D Obsolescence is rapid.

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP Nov 2019 · question p. 12-13

934 RTP **Old P7 Nov 2018** Q1(h) old scheme

Briefly answer the following questions: Explain premise control.

ICAI'S ANSWER

A strategy is formed on the basis of certain assumptions or premises about the complex and turbulent organizational environment. Premise control is a tool for systematic and continuous monitoring of the environment to verify the validity and accuracy of the premises on which the strategy has been built. It primarily involves monitoring two types of factors:

(i) Environmental factors such as economic (inflation, liquidity, interest rates), technology, social and regulatory.

(ii) Industry factors such as competitors, suppliers, substitutes.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 16

935 RTP **Old P7 Nov 2018** Q2(a) old scheme

State with reasons which of the following statements are correct/incorrect: Control systems run parallel with strategic levels.

ICAI'S ANSWER

Correct: There are three strategic levels in an organisation – corporate, business and functional. Control systems are required at all the three levels. At the top level, strategic controls are built to check whether the strategy is being implemented as planned and the results produced by the strategy are those intended. Down the hierarchy management controls and operational controls are built in the systems. Operational controls are required for day-to-day management of business.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 16

936 RTP **Old P7 Nov 2018** Q4(c) old scheme

Distinguish between the following: Operational control and management control.

ICAI'S ANSWER

Differences between operational control and management control are as under:

(i) The thrust of operational control is on individual tasks or transactions as against total or more aggregative management functions. When compared with operational, management control is more inclusive and more aggregative, in the sense of embracing the integrated activities of a complete

department, division or even entire organisation, instead or mere narrowly circumscribed activities of sub-units. For example, procuring specific items for inventory is a matter of operational control, in contrast to inventory management as a whole.

(ii) Many of the control systems in organisations are operational and mechanistic in nature. A set of standards, plans and instructions are formulated. On the other hand, the basic purpose of management control is the achievement of enterprise goals – short range and long range – in an effective and efficient manner.

ICAI · Old P7 · RTP Nov 2018 · question p. 13 · answer p. 19

937 RTP **Old P7 May 2018** Q2(h) old scheme

State with reasons which of the following statements are correct/incorrect: Strategic surveillance is highly focussed and organised control activity.

ICAI'S ANSWER

Incorrect: The strategic surveillance is unfocussed. It involves general monitoring of various sources of information to uncover unanticipated information having a bear ing on the organizational strategy. It involves casual environmental browsing. Reading financial and other newspapers, business magazines, attending meetings, conferences, discussions and so on. Strategic surveillance, a loose form of strategic control, is capable of uncovering information relevant to strategy.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 17

938 RTP **Old P7 May 2018** Q3(d) old scheme

Same question, different ICAI answer: #956 Old P7 MTP Nov 2018 S-II

Write short notes on the following: Implementation control

ICAI'S ANSWER

Managers implement strategy by converting major plans into concrete, sequential actions that form incremental steps. Implementation control is directed towards assessing the need for changes in the overall strategy in light of unfolding events and results associated with incremental steps and actions.

Strategic implementation control is not a replacement to operational control. Strategic implementation control, unlike operational controls continuously monitors the basic direction of the strategy. The two basic forms of implementation control are:

(i) Monitoring strategic thrusts: Monitoring strategic thrusts help managers to determine whether the overall strategy is progressing as desired or whether there is need for readjustments.

(ii) Milestone reviews. All key activities necessary to implement strategy are segregated in terms of time, events or major resource allocation. It normally involves a complete reassessment of the strategy. It also assesses the need to continue or refocus the direction of an organization.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 18-19

939 MTP **Sep 2026 S-II** Q3(a) 5 marks

An organization should select the right strategic performance measures that are aligned with its goals and objectives and provide relevant and actionable information. Explain all the factors and importance of these factors that need to be considered.

ICAI'S ANSWER

Strategic performance measures should be carefully selected so that they are aligned with organisational goals and provide relevant, reliable and actionable information. In selecting the right measures, organizations should consider the following factors:

- **Relevance:** The measure should be relevant to the organization's goals and objectives and provide information that is actionable and meaningful.
- **Data Availability:** The measure should be based on data that is readily available and can be collected and analyzed in a timely manner.
- **Data Quality:** The measure should be based on high-quality data that is accurate and reliable.
- **Data Timeliness:** The measure should be based on data that is current and up to date, enabling organizations to make informed decisions in a timely manner.

These factors are important because they provide a way for organizations to assess the success of their strategies, identify areas for improvement, and make informed decisions about how to allocate resources and adjust their strategies to achieve their desired outcomes. Effective strategic performance measures should be relevant, meaningful, and easy to understand and should be regularly reviewed and updated to ensure their continued alignment with the organization's goals and objectives.

ICAI · P6 · MTP Sep 2026 · Series II · question p. 13 · answer p. 17

940 MTP Jan 2026 S-II Q1(c) 5 marks

SunSip Beverages has introduced a cost-saving strategy across its manufacturing and warehousing operations. The Managing Director seeks continuous monitoring to ensure the strategy is being implemented accurately, with any deviations corrected promptly. He also wants the approach to remain flexible so the company can quickly adjust to market changes or unforeseen developments. What types of strategic controls can the organisation adopt to ensure timely corrections and effective adaptation to changing conditions?

ICAI'S ANSWER

To ensure smooth execution of the cost-saving strategy while enabling timely corrections and flexibility, SunSip Beverages can use the following types of strategic controls:

1. **Premise Control:** Ensures that the assumptions on which the cost-saving strategy is based—such as raw material prices, demand forecasts or logistics costs—remain valid. If assumptions change, the strategy can be adjusted quickly.

2. **Implementation Control:** Tracks whether the strategy is being executed as planned in manufacturing and warehousing. Regular progress reviews, milestone checks and pilot testing help detect deviations early and initiate corrective actions.

3. **Strategic Surveillance:** Provides broad, continuous monitoring of the internal and external environment. It helps identify unexpected threats or opportunities—such as new competitors, technology changes or regulatory shifts—that may require strategy adaptation.

4. **Special Alert Control:** Activated in response to sudden, unexpected events (e.g., supply chain disruptions or economic shocks). It allows the company to respond quickly and revise the strategy when necessary.

By using premise control, implementation control, strategic surveillance and special alert control, the MD can ensure that the cost-saving plan is properly monitored, deviations are corrected

immediately and the strategy remains flexible in a dynamic market.

ICAI · P6 · MTP Jan 2026 · Series II · question p. 12 · answer p. 16-17

941 MTP **Sep 2025 S-II** Q1(c) 5 marks

Also asked in MTP Jan 2025 S-I Q1(c)

GreenEdge Solutions, a mid-sized technology company, has implemented a new strategic plan focused on achieving sustainable growth and strengthening its market presence. The leadership team is determined to monitor the effectiveness of their strategies to ensure they align with the organization's overall goals and objectives. They seek a systematic approach to assess key performance areas critical to their success. What are Strategic Performance Measures (SPM), and how can GreenEdge Solutions effectively use them to evaluate and enhance the success of their strategic plan?

ICAI'S ANSWER

Strategic Performance Measures (SPM) are metrics organizations use to evaluate and track the effectiveness of their strategies in achieving their goals and objectives. SPM provides a framework for monitoring key areas critical to the organization's success, ensuring progress toward desired outcomes and enabling timely adjustments to improve performance.

For GreenEdge Solutions, various types of SPM can be utilized:

- **Financial Measures:** Metrics like revenue growth, return on investment (ROI), and profit margins help evaluate the company's financial health and profitability.
- **Customer Satisfaction Measures:** Assessments of customer satisfaction, retention, and loyalty indicate how well the company meets customer needs.
- **Market Measures:** Market share, customer acquisition, and referral rates reflect competitiveness and market position.
- **Employee Measures:** Employee satisfaction, engagement, and turnover rate help track workplace culture and talent retention.
- **Innovation Measures:** R&D spending, patent filings, and new product launches gauge the company's innovation capabilities.
- **Environmental Measures:** Monitoring energy consumption, waste reduction, and carbon emissions ensures the company aligns with sustainability goals.

Using these measures, GreenEdge Solutions can systematically assess its strategy and make informed decisions to drive sustainable growth and success.

ICAI · P6 · MTP Sep 2025 · Series II · question p. 14-15 · answer p. 17-18

942 MTP **May 2025 S-I** Q1(B)(ii) 2 marks MCQ

You are the head of operations of a company. When you focus on total or aggregate management functions in the sense of embracing the integrated activities of a complete department et al, you are practicing: -

A Strategic Control

B Management control

C Administrative Control

D Operations Control

ICAI'S ANSWER

Answer key: **(B)**

ICAI · P6 · MTP May 2025 · Series I · question p. 10

943 MTP **Sep 2024 S-I** Q4(b) OR 5 marks

What factors should organizations consider when choosing strategic performance measures, and why are these factors important?

ICAI'S ANSWER

Organizations should consider the following factors when choosing strategic performance measures:

1. **Relevance:** The measure should be relevant to the organization's goals and objectives, providing actionable and meaningful information. This ensures that the performance measures are directly aligned with what the organization aims to achieve, and that the information obtained can drive improvements and strategic decisions.

2. **Data Availability:** The measure should be based on data that is readily available and can be collected and analyzed in a timely manner. This is important to ensure that the organization can efficiently gather and utilize data without significant delays or obstacles.

3. **Data Quality:** The measure should be based on high-quality data that is accurate and reliable. Accurate and reliable data are crucial for making informed decisions and assessing the true performance of the organization.

4. **Data Timeliness:** The measure should be based on data that is current and up-to-date. Timely data allows organizations to make informed decisions quickly, enabling them to respond promptly to changes and emerging challenges.

These factors are important because they provide a framework for organizations to assess the success of their strategies, identify areas for improvement, and make informed decisions about resource allocation and strategic adjustments. Effective strategic performance measures should be relevant, meaningful, easy to understand, and regularly reviewed and updated to ensure their continued alignment with the organization's goals and objectives.

ICAI · P6 · MTP Sep 2024 · Series I · question p. 11 · answer p. 15-16

944 MTP **May 2024 S-II** Q4(a) 5 marks

Define Strategic Performance Measures (SPM). Explain various types of strategic performance measures.

ICAI'S ANSWER

Strategic Performance Measures (SPM) are metrics used by organizations to evaluate and track the effectiveness of their strategies in achieving strategic goals and objectives. SPM provides a framework for measuring the performance of key areas critical to the success of the organization's strategy. These measures help in assessing whether the organization is progressing towards its desired outcomes and allow for adjustments to be made to improve performance.

Types of Strategic Performance Measures

There are various types of strategic performance measures, including:

- **Financial Measures:** Financial measures, such as revenue growth, return on investment (ROI), and profit margins, provide an understanding of the organization's financial performance and its ability to generate profit.

- **Customer Satisfaction Measures:** Customer measures, such as customer satisfaction, customer retention, and customer loyalty, provide insight into the organization's ability to meet customer needs and provide high-quality products and services.
- **Market Measures:** Market measures, such as market share, customer acquisition, and customer referrals, provide information about the organization's competitiveness in the marketplace and its ability to attract and retain customers.
- **Employee Measures:** Employee measures, such as employee satisfaction, turnover rate, and employee engagement, provide insight into the organization's ability to attract and retain talented employees and create a positive work environment.
- **Innovation Measures:** Innovation measures, such as research and development (R&D) spending, patent applications, and new product launches, provide insight into the organization's ability to innovate and create new products and services that meet customer needs.
- **Environmental Measures:** Environmental measures, such as energy consumption, waste reduction, and carbon emissions, provide insight into the organization's impact on the environment and its efforts to operate in a sustainable manner.

ICAI · P6 · MTP May 2024 · Series II · question p. 12 · answer p. 17-18

945 MTP **Old P7 Nov 2023 S-I** Q6(a) 5 marks old scheme

Also asked in Old P7 MTP Nov 2022 S-II Q5(a)

Distinguish between Operational Control and Management Control.

ICAI'S ANSWER

Differences between Operational Control and Management Control are as under:

(i) The thrust of operational control is on individual tasks or transactions as against total or more aggregative management functions. When compared with operational, management control is more inclusive and more aggregative, in the sense of embracing the integrated activities of a complete department, division or even entire organization, instead or mere narrowly circumscribed activities of sub-units. For example, procuring specific items for inventory is a matter of operational control, in contrast to inventory management as a whole.

(ii) Many of the control systems in organizations are operational and mechanistic in nature. A set of standards, plans and instructions are formulated. On the other hand, the basic purpose of management control is the achievement of enterprise goals – short range and long range – in an effective and efficient manner.

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 8 · answer p. 8

946 MTP **Old P7 Nov 2023 S-II** Q5(b) 5 marks old scheme

Same question, different ICAI answer: #931 Old P7 RTP Nov 2022

What is strategic control? Briefly explain the different types of strategic control?

ICAI'S ANSWER

Strategic Control focuses on the dual questions of whether: (1) the strategy is being implemented as planned; and (2) the results produced by the strategy are those intended.

There are four types of strategic control:

- Premise control: A strategy is formed on the basis of certain assumptions or premises about the environment. Premise control is a tool for systematic and continuous monitoring of the environment to verify the validity and accuracy of the premises on which the strategy ha s been built.
- Strategic surveillance: Strategic surveillance is unfocussed. It involves general monitoring of various sources of information to uncover unanticipated information having a bearing on the organizational strategy.
- Special alert control: At times, unexpected events may force organizations to reconsider their strategy. Sudden changes in government, natural calamities, unexpected merger/acquisition by competitors, industrial disasters and other such events may trigger an immediate and intense review of strategy.
- Implementation control: Managers implement strategy by converting major plans into concrete, sequential actions that form incremental steps. Implementation control is directed towards assessing the need for changes in the overall strategy in light of unfolding events and results.

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 8 · answer p. 9

947 MTP **Old P7 May 2023 S-I** Q1(F) 1 mark MCQ old scheme

Technique to cope up with sudden change in Government, natural calamities, terrorist attacks, industrial disasters etc. is called

A Special Alert Control

B Strategic Surveillance

C Premise Control

D Implementation Control

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2023 · Series I · question p. 7

948 MTP **Old P7 May 2022 S-II** Q1(D) 2 marks MCQ old scheme

Anshul joined a telecom company after his MBA and started working as market research analyst. His job included analyzing industry factors like competitors, suppliers and substitutes. Which of the strategic controls is he working on?

A Strategic Surveillance

B Special Alert Control

C Premise Control

D Benchmarking

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2022 · Series II · question p. 7

949 MTP **Old P7 May 2022 S-II** Q5(a) 5 marks old scheme

Sanya Private Limited is an automobile company. For the past few years, it has been observed that the progress of the company has become stagnant. When scrutinized, it was found that the planning department was performing fairly well but the plans could not be imp lemented due to improper use of resources, undesirable tendencies of workers and non-conformance to norms and standards. You are hired as a Strategic Manager. Suggest the elements of process of control to overcome the problem.

ICAI'S ANSWER

Sanya Private Limited deteriorating performance due to poor implementation of plans that is improper use of resources, undesirable tendencies of the workers, and non-conformance to norms and standards, all point towards weak controls in the organization. Implementation of plans cannot assure results unless strong and sufficient controls are put in place. The management of the company should focus diligently on developing controls especially in the identified problem areas.

The process of control has the following elements:

(a) Objectives of the business system which could be operationalized into measurable and controllable standards.

(b) A mechanism for monitoring and measuring the performance of the system.

(c) A mechanism (i) for comparing the actual results with reference to the standards (ii) for detecting deviations from standards and (iii) for learning new insights on standards themselves.

(d) A mechanism for feeding back corrective and adaptive information and instructions to the system, for effecting the desired changes to set right the system to keep it on course.

Above elements of control would ensure a proper check on improper use of resources, undesirable tendencies of the workers, and non-conformance to norms and standards and ensure a result oriented implementation of plans.

ICAI · Old P7 · MTP May 2022 · Series II · question p. 8 · answer p. 8

950 MTP **Old P7 Dec 2021 S-I** Q1(E) 2 marks MCQ old scheme

Systematic and continuous monitoring of the business environment to verify the accuracy of assumptions on which strategy is built is achieved by?

- A Premise Control
- B Special Alert Control
- C Implementation Control
- D Strategic Surveillance

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Dec 2021 · Series I · question p. 6

951 MTP **Old P7 Jul 2021 S-II** Q1(H) 1 mark MCQ old scheme

Which one is NOT a type of strategic control?

- A Operational control
- B Strategic surveillance
- C Special alert control

D Premise control

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 7

952 MTP **Old P7 Nov 2020 S-I** Q1(I) 1 mark MCQ old scheme

Which of the following would be chosen by the core strategist to implement operational control?

A Premise Control

B Special Alert Control

C Implementation Control

D Budgetary Control

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 8

953 MTP **Old P7 Nov 2019 S-I** Q1(viii) 1 mark MCQ old scheme

The purpose of strategy evaluation is to:

A increase the budget annually

B alert management to problems or potential problems

C make budget changes

D evaluate employees' performance

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 5

954 MTP **Old P7 May 2019 S-I** Q1(xiv) 1 mark MCQ old scheme

An important activity in _____ is taking corrective action.

A Strategy evaluation

B Strategy implementation

C Strategy formulation

D Strategy leadership

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2019 · Series I · question p. 6

955 MTP **Old P7 May 2019 S-I** Q6(b) 5 marks old scheme

Write a short note on Implementation Control.

ICAI'S ANSWER

Implementation control: Managers implement strategy by converting major plans into concrete, sequential actions that form incremental steps. Implementation control is directed towards assessing the need for changes in the overall strategy in light of unfolding events and results associated with incremental steps and actions.

Strategic implementation control is not a replacement to operational control. Strategic implementation control, unlike operational controls continuously monitors the basic direction of the strategy. The two basic forms of implementation control are:

(i) Monitoring strategic thrusts: Monitoring strategic thrusts help managers to determine whether the overall strategy is progressing as desired or whether there is need for readjustments.

(ii) Milestone Reviews. All key activities necessary to implement strategy are segregated in terms of time, events or major resource allocation. It normally involves a complete reassessment of the strategy. It also assesses the need to continue or refocus the direction of an organization.

ICAI · Old P7 · MTP May 2019 · Series I · question p. 6 · answer p. 8

956 MTP **Old P7 Nov 2018 S-II** Q5(b) 5 marks old scheme

Same question, different ICAI answer: #938 Old P7 RTP May 2018

Write short notes on the following:

Implementation Control.

ICAI'S ANSWER

Implementation Control: Managers implement strategy by converting major plans into concrete, sequential actions that form incremental steps. Implementation control is directed towards assessing the need for changes in the overall strategy in light of unfolding events and results associated with incremental steps and actions.

Strategic implementation control is not a replacement to operational control. Strategic implementation control, unlike operational controls continuously monitors the basic direction of the strategy. The two basic forms of implementation control are:

(i) Monitoring strategic thrusts: Monitoring strategic thrusts help managers to determine whether the overall strategy is progressing as desired or whether there is need for readjustments.

(ii) Milestone Reviews. All key activities necessary to implement strategy are segregated in terms of time, events or major resource allocation. It normally involves a complete reassessment of the strategy. It also assesses the need to continue or refocus the direction of an organization.

ICAI · Old P7 · MTP Nov 2018 · Series II · question p. 2 · answer p. 11-12

APPENDIX

Out of syllabus

Old-scheme questions on topics the January 2027 syllabus no longer has, and items ICAI itself marks out of syllabus. Skip them unless you are curious.

A.1 Near Chapter 1: Introduction to Strategic Management

16 questions ICAI marks out of syllabus, or whose topic has left the syllabus. For reference only.

957 EXAM **Old P7 Nov 2023** Q8(b) 5 marks old scheme

Care Ltd. has decided to acquire Trust Ltd. Discuss the major dimensions of strategic decisions.

ICAI'S ANSWER

Strategic decisions, particularly exemplified by Care Ltd.'s decision to acquire Trust Ltd., possess distinctive dimensions that set them apart from routine operational decisions. These dimensions underscore the gravity and complexity of strategic decision-making:

1. Strategic decisions require top-management involvement. Strategic decisions involve thinking about the totality of the organizations and there is also a lot of risk involved in that.

2. Strategic decisions involve the allocation/commitment of large amounts of company resources - financial, technical, human etc.

3. Strategic decisions are likely to have a significant impact on the long-term prosperity of the firm.

4. Strategic decisions are future oriented by predicting future environmental conditions and how to orient for the changed conditions.

5. Strategic decisions usually have major multifunctional or multi-business consequences as they involve organizations in totality.

6. Strategic decisions necessitate consideration of factors in the firm's external environment.

ICAI · Old P7 · Nov 2023 exam · question p. 12 · answer p. 14

958 EXAM **Old P7 Jul 2021** Q7(b) 5 marks old scheme

Also asked in Old P7 MTP May 2023 S-I Q4(a)

"Strategic decisions are different in nature than all other decisions." In the light of this statement explain major dimensions of strategic decisions.

ICAI'S ANSWER

Strategic decisions are different in nature than all other operational decisions. The dimensions of strategic decisions are not similar to that of other decisions which are taken at various levels of the organization during day-to-day working.

The following major dimensions of strategic decisions make them different than operational decisions:

1. Strategic decisions require top-management decisions. Strategic decisions involve thinking in totality of the organizations and there is also a lot of risk involved in that.

2. Strategic decisions involve the allocation of large amounts of company resources - financial, technical, human etc.

3. Strategic decisions are likely to have a significant impact on the long-term prosperity of the firm.

4. Strategic decisions are future oriented.

5. Strategic decisions usually have major multifunctional or multi-business consequences.

6. Strategic decisions necessitate consideration of factors in the firm's external environment.

ICAI · Old P7 · Jul 2021 exam · question p. 58 · answer p. 58-59

959 EXAM **Old P7 Nov 2019** Q7(a) 5 marks old scheme

"Strategic Management concepts are useful for educational institutions." Explain with reasons.

ICAI'S ANSWER

Education is considered to be a noble profession. An educational institution often functions as a not-for-profit organization managed by trusts and societies. They include schools, colleges and universities. Being inherently non-commercial in nature, educational organisations do not have cut-throat competition as in case of their commercial counterparts. However, as the number of institutions belonging to both public and private sector are increasing, the competition is gradually rising. Key reasons for use of strategic management techniques in educational institutes are as follows:

- Getting better name and recognition.
- Adopt different strategies for attracting best students.
- Appointing and retaining quality faculty for teaching.
- Deliver education to make graduates more employable.
- Nurturing responsible citizens.

ICAI · Old P7 · Nov 2019 exam · question p. 10 · answer p. 10

960 EXAM **Old P7 May 2018** Q8(a) 2 marks old scheme

Which of the following statements are 'correct' and which are 'incorrect'? Give reasons, in brief, for your answer:

Non-profit organizations do not require Strategic Management.

ICAI'S ANSWER

Incorrect: Strategic management applies equally to profit as well as non-profit organisations. Similar to commercial organizations, 'not-for-profit' organizations must also have strategies, purpose, vision and mission also. Strategic Management is required to give direction, focus and lead to efficient utilization of resources. In many 'not-for-profit' organizations surpluses are important for their survival and growth.

ICAI · Old P7 · May 2018 exam · question p. 11 · answer p. 11

961 RTP **Old P7 Dec 2021** Q11 old scheme

How strategic decisions differ in nature from other routine decisions taken in day-to-day working of an organization? Explain.

ICAI'S ANSWER

Strategic decisions are different in nature than all other decisions which are taken at various levels of the organization during day-to-day working of the organizations. The major dimensions of strategic

decisions are given below:

- Strategic issues require top management decisions.
- Strategic issues involve the allocation of large amounts of company resources.
- Strategic issues are likely to have a significant impact on the long term prosperity of the organisation.
- Strategic issues are future oriented.
- Strategic issues usually have major multifunctional or multi-business consequences.
- Strategic issues necessitate consideration of factors in the organisation's external environment.

ICAI · Old P7 · RTP Dec 2021 · question p. 17 · answer p. 21

962 RTP **Old P7 May 2020** Q2 old scheme

Health Wellnow is a Delhi based charitable organisation promoting healthy lifestyle amongst the office-goers. It organises free of cost programmes to encourage and guide office-goers on matters related to stress relief, yoga, exercises, healthy diet, weight management, work-life balance and so on. Many business organisations and resident welfare associations are taking services of Health Wellnow in Delhi and adjoining areas and make financial contributions to its cause. The Health Wellnow is able to generate sufficient funds to meet its routine expenses.

How far strategic management is relevant for Health Wellnow? Discuss.

ICAI'S ANSWER

The concepts of strategic management are relevant for Health Wellnow.

Organizations can be classified as commercial and non-commercial on the basis of the interest they have. Health Wellnow falls in the category of a non-commercial organisation. While non-commercial organisations may have objectives that are different from the commercial organisations, they need to employ the strategic management tools to efficiently use their resources, generate sufficient surpluses to meet daily expenses and achieve their objectives. In fact, many non-profit and governmental organizations outperform private firms and corporations on innovativeness, motivation, productivity, and human relations.

The strategic management in Health Wellnow needs to cover aspects such as:

(i) Generate sufficient funds for meeting its objectives.

(ii) Efficiently reach office-goers and help them to have health in life.

(iii) Promote itself to cover more offices, resident welfare associations.

(iv) Have a deep collaboration with health experts, including dieticians, psychologist, fitness trainers, yoga experts.

ICAI · Old P7 · RTP May 2020 · question p. 14 · answer p. 16

963 RTP **Old P7 May 2019** Q1(vi) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Which of the following statement is not true about strategic decisions?

A They need top-management involvement.

B Involve commitment of organisational resources.

C They are based on external environment

D They have insignificant impact on the long-term prosperity

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2019 · question p. 9-10

964 RTP **Old P7 May 2019** Q2 old scheme

'Do Good Group' is a not-for-profit organization based in northern India working towards childcare. The group educates people towards immunization, sanitation and works in coordination with local hospitals or medical centers. Recently, a new team has taken over the management of its activities. Explain whether tools of strategic Management are relevant for the group.

ICAI'S ANSWER

The tools of strategic management process are effectively being used by a number of not-for-profit or charitable organizations. While 'Do Good Group' may have social and charitable existence, still it has to generate resources and use them wisely to achieve organisational objectives. Organisation needs to be managed strategically, irrespective whether they have profit motive. The strategic Management at 'Do Good Group' should essentially cover:

- Analyzing and interpreting the strategic intent in terms of vision, mission and objectives.
- Generating required resources in terms of finance and manpower (volunteers, paid employees).
- Undertaking SWOT analysis from time to time.
- Setting goals in the area of childcare. It can be in terms of geographical coverage and number of children.
- Analyzing the desired future position with the past and present situation.

ICAI · Old P7 · RTP May 2019 · question p. 12 · answer p. 14

965 RTP **Old P7 May 2018** Q5 old scheme

Health Wellnow is a Delhi based charitable organisation promoting healthy lifestyle amongst the office-goers. It organises programmes to encourage and guide office-goers on matters related to stress relief, yoga, exercises, healthy diet, weight management, work-life balance and so on. Many business organisations and resident welfare associations take services of Health Wellnow. Its daily yoga sessions are very popular in some of the big companies located in Delhi, Noida and Gurgaon. The Health Wellnow has no commercial interest and does not charge any fees for its services. However, the organisation is able to get good charities and has sufficient funds to meet its routine expenses.

Do you think the concepts of strategic management are relevant for Health Welln ow? Discuss.

ICAI'S ANSWER

The concepts of strategic management are relevant for Health Wellnow.

Organizations can be classified as commercial and non-commercial on the basis of the interest they have. Health Wellnow falls in the category of a non-commercial organisation. While non-commercial organisations may have objectives that are different from the commercial organisations, they need to employ the strategic management tools to efficiently use their resources, generate sufficient surpluses to meet daily expenses and achieve their objectives. In fact, many non-profit and

governmental organizations outperform private firms and corporations on innovativeness, motivation, productivity, and human relations.

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(iv) Have a deep collaboration with health experts, including dieticians, psychologist, fitness trainers, yoga experts.

ICAI · Old P7 · RTP May 2018 · question p. 14 · answer p. 20

966 MTP **Old P7 May 2022 S-I** Q1(D) 1 mark MCQ old scheme

Which is not the major dimension of strategic decision making?

A Top management involvement

B Commitment of organizational resources

C Future Oriented

D Impact on short term prosperity of firm

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2022 · Series I · question p. 8

967 MTP **Old P7 May 2020 S-I** Q5(a) 5 marks old scheme

"Strategic decisions are different in nature than all other decisions." In the light of this statement, explain any three major dimensions of strategic decisions.

ICAI'S ANSWER

Decision-making is a managerial process and a function of choosing a particular course of action out of several alternative courses for the purpose of accomplishment of the organizational goals. Strategic decisions are different in nature than all other decisions which are taken at various levels of the organization during their day-to-day working. The major dimensions of strategic decisions are given below:

1. Strategic issues require top-management decisions. Strategic issues involve thinking in totality of the organizations and there is lot of risk involved.

2. Strategic issues involve the allocation of large amounts of company resources - financial, technical, human etc.

3. Strategic issues are likely to have a significant impact on the long-term prosperity of the firm.

4. Strategic issues are future oriented.

5. Strategic issues usually have major multifunctional or multi-business consequences.

6. Strategic issues necessitate consideration of factors in the firm's external environment.

ICAI · Old P7 · MTP May 2020 · Series I · question p. 8 · answer p. 8

968 MTP **Old P7 Nov 2019 S-I** Q1(ix) 1 mark MCQ old scheme

Strategic management can be effectively used by NGOs to:

- A Use resource effectively
- B Raise funds
- C Achieve goals
- D All the above

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 5

969 MTP **Old P7 May 2019 S-II** Q1(ii) 1 mark MCQ old scheme

Which of the following statement is not true:

- A Strategic environment is complex
- B Strategic environment is turbulent.
- C High cost of strategy makes them useless for charitable organization.
- D Public sector units should implement business strategy

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 4

970 MTP **Old P7 Nov 2018 S-I** Q3(b) 5 marks old scheme

Do you agree with the statement that "Strategic Management concepts are of no use to Government organizations and Medical organizations"? Explain with reasons.

ICAI'S ANSWER

Organizations can be classified as commercial and non-commercial on the basis of the interest they have. Typically, a government or medical organization may function without any commercial objectives. A commercial organization has profit as its main aim. We can find many organizations around us, which do not have any commercial objective of making profits. Their genesis may be for social, charitable, or educational purposes.

The strategic-management process is being used effectively by countless non-profit governmental organizations. Many non-profit and governmental organizations outperform private firms and corporations on innovativeness, motivation, productivity, and human resource.

Compared to for-profit firms, non-profit and governmental organizations often function as a monopoly, produce a product or service that offers little or no measurability of performance, and are totally dependent on outside financing. Especially for these organizations, strategic management provides an excellent vehicle for developing and justifying requests for needed financial support.

ICAI · Old P7 · MTP Nov 2018 · Series I · question p. 2 · answer p. 11

971 MTP **Old P7 Nov 2018 S-II** Q6(a) 7 marks old scheme

What is Strategic Decision Making? Briefly explain the major dimensions of strategic decisions.

ICAI'S ANSWER

Decision making is a managerial process of selecting the best course of action out of several alternative courses for the purpose of accomplishment of the organizational goals. Decisions may be operational i.e., which relate to general day-to-day operations. They may also be strategic in nature. According to Jahuch and Glueck "Strategic decisions encompass the definition of the business, products to be handled, markets to be served, functions to be performed and major policies needed for the organisation to execute these decisions to achieve the strategic objectives."

The major dimensions of strategic decisions are as follows:

- Strategic decisions require top-management involvement: Strategic decisions involve thinking in totality of the organization. Hence, problems calling for strategic decisions require to be considered by the top management.
- Strategic decisions involve commitment of organisational resources: For example, Strategic decisions to launch a new project by a firm requires allocation of huge funds and assignment of a large number of employees.
- Strategic decisions necessitate consideration of factors in the firm's external environment: Strategic focus in organization involves orienting its internal environment to the changes of external environment.
- Strategic decisions are likely to have a significant impact on the long-term prosperity of the firm: Generally, the results of strategic implementation are seen on a long-term basis and not immediately.
- Strategic decisions are future oriented: Strategic thinking involves predicting the future environmental conditions and how to orient for the changed conditions.
- Strategic decisions usually have major multifunctional or multi-business consequences: As they involve organization in totality they affect different sections of the organization with varying degree.

ICAI · Old P7 · MTP Nov 2018 · Series II · question p. 2 · answer p. 12

972 MTP **Old P7 May 2018 S-I** Q4(b) 5 marks old scheme

What is strategic decision making? What are its major dimensions?

ICAI'S ANSWER

Decision making is a managerial process of selecting the best course of action out of several alternative courses for the purpose of accomplishment of the organizational goals. Decisions may be operational i.e., which relate to general day-to-day operations. They may also be strategic in nature. According to Jauch and Glueck "Strategic decisions encompass the definition of the business, products to be handled, markets to be served, functions to be performed and major policies needed for the organisation to execute these decisions to achieve the strategic objectives."

The major dimensions of strategic decisions are as follows:

- Strategic decisions require top-management involvement: Strategic decisions involve thinking in totality of the organization. Hence, problems calling for strategic decisions require to be considered by the top management.
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- Strategic decisions necessitate consideration of factors in the firm's external environment: Strategic focus in organization involves orienting its internal environment to the changes of external environment.
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- Strategic decisions are future oriented: Strategic thinking involves predicting the future environmental conditions and how to orient for the changed conditions.
- Strategic decisions usually have major multifunctional or multi-business consequences: As they involve organization in totality they affect different sections of the organization with varying degree.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 3 · answer p. 10

A.2 Near Chapter 2: Strategic Analysis: External Environment

24 questions ICAI marks out of syllabus, or whose topic has left the syllabus. For reference only.

973 EXAM **Old P7 Nov 2023** Q9(a) 5 marks old scheme

Rohan works in the R & D department of an electronic appliances company and is given complete autonomy to conduct experiments for business expansion. He accepted the challenge and developed a new product for the customers. Identify and explain the role of Rohan in the company.

ICAI'S ANSWER

Rohan, in this case, is working within the R & D department of the electronic appliances company, and he is given the autonomy to conduct experiments for business expansion. This level of autonomy and the initiative to develop a new product showcase intrapreneurial qualities. Intrapreneurs are individuals who take the initiative to innovate, create, and develop new products, services, or processes within the confines of an existing organization.

An intrapreneur is nothing but an entrepreneur who operates within the boundaries of an organisation. He is an employee of a large organisation, who is vested with authority of initiating creativity and innovation in the company's products, services and projects, redesigning the processes, workflows and systems.

The intrapreneurs believe in change and do not fear failure. They discover new ideas, look for such opportunities that can benefit the whole organisation and take risks, promote innovation to improve the performance and profitability of the organisation. The job of an intrapreneur is extremely challenging. They get recognition and reward for the success achieved by them.

It has now become a trend that large corporations appoint intrapreneur within the organisation, to bring operational excellence and gain competitive edge in the market.

ICAI · Old P7 · Nov 2023 exam · question p. 14 · answer p. 14-15

974 EXAM **Old P7 Jul 2021** Q9(b) 5 marks old scheme

What are the issues to be resolved by a business enterprise to have an effective logistic strategy?

ICAI'S ANSWER

Management of logistics is a process which integrates the flow of supplies into, through and out of an organisation to achieve a level of service which ensures that the right materials are available at the

right place, at the right time, of the right quality and at the right cost.

For a business enterprise, effective logistic strategy will involve raising and finding solutions to the following questions:

- Which sources of raw materials and components are available?
- How many manufacturing locations are there?
- What products are being made at each manufacturing location?
- What modes of transportation should be used for various products?
- What is the nature of distribution facilities?
- What is the nature of materials handling equipment possessed? Is it ideal?
- What is the method for deploying inventory in the logistics network?
- Should the business firm own the transport vehicles or hire?

ICAI · Old P7 · Jul 2021 exam · question p. 60 · answer p. 61

975 **EXAM** **Old P7 Jan 2021** Q10(b) **5 marks** **old scheme**

Also asked in Old P7 MTP May 2023 S-I Q5(b)

Elucidate:

Expanded Marketing Mix

ICAI'S ANSWER

Expanded Marketing Mix:

Typically, all organizations use a combination of 4 Ps in some form or the other that is product, price, place, and promotion. However, the above elements of marketing mix are not exhaustive. There are a few more elements that may form part of an organizational marketing mix strategy as follows:

1. People: all human actors who play a part in delivery of the market offering and thus influence the buyer's perception, namely the firm's personnel and the customer.

2. Physical evidence: the environment in which the market offering is delivered and where the firm and customer interact.

3. Process: the actual procedures, mechanisms and flow of activities by which the product/ service is delivered.

ICAI · Old P7 · Jan 2021 exam · question p. 17 · answer p. 18

976 **EXAM** **Old P7 Nov 2018** Q10(b) **5 marks** **old scheme**

Explain the marketing mix in the context of modern marketing.

ICAI'S ANSWER

Marketing mix is a set of controllable marketing variables that the firm blends to produce the response that it wants in the target market. Marketing mix consists of everything that the firm can do to influence the demand for its product. The original framework of marketing mix comprises of product, price, place and promotion.

Modern marketing is highly promotional oriented and include personal selling, advertising, publicity and sales promotion.

Personal selling – involves face to face interaction of sales persons with the prospective customers and provides a high degree of personal attention. It involves working with one customer at a time and hence not cost effective. The intention of oral communication is sale.

Advertising – is a non-personal, flexible and dynamic promotion method. The media for advertising are several and choice of an appropriate one is important for effectiveness of message. Sale of the product and the amount of expenditure cannot be directly measured.

Publicity – is also non-personal but no payments are made to the media. Publicity is communication of a product, brand or business by placing information about it in the media without paying for the time or media space directly. It could be through press releases, press conferences, reports, etc.

Sales promotion – includes all activities that are undertaken to promote the business but are not specifically included under personal selling, advertising or publicity. Activities like discounts, contests, money refunds, exhibitions etc. are included.

ICAI · Old P7 · Nov 2018 exam · question p. 14 · answer p. 15

977 EXAM **Old P7 May 2018** Q8(d) 2 marks old scheme

Which of the following statements are 'correct' and which are 'incorrect'? Give reasons, in brief, for your answer:

Marketing function has no relation with production function.

ICAI'S ANSWER

Incorrect: Marketing function and production function complement each other. They need to work in tandem to produce goods as per the needs and preferences of the customers. Marketing links the production with the customers.

ICAI · Old P7 · May 2018 exam · question p. 11 · answer p. 11

978 RTP **Old P7 May 2023** Q10 old scheme

Write a brief note on 'Driving Forces' that affect an industry.

ICAI'S ANSWER

The most dominant forces are called driving forces because they have the biggest influence on what kinds of changes will take place in the industry's structure and competitive environment. The most common driving forces are as follows:

- The internet and the new e-commerce opportunities and threats it breeds in the industry.
- Increasing globalization
- Changes in the long-term industry growth rate
- Product innovation
- Marketing innovations
- Entry or exit of major firms
- Diffusion of technical now-how across more companies and more countries
- Changes in cost and efficiency.

PassBook's note: ICAI's list (the internet, globalisation, product and marketing innovation ...) is from the old Study Material.

ICAI · Old P7 · RTP May 2023 · question p. 18 · answer p. 22

979 RTP **Old P7 May 2023** Q17 old scheme

Also asked in Old P7 RTP Nov 2018 Q16 · Old P7 MTP Dec 2021 S-I Q4(b)

What are the objectives that must be kept in mind while designing a pricing strategy of a new product?

ICAI'S ANSWER

For a new product pricing strategies for entering a market needs to be designed. In pricing a really new product at least three objectives must be kept in mind.

i. Making the product acceptable to the customers.

ii. Producing a reasonable margin over cost.

iii. Achieving a market that helps in developing market share.

For a new product an organization may either choose to skim or penetrate the market. In skimming prices are set at a very high level. The product is directed to those buyers who are relatively price insensitive but sensitive to the novelty of the new product. For example call rates of mobile telephony were set very high initially. Even the incoming calls were charged. Since the initial off take of the product is low, high price, in a way, helps in rationing of supply in favour of those who can afford it.

In penetration pricing firm keeps a temptingly low price for a new product which itself is selling point. A very large number of the potential customers may be able to afford and willing to try the product.

ICAI · Old P7 · RTP May 2023 · question p. 19 · answer p. 25

980 RTP **Old P7 Nov 2022** Q3 MCQ old scheme

Smooth Ride and Comfort Ride are two car engine component manufacturers, manufacturing identical auto parts. Both units are almost identical in every aspect. As a Strategic Manager of Comfort Ride, which process would you suggest to the management so that it has an edge over its competitor Smooth Ride.

- A Management Business Process
- B Strategic Business Process
- C Business Process Reengineering
- D Management Reengineering Process

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · RTP Nov 2022 · question p. 16

981 RTP **Old P7 Nov 2022** Q18 old scheme

Same question, different ICAI answer: #990 Old P7 MTP Nov 2023 S-I

Modern marketing is highly promotion oriented. Discuss citing major direct promotional methods for products.

ICAI'S ANSWER

Modern marketing is highly promotional oriented and include personal selling, advertising, publicity and sales promotion.

Personal selling – involves face to face interaction of salespersons with the prospective customers and provides a high degree of personal attention. It involves working with one customer at a time and hence not cost effective. The intention of oral communication is sale.

Advertising – is a non-personal, flexible and dynamic promotion method. The media for advertising are several and choice of an appropriate one is important for effectiveness of message. Sale of the product and the amount of expenditure cannot be directly measured.

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Sales promotion – includes all activities that are undertaken to promote the business but are not specifically included under personal selling, advertising or publicity. Activities like discounts, contests, money refunds, exhibitions etc. are included.

ICAI · Old P7 · RTP Nov 2022 · question p. 18 · answer p. 23-24

982 RTP **Old P7 Nov 2022** Q21 old scheme

Also asked in Old P7 MTP Nov 2019 S-I Q3(b)

Zumba Robots, an electronic robot manufacturing company is a leader in its business segment. Over a period of time, it started losing its grip on the market as its overall position started to weaken. Discuss the type of audit that you would like to suggest to analyse the situation of the company?

ICAI'S ANSWER

The audit of management performance with regard to its strategies helps 'Zumba Robots' identify problem areas and correct the strategic approaches that have not been effective so far. A strategy audit is a review of a company's business plan and strategies to identify weaknesses and shortcomings and enable a successful development of the company. An assessment of the external environment shows where changes happen and where organization's strategic management no longer match the demands of the marketplace. Based on such analysis, Zumba Robots can improve business performance by periodically conducting such an audit.

ICAI · Old P7 · RTP Nov 2022 · question p. 18 · answer p. 25

983 RTP **Old P7 Dec 2021** Q18 old scheme

Also asked in Old P7 RTP Jul 2021 Q18

Write short note on Publicity and Sales Promotion.

ICAI'S ANSWER

Publicity and Sales promotion are adopted by organizations when they are undertaking promotion in the overall marketing mix.

Publicity is a non-personal form of promotion similar to advertising. However, no payments are made to the media as in case of advertising. Organizations skillfully seek to promote themselves and their product without payment. Publicity is communication of a product, brand or business by placing information about it in the media without paying for the time or media space directly.

Thus, it is way of reaching customers with negligible cost. Basic tools for publicity are press releases, press conferences, reports, stories, and internet releases. These releases must be of interest to the public.

Sales promotion is an omnibus term that includes all activities that are undertaken to promote the business but are not specifically included under personal selling, advertising or publicity. Activities like discounts, contests, money refunds, installments, kiosks, exhibitions and fairs constitute sales promotion. All these are meant to give a boost to the sales. Sales promotion done periodically may help in getting a larger market share to an organization.

ICAI · Old P7 · RTP Dec 2021 · question p. 18 · answer p. 24

984 RTP **Old P7 Jul 2021** Q3 MCQ old scheme

Everyouth Beauty Products Limited, the makers of Feel-Fresh soaps have been suffering from low sales volume from the last six months due to stiff competition. To regain its position, Everyouth Beauty Products Limited launched various schemes such as 'win a phone every hour', scratch cards, buy 1 get 1 free and contest on social media. This resulted into increase in sales. Which type of promotional activity did Everyouth Beauty Products Limited adopted?

A Sales promotion

B Advertising

C Publicity

D Personal selling

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP Jul 2021 · question p. 15

985 RTP **Old P7 Nov 2020** Q17 old scheme

Mr. Vicky Verma, a Gwalior based entrepreneur, has entered into an exclusive-retail deal with an Italian company selling 'Fantasy-3D', a Hologram LED Fan, which is being used for advertising at public places. Mr. Verma procured a total of 500 units of the product and paid upfront as per the seller's policy. This resulted in blocking of his working capital significantly and the shipment is expected in a month. Meanwhile his continued efforts of establishing relations with the marketing heads of corporates resulted in a series of meetings, where he demonstrated his specialist product knowledge by changing the hologram images to personalise basis specifications of the customer. The management of a big automative company was impressed with the quality and adaptability of the product, and awarded a contract of 125 units to be displayed in the auto-maker's showrooms. Identify and explain the product promotion strategy adopted by Mr. Verma.

ICAI'S ANSWER

Mr. Vicky Verma established personal contacts with potential buyers of the product and persuaded the marketing department over several physical meetings, and was finally able to make sales. The personal relation establishment and physical demonstration, indicates that Mr. Verma used the Personal Selling method of Promotion. Modern marketing is highly promotional oriented and include personal selling, advertising, publicity and sales promotion. Personal selling involves face to face interaction of sales persons with the prospective customers and provides a high degree of personal attention. It involves working with one customer at a time and hence not cost effective. The intention of oral communication is sale.

ICAI · Old P7 · RTP Nov 2020 · question p. 18 · answer p. 23

986 RTP **Old P7 Nov 2019** Q4 old scheme

Also asked in Old P7 MTP May 2023 S-I Q3(a)

Shridhar who is running a medium size cloth manufacturing business in Panipat wishes to understand the driving forces that trigger change. He has sought advice from you and wishes to know common driving forces.

ICAI'S ANSWER

Industry and competitive conditions of organisation change as environmental forces are in motion. The most dominant forces are called driving forces because they have the biggest influence on what kinds of changes will take place in the industry's structure and competitive environment. Analyzing driving forces has two steps: identifying what the driving forces are and assessing the impact they will have on the industry.

Many events can affect an industry powerfully enough to qualify as driving forces. Some are unique and specific to a particular industry situation, but many drivers of change fall into general category affecting different industries simultaneously. Some of the categories/examples of drivers are:

- The internet and the new e-commerce opportunities and threats it breeds in the industry.
- Increasing globalization.
- Changes in the long-term industry growth rate.
- Product innovation.
- Marketing innovation.
- Entry or exit of major forms.
- Diffusion of technical know-how across more companies and more countries.
- Changes in cost and efficiency.

PassBook's note: ICAI's list (the internet, globalisation, product and marketing innovation ...) is from the old Study Material.

ICAI · Old P7 · RTP Nov 2019 · question p. 14 · answer p. 17

987 RTP **Old P7 Nov 2019** Q12 old scheme

A web company initially started as an online marketplace for books. From "biggest E - Bookstore," its owners wants to expand into an e commerce platform selling electronic goods. Implementation of this needs additional funds.

What are the different sources of raising funds and their impact on the financial strategy which you as a financial manager will consider?

ICAI'S ANSWER

Successful strategy implementation often requires additional capital. Besides net profit from operations and the sale of assets, two basic sources of capital for an organization are debt and equity. Being a financial manager to determine an appropriate mix of debt and equity in a firm's capital structure can be vital to successful strategy implementation. Fixed debt obligations generally must be met, regardless of circumstances. This does not mean that stock issuances are always better than debt for raising capital. If ordinary stock is issued to finance strategy implementation; ownership and control of the enterprise are diluted. This can be a serious concern in today's business environment of hostile takeovers, mergers, and acquisitions.

The major factors regarding which strategies have to be made by a financial manager are: capital structure; procurement of capital and working capital borrowings; reserves and surplus as sources of funds; and relationship with lenders, banks and financial institutions. Strategies related to the

sources of funds are important since they determine how financial resources will be made available for the implementation of strategies. Organizations have a range of alternatives regarding the sources of funds. While one company may rely on external borrowings, another may follow a policy of internal financing.

ICAI · Old P7 · RTP Nov 2019 · question p. 15 · answer p. 21-22

988 RTP **Old P7 May 2018** Q2(f) old scheme

State with reasons which of the following statements are correct/incorrect: Publicity is personal form of promotion.

ICAI'S ANSWER

Incorrect: Publicity is a non-personal form of promotion similar to advertising. However, no payments are made to the media as in case of advertising. Organizations skilfully seek to promote themselves and their products without payment. Publicity is communication of a product, brand or business by placing information about it in the media without paying for the time or media space directly.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 17

989 RTP **Old P7 May 2018** Q15 old scheme

Ronit Roy has started a new business of manufacturing washing powder. Make a plan for him to promote his product.

ICAI'S ANSWER

Promotion stands for activities that communicate the merits of the product and persuade target consumers to buy it. Strategies are needed to combine individual methods such as advertising, personal selling, and sales promotion into a coordinated campaign. Modern marketing is highly promotional oriented.

Ronit needs to cover four major direct promotional methods or tools – personal selling, advertising, publicity and sales promotion. They are briefly explained as follows:

(i) Personal selling: Personal Selling involves face-to-face interaction of sales force with the prospective customers and provides a high degree of personal attention to them. In personal selling, oral communication is made with potential buyers of a product with the intention of making a sale.

Ronit may engage a sales team to reach potential customers, explain the benefits of the product and make a sale.

While personal selling is highly effective it suffers from very high costs as sales personnel are expensive. Considering the product is a new launch in a competitive environment having a sales team would be essential.

(ii) Advertising: Advertising is a non-personal, highly flexible and dynamic promotional method.

Ronit needs to advertise washing powder through hoardings, display boards particularly near the point of sale. He may also consider having advertisements through handouts, newspapers, magazines and internet. Television and radio are costly alternatives that may be considered according to his budget.

(iii) Publicity: Publicity is also a non-personal form of promotion similar to advertising. He may organize a launch party where journalists are invited. It is way of reaching customers with negligible

cost. Basic tools for publicity are press releases, pres s conferences, reports, stories, and internet releases. These releases must be of interest to the public.

(iv) Sales promotion: Sales promotion is an omnibus term that includes all activities that are undertaken to promote the business but are not specifically included under personal selling, advertising or publicity. Ronit may offer free trial packs to generate interest in the product. Activities like discounts, contests, money refunds, instalments, kiosks, exhibitions and fairs constitute sales promotion. All these are meant to give a boost to the sales. Sales promotion done periodically may help in getting a larger market share.

ICAI · Old P7 · RTP May 2018 · question p. 15 · answer p. 25-26

990 MTP **Old P7 Nov 2023 S-I** Q5(b) 5 marks old scheme

Same question, different ICAI answer: #981 Old P7 RTP Nov 2022

Modern marketing is highly promotion oriented. Discuss citing major direct promotional methods for products.

ICAI'S ANSWER

Modern marketing is highly promotional oriented and includes personal selling, advertising, publicity and sales promotion.

Personal selling – involves face to face interaction of salespersons with prospective customers and provides a high degree of personal attention. It involves working with one customer at a time and hence is not cost effective. The intention of oral communication is sale.

Advertising – is a non-personal, flexible and dynamic promotion method. The media for advertising are several and choice of an appropriate one is important for effectiveness of message. The sales of the product and the amount of expenditure cannot be directly measured.

Publicity – is also non-personal but no payments are made to the media. Publicity is communication of a product, brand or business by placing information about it in the media without paying for the time or media space directly. It could be through press releases, press conferences, reports, etc.

Sales promotion – includes all activities that are undertaken to promote the business but are not specifically included under personal selling, advertising or publicity. Activities like discounts, contests, money refunds, exhibitions etc. are included.

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 8 · answer p. 8

991 MTP **Old P7 May 2023 S-I** Q4(b) 5 marks old scheme

Mr. Vicky Verma, a Gwalior based entrepreneur, has entered into an exclusive-retail deal with an Italian company selling 'Fantasy-3D', a Hologram LED Fan, which is being used for advertising at public places. Mr. Verma procured a total of 500 units of the product and paid upfront as per the seller's policy. This resulted in blocking of his working capital significantly and the shipment is expected in a month. Meanwhile his continued efforts of establishing relations with the marke ting heads of corporates resulted in a series of meetings, where he demonstrated his specialist product knowledge by changing the hologram images to personalise basis specifications of the customer. The management of a big automotive company was impressed with the quality and adaptability of the product and awarded a contract of 125 units to be displayed in the auto-maker's showrooms. Identify and explain the product promotion strategy adopted by Mr. Verma.

ICAI'S ANSWER

Mr. Vicky Verma established personal contacts with potential buyers of the product and persuaded the marketing department over several physical meetings and was finally able to make sales. The personal relation establishment and physical demonstration, indicates that Mr. Verma used the Personal Selling method of Promotion. Modern marketing is highly promotional oriented and include personal selling, advertising, publicity and sales promotion. Personal selling involves face to face interaction of salespersons with the prospective customers and provides a high degree of personal attention. It involves working with one customer at a time and hence not cost effective. The intention of oral communication is sale.

ICAI · Old P7 · MTP May 2023 · Series I · question p. 8 · answer p. 9

992 MTP **Old P7 May 2022 S-I** Q6(b) 5 marks old scheme

Distinguish between the following:

Publicity & Sales Promotion.

ICAI'S ANSWER

Publicity and Sales promotion are adopted by organizations when they are undertaking promotion in the overall marketing mix.

Publicity is a non-personal form of promotion similar to advertising. However, no payments are made to the media as in case of advertising. Organizations skillfully seek to promote themselves and their product without payment. Publicity is communication of a product, brand or business by placing information about it in the media without paying for the time or media space directly.

Thus, it is way of reaching customers with negligible cost. Basic tools for publicity are press releases, press conferences, reports, stories, and internet releases. These releases must be of interest to the public.

Sales promotion is an omnibus term that includes all activities that are undertaken to promote the business but are not specifically included under personal selling, advertising or publicity. Activities like discounts, contests, money refunds, installments, kiosks, exhibitions and fairs constitute sales promotion. All these are meant to give a boost to the sales. Sales promotion done periodically may help in getting a larger market share to an organization.

ICAI · Old P7 · MTP May 2022 · Series I · question p. 9 · answer p. 10

993 MTP **Old P7 May 2022 S-II** Q5(b) 5 marks old scheme

Write a short note on Expanded Marketing Mix.

ICAI'S ANSWER

Expanded Marketing Mix:

Typically, all organizations use a combination of 4 Ps in some form or the other that is product, price, place, and promotion. However, the above elements of marketing mix are not exhaustive. There are a few more elements that may form part of an organizational marketing mix strategy as follows:

1. People: all human actors who play a part in delivery of the market offering and thus influence the buyer's perception, namely the firm's personnel and the customer.

2. Physical evidence: the environment in which the market offering is delivered and where the firm and customer interact.

3. Process: the actual procedures, mechanisms and flow of activities by which the product/ service is delivered.

ICAI · Old P7 · MTP May 2022 · Series II · question p. 8 · answer p. 8

994 MTP **Old P7 Nov 2019 S-I** Q1(xiv) 1 mark MCQ old scheme

For a new product, an organization may choose:

- A Skimming pricing strategy
- B Penetration pricing strategy
- C Both (a) and (b)
- D None of these

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 5

995 MTP **Old P7 May 2019 S-II** Q1(xi) 1 mark MCQ old scheme

Decisions with regards to marketing mix are related to:

- A Growth Strategy
- B Business level strategy
- C Functional strategy
- D Corporate decisions

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 5

996 MTP **Old P7 May 2018 S-I** Q2(c) 2 marks old scheme

Which of the following statements are 'correct' and which are 'incorrect'? Give reasons, in brief, for your answer:

Human resource management aids in strategic management.

ICAI'S ANSWER

Correct: The human resource management helps the organization to effectively deal with the external environmental challenges. The function has been accepted as a partner in the formulation of organization's strategies and in the implementation of such strategies through human resource planning, employment, training, appraisal and rewarding of personnel.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 3 · answer p. 8

A.3 Near Chapter 3: Strategic Analysis: Internal Environment

13 questions ICAI marks out of syllabus, or whose topic has left the syllabus. For reference only.

997 EXAM **Old P7 Nov 2023** Q8(a) 5 marks old scheme

Disha is appointed as Human Resource Manager in a Telecom company. Currently, the company is facing various HR challenges. Disha's role involves implementing effective human resource

management strategies to address HR challenges and ensure the success of the company. Enumerate any five prominent areas where Disha can play a strategic role.

ICAI'S ANSWER

Disha, the Human Resource Manager in a Telecom company, plays a pivotal strategic role in addressing HR challenges and fostering the company's success. Key areas where Disha contributes strategically include:

1. Providing purposeful direction: The human resource manager leads people and the organization towards the desired direction involving people. He can ensure harmony between organisational objectives and individual objectives.

2. Creating a competitive advantage: In the present business environment, maintaining a competitive position or gains either by cost leadership or differentiation is an important objective of any business. Having a highly committed and competent workforce is very important for getting a competitively advantageous position.

3. Facilitation of change: The human resource manager will be more concerned about furthering the organization not just maintaining it. He can devote more time to promote acceptance of change rather than maintaining the status quo.

4. Managing workforce diversity: In a modern organization, management of a diverse workforce is a great challenge. Workforce diversity can be observed in terms of male and female, young and old, educated and uneducated, unskilled and professional employee and so on. Motivation, maintaining morale and commitment are some of the key tasks that a HR manager can perform.

5. Empowerment of human resources: Empowerment means authorizing ever member of an organization to take up his/her own destiny realizing his/her full potential. Empowerment involves giving more power to those who, at present, have little control over what they do and little ability to influence the decisions being made around them.

6. Building core competency: The human resource manager has an important role to play in developing the core competency of the firm. A core competence is a unique strength of an organization which may not be shared by others. Organization of business around core competence implies leveraging the limited resources of a firm.

7. Development of works ethics and culture: As changing work ethics requires increasing emphasis on individuals, jobs will have to be redesigned to provide challenge. A vibrant work culture will have to be developed in the organizations to create an atmosphere of trust among people and to encourage creative ideas by the people.

In these strategic roles, Disha contributes to the organizational success by aligning human resource practices with the overall objectives of the telecom company, ensuring resilience and competitiveness in the industry.

ICAI · Old P7 · Nov 2023 exam · question p. 12-13 · answer p. 13

998 EXAM **Old P7 Nov 2022** Q9(a) 5 marks old scheme

"The TOWS Marix is a tool for generating strategic options/choices." Do you agree with this statement? How it can help a strategist in decision making?

ICAI'S ANSWER

Yes, TOWS Matrix is a relatively simple tool for generating strategic options. Through TOWS matrix four distinct alternative kinds of strategic choices can be identified.

SO (Maxi-Maxi): Aggressive strategy - SO is a position that any firm would like to achieve. The strengths can be used to capitalize or build upon existing or emerging opportunities.

ST (Maxi-Mini): Conservative strategy - ST is a position in which a firm strives to minimize existing or emerging threats through its strengths.

WO (Mini-Maxi): Competitive strategy - The strategies developed need to overcome organizational weaknesses if existing or emerging opportunities are to be exploited to maximum.

WT (Mini-Mini): Defensive strategy - WT is a position that any firm will try to avoid. An organization facing external threats and internal weaknesses may have to struggle for its survival.

The matrix is outlined below:

Internal External	Strengths – S List Strengths	Weaknesses – W List Weaknesses
Opportunities – O List Opportunities	SO Strategies Use strengths to take advantage of opportunities	WO Strategies Overcoming weaknesses by taking advantage of opportunities
Threats – T List Threats	ST Strategies Use strengths to avoid threats	WT Strategies Minimize weaknesses and avoid threats

Figure: The TOWS Matrix

By using TOWS Matrix, a strategist can look intelligently at how he can best take advantage of the opportunities open to him, at the same time that he can minimize the impact of weaknesses and protect himself against threats. Used after detailed analysis of threats, opportunities, strength and weaknesses, it helps the strategist to consider how to use the external environment to his strategic advantage, and so he can identify some of the strategic options available to him.

ICAI · Old P7 · Nov 2022 exam · question p. 16 · answer p. 16-17

999 EXAM **Old P7 May 2022** Q6 5 marks old scheme

Paramount group of companies is having a strong foot print in the areas of Aviation, Healthcare, Fast moving consumer goods, Home appliances and Electronic goods. Processes, Technology and Marketing capabilities are different for each business. However, each business operates among a group of rivals that produce competing products. In order to get ahead of competition and to contribute for sustained competitive advantages, company intends to improve customer services and in turn increase its market share. To achieve this, company is desirous to analyze its products, processes and service levels for each of its segments.

Company is studying various trade publications, understanding the taste and preferences of customers, meeting with suppliers and also using other relevant information available in public domain for each of its business operations. After studying as above, company wants to compare diverse range of practices and processes being followed by acknowledged leaders in the industry, measures its own productivity and identify the gaps. Instead of following bricks-and-mortar practices, company will be setting goals to be achieved for improvement in its product, processes and services, based on best practices being followed by the companies on a regular basis.

Identify the strategic tool to be used by Paramount group of companies. Also explain in brief the common elements involved in using this tool.

ICAI'S ANSWER

Paramount group of companies have used Benchmarking as a strategic tool. Benchmarking is an approach of setting goals and measuring productivity of firms based on best industry practices or against the products, services and practices of its competitors or other acknowledged leaders in the industry. Thus, benchmarking is a process of continuous improvement in search for competitive advantage. Firms can use benchmarking practices to achieve improvements in diverse range of management functions like product development, customer services, human resources management, etc.

Some of the common elements of benchmarking process are as under:

- Identifying the need for benchmarking: This step will define the objectives of the benchmarking exercise. It will also involve selecting the type of benchmarking. Organizations identify realistic opportunities for improvements.
- Clearly understanding existing decisions processes: The step will involve compiling information and data on performance. This will include mapping processes.
- Identify best processes: Within the selected framework best processes are identified. These may be within the same organization or external to it.
- Comparison of own process and performance with that of others: Benchmarking process also involves comparison of performance of the organization with performance of other organization. Any deviation between the two is analysed to make further improvements.
- Prepare a report and implement the steps necessary to close the performance gap: A report on benchmarking initiatives containing recommendations is prepared. Such a report also contains the action plans for implementation.
- Evaluation: Business organizations evaluate the results of the benchmarking process in terms of improvements vis-à-vis objectives and other criteria set for the purpose. It also periodically evaluates and reset the benchmarks in the light of changes in the conditions that impact the performance.

ICAI · Old P7 · May 2022 exam · question p. 10 · answer p. 10-11

1000 **EXAM** **Old P7 Nov 2019** Q10(b) 5 marks old scheme

Explain concept and nature of BPR.

ICAI'S ANSWER

BPR stands for business process reengineering which means starting all over again from scratch. It refers to the analysis and redesign of workflows and processes both within and between the organisations. Its objective is to improve performance in terms of time, cost, quality, and responsiveness to customers. It implies giving up old practices and adopting the improved ones. It is an effective tool of realising new strategies.

Improving business processes is paramount for businesses to stay competitive in today's marketplace. New technologies are rapidly bringing new capabilities to businesses, thereby raising the strategical options and the need to improve business processes dramatically. Even the competition has become harder. In today's market place, major changes are required to just stay even.

ICAI · Old P7 · Nov 2019 exam · question p. 13 · answer p. 14

1001 EXAM **Old P7 May 2019** Q10(a) 7 marks old scheme

What is Benchmarking? Explain the various steps in Benchmarking process.

ICAI'S ANSWER

Benchmarking is an approach of setting goals and measuring productivity of firms based on best industry practices or against the products, services and practices of its competitors or other acknowledged leaders in the industry. It developed out of need to have information against which performance can be measured. Benchmarking helps businesses in improving performance by learning from the best practices and the processes by which they are achieved. Thus, benchmarking is a process of continuous improvement in search for competitive advantage. Firms can use benchmarking practices to achieve improvements in diverse range of management functions like product development, customer services, human resources management, etc.

The various steps in Benchmarking Process are as under:

(i) Identifying the need for benchmarking: This step will define the objectives of the benchmarking exercise. It will also involve selecting the type of benchmarking. Organizations identify realistic opportunities for improvements.

(ii) Clearly understanding existing decisions processes: The step will involve compiling information and data on performance.

(iii) Identify best processes: Within the selected framework best processes are identified. These may be within the same organization or external to them.

(iv) Comparison of own process and performance with that of others: Benchmarking process also involves comparison of performance of the organization with performance of other organization. Any deviation between the two is analysed to make further improvements.

(v) Prepare a report and implement the steps necessary to close the performance gap: A report on benchmarking initiatives containing recommendations is prepared. Such a report also contains the action plans for implementation.

(vi) Evaluation: Business organizations evaluate the results of the benchmarking process in terms of improvements vis-à-vis objectives and other criteria set for the purpose. It also periodically evaluates and reset the benchmarks in the light of changes in the conditions that impact the performance.

ICAI · Old P7 · May 2019 exam · question p. 14-15 · answer p. 15

1002 EXAM **Old P7 May 2018** Q8(b) 2 marks old scheme

Which of the following statements are 'correct' and which are 'incorrect'? Give reasons, in brief, for your answer:

Human Resource Manager's role is significant in building up core competency of the firm.

ICAI'S ANSWER

Correct: The human resource manager has a significant role to play in developing core competency of the firm. A core competence is a unique strength of an organization which may not be shared by others. Core-competencies can be generated and maintained only through the effective management of human resources and their skills.

ICAI · Old P7 · May 2018 exam · question p. 11 · answer p. 10-11

1003 RTP **Old P7 Jul 2021** Q22 old scheme

Do you agree with the statement that 'Benchmarking is a process of continuous improvement in search of competitive advantage'? Discuss.

ICAI'S ANSWER

Yes, benchmarking is a process of continuous improvement in search for competitive advantage. It measures factors related to products, services and practices against those of its competitors or other acknowledged leaders in their field.

Benchmarking is an approach of setting goals and measuring productivity based on best industry practices. It developed out of need to have information against which performances can be measured. It helps in improving performance by learning from best practices and the processes by which they are achieved.

Benchmarking involves regularly comparing different aspects of performance with the best practices, identifying gaps and finding out novel methods to not only reduce the gaps but to improve the situations so that the gaps are positive for the organization. Better processes are not merely copied. Efforts are made to learn, improve and evolve them to suit the organizational circumstances. Further, benchmarking exercises are also repeated periodically so that the organization does not lag behind in the dynamic environment. Firms can use benchmarking process to achieve improvement in diverse range of management function like maintenance operations, assessment of total manufacturing costs, product development, product distribution, customer services, plant utilisation levels and human resource management.

ICAI · Old P7 · RTP Jul 2021 · question p. 17 · answer p. 24

1004 RTP **Old P7 May 2019** Q13 old scheme

Same question, different ICAI answer: #1009 Old P7 MTP Nov 2018 S-I

Explain the prominent areas where human resource manager can play a strategic role.

ICAI'S ANSWER

The prominent areas where the human resource manager c an play strategic role are as follows:

(a) Providing purposeful direction: The human resource manager must be able to lead people and the organization towards the desired direction involving people right from the beginning. The most important task of a HR manager is to ensure that the objectives of an organization are internalized by everyone.

(b) Building core competency: The human resource manager has a great role to play in developing core competency by the firm. A core competence is a unique strength of an organization which may not be shared by others. This may be in the form of human resources, marketing capability, or technological capability.

(c) Creating competitive advantage: Creating and maintaining a competitive advantage in the globalized market is the object of any organization. There are two important ways a business can achieve a competitive advantage over the others. The first is cost leadership and second is differentiation.

(d) Facilitation of change: The human resource manager will be more concerned with substance rather than form, accomplishments rather than activities, and practice rather than theory. The HR function will be responsible for furthering the organization and devote more time to promote changes than to maintain the status quo.

(e) Managing workforce diversity: In modern organizations, management of diverse workforce is a great challenge. Workforce diversity can be observed in terms of male and female workers, young and old workers, educated and uneducated workers, unskilled and professional employee, etc.

(f) Empowerment of human resources: Empowerment means authorizing every member of an organization to take up his/her own destiny realizing his/her full potential. It involves giving more power to those who, at present, have little control what they do and little ability to influence the decisions being made around them.

(g) Development of works ethic and culture: Greater efforts will be needed to achieve cohesiveness because employees will have transient commitment to groups. As changing work ethic requires increasing emphasis on individuals, jobs will have to be redesigned to provide challenge. A vibrant work culture will have to be developed in the organizations to create an atmosphere of trust and encourage creative ideas.

ICAI · Old P7 · RTP May 2019 · question p. 13 · answer p. 19-20

1005 **RTP** **Old P7 May 2019** Q17 old scheme

Also asked in Old P7 RTP May 2018 Q20

What is Benchmarking? Explain briefly the elements involved in Benchmarking process.

ICAI'S ANSWER

Benchmarking is an approach of setting goals and measuring productivity of firms based on best industry practices or against the products, services and practices of its competitors or other acknowledged leaders in the industry. It developed out of need to have information against which performance can be measured. Benchmarking helps businesses in improving performance by learning from the best practices and the processes by which they are achieved. Thus, benchmarking is a process of continuous improvement in search for competitive advantage. Firms can use benchmarking practices to achieve improvements in diverse range of managerial functions like product development, customer services, human resources management, etc.

The various steps in Benchmarking Process are as under:

(i) Identifying the need for benchmarking: This step will define the objectives of the benchmarking exercise. It will also involve selecting the type of benchmarking. Organizations identify realistic opportunities for improvements.

(ii) Clearly understanding existing decisions processes: The step will involve compiling information and data on performance.

(iii) Identify best processes: Within the selected framework best processes are identified. These may be within the same organization or external to them.

(iv) Comparison of own process and performance with that of others: Benchmarking process also involves comparison of performance of the organization with performance of other organization. Any deviation between the two is analysed to make further improvements.

(v) Prepare a report and implement the steps necessary to close the performance gap: A report on benchmarking initiatives containing recommendations is prepared. Such a report also contains the action plans for implementation.

(vi) Evaluation: Business organizations evaluate the results of the benchmarking process in terms of improvements vis-à-vis objectives and other criteria set for the purpose. It also periodically evaluates

and reset the benchmarks in the light of changes in the conditions that impact the performance.

ICAI · Old P7 · RTP May 2019 · question p. 13 · answer p. 21-22

1006 MTP **Old P7 Nov 2023 S-I** Q2 5 marks old scheme

Sandeep group of companies is having a strong footprint in the areas of Aviation, Healthcare, Fast moving consumer goods, home appliances and electronic goods. Processes, Technology and Marketing capabilities are different for each business. However, each business operates among a group of rivals that produce competing products. In order to get ahead of competition and to contribute for sustained competitive advantages, company intends to improve customer services and in turn increase its market share. To achieve this, company is desirous to analyze its products, processes and service levels for each of its segments.

Company is studying various trade publications, understanding the taste and preferences of customers, meeting with suppliers and also using other relevant information available in public domain for each of its business operations. After studying as above, company wants to compare diverse range of practices and processes being followed by acknowledged leaders in the industry, measures its own productivity and identify the gaps. Instead of following bricks-and-mortar practices, company will be setting goals to be achieved for improvement in its product, processes and services, based on best practices being followed by the companies on a regular basis.

Identify the strategic tool to be used by Sandeep group of companies. Also explain in brief the common elements involved in using this tool.

ICAI'S ANSWER

Sandeep group of companies have used Benchmarking as a strategic tool. Benchmarking is an approach of setting goals and measuring productivity of firms based on best industry practices or against the products, services and practices of its competitors or other acknowledged leaders in the industry. Thus, benchmarking is a process of continuous improvement in search for competitive advantage. Firms can use benchmarking practices to achieve improvements in a diverse range of management functions like product development, customer services, human resources management, etc.

Some of the common elements of benchmarking process are as under:

- Identifying the need for benchmarking: This step will define the objectives of the benchmarking exercise. It will also involve selecting the type of benchmarking. Organizations identify realistic opportunities for improvements.
- Clearly understanding existing decisions processes: The step will involve compiling information and data on performance. This will include mapping processes.
- Identify best processes: Within the selected framework best processes are identified. These may be within the same organization or external to it.
- Comparison of own process and performance with that of others: Benchmarking process also involves comparison of performance of the organization with performance of other organization. Any deviation between the two is analysed to make further improvements.
- Prepare a report and implement the steps necessary to close the performance gap: A report on benchmarking initiatives containing recommendations is prepared. Such a report also contains the action plans for implementation.

- Evaluation: Business organizations evaluate the results of the benchmarking process in terms of improvements vis-à-vis objectives and other criteria set for the purpose. It also periodically evaluates and resets the benchmarks in the light of changes in the conditions that impact the performance.

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 7 · answer p. 6

1007 MTP **Old P7 Nov 2022 S-II** Q4(b) 5 marks old scheme

Give the meaning of Strategic Human Resource management. State the key Human Resource Management practices on which strategic focus should be given to achieve competitive advantage.

ICAI'S ANSWER

Strategic Human Resource Management may be defined as the linking of human resource management with strategic goals and objectives to improve business performance and develop organizational culture that fosters innovation and flexibility. The success of an orga nization depends on its human resources. This means how they are acquired, developed, motivated and retained in the organization – plays an important role in organizational success. This presupposes an integrated approach towards human resource functions and overall business functions of an organization.

The key Human Resource Management practices on which strategic focus should be given to achieve competitive advantage are:

- Pre-selection practices including human resource planning and job analysis.
- Selection practices meant to staff various positions in the organization. Both recruitment and selection policies and procedures should be designed keeping in view the mission and the purpose of the organization.
- Post-selection practices to maintain and improve the workers job performance levels. Human Resources decisions related to training and development, performance appraisal, compensation and motivation should be based on corporate strategy of the organization.

ICAI · Old P7 · MTP Nov 2022 · Series II · question p. 9 · answer p. 9

1008 MTP **Old P7 May 2020 S-I** Q6(b) 5 marks old scheme

"Firms can use benchmarking process to achieve improvement in diverse range of management functions." Elucidate.

ICAI'S ANSWER

Benchmarking is a process of finding the best practices within and outside the industry to which an organisation belongs. Knowledge of the best practices helps in setting standards and finding ways to match or even surpass own performances with the best performances.

Benchmarking is a process of continuous improvement in search for competitive advantage. Firms can use benchmarking process to achieve improvement in diverse range of management function such as mentioned below:

- **Maintenance operations,**
- Assessment of total manufacturing costs,
- Product development,
- Product distribution,
- Customer services,
- Plant utilisation levels; and
- Human resource management.

ICAI · Old P7 · MTP May 2020 · Series I · question p. 8 · answer p. 9

1009 MTP **Old P7 Nov 2018 S-I** Q2(b) 6 marks old scheme

Same question, different ICAI answer: #1004 Old P7 RTP May 2019

Explain the prominent areas where human resource manager can play a strategic role.

ICAI'S ANSWER

The prominent areas where the human resource manager can play strategic role are as follows:

1. Providing purposeful direction: The human resource manager must be able to lead people and the organization towards the desired direction involving people right from the beg inning. The most important task of a HR manager is to ensure that the objectives of an organization are internalized by each individual working in the organization. Objectives of an organization state the very purpose and justification of its existence.

2. Building core competency: The human resource manager has a great role to play in developing core competency by the firm. A core competence is a unique strength of an organization which may not be shared by others. This may be in the form of human resources, marketing capability, or technological capability. If the business is organized on the basis of core competency, it is likely to generate competitive advantage. Because of this reason, many organizations have restructured their businesses by divesting those businesses which do not match core competence. Organization of business around core competence implies leveraging the limited resources of a firm. It needs creative, courageous and dynamic leadership having faith in organization's human resources.

3. Creating competitive advantage: Creating and maintaining a competitive advantage in the globalized market is the object of any organization. There are two important ways a business can achieve a competitive advantage over the others. The first is cost leadership which means the firm aims to become a low cost leader in the industry. The second competitive strategy is differentiation under which the firm seeks to be unique in the industry in terms of dimensions that are highly valued by the customers. Putting these strategies into effect carries a heavy premium on having a highly committed and competent workforce.

4. Facilitation of change: The human resource manager will be more concerned with substance rather than form, accomplishments rather than activities, and practice rather than theory. The HR

function will be responsible for furthering the organization not just maintaining it. Human resource manager will have to devote more time to promote changes than to maintain the status quo.

5. Managing workforce diversity: In modern organizations, management of diverse workforce is a great challenge. Workforce diversity can be observed in terms of male and female workers, young and old workers, educated and uneducated workers, unskilled and professional employee, etc. Moreover, many organizations also have people of different castes, religious and nationalities. The workforce in future will comprise more of educated and self conscious workers. They will ask for higher degree of participation and avenues for fulfilment. Money will no longer be the sole motivating force for majority of the workers. Non - financial incentives will also play an important role in motivating the workforce.

6. Empowerment of human resources: Empowerment means authorizing every member of an organization to take up his/her own destiny realizing his/her full potential. It involves giving more power to those who, at present, have little control what they do and little ability to influence the decisions being made around them.

7. Development of works ethic and culture: Greater efforts will be needed to achieve cohesiveness because employees will have transient commitment to groups. As changing work ethic requires increasing emphasis on individuals, jobs will have to be redesigned to provide challenge. Flexible starting and quitting times for employees may be necessary. Focus will shift from extrinsic to intrinsic motivation. A vibrant work culture will have to be developed in the organizations to create an atmosphere of trust among the employees and to encourage creative ideas by them.

ICAI · Old P7 · MTP Nov 2018 · Series I · question p. 2 · answer p. 9-10

A.4 Near Chapter 4: Strategic Choices

5 questions ICAI marks out of syllabus, or whose topic has left the syllabus. For reference only.

1010 EXAM **Old P7 Nov 2019** Q9(b) 5 marks old scheme

Discuss the various approaches for evaluating the worth of a business.

ICAI'S ANSWER

Various approaches for determining a business's worth can be grouped into three main approaches:

(i) Net worth or stockholders' equity: Net worth is the total assets minus total outside liabilities of an organisation.

(ii) Future benefits to owners through net profits: These benefits are considered to be much greater than the amount of profits. A conservative rule of thumb is to establish a business's worth as five times the firm's current annual profit. A five-year average profit level could also be used.

(iii) Market-determined business worth: This approach involves three methods. First, the firm's worth may be based on the selling price of a similar company. The second approach is called the price-earnings ratio method whereby the market price of the firm's equity shares is divided by the annual earnings per share and multiplied by the firm's average net income for the preceding years. The third approach can be called the outstanding shares method whereby one has to simply multiply the number of shares outstanding by the market price per share and add a premium.

ICAI · Old P7 · Nov 2019 exam · question p. 12 · answer p. 13

1011 RTP **Old P7 Nov 2022** Q8 old scheme

Same question, different ICAI answer: #1012 Old P7 RTP May 2022

Discuss the challenges faced by public sector units while designing for their organisations.

ICAI'S ANSWER

Central, state, municipal agencies, Public Sector Units, departments are responsible for formulating, implementing, and evaluating strategies that use taxpayers' money in the most cost-effective way to provide services and programs. The Challenges faced by the public sector units while designing their organizations are on account of basic nature of such organizations.

Public sector units face the following challenges while designing strategies for the ir organizations:

- Operating with less strategic autonomy.
- Cannot diversify into unrelated businesses or merge with other firms.
- Strategists usually enjoy little freedom while altering the organization's mission or redirecting objectives when needed.
- Legislators and politicians control over major decisions and resources.
- Fear of media debate over the strategic issues.
- Chances of politicization of issues resulting fewer strategic choice.

ICAI · Old P7 · RTP Nov 2022 · question p. 17 · answer p. 19

1012 RTP **Old P7 May 2022** Q8 old scheme

Same question, different ICAI answer: #1011 Old P7 RTP Nov 2022

Discuss the challenges faced by public sector units while designing for their organisations.

ICAI'S ANSWER

Central, state, municipal agencies, Public Sector Units, departments are responsible for formulating, implementing, and evaluating strategies that use taxpayers' money in the most cost-effective way to provide services and programs. The Challenges faced by the public sector units while designing their organizations are on account of basic nature of such organizations.

Public sector units face the following challenges while designing strategies for their organizations:

- Operating with less strategic autonomy.
- Cannot diversify into unrelated businesses or merge with other firms.
- Strategists usually enjoy little freedom while altering the organization's mission or redirecting objectives when needed.
- Legislators and politicians control over major decisions and resources.
- Fear of media debate over the strategic issues.
- Chances of politicization of issues resulting fewer strategic choice.

ICAI · Old P7 · RTP May 2022 · question p. 18 · answer p. 20

1013 RTP **Old P7 Nov 2019** Q13 old scheme

Implementing supply chain management in a business organization has several steps. Discuss.

ICAI'S ANSWER

Successful implementing supply management systems requires a change from managing individual functions to integrating activities into key supply chain processes. It involves collaborative work between buyers and suppliers, joint product development, common systems and shared information. A key requirement for successfully implementing supply chain will be network of information

sharing and management. Implementing and successfully running supply chain management system will involve:

(i) Product development: Customers and suppliers must work together in the product development process. Right from the start the partners will have knowledge of all. Involving all partners will help in shortening the life cycles.

(ii) Procurement: Procurement requires careful resource planning, quality issues, identifying sources, negotiation, order placement, inbound transportation and storage. Organizations have to coordinate with suppliers in scheduling without interruptions.

(iii) Manufacturing: Flexible manufacturing processes must be in place to respond to market changes. They should be adaptive to accommodate customization and changes in the taste and preferences.

(iv) Physical distribution: Delivery of final products to customers is the last position in a marketing channel. Availability of the products at the right place at right time is important for each channel participant.

(v) Outsourcing: Outsourcing is not limited to the procurement of materials and components, but also include outsourcing of services so that the company is able to focus on those activities where it has competency.

(vi) Customer services: Organizations, through interfaces with the company's production and distribution operations, develop customer relationships so as to satisfy them.

(vii) Performance measurement: Supplier capabilities and customer relationships can be correlated with a firm performance. Performance is measured in different parameters such as costs, customer service, productivity and quality.

ICAI · Old P7 · RTP Nov 2019 · question p. 15 · answer p. 22

1014 RTP **Old P7 May 2018** Q3(c) old scheme

Write short notes on the following: Production system

ICAI'S ANSWER

Production System is concerned with the capacity, location, layout, product or service design, work systems, degree of automation, extent of vertical integration, and such factors. Strategies related to production system are significant as they deal with vital issues affecting the capability of the organisation to achieve its objectives. Strategy implementation would have to take into account the production system factors as they involve decisions which are long-term in nature and influence not only the operations capability of an organisation but also its ability to implement strategies and achieve objectives.

ICAI · Old P7 · RTP May 2018 · question p. 13 · answer p. 18

A.5 Near Chapter 5: Strategy Implementation and Evaluation

26 questions ICAI marks out of syllabus, or whose topic has left the syllabus. For reference only.

1015 EXAM **Old P7 Nov 2022** Q10(a) 5 marks old scheme

The growth rate of A & B Ltd. growth rate was around 10% per annum during the last decade. But thereafter its growth rate started falling and presently the growth rate of the company is very low

around 1%. The company is facing twin problems, one the strategy is not implemented as planned; and two the results produced by the strategy are not in conformity with intended goals.

You being a strategy consultant, advise the tool for audit of management performance. Also explain the need of such tool and its basic activities.

ICAI'S ANSWER

A & B Ltd. reviews its business plans and strategies on regular basis to identify weaknesses and shortcomings to enable a successful development plan. A strategy audit is an examination and evaluation of areas affected by the operation of a strategic management process within an organization. The audit of management performance with regard to its strategies helps an organization identify problem areas and correct the strategic approaches that have not been effective.

Strategy audit is needed under the following conditions:

- When the performance indicators reflect that a strategy is not working properly or is not producing desired outcomes.
- When the goals and objectives of the strategy are not being accomplished.
- When a major change takes place in the external environment of the organization.
- When the top management plans:

(a) To fine-tune the existing strategies and introduce new strategies; and

(b) To ensure that a strategy that has worked in the past continues to be in-tune with subtle internal and external changes that may have occurred since the formulation of strategies.

Adequate and timely feedback is the cornerstone of effective strategy audit. Strategy audit can be no better than the information on which it is based.

Strategy Audit includes three basic activities:

1. Examining the underlying bases of a firm's strategy,

2. Comparing expected results with actual results, and

3. Taking corrective actions to ensure that performance conforms to plans.

ICAI · Old P7 · Nov 2022 exam · question p. 18 · answer p. 18-19

1016 **EXAM** **Old P7 Nov 2022** Q10(b) 5 marks old scheme

Also asked in Old P7 RTP Nov 2023 Q18

Same question, different ICAI answer: #1035 Old P7 MTP Nov 2023 S-II

"A well designed strategic management system can fail if insufficient attention is given to the human resource dimension." ·Elucidate this statement.

ICAI'S ANSWER

A well-designed strategic-management system can fail if insufficient attention is given to the human resource dimension. Human resource problems that arise when a business implements strategies can usually be traced to one of three causes: (1) disruption of social and political structures, (2) failure to match individuals' aptitudes with implementation tasks, and (3) inadequate top management support for implementation activities.

i. Disruption of social and political structures: Strategy implementation poses a threat to many managers and employees in an organization. New power and status relationships are anticipated and realized. New formal and informal groups' values, beliefs, and priorities may be largely unknown. Managers and employees may become engaged in resistance behaviour as their roles, prerogatives, and power in the firm change. Disruption of social and political structures that accompany strategy execution must be anticipated and considered during strategy formulation and managed during strategy implementation.

ii. Failure to match individuals' aptitudes with implementation tasks: A concern in matching managers with strategy is that jobs have specific and relatively static responsibilities, although people are dynamic in their personal development. Commonly used methods that match managers with strategies to be implemented include transferring managers, developing leadership workshops, offering career development activities, promotions, job enlargement, and job enrichment.

It is surprising that so often during strategy formulation; individual values, skills, and abilities needed for successful strategy implementation are not considered. It is rare that a firm selecting new strategies or significantly altering existing strategies possesses the right line and staff personnel in the tight positions for successful strategy implementation. The need to match individual aptitudes with strategy-implementation tasks should be considered in strategy choice.

iii. Inadequate top management support for implementation activities: Inadequate support from strategists for implementation activities often undermines organizational success. Chief executive officers, small business owners, and government agency heads must be personally committed to strategy implementation and express this commitment in highly visible ways. Strategists' formal statements about the importance of strategic management must be consistent with actual support and rewards given for activities completed and objectives reached. Otherwise, stress created by inconsistency can cause uncertainty among managers and employees at all levels.

ICAI · Old P7 · Nov 2022 exam · question p. 18-19 · answer p. 19-20

1017 **EXAM** **Old P7 May 2022** Q7(a) 5 marks old scheme

Good Health is an Association of Persons (AOP), providing awareness to downtrodden on immunization, vaccination, sanitation and other health and hygiene issues. It is a not-for-profit organization, working in coordination with hospitals, medical support centers and local administration.

You are asked to take over the organization and manage it in a better way. Identify whether the concept of strategic management is relevant in this connection? And if so, what basic activities you would perform in order to manage it efficiently?

ICAI'S ANSWER

The concept of strategic management process is effectively being used by a number of not-for-profit or charitable organizations. While 'Good Health' may have social and charitable existence, still it has to generate resources and use them wisely to achieve organisational objectives. Organisation needs to be managed strategically, irrespective whether they have profit motive. The strategic management at 'Good Health' should essentially cover:

- Analyzing and interpreting the strategic intent in terms of vision, mission and objectives.
- Generating required resources in terms of finance and manpower (volunteers, paid employees).
- Undertaking SWOT analysis from time to time.
- Setting goals in the area of downtrodden. It can be in terms of geographical coverage and number of downtrodden.

- Analyzing the desired future position with the past and present situation.

ICAI · Old P7 · May 2022 exam · question p. 11 · answer p. 11-12

1018 **EXAM** **Old P7 Dec 2021** Q9(a) 5 marks old scheme

"Business organizations face countless marketing challenges that affect the success or failure of strategy implementation". In light of this statement, discuss some marketing decisions that require special attention.

ICAI'S ANSWER

A business organization faces countless marketing challenges that affect the success or failure of strategy implementation. Some examples of marketing decisions that may require special attention are as follows:

1. The amount and the extent of advertising to be done. Whether to use heavy or light advertising. What should be the amount of advertising in print media, television or internet?

2. Decisions regarding distribution network to be used. Whether to use exclusive dealerships or multiple channels of distribution.

3. Whether to be a price leader or a price follower?

4. Whether to offer a complete or limited warranty?

5. Whether to limit or enhance the share of business done with a single or a few customers?

6. Whether to reward sales people based on straight salary, straight commission, or on a combination of salary and commission?

ICAI · Old P7 · Dec 2021 exam · question p. 14-15 · answer p. 15

1019 **EXAM** **Old P7 Nov 2020** Q10(a) 5 marks old scheme

"There is a need for Strategic Management for government and medical organization too." Comments.

ICAI'S ANSWER

Need for strategic management for government and medical organization

Yes, there is a need of strategic management for government and medical organizations like the commercial organizations because optimum utilization of resources in view of their scarcity, good strategy formulation and its effective implementation & proper monitoring is needed equally in both types of organizations.

Organizations can be classified as commercial and non-commercial on the basis of the interest they have. Typically, a government or medical organization may function without any commercial objectives. A commercial organization has profit as its main aim. We can find many organizations around us, which do not have any commercial objective of making profits. Their genesis may be for social, charitable, or educational purposes.

The strategic-management process is being used effectively by countless non-profit governmental organizations. Many non-profit and governmental organizations outperform private firms and corporations on innovativeness, motivation, productivity, and human resource.

Compared to for-profit firms, non-profit and governmental organizations often function as a monopoly, produce a product or service that offers little or no measurability of performance, and are

totally dependent on outside financing. Especially for these organizations, strategic management provides an excellent vehicle for developing and justifying requests for needed financial support.

Government Organizations: Central, state, municipal agencies, public sector units, department are responsible for formulating, implementing and evaluating strategies that use taxpayers' money in the most cost-effective way to provide services and programs. Therefore, strategic management concepts are required for them.

Medical Organizations: Modern hospitals quite often are using strategic management for creating new strategy and implementing properly for diagnosis and treatment of different diseases at lower price. Forward and Backward integration strategies are also required in hospitals for providing better services at lower cost.

ICAI · Old P7 · Nov 2020 exam · question p. 16 · answer p. 16

1020 EXAM **Old P7 Nov 2020** Q10(b) OR 5 marks old scheme

Write a short note on requirement of strategy audit. What are the basic activities of strategic audit?

ICAI'S ANSWER

Need of Strategy Audit

A strategy audit is an examination and evaluation of areas affected by the operation of a strategic management process within an organization.

A strategy audit is required under the following conditions:

- When the performance indicators reflect that a strategy is not working properly or is not producing desired outcomes.
- When the goals and objectives of the strategy are not being accomplished.
- When a major change takes place in the external environment of the organization.
- When the top management plans:

(a) To fine-tune the existing strategies and introduce new strategies; and

(b) To ensure that a strategy that has worked in the past continues to be in-tune with subtle internal and external changes that may have occurred since the formulation of strategies.

Adequate and timely feedback is the cornerstone of effective strategy audit. Strategy audit can be no better than the information on which it is based.

Strategy Audit includes three basic activities:

1. Examining the underlying bases of a firm's strategy,

2. Comparing expected results with actual results, and

3. Taking corrective actions to ensure that performance conforms to plans.

PassBook's note: No conceptual treatment survives in the current Paper 6B study material.

ICAI · Old P7 · Nov 2020 exam · question p. 16 · answer p. 17-18

1021 EXAM **Old P7 May 2018** Q12(a) 7 marks old scheme

Explain the concept and need of Strategy Audit. Why is it more difficult in present scenario?

ICAI'S ANSWER

A strategy audit is an examination and evaluation of areas affected by the operation of a strategic management process within an organization. The audit of management performance with regard to its strategies helps an organization identify problem areas and correct the strategic approaches that have not been effective.

Strategy audit is needed under the following conditions:

(a) When the performance indicators reflect that a strategy is not working properly or is not producing desired outcomes.

(b) When the goals and objectives of the strategy are not being accomplished.

(c) When a major change takes place in the external environment of the organization.

(d) When the top management plans:

i. to fine-tune the existing strategies and introduce new strategies and

ii. to ensure that a strategy that has worked in the past continues to be in-tune with subtle internal and external changes that may have occurred since the formulation of strategies.

The difficulties in strategy audit can be explained in terms of following trends:

- A dramatic increase in the environment's complexity.
- The increasing difficulty of predicting the future with accuracy.
- The increasing number of variables in the environment.
- The rapid rate of obsolescence of even the best plans.
- The increase in the number of both domestic and world events affecting organizations.
- The decreasing time span for which planning can be done with any degree of certainty.

ICAI · Old P7 · May 2018 exam · question p. 16 · answer p. 16

1022 **RTP** **Old P7 May 2023** Q18 old scheme

Also asked in Old P7 RTP Nov 2020 Q18

Same question, different ICAI answer: #1038 Old P7 MTP Nov 2020 S-I

How would you argue that Research and Development Personnel are important for effective strategy implementation?

ICAI'S ANSWER

Research and Development (R&D) personnel can play an integral part in strategy implementation. These individuals are generally charged with developing new products and improving old products in a way that will allow effective strategy implementation. R&D employees and managers perform tasks that include transferring complex technology, adjusting processes to local raw materials, adapting processes to local markets, and altering products to particular tastes and specifications.

Strategies such as product development, market penetration, and concentric diversification require that new products be successfully developed and that old products be significantly improved. But the level of management support for R&D is often constrained by resource availability.

ICAI · Old P7 · RTP May 2023 · question p. 19 · answer p. 25-26

1023 RTP **Old P7 May 2023** Q21 old scheme

India's luxurious domestic airline Indijet in an attempt to retain its leadership in aviation sector has hired J S Dutta as its Chief Executive. Mr Dutta wishes to reorient company to make it a domestic discount carrier. He desires to introduce no frills business model by offering extremely low fares and improve margins by cutting down traditional ameni ties such as reclining seats and complimentary meals. At the same time setting the stage for a new air revolution, he wishes to brand itself as on-time airlines having proper systems in place and removing additional and wasteful activities and processes.

What steps will you advise to Mr Dutta?

ICAI'S ANSWER

Mr Dutta should adopt business process reengineering (BPR). It is an approach to unusual improvement in operating effectiveness through the redesigning of critical business processes and supporting business systems. It is revolutionary redesign of key business processes that involves examination of the basic process itself. BPR refers to the analysis and redesign of workflows and processes both within the organization and between the organization and the external entities like suppliers, distributors, and service providers. The orientation of redesigning efforts involves total deconstruction and rethinking of business process BPR involves the following steps:

i. Determining objectives: Objectives are the desired end results of the redesign process. They will provide the required focus, direction, and motivation for the redesign process and help in building a comprehensive foundation for the reengineering process.

ii. Identify customers and determine their needs: The process designers have to understand customers. The purpose is to redesign business process that clearly provides value addition to the customer.

iii. Study the existing processes: The study of existing processes will provide an important base for the process designers. The purpose is to gain an understanding of the 'what', and 'why' of the targeted process.

iv. Formulate a redesign process plan: Formulation of redesign plan is the real crux of the reengineering efforts. Customer focussed redesign concepts are identified and formulated. In this step alternative processes are considered and the best is selected.

v. Implement the redesigned process: It is easier to formulate new process than to implement them. Implementation of the redesigned process and application of other knowledge gained from the previous steps is key to achieve dramatic improvements.

ICAI · Old P7 · RTP May 2023 · question p. 19 · answer p. 26-27

1024 RTP **Old P7 May 2023** Q22 old scheme

Same question, different ICAI answer: #1033 Old P7 RTP Nov 2018

What is Strategy Audit? Explain briefly the criteria for strategy audit given by Richard Rumelt's.

ICAI'S ANSWER

A strategy audit is an examination and evaluation of areas affected by the operation of a strategic management process within an organization.

Richard Rumelt's Criteria for Strategy Audit

(i) Consistency: A strategy should not present inconsistent goals and policies which can lead to organizational problems and conflicts. Inconsistencies in strategy are indicated if

(a) the cause of organizational problems is issue based;

(b) success for one department implies failure for another;

(c) the top management is expected to resolve policy problems and issues every time.

(ii) Consonance: Consonance refers to the need for strategists to examine sets of trends, as well as individual trends, in auditing strategies. The difficulty is that most trends are the result of interactions among other trends. A strategy must represent an adaptive response to the external environment and to the critical changes occurring within it.

(iii) Feasibility: A strategy must neither overtax available resources nor create unsolvable sub-problems. The final broad test of strategy is its feasibility; that is, can the strategy be attempted within the physical, human, and financial resources of the enterprise?

(iv) Advantage: A strategy must provide for the creation and/or maintenance of a competitive advantage in a selected area of activity. The advantage may reflect superiority in any one or combination of: resources, skills and position.

ICAI · Old P7 · RTP May 2023 · question p. 19 · answer p. 27

1025 RTP **Old P7 Nov 2022** Q17 old scheme

Same question, different ICAI answer: #1069 Old P7 MTP May 2023 S-II

"Projected financial statement analysis is a central strategy-implementation technique." Justify the statement.

ICAI'S ANSWER

Projected financial statement analysis is a central strategy-implementation technique because it allows an organization to examine the expected results of various actions and approaches. This type of analysis can be used to forecast the impact of various implementation decisions. Nearly all financial institutions require a projected financial statement whenever a business seeks capital.

A projected income statement and balance sheet allow an organization to compute projected financial ratios under various strategy-implementation scenarios. When compared to prior years and to industry averages, financial ratios provide valuable insights into the feasibility of various strategy-implementation approaches. A financial budget is also a document that details how funds will be obtained and spent for a specified period of time. Fundamentally, financial budgeting is a method for specifying what must be done to complete strategy implementation successfully. Financial budgeting is a method for obtaining the most productive and profitable use of an organization's resources. Financial budgets can be viewed as the p lanned allocation of a firm's resources based on forecasts of the future.

PassBook's note: "financial strategy" occurs 0 times in the current Paper 6B study material.

ICAI · Old P7 · RTP Nov 2022 · question p. 18 · answer p. 23

1026 RTP **Old P7 May 2022** Q18 old scheme

You are a manager of a firm, and you have to raise funds for a business project. From which sources can you raise the funds for your company?

ICAI'S ANSWER

Strategies related to the source of fund are important since they determine how financial resources will be available for the implementation of the financial strategies. Companies may rely on internal

and external sources of financing for their short term and long term requirement of their funds. The funds may be raised from national and international money and capital markets.

Following are some important sources for raising funds:

i. Net profit from the operations: Using retained earnings to reinvest in the business, either in new projects or to scale up existing operations.

ii. Sale of assets: The purpose of an asset sale is generally to increase cash flow, reduce bad debt risk and liquidation of assets.

iii. Debt: Debt is an amount of money borrowed by one party from another. It is used by many corporations as a method of making large purchases that they could not afford under normal circumstances. It could be applied to boost organizations return on investment. During low earning periods, too much debt in the capital structure of an organization can endanger stockholders' return and jeopardize comp any survival. Debt can be in the form of debentures, bonds, loans from financial institutions and deposits from public/fixed deposits.

iv. Issuance of share capital to the public: Equity can be of two type – ordinary Shares and preference shares.

PassBook's note: "financial strategy" occurs 0 times in the current Paper 6B study material.

ICAI · Old P7 · RTP May 2022 · question p. 19 · answer p. 24-25

1027 RTP **Old P7 May 2022** Q22 old scheme

Explain the various categories in which generic business process of a firm requires redesigning.

ICAI'S ANSWER

The generic business processes of a firm that require redesign may be classified into three broad categories as follows:

- Processes pertaining to development and delivery of product(s) and / or services - These may include research, design, engineering, manufacturing, and logistics, besides purchasing / procurement and materials management.
- Process involving interface(s) with customers - These usually include marketing, advertising, order fulfilment, and service.
- Process comprising management activities - These include strategy formulation, planning and budgeting, performance measurement and reporting, human resource management, and building infrastructure.

In the context of these generic business processes, BPR may be viewed as a means of solving business problem through IT capabilities.

ICAI · Old P7 · RTP May 2022 · question p. 19 · answer p. 26

1028 RTP **Old P7 Dec 2021** Q17 old scheme

State the factors of human resource that influence employee's competence.

ICAI'S ANSWER

Human resource management has been accepted as a strategic partner in the formulation of organization's strategies and in the implementation of such strategies through human resource

planning, employment, training, appraisal and reward systems. The following points should be kept in mind as they can have a strong influence on employee competence:

i. Recruitment and selection: The workforce will be more competent if a firm can successfully identify, attract, and select highly competent applicants.

ii. Training: The workforce will be more competent if employees are well trained to perform their jobs properly.

iii. Appraisal of performance: The performance appraisal is to identify any performance deficiencies experienced by employees due to lack of competence. Such deficiencies, once identified, can often be solved through counselling, coaching or training.

iv. Compensation: A firm can usually increase the competency of its workforce by offering pay, benefits and rewards that are not only attractive than those of their competitors but also recognizes merit.

ICAI · Old P7 · RTP Dec 2021 · question p. 18 · answer p. 23-24

1029 RTP **Old P7 Nov 2020** Q21 old scheme

The Audit Committee of Theta Ltd on observing a sluggish growth has advised a radical internal digital transformation. A strategy audit was proposed to identify problem areas and correct the strategic approaches that have not been effective so far. The strategy auditor while measuring organisational performance has identified gaps in flow between order booking by the sales department and the dispatch of product by the delivery department, which amounts to success of one department means failure for another. With reference to Richard Rumelt's criteria for strategy audit, identify and explain the correct evaluation criteria to be adopted.

ICAI'S ANSWER

Richard Rumelt's criteria for strategy audit proposes four criteria namely, consistency, consonance, feasibility and advantage. In the present scenario, the strategy auditor while measuring organisational performance has identified a gap which amounts to success of one department means failure for another. This can be clearly identified as a consistency criterion as the current organisational strategies are inconsistent.

Three guidelines help determine if organizational problems are due to inconsistencies in strategy:

- If managerial problems continue despite changes in personnel and if they tend to be issue-based rather than people-based, then strategies may be inconsistent.
- If success for one organizational department means, or is interpreted to mean, failure for another department, then strategies may be inconsistent.
- If policy problems and issues continue to be brought to the top for resolution, then strategies may be inconsistent.

ICAI · Old P7 · RTP Nov 2020 · question p. 19 · answer p. 24-25

1030 RTP **Old P7 May 2020** Q13 old scheme

What do you mean by financial strategy of an organization? How the worth of a business is evaluated?

ICAI'S ANSWER

The financial strategies of an organization are related to several finance/ accounting concepts considered to be central to strategy implementation. These are: acquiring needed capital/sources of

fund, developing projected financial statements/budgets, management/ usage of funds, and evaluating the worth of a business.

Various methods for determining a business's worth can be grouped into three main approaches which are as follows:

(i) Net worth or stockholders' equity: Net worth is the total assets minus total outside liabilities of an organisation.

(ii) Future benefits to owners through net profits: These benefits are considered to be much greater than the amount of profits. A conservative rule of thumb is to establish a business's worth as five times the firm's current annual profit. A five-year average profit level could also be used.

(iii) Market-determined business worth: This, in turn, involves three methods. First, the firm's worth may be based on the selling price of a similar company. The second approach is called the price-earnings ratio method whereby the market price of the firm's equity shares is divided by the annual earnings per share and multiplied by the firm's average net income for the preceding years. The third approach can be called the outstanding shares method whereby one has to simply multiply the number of shares outstanding by the market price per share and add a premium.

ICAI · Old P7 · RTP May 2020 · question p. 15 · answer p. 21

1031 **RTP** **Old P7 May 2020** Q16 old scheme

Also asked in Old P7 RTP May 2018 Q19

Kewal Kapadia is the Managing Director of KK industries located in Kanpur. In a review meeting with the head of finance, Kuldeep Khaitan he said that in the first five years of last decade the company grew between 8-10 percent every year, then the growth rate started falling and in previous year the company managed 1 per cent. Kuldeep replied that the company is facing twin issues, one the strategy is not being implemented as planned; and two the results produced by the strategy are not in conformity with the intended goals. There is mismatch between strategy formulation and implementation. Kewal disagreed and stated that he takes personal care in implementing all strategic plans.

You have been hired as a strategy consultant by the KK Industries. Advise way forward for the company to identify problem areas and correct the strategic approaches that have not been effective.

ICAI'S ANSWER

The company needs to conduct strategy audit.

A strategy audit is needed under the following conditions:

- When the performance indicators reflect that a strategy is not working properly or is not producing desired outcomes.
- When the goals and objectives of the strategy are not being accomplished. ♦ When a major change takes place in the external environment of the organization. ♦ When the top management plans:
- to fine-tune the existing strategies and introduce new strategies and - to ensure that a strategy that has worked in the past continues to be in-tune with subtle internal and external changes that may have occurred since the formulation of strategies.

Adequate and timely feedback is the cornerstone of effective strategy audit. Strategy audit can be no better than the information on which it is based.

Strategy Audit includes three basic activities:

(i) Examining the underlying bases of a firm's strategy,

(ii) Comparing expected results with actual results, and

(iii) Taking corrective actions to ensure that performance conforms to plans.

ICAI · Old P7 · RTP May 2020 · question p. 15 · answer p. 22

1032 RTP **Old P7 Nov 2019** Q16 old scheme

Also asked in Old P7 MTP Dec 2021 S-II Q5(a)

India's luxurious domestic airline Indijet in an attempt to retain its leadership in aviation sector has hired J S Dutta as its Chief Executive. Mr Dutta wishes to reorient company to make it a domestic discount carrier. He desires to introduce no frills business model by offering extremely low fares and improve margins by cutting down traditional amenities such as reclining seats and complimentary meals. At the same time setting the stage for a new air revolution, he wishes to brand itself as on-time airlines having proper systems in place and removing additional and wasteful activities and processes.

What steps will you advise to Mr Dutta?

ICAI'S ANSWER

Mr Dutta should adopt business process reengineering (BPR). It is an approach to unusual improvement in operating effectiveness through the redesigning of critical business processes and supporting business systems. It is revolutionary redesign of key business processes that involves examination of the basic process itself. BPR refers to the analysis and redesign of workflows and processes both within the organization and between the organization and the external entities like suppliers, distributors, and service providers. The orientation of redesigning efforts involves total deconstruction and rethinking of business process BPR involves the following steps:

i. Determining objectives: Objectives are the desired end results of the redesign process. They will provide the required focus, direction, and motivation for the redesign process and help in building a comprehensive foundation for the reengineering process.

ii. Identify customers and determine their needs: The process designers have to understand customers. The purpose is to redesign business process that clearly provides value addition to the customer.

iii. Study the existing processes: The study of existing processes will provide an important base for the process designers. The purpose is to gain an understanding of the 'what', and 'why' of the targeted process.

iv. Formulate a redesign process plan: Formulation of redesign plan is the real crux of the reengineering efforts. Customer focussed redesign concepts are identified and formulated. In this step alternative processes are considered and the best is selected.

v. Implement the redesigned process: It is easier to formulate new process than to implement them. Implementation of the redesigned process and application of other knowledge gained from the previous steps is key to achieve dramatic improvements.

ICAI · Old P7 · RTP Nov 2019 · question p. 15 · answer p. 23-24

1033 RTP **Old P7 Nov 2018** Q20 old scheme

Same question, different ICAI answer: #1024 Old P7 RTP May 2023

What is Strategy Audit? Explain briefly the criteria for strategy audit given by Richard Rumelt's.

ICAI'S ANSWER

A strategy audit is an examination and evaluation of areas affected by the operation of a strategic management process within an organization.

Richard Rumelt's Criteria for Strategy Audit

a. Consistency: A strategy should not present inconsistent goals and policies. Organizational conflict and interdepartmental bickering are often symptoms of managerial disorder, but these problems may also be a sign of strategic inconsistency. Three guidelines help determine if organizational problems are due to inconsistencies in strategy:

- If managerial problems continue despite changes in personnel and if they tend to be issue-based rather than people-based, then strategies may be inconsistent.
- If success for one organizational department means, or is interpreted to mean, failure for another department, then strategies may be inconsistent.
- If policy problems and issues continue to be brought to the top for resolution, then strategies may be inconsistent.

b. Consonance: Consonance refers to the need for strategists to examine sets of trends, as well as individual trends, in auditing strategies. A strategy must represent an adaptive response to the external environment and to the critical changes occurring within it. One difficulty in matching a firm's key internal and external factors in the formulation of strategy is that most trends are the result of interactions among other trends. For example, the day-care school/centre came about as a combined result of many trends that included a rise in the average level of education, need for different education pedagogy, increase in income, inflation, and an increase in women in the workforce. Although single economic or demographic trends might appear steady for many years, there are waves of change going on at the interaction level.

c. Feasibility: A strategy must neither overtax available resources nor create unsolvable sub-problems. The final broad test of strategy is its feasibility; that is, can the strategy be attempted within the physical, human, and financial resources of the e nterprise? The financial resources of a business are the easiest to quantify and are normally the first limitation against which strategy is audited. It is sometimes forgotten, however, that innovative approaches to financing are often possible. Devices, s uch as captive subsidiaries, sale-leaseback arrangements, and tying plant mortgages to long-term contracts, have all been used effectively to help win key positions in suddenly expanding industries. A less quantifiable, but actually more rigid, limitation on strategic choice is that imposed by individual and organizational capabilities. In auditing a strategy, it is important to examine whether an organization has demonstrated in the past that it possesses the abilities, competencies, skills, and talents needed to carry out a given strategy.

d. Advantage: A strategy must provide for the creation and/or maintenance of a competitive advantage in a selected area of activity. Competitive advantages normally are the result of superiority in one of three areas:

(1) resources, (2) skills, or (3) position.

The idea that the positioning of firm's resources that enhance their combined effectiveness is familiar to military theorists and chess players. Position can also play a crucial role in an organization's strategy. Once gained, a good position is defensible-meaning that it is so costly to capture that rivals are deterred from full-scale attacks. Positional advantage tends to be self-sustaining as long as the

key internal and environmental factors that underlie it remain stable. This is why entrenched firms can be almost impossible to unseat, even if their skill levels are only average. Although not all positional advantages are associated with size, it is true that larger organizations tend to operate in markets and use procedures that turn their size into advantage, while smaller firms seek product/market positions that exploit other types of advantage. The principal characteristic of good position is that it permits the firm to obtain advantage from policies that would not similarly benefit rivals without the same position. Therefore, in auditing strategy, organizations should examine the nature of positional advantages associated with a given strategy.

ICAI · Old P7 · RTP Nov 2018 · question p. 14 · answer p. 25-26

1034 RTP **Old P7 May 2018** Q16 old scheme

Also asked in Old P7 MTP Dec 2021 S-II Q4(b) · Old P7 MTP Jul 2021 S-II Q5(b)

State the factors of human resource that have influence on employee's competence.

ICAI'S ANSWER

Human resource management has been accepted as a strategic partner in the formulation of organization's strategies and in the implementation of such strategies through human resource planning, employment, training, appraisal and reward systems. The following points should be kept in mind as they can have a strong influence on employee competence:

i. Recruitment and selection: The workforce will be more competent if a firm can successfully identify, attract, and select highly competent applicants.

ii. Training: The workforce will be more competent if employees are well trained to perform their jobs properly.

iii. Appraisal of performance: The performance appraisal is to identify any performance deficiencies experienced by employees due to lack of competence. Such deficiencies, once identified, can often be solved through counselling, coaching or training.

iv. Compensation: A firm can usually increase the competency of its workforce by offering pay, benefits and rewards that are not only attractive than those of their competitors but also recognizes merit.

ICAI · Old P7 · RTP May 2018 · question p. 15 · answer p. 26-27

1035 MTP **Old P7 Nov 2023 S-II** Q4(a) 5 marks old scheme

Same question, different ICAI answer: #1016 Old P7 Exam Nov 2022

"A well designed strategic management system can fail if insufficient attention is given to the human resource dimension." ·Elucidate this statement.

ICAI'S ANSWER

A well-designed strategic-management system can fail if insufficient attention is given to the human resource dimension. Human resource problems that arise when a business implements strategies can usually be traced to one of three causes: (1) disruption of social and political structures, (2) failure to match individuals' aptitudes with implementation tasks, and (3) inadequate top management support for implementation activities.

i. Disruption of social and political structures: Strategy implementation poses a threat to many managers and employees in an organization. New power and status relationships are anticipated and realized. New formal and informal groups' values, beliefs, and priorities may be largely unknown.

Managers and employees may become engaged in resistance behaviour as their roles, prerogatives, and power in the firm change. Disruption of social and political structures that accompany strategy execution must be anticipated and considered during strategy formulation and managed during strategy implementation.

ii. Failure to match individuals' aptitudes with implementation tasks: A concern in matching managers with strategy is that jobs have specific and relatively static responsibilities, although people are dynamic in their personal development. Commonly used methods that match managers with strategies to be implemented include transferring managers, developing leadership workshops, offering career development activities, promotions, job enlargement, and job enrichment.

It is surprising that so often during strategy formulation; individual values , skills, and abilities needed for successful strategy implementation are not considered. It is rare that a firm selecting new strategies or significantly altering existing strategies possesses the right line and staff personnel in tight positions for successful strategy implementation. The need to match individual aptitudes with strategy-implementation tasks should be considered in strategy choice.

iii. Inadequate top management support for implementation activities: Inadequate support from strategists for implementation activities often undermines organizational success. Chief executive officers, small business owners, and government agency heads must be personally committed to strategy implementation and express this commitment in highly visible ways. Strategists' formal statements about the importance of strategic management must be consistent with actual support and rewards given for activities completed and objectives reached. Otherwise, stress created by inconsistency can cause uncertainty among manag ers and employees at all levels.

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 7 · answer p. 7-8

1036 MTP **Old P7 Dec 2021 S-I** Q5(b) 5 marks old scheme

Same question, different ICAI answer: #1037 Old P7 MTP Jul 2021 S-I

Explain the three major R & D approaches to implement strategic decisions.

ICAI'S ANSWER

There are at least three major R&D approaches for implementing strategies.

i. Be the leader: The first strategy is to be the first firm to market new technological products. This is a glamorous and exciting strategy but also a dangerous one. Firms such as 3M and General Electric have been successful with this approach, but many other pioneering firms have fallen, with rival firms seizing the initiative.

ii. Be an innovative imitator: A second R&D approach is to be an innovative imitator of successful products, thus minimizing the risks and costs of startup. This approach e ntails allowing a pioneer firm to develop the first version of the new product and to demonstrate that a market exists. Then, laggard firms develop a similar product. This strategy requires excellent R&D personnel and an excellent marketing department.

iii. Be a low-cost producer: A third R&D strategy is to be a low-cost producer by mass-producing products similar to but less expensive than products recently introduced. As a new product accepted by customers, price becomes increasingly important in the buying decision. Also, mass marketing replaces personal selling as the dominant selling strategy. This R&D strategy requires substantial investment in plant and equipment, but fewer expenditures in R&D than the two approaches described earlier.

ICAI · Old P7 · MTP Dec 2021 · Series I · question p. 7 · answer p. 9

1037 MTP **Old P7 Jul 2021 S-I** Q5(b) 5 marks old scheme

Same question, different ICAI answer: #1036 Old P7 MTP Dec 2021 S-I

Explain the three major R & D approaches to implement strategic decisions.

ICAI'S ANSWER

There are at least three major R&D approaches for implementing strategies.

i. Be the leader: The first strategy is to be the first firm to market new technological products. This is a glamorous and exciting strategy but also a dangerous one. Firms such as 3M and General Electric have been successful with this approach, but many other pioneering firms have fallen, with rival firms seizing the initiative.

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iii. Be a low cost producer: A third R&D strategy is to be a low-cost producer by mass-producing products similar to but less expensive than products recently introduced. As a new product accepted by customers, price becomes increasingly important in the buying decision. Also, mass marketing replaces personal selling as the dominant selling strategy. This R&D strategy requires substantial investment in plant and equipment, but fewer expenditures in R&D than the two approaches described earlier.

ICAI · Old P7 · MTP Jul 2021 · Series I · question p. 8 · answer p. 8-9

1038 MTP **Old P7 Nov 2020 S-I** Q3(b) 5 marks old scheme

Same question, different ICAI answer: #1022 Old P7 RTP May 2023

How would you argue that Research and Development Personnel are important for effective strategy implementation?

ICAI'S ANSWER

Research and Development (R&D) personnel can play an integral part in strategy implementation. These individuals are generally be charged with developing new products and improving old products in a way that will allow effective strategy implementation. R&D employees and managers perform tasks that include transferring complex technology, adjusting processes to local raw materials, adapting processes to local markets, and altering products to particular tastes and specifications.

Strategies such as product development, market penetration, and concentric diversification require that new products be successfully developed and that old products be significantly improved. But the level of management support for R&D is often constrained by resource availability.

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 8 · answer p. 7

1039 MTP **Old P7 Nov 2018 S-II** Q1(a) 5 marks old scheme

Helpbuddy is a not-for-profit organisation providing medical facilities to poor and needy at highly affordable costs. The organisation is dependent on Government grants and donations to manage its affairs. Rohit who is running the organization, believes in taking things as they come and will change the level of activities based on the funds available.

Do you think Rohit is right in taking things as they come? What will you advise him?

ICAI'S ANSWER

It is not advisable for any organisation to take things as they come. Organisations whether commercial or non-commercial need proper planning. In fact, the strategic management process is being used effectively by countless non-profit governmental organizations. Many non-profit and governmental organizations outperform private firms and corporations on innovativeness, motivation, productivity, and human relations.

Compared to for-profit firms, non-profit and governmental organizations often function as a monopoly, produce a product or service that offers little or no measurability of performance, and are totally dependent on outside financing. Especially for these organizations, strategic management provides an excellent vehicle for developing and justifying requests for needed financial support.

Rohit needs to understand the importance of strategic management in his organisation. His organisation is also depended on funds from government and donations. On one side, he needs to maintain steady inflow of funds and on the other side he needs to ensure proper utilisation of funds.

He can plan to use funds in a manner to maintain similar level of continuous services. With proper planning, resources can be better utilised, more funds can be generated and the quality of services maintained.

ICAI · Old P7 · MTP Nov 2018 · Series II · question p. 2 · answer p. 9

1040 MTP **Old P7 May 2018 S-I** Q5(a) 5 marks old scheme

"Evaluating the worth of a business is central to strategy implementation." In the light of this statement, explain the methods that can be used for determining the worth of a business.

ICAI'S ANSWER

It is true that evaluating the worth of a business is central to strategy implementation. There are circumstances where it is important to evaluate the actual worth of the business. These circumstances can be wide and varied. At a higher level they may include acquisition, merges or diversification. They may also include other situations such as fixing of share price in an issue. Acquisition, merger, retrenchment may require establishing the financial worth or cash value of a business to successfully implement such strategies.

Various methods for determining a business's worth can be grouped into three main approaches.

(i) Net worth or stockholders' equity: Net worth is the total assets minus total outside liabilities of an organisation.

(ii) Future benefits to owners through net profits: These benefits are considered to be much greater than the amount of profits. A conservative rule of thumb is to establish a business's worth as five times the firm's current annual profit. A five-year average profit level could also be used.

(iii) Market-determined business worth: This, in turn, involves three methods. First, the firm's worth may be based on the selling price of a similar company. The second approach is called the price-earnings ratio method whereby the market price of the firm's equity shares is divided by the annual earnings per share and multiplied by the firm's average net income for the preceding years. The third approach can be called the outstanding shares method whereby one has to simply multiply the number of shares outstanding by the market price per share and add a premium.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 4 · answer p. 10

A.6 Topics no longer in the syllabus

49 questions ICAI marks out of syllabus, or whose topic has left the syllabus. For reference only.

1041 EXAM **Old P7 Nov 2023** Q7(b) 5 marks old scheme

"The approach to BPR begins with defining the scope and objectives of the re-engineering project." With reference to this statement explain briefly the steps for implementing BPR.

ICAI'S ANSWER

BPR is an approach to unusual improvement in operating effectiveness through the redesigning of critical business processes and supporting business systems. BPR is a revolutionary redesigning of key business processes.

BPR involves the following steps:

(i) Determining objectives: Objectives are the desired end results of the redesign process which the management and organization attempts to achieve. They will provide the required focus, direction, and motivation for the redesign process and help in building a comprehensive foundation for the reengineering process.

(ii) Identify customers and determine their needs: The designers have to understand customers – their profile, their steps in acquiring, using and disposing of a product. The purpose is to redesign the business process that clearly provides added value to the customer.

(iii) Study the existing process: The existing processes will provide an important base for the designers. The purpose is to gain an understanding of the 'what', and 'why' of the targeted process. However, some companies go through the reengineering process with a clean perspective without laying emphasis on the past processes.

(iv) Formulate a redesign process plan: Formulation of redesign plan is the real crux of the reengineering efforts. Customer focused redesign concepts are identified and formulated. Alternative processes are considered, and the optimum is selected.

(v) Implement the redesign: It is easier to formulate new processes than to implement them. It is the joint responsibility of the designers and management to operationalise the new processes.

ICAI · Old P7 · Nov 2023 exam · question p. 11 · answer p. 12

1042 EXAM **Old P7 May 2023** Q10(b) old scheme

Ratu has been as CEO of PRO Ltd. He is given the responsibility of developing new products and improving old products. He is facing a conflict whether the firm should develop research and development expertise internally or outsource it to external agency. What guidelines will help Ratu to make this decision?

ICAI'S ANSWER

A critical question is whether PRO Ltd. should develop research and development expertise internally or outside to external agencies. The answer to this critical question mainly depends on rate of technology progress and rate of market growth. The following guidelines can be used by Ratu, the CEO of PRO Ltd. to help make this decision:

- If the rate of technical progress is slow, the rate of market growth is moderate, and there are significant barriers to possible new entrants, then in-house R&D is the preferred solution. The reason is that R&D, if successful, will result in a temporary product or process monopoly that the company can exploit.

- If technology is changing rapidly and the market is growing slowly, then a major effort in R&D may be very risky, because it may lead to the development of an ultimately obsolete technology or one for which there is no market.
- If technology is changing slowly but the market is growing quickly, there generally is not enough time for in-house development. The prescribed approach is to obtain R&D expertise on an exclusive or non-exclusive basis from an outside firm.
- If both technical progress and market growth are fast, R&D expertise should be obtained through acquisition of a well-established firm in the industry.

ICAI · Old P7 · May 2023 exam · question p. 15 · answer p. 15-16

1043 **EXAM** **Old P7 Jul 2021** Q10(a) **5 marks** old scheme

Also asked in Old P7 RTP Nov 2023 Q21

"Entrepreneur is an individual who conceives the idea of starting a new venture." In light of this statement discuss who is an entrepreneur.

ICAI'S ANSWER

Entrepreneurship is an attitude of mind to seek opportunities, take calculated risk and drive benefits by starting and running a venture. It comprises of numerous activities involved in conception, creation and running an enterprise. An entrepreneur is an individual who conceives the idea of starting a new venture, takes all type of risks, not only to put the product or service into reality but also to make it an extremely demanding one.

An entrepreneur is one who:

- Initiates and innovates a new concept.
- Recognises and utilises opportunity.
- Arranges and coordinates resources such as man, material, machine and capital.
- Faces risks and uncertainties.
- Establishes a startup company.
- Adds value to the product or service.
- Takes decisions to make the product or service a profitable one.
- Is responsible for the profits or losses of the company.

ICAI · Old P7 · Jul 2021 exam · question p. 61 · answer p. 61-62

1044 **EXAM** **Old P7 Jul 2021** Q10(b) **5 marks** old scheme

Discuss various steps involved in Business Process Reengineering (BPR) while implementing in an organization.

ICAI'S ANSWER

BPR is an approach to unusual improvement in operating effectiveness through the redesigning of critical business processes and supporting business systems. BPR is a revolutionary redesigning of key business processes.

BPR involves the following steps:

(i) Determining objectives and framework: Objectives are the desired end results of the redesign process which the management and organization attempts to achieve. This will provide the required

focus, direction, and motivation for the redesign process.

(ii) Identify customers and determine their needs: The designers have to understand customers – their profile, their steps in acquiring, using and disposing a product. The purpose is to redesign business process that clearly provides added value to the customer.

(iii) Study the existing process: The existing processes will provide an important base for the redesigners. The purpose is to gain an understanding of the 'what', and 'why' of the targeted process. However, some companies go through the reengineering process with clean perspective without laying emphasis on the past processes.

(iv) Formulate a redesign process plan: Formulation of redesign plan is the real crux of the reengineering efforts. Customer focused redesign concepts are identified and formulated. Alternative processes are considered, and the optimum is selected.

(v) Implement the redesign: It is easier to formulate new process than to implement them. It is the joint responsibility of the designers and management to operationalise the new processes.

ICAI · Old P7 · Jul 2021 exam · question p. 61 · answer p. 62

1045 **EXAM** **Old P7 Jul 2021** Q10(b) OR **5 marks** **old scheme**

Write short note on Richard Rumelt's criteria for strategy audit.

ICAI'S ANSWER

Richard Rumelt's Criteria for Strategy Audit

(i) Consistency: A strategy should not present inconsistent goals and policies which can lead to organizational problems and conflicts. Inconsistencies in strategy are indicated if

(a) the cause of organizational problems is issue based;

(b) success for one department implies failure for another;

(c) the top management is expected to resolve policy problems and issues every time.

(ii) Consonance: Consonance refers to the need for strategists to examine sets of trends, as well as individual trends, in auditing strategies. The difficulty is that most trends are the result of interactions among other trends. A strategy must represent an adaptive response to the external environment and to the critical changes occurring within it.

(iii) Feasibility: A strategy must neither overtax available resources nor create unsolvable sub-problems. The final broad test of strategy is its feasibility; that is, can the strategy be attempted within the physical, human, and financial resources of the enterprise?

(iv) Advantage: A strategy must provide for the creation and/or maintenance of a competitive advantage in a selected area of activity. The advantage may reflect superiority in any one or combination of: resources, skills and position.

PassBook's note: Rumelt's criteria appear nowhere in the current Paper 6B study material.

ICAI · Old P7 · Jul 2021 exam · question p. 61-62 · answer p. 62-63

1046 **EXAM** **Old P7 Nov 2020** Q8(a) **5 marks** **old scheme**

Discuss the guidelines for selection of Research & Development expertise by an organization.

ICAI'S ANSWER

A critical question is whether a firm should develop research and development expertise internally or outside to external agencies. The answer to this critical question mainly depends on rate of technology progress and rate of market growth. The following guidelines can be used to help make this decision:

- If the rate of technical progress is slow, the rate of market growth is moderate, and there are significant barriers to possible new entrants, then in-house R&D is the preferred solution. The reason is that R&D, if successful, will result in a temporary product or process monopoly that the company can exploit.
- If technology is changing rapidly and the market is growing slowly, then a major effort in R&D may be very risky, because it may lead to the development of an ultimately obsolete technology or one for which there is no market.
- If technology is changing slowly but the market is growing quickly, there generally is not enough time for in-house development. The prescribed approach is to obtain R&D expertise on an exclusive or non-exclusive basis from an outside firm.
- If both technical progress and market growth are fast, R&D expertise should be obtained through acquisition of a well-established firm in the industry.

ICAI · Old P7 · Nov 2020 exam · question p. 13 · answer p. 13-14

1047 EXAM **Old P7 Nov 2020** Q9(a) 5 marks old scheme

State the factors of human resource that have a strong influence on employee competence.

ICAI'S ANSWER

Human resource management has been accepted as a strategic partner in the formulation of organization's strategies and in the implementation of such strategies through human resource planning, employment, training, appraisal and reward systems. The following points should be kept in mind as they can have a strong influence on employee competence:

1. Recruitment and selection: The workforce will be more competent if a firm can successfully identify, attract, and select highly competent applicants.

2. Training: The workforce will be more competent if employees are well trained to perform their jobs properly.

3. Appraisal of performance: The performance appraisal is to identify any performance deficiencies experienced by employees due to lack of competence. Such deficiencies, once identified, can often be solved through counseling, coaching or training.

4. Compensation: A firm can usually increase the competency of its workforce by offering pay, benefits and rewards that are not only attractive than those of their competitors but also recognizes merit.

ICAI · Old P7 · Nov 2020 exam · question p. 14-15 · answer p. 15

1048 EXAM **Old P7 May 2019** Q8(b) 5 marks old scheme

Also asked in Old P7 MTP May 2020 S-I Q3(b)

Explain the prominent areas where the Human Resource Manager can play a strategic role.

ICAI'S ANSWER

Prominent areas where the Human Resource Manager can play strategic role are as follows:

1. Providing purposeful direction: The human resource manager leads people and the organization towards the desired direction involving people. He can ensure harmony between organisational objectives and individual objectives.

2. Creating competitive atmosphere: In the present business environment, maintaining competitive position or gains is an important objective of any business. Having a highly committed and competent workforce is very important for getting a competitively advantageous position.

3. Facilitation of change: The human resource manager will be more concerned about furthering the organization not just maintaining it. He can devote more time to promote acceptance of change rather than maintaining the status quo.

4. Managing workforce diversity: In a modern organization, management of diverse workforce is a great challenge. Workforce diversity can be observed in terms of male and female, young and old, educated and uneducated, unskilled and professional employee and so on. Motivation, maintaining morale and commitment are some of the key tasks that a HR manager can perform.

5. Empowerment of human resources: Empowerment involves giving more power to those who, at present, have little control on what they do and little ability to influence the decisions being made around them.

6. Building core competency: The human resource manager has an important role to play in developing core competency of the firm. A core competence is a unique strength of an organization which may not be shared by others. Organization of business around core competence implies leveraging the limited resources of a firm.

7. Development of works ethics and culture: A vibrant work culture will have to be developed in the organizations to create an atmosphere of trust among people and to encourage creative ideas by the people.

ICAI · Old P7 · May 2019 exam · question p. 12-13 · answer p. 13

1049 EXAM **Old P7 Nov 2018** Q8(c) 2 marks old scheme

Which of the following statements are correct and which are incorrect? Give reasons in brief for your answer.

There is no distinction between Benchmarking and Business Process Reengineering.

ICAI'S ANSWER

Incorrect: Benchmarking relates to setting goals and measuring productivity based on best industry practices. The idea is to learn from the practices of competitors and others to improve the firm's performance. On the other hand, business process reengineering relates to analysis and redesign of workflows and processes both within and between the organisations.

ICAI · Old P7 · Nov 2018 exam · question p. 12 · answer p. 13

1050 EXAM **Old P7 Nov 2018** Q11(a) 5 marks old scheme

What steps are to be considered for implementing the supply chain management in a business organization? Explain.

ICAI'S ANSWER

A key requirement for successfully implementing supply chain management system in a business organisation are:

(i) Product development – Customers and suppliers must work together in the product development process. Products are developed and launched in shorter time and help organisations to remain competitive.

(ii) Procurement – requires careful resource planning, quality issues, identifying sources, negotiation, order placement, inbound transportation and storage. Organisations coordinate with suppliers in scheduling without interruption.

(iii) Manufacturing – Flexible manufacturing process is required to respond to market changes like accommodate customisation and changes in tastes and preferences. Manufacturing is done on the basis of just in time and minimum lot sizes.

(iv) Physical Distribution – Delivery of final product to customers is the last position in a marketing channel. To ensure right place at right time is important for each channel participant. So supply chain management links a marketing channel with customers.

(v) Outsourcing – is not limited to the procurement of materials and components but also includes outsourcing of services that traditionally have been provided within an organisation. The company will focus on the core competency areas alone and outsource rest.

(vi) Customer Service – Organisations work with customers to determine mutually satisfying goals, establish and maintain relationships. This produces positive feelings in the organisation and among customers.

(vii) Performance Measurement – Supplier capabilities and customer relationships can be corrected with a firm's performance. Performance is measured in different parameters such as costs, customer services, productivity and quality.

PassBook's note: The import's tag (Ansoff's matrix, from the words 'product development') is dropped: supply chain management is out of the syllabus.

ICAI · Old P7 · Nov 2018 exam · question p. 15 · answer p. 15-16

1051 **EXAM** **Old P7 Nov 2018** Q12(b) 3 marks old scheme

Also asked in Old P7 MTP Nov 2020 S-I Q5(a)

Identify three aspects of impact of IT Systems on Business Process Reengineering and list three areas where it provides business value.

ICAI'S ANSWER

Impact of IT Systems on Business Process Reengineering are identified as:

- Compression of time
- Overcoming restrictions of geography and/or distance
- Restructuring of relationships

IT initiatives, thus, provide business values in three distinct areas:

- Efficiency – by way of increased productivity
- Effectiveness – by way of better management
- Innovation – by way of improved products and services

ICAI · Old P7 · Nov 2018 exam · question p. 17-18 · answer p. 17-18

1052 RTP **Old P7 Nov 2023** Q3 MCQ old scheme

The tool for analyzing and comparing the best practices being used by established players in each segment, is known as:

A Benchmarking

B Strategic Analysis

C Strategic Decision making

D BPR

ICAI'S ANSWER

Answer key: **(A)**

PassBook's note: No definition, types or process in the current Paper 6B study material.

ICAI · Old P7 · RTP Nov 2023 · question p. 14

1053 RTP **Old P7 Nov 2022** Q4 MCQ old scheme

Which approach of R & D to implement strategic decisions is a glamorous and exciting strategy but also a dangerous one?

A Market new technology product

B Innovate imitator of successful products

C To be a low cost provider

D None of the above

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP Nov 2022 · question p. 16

1054 RTP **Old P7 May 2022** Q17 old scheme

You are the Human Resource Manager of a Company. What are the prominent areas where you can play strategic role?

ICAI'S ANSWER

Prominent areas where the Human Resource Manager can play strategic role are as follows:

1. Providing purposeful direction: The human resource manager leads people and the organization towards the desired direction involving people. He can ensure harmony between organisational objectives and individual objectives.

2. Creating competitive atmosphere: In the present business environment, maintaining competitive position or gains is an important objective of any business. Having a highly committed and competent workforce is very important for getting a competitively advantageous position.

3. Facilitation of change: The human resource manager will be more concerned about furthering the organization not just maintaining it. He can devote more time to promote acceptance of change rather than maintaining the status quo.

4. Managing diversity of workforce: In a modern organization, management of diverse workforce is a great challenge. Workforce diversity can be observed in terms of male and female, young and old, educated and uneducated, unskilled and professional employee and so on. Motivation, maintaining morale and commitment are some of the key tasks that a HR manager can perform.

5. Empowerment of human resources: Empowerment involves giving more power to those who, at present, have little control on what they do and little ability to influence the decisions being made around them.

6. Building core competency: The human resource manager has an important role to play in developing core competency of the firm. A core competence is a unique strength of an organization which may not be shared by others. Organization of business around core competence implies leveraging the limited resources of a firm.

7. Development of works ethics and culture: A vibrant work culture will have to be developed in the organizations to create an atmosphere of trust among peopl e and to encourage creative ideas by the people.

ICAI · Old P7 · RTP May 2022 · question p. 19 · answer p. 24

1055 RTP **Old P7 Nov 2020** Q5 MCQ old scheme

A person who searched for business opportunity and starts a new enterprise to make use of that opportunity called

- A Employee
- B Entrepreneur
- C Intrapreneur
- D Investor

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · RTP Nov 2020 · question p. 17

1056 RTP **Old P7 May 2020** Q1(vi) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Supply chain refers to the linkages between:

- A Suppliers
- B Customers
- C Manufacturers
- D All the above

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP May 2020 · question p. 11-12

1057 RTP **Old P7 May 2020** Q1(vii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

An entrepreneur is one who:

- A Initiates and innovates a new concept.
- B Does not recognize and utilizes opportunities.

C Does not want to face risks and uncertainties.

D None of these.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP May 2020 · question p. 11-12

1058 RTP **Old P7 Nov 2019** Q1(f) MCQ old scheme

In the questions given below select the best answer out of options (A), (B), (C), or (D):

Supply chain refers to the linkages between:

A Suppliers

B Logistics

C Customers

D All the above

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · RTP Nov 2019 · question p. 12-13

1059 RTP **Old P7 May 2019** Q1(xii) MCQ old scheme

In the questions given below select the best answer out of options (a), (b), (c), or (d):

Which of the following does not form part of Richard Rumelt's criteria for strategy audit?

A Adaptation.

B Consistency.

C Consonance.

D Feasibility.

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · RTP May 2019 · question p. 9

1060 RTP **Old P7 May 2019** Q18(c) old scheme

Also asked in Old P7 RTP Nov 2018 Q4(d)

Same question, different ICAI answer: #1071 Old P7 MTP Dec 2021 S-II

Distinguish between the following: Logistic management and supply chain management.

ICAI'S ANSWER

Supply chain management is an extension of logistic management. However, there are differences between the two. Logistical activities typically include management of inbound and outbound goods, transportation, warehousing, handling of material, fulfillment of orders, inventory management and supply/demand planning. Although these activities also form part of supply chain management, the latter is much broader. Logistic management can be termed as one of its part that is related to planning, implementing, and controlling the movement and storage of goods, services and related

information between the point of origin and the point of consumption. Supply chain management is an integrating function of all the major business activities and business processes within and across organisations. Supply Chain Management is a systems view of the linkages in the chain consisting of different channel partners – suppliers, intermediaries, third-party service providers and customers. Different elements in the chain work together in a collaborative and coordinated manner. Often it is used as a tool of business transformation and involves delivering the right product at the right time to the right place and at the right price.

ICAI · Old P7 · RTP May 2019 · question p. 13 · answer p. 23

1061 RTP **Old P7 Nov 2018** Q1(f) old scheme

Also asked in Old P7 RTP May 2018 Q1(f)

Briefly answer the following questions: Define logistics strategy.

ICAI'S ANSWER

Logistics is a process that integrates the flow of supplies into, through and out of an organization to achieve a level of service that facilitate movement and availability of materials in a proper manner. When a company creates a logistics strategy, it is defining the service levels at which its logistics is smooth and is cost effective.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 15

1062 RTP **Old P7 Nov 2018** Q2(h) old scheme

State with reasons which of the following statements are correct/incorrect: Benchmarking and business process reengineering are one and the same.

ICAI'S ANSWER

Incorrect: Benchmarking relates to setting goals and measuring productivity based on best industry practices. The idea is to learn from the practices of competitors and others to improve the firm's performance. On the other hand, business process reengineering relates to analysis and redesign of workflows and processes both within and between the organizations.

PassBook's note: No definition, types or process in the current Paper 6B study material.

ICAI · Old P7 · RTP Nov 2018 · question p. 12 · answer p. 17

1063 RTP **Old P7 Nov 2018** Q19 old scheme

Swift Ltd and Quick Ltd are two companies that are in the business of light industrial machines. While Swift is the market leader the sales of Quick has been falling. In the year 2017-18 the market share of the two companies was forty per cent and five per cent respectively. During the last five years the market share of quick reduced from third to sixth position. As an immediate corrective measure top management of Quick decided to emulate the successful standards of Swift Ltd and set them as their own yardsticks. With the help of standards they intended to compare, measure and judge their performance. What is the strategic tool Quick Ltd is adopting? How is it implemented?

ICAI'S ANSWER

The top management of Quick Ltd is doing benchmarking. The benchmarking helps an organization to get ahead of competition. A benchmark may be defined as a standard or a point of reference against which things may be compared and by which something can be measured and judged. In simple words, benchmarking is an approach of setting goals and measuring productivity based on

best industry practices. In recent years, different commercial and non-commercial organizations are discovering the value of benchmarking and are applying it to improve their processes and systems.

Benchmarking processes used by different organisations lack standardization. However, common elements are as follows:

I. Identifying the need for benchmarking: This step will define the objectives of the benchmarking exercise. It will also involve selecting the type of benchmarking. Organizations identify realistic opportunities for improvements.

II. Clearly understanding existing business processes: This step will involve compiling information and data on performance. This will include mapping processes.

III. Identify best processes: Within the selected framework, best processes are identified. These may be within the same organization or external to it.

IV. Compare own processes and performance with that of others: While comparing gaps in performance between the organization and better performers is identified. Further, gaps in performance are analysed to seek explanations. Feasibility of making the improvements is also examined.

V. Prepare a report and Implement the steps necessary to close the performance gap: A report on the Benchmarking initiatives containing recommendations is prepared. Such a report includes the action plan(s) for implementation.

VI. Evaluation: A business organization must evaluate the results of the benchmarking process in terms of improvements vis-à-vis objectives and other criteria set for the purpose. It should also periodically evaluate and reset the benchmarks in the light of changes in the conditions that impact its performance.

ICAI · Old P7 · RTP Nov 2018 · question p. 14 · answer p. 24-25

1064 **RTP** **Old P7 May 2018** Q18 old scheme

Define Entrepreneur. What are the characteristics of an entrepreneur?

ICAI'S ANSWER

An entrepreneur is an individual who conceives the idea of starting a new venture, takes all types of risks, not only to put the product or service into reality but also to make it an extremely demanding one. An entrepreneur is one who:

- Initiates and innovates a new concept.
- Recognises and utilises opportunity.
- Arranges and coordinates resources such as man, material, machine and capital.
- Faces risks and uncertainties.
- Establishes a startup company.
- Adds value to the product or service.
- Takes decisions to make the product or service a profitable one.
- Is responsible for the profits or losses of the company.

ICAI · Old P7 · RTP May 2018 · question p. 15 · answer p. 27

1065 MTP **Old P7 Nov 2023 S-I** Q1(G) 1 mark MCQ old scheme

Which one is not a criterion for strategy audit as per Richard Rumelet?

A Consistency

B Complexity

C Feasibility

D Advantage

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Nov 2023 · Series I · question p. 7

1066 MTP **Old P7 Nov 2023 S-II** Q1(F) 1 mark MCQ old scheme

Who ensures that the right materials are available at the right place, at the right time, of the right quality, and at the right cost?

A Marketing management

B R & D management

C Supply chain management

D Logistics management

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP Nov 2023 · Series II · question p. 7

1067 MTP **Old P7 May 2023 S-II** Q1(C) 2 marks MCQ old scheme

Also asked in Old P7 MTP Jul 2021 S-I Q1(E)

As the head of an MNC, you have been asked to bring in radical changes in your organisation through BPR. Which of these is the thrust area you would focus on reducing:

A Total cycle time

B Total order time

C Total inventory time

D None

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2023 · Series II · question p. 6

1068 MTP **Old P7 May 2023 S-II** Q4(b) 5 marks old scheme

Write a brief note on the Elements of Benchmarking Process.

ICAI'S ANSWER

Some of the common elements of benchmarking process are as under:

- Identifying the need for benchmarking: This step will define the objectives of the benchmarking exercise. It will also involve selecting the type of benchmarking. Organizations identify realistic

opportunities for improvements.

- Clearly understanding existing decisions processes: The step will involve compiling information and data on performance.
- Identify best processes: Within the selected framework best processes are identified. These may be within the same organization or external to them.
- Comparison of own process and performance with that of others: Benchmarking process also involves comparison of performance of the organization with performance of other organization. Any deviation between the two is analysed to make further improvements.
- Prepare a report and implement the steps necessary to close the performance gap: A report on benchmarking initiatives containing recommendations is prepared. Such a report also contains the action plans for implementation.
- Evaluation: Business organizations evaluate the results of the benchmarking process in terms of improvements vis-à-vis objectives and other criteria set for the purpose. It also periodically evaluates and reset the benchmarks in the light of changes in the conditions that impact the performance.

ICAI · Old P7 · MTP May 2023 · Series II · question p. 7 · answer p. 9

1069 MTP **Old P7 May 2023 S-II** Q5(b) 5 marks old scheme

Same question, different ICAI answer: #1025 Old P7 RTP Nov 2022

"Projected financial statement analysis is a central strategy-implementation technique." Justify the statement.

ICAI'S ANSWER

Projected financial statement analysis is a central strategy-implementation technique because it allows an organization to examine the expected results of various actions and approaches. This type of analysis can be used to forecast the impact of various implementation decisions. Nearly all financial institutions require a projected financial statement whenever a business seeks capital.

A projected income statement and balance sheet allow an organization to compute proj ected financial ratios under various strategy-implementation scenarios. When compared to prior years and to industry averages, financial ratios provide valuable insights into the feasibility of various strategy-implementation approaches.

A financial budget is also a document that details how funds will be obtained and spent for a specified period of time. Fundamentally, financial budgeting is a method for specifying what must be done to complete strategy implementation successfully.

Financial budgeting is a method for obtaining the most productive and profitable use of an organization's resources. Financial budgets can be viewed as the planned allocation of a firm's resources based on forecasts of the future.

ICAI · Old P7 · MTP May 2023 · Series II · question p. 7 · answer p. 9-10

1070 MTP **Old P7 Nov 2022 S-II** Q4(a) 5 marks old scheme

You are Research and Development manager of Sun Ltd. You are assigned the responsibility of technology enhancement. You have to take a decision either to acquire R & D expertise from external firms or develop R & D expertise internally. Do you need guidelines to help you take decision? Validate your answer.

ICAI'S ANSWER

Yes, there is always need of guidelines which help in taking correct and appropriate decision to acquire internal and external R&D expertise.

The following guidelines can be used to help in making this decision:

- If the rate of technical progress is slow, the rate of market growth is moderate, and there are significant barriers to possible new entrants, then in-house R&D is the preferred solution. The reason is that R&D, if successful, will result in a temporary product or process monopoly that the company can exploit.
- If technology is changing rapidly and the market is growing slowly, then a major effort in R&D may be very risky, because it may lead to the development of an ultimately obsolete technology or one for which there is no market.
- If the technology is changing slowly but the market is growing quickly, there generally is not enough time for in-house development. The prescribed approach is to obtain R&D expertise on an exclusive or nonexclusive basis from an outside firm.
- If both technical progress and market growth are fast, R&D expertise should be obtained through acquisition of a well-established firm in the industry.

ICAI · Old P7 · MTP Nov 2022 · Series II · question p. 9 · answer p. 8

1071 MTP **Old P7 Dec 2021 S-II** Q6(b) 5 marks old scheme

Same question, different ICAI answer: #1060 Old P7 RTP May 2019

Distinguish between the following:

Logistic management and Supply chain management.

ICAI'S ANSWER

Supply chain management is an extension of logistic management. However, there are differences between the two. Logistical activities typically include management of inbound and outbound goods, transportation, warehousing, handling of material, fulfillment of orders, inventory management and supply/demand planning. Although these activities also form part of supply chain management, the latter is much broader. Logistic management can be termed as one of its parts that is related to planning, implementing, and controlling the movement and storage of goods, services and related information between the point of origin and the point of consumption.

Supply chain management is an integrating function of all the major business activities and business processes within and across organisations. Supply Chain Management is a systems view of the linkages in the chain consisting of different channel partners – suppliers, intermediaries, third-party service providers and customers. Different elements in the chain work together in a collaborative and coordinated manner. Often it is used as a tool of business transformation and involves delivering the right product at the right time to the right place and at the right price.

ICAI · Old P7 · MTP Dec 2021 · Series II · question p. 8 · answer p. 9

1072 MTP **Old P7 Jul 2021 S-II** Q6(b) 5 marks old scheme

Explain the various steps in Benchmarking process.

ICAI'S ANSWER

The various steps in Benchmarking Process are as under:

(i) Identifying the need for benchmarking: This step will define the objectives of the benchmarking exercise. It will also involve selecting the type of benchmarking. Organizations identify realistic opportunities for improvements.

(ii) Clearly understanding existing decisions processes: The step will involve compiling information and data on performance.

(iii) Identify best processes: Within the selected framework best processes are identified. These may be within the same organization or external to them.

(iv) Comparison of own process and performance with that of others: Benchmarking process also involves comparison of performance of the organization with performance of other organization. Any deviation between the two is analysed to make further improvements.

(v) Prepare a report and implement the steps necessary to close the performance gap: A report on benchmarking initiatives containing recommendations is prepared. Such a report also contains the action plans for implementation.

(vi) Evaluation: Business organizations evaluate the results of the benchmarking process in terms of improvements vis-à-vis objectives and other criteria set for the purpose. It also periodically evaluates and reset the benchmarks in the light of changes in the conditions that impact the performance.

ICAI · Old P7 · MTP Jul 2021 · Series II · question p. 8 · answer p. 9-10

1073 MTP **Old P7 Nov 2020 S-I** Q1(C) 1 mark MCQ old scheme

Sport Spirit (SS) is a medium sized sports retailer. It currently operates three shops in the city at centre locations. The management of Sport Spirit (SS) has a very careful recruitment policy; any applicant must have a 'passion for sport'. Which one of the following functional strategies would best describe by SS?

A Human Resource Strategy

B Financial Strategy

C Operation Strategy

D Marketing Strategy

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 7

1074 MTP **Old P7 Nov 2020 S-I** Q1(G) 1 mark MCQ old scheme

Supply chain refers to the linkages between:

A Suppliers

B Customers

C Manufacturers

D All the above

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP Nov 2020 · Series I · question p. 7

1075 MTP **Old P7 May 2020 S-I** Q1(B) 2 marks MCQ old scheme

Human resource management has been accepted as a strategic partner in the formulation of organization's strategies and in the implementation of such strategies through human resource planning, employment, training, appraisal and reward systems. Factors that influence on employee competence are: i. Recruitment and selection ii. Training iii. Appraisal of performance iv. Compensation

- A i, ii & iii
- B ii, iii & iv
- C i, ii, iii & iv
- D iii & iv

ICAI'S ANSWER

Answer key: **(C)**

ICAI · Old P7 · MTP May 2020 · Series I · question p. 6

1076 MTP **Old P7 Nov 2019 S-I** Q1(xv) 1 mark MCQ old scheme

A person who searched for business opportunity and starts a new enterprise to make use of that opportunity is called

- A Employee
- B Entrepreneur
- C Intrapreneur
- D Investor

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 6

1077 MTP **Old P7 Nov 2019 S-I** Q5(a) 5 marks old scheme

State the factors of human resource that influence on employee's competence.

ICAI'S ANSWER

Human resource management has been accepted as a strategic partner in the formulation of organization's strategies and in the implementation of such strategies through human resource planning, employment, training, appraisal and reward systems. The following points should be kept in mind as they can have a strong influence on employee competence:

i. Recruitment and selection: The workforce will be more competent if a firm can successfully identify, attract, and select highly competent applicants.

ii. Training: The workforce will be more competent if employees are well trained to perform their jobs properly.

iii. Appraisal of performance: The performance appraisal is to identify any performance deficiencies experienced by employees due to lack of competence. Such deficiencies, once identified, can often be solved through counselling, coaching or training.

iv. Compensation: A firm can usually increase the competency of its workforce by offering pay, benefits and rewards that are not only attractive than those of their competitors but also recognizes merit.

ICAI · Old P7 · MTP Nov 2019 · Series I · question p. 6 · answer p. 8

1078 MTP **Old P7 May 2019 S-I** Q1(v) 1 mark MCQ old scheme

In evaluating strategies, which one of Rumelt's criteria for evaluating strategies, refers to the need for strategists to examine sets of trends?

A Consistency

B Consonance

C Feasibility

D Advantage

ICAI'S ANSWER

Answer key: **(B)**

ICAI · Old P7 · MTP May 2019 · Series I · question p. 4

1079 MTP **Old P7 May 2019 S-I** Q5(b) 5 marks old scheme

Same question, different ICAI answer: #1087 Old P7 MTP Nov 2018 S-II

Distinguish between Logistic Management and Supply Chain Management.

ICAI'S ANSWER

Supply chain management is an extension of logistic management. However, there are differences between the two. Logistical activities typically include management of inbound and outbound goods, transportation, warehousing, handling of material, fulfillment of orders, inventory management and supply/demand planning. Although these activities also form part of supply chain management, the latter is much broader. Logistic management can be termed as one of its part that is related to planning, implementing, and c ontrolling the movement and storage of goods, services and related information between the point of origin and the point of consumption.

Supply chain management is an integrating function of all the major business activities and business processes within and across organisations. Supply Chain Management is a systems view of the linkages in the chain consisting of different channel partners – suppliers, intermediaries, third-party service providers and customers. Different elements in the chain work together in a collaborative and coordinated manner. Often it is used as a tool of business transformation and involves delivering the right product at the right time to the right place and at the right price.

ICAI · Old P7 · MTP May 2019 · Series I · question p. 6 · answer p. 8

1080 MTP **Old P7 May 2019 S-II** Q1(xii) 1 mark MCQ old scheme

The purpose of logistics management is

A Provide customer satisfaction

B Create automation

C Procure better quality raw material

D Manage inward and outward movement of goods

ICAI'S ANSWER

Answer key: **(D)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 5

1081 MTP **Old P7 May 2019 S-II** Q1(xv) 1 mark MCQ old scheme

The following are part of Richard Rumelt's criteria for strategy audit, except:

A Adaptation

B Consistency

C Consonance

D Feasibility

ICAI'S ANSWER

Answer key: **(A)**

ICAI · Old P7 · MTP May 2019 · Series II · question p. 6

1082 MTP **Old P7 Nov 2018 S-I** Q5(a) 5 marks old scheme

Write short notes on the following:

Entrepreneur

ICAI'S ANSWER

An entrepreneur is an individual who conceives the idea of starting a new venture, takes all types of risks, not only to put the product or service into reality but also to make it an extremely demanding one. An entrepreneur is one who:

- Initiates and innovates a new concept.
- Recognises and utilises opportunity.
- Arranges and coordinates resources such as man, material, machine and capital.
- Faces risks and uncertainties.
- Establishes a startup company.
- Adds value to the product or service.
- Takes decisions to make the product or service a profitable one.
- Is responsible for the profits or losses of the company.

ICAI · Old P7 · MTP Nov 2018 · Series I · question p. 2 · answer p. 12

1083 MTP **Old P7 Nov 2018 S-I** Q6(a) 7 marks old scheme

What is the rationale behind Business Process Reengineering (BPR)? What steps would you recommend to implement BPR in an organization?

ICAI'S ANSWER

Business Process Reengineering (BPR) is an approach to unusual improvement in operating effectiveness through the redesigning of critical business processes and supporting business systems. It is revolutionary redesign of key business processes that involves examination of the basic process itself. It looks at the minute details of the process, such as why the work is done, who does it, where is it done and when it is done. BPR refers to the analysis and redesign of workflows and

processes both within the organization and between the organization and the external entities like suppliers, distributors, and service providers.

The orientation of redesigning efforts is basically radical. In other words, it is a total deconstruction and rethinking of business process in its entirety, unconstrained by its existing structure and pattern. Its objective is to obtain quantum jump in process performance in terms of t ime, cost, output, quality, and responsiveness to customers. BPR is a revolutionary redesigning of key business processes. BPR involves the following steps:

1. Determining objectives and framework: Objectives are the desired end results of the redesign process which the management and organization attempts to achieve. This will provide the required focus, direction, and motivation for the redesign process. It helps in building a comprehensive foundation for the reengineering process.

2. Identify customers and determine their needs: The designers have to understand customers – their profile, their steps in acquiring, using and disposing a product. The purpose is to redesign business process that clearly provides added value to the customer.

3. Study the existing process: The existing processes will provide an important base for the redesigners. The purpose is to gain an understanding of the 'what', and 'why' of the targeted process. However, some companies go through the reengineering process with clean perspective without laying emphasis on the past processes.

4. Formulate a redesign process plan: The information gained through the earlier steps is translated into an ideal redesign process. Formulation of redesign plan is the real crux of the reengineering efforts. Customer focused redesign concepts are identified and formulated. In this step alternative processes are considered and the best is selected.

5. Implement the redesign: It is easier to formulate new process than to implement them. Implementation of the redesigned process and application of other knowledge gained from the previous steps is key to achieve dramatic improvements. It is the joint responsibility of the designers and management to operationalise the new process.

ICAI · Old P7 · MTP Nov 2018 · Series I · question p. 2 · answer p. 12-13

1084 MTP **Old P7 Nov 2018 S-II** Q1(b) 5 marks old scheme

Slow Ltd. is a fifty year old organisation engaged in manufacturing of consumer products. Over a time, its processes have lengthened making it very slow in decision making, production, product and service delivery.

As a manager, you have been asked to suggest how the processes of Slow Ltd. can be improved?

ICAI'S ANSWER

Any organisation has a number of processes. Typically, a business process involves a number of steps performed by different people in different departments. Slow Ltd. needs to identify and change the processes improve the speed and quality. The tool that can be employed is Business Process Reengineering. Steps are as follows:

i. Determining objectives: Objectives are the desired end results of the redesign process which the management and organization attempts to realise.

ii. Identify customers and determine their needs: The process designers have to understand customers - their profile, their steps in acquiring, using and disposing a product. The purpose is to redesign business process that clearly provides value addition to the customer.

iii. Study the existing processes: The study of existing processes will provide an important base for the process designers. However, some organisation go through the reengineering process with clean perspective without laying emphasis on the past processes.

iv. Formulate a redesign process plan: Formulation of redesign plan is the real crux of the reengineering efforts. Customer focussed redesign concepts are identified and formulated. In this step alternative processes are considered and the best is selected.

v. Implement the redesigned process: Implementation of the redesigned process and application of other knowledge gained from the previous steps is key to achieve dramatic improvements.

ICAI · Old P7 · MTP Nov 2018 · Series II · question p. 2 · answer p. 9

1085 MTP **Old P7 Nov 2018 S-II** Q2(a)(ii) 2 marks old scheme

Which of the following statements are 'correct' and which are 'incorrect'? Give reasons, in brief, for your answer:

Marketers alone can deliver superior value to customers.

ICAI'S ANSWER

Incorrect: A marketer alone cannot deliver superior value to the customers. It needs to work in coordination with other departments to accomplish this. It is important to be part of organization chain and marketer needs to work in coordination with other departments in the search for competitive advantages. Organisations need to look at the value chain network along with its own chain of activities and the chain of suppliers, distributors and ultimately customers.

ICAI · Old P7 · MTP Nov 2018 · Series II · question p. 2 · answer p. 9

1086 MTP **Old P7 Nov 2018 S-II** Q4(a) 5 marks old scheme

Distinguish between Entrepreneurs and Intrapreneurs.

ICAI'S ANSWER

The terms Entrepreneur and the Intrapreneur might seem the same words to hear, but both the terms have much differences including their spelling and characteristics. The differences between these two terms have been shortly gleaned below:-

	Entrepreneur	Intrapreneur
Dependency	An entrepreneur is independent in his operations.	An intraprenuer is dependent on the entrepreneur, i.e. the owner.
Raising of Funds	An entrepreneur himself raises funds required for the enterprise.	Funds are not raised by the Intrapreneur.
Risk	Entrepreneur bears the risk involved in the business.	An intraprenuer does not fully bear the risk involved in the enterprise.
Operation	An entrepreneur operates from out side.	On the contrary, an intraprenuer operates from within the organization itself.
Orientation	An entrepreneur begins his business with a newly set up enterprise.	An intrapreneur sets up his enterprise after working someone else's organization.

	Entrepreneur	Intrapreneur
Experience	As an entrepreneur establishes new business, so he does not possess any experience over the business.	An intrapreneur establishes his business after gathering experiences through working in the other organizations.

According to the above table, anyone can differentiate between the entrepreneur and intrapreneur as both the terms are heterogeneous.

ICAI · Old P7 · MTP Nov 2018 · Series II · question p. 2 · answer p. 10-11

1087 MTP **Old P7 Nov 2018 S-II** Q4(b) 5 marks old scheme

Same question, different ICAI answer: #1079 Old P7 MTP May 2019 S-I

Distinguish between Logistic Management and Supply Chain Management.

ICAI'S ANSWER

Supply chain management is an extension of logistic management. However, there are differences between the two. Logistical activities typically include management of inbound and outbound goods, transportation, warehousing, handling of material, fulfillment of orders, inventory management and supply/demand planning. Although these activities also form part of supply chain management, the latter is much broader. Logistic management can be termed as one of its part that is related to planning, implementing, and controlling the movement and storage of goods, services and related information between the point of origin and the point of consumption.

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ICAI · Old P7 · MTP Nov 2018 · Series II · question p. 2 · answer p. 11

1088 MTP **Old P7 May 2018 S-I** Q3(a) 5 marks old scheme

Always Fit is a company that operates in pharmacy store chains. Its stores are specialized in providing prescribed medicines, health and wellness products etc. in the country. The store chain is having surplus space which can be utilized for other purposes. Azad, a senior executive of the research and development wing in the company conceives an idea to manufacture and sell the cosmetic products for utilizing the surplus space available in the pharmacy stores.

Identify and explain the role of Azad in company.

ICAI'S ANSWER

Azad plays role as an intrapreneur who operates within the boundaries of an organisation. He is an employee of Always Fit, who is vested with authority of initiating creativity and innovation in the company's products, services and projects, redesigning the processes, workflows and systems.

Azad believes in change and do not fear failure. He discovers a new idea which can benefit the whole organization by utilizing the surplus space in the stores. The job of Azad is extremely challenging. He gets recognition and reward for the success achieved.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 3 · answer p. 8

1089 MTP Old P7 May 2018 S-I Q6 7 marks old scheme

What is strategy audit? Explain the criteria for strategy audit as given by Richard Rumelt.

ICAI'S ANSWER

A strategy audit is an examination and evaluation of areas affected by the operation of a strategic management process within an organization. The audit of management performance with regard to external strategies helps an organization identify problem areas and correct the strategic approaches that have not been effective so far. It is a process for taking an objective look at the existing strategies of the organization. It involves assessing the direction of a business and comparing that to the course required to succeed in a changing environment."

Companies review their business plans and strategies on regular basis to identify weaknesses and shortcomings to enable a successful development plan. The strategy audit secures that all necessary information for the development of the company are included in the business plan and that the management supports it.

Richard Rumelt's Criteria for Strategy Audit

a. Consistency: A strategy should not present inconsistent goals and policies which can lead to organizational problems and conflicts. Three guidelines to identify are:

- Strategies may be inconsistent if managerial problems tend to be issue-based rather than people-based.
- If success for one organizational department means, or is interpreted to mean, failure for another department, then strategies may be inconsistent.
- If policy problems and issues continue to be brought to the top for resolution, then strategies may be inconsistent.

b. Consonance: Consonance refers to the need for strategists to examine sets of trends, as well as individual trends, in auditing strategies. A strategy must represent an adaptive response to the external environment and to the critical changes occurring within it. One difficulty in matching a firm's key internal and external factors in the formulation of strategy is that most trends are the result of interactions among other trends.

c. Feasibility: A strategy must neither overtax available resources nor create unsolvable sub-problems. The final broad test of strategy is its feasibility; that is, can the strategy be attempted within the physical, human, and financial resources of the enterprise? In auditing a strategy, it is important to examine whether an organization has demonstrated in the past that it possesses the abilities, competencies, skills, and talents needed to carry out a given strategy.

d. Advantage: A strategy must provide for the creation and/or maintenance of a competitive advantage in a selected area of activity. Competitive advantages normally are the result of superiority in one of three areas:

(1) resources, (2) skills, or (3) position.

ICAI · Old P7 · MTP May 2018 · Series I · question p. 4 · answer p. 11